



QUALIFICATION PROGRAMME

Associate Module 8

Principles of Auditing

FOURTH EDITION



Hong Kong Institute of
Certified Public Accountants
香港會計師公會



Hong Kong's
CPA Qualification
香港會計師專業資格



MODULE 8
**PRINCIPLES
OF AUDITING**

Qualification Programme

Fourth Edition



Hong Kong Institute of
Certified Public Accountants
香港會計師公會

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DIRECTOR'S MESSAGE

Congratulations on choosing the Qualification Programme ('QP') of the Hong Kong Institute of Certified Public Accountants ('HKICPA') as your pathway to becoming a CPA! You have joined thousands of others on this exciting and important journey to develop the knowledge, skills and perspectives you need to succeed in your career and becoming a valued member of the Institute.

The world is evolving rapidly, so too is the business environment. The Accounting profession faces a number of challenges and trends including technological enhancement, regulatory development, changing societal expectations and more.

Professional accountants are no longer left only to deal with numbers, but also to analyse and advise. We are also expected to be highly strategic, collaborative, and building trust by demonstrating relevance and value to many aspects of society.

The QP of the HKICPA aims at qualifying accountants with the agility needed to embrace the changing environment. You will grow and discover a plethora of relevant competencies through QP by completing training programmes, passing professional examinations and acquiring practical experience under an authorised employer or supervisor. In the longer term, we hope that you will succeed not only in accountancy but also in enhancing your employability and portability so that you will be able to help business and society move forward.

We are delighted to partner with you on your development journey.

The QP consists of three levels of designations:

- The Associate Level aims to build a solid foundation of technical accounting knowledge.
- The Professional Level aims to deepen your technical capabilities and develop core enabling competences in the workplace.
- The Capstone integrates your knowledge, skills and experiences to resolve business problems and emerge as a top tier accounting professional.

We have designed this Learning Pack to provide you with the valuable resources for your development on attaining your CPA designation under the QP. I trust you will be successful and enjoy your QP journey!

Should you require any assistance at any time, please feel free to contact us on (852) 2287 7228.

Kit Wong
Director of Education and Training
Hong Kong Institute of Certified Public Accountants



INTRODUCTION

Successfully preparing for a career in accounting is a significant undertaking. To better prepare you for this challenging profession, the Hong Kong Institute of Certified Public Accountants (HKICPA) provides a qualification programme (QP) comprising three progressive levels: A 10-module Associate Level, a four-module Professional Level including workshops and a Capstone that includes three-day workshops and a final examination.

The Associate Level of the QP comprises 10 modules. Each of these modules involves approximately 80 hours of self-study and a closed-book module examination (except for Module 10: Business and Company Law in which the examination is open-book).

- **Module 1:** Accounting
- **Module 2:** Management Accounting
- **Module 3:** Business Economics
- **Module 4:** Business Management
- **Module 5:** Information Management
- **Module 6:** Financial Accounting
- **Module 7:** Financial Management
- **Module 8:** Principles of Auditing
- **Module 9:** Principles of Taxation
- **Module 10:** Business and Company Law

While each of the Associate Level and Professional Level modules stands on its own, the modules are also arranged in a series of ‘verticals’ that map to the CPA competence blueprint. These verticals are designed to develop an area of knowledge, through two or three modules, from basic understanding to professional excellence.

The Financial Accounting and Reporting vertical runs from Module 1, through Module 6 to Professional Level Module 11: Financial Reporting. A second vertical, Management Accounting, runs from Module 2, via Module 7 to Professional Level Module 12: Business Finance. The third vertical, Audit and Assurance, develops from Module 8 to Professional Level Module 13: Business Assurance. The fourth vertical, Taxation, takes students from Module 9 to Professional Level Module 14: Taxation.

Each Associate Level module of the new QP requires students to sit a three-hour examination. Two exam sittings are held each year in June session and December session. Please refer to the Student Handbook for the examination structure and the cut-off rule on the examinable content.



HKICPA PROFICIENCY LEVELS AND TAXONOMY

The proficiency level indicated in the table below reflects the level at which the topics covered in particular learning outcome is tested. There are three levels of proficiency:

- Level 1 is the foundational level, covering the skills of knowledge and comprehension.
- Level 2 is the intermediate level, covering the skills of application and analysis.
- Level 3 is the advanced level, covering the skills of integration and evaluation.

You are expected to understand which skill is exercised based on the taxonomy verbs with which it is associated.

Please note that the list of taxonomy verbs below is for reference only and does not represent an exhaustive list.

LEVEL 1: FOUNDATION		
Skill	Verb	Definition
Knowledge The remembering of previously learned material (recall of facts)	<i>Define</i>	Give the accepted meaning of
	<i>Identify</i>	List or ascertaining possibilities before analysis; Point to the essential part or parts
	<i>List</i>	Provide a concise summary of the relevant points, often in bullet point format
	<i>Outline</i>	Give the main facts about something
	<i>State</i>	Accurately articulate established principles, concepts, terms etc.
Comprehension Demonstrative understanding of facts and ideas by organising, comparing, translating, interpreting, giving descriptions and stating main ideas	<i>Describe</i>	Communicate the key features of something, present a detailed account of something focusing on depth of knowledge
	<i>Explain</i>	Make clear the details of something; or show the reason for, or underlying cause of, or the means by which something occurs
	<i>Illustrate</i>	Offer examples, to show how something happens, that something happens, or make concrete a concept by giving examples
	<i>Interpret</i>	Make clear the meaning of something and its implications
	<i>Summarise</i>	Describe something concisely; bring together the main facts

LEVEL 2: INTERMEDIATE

Skill	Verb	Definition
Application Using new knowledge. Solve problems to new situations by applying acquired knowledge, facts, techniques and rules in a different way	<i>Account for / Demonstrate</i>	Give details of accounting entries to be made for in the context of financial reporting or justify (if used in a more general context); Demonstrate the accounting treatment by using a set of accounts
	<i>Apply</i>	Demonstrate knowledge, concepts or techniques; Use established methods / tools / procedures to resolve relatively straightforward scenarios or problems
	<i>Calculate / Compute</i>	Determine by computation or arrive at by mathematical means or processes
	<i>Prepare</i>	Follow established procedures / methods to create a report of financial information or commentary (e.g. using a proforma spreadsheet)
	<i>Solve</i>	To work out to a result or conclusion
	<i>Use</i>	Apply in a practical way
Analysis Examine and break information into parts by identifying motives or causes. Make inferences and find evidence to support generalisation	<i>Analyse</i>	To examine methodically by separating into parts and studying the interrelationships in order to discover essential features
	<i>Compare</i>	Critically consider two or more things, emphasising their similarities
	<i>Contrast</i>	Critically consider two or more things, emphasising their differences
	<i>Classify / Categorise</i>	Apply concepts to categorise information or groups into categories
	<i>Justify</i>	Explain the reason for recommendation made, or underlying cause of, based on an analysis of a range of available options
	<i>Prioritise / Determine</i>	Determine the order for dealing with a series of items or tasks according to their relative importance e.g. Determine the priorities / determine the level of importance

LEVEL 3: ADVANCED

Skill	Verb	Definition
Integration Compile information together in a different way by combining elements in a new pattern or proposing alternative solutions	<i>Construct</i>	To form an idea, a process, or procedure by bringing together various theoretical and conceptual elements
	<i>Design</i>	Develop a procedure/process or course of action based on selection of the optimum combination from a range of available options
	<i>Develop</i>	To bring something into existence that has not previously existed, or to reshape something from its initial position into something more refined; Use judgement to bring to a more advanced or effective state or to create a plan
	<i>Formulate</i>	Devise and put a plan into words
	<i>Integrate</i>	Combine one aspect of learning with another to form a holistic understanding of a process, procedure or course of action
	<i>Plan / Propose</i>	Formulate a detailed proposal for doing or achieving something
	<i>Produce</i>	Draw together similar or disparate items to form a report containing financial and/or non-financial information
Evaluation The ability to judge the value of material for a given purpose	<i>Advise</i>	Communicate appropriately the recommended course of action based on an analysis of specific circumstances in a manner suited to the recipient
	<i>Appraise</i>	Assess the value or quality of something; or to assess its performance
	<i>Consider</i>	Think carefully about something before making a decision, to look closely or attentively at something through a process involving critical thinking
	<i>Evaluate</i>	Assess and determine the value, importance or qualities of something, normally with reference to specific criteria and draw conclusions
	<i>Recommend</i>	Select the best course of action or choice; Advocate a particular outcome or course of action based on an analysis of a range of available options

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Anderson, L.W., Krathwohl, D.R., Airasian, W., Cruikshank, K.A., Mayer, R.E., and Pintrich, P.R. (2001). *A taxonomy for learning, teaching and assessing: A revision of Bloom's Taxonomy of educational outcomes: Complete edition*. New York: Longman.

The International Federation of Accountants. (2016). *Framework for International Education Standards for Professional Accountants and Aspiring Professional Accountants*. (2015). Retrieved from <https://www.ifac.org>

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LEARNING OUTCOMES

Each module includes Principal Learning Outcomes and Supporting Learning Outcomes arranged along a series of proficiency levels.

Module 8

Syllabus area	Weighting (%)
Describe and apply the professional standards and guidelines applicable to an audit	5–15
Explain the nature and purpose of auditing	5–15
Explain and analyse audit approach and planning	25–35
Apply audit procedures to an audit	25–35
Prepare an auditor's report	15–25

The syllabus weighting table indicates the relative weightings of the syllabus areas encompassed in this module. It serves as a guide to the percentage of study time spent on each syllabus area. In the long run, the marks allocation in the module examinations would conform to the weightings as shown above. The exact range of marks allocation in each module examination may deviate from the weightings for suitably robust questions to be set.

Learning Outcomes	Proficiency Level	Chapter where covered
PRINCIPAL LO1: DESCRIBE AND APPLY THE PROFESSIONAL STANDARDS AND GUIDELINES APPLICABLE TO AN AUDIT		
LO1.01: Apply the key principles of professional standards and guidelines	2	
1.01.01 Describe the auditor's responsibilities with regard to auditor's independence, conflicts of interest and confidentiality	1	1
1.01.02 Explain and illustrate the key principles of the Institute's Code of Ethics for Professional Accountants	1	1
1.01.03 Apply the key principles to ethical issues faced by external auditors	2	1
1.01.04 Explain the threats to the fundamental principles and independence and illustrate the ways to address the threats	1	1
LO1.02: Describe and explain approaches to apply a corporate governance framework and the impact on auditing and the auditing profession	1	
1.02.01 Describe good corporate governance requirements relating to directors' responsibilities and the reporting responsibilities of an auditor	1	2
1.02.02 Explain the auditor's responsibilities to consider and address corporate governance requirements	1	2
1.02.03 Explain the need for an auditor to communicate with those charged with corporate governance	1	2

Learning Outcomes	Proficiency Level	Chapter where covered
LO1.03: Explain the legal and regulatory framework	1	
1.03.01 Describe the legal and regulatory framework governing the auditing profession in Hong Kong	1	1
1.03.02 Explain the meaning of statutory audits and the statutory requirements for audits	1	1
PRINCIPAL LO2: EXPLAIN THE NATURE AND PURPOSE OF AUDITING		
LO2.01: Explain the nature and objective of conducting an audit	1	
2.01.01 Explain the types of audits and objective of auditing financial statements	1	1
2.01.02 Identify the differences between auditing and accounting, and between external auditors and internal auditors	1	1
LO2.02: Describe the roles and responsibilities of an auditor	1	
2.02.01 Describe the roles and responsibilities of an auditor for different types of audits	1	1
2.02.02 Explain the statutory regulations governing the appointment, rights, removal and resignation of an auditor	1	2
2.02.03 Describe management's responsibilities in preparing financial statements	1	2
2.02.04 Describe the auditor's responsibilities to consider fraud in an audit of financial statements	1	3
2.02.05 Identify the differences between business failure, audit failure and audit risk	1	3
2.02.06 Explain the considerations for accepting a new client or continuance of an existing client	1	2
2.02.07 Describe the auditor's liability to clients and related defence	1	2
2.02.08 Describe the auditor's liability to third parties and related defence	1	2
PRINCIPAL LO3: EXPLAIN AND ANALYSE AUDIT APPROACH AND PLANNING		
LO3.01: Explain and analyse the importance of understanding a client's business	2	
3.01.01 Explain and analyse how the entity's operation and environment relate to an audit	2	3
3.01.02 Explain how an auditor obtains an initial understanding of the entity and its environment	1	3
3.01.03 Explain how an auditor evaluates the impact of new rules, regulations and standards related to an audit	1	3
LO3.02: Demonstrate the importance of internal controls	2	
3.02.01 Demonstrate an understanding of the nature of internal controls and its importance to both management and the auditor	2	3
3.02.02 Explain and analyse the five components of internal controls	2	3
3.02.03 Apply fraud risk enquires	2	3

Learning Outcomes	Proficiency Level	Chapter where covered
LO3.03: Explain and analyse the relationship between risks assessment, inherent risk, control risk, and audit approach	2	
3.03.01 Explain and analyse the impact of risks on the financial statements and determine the audit approach by: • define business risk and inherent risk, and explain their differences • identify inherent risks (including risks associated with IT security) based on the understanding of the entity's operation and environment • define control risks • analyse the internal control system of an entity and identify control risks based on the understanding of the entity's operation and environment • define detection risk and explain its relationship with inherent risk and control risk • identify the affected components and assertions relating to those identified inherent and control risks	2	4
3.03.02 Determine appropriate audit approach (i.e. combined or substantive approach, including risks associated with IT security), based on the identified inherent and control risks	2	4
LO3.04: Describe the design of an audit approach	1	
3.04.01 Describe and illustrate the following audit methodologies: • Risk-based auditing • Top-down auditing • System-based auditing • Systems audit • Balance sheet approach • Transaction cycle approach • Directional testing	1	3
LO3.05: Demonstrate how to prepare the overall audit plan and audit programme	2	
3.05.01 Demonstrate an understanding of the three phases of the audit process: • planning, including risk assessment and design audit responses • risk responses, including obtain audit evidence • completion of the audit and preparation of the auditor's report	2	3
3.05.02 Demonstrate an understanding of the following types of audit tests: • procedures to obtain an understanding of internal controls • evaluation and validation of controls • substantive tests of transactions: analytical procedures and tests of details of balances (including data analytics)	2	4
3.05.03 Determine the design of an audit programme	2	4
3.05.04 Explain the relationships between 'types of tests' and 'types of evidence', and the relationships between each type of tests	1	4
3.05.05 Explain and analyse evidence mix and how it should be varied in different circumstances	2	4

Learning Outcomes	Proficiency Level	Chapter where covered
LO3.06: Describe the use of audit sampling for tests of controls	1	
3.06.01 Explain and describe the concept of representative sampling	1	5
3.06.02 Explain the difference between statistical and non-statistical sampling	1	5
3.06.03 Illustrate audit sampling for exception rates	1	5
3.06.04 Illustrate the use of non-statistical sampling	1	5
3.06.05 Define and describe attributes sampling and a sampling distribution	1	5
3.06.06 Illustrate the use of attributes sampling	1	5
3.06.07 Illustrate sampling concepts and methodology to an audit plan	1	5
3.06.08 Explain the difference between sampling risk and non-sampling risk	1	5
3.06.09 Illustrate the evaluation of potential misstatements from audit sampling	1	5
LO3.07: Illustrate the use of audit sampling for tests of details of balances	1	
3.07.01 Describe the methodology for designing tests of details of balances using the audit risk model	1	5
3.07.02 Explain the differences between audit sampling for tests of details of balances, tests of controls and substantive tests of transactions	1	5
3.07.03 Define and describe variable sampling	1	5
3.07.04 Define and illustrate monetary unit sampling	1	5
LO3.08: Describe the audit of computerised systems	1	
3.08.01 Explain how the complexities of computerised systems (including the risk associated with IT security) affect business organisations	1	6
3.08.02 Describe automated-related internal controls in complex systems and their impact on evidence accumulation, including application controls (input controls, processing controls, output controls and controls over master file information)	1	6
3.08.03 Describe the complex and non-complex computerised systems of internal control	1	6
3.08.04 Explain when it is appropriate to audit only the manual internal controls to assess control risk	1	6
3.08.05 Illustrate computer auditing techniques such as the test data approach and parallel simulation	1	6
3.08.06 Describe the nature, purpose and function of generalised audit software as a computer audit tool	1	6
3.08.07 Explain how the auditor can make use of personal computers (PCs) in auditing	1	6
3.08.08 Describe the special concerns of the auditor when the client's information is processed by an outside computer company (service bureau), including the concerns associated with IT security	1	6

Learning Outcomes	Proficiency Level	Chapter where covered
LO3.09: Determine the issues under the requirement of sufficient and appropriate audit evidence	2	
3.09.01 Analyse the nature of audit evidence and its impact on an audit	2	4
3.09.02 Describe the decisions that an auditor must make to prepare an audit programme for obtaining audit evidence	1	4
3.09.03 Describe the factors affecting the persuasiveness of audit evidence, including relevance, competence, reliability, sufficiency and timeliness	1	4
3.09.04 Explain the procedures for obtaining audit evidence	1	4
3.09.05 Demonstrate an understanding of the nature and purposes of analytical procedures (including big data analytics) in different stages of the audit process	2	4
3.09.06 Apply analytical procedures on financial data	2	4
LO3.10: Describe the use of work of others	1	
3.10.01 Explain why an auditor relies on the work of others	1	4
3.10.02 Describe and explain the major considerations in using the work of others	1	4
3.10.03 Explain the extent to which external auditors are able to rely on the work of others	1	4
3.10.04 Explain the extent to which reference to the work of others can be made in an auditor's report	1	4
PRINCIPAL LO4: APPLY AUDIT PROCEDURES TO AN AUDIT		
LO4.01: Analyse the importance of audit planning and its documentation	2	
4.01.01 Analyse the importance of audit planning	2	3
4.01.02 Explain the purpose and contents of an engagement letter	1	3
4.01.03 Describe the appropriate information an auditor needs to obtain about the client's legal obligations	1	4
4.01.04 Describe the nature and purposes of preliminary analytical procedures	1	4
4.01.05 Illustrate the importance of assessing the internal audit function of the client in planning the audit and developing audit approach	1	4
4.01.06 Describe the test of controls to obtain sufficient appropriate audit evidence for explaining the operating effectiveness of relevant controls	1	4
4.01.07 Identify and explain material classes of transactions, account balances and disclosures by considering both qualitative and quantitative factors	1	4
4.01.08 Explain the concept of group audits (including the involvement of component auditors)	1	10

Learning Outcomes	Proficiency Level	Chapter where covered
4.01.09 Describe the characteristics and functions of component auditors and illustrate how the group auditor can work with them	1	10
4.01.10 Explain the purposes and types of audit documentation	1	3
LO4.02: Illustrate the relationship between materiality and risk	1	
4.02.01 Explain the concept of materiality and revision to materiality in an audit	1	4
4.02.02 Explain materiality levels of financial information	1	4
4.02.03 Illustrate how to apply preliminary judgment about materiality in audit planning	1	4
4.02.04 Illustrate how to apply materiality in evaluating audit findings	1	4
4.02.05 Illustrate how to identify and explain the risks of material misstatements at financial statement levels and assertion levels, including presumed fraud risks	1	3, 4
4.02.06 Explain the impact of business risks on those identified risks of material misstatement	1	4
4.02.07 Explain the factors and considerations in identifying inherent risks (including risks associated with IT security)	1	4
4.02.08 Explain how materiality and risk are related and integrated into the audit process	1	4
LO4.03: Apply the audit procedures to different business cycles	2	
4.03.01 Apply tests of controls and substantive tests of transactions applicable to different business cycles: • Sales and collection • Purchases and payment • Payroll and personnel • Inventory and production cycle • Debtors and prepayments • Creditors and accrued liabilities and provisions • Non-current assets and leases • Intangible assets • Cash and cash equivalent • Non-current liabilities • Capital, reserves and directors' emoluments • Financial instruments (e.g. derivatives or forward contracts) • Treasury (e.g. bank loan/facility) • Related parties	2	7
LO4.04: Illustrate major actions involved during the completion of an audit	1	
4.04.01 Illustrate a review for contingent liabilities and commitments	1	8
4.04.02 Describe the purpose and importance of obtaining confirmation letters	1	4
4.04.03 Illustrate a review for subsequent events	1	8
4.04.04 Illustrate a final overall review of financial statements	1	8

Learning Outcomes	Proficiency Level	Chapter where covered
4.04.05 Explain the going concern assumption and describe the disclosure requirements and reporting implications of going concern findings	1	8
4.04.06 Describe the purpose and importance of obtaining management representation letter	1	8
4.04.07 Summarise the overall audit results by integrating all the audit evidences	1	8
4.04.08 Explain the significance of uncorrected misstatements and describe the effect of uncorrected misstatements	1	8
4.04.09 Describe the purpose and importance of communicating with those charged with corporate governance	1	8
4.04.10 Describe the auditor's responsibilities when facts affecting the auditor's report are discovered subsequent to its issuance	1	8
4.04.11 Describe the procedures required to identify related parties	1	8
PRINCIPAL LO5: PREPARE AN AUDITOR'S REPORT		
LO5.01: Analyse the basis of an auditor's report	2	
5.01.01 Analyse the importance of the auditor's report on financial statements	2	9
5.01.02 Categorise auditors' reports by requirements and circumstances	2	9
5.01.03 Explain how materiality affects audit reporting decisions	1	9
5.01.04 Describe the elements of an auditor's report	1	9
LO5.02: Demonstrate an understanding of the circumstances that require modification to an auditor's report	2	
5.02.01 Explain and analyse the conditions that justify issuing an unmodified auditor's report	2	9
5.02.02 Demonstrate an understanding of the format and content of emphasis of matter and other matter paragraphs	2	9
LO5.03: Demonstrate an understanding of the circumstances that require the auditor to express modified audit opinions	2	
5.03.01 Explain and analyse the conditions that justify expressing a modified audit opinion	2	9
5.03.02 Demonstrate an understanding of the format and content of the opinion and the basis for opinion paragraphs when modified audit opinions are expressed	2	9



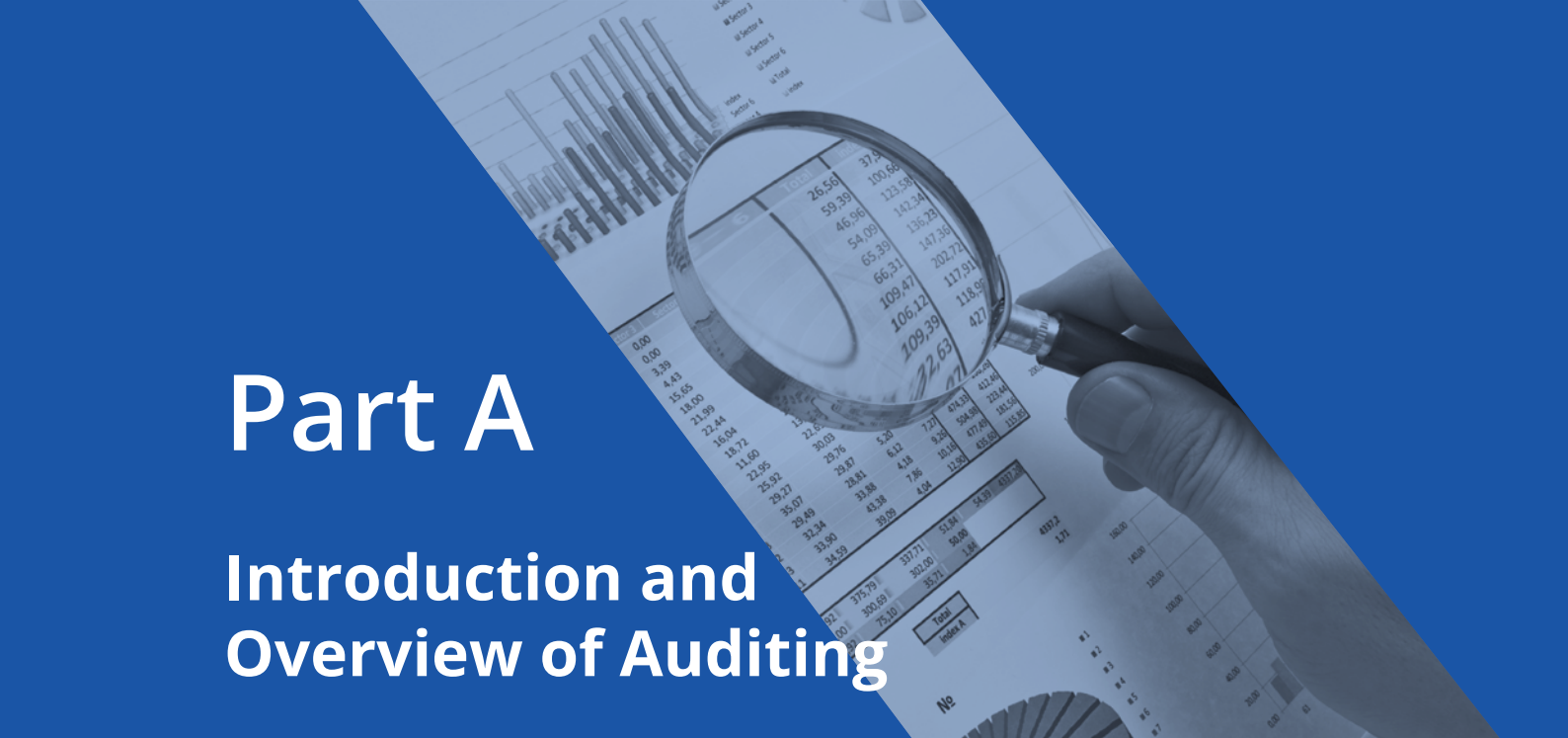
STUDY TEXT KEY FEATURES

Each of the Associate Level and Professional Module texts include a series of pedagogical features designed to help QP candidates better absorb the material, reach the required proficiency levels and meet the outlined Learning Outcomes (LOs).

The aim of these features is to help students understand the content while regularly reinforcing concepts and building the skills necessary to successfully complete each of the modules and progress through the Associate Level, the Professional Level and the Capstone.

Each chapter includes these features:

- **Chapter topic list:** A succinct list of the specific topics covered in the chapter.
- **Learning outcomes:** Outlines the specific knowledge points covered in the chapter and the specific skills related to each learning outcome (LO) discussed in the chapter.
- **Opening case:** A case study that aims to relate the material covered in the chapter to a real-life situation. At times, this opening case may be linked to opening cases in other chapters.
- **Overview:** Provides a more detailed preview of the material covered in the chapter.
- **Exhibits and charts:** Through illustrations and examples, exhibits and charts aim to convey information in graphic fashion or actual examples of accounting, reporting or calculations that are likely to be used in actual practice.
- **Illustrative examples:** Case studies that explore specific issues related to the chapter topics and further understanding of the LOs.
- **Apply and analyse:** Exam questions with analysis provided to show how to approach answering the question and apply what was learned from the concepts presented in the chapter.
- **Ethics in practice:** Ethical discussions on issues that may arise during professional practice.
- **Key learning point:** A concise summary of a salient point that is key to achieving chapter LOs.
- **Knowledge check questions:** A set of questions geared at furthering students understanding of specific topics, work through problems and meet the chapter LOs.
- **Summary:** A list of the concepts and topics covered in the chapter in an easy-to-review format.
- **Mind map:** A graphic depiction of the knowledge conveyed in the chapter to facilitate understanding of the LOs.
- **List of formulas:** A compilation of the equations introduced in the chapter.
- **Exam practice questions:** Questions similar to those likely to be featured in the examination paper required for each QP module.



Part A

Introduction and Overview of Auditing



Chapter 1 Introduction to Auditing

Chapter 2 Legal Liability and Corporate Governance

1

Introduction to Auditing

CHAPTER TOPIC LIST

1.1 Auditing and Assurance

- 1.1.1 Objectives of Auditing and Assurance Services
- 1.1.2 Financial Statement Users
- 1.1.3 Demands for Auditing and Assurance Services

1.2 Auditing and Assurance Standards

- 1.2.1 Role of Regulators and Regulation (Including Statutory Audits)

- 1.2.2 Hong Kong Standards and Guidelines for Auditing and Assurance

1.3 International Standards and Guidelines for Auditing and Assurance

1.4 Types of Audits

- 1.4.1 External Audits
- 1.4.2 Internal Audits



LEARNING OUTCOMES

PRINCIPAL LO1: DESCRIBE AND APPLY THE PROFESSIONAL STANDARDS AND GUIDELINES APPLICABLE TO AN AUDIT

LO1.01: Apply the key principles of professional standards and guidelines

1.01.01 Describe the auditor's responsibilities with regard to auditor's independence, conflicts of interest and confidentiality

1.01.02 Explain and illustrate the key principles of the Institute's Code of Ethics for Professional Accountants

1.01.03 Apply the key principles to ethical issues faced by external auditors

1.01.04 Explain the threats to the fundamental principles and independence and illustrate the ways to address the threats

LO1.03: Explain the legal and regulatory framework

1.03.01 Describe the legal and regulatory framework governing the auditing profession in Hong Kong

1.03.02 Explain the meaning of statutory audits and the statutory requirements for audits

PRINCIPAL LO2: EXPLAIN THE NATURE AND PURPOSE OF AUDITING

LO2.01: Explain the nature and objective of conducting an audit

2.01.01 Explain the types of audits and objective of auditing financial statements

2.01.02 Identify the differences between auditing and accounting, and between external auditors and internal auditors

LO2.02: Describe the roles and responsibilities of an auditor

2.02.01 Describe the roles and responsibilities of an auditor for different types of audits



OPENING CASE

BRIEFING THE AUDIT COMMITTEE OF A NEWLY LISTED HONG KONG COMPANY

As audit engagement manager you have been requested to advise the recently formed Audit Committee of Adventure Inc., a newly listed company. The company has previously been developed as a tightly held family business and its senior management have technically advanced computing skills. Their experience with external auditors, regulators and external financial markets has been limited to their recent financial report and external audit for the last financial period. They are aware of the importance of good governance and wish to earn a good rating in the market for running their operations well. The senior management team understands the importance of an audit and is keen to not be criticised for their financial accounting or governance.

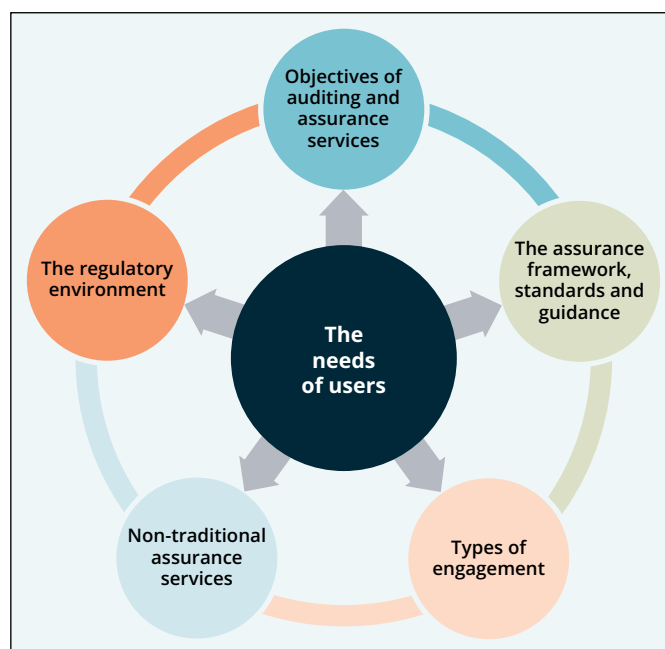
As part of the governance structure, the Board has established an Audit Committee to oversee the financial reporting and auditing functions. The Audit Committee is comprised of non-executive directors who are trying to understand the nature of auditing and assurance, and what services external auditors provide and what they, as an Audit Committee, can learn from the reports and any briefings that arise from these engagements. They too have a technology background rather than a significant history in financial or accountability matters. They say that they value the benefits that could come from having external experts, with experience from many other companies, consider their financial statements, their controls and, more generally, how they are developing their operations.

You recognise that Adventure Inc. is a very promising company that is rapidly expanding and is likely to require a range of services. You have been invited to the first meeting of the Audit Committee to explain the audit and to address some issues that they are raising, as well as the limits to providing other services that can come from the firm being the external auditor. 

OVERVIEW

INTRODUCTION TO AUDITING

It is important to understand the broad concept of assurance and its role in reducing information risk for user decision making in accountability and **governance** relationships. Exhibit 1.1 provides a map for the coverage of the chapter.



► **EXHIBIT 1.1** The assurance environment

This chapter focuses primarily on the nature and purpose of the audit of financial statements as a common form of assurance engagement. These engagements are subject to statutory and professional regulation, which will be explained in this section. The chapter will also cover some different types of assurance engagements that have developed in recent years as different needs have emerged within the commercial and general community.

Two types of auditors, external and internal, are introduced in this chapter and the different roles both types have in the accountability and governance process are discussed.



1.1 AUDITING AND ASSURANCE

Assurance engagements can be undertaken on a broad range of financial and non-financial information. An **audit** is just one form of assurance engagement, with the audit of **financial statements** being one of the most common and prominent forms of independent assurance engagements. It is prominent because the external auditor's report accompanies the financial statements that are lodged with corporate regulators and securities exchanges.

It is also important to understand that there is a difference between **external** and **internal** auditors. While many of the techniques and processes used by these two groups of auditors are similar, their roles and objectives (including who they report to) are different.

An **external auditor** is independent of the entity being audited and appointed to express an opinion on a selected subject matter. For example, an auditor appointed under the *Companies Ordinance* (Cap.622) (CO) is to report to shareholders on the company's financial statements.

An **internal auditor** undertakes examinations and reviews of the activities of the entity as a service to the entity's **management** (to whom they internal auditors report). For example, in the context of financial statement auditing, the internal audit function is generally regarded as part of the internal control system that assists the management of an entity in preparing reliable financial statements.

1.1.1 Objectives of Auditing and Assurance Services

As a broad concept, assurance is a service that aims to reduce **information risk** to users of financial and other information. The preparer is making actual or implied assertions about the information being made available and the assuring party is providing an independent opinion on those assertions based on appropriate evidence gathered. An audit should assist the readers or users of a document in determining how much trust they should place in the information that is being presented to them.

1.1.1.1 Framework for Assurance Engagements

To understand an audit as one form of assurance engagement, it is important to consider the *Hong Kong Framework for Assurance Engagements (Amended)* issued by the Hong Kong Institute of Certified Public Accountants (HKICPA). While this document does not mandate any requirements for the performance of assurance engagements, it provides the framework for the development of auditing standards and standards for other assurance services that do establish such requirements.

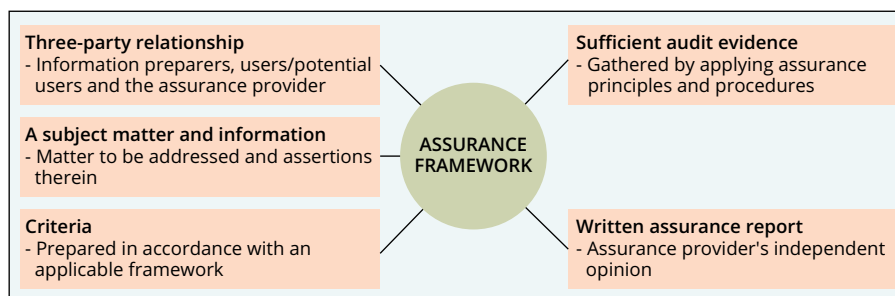
Paragraphs 10 and 11 of the Framework define an assurance engagement as:

... an engagement in which a practitioner aims to obtain sufficient appropriate evidence in order to express a conclusion designed to enhance the degree of confidence of the **intended users** other than the **responsible party** about the outcome of the measurement or evaluation of the underlying subject matter against criteria.

The outcome of the measurement or evaluation of the underlying subject matter is the information that results from applying the criteria to the underlying subject matter.

Paragraphs 22 and 26 of the Framework identify the following preconditions and elements for an assurance engagement (Exhibit 1.2):

- A **three-party relationship** involving an assurance practitioner, responsible parties (being those who are responsible for accounting for their performance) and an intended user of the information. The role and responsibilities of these parties should be suitable in the circumstances such that the engagement serves that accountability relationship.
- An **appropriate underlying subject matter**. This is the activity or area for which the responsible party is accountable. Information on the subject matter can be qualitative, quantitative, historical and prospective, at a point in time or for a period.
- **Suitable criteria** as a benchmark for recognising, measuring and presenting the subject matter. They need to be suitable for the engagement circumstances. The criteria in a specific engagement should be available to the intended users to facilitate their effective use of the **subject matter information**.
- **Sufficient appropriate evidence** to support a conclusion as to whether the subject matter is free of material misstatement. The approach to the planning and performance of the engagement involves an attitude of professional scepticism involving a critical assessment of the evidence obtained. It involves applying professional judgement in considering materiality and determining the nature, timing and extent of procedures to obtain the evidence.
- A **written assurance report** containing the practitioner's conclusion after doing the work required within the context of a specific type of assurance engagement. The form of the report is to be appropriate in a reasonable assurance engagement or a limited assurance engagement.



► **EXHIBIT 1.2 The assurance framework**

Assurance engagements can be undertaken on a range of different subject matters that include but may not be limited to:

1. historical financial performance in financial statements;
2. prospective financial information such as forecasts contained in due diligence or share offer documents;
3. adequacy and effectiveness of systems of internal control and IT systems;
4. physical characteristics such as the capacity of a facility;

5. compliance with legislation;
6. greenhouse gas emissions; and
7. the efficiency and effectiveness of the use of an entity's resources.

This range of subject matters has led to the development of a range of different types of audit, such as compliance, performance and comprehensive/social responsibility audits. These will be addressed later in this chapter.

Not all engagements undertaken by individuals or firms that commonly provide assurance services are in fact assurance engagements. One such engagement is an **agreed-upon procedures engagement**. These engagements are covered by related services standard *HKSRS 4400 (Revised) Agreed-Upon Procedures Engagements*.

Apply and Analyse 1

Apply

Now consider the situation that because the company is developing and expanding, Adventure's Audit Committee is concerned that the increasing complexity of its business and accounting requirements requires an upgrade to its accounting and related internal control systems. They want to know if you can assist in developing and implementing a new accounting system. They would want your firm's staff working on the system upgrade to be separated from the external audit function and to report to the CFO.

Explain how you would assist the Audit Committee with its request.

Analysis

The external audit has been carried out under the CO, in accordance with HKICPA standards and being mindful of HKEX requirements. Preparation of the financial statements is the responsibility of management. The external auditor must remain independent of the company and is to report to users. Any new accounting system and controls would be an integral part of the financial statement preparation process that would generate information to be used in the preparation of the financial statements. You should explain to the Audit Committee that while an external auditor can test and rely on a client's system and controls, the fact that your firm would have designed and implemented that system means that you would effectively be reviewing your own firm's work, and would be involved in the preparation of the financial statements on which the firm is reporting. This would be inconsistent with maintaining independence.

1.1.1.2 An Audit Assurance Engagement

The focus in this section is on the auditing standards developed under the Framework described above, and as applied to the **audit of financial statements**. These standards identify the objective of a financial statement audit and the auditor's responsibilities when conducting such an audit. The underlying concept is discussed more broadly in Section 1.4 as the basis for understanding the concepts and standards of auditing covered in later modules.

HKSA 200 Overall *Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Hong Kong Standards on Auditing* paragraph 3 states:

The purpose of an audit is to enhance the degree of confidence of intended users of the financial statements. This is achieved by the expression of an opinion by the auditor as to whether the financial statements are prepared, in all material respects in accordance with an applicable financial reporting framework. An applicable financial reporting framework is Hong Kong Financial Reporting Standards (HKFRS).

The elements of the Framework are satisfied for a financial statement audit in the following manner:

- Framework
27–38
Three-party relationship. For audits under the CO there will be the company directors (responsible party), the company shareholders, creditors and other third parties (intended users of the financial statements) and the auditor (assurance practitioner) appointed by, and reporting to, the shareholders.
- Framework
39–41
A subject matter and information. Financial statements showing the entity's financial position, financial performance and cash flows will be the subject matter and will provide information.
- Framework
42–49
Criteria. The criteria will come from the applicable financial reporting framework relevant to the entity and its business. For example, they will come from the Hong Kong Financial Reporting Standards and Regulations that are to be complied with in preparing the financial statements under the CO.
- Framework
50–82
Sufficient appropriate audit evidence. The audit principles and procedures applied by the auditor in accordance with auditing standards will allow the auditor to obtain **sufficient appropriate audit evidence** as to whether the financial statements are prepared in accordance with the applicable financial reporting framework.
- Framework
83–92
Written report. The auditor's written conclusion/opinion will be provided in the auditor's report on whether the financial statements have been prepared in accordance with the applicable reporting framework.

1.1.1.3 Attest and Direct Reporting Audits

An audit can either be an '**attest**' or a '**direct**' reporting engagement.

In paragraph 12 of the Assurance Framework, an **attest engagement** is described as an engagement where a party **other than** the auditor measures or evaluates the subject matter against the criteria, and then presents the information in a written report, that is, as a written assertion. The auditor then issues a report/opinion as to the appropriateness of that assertion. The auditor's report/opinion enhances the credibility of the assertion.

In paragraph 13 of the Assurance Framework, a **direct engagement** is where a party **other than** the auditor retains responsibility for the subject matter, but the auditor measures or evaluates the underlying subject matter against the criteria. The auditor obtains sufficient appropriate evidence about the outcome of the measurement or evaluation and reports that information and opinion directly in the auditor's report. The responsible party does not make

a written assertion on the subject matter. An example could be an auditor reporting on the compliance of a company with a set of regulations without management having asserted anything in writing.

In most cases, a financial statement audit is an attest audit.

1.1.1.4 Level of Assurance

Up to this point it has been assumed that all assurance engagements provide the intended users with the same level of enhanced credibility with respect to the subject matter on which the assurance provider has issued a report/opinion. However, the Framework identifies two levels of assurance and assurance engagements:

- reasonable
- limited

The objective in designing a **reasonable assurance engagement** is to reduce the risk that the assurance provider expresses an inappropriate conclusion on the subject matter to an acceptably low level in the circumstances of the engagement. In the case of a financial statement audit, the **audit objective** is to reduce the risk of not detecting a material misstatement in the financial statements. This is communicated as a **positive expression of opinion**. For example, under the CO the auditor expresses the opinion that the financial statements are 'true and fair in accordance with the financial reporting framework'.

The HKICPA *Glossary of Terms Relating to Hong Kong Standards on Quality Control, Auditing, Review, Other Assurance Related Services, Framework* and HKSA 200 identify reasonable assurance as a high, but not absolute, level of assurance. This is the highest level of assurance provided by an auditor and the level of assurance generally associated with an **audit engagement**.

In a financial statement audit, reasonable assurance is the degree of satisfaction that the evidence obtained by the auditor supports the **assertions** implicit in the financial statements; that is, the auditor is sufficiently confident that the financial statements are not materially misstated. This is conveyed to users in the auditor's opinion accompanying the financial statements.

Limited assurance engagements involve situations in which the level of risk of an inappropriate conclusion is greater than for a reasonable assurance engagement and therefore the level of assurance provided by the assurance provider cannot be as great. These engagements are generally referred to as **review engagements**. The auditor will use audit expertise and apply fewer audit procedures, primarily enquiry and analytical procedures, and any knowledge gained from any previous engagements with the client entity. This results in less evidence being obtained on which to form an opinion. In such an engagement, the auditor's conclusion is expressed in a form that conveys whether, based on the engagement performed, nothing has come to the auditor's attention to cause the auditor to believe the subject matter information is materially misstated. For example, the auditor has carried out a review of the financial statements, but nothing has come to the auditor's attention to indicate that those statements are not true and fair in accordance with the accounting framework.

Framework
14

Framework
84

HKSA
200.5

Framework
15, 16

Framework
86

Apply and Analyse 2

Apply

Consider the situation where the Chair of the Audit Committee of Adventure Inc. has heard from a colleague that the cost of having the financial statements audited could be reduced if the auditor performed a review engagement, being an assurance engagement performed by auditors. The Audit Committee asks you to consider this suggestion.

Explain how you would advise the Audit Committee on this view.

Analysis

The Audit Committee needs to understand that while a review engagement is an assurance engagement that an auditor can undertake, it is not an audit and would not meet the regulatory requirements of the CO. In a review engagement, the auditor applies fewer procedures, obtains less evidence and therefore provides a limited level of assurance compared with an audit. They need to understand that the CO requires an audit where more extensive procedures are performed and evidence obtained in order to provide 'reasonable' assurance which the profession regards as a high level of assurance. This has been determined to be the appropriate level of assurance to meet the needs of shareholders and for information provided to the financial market.

Apply and Analyse 3

Apply

The Chair of the Audit Committee tables some correspondence from some suppliers of components to Adventure Inc. that indicate the company has been in dispute with them as to the amounts owed and delays in payment. An internal review indicates that the accounts payable records of Adventure were not kept correctly in a few instances, and the resultant problems were random rather than systemic errors. The company is concerned that its reputation as a good credit risk may have been damaged by the disputes, and asks why these errors were not detected by the recent financial statement audit.

Describe how you would respond to the Audit Committee on the above issue.

Analysis

It is important that the Audit Committee understands the concept of 'reasonable' assurance and the inherent limitations of an audit. It should also be noted that it is the responsibility of management to implement and maintain an adequate system of internal control over the accounting and financial reporting process so that all transactions are recorded and adequate accounting records maintained.

They should be advised that an audit does not provide absolute assurance that the financial statements and underlying accounting records are accurate. While an audit and the concept of 'reasonable' assurance equates to high assurance, there are inherent limitations to the audit process. An audit performed with appropriate due care and in accordance with auditing standards may not detect all errors. Systems of internal

Apply and Analyse 3 (continued)

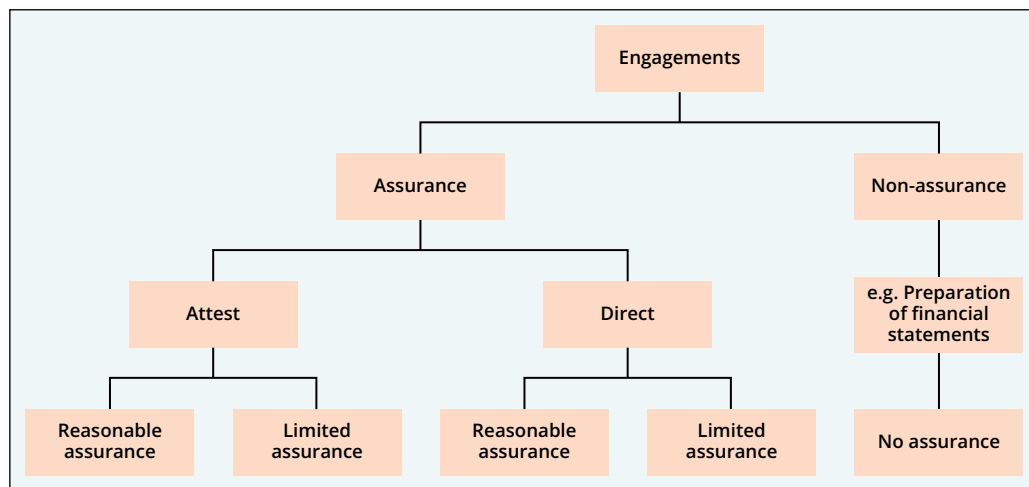
control can be inappropriately overridden, or human error can undermine the system. The use of sampling means that not all transactions are tested and errors could remain undetected. The application of professional judgement as to areas of risk of material misstatement impacts the nature, timing and extent of audit procedures and the areas of greater audit focus.

1.1.1.5 In Summary

A **financial statement audit** is therefore an engagement where the objective is to provide a **positive expression of opinion** that provides a **reasonable level of assurance** about the financial statement preparer's assertion that the financial statements are true and fair in accordance with the applicable financial reporting framework, to enhance the credibility of that assertion for the users of the financial statements.

A review engagement is one in which the auditor is to provide a negative assurance opinion that provides only limited assurance. The scope of the engagement is still determined by the auditor, but the auditor gathers less **audit evidence** and so is constrained in the form of opinion expressed.

Exhibit 1.3 provides a view of the possible engagements.



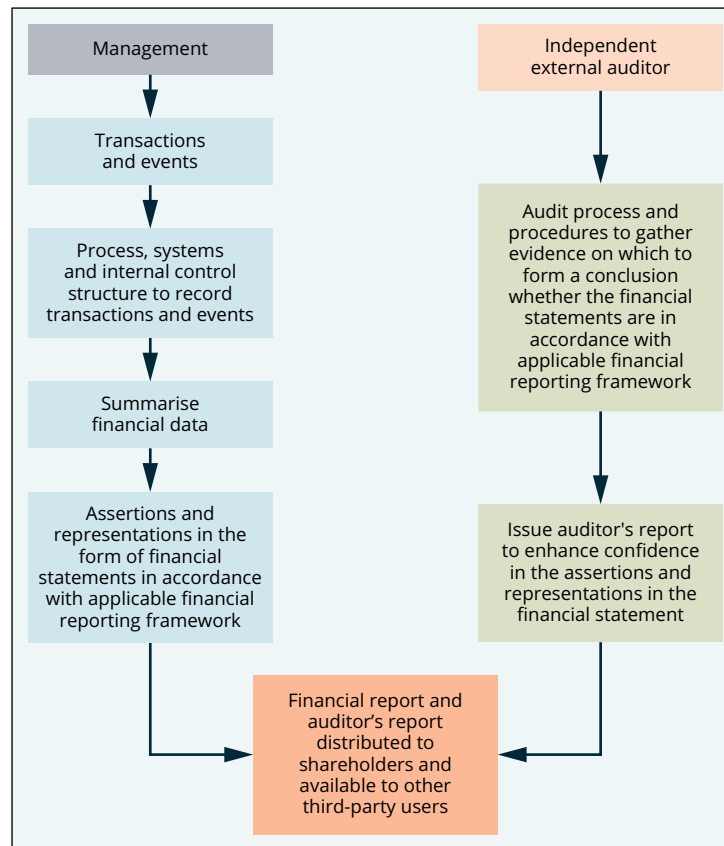
► EXHIBIT 1.3 Forms of engagement/levels of assurance

Given the above array of possible engagements, it is fundamental to the acceptance of an engagement that the nature of the engagement is clear as to what degree assurance can or cannot be provided.

1.1.1.6 Differences Between Auditing, Accounts Preparation, External and Internal Auditors

The responsibility for the **preparation of financial statements** rests with the directors/management of a company as they have an accountability relationship with the shareholders. It is the role of the **independent external auditor** to enhance the degree of confidence of

the shareholders that the financial statements have been prepared in accordance with the applicable financial reporting framework for use in their decision making (Exhibit 1.4).



► **EXHIBIT 1.4 Accounts preparation and audit responsibility**

The financial statements issued by a company are in effect a summary of all the transactions and events that have occurred in the past and during the relevant reporting period, which determine its financial position and performance, presented in accordance with the applicable financial reporting framework. This framework for companies is the accounting standards issued for the preparation of general-purpose financial statements or special-purpose financial statements, and any requirements required under the CO.

The independent **external auditor** is therefore providing an **attestation function** through the process of assessing the risk that the assertions and representations in the financial statements are not in accordance with the relevant financial reporting framework. To achieve this, the external auditors apply a process of gathering evidence about the assertions, evaluating that evidence and communicating their conclusion through their auditor's report as to whether in their opinion the financial statements present a true and fair view in accordance with the applicable financial reporting framework and the Companies Ordinance.

This therefore fulfils their role in the accountability process of improving the degree of confidence as to the assertions and representations contained in the financial statements, thereby enhancing the degree of confidence of the users of financial statements that those statements have been prepared in accordance with the relevant financial reporting framework.

It is not possible to provide an independent opinion and also to be part of the preparation and control functions of the party being audited. This is because the external auditor must remain independent of the entity being audited.

1.1.1.7 Internal Audit in More Detail

Internal audit is defined in Hong Kong Auditing Standard HKSA 610 (Revised 2013) *Using the Work of Internal Auditors* paragraph 14 as:

A function of an entity that performs assurance and consulting activities designed to evaluate and improve the effectiveness of the entity's governance, risk management and internal control processes.

Three broad areas in which internal audit could assist an entity include:

- Assessing whether the entity achieves its objectives in areas such as ethics, values, performance management and accountability, communication in relation to risk within the entity and communication with external parties such as the external auditor.
- Identification and evaluation of significant exposure to risk, and contributing to improving risk management and internal control, including systems relating to the financial reporting process and fraud detection.
- Evaluation of internal control by reviewing the control systems and evaluating their operation and making recommendations for improvement. In effect, providing assurance on controls.

HKSA
610.A1

However, at this point, an internal audit is addressed from the viewpoint of the external financial statement auditor. The broader view of internal audit is discussed in Section 1.4.2 of this chapter.

Therefore, putting aside the nature of the range of activities that an external auditor and internal auditor may undertake, the fundamental distinction between these auditors is their role and status in the accountability process.

The internal auditor is an integral part of an entity's organisational structure and is accountable to the management of the entity. An entity is not required to have an internal audit function; it is a decision by the management as to whether to establish the internal audit function and to establish the nature and scope of its activities within the entity.

The distinction between external and internal audit is clearly demonstrated by HKSA 610 (Revised 2013) from a financial statement audit context, but the principles are generic.

This auditing standard recognises that the external auditor can use the work of the internal auditor to modify the nature, timing and extent of the external auditor's procedures to be performed as part of the evidence-gathering process. This can be done by the external auditor:

- **using the work of the internal auditor**, for example where internal audit has tested the operating effectiveness of the internal controls over the accounting system and accounts preparation process, the external auditor could reduce the extent of audit testing of the controls; or
- using internal audit personnel to provide **direct assistance** by performing audit procedures under the direction, supervision and review of the external auditor.

HKSA
610.8-9

In either of these circumstances the external auditor must undertake procedures to review and evaluate the work of the internal auditor to ensure that it is adequate and therefore appropriate to be relied upon as part of the external auditor's evidence-gathering process.

Apply and Analyse 4

Apply

As one of the responsibilities of the Audit Committee of Adventure Inc. is to oversee the audit function on behalf of the Board, and the company is rapidly expanding, the Audit Committee is considering whether to establish an internal audit function. In addition to supporting management, the Committee suggests that the total cost of auditing to the company could be reduced by having the internal audit function directly undertake more of the work in relation to the external audit, and requests that you advise which areas of your external audit you would consider delegating to an internal audit function.

Describe what advice you would give the Audit Committee as to whether its expectations are appropriate.

Analysis

Implicitly, the views of the Audit Committee reveal that it does not have a clear distinction in its mind between the role of external and internal audit. It also does not seem to see how the issues relate to internal control. The company is responsible for having an internal control system in place that supports the production of reliable financial information. The Committee should be advised that in terms of financial reporting and external auditing, internal audit is part of the internal control system. The Committee needs to appreciate that the overall scope of the external audit is not altered by having an internal audit function, nor can an external auditor delegate responsibility to another party. It can be noted that as part of the external audit, the external auditor will review and test the system of internal control and may modify the extent of audit procedures based on that evaluation. To the extent that the internal audit improves the internal control system, it may result in some modification to the external audit process. However, the external auditor cannot delegate work that is required to be undertaken by an external auditor to conduct the audit in accordance with auditing standards.

1.1.2 Financial Statement Users

Depending on the type of entity preparing financial statements, the range of users and their need for financial statements can vary. In the case of companies, there are a diverse range of potential users, for example:

- existing and potential shareholders
- creditors
- suppliers
- customers
- bankers and other financial/lending institutions

- employees
- regulatory and taxation agencies
- government

All these groups may use an entity's financial statements as input into their decision making about the company, current and future dealings, and compliance with statutory requirements. Governments may also formulate policy based on such statements.

Company management has a specific obligation to be accountable for its stewardship of the resources under its control and to report the outcome of that stewardship periodically. Users expect that this information is free from bias, which drives the demand for financial statement audits.

The auditor remains neutral as to whether the reporting framework meets the differing needs of all users. Company financial statements are prepared in accordance with a defined body of accounting standards and any regulatory requirements relevant to the company's status under the CO. It is the auditor's responsibility to provide an opinion as to whether the reporting criteria have been appropriately applied.

1.1.3 Demands for Auditing and Assurance Services

As illustrated in Section 1.1.2, the demand for auditing and assurance services derives from the accountability/governance relationship that exists between individuals, entities and those that they interact with or have an obligation to pursue established objectives. That **accountability relationship** usually generates a requirement that the responsible party provide information as to their performance to those with an interest in the outcome of that relationship. The users of that information require some assurance as to its relevance (i.e. pertinence to purpose) and representational faithfulness (the information does cover what it purports to) as an input into their decision making about that relationship.

Also, inherent in a process where one party delegates responsibility to another to act on its behalf, or in accordance with specified requirements or user expectations, is the possibility of bias in the information produced. The responsible party has, or may be perceived as having, a vested interest in preparing information to present a preferred outcome. Where the user of that information intends to use it in making decisions, the quality of that information is particularly relevant.

These features of such relationships therefore create a demand for the independent audit and assurance function to enhance the credibility of the information provided by the responsible party about its performance to the users of that information.

The demands for information on an increasing range of subject matters are widening the demand for assurance services. Users of information are concerned that it is relevant and representationally faithful for their decision making. The increasing demand for assurance services beyond the financial statement audit arises because of the broad range of subject matters on which assurance is sought, a more diverse group of users and an increasing number of potential users with a range of different interests.

The above-mentioned variables can also influence the level of assurance that users require. Depending on the significance of the information to the users in their

decision-making process, the demand for assurance can be at the **review** or **audit** level. A higher level of credibility will attach to the information when an audit is undertaken than for a review engagement.

The process of converting the data about individual transactions and events into information from which to prepare financial statements is complex. Financial statements are prepared in accordance with accounting standards and, if under statute, other regulatory requirements. While this may reduce the bias of the preparers of financial statements by directing how information is prepared and presented, most financial statement users don't have the access or expertise to be satisfied that these criteria have been appropriately applied. In this sense, users of financial statements therefore require the auditor, as an expert in the subject matter, to provide assurance. Users value that the auditor's report comes from an expert in the subject matter and in the auditing processes required.

In summary, and applying this specific rationale more broadly, the demand for assurance services arises where information is provided for decision making or accountability and the users have not directly prepared the information or cannot be satisfied as to its credibility through their own efforts. The quality of that information is provided by an independent assurance service report to the users on the credibility of that information measured against an appropriate benchmark.

► Knowledge Check Questions

Question 1

Identify which of the following distinguishes an audit from a review engagement.

- A** The subject matter.
- B** The extent of procedures applied.
- C** Only an audit provides assurance.
- D** An audit involves the expression of an opinion while a review does not.

Question 2

Explain why a financial statement audit is categorised as an assurance engagement.

Question 3

Describe the major differences between an attest and direct audit reporting engagement and illustrate an example of each for reports on the operation of a company's accounting system.

Question 4

Define assurance and explain the difference between a positive expression of opinion and a negative expression of opinion in terms of the engagements and assurance associated with each.

► **Knowledge Check Questions (continued)**

Question 5

Identify which of the following is not an outcome from an assurance engagement.

- A** Enhancing the quality of information for decision making.
- B** Providing a report of factual findings.
- C** Enhancing the decision-making process.
- D** Enhancing the relevance of information.

Question 6

Identify which of the following statements is correct.

- A** The external auditor is responsible for maintaining the accounting records.
- B** The internal auditor prepares the financial statements.
- C** The external auditor provides an opinion on the financial statements.
- D** The external auditor approves the financial statements.

Question 7

Identify which of the following is not a management assertion implicit in a set of company financial statements.

- A** The financial statements reflect all of the transactions for the current period.
- B** The company will make a profit in the next financial reporting period.
- C** The relevant reporting criteria have been used.
- D** The financial statements summarise transactions relevant to the company.

Question 8

Identify which of the following statements explains why an independent auditor is engaged to express an opinion on company financial statements.

- A** Management has a responsibility to seek independent assistance in preparing the financial statements.
- B** Company management may not be objective in preparing the financial statements.
- C** The auditors provide an opinion that the company has been managed efficiently.
- D** Auditors provide assurance that fraud has not occurred.

Question 9

Of the following, identify which is not a problem that would support the demand for an independent audit of a company's financial statements.

- A** A downturn in the economy.
- B** Management's bias in preparing financial statements.
- C** The complexity of accounting standards and regulatory requirements that govern the preparation of financial statements.
- D** The separation of the user of the financial statements from the company and the inability to obtain accounting information directly from the company.

1.2 AUDITING AND ASSURANCE STANDARDS

1.2.1 Role of Regulators and Regulation (Including Statutory Audits)

In most jurisdictions **regulatory policy** and **regulatory agencies** increasingly shape the structure and conduct of economic activity. Regulation, generally in the form of legislation, affects the way in which participants in an activity perform. It influences the basis of decision making and mandates that certain events occur. In substance, regulation reflects an implicit formal contract between participants and society.

In the case of corporate financial reporting and auditing requirements, the primary **government** regulation is found in the CO. The main statutory regulatory bodies are:

- the Securities and Futures Commission of Hong Kong (SFC); and
- the Stock Exchange of Hong Kong (HKEX).

In addition, the HKICPA represents a professional accounting organisation of Hong Kong. It is the only statutory licensing body of accountants in Hong Kong responsible for the professional training, development and regulation of the accountancy profession.

However, further analysis indicates that the government and self-regulatory elements of the regulation of companies constitute a **co-regulation model**. This recognises that most audit practitioners that have a statutory audit appointment are private-sector organisations or individuals that operate in the public interest. They range from large multinational accountancy firms to an individual, which in part explains why they are subject to both government and **self-regulation**.

The regulation of the **accounts preparation** process is covered in Sections 373–378. These require a company to keep accounting records to show the company's transactions, disclose the company's financial position and performance, and enable the directors to prepare financial statements that comply with the CO.

The records are to be kept at the registered company office or another location approved by the directors, but must be available for inspection by the directors at all times. The records can be in hard copy or electronic form and must be held for seven years.

Sections 379–387 contain the requirements for directors to **prepare financial statements**. In brief, the directors are required to prepare financial statements of the company that give a true and fair view of:

- the financial position at the end of the financial year
- the financial performance for the year.

The financial statements must comply with any other requirements specified by the CO and with accounting standards. Section 380(4)(b) requires that the accounting standards to be applied are those issued or specified by the HKICPA. These comprise the Hong Kong Financial

Reporting Standards (HKFRS), which include HKFRS statements, Hong Kong Accounting Standards and Interpretations.

In addition, Section 383 specifies information relating to the company directors that must be included in the notes to the financial statements, for example the directors':

- emoluments;
- retirement benefits;
- termination payments; and
- loans.

The directors must approve and sign the statements.

Sections 388–391 require that the directors prepare, approve and sign a directors' report that includes, for example:

- the directors' names; and
- any material matters relevant to shareholders understanding the company.

Sections 429–436 require that the directors send copies of the financial statements and reports to the shareholders prior to the company's annual general meeting.

In the context of the elements of an assurance engagement and a financial statement audit as an assurance engagement, it is clear from these provisions that legislation designates the directors as the responsible party, the shareholders as the designated users, the financial statements as the subject matter information and the criteria as the accounting standards and other requirements under the CO. The third party in this accountability relationship is the external auditor.

Part 9, Division 5, Subdivision 2 deals with the **appointment of auditors**.

Section 393 provides that only a **practice unit** is eligible for appointment as a company auditor. A practice unit means:

- a firm of CPAs practising accountancy (usually in the form of a partnership);
- an individual CPA practising accountancy; or
- a corporate practice.

Any person who is an officer or employee of the company or a partner of such a person is not eligible for appointment. This is an example of regulating the independence of the auditors.

The legislative requirement that the **financial statement statutory auditor** be a CPA is an example of the co-regulatory model, since responsibility for qualification as a CPA is the responsibility of the HKICPA.

The primary statutory requirements for the appointment of an auditor are in Sections 395–400. An auditor must be appointed each financial year by a resolution of the shareholders at the annual general meeting. The directors can appoint an auditor where a casual vacancy arises. Where a firm is appointed, that is regarded as an appointment of the firm's partners.

Where the auditor is appointed by the shareholders, Section 404 requires that the remuneration of the auditor be fixed by a resolution of shareholders at a general meeting, or

in the manner specified in such a resolution. If appointed by the directors, it can be determined by the directors, or, if not, then by a resolution of the shareholders.

This relationship is formalised further under the requirements of HKSA 210 *Agreeing the Terms of Audit Engagements*, which requires the auditor to agree the terms of the engagement with management or the directors through an engagement letter. This establishes a contractual relationship with the company that supports the statutory appointment. That letter would reflect the responsibilities of management, the Board and the auditor as required under the CO.

Sections 405 and 406 require the **auditor to report to the shareholders** on the financial statements at the annual general meeting. The report must state the auditor's opinion whether:

- the financial statements have been properly prepared in accordance with the CO; and
- the financial statements give a true and fair view of the financial position and performance.

In forming this opinion, it is necessary that the auditor be satisfied that the HKFRSs have been applied appropriately in the circumstances, with additional disclosure as necessary, to achieve a true and fair view.

In the case of the accompanying directors' report, if the auditor concludes that it is inconsistent with the financial statements, then the report must include that opinion.

Section 407 requires the auditor to also form an opinion whether:

- the company has kept adequate accounting records; and
- the financial statements agree with the accounting records.

If the auditor concludes that this is not the case, that opinion must be included in the auditor's report.

In addition, in situations where the auditor has not been able to obtain all the information and explanations necessary for the audit, the report must include a statement to that effect.

Where the company failed to disclose the information in relation to directors under Section 383, this information must be included in the auditor's report.

It is an offence under the CO if the auditor knowingly or recklessly omits to report situations where the financial statements are not in accordance with the accounting records or have not provided all the required information and explanations.

Consideration of some further provisions of the CO demonstrates how regulation can reinforce the role and independence of the statutory audit function.

Section 410 provides that, in the absence of any malice, the auditor has qualified privilege from defamation for any statements made or documents issued during the audit. Furthermore, Section 411 gives the auditor the right to attend the general meeting and to be heard in relation to audit matters. These provisions give the auditor the ability to communicate with shareholders and other interested parties and therefore enhance the confidence that users can have in the role of the statutory auditor.

The ability and obligation to communicate with shareholders and others gives the auditor a degree of protection to plan and conduct the audit with due diligence and care, without the



potential for undue influence on their independence. Any issues in this regard are subject to a transparent due process.

The above requirements clearly demonstrate the responsibility for **accounts preparation** and the **statutory audit function** for companies in a co-regulation environment, and the extent to which regulation under the CO supports the role of the auditor.

1.2.2 Hong Kong Standards and Guidelines for Auditing and Assurance

1.2.2.1 Professional Standards

One of the attributes of a profession and its status with, and value to, third parties is that it has formal standards that govern the activities and behaviour of its members and provide a benchmark for the performance of its functions. Such standards also provide members of the profession with information as to the expected quality of performance.

One of the functions of the HKICPA is the promulgation of **standards** for the conduct of **audits** and other **assurance engagements**.

As part of the **co-regulatory model**, members of the HKICPA must comply with the professional standards. Suspected failure to comply can be investigated by the HKICPA and lead to disciplinary action, including cancellation of the CPA's practising certificate. In that event, the member would forfeit the right to conduct audits and other assurance engagements.

The standards therefore represent a benchmark against which individual auditors can demonstrate the application of professional competence and **due care**, and against which third parties can assess an auditor's performance.

Section 18A of the *Professional Accountants Ordinance* gives the HKICPA Council the power to issue standards of practice to be applied by its members. The Council established the **Auditing and Assurance Standards Committee (AASC)** to develop **Hong Kong Quality Control, Auditing, Review, Other Assurance and Related Services Pronouncements**. In 2001 the Council mandated that these pronouncements be developed to converge with the **International Quality Control, Auditing, Review, Other Assurance and Related Services Pronouncements**. The international standards on auditing, assurance and related services are issued by the International Auditing and Assurance Standards Board (IAASB) of the International Federation of Accountants (IFAC).

The *Amended Preface to the Hong Kong Quality Control, Auditing, Review, Other Assurance and Related Services Pronouncements* states that the objectives of **convergence** are to establish high-quality standards and guidance for:

- financial statement audits that are generally accepted by auditors, investors, governments, regulators and other key stakeholders;
- other types of assurance services on both financial and non-financial information;
- other related services; and
- quality control covering the scope of services covered by the AASC.

A further objective is to publish other pronouncements on auditing and assurance to advance public understanding of the roles and responsibilities of auditors and assurance providers.

The Council has, however, taken the view that the Hong Kong standards can include requirements additional to the international pronouncements, and in exceptional cases depart from those standards.

The professional standards do not, however, override local laws and regulations.

The suite of **standards** (Exhibit 1.5) issued under this structure is extensive, recognising the growing demand for assurance on a broad range of subject matter, and the need for the profession to ensure that it self-regulates to maintain its role and the confidence of the users of audit and assurance services.

Standards	Notes
Hong Kong Standard on Quality Management (HKSQM)	HKSQM 1 <i>Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements</i> requires a CPA to design a system of quality management to manage the quality of engagements performed by the firm. HKSQM 1 replaced HKSQC 1 and shifts the focus from quality control to quality management by incorporating a risk-based approach (i.e. managing risks to quality). HKSQM 2 <i>Engagement Quality Review</i> deals with the eligibility of the engagement quality reviewer (EQR) and the performance and documentation of the EQR. This is a new HKSQM but many of its elements have been enhanced and relocated from previous HKSQC 1 and HKSA 220 (Revised) <i>Quality Management for an Audit of Financial Statements</i>.
Hong Kong Framework for Assurance Engagements (Amended)	This provides the elements and structure for all assurance engagements, of which audit is one.
Hong Kong Standards on Auditing (HKSAAs)	These are written in the context of financial statement audits by an independent auditor, to be adapted as necessary when applied to other historical financial information. These standards contain mandatory requirements that must be complied with by a member undertaking a financial statement audit.
Hong Kong Standards on Review Engagements (HKSREs)	These deal with the responsibilities to review historical financial information in situations where the practitioner is, or is not, the auditor of an entity.
Hong Kong Standards on Assurance Engagements (HKSAEs)	For example, HKSAE 3000 (Revised) <i>Assurance Engagements Other than Audits or Reviews of Historical Financial Information</i> and on specific subject matters such as HKSAE 3410 <i>Assurance Engagements on Greenhouse Gas Statements</i> .
Hong Kong Standards on Investment Circular Reporting Engagements (HKSIRs)	These standards deal with the requirements arising under securities law, stock exchange listing rules and the growth enterprise market operated by the stock exchange.
Hong Kong Standards on Related Services (HKSRSSs)	For example, HKSRs 4410 (Revised) <i>Compilation Engagements</i> .

► **EXHIBIT 1.5** List of professional standards issued

The AASC issues **practice notes (PNs)** and **auditing guidelines (AGs)** to address local regulatory and reporting issues. These guidelines provide interpretative guidance and assistance in applying the standards. While not mandatory in the direct way that standards are, failure to apply the guidance would require the member to explain how the relevant standards to which any guidance relates have been complied with.



As part of the convergence policy, the AASC requires that international auditing practice notes issued by the IAASB be regarded as non-authoritative guidance and do not impose additional requirements. These are designated as **Hong Kong Auditing Practice Guidance** (HKAPG). An example is HKAPG 1000 *Special Considerations in Auditing Financial Instruments*.

The PNs and AGs are aimed at assisting in the understanding of the circumstances of an entity, in the making of judgements about the identification and assessment of risks of material misstatement and how to respond to those risks and the appropriate procedures that may be applied. They may also address issues in relation to the auditor's opinion and communicating with management.

The standards also apply to engagements in the public sector. When appropriate, the standards include public-sector issues either:

- within the body of HKSAs and HKSQMs; or
- in a public-sector perspective at the end of other Hong Kong standards.

The HKICPA standards are developed applying public **due process**. This enables parties who will be directly affected by, or who have an interest in the standards, to provide input into their development.

As part of the convergence process, the development of Hong Kong standards is integrated with the IAASB due process.

Within the body of Hong Kong standards, the **HKSIRs** apply the concepts developed under the framework and auditing and assurance standards, such as audit, review, agreed-upon procedures, reasonable and limited assurance. They also further illustrate the co-regulatory approach, where the profession has produced standards to regulate engagements undertaken by CPAs resulting from company regulatory requirements.

1.2.2.2 Code of Ethics for Professional Accountants

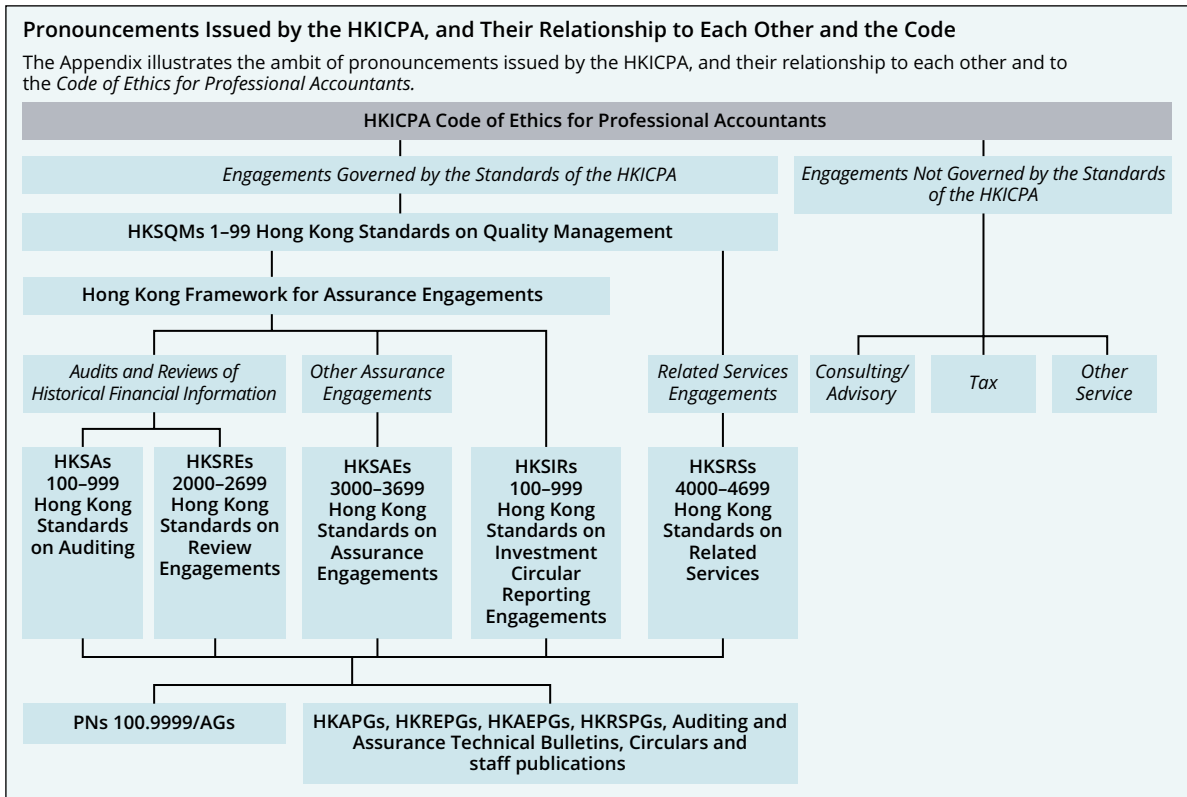
A further attribute of a profession is that it accepts a responsibility to act in the public interest. In this regard a significant element of the HKICPA's self-regulatory regime is that members must comply with the **Code of Ethics for Professional Accountants (COE)** issued by the HKICPA. The COE Chapter A was revised in 2021 to promote the role and mindset expected of professional accountants and to address the objectivity of an engagement quality reviewer and other appropriate reviewers. The COE Chapter A was further amended in 2022 in respect of non-audit services and fee-related issues and these amendments will take effect on or after 15 December 2022.

As stated in the Preface to the COE, and consistent with the approach to HKSAs, Section 18A of the *Professional Accountants Ordinance* provides that the HKICPA Council may issue statements of ethics to be applied by members. The Council has mandated the Ethics Committee to develop a Code of Ethics for Professional Accountants. As part of the convergence process, the HKICPA has decided to adopt the International Code of Ethics for Professional Accountants issued by the International Ethics Standards Board for Accountants (IESBA).

In a broad sense, ethics are concerned with the moral principles that govern an individual's behaviour or the performance of an activity. Codes of ethics do not in themselves create ethical behaviour, but provide the framework within which decisions can be made to influence behaviour and create an appropriate culture and attitude.

The COE provides an official and methodological body of principles and rules to promote appropriate behaviour and relationships between auditors/assurance providers and clients/users (Exhibit 1.6). Appendix 1 from the Framework illustrates the broad role that ethics play in

the self-regulatory process. It also promotes the notion that where there are conflicts between participants in the accountability process, CPAs should put the public interest above their own or that of their client.



► **EXHIBIT 1.6** The Hong Kong framework for assurance engagements

As indicated, included in the body of standards issued by the HKICPA is *HKSQM 1 Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements*. This standard requires that firms design, implement and operate a system of quality management for audits or reviews of financial statements, or other assurance or related service engagements that is tailored to the nature and circumstances of the firm and the engagements it performs.

The objective of the firm according to HKSQM 1 is to design, implement and operate a system of quality management for audits or reviews of financial statements, or other assurance or related services engagements performed by the firm, that provides reasonable assurance that:

- The firm and its personnel fulfil their responsibilities in accordance with professional standards and applicable legal and regulatory requirements and conduct engagements in accordance with such standards and requirements.
- Engagement reports issued by the firm or engagement partners are appropriate in the circumstances.

HKSQM 1 states (paragraphs 17 and 18) that:

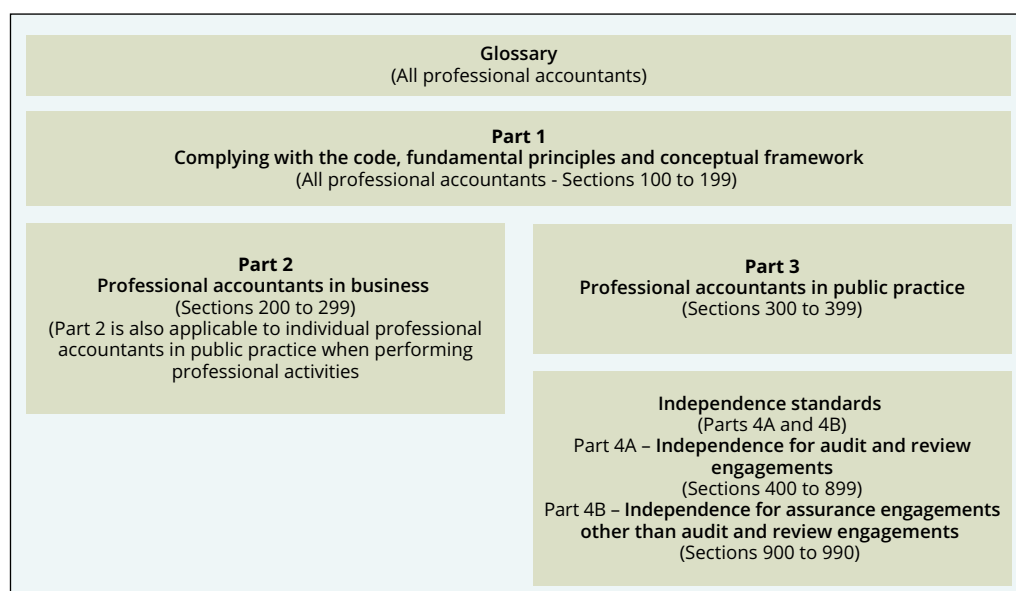
- The firm shall comply with each requirement of this HKSQM unless the requirement is not relevant to the firm because of the nature and circumstances of the firm or its engagements.

- The individual(s) assigned ultimate responsibility and accountability for the firm's system of quality management and the individual(s) assigned operational responsibility for the firm's system of quality management shall have an understanding of this HKSQM, including the application and other explanatory material, to understand the objective of this HKSQM and to apply its requirements properly.

Furthermore, in the context of a financial statement audit, HKSA 200 paragraph 14 states that a mandatory fundamental principle of audit is that the audit shall comply with relevant **ethical** requirements, including those relating to **independence**.

The COE (Exhibit 1.7) comprises the following chapters:

- A – Requirements and Application Material for Professional Accountants based on the International Code. It establishes the fundamental principles of professional ethics and provides a **conceptual framework** to be applied with examples of safeguards to address threats to compliance with the fundamental principles. It also addresses situations where safeguards cannot address the threats and must be avoided.
- B – Not Used.
- C – Additional Ethical Requirements on specific areas; for example, changes in a professional appointment, change of auditors of a listed issuer of the Stock Exchange of Hong Kong, ethics in tax practice and practice promotion.
- D – Comparison with the IESBA Code of Ethics for Professional Accountants.
- E – Specialised Areas of Practice such as ethics for liquidation and insolvency.
- F – Guidelines for Anti-Money Laundering and Counter-Terrorist Financing for Professional Accountants.



► **EXHIBIT 1.7 HKICPA Code of Ethics for Professional Accountants (COE)**

The focus of this module will be on Chapter A and the following parts of the COE:

- Part 1 – Complying with the Code, Fundamental Principles and Conceptual Framework
- Part 2 – Professional Accountants in Business; for example, members in commerce, industry, the public sector, education, not-for-profit, regulatory or professional bodies

- Part 3 – Professional Accountants in Public Practice
- Part 4A – Independence for Audit and Review Engagements
- Part 4B – Independence for Assurance Engagements Other than Audit and Review Engagements (May 2020). (Note that this section is not dealt with in this chapter).

COE User Guide
6–8, 110.2 A1,
R120.3

The COE adopts a **conceptual approach** to ethics and independence. This recognises that it is not possible to identify every individual or specific situation that creates a threat to compliance with the fundamental ethical principles. The differing nature of engagements and the range of circumstances facing professional accountants create different threats.

Each section is structured to identify the subject matter in the context of the conceptual framework and also to include specific requirements and obligations with supporting application material to provide context, explanations and suggestions to assist in complying with the requirements.

1.2.2.3 Fundamental Ethical Principles

The COE has been updated to include paragraph 100.2. This paragraph recognises that confidence in the accountancy profession is a reason why businesses, governments and other organisations involve professional accountants in a broad range of areas, including financial and corporate reporting, assurance and other professional activities. The COE recognises that accountants understand and acknowledge that such confidence is based on the skills and values that accountants bring to the professional activities they undertake, including:

- Adherence to ethical principles and professional standards.
- Use of business acumen.
- Application of expertise on technical and other matters.
- Exercise of professional judgment.

The application of these skills and values enables accountants to provide advice or other output that meets the purpose for which it was provided, and which can be relied upon by the intended users of such output.

COE,
para 100.2

COE 110.1 A1,
R110.2

The COE contains five **fundamental principles** to be complied with as the foundation of the conceptual approach.

- **Integrity.** Be straightforward in all professional and business relationships. This requires not knowingly being associated with reports, communications or other information that is believed to be misleading, prepared recklessly or omits or obscures information such that it would be misleading.
- **Objectivity.** Exercise professional or business judgment without being compromised by:
 - Bias,
 - Conflict of interest, or
 - Undue influence of, or undue reliance on, individuals, organizations, technology or other factors.
- **Professional competence and due care.** Attain and maintain professional knowledge and skill at the level required to ensure that a client or employing organisation receives a competent professional service based on current technical and professional standards and relevant legislation. This requires that the

professional accountant act diligently in accordance with applicable technical and professional standards. When applied to assurance engagements more broadly, this requires that the assurance provider have the skills and knowledge relevant to the nature of the subject matter of the engagement, which often extends beyond financial statements and information.

- **Confidentiality.** Respect the confidentiality of information acquired because of professional or business relationships in an audit context; information obtained during an audit should not be disclosed to third parties without proper and specific authority, unless there is a legal or professional right or duty to disclose. Some provisions of the CO, for example in relation to disclosures at a general meeting or in relation to audit appointment and termination, may see this requirement overridden. Confidentiality also requires that information should not be used for the personal advantage of the auditor or third parties.
- **Professional behaviour.** To:
 - (i) Comply with relevant laws and regulations,
 - (ii) Behave in a manner consistent with the profession's responsibility to act in the public interest in all professional activities and business relationships and
 - (iii) Avoid any conduct that the professional accountant knows or should know might discredit the profession.

Supporting the conceptual approach is further guidance presented in a 'standards' format, with 'requirements'.

The **conceptual approach** requires that the professional accountant:

- **identify threats** to compliance with the fundamental ethical principles;
- **evaluate** the threats identified; and
- **address** the threats by eliminating or reducing them to an acceptable level by applying appropriate safeguards.

COE 120.1, 2

This avoids an approach where a particular circumstance that may be inappropriate is accepted because it is not specifically precluded by the COE.

The same conceptual approach is to be applied to the specific sections of the ethics code dealing with independence for audit, review and other assurance engagements.

In applying this conceptual approach, a professional accountant must:

- Have an inquiring mind;
- Exercise professional judgment; and
- Use the reasonable and informed third party test described in paragraph 120.5 A6.

COE 120.5

The COE then goes on to explain that an inquiring mind is a prerequisite to obtaining an understanding of known facts and circumstances necessary for the proper application of the conceptual framework. Having an inquiring mind involves:

- Considering the source, relevance and sufficiency of information obtained, taking into account the nature, scope and outputs of the professional activity being undertaken; and
- Being open and alert to a need for further investigation or other action.

COE
120.5 A1

Exercising professional judgment requires relevant training, professional knowledge, skill and experience with the facts and circumstances relevant to the interests and circumstances involved with the issue identified. This understanding is a prerequisite for an informed judgment and decision. Both quantitative and qualitative factors need to be taken into account when evaluating the significance of a threat.

Paragraph 120.5 A6 of the Code of Ethics states that the reasonable and informed third party test is a consideration by the professional accountant about whether the same conclusions would likely be reached by another party. Such consideration is made from the perspective of a reasonable and informed third party, who weighs all the relevant facts and circumstances that the accountant knows, or could reasonably be expected to know, at the time the conclusions are made. The reasonable and informed third party does not need to be an accountant, but would possess the relevant knowledge and experience to understand and evaluate the appropriateness of the accountant's conclusions in an impartial manner.

COE R120.5

1.2.2.4 Threats to the Fundamental Principles

The **threats to the fundamental principles** identified in the COE are:

- **Self-interest.** The threat that a financial or other interest will inappropriately influence judgement or behaviour. For example, where a member of the audit engagement team has a direct financial interest in the audit client or an audit firm being reliant on total fees from an audit client.
- **Self-review.** The threat that an accountant will not appropriately evaluate the work done previously by another member of the accountant's firm or for a client. For example, a firm having prepared the original data used to produce the accounting records that are the subject matter of an audit engagement or a member of the audit engagement team having recently been an officer of the audit client entity.
- **Advocacy.** A threat that promoting a client's or employer's position will compromise objectivity. For example, an audit firm promoting the shares in an audit client.
- **Familiarity.** A threat due to a long or close relationship with a client will result in taking a sympathetic position in relation to their interests or being too accepting of their work. For example, a member of the audit engagement team having a close family member who is an officer of the audit client or senior audit personnel having a long association with the audit client.
- **Intimidation.** A threat that an accountant may be deterred from acting objectively because of actual or perceived pressures, including attempts to exercise undue influence. For example, an audit firm being advised that it will not be appointed to provide other services to the audit client if it continues to disagree with the client's accounting policies for a transaction or transactions.

COE 120.6,
A3

1.2.2.5 Bias

The COE acknowledges that conscious or unconscious bias affects the exercise of professional judgment when identifying, evaluating and addressing threats to compliance with the fundamental principles. The COE provides examples of potential bias to be aware of when exercising professional judgment which include:

- Anchoring bias, which is a tendency to use an initial piece of information as an anchor against which subsequent information is inadequately assessed.

- Automation bias, which is a tendency to favour output generated from automated systems, even when human reasoning or contradictory information raises questions as to whether such output is reliable or fit for purpose.
- Availability bias, which is a tendency to place more weight on events or experiences that immediately come to mind or are readily available than on those that are not.
- Confirmation bias, which is a tendency to place more weight on information that corroborates an existing belief than information that contradicts or casts doubt on that belief.
- Groupthink, which is a tendency for a group of individuals to discourage individual creativity and responsibility and as a result reach a decision without critical reasoning or consideration of alternatives.
- Overconfidence bias, which is a tendency to overestimate one's own ability to make accurate assessments of risk or other judgments or decisions.
- Representation bias, which is a tendency to base an understanding on a pattern of experiences, events or beliefs that is assumed to be representative.
- Selective perception, which is a tendency for a person's expectations to influence how the person views a particular matter or person.

COE
120.12 A2

The COE provides some suggested actions that the firm may want to consider to mitigate the effect of bias which include:

- Seeking advice from experts to obtain additional input;
- Consulting with others to ensure appropriate challenge as part of the evaluation process; and
- Receiving training related to the identification of bias as part of professional development.

COE
120.12 A3

1.2.2.6 Organisational Culture

The COE acknowledges that effective application of the conceptual framework by a professional accountant is enhanced when the importance of ethical values which align with the fundamental principles and other provisions of the COE are promoted throughout the firm. The COE states that the promotion of an ethical culture within a professional accountancy firm is most effective when:

- Leaders and those in managerial roles promote the importance of, and hold themselves and others accountable for demonstrating, the ethical values of the organization;
- Appropriate education and training programs, management processes, and performance evaluation and reward criteria that promote an ethical culture are in place;
- Effective policies and procedures are in place to encourage and protect those who report actual or suspected illegal or unethical behaviour, including whistle-blowers; and
- The organisation adheres to ethical values in its dealing with third parties.

COE
120.13 A2

Professional accountants are expected to encourage and promote an ethics-based culture in their organisation, taking into account their position and seniority.

COE
120.13 A3

1.2.2.7 Safeguards to Threats

When a threat is identified it is assessed as to whether it is at an **acceptable level** (i.e. whether the **reasonable and informed third party** would likely conclude that the professional accountant complies with the fundamental principles).

Where the threat is not at an acceptable level, it must either be eliminated or reduced to an acceptable level through the application of appropriate safeguards or declining the engagement or ending the activity, for example by resigning.

The ethical standard describes in detail situations where threats may be created and the safeguards that may be applicable, as well as situations where safeguards are not available to address threats and the circumstances are to be avoided.

Safeguards are measures that are established either by the profession, legislation or regulation, such as through professional standards, corporate governance regulations, professional requirements in relation to education and training for entry into the profession, or professional or regulatory disciplinary processes. Safeguards are also established within entities through workplace policies and procedures.

Safeguards not only play a role in reducing threats to an acceptable level, but may act as a deterrent to unethical behaviour through readily available complaint systems and explicit requirements to report breaches of the requirements.

1.2.2.8 Ethics for Professional Accountants in Business

Part 2 deals with professional accountants **in business**. It recognises that third parties such as investors, creditors, employers, governments and the general public might rely on professional accountants working in a business, for example for the preparation of financial information on which third parties rely. The ethics require that those accountants apply the conceptual framework approach.

The evaluation of the level of threat can be impacted by the work environment, for example, whether the operating environment within the entity has leadership that stresses the importance of ethical behaviour and expectations that employees will act accordingly, and there are policies and procedures that encourage employees to raise issues with senior personnel without fear of adverse consequences and supported by strong internal controls.

In addition, guidance is provided on the following situations that could create a threat to the fundamental principles and the need to consider safeguards:

- **Conflicts of interest.** These situations create a threat particularly to objectivity, but may compromise compliance with other fundamental principles. For example, holding a management position within two entities and having access to confidential information in relation to one of those entities that could be used to the advantage or disadvantage of the other entity. In such situations it is recommended that members seek guidance from appropriate individuals within the entity or externally, such as legal counsel or the HKICPA, to understand their obligations in relation to confidentiality. An appropriate safeguard could be to withdraw from the decision-making process relating to the matter involving the confidential information.
- **Preparation and presentation of information.** Members in business often participate in the preparation of information that is made publicly available or provided to other parties, for example financial statements, budgets and forecasts. Members are



responsible for preparing that information fairly and honestly and in accordance with the applicable reporting requirements. Self-interest and intimidation threats may arise, for example, where pressure is applied to a member by external parties or by the potential for personal gain to prepare information that is misleading. Safeguards against external pressure being applied to a member are processes to enable consultation with senior personnel within the entity, the Audit Committee or the governing body.

CEO
Section 220

- **Acting with sufficient expertise.** This requires that members have the appropriate training and experience to undertake the tasks in which they are involved. Acting without sufficient expertise can lead to a self-interest threat to the principle of professional competence and due care. Threats to this requirement can arise, for example, where training and expertise is insufficient, or there is insufficient time and resources available to complete a task with the necessary level of professional competence and due care. Safeguards include obtaining additional training or obtaining assistance from personnel with the appropriate expertise.

COE
Section 230

- **Financial interests, compensation and incentives linked to financial reporting and decision making.** This creates a potential self-interest threat to the principles of objectivity and confidentiality. Threats to this principle could arise, for example, where a member's remuneration includes a bonus based on the entity's profit or share bonus scheme, where the profit or share value could be affected by decisions made by the member. In addition to a self-interest threat, there may also be an intimidation threat where more senior personnel within the entity apply pressure to produce misleading outcomes that enhance their remuneration outcome. Safeguards include, for example, having remuneration determined by an independent committee within the entity or policies that require disclosure within the entity as to trading in entity shares.

COE
Section 240

- **Inducements, including gifts and hospitality.** Members may be offered inducements such as gifts, hospitality, preferential treatment or approaches to take advantage of friendship or loyalty. Such offers may be made with the intention to unduly influence the decisions or actions of a member. These situations may create self-interest, familiarity and intimidation threats to integrity, objectivity and professional behaviour in particular. Safeguards include, for example, a policy of reporting gifts and hospitality or informing appropriate personnel within the organisation of such situations.
- **Responding to non-compliance with laws and regulations.** During the course of performing their duties, members may become aware of non-compliance or suspected non-compliance with laws and regulations that impact the financial statements or operating aspects of the business, for example non-compliance with accounting standards, fraud, money laundering or environmental laws. The member's ethical responsibility is to act in the public interest, to comply with the principles of integrity and professional behaviour, to alert management so as to enable the matter to be rectified or mitigate the circumstances, and to deter any action that has not yet occurred. These situations may be subject to self-interest and intimidation threats. The member needs to understand whether any legal or regulatory obligations exist to report such matters to the relevant authorities, which may include seeking advice internally, seeking legal advice or consulting with regulatory or professional organisations. Safeguards might include protocols and procedures within an entity to

COE
Section 250

COE
Section 260

deal with these matters, such as an internal ethics policy or a whistle-blowing mechanism. Depending on the circumstances and those involved, reporting to the governing body may be required.

- **Pressure to breach the fundamental principles.** Further to the specific situations already dealt with, this section covers the broad issue of pressure being exerted on a member to breach fundamental principles and provides further examples of those threats. It is suggested that safeguards to deal with these intimidation threats and the pressure being exerted on a member include an entity culture and leadership to mitigate against such behaviour, HR policies and procedures to address pressure, and an environment where matters can be discussed with others in the entity. For example, a safeguard may be for a member to request a restructure or segregation of responsibilities and duties so that the member is no longer involved with the individual or entity exerting the pressure.

COE
Section 270

1.2.2.9 Ethics for Professional Accountants in Public Practice

Part 3 deals specifically with **professional accountants in public practice**, whether providing assurance services or not. Again, this section requires the application of the conceptual approach as the underlying decision model.

COE
330.1, R300.4

This part also links back to Part 2 in that it recognises that professional accountants in public practice have a relationship with the professional accounting firm of which they are an employee, contractor or owner, and requires that they comply with the requirements of Part 2 as they relate to those relationships.

While Parts 4A and 4B deal specifically with independence in an assurance context, Part 3 also includes extensive examples of threats to independence for professional accountants in public practice generally under each of the categories identified earlier, along with suggested safeguards.

When evaluating the threats under the conceptual model, the COE requires that consideration also be given to the client and the professional accounting firm's operating environment and the nature and scope of the professional service.

The COE gives the example of the provision of a non-assurance service to an audit client where that client is a public interest entity (e.g. a publicly listed entity), where the threat to audit objectivity might be assessed as higher because of the potential greater scrutiny and implications of any inappropriate outcome.

The assessment of the level of a threat can also be influenced by factors within the professional accounting firm, such as:

- Leadership that develops a culture of compliance with the fundamental principles and creates an expectation that engagement team members will act in the public interest. This could, for example, be communications that reflect ethical values and actions and decisions by senior personnel that reflect ethical principles. An inappropriate 'tone at the top' could lead to an inappropriate firm culture.
- Documented policies and procedures for monitoring and compliance that emphasise the need to identify threats, evaluate the threat, apply safeguards and identify processes to implement the policies. For example, policies that require the disclosure and recording of relationships between engagement team members and the client entity. Such policies and procedures encourage and support a commitment to ethical principles.

- Compensation, performance appraisal and disciplinary policies and procedures that promote compliance with the fundamental principles. For example, policies as to the impact of other services provided to an audit client on the audit partners' performance appraisal and compensation. Inappropriate incentives and lack of enforcement of policies may encourage unprofessional behaviour.
- Management of the reliance on revenue received from a single client. For example, a firm faces a self-interest threat if it depends on revenue from just one client.
- Authority of engagement partners for decisions concerning compliance with ethical principles and in relation to client service decisions and prohibiting non-members of an audit engagement team influencing the outcome of an engagement.
- Educational, training and experience requirements. Policies that require engagement personnel to have the necessary competence and to maintain their skill base through ongoing professional development support compliance with the fundamental principles.
- Complaint processes to ensure that concerns are dealt with and disciplinary processes applied support a compliance culture.

COE
300.7 A5

Part 3 then provides extensive guidance on the following specific situations. The following is a brief summary of some of the primary matters covered in these sections as illustrations, but is not comprehensive or a substitute for reading the COE:

- **Conflicts of interest.** This relates to avoiding situations that could compromise professional and business judgements. It deals with threats to objectivity that could arise where a professional accountant provides professional services on a matter to two or more clients whose interests are in conflict. For example, preparing a valuation of assets for two parties who are in an adversarial position with respect to the asset. The professional accountant is required to identify the nature of the relationships between the parties involved and the implications for the relevant parties before accepting a new client. Consideration needs to be given to whether the consent of the parties is appropriate as a safeguard and if not given where considered necessary, the engagement or relationship must be terminated.
- **Professional appointments.** This section deals with threats to integrity and professional behaviour in situations involving accepting new clients or changes in an existing engagement. The requirements are to have knowledge and understanding of the client, management and business and to be aware of issues such as illegal activities and questionable financial reporting practices. There is a self-interest threat to professional competence and due care if the accountant does not have the appropriate skills and knowledge for the engagement and business. Examples of safeguards are assigning management personnel with the appropriate skills or using experts where necessary. Where an accountant is replacing another accountant, it is required that there is communication between the two accountants to identify relevant issues, particularly in an audit or review situation where communication with the predecessor auditor is required to obtain information as to whether the incoming auditor should accept the engagement.
- **Second opinions.** This covers situations where a professional accountant's opinion is sought on the application of accounting, auditing, reporting or other standards or principles for an entity that is not an existing client regarding a specific transaction or circumstance. This is a self-interest threat to the fundamental principle of competence if not based on the same facts and circumstances as the other party providing the initial advice. A safeguard would be to obtain client permission to contact the other

COE
Section 310COE
Section 320

COE
Section 321

accountant. If that permission is not provided, it would be appropriate to consider whether to accept the engagement.

- **Fees and other types of remuneration.** The ethics accept that quoting fees is not unethical. However, it is recognised that a self-interest threat to competence can arise if the quoted fee is so low that it might be difficult to perform an engagement in accordance with standards. If such a threat is identified, safeguards such as adjusting fees to an appropriate level, or having a review of the work performed by a person not involved in the engagement to be satisfied it is of the appropriate quality, could reduce the threat to an appropriate level. This section also deals with contingent fees and referral fees and commissions.

COE
Section 330

Revisions to the Code of Ethics included amendments to section 325 *Objectivity of an Engagement Quality Reviewer and Other Appropriate Reviewers*. Appointing an engagement quality reviewer who has involvement in the work being reviewed or close relationships with those responsible for performing the work may create threats to compliance with the principle of objectivity. Please note that HKSQM 1 *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements* establishes the firm's responsibilities for its system of quality management. HKSQM 1 requires the firm to design and implement responses to address quality risks related to engagement performance. These responses include establishing policies or procedures addressing engagement quality reviews in accordance with HKSQM 2 *Engagement Quality Reviews*.

Paragraph 325.6 A1 provides examples of the following circumstances where threats to the objectivity of a professional accountant appointed as an engagement quality reviewer may be created:

Self-interest threat	Two engagement partners each serving as an engagement quality reviewer for the other's engagement
Self-review threat	An accountant serving as an engagement quality reviewer on an audit engagement after previously serving as the engagement partner
Familiarity threat	An accountant serving as an engagement quality reviewer has a close relationship with or is an immediate family member of another individual who is involved in the engagement
Intimidation threat	An accountant serving as an engagement quality reviewer for an engagement has a direct reporting line to the partner responsible for the engagement

COE
Section
325.6 A1

Paragraph 325.7 A1 provides factors that are relevant when evaluating the level of threats to the objectivity of an individual appointed as an engagement quality reviewer which include:

- The role and seniority of the individual.
- The nature of the individual's relationship with others involved on the engagement.
- The length of time the individual was previously involved with the engagement and the individual's role.
- When the individual was last involved in the engagement prior to being appointed as engagement quality reviewer and any subsequent relevant changes to the circumstances of the engagement.
- The nature and complexity of issues that required significant judgment from the individual in any previous involvement in the engagement.

COE
Section
325.7 A1

Threats must be safeguarded against and paragraph 325.8 A1 of the COE suggests an example of an action that may eliminate an intimidation threat that is reassigning reporting responsibilities within the firm. An example of an action that may safeguard against a self-review threat is implementing a period of sufficient duration (a cooling-off period) before the individual who was on the engagement is appointed as an engagement quality reviewer.

In terms of the cooling-off period, the COE, para 325.8 A3, suggests a cooling-off period of two years before the engagement partner can assume the role of engagement quality reviewer. This serves to enable compliance with the principle of objectivity and the consistent performance of quality engagements.

The COE, para 325.8 A4 acknowledges that the cooling-off period required by HKSQM 2 is distinct from, and does not modify, the partner rotation requirements in Section 540, which are designed to address threats to independence created by long association with the audit client.

- **Inducements including gifts and hospitality.** It is recognised that these could create a self-interest, intimidation or familiarity threat and non-compliance with the fundamental principles of integrity, objectivity and professional behaviour. Unless trivial or inconsequential, no inducements are to be offered or accepted if a reasonable and informed third party may conclude that the intent is to improperly influence behaviour. Consideration must also be given to laws and regulations that may be relevant to these circumstances.
- **Custody of client assets.** Custody of client monies is not permitted unless permitted by law. Custody of assets can create self-interest threats to professional behaviour and objectivity. Safeguards could be keeping those assets separate from firm assets and using them only as intended, ensuring that any dividends or gains are accounted for and comply with relevant laws and regulations.
- **Responding to non-compliance with laws and regulations.** Self-interest or intimidation threats could undermine the principles of integrity and professional behaviour if a professional accountant becomes aware of non-compliance or suspected non-compliance with laws and regulations by a client. The obligation is to obtain an understanding of legal requirements facing a client. Any non-compliance is to be discussed with management, advising them to take appropriate action if they have not already done so. An assessment of management's response is required to determine whether any further action is required by the accountant in accordance with relevant laws, regulations and standards, and to ensure that any action is in the public interest. Actions taken and the outcomes must be documented.

COE
Section 340

COE
Section 350

COE
Section 360

1.2.2.10 Ethics and Independence

It is generally accepted that **independence** is a fundamental distinguishing feature of the professional accountancy profession that supports its role as an assurance provider. Assurance is valuable to a user of information if the assurance provider is, and is seen to be, unbiased, objective and has no vested interest in the entity and the information about which the assurance is given.

The COE recognises that independence is linked to the principles of integrity and objectivity and comprises:

- **independence of mind**, which supports expression of a conclusion without factors that compromise professional judgement and support, acting with integrity, objectivity and professional scepticism; and

- **independence in appearance** by avoiding circumstances where a reasonable and informed third party would likely conclude that there has been a lack of integrity, objectivity or professional scepticism.

There is an additional link in this area to the fundamental audit/assurance principle of professional scepticism as an interrelated concept, supported by the fundamental ethical principles outlined above.

Part 4A therefore includes extensive principles specifically in relation to independence for audit, review and other assurance engagements. The conceptual approach is also required to be applied in this regard.

Part 4A then addresses in detail **independence for audit and review engagements**. It emphasises that when performing audit engagements, the auditor must comply with the fundamental COE principles and be independent.

Independence is required during:

- the engagement period; and
- the period covered by the financial statements.

There is a requirement that documentation to evidence judgements made in relation to independence issues is produced and maintained by the professional accounting firm.

Where there is a breach of the COE, the following are required:

- discontinue the interest or relationship and address any consequences;
- consider any legal or regulatory implications;
- communicate the breach to appropriate firm personnel;
- evaluate any impact on the ability to issue an auditor's report;
- consider whether to continue the engagement.

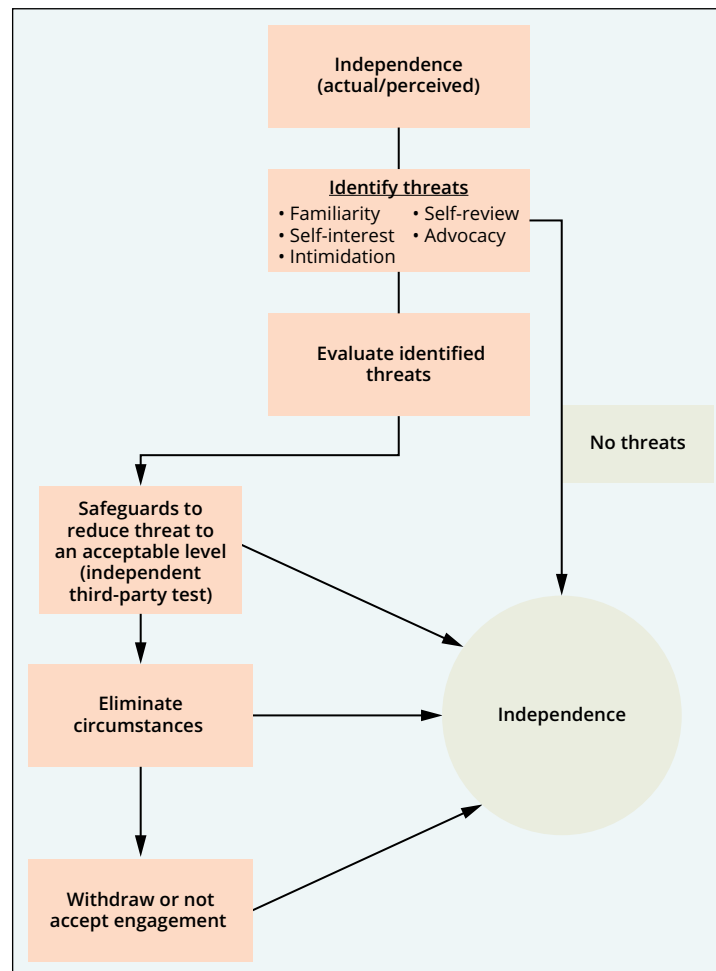
In the context of applying the conceptual approach (Exhibit 1.8), it describes in detail:

- facts, circumstances, activities, interests and relationships that create or may create threats;
- potential actions/safeguards;
- situations where threats cannot be eliminated or safeguards cannot reduce them to an acceptable level.

It is also recognised that because of the public interest in some entities (public interest entities), such as companies listed on the Hong Kong Stock Exchange, specific requirements are included to reflect this perspective. Member firms are encouraged to determine whether other clients with which they have a relationship should also be subject to those requirements because of their size, number of employees and business, for example holding assets in a fiduciary relationship.

The following is a brief summary of other areas covered in Part 4A:

- **Compensation and evaluation policies.** A self-interest threat may be created where an engagement team member is evaluated or compensated on the basis of the level of non-audit fees obtained from a client. This can be dealt with by eliminating the threat by revising the policy or removing the individual from the engagement team. A safeguard to reduce the threat would involve reviewing the work of the member involved. Key audit partners are not to be evaluated or compensated on this basis.



► **EXHIBIT 1.8** Conceptual approach to ethics for independence

- Fees.** Depending on the nature, level and types of remuneration, fees can create self-interest and intimidation threats. This could be a concern where the total fees from one client represent a significant proportion of the total fees of the firm. A safeguard is to increase the client base to reduce reliance on the fees from that client. Similarly if the fees from one client represent a large proportion of the revenue base of one audit partner. Suggested safeguards in this area are to increase the client base of the partner or subject the work of that partner to more extensive review. For public interest entities, the ethics are more specific and onerous in seeking to avoid threats. There have been revisions to the COE which are effective from 15 December 2022. Under the COE effective prior to 15 December 2022, the firm would need to disclose to those charged with governance where total fees for two consecutive years from one client represent more than 15% of the total fees of the firm. In addition, either a 'pre-issuance' or 'post-issuance' quality control review by a member not in the firm or by a professional body would need to be undertaken in respect of that audit. Communication should be conducted by the firm of fee-related information (for both audit and services other than audit) with those charged with governance assisting in their assessment of the firm's independence. A 'pre-issuance' review would be undertaken prior to the issue of the audit opinion for the second year. Overdue fees also create a self-interest threat and action must be taken to recover those fees, or significant consideration given to a review of the audit. If fees are overdue for a long

period they take on the characteristic of a loan and consideration needs to be given to whether to continue the engagement or seek reappointment.

Safeguards which the firm may take in respect of overdue fees would be to obtain full or partial payment of overdue fees **before** starting any work on the current year's audit. If a significant part of fees due from an audit client remain unpaid for a long time, the COE requires the firm to determine:

- Whether the overdue fees might be equivalent to a loan to the client; and
- Whether it is appropriate for the firm to be re-appointed or continue the audit engagement.

COE
R410.8

COE
Section 410

A firm cannot charge a contingent fee for an audit engagement, being a fee calculated on a predetermined basis relating to the outcome of services performed.

COE
Section 420

- **Gifts and hospitality.** Firms or audit team members cannot accept gifts of hospitality unless the value is trivial or inconsequential.

COE
Section 430

- **Actual or threatened litigation between the firm and the client.** This creates self-interest and intimidation threats. Such situations may affect the relationship between management and the auditor, impeding the full and effective disclosure relating to the client's business which is necessary for the audit process. The safeguard available in this case is to have the audit work reviewed by a member not involved in the audit engagement.

COE
Section 510

- **Financial interests in a client.** These create a self-interest threat. This threat is seen as significant and therefore no direct or material indirect financial interest in a client can be held by the firm, network firm, engagement team member, immediate family member or other parties in the office of the engagement partner, or other partner or managerial employee providing other services. Similarly, no financial interest is permitted in an entity controlling an audit client. The same applies for the situation where the firm acts as trustee unless the interest is immaterial to the trust or the trust cannot exert significant influence over the audit client.

COE
Section 511

- **Loans and guarantees.** These relationships can create self-interest threats. A firm or member of an engagement team cannot make a loan or provide a guarantee for a loan to a client unless it is immaterial to all parties. A firm or member of an engagement team cannot accept a loan from a client unless it is made under normal lending procedures, conditions and terms, such as a bank overdraft. If the loan is material, the threat may still exist and the safeguard of having the audit work reviewed by a member not involved in the audit may be necessary.

COE
Section 520

- **Business relationships.** A close business relationship among a firm, a member of the engagement team, a member of that member's immediate family and the audit client or its management involves a financial interest that could cause a self-interest or intimidation threat. For example, an interest in a joint venture. Unless the financial interest is immaterial or the business relationship insignificant to the client, its management and the firm or engagement team member, such arrangements should not be entered into or should be terminated. However, the purchase of goods and services from a client may be acceptable if it is in the normal course of business, undertaken at arm's length through the normal purchase process. Consideration as to the nature and magnitude of the transactions may still result in a determination that the threat still exists and is unacceptable, unless the arrangement is modified to be less significant.



- **Family and personal relationships.** Where a family member or a personal relationship exists between an engagement team member and an employee of the audit client, a self-interest, familiarity or intimidation threat may exist. Depending on the role of the client's employee in the financial reporting process and the nature of the relationship, the appropriate safeguards are to remove the member from the engagement team or restructure the responsibilities of the engagement team so that the member does not deal with matters for which the family member is responsible.
- **Recent services with an audit client.** In situations where a member of the engagement team had previously been employed by the client and had responsibility for the preparation of accounting records now subject to audit, self-interest, self-review and familiarity threats may be created. Depending on the nature and extent of involvement of the member, the time period since being employed by the client and the expected role within the engagement team, the member should not be assigned to the engagement team, or as a safeguard the work of that member undertaken during engagement should be reviewed.
- **Employment with an audit client.** If a former member of the engagement team joins an audit client and can exert significant influence over the financial reporting process, and that individual maintains a connection with the audit firm, familiarity and intimidation threats would compromise independence. If no significant connection remains, then the significance of the threat depends on, for example, the position taken by the individual at the client and any ongoing involvement with the engagement team. Safeguards may be applied, such as modifying the audit plan, to reduce the threats to an acceptable level.

 - **Serving as director or officer of an audit client.** No partner or firm employee should serve as a director or officer of an audit client, as the self-review and self-interest threats would be so significant as to not be able to be reduced to an acceptable level.
- **Temporary personnel assignments.** A self-review, advocacy or familiarity threat may be created where an audit firm provides staff to the audit client. Such staff should not have management responsibilities and should be directed and supervised by the audit client. Safeguards include conducting additional reviews of the work performed by the loaned staff or not including that member on the engagement team.
- **Long association with an audit client.** Where senior personnel have been involved with an audit client over a long period, familiarity and self-interest threats are created. Safeguards include rotation of senior audit personnel off the engagement team, review of the work of that member by an individual not involved in the audit, and internal and external quality reviews of the engagement. For entities that are public interest entities, a member cannot be a key audit partner for more than seven years and cannot be involved again with that client engagement for five years.
- **Provision of non-assurance services.** These requirements as a general rule prohibit the provision of a non-assurance service that would result in the audit firm or member assuming a management responsibility within the client entity. They also require a reassessment of non-assurance services currently or previously provided on independence if the client becomes a public interest entity. The following services are dealt with specifically.
- **Accounting and bookkeeping.** Depending on the nature of the service, a self-review threat may exist. Accounting services that are mechanical or routine and require minimal

COE
Section 521COE
Section 522COE
Sections 522, 524COE
Section 523COE
Section 525COE
Section 540COE
Section 600

professional judgement, for example payroll calculations based on client data or recording client-approved entries to the trial balance, are acceptable. Where the service is more substantial, safeguards such as having the service performed by a professional not part of the audit team or having a review of the audit or service provided by another member of the firm not involved could be applied to reduce the risk to an acceptable level.

COE
Section 601

- **Administrative.** Tasks that are routine and mechanical in the normal course of operations, such as word processing or preparing statutory forms for client approval, are acceptable.
- **Valuation.** A valuation service may create a self-review or advocacy threat where that valuation relates to an asset, liability or business and whether it will have a material impact on the financial statements. The significance of the threat also depends on factors such as the availability of established methodologies, the subjectivity of the data and the extent of management's involvement in determining and approving the methodology. Safeguards include review by a member not involved in the process or the audit or having the valuation performed by a member not involved in the engagement team.
- **Tax.** Taxation services cover a range of activities from preparation of the tax return to calculations for inclusion in the financial statements, tax planning and assistance in resolving tax disputes. Assistance with tax return preparation is acceptable as long as management takes responsibility for the return and the significant judgements made in its preparation. However, preparing calculations for items to be included in the financial statements creates a self-review threat the significance of which depends on the materiality of the item, the complexity of the law and the level of expertise of the client's staff involved. Safeguards include having the service provided by a member who is not part of the engagement team or reviewed by a member not on the engagement team, or obtaining external expert advice. Tax planning may also create a self-review threat where such advice impacts items in the financial statements. The same safeguards as for preparing calculations are applicable. Assisting a client to resolve a tax dispute may create an advocacy or self-review threat. The same safeguards are again applicable.
- **Internal audit.** The provision of internal audit services to an audit client create a self-review threat. This arises where the firm provides an internal audit service to assist the client perform its internal audit activities and that work is relied upon during the course of the external audit. The extent of the threat depends on the nature and extent of the internal audit services provided. For example, the firm's personnel providing the internal audit service should not take on any management responsibility. Whether the risk can be reduced to an acceptable level will depend on factors such as the materiality and the likelihood of misstatements in the areas in which the internal audit service was provided and the degree of reliance to be placed on that work. An appropriate safeguard is to have the service provided by members who are not part of the audit engagement team.
- **Information technology systems.** A self-review threat is created where services provided to design or implement hardware or software systems that are integral to the client entity's accounting, internal control and financial reporting systems are prohibited because the threat cannot be addressed through safeguards. Services that relate to systems which are unrelated to accounting records or financial statements or are 'off-the-shelf' accounting systems and require minimum customisation for the client are acceptable. If safeguards are deemed necessary, having members not involved in the audit engagement team can be applied.

COE
Section 602

COE
Section 603

COE
Section 604

COE
Section 605

COE
Section 606



COE
Section 607

- **Litigation support.** An advocacy or self-review threat is created when a firm is requested to assist in resolving a dispute or litigation that materially impacts the financial statements. This type of service is not permitted.

COE
Section 608

- **Legal.** Depending on the nature of the service and the relationship to the outcome on the financial statements, providing legal services may create self-review or advocacy threats, for example providing support to complete a transaction. Safeguards include using a firm member who is not a member of the engagement team or obtaining professional advice to review the matter and its financial statement implications.

COE
Section 609

- **Recruiting.** The provision of recruiting services may create self-interest, familiarity or intimidation threats. Such services are permitted, except that the firm should not be involved in management responsibilities, negotiating on the entity's behalf or making hiring decisions.

COE
Section 610

- **Corporate financial services.** Depending on the nature of the corporate finance service, advocacy or self-review threats may be created. For example, advice on the structuring of a transaction or financing arrangements which will impact the financial statements may create a self-review threat. Safeguards such as having the service provided by a member who is not part of the engagement team, or seeking advice from a professional not involved in providing the service as to the financial statement issues, would be appropriate. However, where the advice depends on an accounting treatment with which the engagement team is not supportive, or the outcome is material to the financial statements, such a service should not be provided. Services promoting, dealing in or underwriting a client's shares are not permitted.

It is not possible to deal in detail with all of these issues in this chapter, and reference to the COE is required to understand the independence issues associated with each of these potential threats to independence.

In the context of a **financial statement audit**, in combination with the statutory regulatory requirements under the CO, the statutory audit of financial statements is therefore subject to significant regulation. This is important to maintain the integrity of the audit function and its important role in the accountability process between companies and the users of the financial statements. Auditors must be independent and be perceived as independent, and their work must be subject to appropriate quality control through standards of performance; otherwise the audit function loses its credibility and the demand for audits would decline.

A feature of the governance structure of many companies and other entities that has gained prominence in recent years, and now plays a significant role in assisting auditors to meet their obligations, is the establishment of **Audit Committees**. An Audit Committee is a sub-committee of the Board of Directors, often comprising a majority of independent directors. The broad function of an Audit Committee is to oversee the financial reporting and auditing functions within the company. The Audit Committee takes on the role of an intermediary between the Board and the auditor. While an Audit Committee is part of the governance structure within a company, its responsibilities are directed at protecting the interests of users and other vested interests, independent of the Board and management.

An Audit Committee is normally involved in making a recommendation as to the appointment of the external auditor and the adequacy of the audit fee necessary to undertake the audit in accordance with all requirements. The Audit Committee also reviews the broad audit strategy and results.

In 2002, the HKICPA issued *A Guide for Effective Audit Committees*.

► Knowledge Check Questions

Question 10

Of the following statements, identify which best describes the difference between the responsibilities of directors and auditors for an audit under the *Companies Ordinance* (Cap.622).

- A** Directors have responsibility for the transaction data supporting the financial statements and the auditor is responsible for drafting financial statements.
- B** Auditors are responsible for selecting the accounting policies appropriate for the preparation of the financial statements and the directors are responsible for preparing the financial statements based on those policies.
- C** The directors are responsible for preparing the financial statements, and auditors are responsible for distributing the financial statements to shareholders.
- D** Directors are responsible for signing and approving the financial statements and auditors are responsible for providing an auditor's opinion on the financial statements.

Question 11

Under the *Companies Ordinance* (Cap.622), identify which of the following is not a matter that the external auditor must form an opinion on.

- A** The financial statements give a true and fair view.
- B** The financial statements agree with the company's accounting records.
- C** The director's statement is consistent with the financial statements.
- D** An investment in the company is a sound decision.

Question 12

Identify the party that appoints the auditor of a company under the *Companies Ordinance* (Cap.622).

- A** Third-party external users of the auditor's report.
- B** The company's directors.
- C** The shareholders.
- D** The company's chief financial officer.

Question 13

External auditing is a function performed by the accountancy profession. Identify which of the following is not a characteristic of a profession.

- A** Acting in the public interest.
- B** Membership qualifications and continuing professional development.
- C** Providing client information to third parties.
- D** A high standard of competence in an area of specialist expertise.

Question 14

Explain why an external financial statement auditor needs to be independent and identify what two types of independence are relevant.



► Knowledge Check Questions (*continued*)

Question 15

Identify which of the following is inconsistent with the audit principles of an external audit.

- A** The audit process involves the exercise of a significant level of professional judgement.
- B** The auditor must apply auditing standards.
- C** If using the work of an internal auditor in the audit process, the auditor should evaluate that work.
- D** The auditors can act on their client's behalf in contractual negotiations.

Question 16

Identify which of the following is not normally a responsibility of an Audit Committee.

- A** Considering problems encountered by the independent financial statement auditor during the audit.
- B** Discussing the position taken in relation to significant accounting policies in the preparation of the financial statements.
- C** Considering the detailed audit procedures to be applied by the external auditor.
- D** Making a recommendation as to the appointment of the external auditor.

Question 17

Identify which of the following describes the party to whom the external statutory auditor's primary responsibility rests for providing an opinion on a company's financial statements.

- A** The company's Audit Committee which is responsible for the oversight of the audit function.
- B** The company's shareholders.
- C** The company's directors who have the company pay the auditor's fee.
- D** The HKICPA because it issues the HKSAs.

Question 18

By referring to the COE, identify which of the fundamental principles of the COE are threatened and the nature of the potential threat to be assessed for each of the following situations.

- A** A major audit client has been experiencing significant growth and your audit fee from that client has grown from 10% to 16% of your firm's total fees.
- B** Your client is considering expanding into a new area of business. You advise a friend who has expertise in that area of business to send some material to your client to assist their decision making.
- C** Your audit client offers a bonus fee for conducting the audit within a given time frame in order to meet a loan application requirement.
- D** An audit partner receives a personal loan from an audit client which is a financial institution.
- E** You have been approached to audit a local winery which is outside your normal client base of small retail businesses and sporting clubs, and an industry in which you have not been involved before. You hope to be able to find professional development courses to update your staff's knowledge and skills.

► Knowledge Check Questions (*continued*)

- F** The CEO of one of your audit clients is a long-time golf partner of the engagement partner.
- G** The wife of the engagement partner of an audit client has inherited shares in the audit client.
- H** Your firm is considering entering into a business relationship with a client to combine a service that both currently provides and jointly markets that service.
- I** Your firm's business plan has as an objective expansion of its audit client base. Accordingly, fee quotes are very low relative to the size of the prospective clients in order to obtain clients.
- J** You have implemented a new accounting system for a client. That client now requests that you become their auditor.
- K** Your audit client is in dispute with one of its major suppliers and asks you to assist in the negotiations.
- L** One of your audit partners has been the auditor of a client for many years and is reluctant to change as he regards the client management as friends.
- M** A former member of your audit team has joined the audit client as their chief accounting officer.
- N** Your firm has provided some temporary staff resources to an audit client to facilitate the preparation of their financial statements.
- O** Your firm is considering as part of the evaluation and compensation policy for audit partners that it be based on the level of non-assurance services sold to audit clients.
- P** It appears likely that an audit team member could be involved in litigation with the client.
- Q** An audit client has requested that you provide an asset valuation for an asset to be used in applying for a loan.

1.3 INTERNATIONAL STANDARDS AND GUIDELINES FOR AUDITING AND ASSURANCE

The demand for audit and assurance standards at the international level reflects the globalisation of business and other activities. The fact that organisations operate in several jurisdictions means that there is a need for the services provided by assurance service providers to be harmonised to achieve a uniform level of quality. The **International Federation of Accountants (IFAC)** was established in 1977 to facilitate this. It represents over 175 members and associates, of which the HKICPA is one, in over 130 countries.

The IFAC website (www.ifac.org) states:

IFAC is the global organisation for the accountancy profession dedicated to serving the public interest by strengthening the profession and contributing to the development of strong international economies.

The website states its vision as:

... the global accountancy profession be recognised as essential to strong and sustainable organisations, financial markets, and economies.

To achieve its mission, it:

- supports the development of high-quality international standards;
- promotes the adoption and implementation of those standards;
- builds the capacity of professional accountancy organisations; and
- speaks out on public interest issues.

To achieve these goals in auditing and assurance services, the IFAC established the IAASB as one of its operational Boards. The IFAC website states:

The IAASB is an independent standard-setting body that serves the public interest by setting high quality international standards for auditing, assurance and other related areas, and by facilitating their adoption and implementation. In doing so, the IAASB enhances the quality of practice throughout the world and strengthens public confidence in the global auditing and assurance profession.

To achieve greater consistency in the application of the auditing standards globally, the IAASB undertook a project to restructure the auditing standards into a 'clarity' format. While some of the other standards have a different structure, the auditing standards, and therefore the **HKICPA auditing standards** have the following structure:

- **Introduction.** Sets out the scope of standards and the effective date.
- **Objectives.** Sets out the objectives to be achieved by the auditor.
- **Definitions.**
- **Requirements.** The **mandatory** requirements that the auditor must comply with. If, in exceptional circumstances, the auditor judges it necessary to depart from a relevant requirement, alternative procedures are to be performed to achieve the requirement. If an objective cannot be achieved, the auditor evaluates whether the overall audit objective can be achieved. If not, the auditor's opinion will need to be modified or, if possible under law or regulation, the auditor may need to withdraw from the engagement.
- **HKICPA standards** have a section on Conformity and Compliance with International Standards on Auditing. This identifies any additions or departures from the international standard.
- **Application and other explanatory material.** This provides authoritative guidance and explanation on the application of the requirements. This material aims to assist auditors' understanding of the requirements and provides illustrative audit procedures and practical examples to improve consistent implementation of the requirements.

Through this process and the issue of these standards, the IAASB has sought to achieve global best practice.

The process of harmonisation has also been applied in relation to ethical pronouncements where IFAC ethical statements are adopted, amended as necessary by the HKICPA.

HKSA 600 (Revised) *Special Considerations – Audits of Group Financial Statements (Including the Work of Component Auditors) and Conforming and Consequential Amendments to Other Hong Kong Standards Arising from HKSA 600 (Revised)* paragraph 11 states:

The group engagement partner is responsible for the direction, supervision, and performance of the group audit engagement in compliance with professional standards and applicable legal and regulatory requirements, and whether the auditor's report that is issued is appropriate in the circumstances. As a result, the auditor's report on the group financial statements shall not refer to a component auditor, unless required by law or regulation to include such reference. If such reference is required by law or regulation, the auditor's report shall indicate that the reference does not diminish the group engagement partner's or the group engagement partner's firm's responsibility for the group audit opinion.

HKSA 220,
para. 15
HKSA 600
(Revised),
para. 11

This requires that the group auditor evaluate the work of the component auditor and is satisfied that the component auditor is competent and the work of that auditor complies with relevant ethical and auditing standards. Where the component auditor operates in a jurisdiction that adopts international auditing and ethical standards, and is subject to appropriate professional and regulatory oversight, the group auditor can, through appropriate communication, enquiry, use of questionnaires and checklists, determine whether sufficient appropriate audit evidence has been obtained from the component entity and auditor for the purpose of preparing the group financial statements.

HKSA
600.12, 19

Securities regulators have also recognised the benefits of international standards. The International Organisation of Securities Commissions (IOSCO), of which the SFC is a member, encourages securities regulators to accept audits performed and reported in accordance with international auditing standards for cross-border offerings and listings.

Apply and Analyse 5

Apply

As part of the quality control processes within the firm, and given that Adventure Inc. is a new and promising audit client, the quality assurance partner advises that the recent audit of Adventure Inc. has been selected for a quality assurance review. This review is to be conducted by a partner from an overseas affiliate of the firm. In order to prepare for that review, the partner has asked to be briefed on the structure of the regulatory and professional requirements in Hong Kong, and their relationship to international standards.

State what general information you would advise the overseas review partner to research in preparation for the review.

Analysis

The partner should be advised that the audit has been undertaken pursuant to the requirements of the Part 9 of the CO, which establishes the auditor's statutory obligations. In brief, the broad obligation is to perform an audit of the financial statements and report to shareholders whether the financial statements give a true and fair view in accordance with Hong Kong accounting standards. The partner should also be advised that the statute also imposes other obligations on the auditor, for example whether:

- additional disclosure is necessary to give a true and fair view;
- the directors' report is consistent with the financial statements;

Apply and Analyse 5 (continued)

- appropriate accounting records have been kept; and
- all the necessary information has been obtained.

The reviewer should also be advised to review the requirements of the SFC and HKEX, which also have requirements that affect auditors.

The HKICPA is the only body authorised by law to register and grant practising certificates to CPAs in Hong Kong. The HKICPA promulgates the auditing standards that are mandatory for CPAs undertaking audit engagements. It also issues the professional ethical standards that CPAs must apply in the conduct of their audit engagements.

The reviewer needs to be aware that the Hong Kong auditing standards, quality control and ethics have been developed by the HKICPA under a policy of harmonisation with standards and ethics issued by the IFAC.

► Knowledge Check Questions

Question 19

The HKICPA auditing standards are consistent with international auditing standards. State the policy that has led to this outcome and explain the objective of this policy.

1.4 TYPES OF AUDITS

1.4.1 External Audits

1.4.1.1 Financial Statement Audits

As explained in Section 1.1, HKSA 200 *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Hong Kong Standards on Auditing* explains the objective of an audit as a form of assurance engagement, to enhance the degree of confidence of users in the financial report.

However, neither that standard nor the *Glossary* includes a stand-alone **definition of auditing**. This section outlines the broad foundations of auditing as a discipline, and as a basis for understanding auditing generally and the auditing concepts and standards covered in later modules.

As a generic concept, an early and accepted definition of auditing can be found in A *Statement of Basic Accounting Concepts* (ASOBAT) issued by the American Accounting Association (AAA) in 1972. It defined auditing as:

A systematic process of objectively obtaining and evaluating evidence regarding assertions about economic actions and events to ascertain the degree of correspondence between those assertions and established criteria and communicating the results to interested users.

It is useful to understand the elements in this early definition as they are concepts that underpin the study of contemporary standards on financial statement auditing.

- **Systematic process.** The audit process is dealt with in detail in the large number and volume of requirements and guidance contained in the HKSAs. These documents detail a structure under which such engagements are to be conducted. An audit involves developing an **overall audit strategy** by identifying the risks of possible misstatements in the financial statements, and then applying that strategy to develop an audit plan and audit programme detailing the detailed audit procedures to be applied.
- **Objectivity.** An essential element of the financial statement audit concept is that the auditor must be independent of the entity and the financial statements being audited. To this end the auditing standards include a requirement that the auditor comply with professional ethical requirements relating to independence.
- **Evidence.** Many of the standards dealing with the audit process are directed at requirements and processes to gather **sufficient** (quantity) **appropriate** (quality) audit evidence to support the conclusions on which the opinion on the financial statements is based.
- **Assertions about economic events and actions.** The evidence requirements are focused on the appropriateness of the assertions in the financial statements. HKSA 200 is consistent with this element in its definitions in paragraphs 13(f) and (g).
- **Established criteria.** HKSA 200 recognises that financial statements are to be prepared in accordance with the applicable financial reporting framework appropriate to the circumstances and objective of the financial statements (e.g. accounting standards or prescribed by law or regulation). This is the benchmark against which the financial statements are assessed by the auditor
- **Communication.** The auditing standards require that the auditor issue a written report containing the opinion as to whether the financial statements have been prepared in accordance with the applicable financial reporting framework. That communication includes various permutations depending on the conclusions drawn by the auditor, due to evaluating the evidence obtained from the audit process.

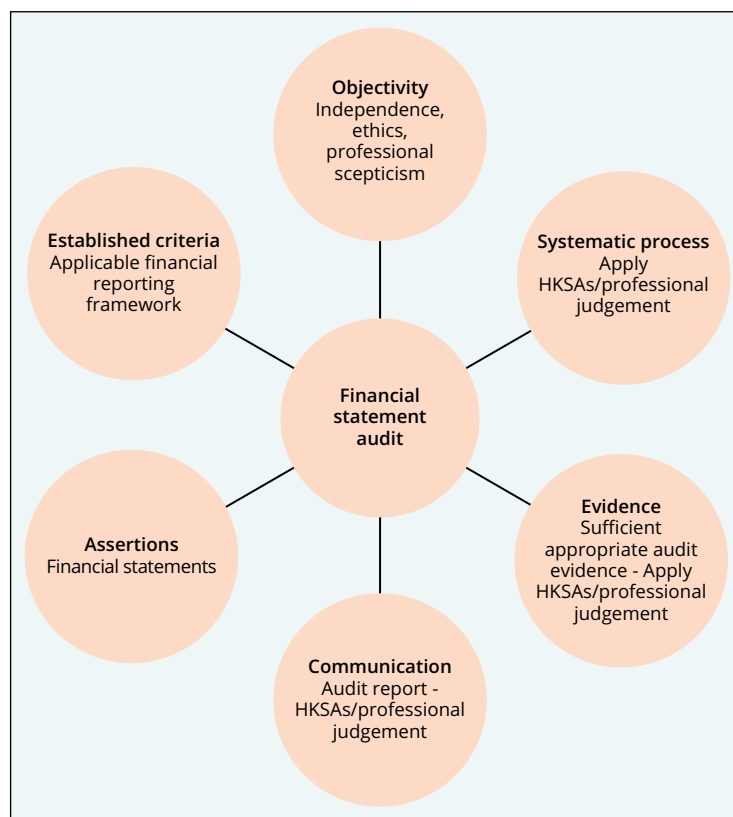
The **HKSA** series of standards deal with the **audit of financial statements**. Consistent with the above background, HKSA 200 applies these concepts and identifies the main principles for these types of audits. It reinforces the view that the financial statements subject to audit are those of the entity, prepared by management on behalf of those charged with governance. HKSAs require the auditor to obtain reasonable assurance that the financial statements, as a whole, are free from material misstatement – whether due to fraud or error.

HKSA
200.4, 5

HKSA 200 requires that the auditor apply **materiality** in planning and performing the audit and assessing the impact of misstatements on the audit and financial statements. It recognises that misstatements are material if, individually or in aggregate, in the auditor's judgement they could reasonably be expected to influence the economic decisions of users of the financial statements. The standard establishes the **basic principles of financial statement audits** as (Exhibit 1.9):

HKSA 200.6, 7
HKSA 200.14–17

- **Ethical requirements.** Requires compliance with the HKICPA ethical standards.
- **Professional scepticism.** The audit is to be planned and performed with an attitude of professional scepticism, recognising that circumstances may exist that cause the financial statements to be materially misstated.
- **Professional judgement.** Professional judgement is to be applied in the planning and performance of an audit.



► **EXHIBIT 1.9** Relationship between the basic elements of a financial statement audit and HKSA's

- **Sufficient appropriate audit evidence and audit risk.** To obtain reasonable assurance, sufficient appropriate audit evidence is to be obtained to reduce audit risk to an acceptably low level to enable the auditor to draw reasonable conclusions on which to base an opinion.
- **Conduct of an audit in accordance with HKSA's.** All HKSA's relevant to the circumstances of the audit are to be complied with. This requires the auditor to understand the entire content of the standards, including the application and other explanatory material.

While an audit involves a high level of professional judgement, as a body of standards, the HKSA's are comprehensive in establishing the objectives and requirements for planning, performing and reporting for a financial statement audit. The HKSA's cover:

- The audit objectives, requirements in relation to documentation, detection of fraud and error, consideration of laws and regulations and communication with those charged with corporate governance.
- The audit planning process, involving understanding the entity and identifying the risks of material misstatement, understanding the role of materiality, addressing the assessed risks in the performance of the audit and evaluating the risks identified during the audit.
- Audit evidence in relation to specific items such as inventory, segment information, litigation and claims, use of external confirmation, analytical procedures, sampling and evidence, and issues arising in relation to related parties, going concern and reviewing events subsequent to balance date that impact the financial statements.

- Using the work of internal auditors or experts and the work of subsidiary auditors in a group situation.
- Audit conclusions and reporting, including where the auditor is required to issue a modified opinion, and the auditor's responsibility for other information that accompanies the audited financial statements.

The standards also deal with audits of financial statements prepared in accordance with a reporting framework other than HKFRS, such as financial statements prepared in accordance with a special-purpose financial reporting framework. There are also standards on audits of specific elements or individual accounts of a financial statement and summary financial statements.

1.4.2 Internal Audits

1.4.2.1 Objectives of the Internal Audit

The nature of the internal audit function within an entity has been evolving over time. The narrow and traditional view that its role was to review and assess the effectiveness of an entity's internal control has been superseded by a more contemporary and broader view.

The interaction between internal and external auditors in a financial statement audit has been dealt with in HKSA 610 (Revised 2013) in Section 1. This section explains further the broader role that internal audit can play within an entity.

Like the professional accountancy profession, the internal audit profession has established an international body, the Institute of Internal Auditors (IIA), to establish ethics and standards applicable to its members. The IIA mission statement (www.theiia.org) states:

To enhance and protect organisational status by providing risk-based and objective assurance advice and insight.

The Institute of Internal Auditors of Hong Kong, established in 1979, is affiliated with that international organisation.

The IIA defines **internal auditing** as:

... an independent, objective assurance and consulting activity designed to add value and improve an organisation's operations. It helps an organisation accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control, and governance processes.

Within that definition, the role and responsibilities of an internal audit function within an individual entity are governed by its charter. An **internal audit charter** is developed by the management of an entity to govern the role of internal audit. The IIA *Glossary* defines the charter as:

... a formal document that defines the Internal Audit activities, purpose, authority and responsibility. The Internal Audit Charter establishes the internal audit activities within the organisation, authorises access to records, personnel and physical properties relevant to the performance of engagements and defines the scope of internal audit activities.

To understand the role and objectives of internal audit, the elements of the IIA definition need to be considered further.

Independence and objectivity, while related, are different concepts.

Independence is the same concept as for an external auditor (i.e. that the internal auditor be, and be seen to be, unbiased). However, as internal auditors are engaged by an entity as

employees or subcontractors and are an integral part of the entity, their independence derives from their organisational independence. The internal auditor should not be associated with any of the activities that it audits.

In many entities, where an Audit Committee has been established as part of the governance process, that committee can have as part of its mandate oversight of the internal audit function.

Objectivity is a personal attribute that requires an unbiased attitude and approaching an investigation without a preconceived position, not having to be subordinate to the judgements of others.

Both independence and objectivity require that the internal auditor have appropriate skills and knowledge of the subject matter of the audit.

Assurance and consulting. **Assurance** is a concept similar to that applicable for the public accounting profession. The objective is to improve the credibility of the outcomes of activities within an entity and information relating to those activities. It is defined in the IIA *Glossary* as:

An objective examination of evidence for the purpose of providing an independent assessment on governance, risk management and control processes for the organisation. . .

. . . for example, compliance with company policies, contractual conditions, laws and regulations.

Consulting is essentially an advisory function to identify problems and provide possible solutions to management, but without any responsibility for implementing any recommendations, it is an obligation that remains with management. It includes providing counsel, advice, facilitation and training.

Add value. This is the feature of internal audit that links it directly to the interests of management and other stakeholders in an entity. Depending on the nature and scope of the internal audit function, it adds value when it provides objective and relevant assurance and facilitates the effectiveness and efficiency of governance, risk management and control systems.

Systematic and disciplined approach. This again is a similar attribute to that required for external financial statement audits and other assurance engagements undertaken in the public accountancy profession. To achieve its goals, an internal audit needs to approach each investigation with a structured approach, including a clear plan and a programme to obtain sufficient appropriate audit evidence on which to base its findings, conclusions and recommendations. The IIA has developed standards for internal auditors to facilitate this outcome.

Control risk management and governance processes. The expanded role of an internal audit in improving these processes is recognition of the fact that the role of management in these areas has increased in significance in recent times.

Arising from this broader role, several different types of audit have evolved:

- Compliance audits;
- Performance audits;
- Comprehensive audits; and
- Corporate social responsibility audits.

These types of audits are not restricted to an internal audit. They can and are undertaken by **external auditors** in the public accountancy profession and in the public sector where a public accountability obligation arises. They reflect the characteristics and relationships

of assurance/audit engagements identified in Section 1.1. Depending on the engagement mandate, they can be attested or direct engagements that reflect some form of accountability relationship for different forms of subject matter.

1.4.2.2 Compliance Audits

The activities of an entity comprise relationships with various parties, both within and external to the entity. These impose obligations and responsibilities on entity employees and management to comply with company policies, achieve operational targets, and for the entity to comply with contractual arrangements and laws and regulations.

The added value provided by compliance audits undertaken by **internal auditors** is that they provide assurance that those within the entity and the entity itself are complying with the relevant operational policies, laws and regulations.

Such engagements, undertaken by **external auditors** or public-sector auditors, generally arise, for example, where an entity has an obligation to comply with laws and regulations and is required to provide an independent auditor's report on compliance to an external party. An external auditor could be engaged by an entity to report to a client's lending institution that it has complied with the terms and conditions of a loan agreement.

1.4.2.3 Performance Audits

Performance audits are often referred to under different titles, for example 'value for money audits', 'operational audits' or 'efficiency auditing'.

These engagements are common in the public sector and can also be undertaken in the private sector by both external and internal auditors. However, under the broad internal audit mandate discussed above, they have become an integral component of the internal audit function. They are concerned with the **economy, efficiency** and **effectiveness** with which an entity achieves its goals and objectives.

The degree of symmetry between the broad internal audit function and this type of audit in the public sector can be found in the example of this type of mandate in the mission statement of the Hong Kong Audit Commission (www.aud.gov.hk). That mission is, through the provision of independent audit services, to enhance public-sector performance and accountability. In addition to regulatory audits of government financial reporting, the Commission undertakes 'value for money' audits to provide government with independent advice and assurance about the economy, efficiency and effectiveness with which government entities have discharged their functions.

Like all audit and assurance engagements undertaken by external and internal auditors, they require a subject matter and suitable criteria against which to evaluate that subject matter. In these engagements they extend beyond financial statements and accounting standards to potentially encompass all areas of the entity's activities and operations.

It is important therefore to clearly establish the objectives of the audit and what information is expected to be provided by the auditor.

It is important to understand the difference among the three areas of audit within these engagements:

- *Economy* focuses on resource acquisition and whether the appropriate quality and quantity of resources have been obtained at the lowest cost. For example, whether

an entity has implemented appropriate policies and procedures for the acquisition of resources.

- *Efficiency* addresses issues of resource usage and whether maximum output has been achieved for a given input without decreasing effectiveness (for example, whether employment practices avoid overstaffing or duplication of effort).
- *Effectiveness* is related to outcomes and whether the entity's resources and operations have achieved the relevant objectives (for example, whether a product or service meets customer needs).

Like all audit and assurance engagements, performance audits require a structured and systematic approach involving a strategy, planning, audit programme and procedures, evidence-gathering evaluation and analysis of the evidence and reporting. However, the varied nature of the subject matter may require the use of a wider variety of different evidence-gathering techniques, for example the use of surveys, structured interviews and market research. Consistent with other types of audits, the planning and conduct of these engagements involve a high level of professional judgement.

1.4.2.4 Comprehensive Audits

These audits derive from a mandate that comprises a combination of the different audit types covered to date (i.e. financial statement, compliance and performance). They are common in the public sector and can be established under a broad internal audit charter.

1.4.2.5 Corporate Social Responsibility Audits

These types of audits are relatively new and can be complex. They arise because of the internationalisation of business and the increasing public scrutiny of the impact that business can have on, for example, the environment and human rights, obligations for product safety and employee health and safety, ethical business practices and community involvement.

Social issues are therefore areas that require risk assessment and strategic management.

These audits have elements of both compliance and performance auditing. Corporate social responsibility auditing addresses an entity's environmental, social or governance risks to assess the policies and processes to identify and manage those risks. That role is consistent with the broad role that internal audit can play within an entity. A corporate social responsibility mandate could be integrated into an internal audit charter to address policies, projects, control and review processes, performance measures and risk management in sensitive areas for a particular entity, and to the extent to which an entity impacts society and stakeholders in the entity.

The nature of some of the subject matter of these audits means that suitable criteria may be difficult to identify, but as codes, standards and management policies and practices develop, these audits have the potential to be a significant value-adding component of the internal audit function.

In summary, the scope of assurance engagements and subject matter that can be provided by internal and external auditors continues to evolve.

Apply and Analyse 6

Apply

The Millennium Company manufactures components for digital technologies like smartphones, laptops and tablets. Certain younger members of the board of directors have strong views about sustainability and are concerned that Millennium uses raw materials that are mined in ways that create pollution and destroy ecosystems. Many of the company's competitors have recently included corporate social responsibility (CSR) metrics in their annual reports. The board members have asked the Audit Committee for advice on how Millennium can better manage ESG performance using specific metrics.

Prepare advice that could be given to the Audit Committee about the following:

- (a) Possible metrics for environmental performance;
- (b) The benefits of undertaking a performance audit in CSR issues.

Analysis

- (a) As a type of CSR audit, an audit of environmental performance would include metrics related to the amount of raw materials used by Millennium and the output of their business activity, including carbon emissions, pollutants, water use and land protection. Some of these metrics will overlap with financial reporting and the purpose of the financial audit, so they are highly likely to relate to the financial statements and constitute other information that the external auditor needs to read to ensure it contains nothing that is inconsistent with what is in the financial statements. They may impact management decision making, supplier relationships, materials usage and remuneration.
- (b) Even though a CSR audit is considered to be an internal audit, sharing those metrics with external stakeholders (e.g. in an annual report) can be advantageous, especially if it is audited by an outside firm. Millennium could demonstrate that it is a good global corporate citizen, which many stakeholders – including investors – consider to be a benefit. Using an external audit firm will produce assurance that is considered by investors and other stakeholders to be highly reliable. While ESG metrics are not required to be audited, they have more credibility when a third party provides assurance. Even if the results of a CSR audit are used only internally, there can be a number of benefits. Millennium may find that more environmentally sustainable processes may result in cost savings. For example, using recycled materials to produce components may be less expensive than working directly with mining companies to obtain raw materials.

► Knowledge Check Questions

Question 20

Of the following, identify which is the best description of the status of HKSA's.

- A** HKSA's apply only to non-statutory financial statement audits.
- B** The requirements in HKSA's are required to be complied with in all circumstances.
- C** As HKSA's provide high-level principles and guidance, they are difficult to enforce in a disciplinary action.
- D** For members of the HKICPA, HKSA's are mandatory and are to be applied in all audits.

► **Knowledge Check Questions (continued)**

Question 21

Identify which of the following is not an attribute you would expect to be needed for a statutory financial statement audit of a company.

- A** Knowledge of the Part 9 of the *Companies Ordinance* (Cap.622).
- B** Independence
- C** Management's assessment of materiality for developing the audit strategy.
- D** A systematic process of evidence gathering and evaluation.

Question 22

Compared to an external auditor of a financial statement, which of the following an internal auditor is more likely to be concerned with.

- A** Confirming the balance of a loan with a financial institution.
- B** Reviewing accounting controls with the objective of providing a specific report to management.
- C** Attending a physical inventory count and test checking physical counts against inventory records.
- D** Performing an audit procedure to confirm accounts receivable balances.

Question 23

Identify which of the following is a requirement for internal audit independence.

- A** Adequate staff with appropriate audit skills.
- B** An appropriate mandate and organisational status with Audit Committee oversight.
- C** Ongoing training and performance standards.
- D** Access to management personnel.

Question 24

Identify which of the following would be categorised as 'efficiency' in the context of a performance audit.

- A** Acquiring on a timely basis the appropriate quantity and quality of resources at the lowest cost.
- B** Using the minimum quantity of resources to produce goods at the required level of quality.
- C** Reviewing management's process for evaluating the outcome of a department's business objectives.
- D** Assessing procurement policies against industry best practice.

Question 25

As audit functions, financial statement audits and performance audits have common features, but are also different. List and describe the common features and the differences between the two types of audit.

► **Knowledge Check Questions (*continued*)**

Question 26

For a performance audit of the effectiveness of the maintenance system for a road transport company with a large fleet of trucks, identify which would be least likely to be appropriate criteria.

- A** Best practices adopted by other large road transport companies.
- B** Principles identified in published industry materials and generally accepted and applied.
- C** The auditor's own experience.
- D** Company objectives for maintenance practice developed by management with expert vehicle consultants.



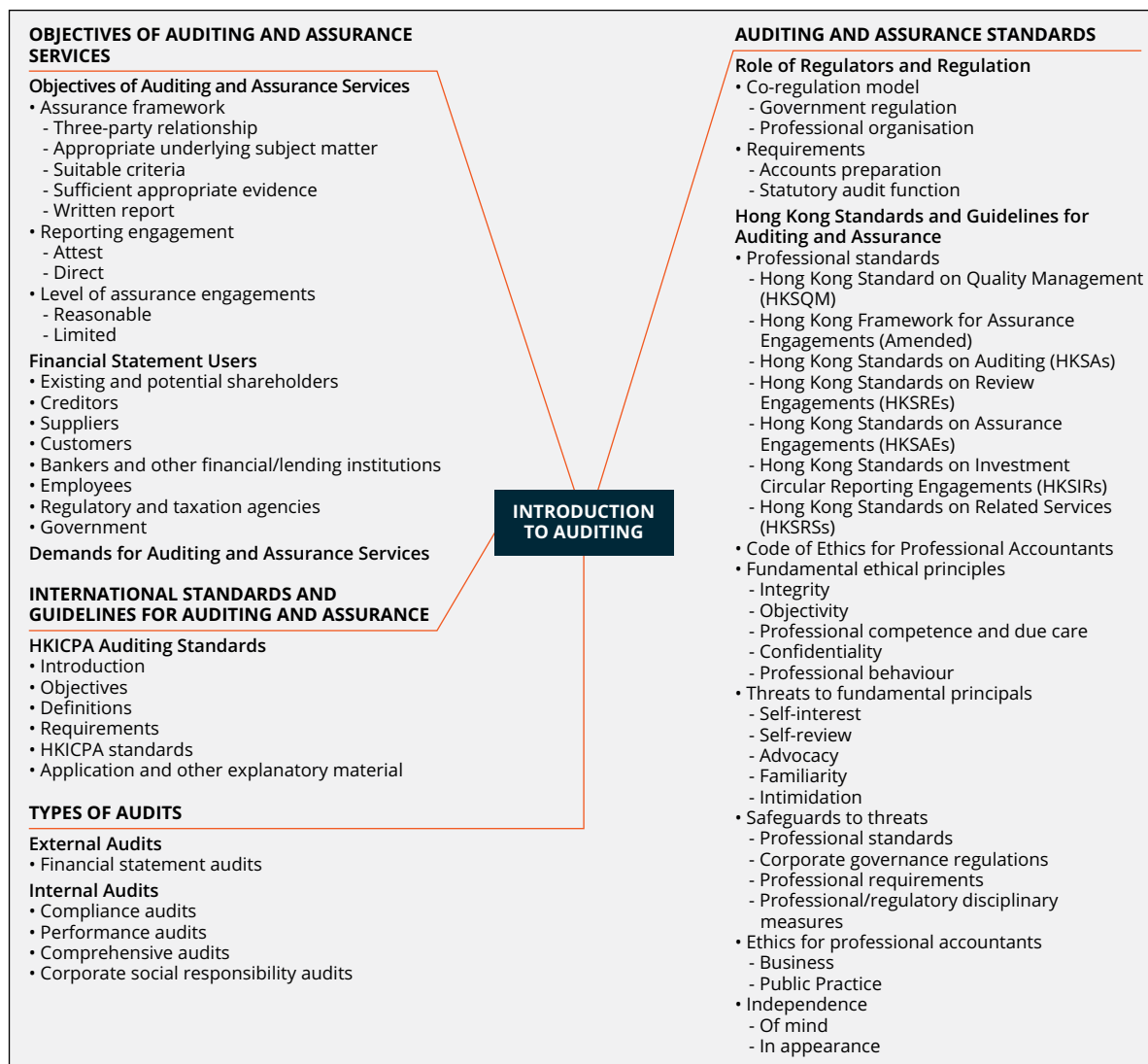
SUMMARY

This chapter addressed the nature of assurance, and the assurance and audit services provided by independent external assurance providers, with an emphasis on external audits of financial statements. It also examined the nature and role of internal audit.

The chapter has dealt with the following:

- The nature and elements of assurance engagements and the application of those to understanding a financial audit.
- The difference between attest and direct audits has been explained, as well as the different levels of assurance that can be provided, being reasonable (audit) or limited (review) assurance.
- The responsibility of management and those charged with governance for the responsibility to prepare financial statements was differentiated from the role of the external auditor to provide an opinion on whether the financial statements have been properly prepared in accordance with the appropriate reporting framework.
- The demand for assurance and audit services being sought and provided recognises the need to reduce information risk in decision making by users of financial and non-financial information where an accountability relationship exists, or the governance structure requires information on performance to be reported.
- The role of regulation, both professional self-regulation and statutory, exists in a co-regulatory environment in Hong Kong. The professional requirements under the auditing standards issued by the HKICPA and the statutory requirements under the CO play a significant role in regulating the independent financial statement audit environment. The HKSA's are a product of the internationalisation of auditing standards aimed at achieving a high-quality and uniform approach to auditing.
- The nature and extent of the professional ethical requirements as they apply to professional accountants and firms, and independence in relation to audit and assurance engagements. An explanation of the conceptual approach applied in evaluating compliance with the fundamental ethical principles that are significant in maintaining the profession's status and role as assurance providers.
- The steps of a financial statement audit were broken down to provide greater insight into the process of financial statement audit.
- Internal audit was described and the differences between the internal audit and external audit processes were outlined.
- The different types of audits that practitioners may conduct for clients. These include compliance audits, performance audits, comprehensive audits and corporate social responsibility audits. Each of these audits has a different purpose.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect because audits and review engagements can be applied to the same subject matter.

Answer B is correct because in a review engagement the auditor applies limited procedures and therefore obtains less evidence on which to base an opinion. As a result, a review provides 'limited' assurance whereas an audit provides 'reasonable' assurance because of the more extensive procedures applied and more evidence obtained on which to base an opinion.

Answer C is incorrect because both engagements provide a level of assurance. Refer (B). A review expresses this in the form of 'negative' assurance and an audit in the form of 'positive' assurance.



Answer D is incorrect because both engagements result in the provision of an opinion, but in a different form and providing different levels of assurance. Refer (B) and (C).

Question 2

A financial statement audit exhibits the characteristics that define an assurance engagement.

There is a three-party relationship, management being preparers of the financial statements, users being the shareholders/potential shareholders and other third parties and the auditor providing an independent opinion on the financial statements to those users.

The financial statements are the subject matter and provide information in relation to an entity's financial position and performance.

The financial statements are prepared in accordance with an applicable financial reporting framework and generally accepted accounting standards, which are the criteria against which the auditor assesses the financial statements and forms a conclusion.

The auditor applies a process and a range of procedures to gather evidence on which to form a conclusion.

The auditor issues an auditor's report containing an opinion on whether the financial statements have been prepared in accordance with an applicable financial reporting framework.

Question 3

In an attest engagement, the evaluation or measurement of the subject matter is performed by the responsible party, and the responsible party provides a written assertion/representation about the information. The auditor forms a conclusion and expresses an opinion on the written assertions made by the responsible party.

In a direct reporting engagement, while the responsible party retains responsibility for the subject matter, the responsible party does not provide a written assertion. The auditor performs the evaluation or measurement directly, and includes that information with the auditor's opinion in the auditor's report.

For an accounting system, an attest engagement is where management provides an assertion as to the effectiveness of the system and the auditor provides an opinion on that assertion.

In a direct reporting engagement, the auditor performs the evaluation of the system and provides this information in the auditor's report.

Question 4

Assurance is a service provided by assurance practitioners with the objective of enhancing the credibility of information to users of that information to improve its usefulness in decision making.

A positive expression of opinion is provided in an audit engagement and states that the information subject to audit is in accordance with the relevant criteria. A positive expression of assurance is associated with a 'reasonable' assurance engagement. The auditor has assessed the risks that the information subject to audit could be materially misstated and, based on the evidence obtained, has formed a conclusion that the risk of giving an incorrect opinion is at an acceptably low level. The positive expression of opinion does not provide absolute assurance because of the level of judgement and other inherent limitations involved in the audit process. Reasonable assurance is associated with audit engagements and is the highest level of assurance provided by an auditor.

The negative form of expression is provided in a limited assurance engagement (i.e. a review engagement). The assurance practitioner applies procedures that are less extensive than applied in a reasonable assurance engagement, and therefore the evidence on which the opinion is expressed is less. Accordingly, the risk of an inappropriate opinion being given is higher and therefore the level of assurance provided is less. It is expressed in the form that nothing has come to the assurance provider's attention to indicate that the information reviewed is not in accordance with the relevant criteria.

Question 5

Answer A is incorrect because assurance improves the quality of information by providing an independent opinion that it has been prepared in accordance with the relevant criteria.

Answer B is correct because factual findings from a report arise when an agreed-upon procedures engagement is performed. No assurance is provided as the assurance provider agrees the procedures to be undertaken with the client and has no discretion to modify those procedures to what the practitioner considers necessary to provide a level of assurance.

Answer C is incorrect because assurance improves the decision-making process by providing more reliable information.

Answer D is incorrect because information is more relevant because its quality has been enhanced.

Question 6

Answer A is incorrect because the accountability relationship is between management and users and therefore it is management's responsibility to keep accounting records to prepare the financial statements.

Answer B is incorrect because the internal auditor provides a service to management within the entity. While they can assist management as part of the entity's control process for the preparation of the financial statements, management cannot delegate responsibility for the preparation of the financial statements to internal audit.

Answer C is correct because the auditor's role is to provide an independent opinion on the financial statements to add credibility to the assertions of management. To do so they need to avoid any conflict of interest that would arise if they were involved in taking responsibility for the underlying accounting records used as the basis for preparing the financial statements.

Answer D is incorrect because management is responsible for preparing the financial statements. They are the party that is accountable to financial statement users for their performance. The external auditor provides an independent opinion on the financial statements but doesn't 'approve' them.

Question 7

Answer A is incorrect because the company must keep appropriate accounting records to ensure that the financial statements represent the outcome of all the transactions and events from the company's operations for the period. By preparing and issuing the financial statements, management is implicitly asserting that this has been done.

Answer B is correct because the financial statements reflect the results of the transactions and events of the historical reporting period, and are not necessarily indicative of the future financial performance of the company.



Answer C is incorrect because the financial statements need to be prepared in accordance with the appropriate accounting standards and accounting policies need to be developed that comply with the standards. By approving and issuing the financial statements, management is asserting that they have complied with the reporting criteria.

Answer D is incorrect because by preparing and issuing the financial statements, management is asserting that those financial statements are a summary of transactions and events relevant to the company during the financial reporting period.

Question 8

Answer A is incorrect because management may seek assistance if it believes it is necessary to prepare the financial statements appropriately, but that assistance cannot be provided by the independent auditor who should not become part of the management function.

Answer B is correct because financial statements provide information about management's performance; they have a vested interest in providing biased information.

Answer C is incorrect because the auditor's opinion is whether the financial statements have been prepared in accordance with the applicable financial reporting framework. It is providing users with information that indicates that the information is reliable to assist their decision making about their investment or potential investment in an entity, not that the auditor has formed any conclusion about whether management has managed the company efficiently.

Answer D is incorrect because while an auditor will assess the risk of fraud affecting the financial statements as part of the audit process, and include procedures to reduce the risk that fraud has resulted in a material misstatement in the financial statements, the nature of fraud – which generally involves collusion, deception and attempts to conceal the activity and manipulation of records – means that it may remain undetected, even if the audit has been properly conducted.

Question 9

Answer A is correct because the level of economic activity is a function of economic factors that would not be affected by the audit process.

Answer B is incorrect because management has an incentive and self-interest bias in presenting financial information that reflects their preferred outcome. This creates a demand for an independent audit to provide assurance that the financial statements have been appropriately prepared and to add credibility to the financial statements for users.

Answer C is incorrect because many of the financial reporting requirements that provide the basis for the preparation and presentation of the financial statements are complex and require knowledge and skills that most users would not have. An independent audit helps to ensure that these complex requirements are appropriately prepared or accounted for.

Answer D is incorrect because the separation of ownership and management creates the demand for an independent third party to provide the owners with credible information as to how management has performed.

Question 10

Answer A is incorrect because directors are responsible for keeping accounting records to enable the preparation of financial statements and preparing the financial statements from those records.

Answer B is incorrect because directors are responsible for selecting the accounting policies to prepare the financial statements in accordance with the relevant accounting standards. The auditor's responsibility is to form an opinion as to whether the financial statements have been prepared in accordance with the standards.

Answer C is incorrect because directors are responsible for distributing the financial statements to shareholders.

Answer D is correct because directors are responsible for the preparation of the financial statements; it is their obligation to sign and approve them for distribution to shareholders. The auditor's responsibility is to conduct an audit and issue a report with an opinion on the financial statements.

Question 11

Answers A, B and C are incorrect because these are requirements under the CO.

Answer D is correct because this is a decision to be made by the financial statement users based on the audited financial statements and other information available to them about the company's activities. The auditor's opinion is not an endorsement of the company as a sound investment or management's performance.

Question 12

Answer A is incorrect because third-party users of the auditor's report are external to the organisation and have no role in the management or company decision making. While they have a vested interest in receiving financial statements and the auditor's report for their use in decision making about the company, they are not part of the company management.

Answer B is incorrect because the directors do not have the authority to appoint the auditor. While the auditor will obtain an engagement letter signed by the directors, that only formalises a contractual relationship with the company; it is not the instrument that appoints the auditor. It would be inappropriate for the directors to appoint the auditor, since the auditor is auditing the information prepared by the directors/management as to their performance for reporting to users of the financial statements. The directors can, however, appoint an auditor where a casual vacancy exists.

Answer C is correct because the shareholders appoint the auditor at the annual general meeting. The auditor reports to shareholders on the financial statements prepared by the directors/management due to the separation of ownership and management.

Answer D is incorrect because the chief financial officer is part of the management structure and would have a role in the preparation of the financial statements, interacting with the external auditor during the audit process, but has no authority or role in appointments under statute.

Question 13

Answer A is incorrect because the status of a profession includes acting in the public interest ahead of client interest and underpins public acceptance, status and role. The accountancy profession is accepted as appropriate to provide audit services and this is recognised in Hong Kong, for example in the CO.



Answer B is incorrect because a profession is expected to ensure that its membership is appropriately qualified for the function it serves, has standards of performance that its members must meet to provide a quality service and maintains the required level of expertise. In Hong Kong this is implemented through the membership requirements of the HKICPA and the issuing of auditing standards, continuing education and disciplinary processes.

Answer C is correct because a profession involves a level of trust between the professional and the client party, and an obligation to do the right thing. It is expected that information obtained from that relationship is not divulged to other external parties without consent or being required by law. Confidentiality is a basic ethical principle.

Answer D is incorrect because a profession has skills and knowledge consistent with its function and that are generally not possessed by others in the community at the appropriate level. It is expected that members of a profession are competent to apply appropriate skills in their area of expertise. Auditing requires levels of training and experience to become an auditor and to be competent in the subject matter of the audit.

Question 14

Independence is a fundamental principle of external auditing. As an audit is undertaken in order to enhance intended users' degree of confidence in the information about a company's financial position and performance presented in the financial statements, it is necessary to give the function credibility with users and to support the value of the audit function as a useful assurance service. That credibility derives from the situation whereby the auditor has no involvement in the preparation of the information and no vested interest in the outcome, and can therefore be, and be perceived to be, objective in expressing the auditor's opinion.

To maintain the confidence of financial statement users, auditors must be independent in both mind/fact and appearance.

To be independent of mind, the auditor must avoid circumstances that would influence or compromise professional judgement, and therefore allow the auditor to act with integrity, objectivity and professional scepticism.

Independence in appearance involves the auditor avoiding circumstances and facts where a reasonable and informed third party would likely conclude that the auditor's integrity, objectivity or professional scepticism has been compromised.

Question 15

Answer A is incorrect because HKSA 200 requires that the auditor apply professional judgement in planning and performing an audit. Professional judgement is applied within the context of auditing principles and standards.

Answer B is incorrect because the reputation of a profession requires that it has standards that provide a benchmark that governs the way its members undertake their work and to assist in maintaining the quality of that work. It is mandatory for members of the HKICPA to apply the Hong Kong auditing standards. Audits undertaken in accordance with standards also give users confidence that the auditor's report provides the assurance required.

Answer C is incorrect because while the internal auditor often applies procedures similar to the external auditor in areas where the external auditor needs to obtain evidence, and can provide the external auditor with evidence relevant to the work of the external auditor,

given that the internal audit function is an integral part of the entity being audited, that work must be tested by the external auditor as to its appropriateness for use as external audit evidence.

Answer D is correct because the auditors cannot become part of the organisational structure or management decision-making process. This could create a risk that the auditors could align their interests with the client and create a conflict of interest. This would potentially undermine audit independence.

Question 16

Answer A is incorrect because the Audit Committee provides a forum for the auditor to discuss with a body within the company, independent of those directly responsible for the management of the company and preparation of the financial statements, any problems arising during the audit. For example, any lack of co-operation or failure to provide explanations or evidence. The Audit Committee can seek to redress these problems.

Answer B is incorrect because the Audit Committee should be aware of, and discuss with the auditor, the significant accounting policies adopted in the preparation of the financial statements and the rationale for those policies. This provides a further level of scrutiny over the preparation and audit of the financial statements.

Answer C is correct because the Audit Committee reviews the high-level audit strategy to be aware of the approach being taken by the auditor and to be satisfied that the audit is being approached in an efficient and effective manner. However, it is not appropriate for the Audit Committee to become involved in considering the detailed audit procedures to be applied by the auditor. It is the responsibility of the external auditor to undertake the audit in accordance with auditing standards that cannot be delegated to any other party. It is also important that the auditor maintains independence in establishing the nature, timing and extent of the audit procedures appropriate to the circumstances.

Answer D is incorrect because the Audit Committee can play a role in providing a recommendation as to the appointment of the auditor. The Audit Committee can assess the overall audit strategy and capabilities of different auditors as they apply to the circumstances of the company, for example experience in the industry in which the company operates. The Audit Committee cannot appoint the auditor; that is a role for shareholders, but they can facilitate an informed decision.

Question 17

Answer A is incorrect because while the Audit Committee has oversight of the external audit function within the entity to facilitate the work of the auditor and communication with company management, the auditor is not engaged by, nor has any responsibility to issue, the auditor's report to that committee.

Answer B is correct because the auditor is appointed by the shareholders and is required to report to the shareholders.

Answer C is incorrect because the directors are responsible for the preparation of the financial statements and reporting to the shareholders, and the auditor's report is to add credibility to those financial statements that are distributed to the shareholders as a report on the performance of the company.

Answer D is incorrect because while auditors must comply with the HKSA's in the conduct of the audit, they represent the professional requirements of a professional body.

Question 18

- A** Objectivity – self-interest threat.
- B** Confidentiality.
- C** Intimidation – self-interest threat.
- D** No threat if under normal lending criteria, terms and conditions and immaterial to the audit client.
- E** Competency – self-interest.
- F** Objectivity – familiarity.
- G** Objectivity – self-interest.
- H** Objectivity – intimidation or self-interest.
- I** Professional competence and due care – self-interest.
- J** Objectivity – self-review.
- K** Objectivity – advocacy.
- L** Objectivity – familiarity.
- M** Objectivity – familiarity or intimidation.
- N** Objectivity – self-review.
- O** Objectivity – self-interest.
- P** Objectivity – self-interest or intimidation.
- Q** Objectivity – advocacy.

Question 19

Convergence is the policy adopted by the HKICPA to use the International Standards on Auditing issued by the IAASB of the IFAC as the basis for developing HKSAs and related guidance materials. The Hong Kong AASC adopts a due process that integrates with the IAASB and provides input to the development of international auditing standards. Once issued by the IAASB, the AASC assesses the standard and issues the equivalent HKSA, with any additional material deemed appropriate and, if necessary, amended to reflect local circumstances such as laws or regulations.

The objective of convergence, referred to as harmonisation at the international level, is to develop and support the implementation of a set of uniform standards to be applied internationally to provide quality audit services. At the national level, it is to establish a body of high-quality national standards that support CPAs and promote the professional accountant's status and acceptance with users and regulators, recognised internationally.

Question 20

Answer A is incorrect because the HKSAs apply to all audits undertaken by members of the HKICPA.

Answer B is incorrect because HKSAs are to be applied to all audits unless the HKSA, or a specific requirement in a HKSA, is not relevant in the circumstances of the audit. In exceptional circumstances the auditor can depart from a specific procedure if the auditor concludes that it would be ineffective.

Answer C is incorrect because the HKSAs contain basic principles and supporting application guidance that clearly establish the auditor's objectives, responsibilities and obligations in the circumstances dealt with by a standard. They provide the benchmark by which audit performance can be assessed.

Answer D is correct because HKSA's are mandatory for all audits undertaken by members of the HKICPA.

Question 21

Answer A is incorrect because the auditor's responsibilities and reporting requirements are governed by the CO. The CO provides the starting point for developing the audit scope and strategy. The auditor needs to have this knowledge and expertise to meet the statutory audit and reporting obligations.

Answer B is incorrect because independence is fundamental to the auditing profession if the audit function is to have credibility and provide a valuable service.

Answer C is correct because the auditor needs to develop an audit strategy as the basis for the detailed audit plan and programme. This process includes a judgement about materiality, understanding the company, identifying the risks of material misstatement and addressing those risks. It is the auditor's responsibility to make this judgement and not that of company management. The auditor is required to be independent and not subject to any management bias or influence.

Answer D is incorrect because the auditor adopts a systematic process to gather sufficient appropriate audit evidence on which to form conclusions on accounts and balances in the financial statements and on which to form an opinion.

Question 22

Answer A is incorrect because this is an audit procedure normally undertaken by an external auditor of a financial statement to obtain evidence about a balance on the entity's statement of financial position.

Answer B is correct because an external auditor of financial statements would review accounting controls to determine the reliance that could be placed on those controls when developing the audit programme. However, the external auditor does not undertake that activity as part of the external audit with the objective of providing a report to management. This is a function that would be undertaken by internal auditors to assist management to meet their responsibilities.

Answer C is incorrect because this is an audit procedure to obtain evidence to support an asset included on an entity's statement of financial position.

Answer D is incorrect. Refer (A) and (C).

Question 23

Answer A is incorrect because while essential to provide a quality service to management, adequate skills may not prevent undue influence on audit staff actions or decisions.

Answer B is correct because a mandate that gives the internal audit function a broad role in the company with a status that allows the internal audit function to undertake its tasks with an appropriate degree of autonomous authority, access and resources, along with access to and oversight by the Audit Committee, gives the internal audit function independence within the company.

Answer C is incorrect because this relates to the quality of work.

Answer D is incorrect because while access to management is necessary to allow the internal auditor to obtain the evidence necessary to prepare a report, etc., it may not of itself prevent undue influence on actions taken and decisions made.

Question 24

Answer A is incorrect because this is an economic issue relating to resource acquisition.

Answer B is correct because efficiency relates to the use of resources to produce the required quality of outputs.

Answer C is incorrect because effectiveness is a management function for the evaluation and measurement of a programme.

Answer D is incorrect because this is an economic issue relating to resource acquisition.

Question 25

Common features are:

1. The audits address a defined subject matter and are derived from the accountability relationship.
2. Appropriate criteria are required that provide the benchmark for the auditor to form a conclusion.
3. A systematic process to obtain sufficient appropriate evidence to support conclusions and form the basis for reporting.
4. Analysis and evaluation of the evidence to form conclusions based on the criteria.
5. A written report that conveys the auditor's conclusions consistent with the objectives of the engagement.
6. The application of professional judgement throughout the various phases of the audit process.

Some of the ways in which they differ are:

1. The subject matter can be broader and more varied, and the information about the subject matter more subjective or qualitative.
2. Suitable criteria are derived from a greater variety of sources and in some cases may need to be developed for the specific audit.
3. Sufficient appropriate audit evidence is obtained using a broader range of techniques, and the evidence can be more qualitative.

Question 26

Answer A is incorrect because this is an external source that provides a determinable benchmark indicating what is being applied in practice.

Answer B is incorrect because this is an external source that indicates what is being applied and is acceptable practice for that activity.

Answer C is correct because the auditor's experience may be limited and subjective as to whether it is generally accepted practice.

Answer D is incorrect because the use of expert consultants provides evidence that the practices adopted by management reflect relevant principles.

EXAM PRACTICE

QUESTION 1

An audit client, ABC Ltd, is in the process of acquiring XYZ. One of the purchase conditions to be met if ABC Ltd is to pay the negotiated amount for the business is that ABC Ltd is satisfied with the financial records of XYZ, which is a privately owned business and has not prepared statutory financial statements or been audited in the past.

XYZ's owners have given ABC Ltd permission to access its accounting records, and have engaged you to provide assurance on:

- (a) the internal management accounts prepared on a cash basis of accounting by XYZ for the past two years and formally adopted by the owners;
- (b) whether the cash receipts and disbursements between the date negotiations commenced until the settlement date are normal operating transactions for XYZ; and
- (c) a complete set of financial statements prepared at settlement date in accordance with HKASs and signed by the owners of XYZ.

ABC Ltd has advised that the information that is most significant in its decision-making process is items (b) and (c). ABC is less concerned with the management accounts.

Required

Identify the types of engagements you would recommend to ABC Ltd to meet its needs and explain your reasons.

QUESTION 2

As part of the HKICPA's self-regulatory process:

- (a) describe the role of the Auditing and Assurance Standards Committee (AASC) in setting auditing standards; and
- (b) explain the importance of auditing standards for members of the HKICPA.

QUESTION 3

You have been contacted by a potential investor in a company listed on the Hong Kong Stock Exchange. The investor has received the company's most recent annual report and advises you that the company appears to be a sound investment. The investor has confidence in the financial information because the auditor's report provides absolute assurance that the financial statements are correct.

Required

Prepare a response to this potential investor and explain your reasons.

QUESTION 4

The Code of Ethics has been developed requiring a conceptual approach to ethical decision making by accountants in public practice.

Required

- (a) Explain why a conceptual approach has been adopted.
- (b) Describe what is involved in applying the conceptual approach to ethical issues.

QUESTION 5

- (a) Identify the five threats to the fundamental ethical principles and explain why they represent a threat to compliance with those principles.
- (b) Bright Ltd is a multinational specialist printing company listed on the Hong Kong Stock Exchange. They have recently requested that your audit firm submit a proposal to be considered for appointment as auditor for the year ending 31 December 2019. You have been given the responsibility for preparing that proposal. You are aware that your firm has recently entered into a contract with Bright Ltd to provide printing services to your firm for the next three years, and is considering the impact this relationship has on your proposal.

Required

Analyse the threat that this relationship may have on your position and any safeguards that may exist to protect your position.

QUESTION 6

You are the auditor of HK Ltd and its subsidiaries. The Board is concerned that one of its subsidiaries may not be meeting expectations in terms of the group's financial position. It asks the Chief Financial Officer (CFO) to have you prepare an analysis of the subsidiary's financial performance. You prepare a report on cash flows, sales and profitability.

The CFO, however, believes that the subsidiary is performing adequately and will continue to contribute to the group's financial position, and suggests that your report focus on the sales and profitability and not report on cash flows as the cash flow analysis would only distract the Board in its deliberations. The CFO also mentions that reporting on cash flows may reduce the possibility of your firm being asked to provide similar or other non-assurance services in the future.

Required

Identify the threats to compliance with the fundamental ethical principles that this situation may create, and which principles are affected.

 ANSWERS TO EXAM PRACTICE**QUESTION 1**

- (a) As ABC Ltd does not regard the prior year's management accounts as significant for its decision making, a review engagement would be appropriate. A review engagement provides limited assurance as fewer audit procedures are performed and less evidence gathered. The review report would state whether anything has come to the auditor's attention to indicate that the accounts have not been prepared in accordance with the cash basis. This would be more cost effective compared to an audit. It would be an attest engagement as the owners have provided a written assertion.
- (b) As the information in relation to the transactions is significant to ABC Ltd's decision making, an audit engagement is recommended. This would provide a reasonable (high) level of assurance as to whether there are any unusual cash transactions.

The audit of the transactions would be a direct audit as there is no representation/assertion by the owners of XYZ that all transactions are in the normal course of business. The auditor's report would include information about the nature of the transactions as well as the auditor's opinion.

- (c) As the information in relation to the financial statements is also significant to ABC's decision making, an audit is also recommended. This would provide reasonable assurance that the financial statements have been prepared in accordance with accounting standards. This would be an attest audit, as the signing of the financial statements by the owners of XYZ provides a written assertion.

QUESTION 2

- (a) The Auditing and Assurance Standards Committee (AASC) is a committee established by the HKICPA Council to develop auditing standards, practice notes and auditing guidelines. The AASC has been directed to develop HKSAs through a process of convergence with International Auditing Standards issued by the International Federation of Accountants.

The AASC participates in the development of the international standards by issuing exposure drafts of proposed international standards in Hong Kong and providing comments to the International Standard Setting Board for consideration. Once the International Board issues a standard, the AASC analyses and evaluates the standards for issue as a HKSA, amended if deemed necessary. The AASC is therefore the committee that develops the auditing standards promulgated by the HKICPA.

The standards are written mainly in the context of financial statements, but also apply to other types of audit engagements as appropriate.

- (b) Auditing standards are the benchmark with which an auditor must meet in conducting an audit. The standards provide mandatory requirements for planning, conducting and reporting. They are to be complied with by members of the HKICPA when conducting an audit engagement. The standards also provide authoritative guidance on the application of the requirements and the standards are to be read, understood and applied in their entirety.

An auditor can only depart from an HKSA or a requirement in an HKSA if the circumstances of the engagement with the HKSA are not applicable or the condition is not relevant. If an auditor cannot achieve the objective of a standard, the auditor must consider whether to issue a modified opinion or, if possible, withdraw from the engagement.

QUESTION 3

The auditor provides a reasonable (high) level of assurance that the financial statements are not materially misstated. This is not an absolute level of assurance. While an auditor plans and conducts an audit to obtain sufficient appropriate evidence on which to support the opinion, much of that evidence is persuasive rather than conclusive.

There are limitations to the audit process which involve the auditor making professional judgements to identify risks that the financial statements are materially misstated and determining the nature and extent of the audit procedures to be applied.

The auditor generally applies sampling techniques that limit the number of transactions tested for cost and efficiency reasons. As not all transactions are tested, there is the potential for misstatement.

The financial statements themselves involve the preparers making judgements and estimates, and the evidence is limited by the nature of that process.

There are inherent limitations of the system of internal control over the preparation of the financial statements. For example, human error or deliberate override of the system may lead to transactions not being recorded correctly.

A properly conducted audit may not detect fraud due to its nature, which involves collusion and attempts to conceal it.

Accordingly, a properly conducted audit in accordance with auditing standards does not provide absolute assurance, but the standards are designed to result in a reasonable/high level of assurance.

QUESTION 4

- (a) A conceptual approach recognises that there are a large number of different circumstances that a professional accountant could encounter in the relationship with a client, and a range of different services and activities that could affect the behaviour and actions of the accountant. It is not possible to specifically identify and provide rules for every possible situation that might arise. The conceptual approach avoids situations where a potentially inappropriate behaviour or activity that could contravene the fundamental ethical principles of the profession may be seen as appropriate because it is not specifically prohibited.
- (b) The conceptual approach involves the professional accountant:
- identifying threats to compliance with the fundamental principles of integrity, objectivity, professional competence, confidentiality and professional behaviour
 - the threats are self-interest, self-review, advocacy, familiarity and intimidation
 - evaluating the significance of those threats and applying safeguards to eliminate the threat or reduce it to an acceptable level, making a judgement based on a reasonable and informed third-party test
 - where appropriate safeguards are not available, the relationship or circumstances creating the threat must be eliminated or the engagement declined or discontinued.

QUESTION 5

- (a)
- Self-interest. The threat that a financial or other interest will inappropriately influence judgement or behaviour.
 - Self-review. The threat that the work done previously by another member will not be properly reviewed and evaluated.
 - Advocacy. The threat that promoting a client's or employer's position will compromise objectivity.
 - Familiarity. A threat due to a long or close relationship with a client will result in taking a too sympathetic position in relation to their interests, or being too accepting of their work and compromising objectivity.
 - Intimidation. A threat that may deter a member from acting objectively because of actual or perceived pressures, including attempts to exercise undue influence.

- (b) The code covering independence deals specifically with 'business relationships'. While it prohibits business relationships that are material and significant to the firm and client, it allows for firms to enter into arrangements for the purchase of goods and services if they are in the normal course of business and conducted at arm's length.

Even though the contract has been entered into prior to the audit period for which the proposal is sought, it covers the period that would be subject to audit and needs to be considered. Details would have to be obtained as to whether the process of entering into the contract was at arm's length and involved normal process, such as a tender process, and on the same terms as generally apply to these contracts. Consideration would need to be given to the materiality of the contract to the firm. If it is not material, then the threat would seem to be at an acceptable level. If it is material to the firm, then the contract may need to be modified to reduce its significance or if that is not an option, be terminated before the firm could be considered as a potential auditor.

QUESTION 6

This situation creates self-interest and intimidation threats. The audit firm would not want to be excluded from the possibility of obtaining revenue from future non-assurance services required by HK Ltd. This brings in the element of self-interest, in order to maintain a potential client relationship beyond the audit. The related intimidation threat results from the pressure and undue influence applied in order to deter the auditor from performing the financial analysis as deemed to be appropriate.

The fundamental principles affected are integrity and objectivity. Integrity requires that the member be straightforward in all professional and business relationships. It requires that the member not be associated with the omission of information that would result in a misleading report. By not including the cash flow analysis, the report prepared may not provide all the information relevant to the Board in its decision making. Objectivity is breached because the undue influence and pressure would deter the auditor from reporting the information that they deemed appropriate in the circumstances.

2

Legal Liability and Corporate Governance

CHAPTER TOPIC LIST

2.1 Auditor's Legal Liability

- 2.1.1 Legal Liability to Clients
- 2.1.2 Legal Liability to Clients Under Contract Law
- 2.1.3 Provisions Related to Avoiding Legal Liability

2.2 Corporate Governance

- 2.2.1 Introduction to the Corporate Governance Code and Report
- 2.2.2 Approach to 'Comply or Explain'
- 2.2.3 The Auditor's Responsibilities to Consider and Address Corporate Governance Requirements

2.2.4 Board of Directors

2.2.5 Audit Committee

2.2.6 Remuneration Committee

2.2.7 Nomination Committee

2.2.8 Best Practices of Corporate Governance

2.2.9 Management Responsibilities

2.3 Client Acceptance and Continuance

2.3.1 Pre-acceptance Procedures

2.4 Continuing Engagements



LEARNING OUTCOMES

PRINCIPAL LO1: DESCRIBE AND APPLY THE PROFESSIONAL STANDARDS AND GUIDELINES APPLICABLE TO AN AUDIT

LO1.02: Describe and explain approaches to apply a corporate governance framework and the impact on auditing and the auditing profession

- 1.02.01** Describe good corporate governance requirements relating to directors' responsibilities and the reporting responsibilities of an auditor
- 1.02.02** Explain the auditor's responsibilities to consider and address corporate governance requirements
- 1.02.03** Explain the need for an auditor to communicate with those charged with corporate governance

PRINCIPAL LO2: EXPLAIN THE NATURE AND PURPOSE OF AUDITING

LO2.02: Describe the roles and responsibilities of an auditor

- 2.02.02** Explain the statutory regulations governing the appointment, rights, removal and resignation of an auditor
- 2.02.03** Describe management's responsibilities in preparing financial statements
- 2.02.06** Explain the considerations for accepting a new client or continuance of an existing client
- 2.02.07** Describe the auditor's liability to clients and related defence
- 2.02.08** Describe the auditor's liability to third parties and related defence



OPENING CASE

ZEN MINING, INC.

Zen Mining, Inc. (ZMI) was founded in 2001 as a privately held rare earth processing company, which purportedly operated five properties in Hong Kong. The company has a year end of 31 December and in 2010 the company became a listed company. ZMI reported assets of HK\$89.7 million and estimated revenues of HK\$51 million in 2010.

Over the years ZMI have changed auditors very frequently due to disagreements with them. The company's auditor at the time, ABC & Co issued an unmodified opinion on the financial statements for the year ended 31 December 2010. The auditor's report did, however, contain references to a material uncertainty related to going concern due to certain contracts which were due to be renewed in 2011 and at the time of signing the auditor's report, the successful bidder for these contracts had not been announced.

Subsequent to ZMI filing its financial statements with the listing authority, an investigation of its financial statements by regulators found that ZMI had significantly overstated assets (by some 95%) and understated expenses in its financial statements for the year ended 31 December 2010, which fraudulently deceived investors because reported profits and assets were both too high. Investigations also found that a number of properties which had not been used by the business for several years had not been written down by way of an impairment loss (this also overstates the company's assets).

Management and various consultants used within the entity were also being remunerated through preferred stock and audit work was also found to be negligent in a number of areas and this resulted in charges being filed against both the company and its auditors. The company's cash balances were very low as at 31 December 2010 and the cash flow forecast indicated that the company would have net cash outflows for several months during 2011, indicating significant liquidity problems which had not been adequately disclosed in the financial statements, nor referred to in the auditor's report.

The investigation also found significant evidence that the entity's agents were fraudulently manipulated the value of ZMI's shares using various stock transactions. 



OVERVIEW

External auditors, also known as independent auditors, are appointed to provide an opinion as to whether the financial statements give a true and fair view, or present fairly in all material respects, the financial affairs of the entity. The primary objective of the auditor is to carry out an audit and express an opinion which provides reasonable (but not absolute) assurance that the financial statements are free from material misstatements whether caused by fraud or error and that they are presented fairly and in conformity with a set of accounting principles [e.g. Hong Kong Financial Reporting Standards (HKFRSs)]. The external audit function is an essential component of corporate governance, which is intended to protect investors from receiving incomplete, inaccurate, misleading and fraudulent financial information. Auditors of public companies are also required to express an opinion on the effectiveness of the internal control. Auditors' duties, responsibilities, rights and liabilities in Hong Kong are determined based on the **Companies Ordinance (Cap.622) (CO)**, Hong Kong Standards on Auditing (HKSA) and other applicable laws, rules and regulations which are discussed in this chapter. The HKSAs provide guidelines for auditors in performing an audit of financial statements and determines their responsibility to comply with applicable laws and regulations and ethical standards.

The first part of this chapter examines the auditors' role, responsibility and legal liability. The primary purpose of the statutory audit in Hong Kong is for the auditor to express an independent opinion on whether the financial statements are presented fairly in all material respects and give a true and fair view in accordance with the applicable financial reporting framework. In performing the audit, auditors have certain duties, rights and obligations stated as follows:

- The preparation and submission of the auditor's report.
- Auditors' rights are typically the unrestricted access to the client's accounting records, attending general meetings and full cooperation from management.
- Auditors can be held liable to their clients and third parties for the auditor's report in terms of:
 - (1) contractual liability under the contract law;
 - (2) tort liability under the common law; and
 - (3) statutory liability under the statutory law of the CO.

The second part of this chapter addresses corporate governance in general with a keen focus on corporate governance in Hong Kong. Corporate governance is defined as the process of managing the company for the benefit of its stakeholders, including shareholders, with the intent to align management's interests with those of shareholders. This section examines the importance of compliance with applicable laws, regulations and corporate governance measures by accountants and auditors as well as the possible detrimental effects of any non-compliance.



2.1 AUDITOR'S LEGAL LIABILITY

HKSA 200 *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Hong Kong Standards on Auditing* outline the auditor's objective at paragraphs 11(a) and (b). The auditor is required to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared in all material respects, in accordance with an applicable financial reporting framework. In addition, the auditor is also required to report on the financial statements, and communicate as required by the HKSA, in accordance with the auditor's findings.

HKSA
200.11(a)

HKSA
200.11(b)

Users of audited financial statements, including **clients**, investors, creditors and other **third parties**, generally expect **external auditors** to detect financial statement fraud (often referred to as 'fraudulent financial reporting') and employees' illegal acts, fraud, or any errors that affect the integrity of financial reports. An auditor's responsibility is to form an opinion on whether the financial statements give a true and fair view (or present fairly in all material respects). Clients, investors and other third parties usually hold auditors accountable for expressing inappropriate audit opinions on materially misstated and misleading financial statements.

The HKSAs require that independent auditors provide *reasonable assurance* that the financial statements are free from material misstatement whether caused by fraud or error. Auditors are legally responsible for any audit failures which arise due to failing to discover material misstatements in the financial statements or failing to disclose material misstatements discovered during the audit to management and those charged with governance of the entity.

As a result, auditors could be held legally liable to their clients and third parties for failure to discover and report material misstatements in the audited financial statements caused by errors, irregularities and management manipulations of financial statements including overstating assets and revenues and understating liabilities and expenses.

Illustrative Example 1

In the opening case, the financial statements for ZMI for the year ended 31 December 2010 were misleading as its assets were overstated and its expenses and liabilities were understated. There were significant issues related to the valuation of its assets (assets were found to be overstated) and questions about the proper recording of its expenses (which were understated) and there were material uncertainties regarding the entity's ability to continue as a going concern (as emphasised in the auditor's report for the year ended 31 December 2010). Furthermore, ZMI had limited cash on hand and regularly paid its management, employees, and consultants with common and/or preferred stock. Finally, there was substantial evidence that its agents were fraudulently manipulating ZMI's valuation in the marketplace by various stock transactions.

Illustrative Example 1 (continued)

The SFC investigation found that the auditors failed to identify many of the problems with ZMI's financial statements including the overstatements of assets and the high likelihood of severe financial difficulties that threatened its existence as a going concern. Going concern issues had been referred to in the auditor's report, but only in respect of the renewal of the contracts (nothing had been referred to in respect of a lack of working capital and potential net cash outflows).

In this example, the audit firm has engaged in improper professional conduct for failing to conduct the 2010 audit in accordance with HKSA's. The company had deliberately overstated its assets and understated its expenses, resulting in a misleading statement of profit or loss and statement of financial position. In addition, the auditor had failed to challenge management on the inadequate going concern disclosures in respect of a lack of working capital and the fact that shareholders were effectively being misled. The charges brought against auditors for such negligent audit work include penalties for all parties involved, including bans from practising before the SFC, monetary fines, and cease-and-desist orders.

The example above highlights the importance of conducting an audit with professional skepticism (i.e. maintaining a questioning mind and challenging management in respect of various judgements and estimations used in the financial statements). There are other cases of auditors' failing to discover and/or report material misstatements which have been discovered in the financial statements that has resulted in legal liability for auditors.

For example:

- Auditors at Enron discovered material misstatements caused by the use of 'special-purpose entities', but they failed to report them to investors.
- Xerox's auditors were warned about accounting problems at the company, however, they chose to ignore them and instead issued a clean, unmodified opinion on its financial statements.

Auditors need to understand the legal environment in which they operate, because it determines the type and extent of their liabilities to their clients and third parties. In many lawsuits brought against auditors, the assessed financial and reputational damages can be devastating and can affect the sustainability of audit firms as evidenced by Arthur Andersen, the Enron auditor which collapsed as a result of negligent audit work.

The legal environment determines the auditors' responsibilities and legal liability to their clients and third-party users for Hong Kong Certified Public Accountants (HKCPAs) that audit listed companies in Hong Kong as well as businesses in mainland China. The CO in Hong Kong contains and defines auditors' legal liability to their clients and third parties as well as a general prohibition against exempting or indemnifying an auditor from any liability associated with negligence, default, breach of duty or breach of trust in conducting an audit of financial statements for their clients.



Apply and Analyse 1

Apply

You are the audit senior of Park & Co and are planning the audit of the financial statements for a new client, Chime Industries Ltd the year ended 31 December 20X3. You have had a meeting with the audit engagement partner who has informed you that the audit team will comprise of four staff, including the audit junior. During the audit planning meeting, the audit engagement partner said that because this is a new audit client, detection risk (the risk that the audit team's procedures fails to detect a material misstatement) is increased due to a lack of experience of the client. The audit engagement partner said that it is vital that professional scepticism is applied at all times throughout the course of the audit in order to remain alert to any potential fraud risk factors.

This is the audit junior's first audit assignment and she has expressed surprise at the audit engagement partner's instructions. She has said to you that she thought it was the auditor's responsibility to detect fraud as well as provide an opinion as to the truth and fairness of the financial statements.

Explain to the audit junior why auditors are not primarily responsible for the prevention and detection of fraud at Chime Industries Ltd and what their responsibility to the client is in terms of the way they carry out their work.

Analysis

HKSA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements* at paragraph 4 is clear. The primary responsibility for the prevention and detection of fraud rests with both those charged with governance of the entity and with management. HKSA 240, para 4 then goes on to confirm that oversight by those charged with governance includes considering the potential for management override of the internal controls over the financial reporting process, e.g. efforts by management to commit fraudulent financial reporting (earnings management), to influence perceptions of analysts as to the entity's performance and profitability.

The auditor has a responsibility to obtain reasonable (not absolute) assurance that the financial statements taken as a whole are free from material misstatement, whether caused by fraud or error. This means that the auditor has a duty to the client to perform adequate audit procedures, which are reflective of their auditor's assessment of risk, so as to obtain sufficient appropriate audit evidence that the financial statements are free from material misstatement whether caused by fraud or error. If the auditor fails in this duty, the scope for a negligence claim is wider and so the auditor must take care to ensure that the plan the audit properly, in accordance with the HKSA's, and ensure that the audit evidence they obtain provides them with such reasonable assurance. HKSA 240 paragraph 5 does acknowledge that there are inherent limitations present in an audit which means there is an unavoidable risk that some material misstatements of the financial statements may not be detected even though the audit is properly planned and performed. The auditor must, however, ensure that the audit is properly planned and executed because any subsequent claims to the contrary could suggest otherwise.

2.1.1 Legal Liability to Clients

Sections 405 and 406 of the CO require that auditors report to shareholders their audit opinion on the financial statements at the Annual General Meeting (AGM). The auditor's report states whether the financial statements are presented in conformity with the CO and whether they reflect a true and fair presentation of the financial position and performance and cash flows. According to Section 407 of the CO, auditors also express their opinion as to whether the company has kept adequate accounting records and whether the financial statements agree with such records. An auditor's failure to comply with the requirements of Sections 405, 406 and 407 of the CO can trigger legal liability to their clients. Generally speaking, under the Hong Kong law, auditors' legal liability to their clients is for failure to exercise reasonable care, which is broadly defined as compliance or non-compliance with applicable laws, rules, regulations and standards. However, the scope of auditors' legal liability to third parties under Hong Kong law is rather limited and restricted to cases where auditors have an assumed responsibility to identified and particular third parties. Auditors are potentially liable to their clients under contract law, common law or **statutory law** for monetary damages and even subject to criminal penalties (fines and jail terms) for failure to perform their professional services properly.

An engagement letter (a written contract between the auditor and his/her client) is an important contract between the auditor and the client which establishes the parties' contractual relationship and both parties' obligations. The engagement letter specifies the auditors' legal liability to their clients under contract law. Contractual items that are typically included in an engagement letter are outlined in HKSA 210 *Agreeing the Terms of Audit Engagements* paragraph 10 as follows:

- The objective and scope of the audit of the financial statements;
- The responsibilities of the auditor;
- The responsibilities of management (under the CO, directors are responsible for the preparation of financial statements showing a true and fair view);
- Identification of the applicable financial reporting framework for the preparation of the financial statements; and
- Reference to the expected form and content of any reports to be issued by the auditor; and
- A statement that there may be circumstances in which a report may differ from its expected form and content.

HKSA
210.10

2.1.2 Legal Liability to Clients Under Contract Law

Contract law determines the contractual relationship between clients and auditors as specified in the engagement letter signed as a contract between the auditor and the client at the outset of the audit engagement. Auditors have privity of contract with their clients that defines their contractual relationship and agreements. Auditors can be held liable to their clients under contract law for any failure to perform their professional services in accordance with one or more of the provisions in the contract. For example, auditors failing to deliver their auditor's report on the agreed upon date or not performing the audit in accordance with HKSAs or other regulatory requirements. Auditors can be held legally liable to their



clients under the CO for knowingly or recklessly failing to report situations where the financial statements are not prepared in accordance with generally accepted accounting principles (GAAP), such as HKFRS. The auditor's means of defence under contract law is proof that the auditor has fulfilled all the terms of the contract outlined in the engagement letter signed by the auditor and the client.

2.1.2.1 Legal Liability to Clients and Other Third Parties under Common Law

Common law is developed based on the opinions of courts and it could vary from one jurisdiction to another or one country to another country or from one year to the next. Common law consists of the consensus of judicial decisions and precedents established over many years and many lawsuit cases worldwide. Common law exists in many countries as a result of their judicial process rather than legislative actions. An auditor's liability under common law is to their clients, third-party primary beneficiary, and foreseen or foreseeable third parties.

Under common law, auditors may be held liable to their clients for breach of contract and negligence in performing the audit engagement.

- **Breach of Contract** – The contract for performing the audit by auditors is specified in the engagement letter signed by auditors and their clients. The terms of the contract are defined in the engagement letter and the auditor can be held liable for breach of contract, which is caused by the failure to complete the professional services agreed in the contract, delivering the auditor's report by the agreed upon date or violating other terms of the contract. The CO states the statutory responsibilities of professional accountants (auditors) to their clients to examine and report on the truth and fairness of the client's financial reports.
- **Negligence** – Auditors can be held liable to their clients for negligence which has resulted from a deviation of a minimum standard of reasonable care that is expected of an auditor. The minimum basis for potential auditor liability is determined based on the type and extent of audit failures classified as ordinary negligence, gross negligence or fraud as defined in the following subsections. Negligence in general refers to the situation where auditors fail to exercise due professional care and skill expected from auditors under normal circumstances when conducting audit work.

Ordinary Negligence

Failure to exercise the standard of care that a reasonable person would exercise in like circumstances. For example, failing to gather sufficient and appropriate audit evidence, through performing effective audit procedures, to use as a basis in forming an opinion on the client's financial statements.

These elements must be present for proving ordinary negligence:

- Duty of care that the auditor is expected to exercise the same reasonable care which others in the profession would exercise in similar circumstances.
- Breach of that duty of care.
- Failure to comply with the required standard of reasonable professional care established by Hong Kong financial reporting and auditing standards and other applicable rules and regulations.

- Causation that the breach of the duty of care caused the damage and there is a causal link between the auditor's negligence and losses incurred by the plaintiffs.
- Damages and actual losses incurred.

Gross Negligence

Gross negligence arises due to a lack of exercising duty of care, which is indicative of reckless behaviour. For example, a failure to follow the HKSAs when carrying out the audit.

These elements must be present to prove gross negligence:

- Duty of care: Auditors are expected to exercise the same reasonable care which others in the profession would exercise in similar circumstances.
- Breach of that duty (more egregious than ordinary negligence).
- Causation
- Damages

Auditors can be sued for ordinary and/or gross negligence by their clients and other third parties who rely on the audit opinion in making decisions. Auditors can defend themselves by proving:

- There is no lack of a duty of care, which is difficult to prove.
- Performance was not negligent by proving that auditors exercise due diligence.
- Contributory negligence by clients and/or third parties.
- Absence of cause, indicating that reliance on the auditor's report was not a reason for the financial loss.

Fraud

HKSA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements* defines 'fraud' as an intentional act by one or more individuals among management, those charged with governance, employees, or third parties, involving the use of deception to obtain an unjust or illegal advantage.

Fraud is a knowingly false, material misrepresentation of fact, or reckless disregard for the truth. An intentional wrongful act to deceive others by damaging one's body, reputation or property.

These elements must be present to prove fraud:

- The auditor made a misrepresentation of material facts.
- The auditor had knowledge or belief that the representation was false.
- The auditor intended to induce third party to place reliance on the information.
- The third party suffer damages.

Auditors can be held liable to third parties under common law for negligence and fraud. Exhibit 2.1 illustrates the type of plaintiff, the minimum basis for potential auditor liability, and the burden of proof upon plaintiffs under common law that could also be applicable to lawsuits cases brought against practising accountants in Hong Kong.

HKSA
240.11(a)



Plaintiff	Minimum Basis for Potential Auditor Liability	Burden of Proof upon Plaintiffs
Client	Ordinary negligence	Damage or loss
Third party – Primary beneficiary	Ordinary negligence	Misstated financial statements or erroneous advice
Foreseen beneficiary	Gross negligence	Reliance upon financial statements or advice
Foreseeable third Parties	Gross negligence and Fraud	Deficient auditor Conduct

► **EXHIBIT 2.1: Plaintiffs and the respective minimum basis for potential auditor liability and burden of proof**

Apply and Analyse 2

Apply

In the opening case, assets reported on the statement of financial position for ZMI for the year ended 31 December 2010 were overstated by at least 95 percent without adequate cash and substantial doubt about its ability to continue as a going concern. Furthermore, none of the properties that were reported productive had been used by the business for several years – this is an indicator that the properties were impaired and hence should have been written down to recoverable amount in the statement of financial position by way of an impairment loss in accordance with HKAS 36 *Impairment of Assets*.

Explain how the audit firm has been negligent in performing this audit and what sanctions would be brought against the audit firm if the allegations are proven in court.

Analysis

The auditors failed to discover and report financial statement fraud (also known as ‘fraudulent financial reporting’) committed by the company through overstating assets and understating expenses. This gives rise to what is referred to as an ‘audit failure’ – i.e. the audit has not achieved its objective and has effectively failed. This happened because the auditors did not effectively and adequately challenge management assertions presented in the financial statements before ZMI filed them with the Hong Kong Stock Exchange, or, at the very least, referred to the issues in the financial statements in their auditor’s report.

In addition to charging ZMI management officials with fraudulent accounting practices and the broker-dealers of ZMI stock with violations of several federal securities laws, the SFC charged the auditor, ABC & Co, for negligence and not exercising reasonable professional care. Several executives and auditors were fined, received public censure, charged with cease-and-desist orders and disbarred from practising in the accounting profession.

2.1.2.2 Statutory Requirements for Audit

This section presents **auditors legal liability** to their clients and third parties under the statutory law.

Illustrative Example 2

In 2017, PCAOB announced a settled disciplinary order against Hong Kong-based audit firm Crowe Horwath HK, a partnership based in Hong Kong, for failing to cooperate with an investigation by the PCAOB. Crowe Horwath had refused to produce requested documents including audit working papers of the firm's audits of a China-based issuer. The firm consented to the sanctions and admitted to the facts, findings, and violations in the order. Crowe Horwath HK's registration was revoked with a right to reapply after three years. The firm was also censured.

Auditors Responsibility for Detecting Fraud

The concepts of fraud and ethics, stemming from the moral concepts of wrong and right, permeate every facet of society, including the business world. Fraud is defined in HKSA 240 as an intentional act by one or more individuals among management, those charged with governance, employees, or third parties, involving the use of deception to obtain an unjust or illegal advantage. Thus, corporate fraud can be viewed as using deception to make a personal gain for oneself dishonestly and/or to create a loss for another. Corporate fraud can be internal consisting of asset misappropriation, fraudulent financial statements, and corruption and can be committed by employees (usually through manipulating weaknesses in the entity's internal controls) and management (usually by overriding the entity's internal controls). Common internal fraud activities would include theft, conspiracy, conflicts of interest, embezzlement, money laundering, bribery and extortion. Fraud can also arise outside of the business, which would include activities such as corporate identity theft, intellectual property fraud, and cyber-crime. The common understanding is that external auditors should not be held liable for employees' fraud such as theft and embezzlement that could be prevented, detected and corrected by strong and effective internal control systems. However, auditors can be held liable for material financial reporting and fraud affecting the reliability, and the quality of audited financial statements.

HKSA 540 (Revised) *Auditing Accounting Estimates and Related Disclosures* contains the concept of the 'spectrum of inherent risk'. Some accounting estimates may give rise to 'significant risks' because of their complexity, or because the data underpinning the accounting estimate(s) is complex. This could, in turn, give rise to a fraud risk factor, meaning that there is a risk that the accounting estimate could have been included in the financial statements to hide a fraud.

HKSA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*, paragraph 33 requires the auditor to review accounting estimates for biases and evaluate whether the circumstances producing the bias, if any, represent a misstatement due to fraud. In performing this review, the auditor must:

- (a) Evaluate whether the judgments and decisions made by management in making the accounting estimates included in the financial statements, even if they are individually reasonable, indicate a possible bias on the part of the entity's management that may represent a risk of material misstatement due to fraud. If so, the auditor shall re-evaluate the accounting estimates taken as a whole and
- (b) Perform a retrospective review of management judgments and assumptions related to significant accounting estimates reflected in the financial statements of the prior year.

HKSA
240.11(a)

HKSA 240,
para 33



Key Learning Point

The auditor is not responsible for the prevention and detection of fraud – this responsibility rests with management. HKSA 240.4 is clear in this respect in that it is **management and those charged with governance** of the entity who are responsible for the prevention and detection of fraud. The auditor is responsible for obtaining reasonable assurance that the financial statements **taken as a whole** are free from material misstatement, whether caused by fraud or error. HKSA 240.5 goes on to confirm that due to the inherent limitations of an audit, there is an unavoidable risk that some material misstatements of the financial statements may not be detected, even though the audit is properly planned and performed in accordance with the HKSAs.

HKSA
240.5

Illustrative Example 3

In serious but extremely rare cases, auditors themselves can get caught up in fraud. Assume that ZMI has a competitor, Halcyon Ltd, that is publicly traded and headquartered in Hong Kong. Lenz HK Ltd was hired to be Halcyon's auditor in the second quarter of 2015.

During the audit, fraudulent activity occurred in two major areas: the accounting for maintenance deposit assets and the revenue. While Halcyon had intended to hire a consultant to look over the deposit records, Lenz's auditors agreed with the accounting for the deposits and issued unqualified audit opinions on both the financial statements and the internal control for 2015, despite the possible overstatement of the deposit assets and lack of effective internal controls.

In 2016, Halcyon had to write down these overstated deposits by treating the write-downs as current period expenses, despite the fact that most of the unsupported deposits were related to prior periods. In addition to the false statements issued in 2015, in 2016 the auditors failed to obtain sufficient and appropriate audit evidence concerning the unsupported deposits and the amounts written off as current year expenses. Furthermore, the auditors failed to consider whether the misstatements were indicative of fraud, failed to assess the materiality of the unsupported deposits and write-offs and failed to evaluate controls over Lenz HK's accounting for its deposits, including whether there was a deficiency in its internal control and whether that deficiency represented a significant weakness.

Halcyon's 2015 and 2016 records were audited during the financial years 2018–2020. In an effort to conceal the fraud, Lenz HK's auditors improperly altered working papers, provided the false working papers to inspectors, concealed original documents, provided other misleading information and documents, and even lied under oath. Lenz HK was fined and the employees involved in the fraud were hit with personal penalties, including being barred from registered public accounting firms.

While this case primarily addresses an auditor's failure to carry out proper audit procedures to obtain reasonable assurance that the financial statements are free from

Illustrative Example 3 (*continued*)

material misstatement, whether due to fraud or error, which resulted in sanctions being brought against the audit firm, Halcyon suffered as well. The company's stock price decreased dramatically after the filings surfaced, indicating that investors had lost confidence in Lenz HK and its reputation. This case demonstrates how the effects of fraudulent behaviour can be devastating in causing financial and reputational damages for both the auditor and the client. This case also highlights the fact that auditors themselves can be held liable to third parties for any failure to exercise reasonable care in discovering and reporting material financial misstatements whether caused by fraud or error.

Apply and Analyse 3

Apply

Consider an audit firm (ABC) which expresses an unmodified audit opinion on the financial statements of BDI for the year ended 31 December 20X2 and there were no matters in the auditor's report to which the auditor drew attention to. On 30 November 20X3, BDI files for bankruptcy.

XYZ is a major creditor of BDI. XYZ has alleged that the audit firm, ABC, failed to warn them of several major irregularities and fraud which have come to light since ABC issued their auditor's report on the 31 December 20X2 financial statements. XYZ have stated that it has relied on ABC's unmodified auditor's report and made several substantial loans to the company. When BDI declared bankruptcy, the company defaulted on the terms of these loans owing XYZ a significant amount of arrears.

ABC have argued that XYZ had already made several loans to the company prior to the audit of the financial statements for the year ended 31 December 20X2 and would have continued to advance loans to the company based on their covenant agreements regardless of the auditor's report or the opinion contained therein.

Identify whether the audit firm, ABC, is liable for XYZ's losses.

Analysis

Even though ABC had no direct relationship or engagement with XYZ, XYZ is a third-party beneficiary in this case. ABC, as the auditor, owes a continuing duty of care on the basis that XYZ's subsequent advances were made by relying on ABC'S auditor's report.

ABC should have exercised reasonable care and skill when performing the audit and in relation to the opinion expressed in the auditor's report. As such, ABC is legally liable to XYZ for the audit failure. It did not exercise due professional care in following the HKSA's in respect of going concern when the client was in severe financial difficulties and challenges which would affect BDI's ability to continue as a going concern. At the very least, the auditor should have made reference to any going concern disclosures made in the financial statements by BDI's management or expressed a qualified auditor's opinion if adequate going concern disclosures had not been made.



Criminal and Civil Liabilities

According to COE Section R115.1 professional accountants must comply with all applicable laws, rules, regulations and standards in conducting audit services. Non-compliance could constitute crimes or wrongdoings that may give rise to civil and criminal offenses. Professional accountants can be held criminally liable to a fine and imprisonment for producing misleading financial statements. Auditors can also be held to account for negligent audit work which may result in an auditor's report which misleads the users of the financial statements.

Professional accountants can also be charged for civil liability of being liable to pay compensation for the loss or damaged caused by making untrue statements. The Companies Bill passed in the Hong Kong Legislative Council addresses auditors' criminal liability for knowingly or recklessly omitting certain information from their auditor's reports. Practising accountants could be exposed to criminal sanction if they intentionally, or unintentionally, omit relevant information. Under Clause 398 of the Bill, auditors must include the following in an auditor's report, where applicable:

- An opinion that adequate accounting records have not been kept by the client company;
- An opinion that the financial statements are not in agreement with the accounting records, in any material respect;
- The fact that all the information or explanations from management (to the best of the auditor's knowledge and belief), which are necessary and material for the purpose of the audit, have not been obtained.
- The omission of any of the above items may constitute an offence to knowingly or recklessly omitting the required information within the auditor's report which could cause auditors' criminal liability.

2.1.3 Provisions Related to Avoiding Legal Liability

Subdivision 5, entitled 'Auditor's Liability', of the CO deals with avoiding provisions that would protect an auditor from liability. If a company's articles, contracts, or intentions attempt to implement any provision that would exempt an auditor from any liability (i.e. negligence, default, and breach of duty or trust), then that provision is void. This includes any direct or indirect protection against loss/liability for an auditor of the company, or an auditor of an associated company, while performing auditor duties in relation to the company or associated company as per subdivision 5 subsection 3 of the CO.

Subsection 3 does not prevent companies from taking out and maintaining insurance for an auditor of the company, or an auditor of an associated company, against any liability to a person or any aforementioned liabilities (including fraud) resulting from defending any civil or criminal proceedings during the course of performing auditor duties in relation to the company or associated company.

Subsection 3 also does not prevent companies from compensating an auditor due to the defending of any civil or criminal proceedings where a judgement is granted in the auditor's favour, the auditor is acquitted, or relief is granted to the auditor by the Court as per Section 903 or 904.

► Knowledge Check Questions

Question 1

Identify which of the following correctly describes the auditor's responsibility for the financial statements of an audit client:

- A** To express absolute assurance that the financial statements are free from material misstatement whether caused by fraud or error.
- B** To express reasonable assurance that the financial statements are free from material misstatement whether caused by fraud or error.
- C** To report to management their auditor's opinion on the financial statements.
- D** To identify all instances of fraud.

Question 2

Identify which of the following outlines the responsibilities of management and the auditor:

- A** The letter of engagement.
- B** The quotation for audit services.
- C** A contract drawn up by a reputable law firm.
- D** The Companies Ordinance (Cap.622).

Question 3

You are planning the audit of XYZ Co Ltd for the year ended 31 December 20X3 and the audit junior has asked for examples of situations which may indicate a fraud has taken place during the reporting period.

Identify which of the following describes an example of a fraudulent act:

- A** An unintentional overstatement of revenue.
- B** Irregularities in the accounting records.
- C** A harmful act to society.
- D** Intentional wrongful act to deceive, harm, or injure others.

Question 4

Identify which of the following does not reduce the risk of financial statement fraud:

- A** Ethical principles and behavior
- B** Compliance and enforcement
- C** Collusion
- D** Effective corporate governance

Question 5

HKSA 200 *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Hong Kong Standards on Auditing* outlines the auditor's responsibility when carrying out an audit of financial statements.

Describe the main responsibility of the auditor according to HKSA 200.

Question 6

List the factors that may trigger legal liability for auditors.



► Knowledge Check Questions (*continued*)

Question 7

To avoid misunderstanding with a client, the auditor and the client sign a contract in the form of an engagement letter.

Describe the items typically included in an engagement letter.

➤ 2.2 CORPORATE GOVERNANCE

Public companies worldwide have a set of contractual relationships with a broad range of participants, including shareholders, creditors, suppliers, customers, employees, governmental agencies, auditors and global communities and societies. Public companies rely on public sources of funding through issuing stocks, as opposed to private funding through banks or selected groups of investors. For this open global financial system to function effectively there should be appropriate systems and controls in place, i.e. an effective corporate governance structure.

Corporate governance is defined broadly from either the agency theory or regulatory perspectives. Agency theory is the concept of aligning management's (agents) interests with those of shareholders (principles), which is important as the interests of management and shareholders may not always be the same, resulting in conflicts of interest. Whereas, the regulatory perspective aims to ensure compliance with all applicable laws, rules and regulations. The demand for ever-improving corporate governance and accountability for business organisations has been a global trend in recent years. Corporate governance has increased in prominence since the 2007–2009 global financial crisis and is now emerging as a central issue for regulators and public companies and their auditors.

Corporate governance is a process built on legislation, legal, regulatory, contractual and market-based mechanisms, as well as best practices to create substantial shareholder value. Effective corporate governance promotes accountability for the board of directors and management, improves the reliability and quality of financial information and enhances audit quality. As a result, the integrity and efficiency of the capital market is strengthened, and investor confidence in the audited financial statements of public companies is improved. Poor corporate governance can adversely affect the company's potential, performance, financial reports, audit quality and accountability. This can pave the way for business failure, audit failures, related potential legal liability, inefficiency in capital markets and a loss of investor confidence in audited financial statements.

Corporate governance in the 21st century goes beyond focusing on creating shareholder value as businesses play a vital role in the global economy and capital markets. Public companies worldwide are required to comply with corporate governance requirements which are examined in this section. However, mere compliance with corporate governance measures does not mean that corporate governance participants, including auditors, have effectively discharged their responsibilities. Corporate governance participants fulfil their responsibility when their role in corporate governance is viewed as a *value-added* function. Several corporate governance functions are crucial to the effective prevention and detection of financial statement fraud, often referred to as fraudulent financial reporting and the role and responsibility of auditors where fraud is concerned.

Competition among global capital markets can be healthy in producing an adequate level of protection for investors through the right balance of corporate governance and regulatory reforms. Corporate governance functions constitute an important element of the corporate governance structure.

Corporate governance functions of oversight, managerial, compliance, advisory, auditing and monitoring should be properly integrated into the overall corporate culture, business environment, and corporate strategy and accountability. Three of these functions, however, are essential to the achievement of sustainable and long-term corporate performance. Primary corporate governance functions are the oversight function assumed by the board of directors, the managerial function delegated to management, and the monitoring function exercised by shareholders. Effective corporate governance should develop a proper balance between the achievement of short-term targets and long-term sustainable performance. To effectively fulfil their fiduciary duties, corporate governance participants should lead from the front and by example in managing the organisation for the best interests of its stakeholders. Corporate governance should create an appropriate balance of power-sharing that:

- Provides shareholder democracy in freely electing directors (e.g. the majority voting system).
- Enables the board of directors to make strategic decisions and oversee and consult with management without micromanaging.
- Empowers management to run the company.

2.2.1 Introduction to the Corporate Governance Code and Report

The Stock Exchange of Hong Kong Limited (SEHK) published the Code on Corporate Governance Practices and Corporate Governance Report in November 2004 for all listed public companies. The Code became effective for financial periods commencing on or after 1 January 2005. Appendix 14 of the Main Board Listing Rules came into effect in 2005, which establishes the principles of good corporate governance and two levels of recommendations for corporate governance best practices. The CO was enacted in March 2014, which provides the legal framework for the formation and operation of public companies and contains provisions to protect the interests of stakeholders including shareholders and creditors. The CO addresses several aspects of corporate governance by providing measures for the appointment of directors, fiduciary duties of directors and the preparation and disclosure of a comprehensive directors' report and rules. In April 2014, the Hong Kong Institute of Certified Public Accountants issued 'A Guide on Better Governance Disclosure'. The Guide addresses several significant areas of the revised Code including responsibilities of the board of directors, internal controls, audit committee and communication with shareholders and auditors. SEHK has effectively integrated the reporting of ESG Sustainability with its 2005 code requirements on Corporate Governance Reporting. In response to the feedback to the CG Consultation, SEHK published the 'Guidance for Boards and Directors' (Guidance) to provide practical advice to directors in which Issuers should make their own judgement on whether to apply the suggestions advised in the Guidance.

The discussion in the remainder of this chapter is based on CG Code and guidance as stated above.

In the past decade, the standards of corporate governance in Hong Kong have been strengthened by improving the quality of disclosures, promoting corporate governance culture



and implementing provisions of the Code. The Hong Kong Code establishes the principles of good corporate governance and two levels of recommendations including:

- Code Provisions: All Hong Kong-listed companies are expected to comply with the code provisions or explain any non-compliance.
- Recommended Best Practices: The recommended best practices are examples of good governance and intended for guidance when issuers devise their measures of corporate governance practices.

The Hong Kong Code Principles are organised in the following sections:

- Section A: Directors
- Section B: Board evaluation and remuneration of directors and senior management
- Section C: Accountability and audit
- Section D: Delegation by the board
- Section E: Communication with shareholders
- Section F: Company secretary

Hong Kong corporate governance structure and measures are determined based on several sources including the Company Articles of Association (the Model Articles), the CO, which came into effect in 2014 and replaced many provisions of the old Companies Ordinance (Cap.32), the Securities and Futures Ordinance (Cap.571), Common Law rules, the Hong Kong Listing Rules, the Corporate Governance Code and the Takeover Code. The discussion in the remainder of this chapter is based on these sources of corporate governance in Hong Kong. The Hong Kong Corporate Governance Code establishes guidelines and standards of good practice for listed companies pertaining to structure, composition, leadership and effectiveness of the board of directors, independence, remuneration, accountability and relationships with shareholders as explained throughout this chapter. All listed companies in Hong Kong are required to include a corporate governance report in each annual report.

2.2.2 Approach to ‘Comply or Explain’

The Hong Kong Corporate Governance Code is considered to be a principles-based, non-statutory document issued under the Rules governing the Listing of Securities which only applies to companies listed on the HKEX. The Corporate Governance Code states that the code provisions and the recommended best practices are not mandatory rules as companies are given the opportunity to comply with provisions of the Code or explain non-compliance. Listed public companies have flexibility of using this ‘comply or explain’ approach and choose the best practices and provisions of corporate governance that fit their corporate culture and practices.

Corporate governance has been transformed from simply a routine set of compliance requirements to an essentiality in business. The integrity, reliability, and transparency of financial reports is a function of corporate governance effectiveness. Today, good corporate governance measures and procedures are being actively integrated into the corporate culture, business model, and the environment of companies across the country and around the world

to ensure accountability and sustainability. Corporate gatekeepers are the focal point of these efforts and the conduits of company information to shareholders, management, customers, suppliers, financiers, government, and the wider community.

2.2.3 The Auditor's Responsibilities to Consider and Address Corporate Governance Requirements

The external audit function of corporate governance is performed by external auditors as an independent assurance provider to express an opinion on a fair presentation of financial statements in conformity with generally accepted accounting principles (GAAP), e.g. HKFRSs. The external audit function is mandatory for public companies and is conducted by a public accounting firm. External auditors are expected to be independent and objective and are hired by the company to provide an opinion as to whether the entity's financial statements are truly and fairly presented, in all material respects, and provide reasonable (not absolute) assurance that the company's financial position and the results of its operations as well as cash flows are in conformity with generally accepted accounting principles.

The external audit function is an essential component of corporate governance and is regarded as an external corporate governance mechanism. It serves to protect investors from receiving incomplete, inaccurate, and misleading financial information. Auditors are also required to express an opinion on the effectiveness of the design and operation of internal control. The external audit function is intended to lend credibility to financial reports and reduce information risk that financial reports are biased, misleading, inaccurate, incomplete, and contain material misstatements that were not prevented or detected by the internal control system. The company's corporate governance and internal controls are important in assessing audit risk (which is the risk that the auditor expresses an inappropriate opinion on the financial statements) that can cause serious repercussions, including legal liabilities, for auditors.

2.2.4 Board of Directors

The board of directors of listed public companies in Hong Kong are elected by the shareholders and are delegated the authority for management of the company as established in the company's Articles of Association. However, shareholders maintain certain rights and powers to direct the board of directors by special resolution. For example, some matters that are subject to unanimous consent or approval of shareholders and approval of certain transactions by shareholders under the Listing Rules. The duty of the board of directors is to oversee management to ensure it is acting in the best interests of the company and its shareholders. The Hong Kong Corporate Governance Code states that management of a company vests in its board of directors and requires that the board consists of both executive directors and non-executive directors (including independent non-executive directors). Furthermore, the Listings Rules require at least one-third of the board of listed companies comprises of independent non-executive directors. The board's effectiveness depends, in large part, on a director's independence, qualifications, skill sets, and resources. Public companies' day-to-day operations are managed by executive management under the oversight of the board of directors. Oversight of corporate governance is granted to the board of directors with the fiduciary duty of overseeing managerial function in the best interests of the company's

stakeholders. In compliance with Section A of the Hong Kong Code and best practices of corporate governance the board's responsibilities include, but not limited to:

- Meet regularly (at least four times a year) at approximately quarterly intervals in person or through electronic means of communication.
- Appoint a senior management team including the CEO and CFO to manage the company for the benefit of the shareholders.
- Form board committees including audit, remuneration and nomination committees to operationalised activities of the board.
- Oversee the managerial function to ensure the interests of management are aligned with those of shareholders.
- Oversee the financial reporting, internal control system, risk assessment and audit services.
- Direct and support the strategic plan as well as managerial decisions and actions.
- Advise management towards sustainability performance reporting.
- Direct, lead, and supervise company affairs to ensure long term success.
- Strategically plan objectives which place a focus on value creation and risk management.
- Ensure the company remains transparent.
- Hold directors accountable for their actions/non-actions and consider shareholder/stakeholder input on decisions when appropriate.
- Ensure that the company has adequate resources and the staff it employs have adequate qualifications and experience especially in the accounting, internal audit, and financial reporting functions in order to perform their jobs effectively.
- Keep minutes of board meetings and board committee meetings.

2.2.4.1 Composition of the Board

The board of directors, as a representative of shareholders, is responsible for protecting the interests of shareholders by engaging in strategic decisions and overseeing managerial functions in managing, directing, and controlling company's affairs, activities and performance. The composition of the board of directors includes non-executive directors, independent non-executive directors (at least one-third of the board) and executive directors. Listed companies in Hong Kong should ideally be headed by a chairman who is an independent non-executive director responsible for the leadership of the board and its operational effectiveness. The company's chief executive who is an executive director is responsible for day-to-day operations of the company's affairs and business. The independent non-executive chairman and chief executive manage the company for the benefit of its shareholders. All listed companies in Hong Kong should maintain on their website (and on the Exchange's website) a current list of their directors along with their roles and functions and whether they are designated as independent. The Board of directors often delegate oversight responsibilities to board committees. However, the entire board remains responsible for the oversight of these delegated functions.

The Hong Kong Corporate Governance Code requires listed companies to have at least the following board committees as listed below and explained in detail in the following subsections:

- A nomination committee in charge of establishing and implementing processes for the board nomination and election.
- A remuneration committee to design compensation schemes for directors and make recommendations to the chairman for the appropriate remuneration of directors.
- An audit committee for overseeing and monitoring the reliability of financial statement, effectiveness of internal financial controls, risk assessment, and the management and independence of auditors.

Chairman and Chief Executive

In compliance with the Hong Kong Code, the roles of Chairman and Chief Executive should be separated. All listed companies are required to separate the role but if they choose to combine them, they have to give out convening reasons according to Appendix 14. Thus, the board of directors should decide whether it is appropriate to separate or combine the role of the chair of the board and CEO position and properly communicate its decision and the rationale to shareholders. Investors generally favour separation of the positions of the CEO and the chairperson as a means of strengthening the board's independence and reducing the potential conflicts of interest, particularly when the company is perceived to be managed poorly.

Benefits of separation are as follows:

- Corporate governance standards in other countries (e.g. the United Kingdom), and best practices worldwide recommend splitting these two important roles. This helps to improve independence by reducing the amount of power one person may have.
- It improves the accountability of the CEO. The reduction in the CEO's potential conflicts of interest that have caused some of the recent financial scandals.
- Having two individuals (CEO and chair) in the corporate leadership role should improve corporate governance and operations.
- The chairman provides leadership for the board, while the chief executive provides leadership for management and day-to-day operations. Segregation of roles also ensures that one person is not given too much power.

The potential costs of separation are:

- The likelihood of a reduction in the CEO's authority when the CEO's power is shared with a non-executive director who is less informed and possibly less experienced in a leadership role.

Appointment, Re-election and Removal

Appointment, re-election and removal of directors is ultimately controlled and carried out by the shareholders through voting at the Annual General Meeting (AGM). In practice, directors' appointments during the year are made by the board of directors upon the recommendation of the nomination committee. However, The Hong Kong Corporate Governance Code requires shareholders of listed companies at the next AGM and by way of ordinary resolution, to vote for, or against, the election of any director newly appointed by the board during the preceding year. All directors including non-executive directors are typically re-elected at regular intervals, which is usually no more than three years for the listed companies. Non-executive



directors should be appointed for a specific term and be subject to re-election. The Corporate Governance Code provides general provisions to enable companies to use formal, robust, rigorous and transparent procedures and processes for the election and re-election of directors. These provisions include the formation of the nomination committee and charges for this committee to make recommendations for the election and re-election of directors. As a general rule, shareholders have the ultimate power to remove directors by ordinary resolution at a general meeting subject to giving the requisite notice. However, in practice when a majority or even a sufficient number of shareholders express dissatisfaction with a director and request her/his removal, the entire board of directors must consider this request and ask the director to resign to avoid a formal and public shareholder vote on a resolution to remove.

Directors' Responsibilities

The board of directors, acting as a representative of the entity's shareholders, has the fiduciary duty of protecting the interests of shareholders by establishing proactive strategic missions, goals, and objectives to create long-term shareholder value and oversee managerial decisions and actions to effectively implement these strategic goals. Management may also initiate these strategic goals, however, they should be approved and overseen by the company's board of directors. The entire board of directors is elected to represent the company and its shareholders. However, to take advantage of specialist expertise and skills of individual directors, they may be assigned to specific board committees.

In general, directors are required to:

- Carry out their duties in good faith for the benefit of the company and avoid any conflicts of interest.
- Use their directorship authority for a proper purpose in the best interests of the shareholders.
- Not delegate powers except with proper authority.
- Exercise independent and professional judgment.
- Exercise professional due care, diligence and skill.
- Maintain adequate accounting records.
- Comply with the company's Articles of Association, corporate governance measures and resolutions.
- Prevent unauthorised use of the company's property and/or information.
- Not use the position as a director to gain personal advantage.
- Not accept personal benefits from third parties because of their position as a director.

Directors may be held liable for breaching their duties as specified in the Corporate Governance Code as listed above. As per the SEHK's Guidance for Boards and Directors, Directors should gain a better understanding of the company by devoting time to visiting sites, communicating with all levels of the workforce, learning about major projects, as well as understanding the strategies and competitive environment so that they can add value to the board as soon as they accept the role of director. Despite not being required to be an expert on every topic, directors should be knowledgeable about the topics discussed at board meetings. While expected to carry out their due diligence, directors may seek more information from management on board meeting discussion topics.

It is the responsibility of all directors to keep up with the latest laws, regulations, rules, news, and advancements (and changes therein) in order to fulfill their duties and responsibilities. While it is both the directors' and management's responsibility to make sure the board gets the appropriate information (i.e. board papers, background information, disclosure documents, budgets for specific projects, forecasts, and monthly financial updates), directors must understand that it is not a defence to claim that they did not receive enough information or did not understand relevant transactions when facing a disciplinary action for failing to properly discharge their duties and responsibilities.

2.2.4.2 Independence

The independence of the company's board of directors is a critical aspect of corporate governance and has a significant impact on the board's effectiveness. The definition of an independent director in this chapter simply means that a director should not have any connections (financial, social, or institutional) with the company other than his or her directorship that may compromise his or her objectivity and loyalty to the company's shareholders. The Hong Kong Corporate Governance Code requires that non-executive directors be independent.

2.2.4.3 Corporate Governance Practices

Boards of directors generally perform their oversight function and fulfil their fiduciary duties through committees in order to make efficient use of time and to take advantage of the expertise of individual directors. Board committee formations, roles and responsibilities depend on the size of the company, its board, and assumed oversight functions. In summary, to effectively fulfil these responsibilities, the board of directors should appoint executives (CEO, CFO) to manage the company; determine their compensation; oversee managerial strategies, decisions, actions and performance; engage in succession planning for senior executives; approve all corporate reports and communications with shareholders, and oversee the financial and audit processes. An increasing complexity in the business environment, and increasing business risks, encourage shareholders to rely more on the oversight function of the board of directors with a keen focus on the independence, composition, quality and diversity of the boardroom. Many boards are adding directors with backgrounds in sustainability, technology, digital, finance, marketing and other emerging areas.

The Corporate Governance Committee typically consists of both internal and external directors that often meet between board meetings to discuss matters relevant to governance of the company. The Corporate Governance Committee is also involved with:

- Internal corporate governance matters at individual company level such as drafting an ethics code of conduct and a corporate governance policy.
- Communications with, or from, shareholders, including responding to individual proposals voted on by shareholders at the annual meeting.

2.2.5 Audit Committee

An audit committee must comprise non-executive directors only. There should be at least three members on the committee as required under the listing rules in Hong Kong, with at least one of whom is an independent non-executive director with appropriate professional qualifications or accounting or related financial management expertise. The committee implements and



supports the oversight function of the board, specifically in areas related to financial reporting, internal controls, risk assessment and management, compliance and ethics, and audit activities.

The effectiveness of the audit committee depends on the quality, timeliness, and reliability of information it receives from management, internal auditors, legal counsel, and external auditors regarding financial, internal control, risk, legal, and auditing issues. This section presents the roles, responsibilities, structure, composition, qualifications, authority, resources, and other attributes of the audit committee in accordance with the most recent regulatory requirements and best practices.

The **corporate governance** structure of a company is shaped through mechanisms such as the board of directors, the audit committee (AC), management, internal audit, and internal control processes.

The AC has stricter standards regarding the independence and qualifications of the directors. For example, at least one financial expert (e.g. a CPA) must be on the committee. The AC communicates with all of the other facilitators of corporate governance within a business. The AC works with the other board of directors' committees to bring specialisation and expertise in the areas of financial reporting, internal controls, audit, and risk management. The AC works with management by asking appropriate questions regarding the corporate governance structure, internal controls, the code of ethics, and whistle-blowing procedures and management needs to respond accordingly. The AC works with the external auditors in overseeing their work as well as with the internal auditors in overseeing the internal audit function of corporate governance.

The oversight responsibilities of the audit committee can be grouped into several categories as follows.

- *Corporate governance.* The audit committee should participate with **other board committees** in overseeing corporate strategies, decisions, actions and performance.
- *Internal controls.* The audit committee should oversee the adequacy and effectiveness of both the design and operation of the company's internal control structure to ensure the efficiency and effectiveness of operations, the reliability of financial reporting, and the compliance with applicable laws and regulations. The committee's oversight of internal control is becoming more important as management certifies internal controls and reports on their effectiveness over financial reporting.
- *Financial reporting.* The audit committee should oversee the financial reporting process by reviewing annual and quarterly financial statements including the following: Compliance with accounting standards, any changes in accounting policies and practices, major judgemental areas, significant adjustments resulting from audit, going concern assumptions, and compliance with the listing rules and legal requirements in relation to financial reporting.
- *Audit activities.* The audit committee is responsible for overseeing for appointing, removing and compensating external auditors and monitoring their independence and audit services.
- *Code of ethics conduct.* The audit committee is responsible for overseeing the establishment and enforcement of the company's code of ethical conduct to ensure that an appropriate 'tone at the top' policy is designed and implemented to promote

ethical conduct throughout the company. The committee should oversee the company's compliance with the requirements for establishing and disclosing this code.

- *Other Activities.* Other important activities of the audit committee include overseeing the company's enterprise risk assessment and management, proper design and implementation of anti-fraud policies and procedures and the effectiveness of whistle-blowing policies and processes.

2.2.6 Remuneration Committee

In Hong Kong, the key responsibility of the **remuneration committee** is to assist the board of directors in maintaining a formal and transparent procedure for setting policy and determine an appropriate remuneration package for all directors. While the Articles of Association of private companies regulate the above process, the same is performed by the remuneration committee of listed public companies in compliance with the Corporate Governance Code. The remuneration committee, in consultation with the chairman of the board and advice from chief executive of the company, decide on the remuneration for directors and make recommendations to the board in respect of those remuneration packages. The remuneration committee is responsible for disclosing the company's pay philosophy and performance metrics and establishing compensation plans that retain qualified directors, executives, and employees while motivating optimal performance that creates long-term shareholder value. Thus, to be effective, the remuneration committee should be independent from management.

Remuneration committees are typically responsible for:

- Designing and developing remuneration plans for directors and executives.
- Ensuring that executive remuneration is linked to performance.
- Following applicable rules and standards for full disclosure of executive remuneration packages to shareholders.
- Presenting executive remuneration plans to the board of directors and obtaining board approval.
- Obtaining shareholders votes on executive remuneration.
- Promoting pay-for-performance executive remuneration by rewarding exceptional performance.
- Linking performance metrics to their director and officer remuneration structure.

2.2.7 Nomination Committee

An independent **nomination committee** comprising of a majority of independent non-executive directors and chaired by an independent non-executive director or the board chairman is recommended by the corporate governance code to oversee the process for board appointments and make recommendations to the board. Otherwise, the company needs to put forward a proper explanation.

The nomination committee should be structured with specific written terms of reference. These terms of reference should clearly outline the committee's authority and its duties. According to Appendix 14 of the Listing Rules and Guidance, *Corporate Governance Code and*

Corporate Governance Report paragraph A5.2 states that the nomination committee should perform the following duties:

- (a) review the structure, size and composition (including the skills, knowledge and experience) of the board at least annually and make recommendations on any proposed changes to the board to complement the issuer's corporate strategy;
- (b) identify individuals suitably qualified to become board members and select or make recommendations to the board on the selection of individuals nominated for directorships;
- (c) assess the independence of independent non-executive directors; and
- (d) make recommendations to the board on the appointment or re-appointment of directors and succession planning for directors, in particular the chairman and the chief executive.

App 14,
para A5.2

The nomination committee is usually responsible for identifying, evaluating, and nominating a new director to the board, and it facilitates the election of the new directors by shareholders. The committee may use staffing support provided by the CEO in identifying and recruiting new members of the company's board of directors. The listing rules now require the nomination committee to be composed of at least three independent directors as defined by the national stock exchanges. An effective nomination committee can substantially reduce the traditional role played by the CEO in selecting new directors who may not be independent from management.

2.2.8 Best Practices of Corporate Governance

Best practices of corporate governance have evolved in recent years to hold directors accountable to shareholders. The best practices of corporate governance are also beneficial to auditors in helping them to fulfil their professional responsibilities, carrying out professional services and preserving their independence and objectivity. Appendix 14 to the Listing Rules and Guidance sets out the recommended best practices which are reflected in Exhibit 2.2.

Principle	Recommended Best Practice
<i>Board composition</i> Boards should have a balance of skills, experience and diversity of perspectives which are appropriate to the requirements of the issuer's business. Boards should ensure changes can be managed without causing undue disruption and should contain a balanced composition of executive and non-executive directors (including independent non-executive directors) to ensure a strong independent element on the board. Non-executive directors should be of sufficient calibre and number in order for their views to carry weight.	The board should state its reasons if it concludes that a proposed director is independent even though that individual holds cross-directorships, or has significant links with other directors through involvements in other companies or bodies. (Note: the term 'cross-directorship' means that two, or more, directors sit on each other's boards).

► EXHIBIT 2.2 Best practices of corporate governance

Principle	Recommended Best Practice
<i>Level and make-up of remuneration and disclosure</i> An issuer should disclose its directors' remuneration policy and other remuneration-related matters. There should be a formal and transparent procedure for setting policy on executive directors' remuneration as well as all directors' remuneration packages. Remuneration levels should be sufficient in order to attract and retain directors to run the company successfully but the company should not pay any more than is necessary. No director should be involved in deciding his/her own remuneration.	If the remuneration committee's terms of reference include making recommendations to the board on the remuneration packages of individual executive directors and senior management, the board should disclose the reasons for its resolution in its next Corporate Governance Report. A significant proportion of executive directors' remuneration should link rewards to corporate and individual performance. Issuers should disclose details of any remuneration payable to members of senior management, on an individual and named basis, in their annual reports. Boards should conduct a regular evaluation of its performance.
<i>Financial reporting</i> The board should present a balanced, clear and comprehensible assessment of the company's performance, position and prospects.	Issuers should announce and publish their financial results within 45 days after the end of a relevant quarter. These financial results should disclose sufficient information in order to enable shareholders to assess the issuer's performance, financial position and prospects. The quarterly financial results of the issuer should be prepared using the same accounting policies as those used in the half-yearly and annual financial statements. Once quarterly financial results have been announced, the issuer should continue to do so for each of the first three and nine months periods of subsequent financial years. If the issuer decides not to continuously announce and publish its financial results for a particular quarter, it should announce the reason(s) for this decision.
<i>Risk management and internal control</i> It is the responsibility of the board to evaluate and determine the nature and extent of the risks it is willing to take to achieve the strategic objectives and ensure that it establishes and maintains appropriate and effective risk management and internal control systems. The board should oversee management in the design, implementation and monitoring of the risk management and internal control systems. Management should also provide confirmation to the board on the effectiveness of these systems.	The board may disclose in its Corporate Governance Report that it has received confirmation from management on the effectiveness of the issuer's risk management and internal control systems. In addition, the board may also disclose in the Corporate Governance Report details of any specific areas of concern.
<i>Audit committee</i> The board should establish formal and transparent arrangements in order to consider how it will principles in respect of financial reporting, risk management and internal control and maintain an appropriate relationship with the issuer's auditors. The audit committee established under the Listing Rules should have clear terms of reference.	The audit committee should establish a whistleblowing policy and system for employees and those who deal with the issuer (e.g. customers and suppliers) to allow them to raise concerns (in confidence) with the audit committee about potential improprieties in any matter related to the issuer.

► **EXHIBIT 2.2 Best practices of corporate governance (Continued)**



2.2.8.1 Auditors' Communication with Those Charged with Governance

External auditors have traditionally communicated with the audit committee regarding the financial reporting and audit processes. The audit committee's working relationships with external auditors has evolved from the audit committee acting as a liaison between directors/management and external auditors to preserve auditor independence, to more recently as being responsible for appointing, remunerating and removing external auditors and approving audit and non-audit. External auditors are held ultimately accountable to the entire board and should communicate with those charged with governance of the entity. However, the audit committee (as a representative of the board) facilitates the efficient and effective functioning of the board in overseeing auditors. The open and candid communications between external auditors and those charged with governance should preserve the independence of the auditors from undue management influence.

HKSA 260 (Revised) *Communication with Those Charged with Governance* requires the external auditor to communicate with those charged with governance (the board of directors with responsibility for overseeing the audit and financial reporting processes and management responsible for the conduct of the entity's operation) on issues and matters relevant to the audit of financial statements. Such communication is intended to:

- Communicate the auditor's responsibilities and establish an understanding of the terms of the audit engagement with those charged with governance, particularly the audit committee.
- Obtain information from those charged with governance that is relevant to the audit including the client's entity and its environment, specific transactions or events and appropriate sources of audit evidence.
- Provide an overview of the planned scope, timing and strategy of the audit of financial statements with those charged with governance.
- Provide timely observations arising from the audit that are significant to the financial reporting process and the oversight function to reduce the risks of material misstatements of the financial statements.
- Provide effective two-way communication between the auditor and those charged with governance to develop a constructive working relationship in improving audit quality and effectiveness while preserving the auditor's independence and objectivity.
- Decide on the forms and timings of communication between the auditor and those charged with governance.

HKSA 260 (Revised) requires the auditor to communicate with those charged with governance about significant qualitative aspects of the entity's practices, including accounting policies, accounting estimates and financial statement disclosures. The auditor is also required to communicate to those charged with governance on accounting estimates that the auditor deems **not** to be appropriate in the entity's circumstances or, conversely, when an accounting estimate would be more appropriate.

HKSA 540 (Revised), paragraph 38 specifically requires the auditor to communicate with management, those charged with governance or other relevant parties about matters that the auditor has considered relate to an accounting estimate giving rise to a risk of material misstatement because of estimation uncertainty, or the effects of complexity, subjectivity or other inherent risk factors in making accounting estimates and related disclosures.

2.2.9 Management Responsibilities

The managerial function of corporate governance is assumed by the management team appointed by the board of directors and led by the CEO and supported by the CFO, the controller, the treasurer, and other senior executives to manage the company for the benefits of its shareholders. Management is responsible in running the company and managing its resources and operations to create sustainable shareholder value. The effectiveness of this function depends on the alignment of managements' interests with those of the shareholders by linking the remuneration of management to the company's performance as well as independence from the board of directions. This is linked to performance and the robustness of whistle-blowing policies and procedures. The management's responsibilities are organised into three areas – operations, corporate reporting and compliance – with a keen focus on financial reporting.

All listed public companies are required, in compliance with Corporate Governance Code, to have their financial statements audited by an independent auditor. Auditors are required to express an opinion on the financial statements as to whether, in their opinion, they are prepared in compliance with the CO and generally accepted accounting principles and present a true and fair view of the state of the company's affairs (or present fairly in all material respects). Auditors must:

1. have free and unrestricted access to the company's accounting records;
2. be provided with explanations and information from the company's officers when required;
3. be able to attend all general meeting of the company; and
4. be entitled to speak at any general meeting in relation to key audit matters.

Management must ensure that auditors have unrestricted access to all accounting records, properly respond to the auditor's inquiries and consider suggestions made by auditors in improving financial and internal control processes.

2.2.9.1 Financial Reporting

The preparation of financial statements in conformity with generally accepted accounting principles (e.g. HKFRSs) is the primary responsibility of management. The **Hong Kong Standards on Auditing (HKSA)** provides a framework for auditors in performing an audit of financial statements and outlines their responsibility to comply with applicable laws and regulations. The independent auditors are required to express an opinion on:

- management's assessment of the effectiveness of internal control;
- the effectiveness of both the design and operation of internal control; and
- the fair presentation of financial statements in conformity with applicable accounting standards (e.g. HKFRS).

The reliability of financial statements, the effectiveness of internal control, and the efficacy of audits of both financial statements and internal control under financial and internal control reporting are vital if public companies are to attract investors and build confidence in capital markets. The relevance and importance of financial and internal control reporting as well as the roles and responsibilities of the board of directors including the audit committee, management, internal auditors and external auditors in producing reliable, transparent, and high-quality financial information are addressed in many authoritative reports and standards including the Hong Kong Corporate Governance Code.



Since shareholders bear the ultimate financial risk (i.e. the risk of their investment falling or not getting sufficient returns on their investment in the company), financial statements must be reliable, relevant, useful, and transparent in presenting the financial position and results of the company. Management must also appreciate that the effectiveness of internal control is vital in producing financial statements which are reliable.

2.2.9.2 Risk Management and Internal Control

Risk management and internal control are both critical aspects of a business which ensures regulatory compliance. The primary objective of internal controls is to minimise the threat of risks (although they cannot completely eliminate all risks) and also help the business to pursue its objectives.

Management is responsible for enforcing the board of director's policies for risk management and as such it should design, implement and monitor those procedures and report back to the board on their effectiveness as per SEHK's Guidance for Boards and Director's.

One of the ways a company can deal with risks and the risk assessment process is by establishing a formalised structure. Internal controls include all the processes which provide management with reasonable assurance relating to the achievement of objectives in:

- the effectiveness and efficiency of business operations;
- the reliability of financial reporting, including the preparation of the financial statements; and
- compliance with laws and regulations.

Risk is inherent in all businesses – for example, competition could drive selling prices down, interest rate risk may make borrowing more expensive, downturns in the economy could have a detrimental impact on the company's share price. Directors must identify risks as early as possible in the risk assessment process so that the risks can be understood, managed, mitigated, transferred or even avoided.

Risk management and internal control is very important to the auditor when they are carrying out their planning (planning is covered in more detail in Chapters 3 and 4). However, it is worth mentioning *why* it is important to the auditor at this stage. If the directors of an entity have no regard to risk management and/or have weak internal control systems, then there is more risk that the financial statements will contain material misstatement (in other words there is a higher risk that they will not present a true and fair view). For that reason, there is a dedicated auditing standard that requires the auditor to obtain a detailed understanding of the entity, the environment in which it operates and the internal controls present, which is that of HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement*. HKSA 315 (Revised 2019) applies to audits of financial statements for periods beginning on or after 15 December 2021 and hence is an examinable document.

Briefly, among other things, HKSA 315 (Revised 2019) requires the auditor to carry out risk assessment procedures and related activities when obtaining an understanding of the entity. This includes obtaining an understanding of:

- the entity (i.e. the audit client);
- the applicable financial reporting framework; and
- the entity's system of internal control.

HKSA 315 (Revised 2019) is an examinable document and includes more rigorous risk assessment procedures than the predecessor HKSA 315 (Revised 2019).

Key Learning Point

HKSA 315 (Revised 2019), para 19 states:

'The auditor shall perform risk assessment procedures to obtain an understanding of:

- (a) The following aspects of the entity and its environment:
 - (i) The entity's organizational structure, ownership and governance, and its business model, including the extent to which the business model integrates the use of IT;
 - (ii) Industry, regulatory and other external factors;
 - (iii) The measures used, internally and externally, to assess the entity's financial performance;
- (b) The applicable financial reporting framework, and the entity's accounting policies and the reasons for any changes thereto;
- (c) How inherent risk factors affect susceptibility of assertions to misstatement and the degree to which they do so, in the preparation of the financial statements in accordance with the applicable financial reporting framework, based on the understanding obtained in (a) and (b).'

HKSA
315.19

Chapters 3 and 4 go into more detail where HKSA 315 (Revised 2019) is concerned.

Illustrative Example 4

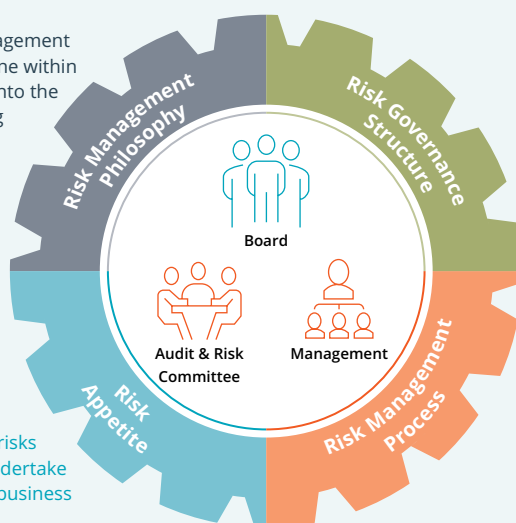
The 2018 annual report of CLP states that its overall risk management framework is overseen by, and is the responsibility of, the Board, through its Audit and Risk Committee. According to its 2018 annual report, the entity's risk management comprises four key elements:

Risk Management

CLP's overall risk management framework is overseen by, and is the responsibility of, the Board, through its Audit & Risk Committee, and comprises four key elements:

CLP recognises that risk management is the responsibility of everyone within CLP and thus it is integrated into the business and decision-making process.

The nature and extent of the risks that the Group is willing to undertake in pursuit of its strategic and business objectives.



Clear roles and responsibilities are assigned to multiple layers within the organisation. This structure facilitates risk identification and escalation.

Through an integrated top-down and bottom-up risk review process, which enables risks identification and prioritisation throughout the Group, management maintains an open and effective communication channel to enable the timely escalation of material risk and adequate supervision of risk mitigation.



Illustrative Example 4 (*continued*)

Internal controls are essential in organisations and it is the responsibility of management to design, implement and maintain internal control systems. Internal controls are generally based on clear stewardship responsibilities, authorities and accountability such that they include well-defined policies and procedures which are communicated to all members of staff.

Good corporate governance requires the directors to implement a sound system of internal control. A good system of internal control will strengthen good behaviour, but management need to be aware that good internal controls:

- cannot ensure business success;
- will not turn a poorly-run department into a good one;
- respond to changing factors which are beyond management's control, such as increased competition; and
- cannot be 100% effective (all internal control systems will have inherent limitations, such as the ability of management to override an internal control).

Formal processes in the business are documented and circulated to all relevant members of staff so that everyone in the organisation becomes a part of the risk assessment process and is able to contribute to it.

As per the Guidance for Boards and Directors, there should be a formally documented risk management policy and a comprehensive set of procedures in place that is backed by the board and senior management, and an audit plan covering the internal control systems of risks that were discovered. It is vital that these systems are tested for effectiveness, completeness of the process and the controls in place to detect fraud and errors. If any deficiencies are discovered, then they should be improved accordingly. This can be done by analysing the source of potential risks, focusing on those risks with management, and systematically prioritising and tackling the risks that would prevent the company from achieving its goals.

► Knowledge Check Questions

Question 8

During the planning meeting with your audit client, Smith Industries Co Ltd, the CEO expressed concern that the company may not be achieving proper corporate governance in some areas of its operations. He has asked your advice on what can and cannot be achieved by corporate governance.

Identify which of the following CANNOT be achieved by corporate governance:

- A** Ensuring corporate accountability.
- B** Eliminating the possibility of fraud within an organisation.
- C** Enhancing the integrity and efficiency of the capital market.
- D** Enhancing the reliability and quality of public financial information.

► **Knowledge Check Questions (*continued*)**

Question 9

You are the audit senior for Tacker Co Ltd and have been asked by the board of directors to clearly explain what corporate governance entails because some of the directors are concerned they have insufficient knowledge of corporate governance.

Identify the primary objective of corporate governance:

- A** To create power for management.
- B** To enhance management authority.
- C** To empower the board of directors.
- D** To create a balance of power-sharing through governance mechanisms among shareholders, directors, and management to enhance shareholder value and protect the interests of other stakeholders.

Question 10

You are the audit supervisor of Storch Co Ltd and are responsible for managing a team of six for the audit of the financial statements for the year ended 31 December 20X2. The audit junior is unsure as to how companies delegate responsibility for the overall financial statement preparation process, including responsibility for internal control.

Explain who is primarily responsible for the design and implementation of sound accounting and effective internal control systems.

Question 11

The board of directors is appointed to run the company on behalf of the shareholders and ensure it is also run for the benefit of the wider community.

Describe the primary responsibility of the board of directors.

Question 12

In order to comply with corporate governance principles, the board of directors may implement various committees who each have a different remit within the organisation.

Describe the responsibilities of the audit committee, the remuneration committee and the nomination committee.

Question 13

The auditor is required to report certain audit information to management and those charged with governance.

- (a) Identify the people in a firm charged with governance.
- (b) List the matters and issues that should be communicated between auditors and those charged with governance.



2.3 CLIENT ACCEPTANCE AND CONTINUANCE

Under the CO, auditors can be appointed by the company's board of directors or the audit committee, shareholders at the Annual General Meeting (AGM) and by the court. As a general rule the board of directors (audit committee) should appoint the auditors; if the directors fail to appoint auditors, the shareholders appoint them at the AGM. If no auditors are appointed at the AGM, then the court may appoint the auditor. The audit committee should approach the potential new auditor or communicate with the existing auditor for continuation of the audit engagement. The audit committee is directly responsible for the appointment, compensation, and retention of the company's independent auditor. In selecting the company's public accounting firm, the audit committee should pay particular attention to:

- Auditor independence (e.g. not engaging the auditor to carry out prohibited non-audit services).
- Auditor industry specialisation including the auditor's reputation (e.g. quality control system including independence policies).
- Appropriateness of the audit fee, and the requirement for rotation of the lead partner.

2.3.1 Pre-acceptance Procedures

HKSQM 1 *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements*, paragraph 30 deals with the acceptance and continuance of client relationships and specific engagements. Specifically, HKSQM 1, para 30 requires the firm to establish the following quality objectives, which address the acceptance and continuance of client relationships and specific engagements:

- (a) Judgments by the firm about whether to accept or continue a client relationship or specific engagement are appropriate based on:
 - (i) Information obtained about the nature and circumstances of the engagement and the integrity and ethical values of the client¹ (including management, and, when appropriate, those charged with governance) that is sufficient to support such judgments and
 - (ii) The firm's ability to perform the engagement in accordance with professional standards and applicable legal and regulatory requirements.²
- (b) The financial and operational priorities of the firm do not lead to inappropriate judgments about whether to accept or continue a client relationship or specific engagement.

HKSQM1.30(a)
and (b)

¹Under paragraph 600.1.4 in Chapter F of the Code, members are bound by the Code to conduct themselves with integrity and professionalism and to act in the public interest, not only in the interests of their clients. Practices will therefore be expected by the community to have in place adequate customer due diligence or 'know your client' procedures and arrangements for maintaining documentation, to minimise any risk of involvement in money laundering/terrorist financing. Further guidance is set out in the Guidelines on Anti-Money Laundering and Counter-Terrorist Financing for Professional Accountants (Chapter F of the Code) and HKICPA FAQs on Practice review – AML Monitoring.

²Part 9, Division 5, Subdivision 2 of the CO contains statutory requirements on the appointment of an auditor of a company incorporated under the CO and eligibility for an appointment. Auditors should also comply with the relevant provisions in Part 9, Division 5 of the CO in relation to an auditor and an auditor's report.

Remember that the objective of HKSQM 1 requires the audit firm to set quality management **objectives** that are aimed at enabling a high-quality audit to be conducted. This objective is notably different from its predecessor HKSQC 1, which outlined quality control requirements at the firm level. The risk-based approach by HKSQM 1 means that the firm must set quality management objectives having specific regard to the nature and circumstances of the assignments it carries out and must also consider the risks associated with such assignments in order to develop appropriate firm responses to those risks.

During the client acceptance procedure, the audit firm must carry out 'client due diligence'. This involves looking into the client's business and ownership structure to ensure that there are no risks of money laundering. For example, if the client does business in a country which has weak anti-money laundering regulations, the risk of money laundering is deemed higher and hence the audit firm must proceed with caution in deciding whether to act for this client, or not.

Client due diligence can be carried out using pre-printed forms that ask specific questions and require further additional information – for example, obtaining identification for certain shareholders and carrying out certain checks to ensure the client is not at a high risk of money laundering.

Apply and Analyse 4

Apply

The audit partner of Swallow & Co has been approached by Jasmine Industries Ltd to act as its auditor for the forthcoming audit of its financial statements for the year ending 31 December 20X3. Preliminary investigations carried out by Ivan Sou, the audit partner, revealed that the company has changed its auditor seven times in the last 10 years. The auditor's report for the year ended 31 December 20X2 was qualified on the grounds on material disagreements with accounting treatments and lack of disclosure of certain related party transactions.

A recent press report also revealed that one of the directors was being investigated for alleged corruption and fraud. The finance director of Jasmine Industries Ltd has informed Ivan Sou that if the audit firm were to accept engagement as auditor for the 20X3 audit, it would be remunerated exceptionally well and the company would also take the audit team out for a luxury meal after the audit has been completed.

Describe the issues which Ivan Sou has to consider when deciding whether, or not, to accept the appointment as auditor of Jasmine Industries Ltd.

Analysis

Ivan Sou must approach this decision with extreme caution. The company has already had several auditors in place over a 10-year period and such frequent changes of auditors must be questioned as it may indicate a more serious problem. In addition, the auditor's report for the prior year has been qualified for multiple issues (incorrect accounting treatments and non-disclosure of certain related party transactions).

One of the directors is also being investigated for corruption and fraud and hence, on the face of it, lacks integrity. The finance director has also made a comment that the audit firm would be remunerated 'exceptionally well' (remuneration should be based on the time spent on the audit and the level and skills necessary to carry out the audit in accordance



Apply and Analyse 4 (continued)

with the HKSAs). A self-interest threat has also been created at the outset by the finance director suggesting the company take the audit team out for a luxury meal (the cost of which is unlikely to be trivial) after completion of the audit.

Ivan Sou would be advised not to accept engagement as auditor in these circumstances (unless compelled to do so by law or regulation).

Key Learning Point

HKSA 210 *Agreeing the Terms of Audit Engagements* requires that the **preconditions** for an audit are present before accepting a new or existing audit engagement. HKSA 210 paragraph 6 outlines the preconditions for an audit as follows:

In order to establish whether the preconditions for an audit are present, the auditor shall:

- (a) Determine whether the financial reporting framework to be applied in the preparation of the financial statements is acceptable; and
- (b) Obtain the agreement of management that it acknowledges and understands its responsibility:
 - (i) For the preparation of the financial statements in accordance with the applicable financial reporting framework, including where relevant their fair presentation;
 - (ii) For such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; and
 - (iii) To provide the auditor with:
 - a. Access to all information of which management is aware that is relevant to the preparation of the financial statements such as records, documentation and other matters;
 - b. Additional information that the auditor may request from management for the purpose of the audit; and
 - c. Unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain audit evidence.

Auditors must also conduct a client screening process which usually consists of the following:

- Evaluating the relationship between the auditor and client, primarily to ensure that independence is maintained.
- Carrying out background checks on the directors.
- Obtaining and reviewing available financial statements.
- Making inquiries of those charged with governance and management.

Key Learning Point *(continued)*

- Evaluating the integrity of the potential client's board of directors, board committees, particularly the audit committee and management team to ensure there are no matters which may prevent the auditor from accepting the engagement.
- In addition to the above, considering management's attitude towards compliance with laws and regulations.
- Carrying out money laundering or other criminal activity checks.
- Evaluating and establish the reasons for any unusual changes in business structure and executive ownership.
- Communicating with predecessor auditors to request various information needed for the audit.
- Ensuring the audit firm has adequate resources and individuals with relevant skills and experience to carry out the audit and assess the independence, competence and capabilities to perform the audit engagement.
- Agreeing on fee arrangements.
- Agreeing the contents of the engagement letter and obtain a signed copy of it from the audit client.
- Reviewing the client's website to gain information relating to the potential client's business environment, corporate culture and reputation.
- Considering of events and conditions that could have implications for accepting or continuing the audit engagement.
- Considering the implications of regulatory, compliance and reporting requirements for the client's business, operations and the financial reporting and audit processes.

The successor auditor is required to enter into communication with the outgoing auditor. Once the new auditor has been appointed, the audit client should inform the outgoing client and give permission for the outgoing auditor to liaise with the new auditor (if this permission is not granted, the outgoing auditor cannot communicate with the new auditor because they will be breaching client confidentiality rules if they do). If the client permits, matters to discuss are:

- Where there have been any disagreements about accounting principles or audit procedures.
- Communications from the predecessor auditor concerning fraud, illegal acts, and internal control recommendations.
- The predecessor's understanding about the reasons for the change of auditors (particularly where the predecessor's appointment has been terminated by the client).

If the client does not give permission for the incoming auditor to enter into communications with the outgoing auditor, the auditor is likely to decline the engagement if valid reasons are not provided.

Auditors should not be changed because of mere disagreements with management on key accounting and auditing matters. The audit committee should consider changing the company's independent auditor if at any time the committee becomes aware of



Key Learning Point (continued)

a violation of auditor independence, inappropriateness of audit services, significant damages to auditor reputation, or substantial difficulties between management and the independent auditor. In those situations, the audit committee should then prepare a short list of potential independent auditors, interview the potential candidates (the CFO and the director of the internal audit department may participate in the interview process), and then select at least two independent auditors to submit their formal tender and advise other potential auditors that they are no longer being considered.

The best practices of corporate governance suggest that the company's audit committee consider all relevant factors, including potential increases in audit cost and the possibility of audit failure in the first few years, as well as the benefit of bringing a fresh perspective in deciding to change auditors. Making it mandatory for audit firms to rotate is one of the options regulators are looking at as a way to improve the independence, objectivity, and professional scepticism of auditors. These attributes are at the heart of the audit profession.

Illustrative Example 5

In the opening case, ZMI experienced significant challenges in retaining its external auditors. They had a practice of appointing and removing audit firms due to disagreements with them. It transpired that ZMI contracted with six audit firms during a very short period of time (2008-2010). These auditors did not appear to have expertise in auditing the type of business ZMI ran and did not hire outside specialists in the determination of proper valuation of the properties. In 1999, after a thorough investigation, the SFC charged several members of ZMI management with fraudulent accounting practices and for filing false and misleading financial statements with the Hong Kong Stock Exchange. As a result, ZMI eventually declared bankruptcy and went out of business.

Had the auditors had experience of auditing the type of business which ZMI ran, then the problems would have become apparent. Alarm bells should have rung given the fact that ZMI had changed its auditors six times in two years. Auditors cannot just accept any type of audit engagement – they have a professional obligation to ensure they have adequate technical expertise and sufficient resources available in order to carry out the audit properly.



2.4 CONTINUING ENGAGEMENTS

Auditors are required to revisit the acceptance considerations each year to ensure that it is appropriate to continue with the engagement for the following year. This is done to address any significant issues that may have arisen during the year, such as disagreements with management or doubts over the integrity of management which may mean that the auditor considers it appropriate to resign. The audit firm does this having regard to the specific quality management objectives in HKSQM 1. In addition to revisiting the acceptance procedures, the audit firm must also carry out continued client due diligence. This is an important procedure because it prompts the auditor to consider whether the risk of the client committing money

laundrying is higher than previously assessed. This will involve answering a series of questions and prompts and obtaining further information so that the firm can decide whether, or not, the risk of money laundrying could be a potential issue during this year's audit.

HKSQM 1, paragraph 30, requires the firm to establish quality objectives that address the acceptance and continuance of client relationships and specific engagements. There are some important points that need careful consideration when the firm is establishing these quality objectives as follows:

- (a) Judgments by the firm about whether to accept or continue a client relationship or specific engagement must be based on:
 - (i) Information obtained about the nature and circumstances of the engagement and the integrity and ethical values of the client (including management and, when appropriate, those charged with governance) that is sufficient to support such judgments and
 - (ii) The firm's ability to perform the engagement in accordance with professional standards and applicable legal and regulatory requirements.
- (b) The financial and operational priorities of the firm do not lead to inappropriate judgments about whether to accept or continue a client relationship or specific engagement.

Illustrative Example 6

The audit of Crystal Enterprises Ltd for the year ended 31 December 20X3 was finalised on 8 April 20X4. During the audit it was discovered that a significant tax fraud had been committed by the company involving management and those charged with governance. The audit engagement partner has made a report to the tax authority concerning the fraud.

In this example, the audit engagement partner would not seek re-appointment as auditor given the seriousness of the case and would duly resign. The integrity of management and those charged with governance is clearly lacking and so there would be no other alternative for the audit engagement partner but to resign. The only way in which the audit partner would not be able to resign is if they are compelled to continue the engagement by way of law or regulation.

▶ Knowledge Check Questions

Question 14

The audit junior has asked you what the audit committee's primary function is in respect of the external auditors.

Identify which of the following correctly describes the function of the audit committee:

- A** It appoints and removes the external auditors.
- B** It assists in carrying out the external audit.
- C** It annually reviews the auditor's appointment.
- D** It sets the remuneration of the external auditor.



► Knowledge Check Questions (*continued*)

Question 15

You are the audit supervisor of a new client, Smyth Co Ltd. The directors of Smyth Co have given permission for the predecessor auditor to liaise with yourselves in respect of the forthcoming audit of the financial statements for the year ending 31 December 20X3.

Identify which of the following would be discussed between the outgoing and incoming audit firms:

- A** Whether any non-executive directors are on the board.
- B** Reasons for the change in auditors.
- C** The structure of the finance department.
- D** Whether there are any going concern issues that need to be considered.

Question 16

The audit engagement partner has been approached by Penway Co Ltd to act as its auditor in respect of its financial statements for the year ended 31 January 20X3. In addition, an existing client, Sunway Co Ltd, has also asked the partner if she would be willing to accept appointment to audit its financial statements for the year ended 31 December 20X2.

Describe the factors and issues that the auditor should consider in deciding to accept a new client and/or to continue with an audit engagement.

Question 17

The audit engagement partner has accepted appointment as Penway Co's auditor for the year ended 31 January 20X3 and has held a discussion with Xi Ling, the finance director, to obtain an understanding of the entity and its environment. One of the points raised during that discussion was the company's compliance with certain aspects of corporate governance.

- (a) Explain the concept of corporate governance;
- (b) List the primary objectives of corporate governance; and
- (c) List and explain the three most important corporate governance functions.



SUMMARY

External auditors are responsible for obtaining reasonable assurance that financial statements are free from material misstatement whether caused by errors or fraud and give a true and fair view (or present fairly in all material respects). Auditors can be held liable to their clients or third parties for a failure to devise adequate procedures aimed at discovering material misstatement in financial statements or failing to report such misstatements. This chapter presents:

- An overview of the potential liability for auditors and the importance of compliance with applicable laws, regulations and corporate governance measures as well as the possible detrimental effects of non-compliance.
- Role, duties, rights, and liabilities of external auditors in Hong Kong are governed by the CO, the Hong Kong Standards on Auditing (HKSAs) and other applicable laws, rules, regulations and corporate governance measures.
- Documentation of the written contract between auditors and their clients in the form of an engagement letter is crucial in determining the type and extent of their legal liabilities.

Corporate governance is defined as the process of managing the company for the benefit of its stakeholders, including shareholders, with the intent to align management's interests with those of shareholders.

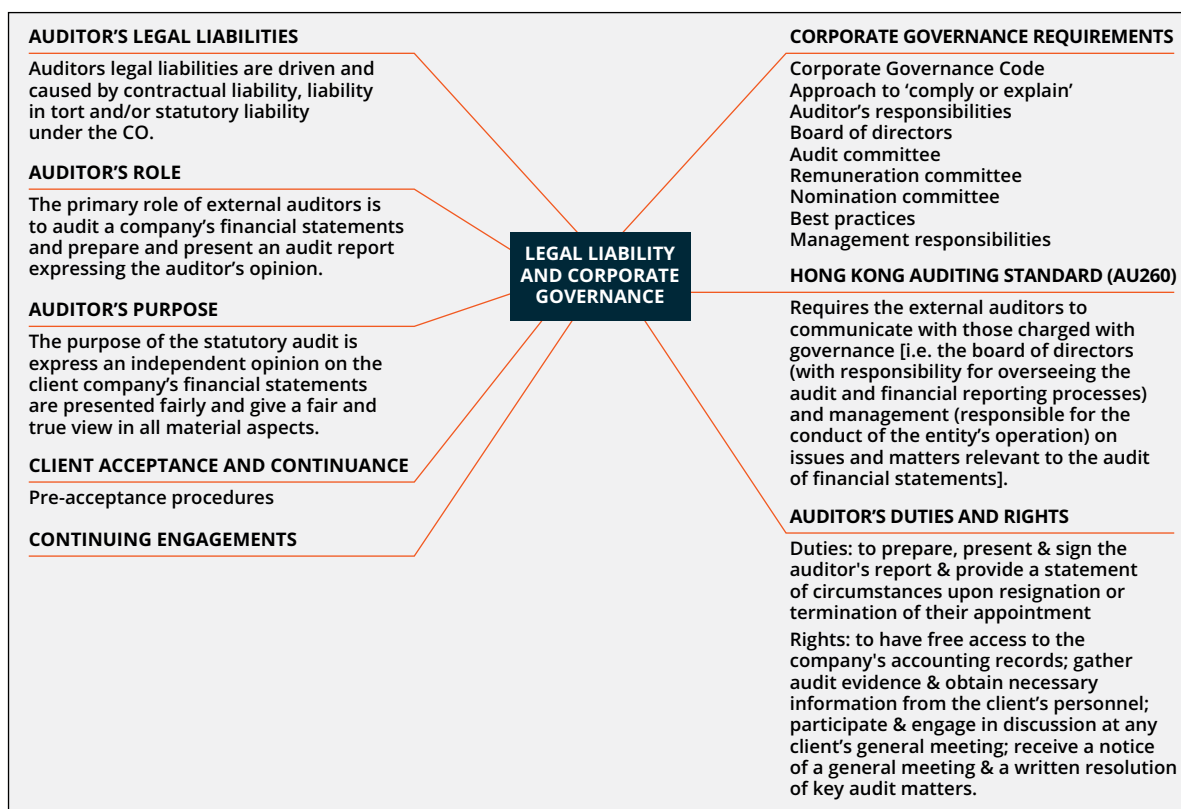
The purpose of client acceptance is to reduce the auditing firm's legal and financial risk by ensuring the client company has a reliable auditing past and strong operating procedures payment history. It should also not pose any conflicts to the auditing firm.

Auditors in Hong Kong need to understand the illegality defense if they are being sued by their parties for a company governed by fraudulent directors and/or ineffective corporate governance.

Auditors must maintain professional skepticism when carrying out audit engagements.

- The primary role of external auditors is to express an opinion on the company's financial statements and express that opinion in the form of an auditor's report.
- The purpose of the statutory audit is for the auditor to express an independent opinion on the company's financial statements and whether they give a true and fair view (or are presented fairly in all material respects).
- Auditors' are required to prepare and present a statement of circumstances upon resignation or termination of their appointment.
- Auditors have a right to free access to the company's accounting records; they are required to gather sufficient and appropriate audit evidence on which to base their auditor's opinion and obtain necessary information from the client's personnel. They have a right to participate and engage in discussion at any client's general meeting and to receive a notice of a general meeting and a written resolution of key audit matters.
- The auditor's report states whether the entity's financial statements give a true and fair view and have been prepared in conformity with the applicable financial reporting framework. The auditor is required to carry out the audit in compliance with the requirements of the CO and the HKSAs.
- Auditors legal liabilities are driven and caused by contractual liability, liability in tort and/or statutory liability under the CO.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect because the auditor cannot express absolute assurance that the financial statements are free from material misstatement because of the inherent limitations of an audit (e.g. reliance on management assertions, use of sampling and such like).

Answer B is correct because only reasonable assurance is provided in the auditor's report which is a high but not absolute level of assurance.

Answer C is incorrect because the auditors report to the shareholders and not management.

Answer D is incorrect because the auditor is not responsible for the prevention and detection of fraud as this responsibility rests with management; they are responsible for designing audit procedures which aim to provide reasonable assurance that the financial statements are free from material misstatement whether due to fraud and error.

Question 2

Answer A is correct because the engagement letter is a contract between the auditor and the client, part of which outlines the respective responsibilities of each party.

Answer B is incorrect because a quotation for audit services would merely inform the potential audit client the scope of work to be performed together with the fee for that work.

Answer C is incorrect because the contract between the auditor and the client is in the form of an engagement letter – this need not be drawn up by a reputable law firm; it can be drawn up by the audit firm.

Answer D is incorrect because the CO does not outline the respective responsibilities of the auditor and the audit client.

Question 3

Answer A is incorrect because an unintentional overstatement of revenue would be regarded as an error, not fraud.

Answer B is incorrect because irregularities in the accounting records may be a fraud risk factor, but not necessarily a fraudulent act.

Answer C is incorrect because a harmful act to society would not be a fraudulent act within the entity itself.

Answer D is correct because fraud is committed with the intent to deceive, harm, or injure others.

Question 4

Answers A, B and D all serve to reduce the likelihood of financial statement fraud.

Answer C is correct because collusion (e.g. among management or employees) increases the possibility of financial statement fraud because more individuals are involved and any sort of fraud is likely to be more serious where collusion among several individuals is involved.

Question 5

External auditors are responsible for auditing the company's financial statements in accordance with the Hong Kong Standards on Auditing and providing reasonable (not absolute) assurance that the financial statements are free from material misstatements whether caused by errors or fraud and that they are presented fairly in accordance with the financial reporting framework and the CO.

Question 6

Auditors can be held liable to their clients under contract law for any failure to perform an audit (or other review assurance engagements) in accordance with one or more of the provisions within the engagement letter. An auditor can be sued for failing to exercise reasonable care, which is broadly defined as compliance or non-compliance with applicable laws, rules, regulations and standards.

Question 7

HKSA 210 *Agreeing the Terms of Audit Engagements* paragraph 10 requires the following items to be included in the engagement letter between the audit firm and the client:

- The objective and scope of the audit of the financial statements;
- Responsibilities of the auditor and management;
- Identification of the applicable financial reporting framework for the preparation of the financial statements;



- Reference to the expected form and content of any reports to be issued by the auditor; and
- A statement that there may be circumstances in which a report may differ from its expected form and content.

Question 8

Answer A is incorrect because corporate accountability relates to the performance of a business in non-financial areas such as environmental performance and sustainability – good corporate governance will contribute to corporate accountability.

Answer B is correct because effective corporate governance may reduce but will not eliminate the possibility of fraud.

Answer C and D are both incorrect because good corporate governance will enhance the integrity and efficiency of the capital market and will also enhance the reliability and quality of public financial information because companies will be applying corporate governance principles which enhances these attributes.

Question 9

Answer D is correct.

Answer A is incorrect because the aim of corporate governance is to create a balance of power but not just to create power for management.

Answers B and C are both incorrect because management authority is not enhanced and the board of directors are not empowered through corporate governance – the aim is to create a balance of power-sharing via corporate governance among shareholders (those that own the company) and management (those that run the company on behalf of the shareholders) hence D is the correct answer.

Question 10

The design and implementation of sound accounting and effective internal control systems is the responsibility of management. This process is overseen by the board of directors who ultimately report into the shareholders. The auditors are required to report on the internal control environment and report any significant deficiencies in internal control to those charged with governance.

Question 11

The board of directors are appointed based on their skills and experience and generally comprise executive and non-executive directors. Executive directors are appointed to run the company on behalf of the shareholders and protect their interest. They have a responsibility to ensure that the company is run in the shareholders' best interests with a view to maximising shareholder wealth. Non-executive directors are usually appointed on a part-time basis to assist the executive directors and offer advice in the running of the company.

Question 12

The audit committee is formed in order to oversee the financial reporting and auditing process of the business and will receive feedback from internal audit as to the effectiveness of the company's internal control environment. The remuneration committee sets and approves executives remuneration and the nomination committee both nominates and assists in the selection of directors.

Question 13

- (a) The term 'those charged with governance' relates to those individuals within the entity that have oversight responsibility (such as the directors and the audit committee). Those charged with governance would also include senior executives who are in charge of operations.
- (b) The matters which should be communicated between auditors and those charged with governance include the following:
- The planned scope and timing of the audit and other audit-related matters;
 - The auditor's responsibility in relation to the financial statement audit;
 - Reporting significant findings from the audit; and
 - The means by which auditor independence and objectivity will be preserved.

Question 14

Answer A is incorrect because it is the board that appoint the auditors not the audit committee.

Answer B is incorrect because the audit committee do not get involved in carrying out the external audit – this is done purely by the external auditors.

Answer C is correct because according to the Directors' handbook published by Hong Kong Exchanges and Clearing Market, the audit committee reviews the appointment of the external auditor every year and oversees the relationship with the external auditor to ensure continuing auditor independence.

Answer D is incorrect because the remuneration of the auditor is determined by the auditor themselves based on the time, level and skills required to carry out the audit.

Question 15

Answer A is incorrect because details of executive and non-executive directors can be obtained by the incoming audit firm through other means.

Answer B is correct because the incoming firm will need to consider the reasons why the client has changed audit firm to decide whether or not it is reasonable to act for them.

Answer C is incorrect because the structure of the finance department can be discussed with the client or information concerning the structure can be obtained through other forms of research.

Answer D is incorrect because any going concern issues which need to be considered can be reviewed through the prior year's auditor's report (if any such issues have been emphasised within the report) or if there are any disclosures relating to going concern that have been disclosed in the financial statements for the prior year.

Question 16

For new audit engagements, the auditor is required to consider the following:

- Is the firm competent to perform the engagement and does it have the capabilities, including the time and resources, to do so?
- Can the firm comply with relevant ethical requirements?
- Has the firm considered the integrity of the client or does it have information which would lead it to conclude that the client lacks integrity?
- Are the preconditions for the audit present?



For existing audit engagements, the auditor is required to revisit the acceptance procedures each year to ensure that it is appropriate to continue with the engagement. The auditor is required to consider whether there are any significant issues which have arisen during the year (such as disagreements with management or doubts over the integrity of management) which may mean that the auditor considers it appropriate to resign.

Question 17

- (a) Corporate governance is the means by which a company is operated and controlled. It is defined from a legal perspective as reforms and mechanisms that ensure compliance with all applicable laws, rules, regulations, and standards. The aim of corporate governance is to ensure that companies are run well in the interests of their shareholders and the wider community.
- (b) The primary objectives of corporate governance are:
 - a. To provide strategic direction;
 - b. To ensure achievement of objectives;
 - c. To ascertain appropriate risks management; and
 - d. To verify the responsible use of organisation's resources.
- (c) The three most important corporate governance functions are:
 - **Oversight** – Effectiveness of oversight function relies on strategic decisions of the board of directors. It is also influenced by directors' independence, expertise, authority, resources, composition, qualifications, and accountability. The best board strategy should aim to effectively represent and protect the interests of all stakeholders.
 - **Managerial** – This function is assumed by the management team. The effectiveness is determined by the alignment of its interests with those of shareholders and other stakeholders. Their primary responsibilities are to achieve sustainable performance to create shareholder value.
 - **Monitoring** – Shareholders monitor public companies to ensure effectiveness in the business and financial affairs of corporations. Shareholders monitor to ensure effectiveness of corporate governance and to strengthen shareholder rights. Participation in the election of directors and engagement in the proxy voting process is required to be attentive to investments. Institutional investors monitor the governance and financial reporting of the companies they invest in.

EXAM PRACTICE

QUESTION 1

Jacky Chow is the chief executive officer (CEO) of Chow Corporation (Chow), a small but rapidly growing manufacturing company in Hong Kong. For the past several years the auditors, Cheng LLP, have been engaged to do compilation work, a systems improvement study and to prepare the company's income tax returns. In 20X2, Chow decided that due to the growth of the company and requests from bankers, it would be desirable to have an audit. Moreover, Chow had recently received a disturbing anonymous letter that stated: 'Beware! Your treasurer is committing financial fraud. The money is literally disappearing before your very eyes! Signed: A friend.'

Chow believed that the audit was entirely necessary and easily justifiable on the basis of the growth and credit factors mentioned above. He decided he would keep the anonymous letter to himself.

Therefore, Chow, engaged Cheng LLP to provide an opinion on the financial statements for the year ended 31 December 20X2. The CEO did not mention the anonymous letter and a letter of engagement was drafted by Cheng LLP and signed by both parties before the audit commenced.

The audit was performed in accordance with Hong Kong Standards on Auditing. The audit procedures revealed a number of fraud risk factors over the cash cycle, including a lack of segregation of duties, but the audit team did not detect any actual fraud taking place. However, there was an actual and sophisticated fraud being carried out by the treasurer who was diverting funds into a false employee's bank account which had been set up by him. The fraudulent transactions took place both before and after the audit and the fraud came to light in 20X3. Investigations concluded that although the scheme was fairly sophisticated, it could have been detected had additional audit procedures been performed, which placed more focus on the fraud risk factors already presented to the audit firm, been performed by Cheng LLP.

Chow has demanded reimbursement from Cheng for the entire amount of the fraud, some HK\$100,000 of which occurred before the audit and HK\$150,000 after. Cheng has denied any liability and refuses to pay.

Required:

Answer the following, setting forth reasons for any conclusions stated:

- (a) In the event Chow sues Cheng LLP, explain whether it will prevail in whole or in part; and
- (b) Identify whether there may be any liability on Chow's part. If so, state the theory under which it is liable.

Outline your reasons for any conclusions stated.

QUESTION 2

The Companies Ordinance (Cap.622) allows various parties to appoint the external auditors.

Required:

- (a) List four parties who are able to appoint the company's auditors and describe the steps involved should each party listed fail to appoint an auditor.

Chalk Industries Limited applies corporate governance principles throughout its business. It has decided to change its auditors for the audit of the financial statements for the year ended 31 March 20X3 and has approached Pink & Co LLP to accept appointment as its new auditor.

- (b) List five factors which Pink & Co LLP must consider prior to accepting the audit of Chalk Industries Limited.

QUESTION 3

The board of directors of an entity must act in the best interests of the shareholders. This is done by establishing strategic missions, goals and objectives which aim to create long-term shareholder value and ensure that management's decisions meet the strategic objective of the entity.

**Required:**

- (a) List five duties of a director; and
- (b) Explain how a director should gain a better understanding of a company to ensure their responsibilities are discharged effectively.

QUESTION 4

Hong Kong Standards on Auditing require that auditors communicate with the audit committee regarding key audit matters.

Required:

- (a) Describe the audit committee's oversight responsibilities;
- (b) State who is responsible in appointing, removing and remunerating the company's external auditor and provide an example of a reason why an auditor may be removed;
- (c) List the key audit matters that should be communicated between the external auditor and the audit committee.

QUESTION 5

In April 2020, Kitty Cheung, a partner of a five-partners firm, CCA & Co, was approached by New Sun Limited ('NSL') to replace its previous auditor, ABC & Co. ABC & Co retired in February 2020 after submitting the auditor's report for NSL's financial statements for the year ended 30 June 2019, wherein ABC & Co expressed an unqualified opinion. The major reason of NSL for changing the auditor is to reduce the audit fee. Kitty Cheung believes that she can complete the audit and charge NSL for an audit fee 20% lower than ABC & Co by performing the audit in a cost-effective way.

Kitty Cheung emphasised that cost-effective audits can be achieved by having a proper audit strategy and adequate planning as well as effective two-way communication with those charged with governance.

During the auditing planning process, the auditor has the responsibility to communicate with those charged with governance.

Required:

- (a) List the procedures in order to assess whether the preconditions for an audit engagement are present.
- (b) List the matters to be communicated to those charged with governance regarding the planned scope and timing of the audit.

HKICPA December 2020 (amended)

ANSWERS TO EXAM PRACTICE

QUESTION 1

- (a) Yes, Chow may be liable for the loss of HK\$150,000 that occurred after the audit. The auditor may be held liable for the failure to discover errors, irregularities and fraud. However, the auditor cannot be held liable for the fraudulent transactions that took place before the audit.

- (b) Yes, Chow may be liable for failing to inform the auditor of potential financial challenges and fraud under the contributory negligence theory. Had the auditor been told about the potential fraud they would have been expected to have performed more thorough audit procedures to discover the fraudulent transactions.

QUESTION 2

- (a) Under the CO, auditors can be appointed by:

- the company's board of directors;
- the audit committee;
- shareholders at the AGM; and
- by the court.

As a general rule, the board of directors through the audit committee should appoint the auditors. If the directors fail to appoint the auditors, the shareholders appoint them at the AGM. If no auditors are appointed at the AGM, the court may appoint an auditor.

- (b) Prior to accepting the audit engagement of Chalk Industries Limited, Pink & Co LLP must consider the following:

- How it will obtain an understanding of the potential client's industry and the environment in which it operates.
- Significant matters it is aware of, or needs to be aware of, that are relevant to the audit.
- Related parties (including the existence of related parties) and the transactions Chalk Industries undertakes with those related parties.
- The structure and extent of involvement of internal audit (or whether an internal audit department exists).
- The need to engage any auditor's experts (for example, to provide sufficient and appropriate audit evidence in relation to complex items such as financial instruments or valuations of non-current assets).

QUESTION 3

- (a) Directors duties are as follows (note: only five are required):

- Carry out their duties in good faith for the benefit of the company and avoid any conflicts of interest.
- Use directorship authority for proper purposes in the best interests of the shareholders.
- Not to delegate powers except with proper authority.
- Exercise independent and professional judgement.
- Exercise professional due care, diligence and skill.
- Maintain adequate accounting records.
- Comply with the company's Articles of Association, corporate governance requirements and resolutions.
- Not to allow unauthorised use of the company's property and/or information.
- Not to use the position as director to gain personal advantage.
- Not to accept personal benefits from third parties due to their position as director.



- (b) Directors are required to gain a thorough understanding of the company in which they are running for the shareholders. To do this, the directors must devote time to:
- Visiting branches/sites to ascertain how well they are being run;
 - Communicating with all levels of the workforce on all aspects pertinent to the business;
 - Learning about major projects currently ongoing or about to commence at the business;
 - Understanding the strategies relevant to the business and the competitive environment.

QUESTION 4

- (a) The audit committee's oversight responsibilities are as follows:
- Ensuring that the entity complies with good corporate governance principles
 - Ensuring that the company's internal control environment is as effective as possible and that the board is notified of any significant deficiencies/improvements needed
 - Ensuring a sound and effective financial reporting process
 - Oversight of audit activities
 - Ensuring that all members of staff comply with laws and regulations
 - Overseeing the company's whistle-blowing process and ensuring that all staff are aware of the procedures involved
 - Dealing with the company's Enterprise Risk Management process
 - Investigating (potential) financial statement fraud in conjunction with the company's internal audit department
- (b) The external auditors should be appointed and removed by the board of directors. Remuneration levels for the auditor are approved by the board but are set by the external auditor as this will depend on the time to be spent on the audit and the level of skill and expertise required.
- (c) The audit committee should discuss the scope of the audit with the external auditor to understand how the audit will be executed together with timescales and deadlines for the external auditor to report the progress of the audit to the audit committee. In addition, the audit committee must:
- discuss and approve all audit and non-audit services to be performed by the auditor;
 - discuss any issues which may impede on the auditor's independence and objectivity and whether any safeguards can be applied;
 - discuss any significant financial disputes between the entity's management and its auditors (e.g. overdue fees);
 - review the auditor's report and findings and discuss the findings from the audit with the external auditor so that the audit committee can make any necessary recommendations to the board of directors and arrange for the release of audited financial statements.

QUESTION 5

- (a) In order to establish whether the preconditions for an audit are present, the auditor shall:
1. Determine whether the financial reporting framework to be applied in the preparation of the financial statements is acceptable.

2. Obtain the agreement of management that it acknowledges and understands its responsibility:
 - (i) For the preparation of the financial statements in accordance with the applicable financial reporting framework, including where relevant their fair presentation;
 - (ii) For such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error and
 - (iii) To provide the auditor with:
 - Access to all information of which management is aware that is relevant to the preparation of the financial statements, such as records, documentation and other matters.
 - Additional information that the auditor may request from management for the purpose of the audit.
 - Unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain audit evidence.
- (b) According to HKSA 701, Communicating Key Audit Matters in the Independent Auditor's Report, the matters to be communicated to those charged with governance regarding the planned scope and timing of the audit:
 - How the auditor plans to address the significant risks of material misstatement, whether due to fraud or error.
 - How the auditor plans to address areas of higher assessed risks of material misstatement, the auditor's approach to internal control relevant to the audit and the application of the concept of materiality in the context of an audit.
 - The nature and extent of specialised skill or knowledge needed to perform the planned audit procedures or evaluate the audit results, including the use of an auditor's expert.
 - When HKSA 701 applies, the auditor's preliminary views about matters that may be areas of significant auditor attention in the audit, and therefore may be key audit matters;
 - The auditor's planned approach to addressing the implications on the individual statements and the disclosures of any significant changes within the applicable financial reporting framework or in the entity's environment, financial condition or activities;
 - The attitudes, awareness, and actions of those charged with governance concerning (a) the entity's internal control and its importance in the entity, including how those charged with governance oversee the effectiveness of internal control, and (b) the detection or possibility of fraud;
 - The actions of those charged with governance in response to developments in accounting standards, corporate governance practices, exchange listing rules, and related matters, and the effect of such developments on, for example, the overall presentation, structure and content of the financial statements; and
 - The responses of those charged with governance to previous communications with the auditor.



Part B

Audit Planning and Procedures

- 
- Chapter 3** Audit Planning I
 - Chapter 4** Audit Planning II
 - Chapter 5** Sampling
 - Chapter 6** Auditing IT Systems
 - Chapter 7** Audit Procedures for Specific Balances and Transactions
 - Chapter 8** Major Actions During the Audit Completion

3

Audit Planning I

CHAPTER TOPIC LIST

3.1 Stages of an Audit

- 3.1.1 Planning an Audit Overview
- 3.1.2 Performing an Audit Overview
- 3.1.3 Reporting an Audit Overview
- 3.1.4 Audit Methodologies

3.2 Understanding of the Entity and Its Environment, and Impacts to an Audit

- 3.2.1 Entity Level
- 3.2.2 Industry Level
- 3.2.3 Economy Level

3.3 Internal Control Overview

- 3.3.1 The System of Internal Control

3.4 Identifying and Assessing the Risks of Material Misstatements

- 3.4.1 Financial Statement Level
- 3.4.2 Assertion Level
- 3.4.3 Risks that Require Special Audit Consideration

3.5 Fraud Risk Overview

- 3.5.1 The Auditor's Objectives
- 3.5.2 Fraud Risk Factors
- 3.5.3 Risk Assessment Procedures
- 3.5.4 Audit Responses to Address Fraud Risks

LEARNING OUTCOMES

PRINCIPAL LO2: EXPLAIN THE NATURE AND PURPOSE OF AUDITING

LO2.02: Describe the roles and responsibilities of an auditor

2.02.04 Describe the auditor's responsibilities to consider fraud in an audit of financial statements

2.02.05 Identify the differences between business failure, audit failure and audit risk

PRINCIPAL LO3: EXPLAIN AND ANALYSE AUDIT APPROACH AND PLANNING

LO3.01: Explain and analyse the importance of understanding a client's business

3.01.01 Explain and analyse how the entity's operation and environment relate to an audit

3.01.02 Explain how an auditor obtains an initial understanding of the entity and its environment

3.01.03 Explain how an auditor evaluates the impact of new rules, regulations and standards related to an audit

LO3.02: Demonstrate the importance of internal controls

3.02.01 Demonstrate an understanding of the nature of internal controls and its importance to both management and the auditor

3.02.02 Explain and analyse the five components of internal controls

3.02.03 Apply fraud risk enquires

LO3.04: Describe the design of an audit approach

3.04.01 Describe and illustrate the following audit methodologies:

- Risk-based auditing
- Top-down auditing
- System-based auditing
- Systems audit
- Balance sheet approach
- Transaction cycle approach
- Directional testing

LO3.05: Demonstrate how to prepare the overall audit plan and audit programme

3.05.01 Demonstrate an understanding of the three phases of the audit process:

- planning, including risk assessment and design audit responses
- risk responses, including obtain audit evidence
- completion of the audit and preparation of the auditor's report

PRINCIPAL LO4: APPLY AUDIT PROCEDURES TO AN AUDIT

LO4.01: Analyse the importance of audit planning and its documentation

4.01.01 Analyse the importance of audit planning

4.01.02 Explain the purpose and contents of an engagement letter

4.01.10 Explain the purposes and types of audit documentation

LO4.02: Illustrate the relationship between materiality and risk

4.02.05 Illustrate how to identify and explain the risks of material misstatements at financial statement levels and assertion levels, including presumed fraud risks



OPENING CASE

CPB TECHNOLOGIES LIMITED

This case study is the basis for illustration in the rest of this chapter.

CPB Technologies Limited (CPB) is a private company which manufactures desktop and laptop computers as well as component parts used in the manufacturing process. It operates from five sites, with its head office located in Kowloon Bay. The company has been established for over 40 years and has a significant market share. However, new entrants to the market have become a threat to CPB as the new entrants have been able to be very competitive in their pricing structure. This has resulted in a few small customers leaving CPB to source their supplies from the new competitors. The Board of Directors of CPB is concerned that if this continues, the company will begin to lose its market share. Two additional sales teams have been recruited in the year and a revised bonus structure has been introduced to help boost sales and profitability.

You are the audit senior of Sun & Co Certified Public Accountants and are planning the audit of CPB for the year ended 31 December 20X2. You will be assisted by a team of four audit staff. The audit engagement partner, Ivan Siu, has stated that he wants a different audit approach to be used in this upcoming audit to ensure that the team addresses the risks of material misstatement adequately. Last year's audit of the 31 December 20X1 financial statements revealed a number of deficiencies in the company's internal control environment, which meant time spent on the audit was increased by 50%. The deficiencies included bank reconciliations and supplier statement reconciliations not being carried out on a regular basis, a lack of segregation of duties in the payroll department and cut-off errors with inventory and sales.

A new finance director, Edna Cheung, was appointed to the Board of CPB during the year and overhauled the finance department, introducing a new accounting system so the company could prepare more useful financial reports. Edna Cheung is a qualified Certified Public Accountant and has many years' experience working in the technology industry. In her last role, she was a crucial part of her company becoming a publicly listed company on the Hong Kong Stock Exchange and has stated to the Board that she would like to do the same for CPB. The Board and most of the shareholders are quite excited about the prospect.

One of Edna Cheung's plans is for the company to explore a different market, which is that of software development. The Board of Directors agreed with the proposal but in order to start the project, they have to secure additional bank finance in the sum of HK\$1 million. The bank wishes to see the audited financial statements for the year ending 31 December 20X2 before they will make any decisions as to the lending. As the company wishes to embark on this project as quickly as possible, Edna Cheung has asked the audit engagement partner if audited financial statements can be available for presentation to the bank by the end of January 20X3. 

 OVERVIEW

Audit planning is a crucial aspect of the audit and it must be sufficiently detailed and thorough so as to ensure that the overall objectives of the audit are met.

At the planning stage of the audit, the auditor must develop an understanding of the audit client and identify any risk factors which may indicate that the financial statements contain material misstatements. The planning phase of the audit includes reviewing the draft financial statements, performing analytical procedures in accordance with HKSA 520 *Analytical Procedures*, determining materiality levels (both financial statement materiality and performance materiality) in accordance with HKSA 320 *Materiality in Planning and Performing an Audit* and developing an audit strategy and an audit plan.

An adequate audit plan should reduce the audit risk. Audit risk is the risk that the auditor forms an incorrect opinion on the entity's financial statements and is covered in more detail in Chapter 4. The auditor must ensure that compliance with all relevant Hong Kong Standards on Auditing (HKSAs) is achieved and ensure that staff engaged on the assignment are suitably experienced and supervised and that they carry out relevant and appropriate audit procedures.

The planning phase of the audit is a continual process; in other words, it is not completed at the start of the audit and then forgotten. Issues may become apparent to the auditor during the course of the audit which may mean that the audit plan has to be revised. For example, additional procedures beyond those devised at the planning stage may need to be carried out because of discoveries during the detailed audit work, for example, additional fraud risk factors.

Audit planning includes the development of an audit strategy which is a 'high-level' plan as to how the audit will be tackled. After the audit strategy has been developed, the audit plan is established; this is a detailed plan of how various matters identified in the overall strategy will be applied. Hence, the audit strategy sets the overall approach to the audit, whereas the audit plan addresses the operational details of how the strategy is to be achieved.

Audit planning must be documented by the auditor and any deviations from the plan can increase the audit risk. Deviations from the plan must be avoided wherever possible, although changes to the initial plan as a result of the outcomes of audit procedures during the fieldwork stage may be required.



3.1 STAGES OF AN AUDIT

It is useful to understand at the outset the overall objective of an audit, which is set out in HKSA 200 *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Hong Kong Standards on Auditing*. Unless the overall objective is fully understood, the planning stage of the audit is at risk of merely becoming a mechanical ‘tick box’ exercise, which will not result in a thorough or efficient audit being carried out.

There are four stages to an audit:

1. The Risk Assessment Stage

This includes:

- understanding the audit client, the nature of the entity and the environment in which it operates; and
- identifying risks and whether these risks could cause a material **misstatement** in the financial statements.

2. The Risk Response Stage

This includes:

- identifying appropriate responses to the risks identified;
- devising tests of control (see Chapter 4); and
- devising substantive procedures (see Chapter 4).

3. The evidence-gathering stage

This is the stage where the auditor will gather sufficient appropriate audit evidence to support the amounts and disclosures in the financial statements. This is often called the ‘detailed audit fieldwork’ stage.

4. The Reporting Stage

This is the stage where the audit evidence obtained by the audit team is reviewed and a conclusion is drawn, which enables the audit engagement partner to form an opinion as to whether the financial statements give a true and fair view (or present fairly in all material respects). At the reporting stage, the auditor issues the auditor’s report in accordance with HKSA 700 (Revised) *Forming an Opinion and Reporting on Financial Statements*. The auditor’s report provides **reasonable assurance** as to whether or not the financial statements are materially misstated, due to either **fraud** or **error**. Chapter 9 examines the auditor’s report in more detail.

Key Learning Point

HKSA 500 *Audit Evidence* requires the auditor to obtain **sufficient** and **appropriate** audit evidence on which the auditor will form the overall opinion as to whether the financial statements give a true and fair view. 'Sufficiency' relates to the **quantity** of audit evidence. 'Appropriateness' relates to the **quality** or relevance and reliability of evidence.

HKSA 200 begins with a statement clarifying that the purpose of an audit is to enhance the degree of confidence of intended users in the financial statements. This is achieved by the expression of an opinion by the auditor on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework.

There are some important aspects of this objective which need to be clearly understood at the outset:

- The expression of an opinion by the auditor is not a guarantee by the auditor that the financial statements are completely accurate. The auditor does not provide absolute (or maximum) assurance on the accuracy of the financial statements but provides *reasonable assurance* that the financial statements are free from material misstatement, whether due to fraud or error.
- The phrase '... in all material respects' is subjective. Materiality is dealt with in Chapter 4 and so for the purposes of this chapter it may be helpful to substitute the word 'significant' for 'material'. Financial statements will contain some degree of estimation, such as when arriving at a provision for a liability or inventory write-down. The auditor is concerned with ensuring that the financial statements 'give a true and fair view' or 'present fairly in all material respects' and hence the auditor will not be unduly concerned with any insignificant misstatements, provided they remain insignificant when they are combined.

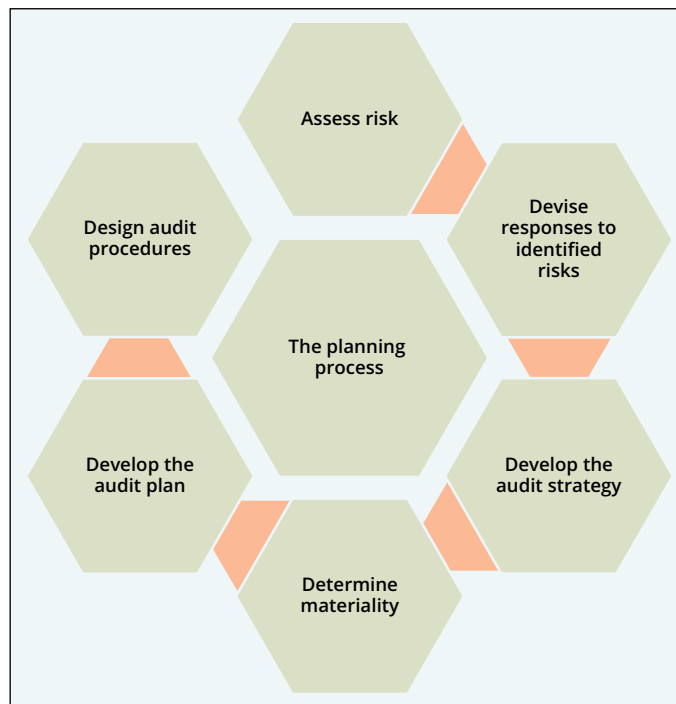
The auditor is required to express an opinion on an entity's financial statements and, to do that, must gather audit evidence which supports that opinion. The audit evidence gathered will be driven by the audit plan, which is an exercise completed at the planning stage of the audit.

3.1.1 Planning an Audit Overview

Audit planning is dealt with in the HKSA 300 series, in particular, two related HKSAs: HKSA 300 *Planning an Audit of Financial Statements* and HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement*. According to HKSA 300, the objective of the auditor is to plan the audit so that it will be performed in an effective manner. All audits must be carried out to the same standard and hence it is important that the auditor complies with all aspects of the HKSAs; in other words, the auditor cannot choose which parts of a HKSA to apply – if a HKSA is relevant to the audit, all parts of the HKSA must be applied.

Exhibit 3.1 shows a summary of the planning process.

Each of these important elements of the risk assessment phase are considered in this chapter and further in Chapter 4.



► **EXHIBIT 3.1** The audit planning process

3.1.1.1 General Planning of an Audit Including Risk Assessment Procedures

At the risk assessment stage, the auditor considers the risks applicable to both the audit client and the environment in which the client operates. This is a crucial aspect of the audit, because there could be risks due to the environment (industry) as a whole – such as if the industry is in decline, then this could mean there are potential going concern issues that need to be dealt with.

In addition, the auditor will consider how the financial statements themselves could be at **risk of material misstatement**, including an assessment as to whether a material misstatement could arise due to error or fraud. The outcome of this risk assessment process will steer the auditor into developing audit procedures which are responsive to the assessed levels of risk.

During the risk assessment phase, the auditor must gain a thorough understanding of the audit client, the internal controls present, the reporting system, corporate governance issues and the means by which the financial statements are prepared from the client's accounting records and financial reporting system. The auditor must also gain an understanding as to related parties, transactions with those related parties and the risk that the audit client may not have disclosed all related parties to the auditor. The auditor will also consider whether the going concern basis of accounting is appropriate and the relevant audit assertions which need to be tested in order to assess the overall risk of material misstatement.

It is necessary for the auditor to document their understanding of the client's IT system because nowadays financial statements are drawn up from information in the client's IT system. The auditor must assess the overall adequacy of the IT system, including the controls in place over the IT system itself (e.g. access rights and how often passwords are changed), as well as how information flows from the IT system into the financial statements.

Broadly, the **risk assessment phase** involves gaining an understanding of the client, identifying factors that may impact the risk of a material misstatement in the financial statements, performing a risk and **materiality** assessment, and developing an overall **audit strategy**. The risk of material misstatement is the risk that the financial statements include a significant error or fraud. The **risk response phase** of the audit involves the performance of detailed testing of controls and substantive testing of transactions and accounts (see Chapter 4).

Risk Assessment Phase

HKSA 300 *Planning an Audit of Financial Statements* requires the auditor to plan the audit to reduce the audit risk (the risk that the auditor expresses an inappropriate opinion on the financial statements) to an acceptably low level.

The risk assessment phase involves assessing the audit risk and materiality and developing the overall **audit strategy** and the **audit plan**.

Audit risk (and detection risk) are considered further in Chapter 4. However, as a brief overview, audit risk is the risk that the auditor may express an unmodified opinion when the financial statements contain a material misstatement. The definition states that it is a function of the risks of material misstatement and 'detection risk'. Detection risk is the only risk that is under the control of the auditor and is defined in HKSA 200 *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Hong Kong Standards on Auditing* as:

The risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a misstatement that exists and that could be material, either individually or when aggregated with other misstatements.

HKSA
200.13(e)

Key Learning Point

The *Glossary of Terms Relating to Hong Kong Standards on Quality Control, Auditing, Review, Other Assurance and Related Services* defines 'audit risk' as the risk that the audit expresses an inappropriate audit opinion when the financial statements are materially misstated. Audit risk is a function of the risks of material misstatement and detection risk.

The 'risk of material misstatement' is the risk that the financial statements contain material misstatement before the audit starts. This comprises two components – 'inherent risk' and 'control risk'.

'Inherent risk' is the susceptibility of an assertion about a class of transactions, account balance or disclosure to a misstatement which could be material, either individually or when aggregated with other misstatements, before consideration of any related controls.

'Control risk' is the risk that a misstatement which could occur in an assertion about a class of transactions, account balance or disclosure and that could be material, either individually or when aggregated with other misstatements, will not be prevented, or detected and corrected, on a timely basis by the entity's internal control.

HKSA 200 *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Hong Kong Standards on Auditing* recognises that 'inherent risk' is higher for some assertions and related classes of transactions, account balances and disclosures than for others. Accounting estimates are a specific area that can increase the risk of material misstatement due to the subjectivity involved in arriving at an accounting estimate. Hence, at the planning stage of the audit the auditor must devise specific procedures that respond effectively to the assessed level of risk.

HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement* and HKSA 540 (Revised) *Auditing Accounting Estimates and Related Disclosures* refer to the 'spectrum of inherent risk'. This is the degree to which inherent risk varies.

The spectrum of inherent risk assists the auditor in determining whether an identified risk is a 'significant risk'. A significant risk is an identified risk of material misstatement for which the assessment of inherent risk is close to the upper end of the spectrum of inherent risk. This is due to the degree of to which inherent risk factors affect the combination of the **likelihood and the magnitude** of a potential misstatement.

Keep in mind that the higher on the spectrum of inherent risk a risk is assessed, the more persuasive the audit evidence will need to be.

Audit planning is a continuous process – it is not completed at the start of the audit assignment and then forgotten. During the audit, issues may arise which may require the planned audit procedures to be changed and (potentially) materiality levels revised. Any changes to the audit plan must be documented, together with the reasons why the plan has changed.

Illustrative Example 1

In the opening case, the market in which CPB Technologies operates has seen new entrants which have been able to be competitive in their pricing structure. This strategy has led to CPB Technologies losing some customers to its competitors and the Board of Directors has acknowledged that they are concerned the company will eventually lose its market share.

At the risk assessment stage, the auditor must take this risk into consideration as it may have an impact on the going concern ability of the company. The auditor must take into account that if the company is not able to manage this threat effectively, it is likely that it will experience a further loss of customers, which has an impact on revenue, profitability and cash flow. The auditor must determine specific procedures at the response phase (see 'Risk Responses' below) to address this risk, because there is a risk that the company will not be a going concern.

Apply and Analyse 1

Apply

During the year, CPB Technologies had changed the accounting system as the new system produces more useful financial reports. During the detailed audit fieldwork, it was discovered that certain items of repairs and maintenance expenditure (including research expenditure) were being capitalised on the entity's statement of financial position in

Apply and Analyse 1 (continued)

contravention of HKAS 16 *Property, Plant and Equipment* and HKAS 38 *Intangible Assets*. The appropriate accounting treatment should have been to recognise them as an expense in the statement of profit or loss.

Describe the impact that this misstatement has on the audit planning and whether any additional audit procedures should be performed by the auditor to address the risk of further material misstatement of the financial statements.

Analysis

The auditor would need to review the audit procedures devised at the planning stage and amend the audit plan accordingly. This is because, during the detailed testing, a further problem was noticed in the way that the new accounting system has been recording items, which should be recognised in the statement of profit or loss and other comprehensive income. The consequence of this is that non-current assets and profit are both overstated. In addition to amending the audit plan to devise further procedures to reduce the audit risk to an acceptably low level, the auditor must revisit materiality levels and revise those accordingly if considered necessary (usually to decrease them). All changes to the audit planning must be adequately documented in order that a complete audit trail is maintained.

HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement* requires the auditor to evaluate the audit client's business risk (see Section 3.1.1.2), but this is not the only assessment of risk. The overall requirements of HKSA 315 (Revised 2019) are broad and contain much more rigorous requirements to ensure the auditor fully understands how the client identifies and manages risk generally. HKSA 315 (Revised 2019) requires the auditor to 'stand back' after the risk assessment process has been completed to evaluate the risks. This aims to ensure the auditor has not missed any risks that may give rise to a material misstatement in the financial statements. The auditor is required to form a view as to the process by which risks are evaluated by management and/or those charged with governance, how their potential significance to the business is determined, and the way in which responses are established and carried out.

A well-planned audit will ensure that the auditor obtains sufficient and appropriate audit evidence (a requirement of HKSA 500 *Audit Evidence*) for those areas of the financial statements which are most at risk of material misstatement.

Audits can be complex, expensive and risky assignments. In the modern auditing profession, most audit firms utilise standardised procedures, but the importance of adequate audit planning cannot be over-emphasised. HKSA 300 paragraph 2 states that adequate planning benefits the audit of financial statements in several ways, including the following:

- helping the auditor to devote appropriate attention to important areas of the audit;
- helping the auditor to identify and resolve potential problems on a timely basis;
- helping the auditor to properly organize and manage the audit engagement so that it is performed in an effective and efficient manner;
- assisting in the selection of engagement team members with appropriate levels of capabilities and competence to respond to anticipated risks, and the proper assignment of work to them;

HKSA
300.2

Apply and Analyse 1 (continued)

- facilitating the direction and supervision of engagement team members and the review of their work; and
- assisting, where applicable, in coordination of work done by auditors of components and experts.

The auditor is also required to assess the risk of material misstatement due to fraud, in accordance with HKSA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements* and consider whether it is appropriate to assume that the audit client will remain as a going concern in accordance with HKSA 570 (Revised) *Going Concern*.

The entity's corporate governance structure will include rules, systems and processes to guide and control accountability. According to HKSA 315 (Revised 2019), an auditor must gain an understanding of their client's system of internal controls, and this will also consider the impact of IT. HKSA 315 (Revised 2019) contains enhanced application material in Appendices 5 and 6 which are devoted to IT issues. Fraud issues are examined in Section 3.5 of this chapter.

The table in Exhibit 3.2 outlines the preliminary risk assessment procedures.

As part of the audit planning phase, the auditor will arrive at 'materiality levels' which are driven by the auditor's assessment of risk. Materiality is considered in Chapter 4.

Once the auditor has carried out the risk assessment, **risk responses** must then be devised to address those risks.

Risk Responses

Once the auditor has identified the risks of material misstatement, responses to those risks are then required. At the planning stage of the audit, the response does not have to be a detailed audit procedure; rather, it is the approach the audit team will take to address the risk and the detailed audit procedures will follow during the audit fieldwork stage.

In addition, the auditor will also determine whether 'tests of control' or 'substantive procedures' are required under the circumstances. Tests of control and substantive procedures are considered in Chapter 4. However, as an overview, tests of control test the operating effectiveness of the client's internal controls, whereas substantive procedures aim to detect material misstatement in the financial statements.

The risk response phase involves detailed testing of internal controls, transactions and balances. When the auditor plans to rely on the client's system of internal controls, tests of control must be carried out. Tests of control test the operating effectiveness of the client's internal control systems; they are not tests designed to detect material misstatements, because the auditor uses 'substantive tests' (also known as 'tests of detail') to gather audit evidence to determine whether the financial statements are presented fairly in all material respects (or give a true and fair view). In addition, tests of control do not focus on a monetary amount in the financial statements – they focus on the controls that effectively generate the financial reports.

Activity at the planning stage	Reason required
Understand the client	Understanding the client (and the environment in which it operates) is crucial so as to identify key areas of risk which need to be evaluated, including the risk of management override of internal controls.
Identify related parties	There is a higher risk of material misstatement where transactions with related parties have arisen (e.g. fraud).
Identify fraud risk	HKSA 240 requires the auditor to consider the susceptibility of the financial statements to material misstatement due to fraud, including management override of internal controls. Fraud risk factors may also require specific audit procedures being applied (see Section 3.5.2).
Identify going concern risks	The going concern presumption is fundamental to the preparation of the financial statements. The auditor is required to assess management's assertion that the entity is a going concern (although it is not the auditor's responsibility to carry out a going concern assessment).
Review corporate governance	A lack of sound corporate governance or a disregard of corporate governance rules will give rise to a higher risk of material misstatement in the financial statements.
Understand internal controls	The auditor is required to understand the control environment of the entity in accordance with HKSA 315 (Revised 2019). A lack of proper internal controls (such as segregation of duties and review processes) will give rise to a higher risk of material misstatement in the financial statements. A sound internal control structure may allow the auditor to reduce the level of detailed testing of transactions and balances (substantive procedures), provided that the controls have operated effectively during the period.
Understand the IT environment	In CPB Technologies, the client had changed accounting systems during the year. Such a change may give rise to misstatements if the balances have not been transferred correctly, or if the old and new systems have not been run in parallel for an adequate period of time. Most entities use IT, so gaining an understanding of how efficient and reliable the IT system is will enable the auditor to conclude on any preliminary risks at the planning stage.
Review significant accounts and accounting estimates	Accounts are considered significant if they may contain material misstatements. The larger the account balance, the greater the possibility that it contains a material misstatement. The auditor also considers the risk associated with the account balance and the sensitivity of the associated disclosure information. Significant accounting estimates will also need careful auditing in line with HKSA 540 (Revised) <i>Auditing Accounting Estimates and Related Disclosures</i> .
Review significant classes of transactions	Significant classes of transactions generate the amounts recorded in the significant accounts and the significant disclosure processes, which generate the associated disclosure notes. The auditor should review these transactions to identify potential risks of material misstatement.
Review closing procedures	Closing procedures are the processes adopted by a client when finalising the books for an accounting period. If closing procedures are weak, there is a higher risk of material misstatements occurring due to incorrect cut-off processes or misstated closing balances.

► **EXHIBIT 3.2 Preliminary risk assessment procedures**

Exhibit 3.3 in Illustrative Example 2 outlines some of the more typical tests of controls and substantive procedures which an auditor may use to gather sufficient and appropriate audit evidence.

Illustrative Example 2

In CPB Technologies, there are a number of risks which the auditor must take into consideration and devise appropriate responses for that will be included in the audit plan, as shown in Exhibit 3.3.

Audit risk	Auditor's response
New entrants to the market have resulted in a small number of customers switching suppliers to a more competitively priced supplier. There is a risk that if the business loses more customers, revenue, profitability and cash flows will be affected and there will be a negative impact on the entity's ability to continue as a going concern.	Discuss with the directors how the threat by the new market entrants is being managed and whether the lost customers have been replaced. Review the cash flow forecast, budgets and current order levels to ascertain if there is a threat to the entity's ability to continue as a going concern.
A new bonus structure has been put in place to help boost sales and profitability. There is a risk that revenue is being overstated by the salespersons, wishing to achieve their targets by accelerating revenue recognition.	Detailed cut-off procedures to be carried out on the company's revenue recognition practices to ensure that revenue is recognised in the correct accounting period.
The time spent on the audit in 20X1 was increased by 50% due to a number of deficiencies in the entity's internal control environment. If these deficiencies have not been addressed by management, there will be a risk that further misstatements will be present in the current year's financial statements.	Discuss with management whether recommendations to improve internal controls in 20X1 have been implemented and, if so, devise procedures to test those controls. The audit team must apply professional scepticism throughout the course of the audit and extend detailed substantive procedures over high-risk areas of the financial statements, these being bank reconciliations, payables, payroll, inventory and revenue.
A new accounting system has been introduced in the year which can prepare more useful financial reports. If the opening balances from the old accounting system have not been transferred correctly, the closing figures will not be correct, resulting in misstatements in the financial statements.	Document the new accounting system in full and carry out detailed substantive procedures to assess if the closing figures in the old system have been correctly transferred into the new accounting system.
Edna Cheung has stated her intention for the company to be listed on the Hong Kong Stock Exchange, which the Board and most of the shareholders are excited about. There is a risk that the financial statements may be manipulated to show a desired level of profit and/or financial position.	The audit team is to maintain professional scepticism, keeping in mind that there is a higher risk of material misstatement due to the company wishing to be listed on the stock exchange.

► **EXHIBIT 3.3 Auditor's response to risk**

Illustrative Example 2 (continued)

Audit risk	Auditor's response
The company wishes to enter into software development and has applied to the bank for a HK\$1 million loan. The bank wishes to see the audited financial statements before any decision is made, and Edna Cheung has requested audited financial statements be available by the end of January 20X3. The deadline of the end of January 20X3 to present audited financial statements is very short and increases detection risk (the risk that the auditor's procedures fail to detect a material misstatement) due to time pressure on the audit team.	Discuss with Edna Cheung the need for the audit to comply with the Hong Kong Standards on Auditing (HKSA) in full and that this will take time. Request that the audit completion timetable be extended.

► **EXHIBIT 3.3 (Continued)**

3.1.1.2 Business Risks and Failure vs Audit Risk and Failure

The term '**business risk**' is defined as a risk resulting from significant conditions, events, circumstances, actions or inactions that could adversely affect an entity's ability to achieve its objectives and execute its strategies, or from the setting of inappropriate objectives and strategies.

Objectives are the overall plans for the entity, which are determined by management. Strategies are the approaches by which management intends to achieve its objectives.

The requirement to obtain knowledge of the entity's objectives, strategies and business risks is a critical step in audit planning. This is because, according to HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement*, business risk is broader than the risk of material misstatement of the financial statements, though it includes the latter.

HKSA 315 (Revised 2019) defines 'business risk' as:

'A risk resulting from significant conditions, events, circumstances, actions or inactions that could adversely affect an entity's ability to achieve its objectives and execute its strategies, or from the setting of inappropriate objectives and strategies.'

Hence, to successfully identify risks of material misstatement, the auditor should use a 'business risk approach'.

The 'business risk approach' to auditing involves:

- looking at the business in its entirety;
- carrying out an evaluation of the various risks which the business faces; and
- considering the impact, if any, that those risks may have on the financial statements.

All businesses will face risks in their normal course of operation. To that end, the auditor is required to obtain a thorough understanding of the business and the environment in which it operates using HKSA 315 (Revised 2019) as guidance. The business risk approach to auditing is not the same as system-based auditing. System-based auditing (see Section 3.1.4.3) also involves a risk assessment process, but this is part of the overall evaluation of the client's systems and identifying areas where audit attention could be focused (i.e. it is concerned with audit risk).

HKSA 315
(Revised 2019),
para 12(b)

Business risks can arise from external factors, including:

- **Political factors** – due to changes in government policy and changes in the political climate. This will affect companies that operate globally where, in some countries, the political climate could be volatile.
- **Economic factors** – due to changes in the economic situations of the country in which the client operates. Economic changes could give rise to increased levels of inflation or interest rates and in times of economic recession could impact on levels of employment. The auditor must consider the risks applicable in all the countries in which the client operates.
- **Legislative factors** – changes in laws and regulations may result in restrictions to operations or the prohibition of operations (such as if the government bans a product which the client manufactures). Changes in environmental legislation may give rise to additional costs having to be incurred by the client to 'clean up' operations.
- **Compliance factors** – risks of material misstatement may arise due to non-compliance with taxation legislation or other laws and regulations. However, other legislation such as employment law may be breached by the entity, which could result in material misstatement (such as the failure to recognise a provision for liabilities).
- **Physical factors** – natural disasters such as fire or flood may affect the client's ability to continue as a going concern.
- **Financial factors** – credit risk (the risk of non-payment of receivables), foreign exchange risk (the risk caused by trading in foreign currencies or the translation risk on the conversion of assets held in foreign currencies in overseas subsidiaries to the presentation currency) and interest rate risk (the risks to business financing caused by unexpected movements in interest rates) are all beyond the control of the client. Such factors can have a detrimental impact on the results of the entity (some previously profitable entities may report current-year losses).
- **Technological risk** – some clients manufacture and/or sell goods which have a relatively short 'shelf life' due to technical obsolescence (e.g. laptop computers). If a business fails to spot opportunities or developments in emerging technologies, it may well find itself overtaken by competitors.
- **Market risk** – factors such as increased competition (as in CPB Technologies in the opening case), price wars and development of new products.

Illustrative Example 3

CPB Technologies faces a business risk because there has been a fall in demand for its products due to new entrants instigating a competitive pricing strategy. The associated risk of material misstatement lies in the valuation of inventory; hence, there is a risk of misstatement in that the inventory may be overvalued. The fall in demand could also have a longer-term impact on the company's ability to continue as a going concern, leading to a potential risk of material misstatement at the financial statement level.

An entity's objectives and strategies may change over time; hence, each year the auditor must hold a discussion with management to identify any important changes which

Illustrative Example 3 (continued)

may have an impact on the audit of the financial statements. Examples of such matters may include:

- introducing a new product or service;
- implementing significant research and development activities;
- expanding the business into other countries or markets; and
- introducing new technology or a new accounting system.

Business Failure

All businesses, large and small, are at risk of failure. A business generally fails when it has run out of cash and hence has gone into liquidation or bankruptcy. Business failure is not the same as audit failure (see below). Even the most profitable of businesses can fail – for example, due to ‘over-trading’. The term ‘over-trading’ refers to situations when a seemingly profitable business runs out of cash and hence cannot meet its obligations and has no resources to fund day-to-day working capital requirements. This can happen, for example, when a company is expanding rapidly and has to pay its suppliers quicker than it is collecting cash from its customers.

Audit Failure

Audit failure arises when an auditor’s report incorrectly states that the entity’s financial statements are correct when they actually contain errors or false statements. Until the audit failure has been investigated, it is generally unknown whether the audit failure has arisen through negligence or wrongdoing.

Illustrative Example 4

Assume that the auditor’s report for CPB Technologies for the year ended 31 December 20X2 has been unmodified. However, it later transpires that in order to secure the additional bank finance, the directors had deliberately overstated the company’s assets by HK\$10 million. The inflated valuation boosted CPB Technologies’ net income and total assets to such an extent that the company was in an advanced stage of its application to become listed on the Hong Kong Stock Exchange.

Investigations concluded that the audit firm did not sufficiently consider and address some of the known facts which should have raised serious concerns about the valuation of CPB Technologies’ assets. A review of the audit of non-current assets by an unconnected third-party organisation confirmed that there were significant failings in the audit of this area. Procedures were limited to merely checking the casts in the non-current assets register and agreeing the depreciation charges per the non-current assets register to the statement of profit or loss and other comprehensive income. Other procedures to verify the existence and rights and obligations assertions had not been completed.

Illustrative Example 4 (continued)

This is an example of an audit failure. The associated risks had not been properly considered and investigated and there was a failure to audit the assets of the company properly.

An audit failure can be catastrophic for an audit firm. It can lead to heavy fines being levied by the regulatory authorities, a ban on practising audit work, disciplinary proceedings by the HKICPA and significant adverse publicity.

Audit failures usually arise because of a combination of:

- poor planning and execution of the audit;
- deploying staff on the audit assignment who have little, or no, experience;
- failing to carry out sufficient audit procedures to cover the financial statement assertions (completeness, accuracy, rights and obligations, etc.); and
- significantly short audit completion deadlines resulting in non-compliance with HKSAs.

The Link Between Business Risks and Audit Failure

In the event of a business failure, users of the financial statements may claim that the auditor has been negligent when performing their audit (if this claim is true, then this is an audit failure). Auditors evaluate the potential for business failure in an engagement to determine whether the level of audit risk is at an acceptable level.

All businesses will face some business risks and some of these business risks will not be relevant to the financial statements and hence will not be of concern to the auditors. However, the auditor must be able to identify the relevant business risks in order to reduce the audit risk.

Illustrative Example 5

Consider a business which has a high level of credit risk (credit risk is the risk that customers will fail to pay their debts when they fall due or the risk that the business will not receive loan repayments when they fall due). Credit risk is a business risk which is relevant to the audit because it concerns the valuation of receivables.

In this scenario, the auditor must apply more audit procedures over the valuation of receivables in the entity's statement of financial position to ensure they are appropriately valued. If credit risk is high, there is a wider scope for irrecoverable receivables and hence the auditor must be satisfied that receivables (and profit) are not materially overstated. For example, the auditor could extend post year-end cash receipts testing and discuss with the directors the possibility of any further irrecoverable receivables.

If the auditor carries out inadequate or insufficient audit procedures over the receivables and one, or more, receivables cease to trade and are unable to pay the company, resulting in the company going bankrupt, then this is likely to give rise to audit failure as the auditor's procedures did not detect the problem and this could result in the auditor being sued for negligence.

Illustrative Example 6

Consider a business that has a year end of 31 December 20X2. The audit of the financial statements commences in March 20X3 and the auditor's report is signed on 31 March 20X3. The company is planning on launching a new product in November 20X3 and research activities started on 20 May 20X3. Strategic risk is a business risk (it is the risk resulting from future strategies and plans). However, this strategic risk does not have an impact on the audit of the financial statements for the year ending 31 December 20X2. Hence, not all business risks are relative to an audit.

3.1.2 Performing an Audit Overview

Once the audit client has been accepted as a client, the auditor is required to carry out certain preliminary engagement activities.

The auditor must ensure that the terms and conditions of the engagement are clearly outlined in a way that both the auditor and the client understand. This is usually communicated to the client through an engagement letter (or 'letter of engagement'). Agreeing the terms of an audit engagement is governed by HKSA 210 *Agreeing the Terms of Audit Engagements*. HKSA 210 deals with the auditor's responsibilities in agreeing the terms of the audit engagement with management and, where appropriate, those charged with governance.

3.1.2.1 Engagement Letters

HKSA 210 states that the objective of the auditor is to accept or continue an audit engagement only when the basis upon which it is to be performed has been agreed, through:

1. establishing whether the preconditions (see below) for an audit are present; and
2. confirming that there is a common understanding between the auditor and management and, where appropriate, those charged with governance of the terms of the audit engagement.

Engagement letters must be sent:

- to all new clients **prior** to any professional work being started; and
- to all existing audit clients whenever there has been a change of circumstances, such as a change in the auditor's duties or a change in management or ownership of the client. Letters of engagement may also need to be revised when there has been a change to the applicable financial reporting framework (e.g. a new/amended or withdrawn accounting or auditing standard which affects the client).

For existing audit engagements, the auditor is required to review the engagement letter each year and establish whether or not the audit client needs to be reminded of the terms of the audit engagement or if the engagement letter needs to be updated. At all times there has to be a thorough understanding by **all parties** as to the terms of the engagement.

Key Learning Point

The engagement letter forms the basis of a legally binding contract between the auditor and the client. If the auditor carries out the work in a negligent manner, it is on the basis of this letter that the client may take legal action against the firm. The purpose of the engagement letter is to:

- minimise the risk of any misunderstanding between the auditor and the client;
- confirm acceptance of the engagement; and
- set out the terms and conditions of the engagement.

Preconditions of an Audit

HKSA 210 requires the auditor to establish whether the **preconditions for an audit** are present. The preconditions require the auditor to:

1. Determine whether the financial reporting framework (e.g. HKFRS) to be applied in the preparation of the financial statements is acceptable; and
2. Obtain the agreement of management that it acknowledges and understands its responsibility:
 - (a) For the preparation of the financial statements in accordance with the applicable financial reporting framework, including where relevant their fair presentation;
 - (b) For such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; and
 - (c) To provide the auditor with:
 - (i) Access to all information (of which management is aware) that is relevant to the preparation of the financial statements such as records, documentation and other matters;
 - (ii) Additional information that the auditor may request from management for the purpose of the audit; and
 - (iii) Unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain evidence.

HKSA
210.6

If the preconditions are **not** present, the auditor must decline the engagement or resign from the engagement. The exception to this would be where the auditor is required to continue with the audit engagement due to law or regulation.

Content of the Engagement Letter

The engagement letter must include the following:

1. the objective and scope of the audit of the financial statements;
2. the responsibilities of the auditor;
3. the responsibilities of management (under the *Companies Ordinance* (Cap.622), directors are responsible for the preparation of financial statements showing a true and fair view);

4. identification of the applicable financial reporting framework for the preparation of the financial statements;
5. reference to the expected form and content of any reports to be issued by the auditor;
6. a statement that there may be circumstances in which a report may differ from its expected form and content.

Under the Corporate Practices (Registration) Rules of the HKICPA, the engagement letter for a corporate practice must identify the director appointed by the corporate practice to be responsible for the performance of the audit engagement contemplated by the auditor's report.

The engagement letter may also include additional details, such as:

- fee arrangements;
- arrangements as to how an internal audit will (or may) be used and how other staff of the entity may be involved in the audit;
- limitation of the auditor's liability.

Illustrative Example 7

Sun & Co
Certified Public Accountants

20 November 20X2

To the Board of Directors of TAL Technologies Ltd

This letter sets out the basis on which we are to accept appointment as auditors to your company. This letter sets out the respective responsibilities of yourselves and ourselves.

Objective of services

You have requested that we audit the financial statements of TAL Technologies Ltd., which comprise the statement of financial position as at 31 December 20X2, the statement of profit or loss and other comprehensive income¹, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies. We are pleased to confirm our acceptance and understanding of this audit engagement by means of this letter.

Our audit will be conducted with the objective of our expressing an opinion on the financial statements.

¹ HKAS 1 (Revised) *Presentation of Financial Statements* allows entities to present comprehensive income using either a one statement approach (i.e. a single 'statement of profit or loss and other comprehensive income') or a two-statement approach (i.e. a 'statement of profit or loss' together with a 'statement of profit or loss and other comprehensive income'). Different terms may be used as long as they are consistent with the titles of the corresponding statements.

Illustrative Example 7 (continued)**Responsibilities of directors**

Our audit will be conducted on the basis that management acknowledge and understand that they have responsibility:

- (a) to prepare financial statements which give a true and fair view of the financial position of the company as at the end of the financial year and of its financial performance for the financial year in accordance with Hong Kong Financial Reporting Standards and the Companies Ordinance (CO);
- (b) to take all reasonable steps to ensure the Company keeps sufficient accounting records which show and explain the transactions of the Company, disclose with reasonable accuracy, at any time, the financial position and financial performance of the Company;
- (c) to ensure that the financial statements comply with section 383 (Notes to Financial Statements to Contain Information on Directors' Emoluments etc) of the CO which must contain in the notes to the financial statements, the information prescribed by the Companies (Disclosure of Information about Benefits of Directors) Regulation (Cap. 622G);
- (d) for such internal control as you determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error;
- (e) to provide us with:
 - (i) Access to all information of which you are aware that is relevant to the preparation of the financial statements such as the Company's accounting records and all other relevant records and documentation, including minutes of all management and shareholders' meetings and other matters;
 - (ii) Additional information that we may request from you for the purpose of the audit; and
 - (iii) Unrestricted access to persons related to the Company from whom we determine it necessary to obtain audit evidence;
- (f) to provide us with (i) any proposed written resolution and (ii) any other document relating to the resolution that is required to be sent to a member of the Company, on or before the circulation of written resolution to a member of the Company; and
- (g) to notify us any passed written resolution within 15 days after resolution is passed.

You are also responsible for the preparation and approval of the directors' report in accordance with the CO (as well as the other information included in the annual report).

Responsibilities of the auditor

We have a statutory responsibility to prepare a report to the members to state whether in our opinion the financial statements give a true and fair view of the financial position and financial performance of the Company for the financial year and whether they have been

Illustrative Example 7 (continued)

properly prepared in accordance with the CO. We shall also state in our opinion in the auditor's report if we are of the opinion that:

- adequate accounting records have not been kept by the Company; or
- the financial statements are not in agreement with the accounting records in any material respect.

We shall also state the fact that in the auditor's report if we have failed to obtain all the information or explanations that, to the best of our knowledge and belief, are necessary and material for the purpose of the audit.

In addition, where the financial statements do not contain information on directors' emoluments, etc under section 383(1) of the CO, the CO requires us to include in our report, as far as we are reasonably able to do so, a statement giving the particulars that are required to be, but have not been, contained in the financial statements.

We will conduct our audit in accordance with Hong Kong Standards on Auditing (HKSAs). Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement, whether caused by fraud or error.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

Due to the inherent limitations of an audit, together with the inherent limitations of internal control, there is an unavoidable risk that some material misstatements may not be detected, even though the audit is properly planned and performed in accordance with HKSAs.

In making our risk assessments, we consider internal control relevant to TAL Technologies Ltd's preparation of the financial statements in order to design audit procedures which are appropriate in the circumstances, but not for the purposes of expressing an opinion on the effectiveness of the company's internal control. We will communicate to you, in writing, any significant deficiencies in internal control relevant to the audit of the financial statements that we have identified during the audit.

We will report to the members of TAL Technologies Ltd as a body, whether, in our opinion, the financial statements give a true and fair view [or present fairly in all material respects] of the financial position as at 31 December and of its financial performance and its cash flows for the year then ended in accordance with Hong Kong Financial Reporting Standards. The form and content of our report may require amendment taking into account the findings from the audit.

Illustrative Example 7 (continued)**Fees**

Our fees are calculated based on the time spent by individuals assigned to the audit engagement plus out-of-pocket expenses. Individual charge-out rates vary depending on the degree of responsibility involved and the level of skills and experience required. Invoices will be presented on completion of the audit (i.e. on the date of our auditor's report) and will be payable within 30 days from the date of invoice.

Limitation of liability

To the fullest extent permitted by law, we will not be responsible for any losses, where you or others supply incorrect or incomplete information, or fail to supply any appropriate information or where you fail to act on our advice or respond promptly to communications from us.

Our work is not, unless there is a legal or regulatory requirement, to be made available to third parties without our written permission and we will accept no responsibility to third parties for any aspect of our professional services or work which is made available to them.

Confirmation of your agreement to the terms and conditions stipulated herein

Please sign and return the attached copy of this letter to indicate your acceptance, understanding and agreement with the arrangements for our audit of the financial statements, including our respective responsibilities.

If this letter, and the attached terms of business, are not in accordance with your understanding of our terms of appointment, then please let us know immediately.

Yours faithfully

Sun & Co

Certified Public Accountants

We acknowledge our agreement, understanding and acceptance of the terms of the audit engagement.

Signed on behalf of the Board of Directors

Date

3.1.2.2 Audit Documentation

The overarching objective of the auditor is to express an opinion as to whether the financial statements of an audit client provide a true and fair view of the state of the entity's affairs at the reporting date, or present fairly in all material respects. The auditor does this through

a process of planning and gathering sufficient and appropriate audit evidence. This audit evidence is documented on 'audit working papers' or 'audit workpapers'.

In today's modern auditing profession, many audits are carried out using sophisticated software and working 'papers' are generally electronic. Whichever means the auditor uses to generate and gather sufficient and appropriate audit evidence, it has to comply with the requirements of HKSA 230 *Audit Documentation*.

HKSA 230 outlines the auditor's responsibility to prepare audit documentation for an audit of financial statements. HKSA 230 confirms that audit documentation, which meets the requirements of the standard, and the specific documentation requirements of other relevant HKSAs provides:

1. evidence of the auditor's basis for a conclusion about the achievement of the overall objectives of the auditor (HKSA 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Hong Kong Standards on Auditing*, paragraph 11); and
2. evidence that the audit was planned and performed in accordance with HKSAs and applicable legal and regulatory requirements.

HKSA
230.2

HKSA 230 paragraph 3 explains why audit documentation serves a purpose and includes the following:

1. it assists the engagement team to plan and perform the audit;
2. it assists members of the engagement team responsible for supervision to direct and supervise the audit work, and to discharge their review responsibilities in accordance with HKSA 220 (Revised) *Quality Management for an Audit of Financial Statements*; paragraphs 29–34;
3. it enables the engagement team to be accountable for its work;
4. it retains a record of matters of continuing significance for future audits;
5. it enables the conduct of quality reviews and inspections in accordance with *HKSQM 1 Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements and HKSQM 2 Engagement Quality Reviews*; and
6. it enables the conduct of external inspections in accordance with applicable legal, regulatory or other requirements.

It is important that when the auditor is preparing audit documentation, this is done in such a way that it is sufficient to enable an experienced auditor, having no prior connection with the audit, to understand:

1. the nature, timing and extent of audit procedures performed to comply with the HKSAs and applicable legal and regulatory requirements;
2. the results of the audit procedures performed, and the audit evidence obtained; and
3. significant matters arising during the audit, the conclusions reached thereon, and significant professional judgements made in reaching those conclusions.

HKSA
230.8

Essentially, this means:

- The auditor must prepare working papers which are sufficiently detailed to provide an overall understanding of the audit process by an experienced auditor.
- Auditors must document matters which are important in supporting their audit opinion, including notes of discussions and records of meetings with clients and third parties.
- The audit working papers must include the auditor's planning, the nature, timing and extent of audit procedures performed and the conclusions drawn from the audit evidence obtained.
- Working papers must record who performed the work, when it was performed, who reviewed the work and when it was reviewed.
- Auditors must record their reasoning for all significant matters which require the use of judgement and the conclusions they have drawn. Where the auditor concludes that some information is inconsistent with their conclusions relating to a specific issue, the auditor must document how the inconsistency has been dealt with.

Illustrative Example 8

Sun & Co Certified Public Accountants example working paper

Client:	CPB Technologies Ltd	Reference:	AB1
Subject:	Risk Assessment	Prepared by:	Li Huang
Period-end:	31 December 20X2	Reviewed by:	Liu Cai
Date prepared:	31 January 20X3	Date reviewed:	4 February 20X3

Objective

To identify the risks of material misstatement in the financial statements of CPB Technologies Ltd for the year ending 31 December 20X2 in order to design and perform further audit procedures which respond to the assessed levels of risk.

Work done

A discussion was held among the audit engagement team concerning the risk of the financial statements to material misstatement. See working paper reference AB2.

A summary of the understanding of the entity and its environment was obtained which details the key elements including internal control components, sources of information and risk assessment procedures performed. See working paper reference AB3.

In addition, I also carried out analytical procedures in accordance with HKSA 520 *Analytical Procedures*. See working paper reference AB4.

Evaluation

The preliminary risk assessment procedures have identified areas of the financial statements which are susceptible to material misstatement.

Conclusion

The overall responses to address the risks of material misstatement in the financial statements can be developed.

3.1.3 Reporting an Audit Overview

The primary objective of the auditor is to express an opinion on the financial statements as to whether they give a true and fair view, or present fairly in all material respects. This is done through an auditor's report which is prepared in accordance with HKSA 700 (Revised) *Forming an Opinion and Reporting on Financial Statements*. The auditor's report is examined further in Chapter 9.

In order to form an opinion, the auditor must carefully review the audit evidence gathered during the audit fieldwork stage to assess the outcome of the procedures performed. If any inconsistencies were noted, the auditor will assess how such inconsistencies have been dealt with.

The auditor forms an opinion on whether the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework (e.g. HKFRS). In order to do this, the auditor must determine if there is any reasonable assurance that the financial statements **as a whole** are free from material misstatement, whether due to fraud or error.

The auditor must evaluate whether:

- the financial statements adequately disclose the client's significant accounting policies;
- the accounting policies selected have been consistently applied and are appropriate in the client's circumstances;
- the accounting estimates are reasonable;
- the information is relevant, reliable, comparable and understandable; and
- the financial statements contain sufficient disclosures in order to understand the effects of material transactions and events.

There are then two types of opinion which the auditor expresses:

- An **unmodified** opinion, which is the best type of opinion the auditor can give. This type of opinion provides reasonable assurance that the financial statements are free from material misstatement and the financial statements have been prepared in accordance with the applicable financial reporting framework.
- A **modified** opinion, which states that there is a problem in the financial statements in either an accounting treatment, disclosure or both, or there is a limitation on the scope of the auditor's work (i.e. the inability by the auditor to obtain the necessary evidence). Chapter 9 covers limitation of scope in more detail. The type of modified opinion expressed will depend on the severity of the matter(s) and will be:
 - a qualified 'except for' opinion;
 - an adverse opinion; or
 - a disclaimer of opinion.

Key Learning Point

The term 'material' should be taken to mean 'significant' in that it could influence the decisions of the users taken on the financial statements as a whole. The term 'pervasive' means that problem(s) identified by the auditor affect multiple areas of the financial statements and these problems have not been corrected by the client.

A summary of the situations giving rise to a qualified, adverse or disclaimer of opinion is shown in Exhibit 3.4.

Qualified 'except for' opinion	Adverse opinion	Disclaimer of opinion
The auditor expresses a qualified 'except for' opinion when the matter is material but not pervasive . There may also be scope limitations which could create such an opinion. For example, where the client may have incorrectly capitalised a material item of expenditure rather than recognised it as an expense in the statement of profit or loss and other comprehensive income and has refused to correct the error. This will mean that non-current assets and profit are both overstated but the error is only confined to these areas.	The auditor expresses an adverse opinion when the financial statements do not give a true and fair view (or present fairly in all material respects) and the issue is both material and pervasive. For example, where there is a material misstatement of a balance which represents a substantial proportion of the assets or profits and would change a profit to a loss.	The auditor issues a disclaimer of opinion when unable to obtain sufficient appropriate audit evidence and the effects of any possible misstatements could be pervasive. A disclaimer of opinion means just that – the auditor is not expressing an opinion. This would arise, for example, where the client has failed to keep adequate accounting records.

► EXHIBIT 3.4 Summary of situations giving rise to a modified opinion

Apply and Analyse 2

Apply

The audit of CPB Technologies Ltd for the year ended 31 December 20X1 revealed a number of internal control deficiencies, including bank reconciliations and supplier statement reconciliations not being carried out on a regular basis, a lack of segregation of duties in the payroll and cut-off errors in inventory and sales.

During the audit of the 20X2 financial statements, it was discovered that there were still cut-off errors in the sales cycle, which has resulted in a material (but not pervasive) sum of sales that should be recognised in the year ended 31 December 20X3 financial statements incorrectly being recognised in the 31 December 20X2 financial statements. This means that both trade receivables and revenue are overstated. Edna Cheung has refused to correct the error as she believes the amount is not material.

Assuming Edna Cheung continues to refuse to correct the misstatement, identify what would be the impact on the auditor's opinion.

Apply and Analyse 2 (continued)

Analysis

The auditor determines the materiality of a transaction, balance or disclosure. In this situation, both trade receivables and revenue are materially overstated due to the cut-off problem. If this error is not corrected, the financial statements will be misleading to the users.

If Edna Cheung insists that the error remains uncorrected, the auditor will conclude that the financial statements do contain a material (but not pervasive) misstatement. The auditor's opinion will be qualified 'except for'. A Basis for Qualified Opinion paragraph will be included underneath the Opinion paragraph, which will explain that trade receivables and revenue are overstated.

3.1.3.1 Material Uncertainties Related to Going Concern

The auditor includes a Material Uncertainty Related to Going Concern heading in the auditor's report where the entity has material uncertainties related to going concern which are adequately disclosed in the financial statements. If material uncertainties relating to going concern are not adequately disclosed, this will give rise to a modified opinion and hence the use of a Material Uncertainty Related to Going Concern paragraph will be inappropriate. Therefore, a Material Uncertainty Related to Going Concern paragraph is only used for going concern uncertainties that have been adequately disclosed.

3.1.3.2 Key Audit Matters

HKSA 701 *Communicating Key Audit Matters in the Independent Auditor's Report* requires auditors of **listed entities** to determine key audit matters and to communicate those matters in the auditor's report. A non-listed entity may voluntarily, or at the request of management or those charged with governance, include key audit matters in the auditor's report. In practice, the Key Audit Matters section is usually placed underneath the Basis for Opinion paragraph.

Key Learning Point

According to HKSA 701, key audit matters are those matters that, in the auditor's professional judgement, were of most significance in the audit of the financial statements of the current period. Key audit matters are selected from matters communicated to those charged with governance.

Key audit matters include:

- areas of higher assessed risk of material misstatement, or significant risks which have been identified in accordance with HKSA 315 (Revised 2019);
- significant auditor judgements relating to areas in the financial statements that involved significant management judgement, including accounting estimates that have been identified as having a high estimation uncertainty; and
- the effect on the audit of significant events or transactions that occurred during the accounting period.

HKSA
701.8

HKSA
701.9(a)-(c)

Key Learning Point (continued)

Examples include:

- significant fraud risk;
- effects of new Hong Kong Financial Reporting Standards;
- implementation of a new IT system or significant changes to an existing system;
- valuation of financial instruments;
- fair values; and
- revenue recognition.

3.1.4 Audit Methodologies

Audits must be carried out in accordance with HKSAs and be of high quality. Where audits are not conducted in accordance with HKSAs, are inadequately planned and executed and have little review processes in place, this will increase the audit risk (the risk that the auditor expresses an incorrect opinion on the financial statements) due to an increased detection risk (the risk that the auditor's procedures fail to detect a material misstatement).

The auditor must obtain sufficient and appropriate audit evidence to comply with the requirements of HKSA 500 *Audit Evidence*. Audit evidence can be obtained from a variety of means through either tests of control or substantive procedures. There are various techniques the auditor can apply in order to gather sufficient and appropriate audit evidence, and these techniques will all be driven by the auditor's assessment of risk of material misstatement of the financial statements, whether due to fraud or error.

Selecting the right approach is important in many respects and, in addition to the assessment of the risk of material misstatement, other factors which the auditor considers are:

- the nature of the audit engagement;
- the circumstances surrounding the engagement;
- cost-benefit analysis;
- time allocated to do the detailed fieldwork; and
- resources and skills available in the audit engagement team.

Key Learning Point

HKSA 500 recognises the following types of audit **procedures** which are used **after** a particular methodology has been selected in order to gather sufficient and appropriate audit evidence:

- inspection;
- observation;

Key Learning Point (continued)

- external confirmation;
- recalculation;
- reperformance;
- analytical procedures; and
- inquiry.

The audit methodologies which the auditor can use include the following:

- risk-based auditing;
- top-down auditing;
- system-based auditing;
- systems audit;
- balance sheet approach;
- transaction cycle approach; and
- directional testing.

3.1.4.1 Risk-Based Auditing

When the auditor adopts a risk-based approach to auditing, audit resources are focused on those areas of the financial statements which may contain misstatements (such as errors or omissions) as a consequence of the risks faced by the business.

Every audit assignment will be different and hence each business will face different risks. However, for most entities of size, the risk-based audit approach will minimise the possibility of audit objectives not being met. HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement* requires auditors to adopt a risk-based approach to audits. This means the auditor is required to carry out risk assessments of material misstatement at both the financial statement level and the assertion level, based on an understanding of the entity and the environment in which it operates, including internal controls and controls over IT systems.

Where the auditor wishes to adopt a risk-based approach to auditing, the planning will involve:

- considering the internal control environment and whether it is still strong, including an assessment of the internal audit function (if the entity has an internal audit department);
- assessing how management manages risk effectively – in particular, the procedures the entity has in place to identify and evaluate its business risks;
- considering whether risks threaten the going concern status of the business;
- considering whether risks have implications on the entity's cash flow;
- considering whether the risks of fraud are high or whether there is a higher risk of management override of internal control so as to commit fraud;

- assessing the extent to which the entity enters into transactions with related parties and what the business rationale of these transactions is;
- considering if there is a history of errors or disagreements in accounting treatments between the audit firm and the business;
- assessing if the business is at risk of legal action; and
- considering the business's access to finance and whether banks/finance providers are willing to continue to support the business. If not, the auditor will need to consider the plans that management have to secure alternative finance.

At the end of the risk assessment process, HKSA 315 (Revised 2019) requires the auditor to evaluate the audit evidence obtained from the risk assessment procedures to assess if they have identified all risks which may give rise to a risk of material misstatement at both the financial statement and assertion levels. The revised HKSA essentially requires a more rigorous risk assessment process than its predecessor standard.

Illustrative Example 9

CPB Technologies Ltd has seen a number of new entrants coming into the market in which it has a significant market share and these new competitors have been very competitive in their pricing structure. In an attempt to maintain its market share, the company is planning to explore a different market – that of software development. In order to diversify into this area, the company requires additional funding and has approached its bank for finance of HK\$1 million. However, the bank wishes to see audited financial statements for the year ending 31 December 20X2 before any decisions on the lending will be made.

The principal risk faced by the business due to the new entrants is its ability to continue as a going concern because if the price war continues and more competitors enter the market, the company will eventually lose its market share or be forced to reduce prices to such an extent that it may start to have losses. The bank's desire to see the current year's audited results before making any lending decisions results in the following risks of material misstatement:

- **Inappropriately recognising revenue** – deliberately overstating revenue to increase profit so as to present a better set of results. Cut-off errors were also discovered in the 31 December 20X1 audit and hence could still be a risk.
- **Manipulating closing inventory** – closing inventory could be increased to improve the company's financial position and overall profitability. As above, cut-off errors were also discovered in the 31 December 20X1 audit and hence could still be a risk.
- **Recognising expenditure in the next accounting period** – this is intended to delay recognising expenses in the current accounting period to reduce payables and increase profit.
- **Concealing any legal claims** – any claims brought against the company by the reporting date but not resolved until the next financial year may need a provision for liabilities or contingent liability disclosures in accordance with HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*.

Illustrative Example 9 (continued)

- **Inappropriate capitalisation of expenditure** – items of revenue expenditure may be capitalised in contravention of HKAS 16 *Property, Plant and Equipment* in an attempt to boost the statement of financial position, reduce reported expenditure in the statement of profit or loss and other comprehensive income and improve profitability.

Advantages

The advantages of a risk-based approach are:

- It provides the auditor with a better understanding of the business and the environment in which it operates. This will serve to comply with the more rigorous requirements of HKSA 315 (Revised 2019).
- There is a higher possibility of achieving the overall audit objective. Attention is focused on major problem areas, such as going concern, major fraud involving management and large-scale systems breakdown because the approach focuses on the risks to the business.
- A risk-based audit approach can save resources by devoting time to the specific areas of the financial statements at most risk of material misstatement due to the risks faced by the business.
- It makes audit planning easier as the nature, timing and extent of audit procedures are driven by the auditor's risk assessment.
- It involves more senior personnel in the audit firm who will have a higher level of expertise and competence.
- The business, environmental and corporate governance issues, together with the nature of management control, are much more significant nowadays and feature more prominently within the financial statements.
- If the internal control environment of the business is strong, the use of a systems-based approach (for example) will be impractical and expensive and hence a risk-based approach is more appropriate.

Disadvantages

The disadvantages of a risk-based approach are:

- The risk-based approach to auditing can increase the level of risk to the audit firm. The audit firm must have a strong quality management system in place and document all its processes thoroughly.
- The risk-based approach requires highly experienced and competent staff who are involved in both the planning of the audit and the execution of the audit itself. This can negate some of the efficiency benefits.
- A risk-based approach may impede the independence and objectivity of the audit firm. This is because the approach requires a closer relationship with senior management to fully understand the risks which the business faces and auditors may discover facts which management may not wish to disclose.

3.1.4.2 Top-Down Auditing

When the auditor adopts a 'top-down' approach, the general risks are assessed first and then the specific risks are identified. The auditor obtains an understanding of the overall risks to internal control over financial reporting and then examines the entity-level internal controls, focusing attention on significant accounts and disclosures, as well as relevant assertions.

Key Learning Point

This approach is known as the top-down approach because it begins with management discussions and an evaluation of controls at the highest level in the business. It then works down as specific issues are addressed. The idea behind this approach is to take a holistic view of the financial statements. 'Top' refers to the day-to-day operations of the business, whereas 'down' refers to the financial statements of the entity.

'Entity-level' controls include the following:

- controls over the internal control environment;
- controls over management override of the internal control environment;
- the **entity's risk assessment process**;
- centralised processing and controls;
- controls which monitor the results of operations;
- controls to monitor other controls;
- controls over the closedown process (e.g. quarter-end and year-end); and
- policies which address significant business control and risk management practices.

The top-down approach to auditing means that the auditor's attention is focused on those areas of the financial statements (accounts, disclosures and assertions) which have a reasonable possibility of containing a material misstatement. Once the auditor has gained an understanding of the risks present in the entity's internal control environment, those controls which address the assessed risk of misstatement can be selected for testing.

Illustrative Example 10

Assume that during the planning phase of the audit of CPB Technologies Ltd, the audit engagement partner notes that the company is required to comply with legislation which states that employees within a certain age range (e.g. aged 18 to 25 years) must be paid a minimum hourly rate.

An inherent risk is that the company fails to comply with the legislation or does not have adequate entity-level controls in place with which to monitor such legislation and action it. As a consequence, there is a risk that the company's liabilities may be understated due to the omission of a provision required under HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets* in respect of a fine for non-compliance with laws and regulations.

Illustrative Example 10 (continued)

The directors' approach to managing business risks may have ramifications on the financial statements and the auditor must be aware of the various factors which influence the directors in this area and of the controls that are in place. If the management of CPB Technologies Ltd have a wilful disregard for the laws and regulations which affect their business, the risk of material misstatement in the financial statements will be higher.

Advantages

The advantages of a top-down audit approach are:

- The auditor will be able to consider controls at the highest level of the business to evaluate what can go wrong at the financial statement and assertion level – hence the auditor adopts a more holistic approach.
- A top-down approach can reduce the risk of audit failures if properly implemented.
- If the entity-level controls can be tested and can be proved to have been designed and operated effectively, this can minimise the amount of substantive testing done on other transactions and balances.

Disadvantages

The disadvantages of a top-down audit approach are:

- It will require highly experienced and competent staff to adequately assess controls at the highest level and then assess the impact on entity-level controls which may negate audit efficiencies.
- As with the risk-based approach, a top-down audit approach may affect independence and objectivity because controls at the highest level of the company are reviewed first. Management may claim stronger controls to avoid greater scrutiny which could result from weaker controls.

3.1.4.3 System-Based Auditing

System-based auditing is an approach to auditing which relies on the controls contained in the company's accounting system and validates the accounting records. Where a system-based audit approach is planned to be used, the auditor will evaluate audit risk (the risk that the auditor expresses an inappropriate opinion on the financial statements) and determine whether or not controls can be relied upon, based on the preliminary review work.

There is an element of risk involved in a system-based audit approach because only a limited number of transactions are being tested, and this is based on a sample (it would not be efficient or practicable to test every transaction in the entity's accounting system which is one of the limitations of an audit). The auditor will test controls by testing a sample of transactions and extrapolating the results of those sample tests to the population as a whole. This will allow the auditor to draw conclusions as to the reliability of the accounting records.

Every business will have some form of 'cycle' – for example:

- purchases and expenses cycle;
- sales cycle;

- payroll cycle;
- inventory cycle;
- bank and cash cycle;
- non-current assets cycle;
- current and non-current liabilities cycle; and
- capital and reserves cycle.

Auditors will need to test every part of the system. For example, in the case of a purchases system, the system will often be subdivided into:

- ordering
- goods received (often linked to inventory)
- purchase invoice processing
- accounting (i.e. the posting of the invoice to the relevant general ledger expense/asset code).

Each cycle will have certain controls in place which have an objective and an activity. A **control objective** looks at the risks within the system. A **control activity** will then be designed to address the risks.

Illustrative Example 11

CPB Technologies Ltd has a dedicated sales department responsible for the sales processing of the business. This is analysed in Exhibit 3.5.

Stage	Control objective
Ordering	• Goods are only sold to customers who are sound credit risks and will pay in full. • All orders are processed.
Despatch	• Orders received are despatched promptly and in full to customers. • All orders are despatched.
Invoicing	• All goods despatched are invoiced. • Invoices are raised promptly and accurately.
Recording in the accounting system	• Only valid sales are recorded. • All sales and associated trade receivables are recorded in the correct accounts. • Revenue is recorded in the correct accounting period. • Sales are recorded accurately and receivables are recorded at an appropriate value.
Cash received	• Cash received from customers is allocated against the correct customer and invoices to avoid errors or disputes. • Overdue debts are followed up on a timely basis. • Irrecoverable debts are identified and an allowance for receivables provided when appropriate to avoid receivables being overstated.

► **EXHIBIT 3.5** CPB technologies sales cycle

If the auditor concludes that a particular system's objectives are not being met, substantive procedures over those areas must be performed. This is because there are weaknesses over the cycle's controls so the auditor should not place reliance on those controls.

Illustrative Example 12

In the 31 December 20X1 audit, the auditor discovered deficiencies in the controls over the payroll cycle. The payroll cycle had inadequate segregation of duties in place. This means that one person is handling too many stages of a specific cycle. For example, setting up new employees, preparing the payroll, preparing the bank transfer to pay the staff members and then paying the staff members through the banking system. This lack of segregation of duties can mean that the risk of fraud is higher because the cycle is not broken up and there are no review processes at each stage of the cycle.

If the 31 December 20X2 initial planning enquiries reveal that the recommendation to improve segregation of duties in 20X1 has not been actioned by management, the auditor will have to conclude that part of the payroll cycle's objective (which is to ensure that payments are only made to genuine employees at appropriate rates) is not operating effectively. The auditor will therefore rely less on the system and will carry out more substantive procedures over this area.

Advantages

The advantages of a system-based approach to auditing are:

- A system-based audit examines the general operating effectiveness and efficiency of systems and controls; a system with sound controls can serve to reduce the level of substantive procedures to be applied by the auditor, hence reducing the time spent on detailed testing.
- The focus of a system-based audit is on the accounting system itself and any inefficiencies or weaknesses identified can be notified to management for improvements to be made.
- A system-based audit requires an understanding of the client's activities and internal controls relating to those activities. This means that high-risk areas can be identified and appropriate procedures applied, meaning a more efficient use of audit resources.

Disadvantages

The disadvantages of a system-based approach to auditing are:

- There may be difficulty in obtaining audit evidence as a system-based approach will generally involve documenting systems, observing systems in operation and analysis. For difficult or complex audits, obtaining and interpreting evidence may be difficult or may require technical expertise, which may not be available.
- There is no standard assessment in a system-based audit as each audit is different; hence the auditor will have to ensure there is up-to-date and adequate documentation on file concerning the system and its controls. If the system or the controls over the system have changed, the auditor will have to obtain an understanding of the new system or changes in order to devise procedures to assess the operating effectiveness. There may not be an efficient use of audit resources.

3.1.4.4 Systems Audit

A systems audit is a process to determine whether a particular system is designed and operating to achieve stated objectives, and whether the effectiveness of the system could be improved. It is most often used as a management tool to obtain objective evidence that the entity's policies and objectives are being met.

To be constructive, such audits need to include judgements as to whether the system subject to an audit is effective, not just that the elements within the system have been complied with. Effectiveness requires that the system protects the entity's information assets and makes information available only to authorised personnel.

These audits can be used by management to improve an entity's performance as a result of the focus on determining whether the systems are both implemented effectively and suitable to achieve the stated organisational objectives.

These audits can be undertaken for a range of reasons, for example:

- to evaluate an entity's system against an industry standard;
- to establish whether the system conforms with defined criteria; and
- to satisfy legal or regulatory requirements.

Advantages

- They provide evidence as to the reliability of systems and controls.
- They can be used to improve an entity's performance.

Disadvantages

- A systems audit can be of limited value as the objective of the system may not relate to financial reporting issues.
- A systems audit does not provide evidence of a substantive nature in terms of detailed tests of transactions and balances.

3.1.4.5 Balance Sheet Approach

A company's statement of financial position (often referred to as the 'balance sheet') shows the financial position of an entity at the reporting date (e.g. the year end). It shows the assets which the entity owns and controls, the liabilities which the business owes and the shareholders' interest (referred to as 'equity', which comprises items such as share capital and retained earnings).

HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement* clarifies that **assertions** about **account balances**, and related disclosures at the period end are as follows:

- **Existence** – assets, liabilities and equity interest exist.
- **Rights and obligations** – the entity holds or controls the rights to assets, and liabilities are the obligations of the entity.
- **Completeness** – all assets, liabilities and equity interests that should have been recorded have been recorded, and all related disclosures that should have been included in the financial statements have been included.

- **Accuracy, valuation and allocation** – assets, liabilities and equity interests have been included in the financial statements at appropriate amounts and any resulting valuation or allocation adjustments have been appropriately recorded, and related disclosures have been appropriately measured and described.
- **Classification** – assets, liabilities and equity interests have been recorded in the proper accounts.
- **Presentation** – assets, liabilities and equity interests are appropriately aggregated or disaggregated and clearly described, and related disclosures are relevant and understandable in the context of the requirements of the applicable financial reporting framework.

Key Learning Point

The assertions in HKSA 315 (Revised 2019) are a series of statements which deal with the underlying bases on which the financial statements have been prepared. They deal with the measurement, presentation and disclosure of the various elements of the financial statements and related disclosures. Section 3.4.2 of this chapter examines the financial statement assertions in more detail, including assertions about classes of transactions and events, and related disclosures.

A balance sheet approach to an audit involves the auditor focusing substantive procedures on the accounts in the statement of financial position with only limited procedures being applied on the statement of profit or loss and other comprehensive income. The justification of a balance sheet approach is that if the relevant management assertions for all accounts in the statement of financial position are tested and verified, the statement of profit or loss and other comprehensive income will not be materially misstated.

Advantages

The advantages of a balance sheet approach to the audit are:

- The focus is mainly on the amounts in the statement of financial position with little attention devoted to income and expense accounts, hence there can be an element of time saving on the audit.
- Audit evidence gathered during a balance sheet approach can still be sufficient and appropriate where all the assertions for account balances are tested appropriately.

Disadvantages

The disadvantages of a balance sheet approach to the audit are:

- In the balance sheet approach, the statement of profit or loss and other comprehensive income is only tested at a minimum. Hence, line items in the statement of profit or loss and other comprehensive income may still be misclassified. For example, expenses may be netted off income but the statement of financial position is correct and netting off may not be discovered in a balance sheet approach.

- Fraud risk factors are higher under the balance sheet approach. For example, if an employee commits fraud, the balance sheet approach will generally not focus on where the cash has been posted to in the statement of profit or loss and other comprehensive income and hence the balance sheet approach generally does not address the risk of theft or fraudulent financial reporting.

3.1.4.6 Transaction Cycle Approach

A transaction cycle approach tests the controls that operate within the various transaction cycles (e.g. sales cycle, purchases cycle, payroll cycle, etc.).

When using a transaction cycle approach, the auditor will develop questionnaires for each of the business cycles. For example, **internal control questionnaires** comprise a list of controls which are given to the client and the client has to respond as to whether or not those controls are in place. An **internal control evaluation questionnaire** asks the client what controls it has in place for a given control objective.

Once the questionnaires have been received back from the client, the auditor works on the basis that the processing of every transaction is then subdivided into separate stages.

A typical overview of the sales cycle, purchases cycle and payroll cycle for a company can be shown as follows:

Sales cycle

- A company receives an order from its customer.
- It checks to see if the order is within the customer's credit limit.
- It ships the goods or provides the services to the customer.
- It issues an invoice.
- It collects payment.

Purchases cycle

- A company issues a purchase order to a supplier for goods or services.
- It receives the goods or services.
- It receives the invoice and records the invoice in its purchase ledger.
- It pays the supplier within agreed credit terms.

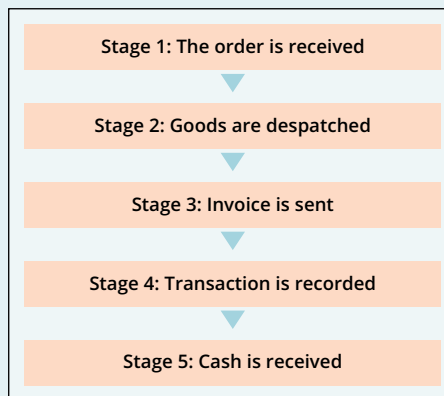
Payroll cycle

- A company's employees clock in using a swipe card which records their hours worked.
- Payroll verifies the hours worked and overtime worked against an 'hours worked' and 'overtime worked' report generated by the clocking-in system.
- Payroll calculates gross pay, employment taxes and other statutory deductions.
- Payroll prepares the bank transfer payments to the employees or cash pay packets.
- The employees are paid.
- The company pays over the employment taxes to the tax authority or other authority depending on the deduction.

The auditor will devise a sample of transactions to test and then perform audit procedures over the sample to ensure that each transaction in the sample has followed the correct procedure. If the auditor discovers any deviations from the control processes, consideration will be given as to whether the deviation is an isolated deviation or whether it is a general weakness in the control environment. Where the auditor concludes that it is a general weakness, more substantive procedures over the relevant area will be performed.

Illustrative Example 13

In CPB Technologies Ltd, the sales cycle is subdivided into the following stages:



Where a transaction approach to auditing is being adopted, the auditor will test the controls in place during each cycle. Hence, in CPB Technologies, the auditor will test that:

- Only goods ordered by the customer are despatched.
- Goods despatched are invoiced promptly.
- The invoice is correctly recorded in the accounting records (i.e. the invoice is accounted for as both revenue and a receivable, including any sales tax where appropriate).
- The customer pays by the due date (if payment is overdue this may indicate the possibility of a doubtful receivable and gives rise to an audit risk of overstated receivables and profit).

Advantages

The advantages of a transaction cycle approach to auditing are:

- Accumulating audit evidence for each stage of the cycle can give assurance to the auditor as to the proper recording of transactions.
- A transaction cycle approach can reduce the level of detailed substantive testing which the auditor performs over a specific cycle.

Disadvantages

The disadvantages of a transaction cycle approach to auditing are:

- The approach relies heavily on a sound system of internal control and the sample may not reveal deviations from the processes, hence the sample must be large enough so that any deviations can be detected and this can impede audit efficiency.
- Less substantive procedures are carried out where a transaction cycle approach is taken and hence detection risk (the risk that the auditor's procedures will not detect a material misstatement) is inherently higher.

3.1.4.7 Directional Testing

Directional testing is an auditing technique which is based around the accounting concept of 'every debit has a credit of equal amount'.

Directional testing focuses on the accounting entries in the client's system. However, it is important to understand that the direction in which the test is carried out can provide evidence **but only up to a certain point**. In Section 3.1.4.6 above, a brief sales cycle was structured as follows:

Order received → Goods despatched → Invoice sent → Invoice recorded → Cash received

The auditor may be testing that invoices have been checked for:

- a valid customer order;
- that the goods ordered have been despatched correctly; and
- that the sale has been properly recorded in the accounts as revenue using the correct codes for the sale and customer's sales ledger account.

The auditor may then select a sample of invoices from the sales day book and check them against source documents, which is known as **vouching**. While this is a valid test and will confirm that controls over the sales cycle are working, what it does not do is test that sales are **complete**. The auditor will not be able to conclude that all orders issued have resulted in a supply of goods or that all goods supplied to customers have been invoiced correctly. To satisfy the **completeness** of revenue, the auditor is concerned with confirming that all transactions have been entered into the accounting records correctly.

In order to satisfy the completeness assertion (see Exhibit 3.8), the auditor must take a sample of source documents (e.g. goods despatched notes or customer orders) and test them in the **other direction** – towards the accounting system.

The purpose of directional testing is to test for misstatements and to test for omissions. For example, by testing a sample of goods despatched notes towards the accounting system, the auditor can determine whether any goods have been despatched that have not been invoiced (i.e. **completeness**). This test can also provide evidence over **accuracy** (i.e. the correct quantity of goods have been delivered to the customer and, combined with other audit tests on prices and a test to trace them into the sales ledger, the auditor could use this to validate the accuracy of the customer's account).

Illustrative Example 14

The auditor of CPB Technologies Ltd is testing trade receivables which are shown as an asset in the company's statement of financial position at year-end 31 December 20X2. When a sale takes place, the company's accounting system carries out the following double entry:

Dr Trade receivable	HK\$X
Cr Revenue	HK\$X

When the auditor of CPB Technologies Ltd is testing the debit entry, any misstatement of that entry will also result in a misstatement of the credit entry.

Assume that during the testing of trade receivables for the year ending 31 December 20X2, the auditor discovers an overstated receivable of HK\$900,000. If the debit is overstated, then the associated credit entry (to revenue) is also overstated. This means that assets and profit before tax are also overstated.

Auditors primarily test debit entries (assets and expenses) for overstatement and credit entries (liabilities and income) for understatement. In directional testing, the auditor is indirectly testing the corresponding entries at the same time.

Advantages

The advantages of directional testing are:

- Assets and expenses are tested for overstatement and liability and income for understatement.
- Some management assertions are directional by nature – existence addresses overstatement and completeness addresses understatement.
- It ensures adequate coverage of the financial statements because effectively both the statement of financial position and the statement of profit or loss and other comprehensive income are covered by directional testing.

Disadvantages

- Directional testing can be time-consuming because the approach requires a 'global approach' to be adopted to ensure that the debits and credits give a true and fair view (or present fairly in all material respects) when taken together.

► Knowledge Check Questions

Question 1

Identify which of the following options best describes the type of audit evidence an auditor is required to obtain.

- A** Sufficient and adequate audit evidence.
- B** Sufficient and high-quality audit evidence.
- C** Sufficient and appropriate audit evidence.
- D** Sufficient and reliable audit evidence.

► **Knowledge Check Questions (continued)**

Question 2

An audit client has asked how much reliance can be placed on the auditor's report as the bank is to be informed that the auditor's report should be viewed as confirmation that the financial statements are completely accurate. Identify which of the following responses describes the level of assurance the auditor's report gives.

- A** The auditor's report provides maximum assurance.
- B** The auditor's report provides reasonable assurance.
- C** The auditor's report provides a moderate level of assurance.
- D** The auditor's report provides a low level of assurance.

Question 3

Identify which of the following correctly identifies the overall objective of the auditor according to HKSA 300.

- A** The objective of the auditor is to plan the audit so that it will be performed in an effective manner.
- B** The objective of the auditor is to express an opinion on the financial statements.
- C** The objective of the auditor is to obtain sufficient audit evidence over the material areas of the financial statements.
- D** The objective of the auditor is to carry out the audit in accordance with Hong Kong Standards on Auditing.

Question 4

Identify which of the following HKSA 300 identifies as being a product of adequate audit planning.

- (I) It helps the auditor to communicate effectively with the audit client.
- (II) It helps the auditor to devote appropriate attention to important areas of the audit.
- (III) It facilitates the direction and supervision of engagement team members and the review of their work.
- (IV) It can reduce the level of detailed substantive testing.
- (V) It saves costs.

- A** I and II
- B** II and III
- C** III and IV
- D** IV and V

Question 5

Identify which of the following correctly describes 'audit risk'.

- A** It is the risk that the financial statements contain a material misstatement.
- B** It is the risk that the auditor does not detect a material misstatement.

► **Knowledge Check Questions (continued)**

- C** It is the risk that the auditor expresses an inappropriate audit opinion on the financial statements.
- D** It is the risk that management has failed to make adequate disclosures in the financial statements.

Question 6

CPB Technologies is planning on diversifying its service offering by entering into the software development market. Identify which of the following would be regarded as business risks.

- (I) A rise in interest rates.
- (II) A change in foreign exchange rates.
- (III) Incorrect capitalisation of research expenditure in contravention of HKAS 38 *Intangible Assets*.
- (IV) A continued lack of segregation of duties in the payroll department.
- (V) A change in depreciation method.

- A** I and II
- B** II and III
- C** III and IV
- D** V

Question 7

Identify which of the following correctly refer to the business risk approach to auditing.

- A** Evaluating the client's accounting system and deciding the main areas where audit attention should be focused.
- B** Looking at the business in its entirety.
- C** Considering the impact that new accounting standards have on the financial statements.
- D** Assessing whether the entity has complied with all its laws and regulations.

Question 8

Identify which of the following correctly describes the purpose of an engagement letter.

- A** It only outlines the responsibilities of the auditor.
- B** It outlines the responsibilities of the auditor and the audit client.
- C** It is a legally binding contract which must be issued each year.
- D** It prevents the audit client taking legal action against the audit firm.

Question 9

Identify from the following options which two correctly describe the purposes of audit documentation according to HKSA 230.

- (I) It protects the auditor against negligence claims.
- (II) It provides evidence of the auditor's basis for a conclusion about the achievement of the overall objectives of the auditor.

► **Knowledge Check Questions (continued)**

- (III) It provides evidence that the audit was planned and performed in accordance with HKSA's and applicable legal and regulatory requirements.
- (IV) It helps the audit team assigned on next year's audit to understand the risks of material misstatement and the procedures that will be needed.
- (V) It can be supplied to the audit client on request.

- A** I and II
- B** II and III
- C** III and IV
- D** IV and V

Question 10

Identify which of the following statements best describes the purpose of an 'emphasis of matter' paragraph.

- A** It draws attention to the user of a matter which the auditor considers to be fundamental to the users' understanding of the financial statements.
- B** It draws attention to the user of immaterial misstatements which have remained uncorrected.
- C** It describes an inconsistency between the audit evidence and the amounts and disclosures in the financial statements.
- D** It is a form of modification to the auditor's report.

Question 11

A material uncertainty related to going concern has been identified as having been adequately disclosed by management in the financial statements of CPB Technologies Ltd. Identify which of the following is the correct type of opinion the auditor should express.

- A** Modified opinion.
- B** Unmodified opinion with an 'emphasis of matter' paragraph.
- C** Unmodified opinion with a Material Uncertainty Related to Going Concern paragraph.
- D** Modified opinion with a Material Uncertainty Related to Going Concern paragraph.

Question 12

The directors of CPB Technologies Ltd wish the auditor to include a Key Audit Matters section in the auditor's report as they believe this will add credibility to the financial statements. Identify which of the following statements is correct.

- A** A Key Audit Matters section can only be included by listed entities. Private entities must not include such a section.
- B** A Key Audit Matters section may be used and will describe the matters considered most significant by management.

► **Knowledge Check Questions (continued)**

- C** A Key Audit Matters section may be used and will describe the matters considered most significant by the auditor.
- D** A Key Audit Matters section may be used and will describe the matters considered most significant by the auditor which are communicated to those charged with governance.

Question 13

Identify which of the following types of audit procedure is a valid procedure under HKSA 500 *Audit Evidence*.

- A** Review
- B** Internal confirmation
- C** Reperformance
- D** Recasting

Question 14

Identify which of the following correctly describes an advantage of a risk-based auditing approach.

- A** It reduces time because it does not allow substantive procedures.
- B** It is efficient as it can limit the amount of substantive procedures.
- C** It can be performed by junior members of the audit team.
- D** It is a process used by internal auditors and hence can be used by the external auditor also.

Question 15

Identify which of the following correctly describes the 'top-down' approach to auditing.

- A** 'Top' refers to the day-to-day operations and 'down' refers to the financial statements.
- B** 'Top' refers to management and 'down' refers to the accounting function.
- C** 'Top' refers to the highest level of controls and 'down' refers to the controls at entity level.
- D** 'Top' refers to the day-to-day operations and 'down' refers to the management of the entity.

Question 16

Identify which of the following audit methodologies is a transaction cycle approach.

- A** Comparing the current year's payroll charge to the prior year's charge.
- B** Confirming the balance per the company's bank account to the year-end bank statement.
- C** Ensuring that goods despatched have been sent to the customer correctly and invoiced promptly.
- D** Testing receivables for overstatement and payables for understatement.



3.2 UNDERSTANDING OF THE ENTITY AND ITS ENVIRONMENT, AND IMPACTS TO AN AUDIT

In order to identify the risks of material misstatement in the financial statements, the auditor is required to obtain a thorough understanding of the client, including the environment in which the business operates and the controls which are in operation in the entity. This is a mandatory requirement in the planning process and the auditor's responsibility in this respect is outlined in HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement*.

According to HKSA 315 (Revised 2019), the objective of the auditor is to identify and assess the risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels, and hence providing a basis for designing and implementing **responses** to the **assessed risks of material misstatement**.

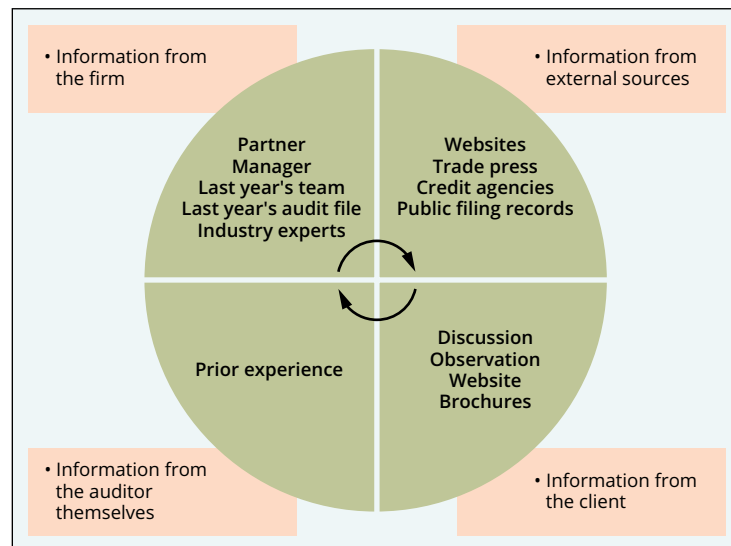
Key Learning Point

The term 'assertion' is defined as representations, explicit or otherwise, with respect to the recognition, measurement, presentation and disclosure of information in the financial statements that are inherent in management representing that the financial statements are prepared in accordance with the applicable financial reporting framework. Assertions are used by the auditor to consider the different types of potential misstatements that may occur when identifying, assessing and responding to the risks of material misstatement.

HKSA
315.12(a)

Acquiring an understanding of the entity and the environment in which the entity operates is important because it impacts the auditor's assessment of risk, from which the auditor devises specific procedures to be applied to those areas of the financial statements which are at risk of material misstatement, whether due to fraud or error. If the auditors do not gain a sufficient understanding of the entity, the environment in which it operates and the internal controls present, including controls over IT systems, they will be unable to carry out a thorough risk assessment and hence audit risk (the risk that the auditor expresses an incorrect opinion on the financial statements) is increased.

Obtaining an understanding of the entity, its environment and its controls can come from a variety of sources, as in Exhibit 3.6.



► **EXHIBIT 3.6** Sources of information that provide an understanding of an entity, its environment and its controls

3.2.1 Entity Level

The auditor is required to gain an understanding as to the nature of the entity, which must include:

- Its operations – such as a chemical manufacturer or a service provider.
- Its ownership and governance structures – such as who are the shareholders or the parent company and how is the management board structured.
- The types of investment it makes – such as investments in subsidiaries, associates or joint ventures.
- The way it is structured and financed – such as the number of branches/sites the business operates from and whether it relies on bank borrowings for finance or whether it relies on shareholders to provide finance.

HKSA 315 (Revised 2019), para 5 provides examples of matters which the auditor may consider when obtaining an understanding of the activities of the entity (included in the entity's business model) as follows:

(a) Business operations such as:

- Nature of revenue sources, products or services, and markets, including involvement in electronic commerce such as Internet sales and marketing activities.
- Conduct of operations (for example, stages and methods of production, or activities exposed to environmental risks).
- Alliances, joint ventures, and outsourcing activities.
- Geographic dispersion and industry segmentation.
- Location of production facilities, warehouses, and offices, and location and quantities of inventories.

- Key customers and important suppliers of goods and services, employment arrangements (including the existence of union contracts, pension and other post-employment benefits, stock option or incentive bonus arrangements, and government regulation related to employment matters).
 - Research and development activities and expenditures.
 - Transactions with related parties.
- (b) Investments and investment activities such as:
- Planned or recently executed acquisitions or divestitures.
 - Investments and dispositions of securities and loans.
 - Capital investment activities.
 - Investments in non-consolidated entities, including non-controlled partnerships, joint ventures and non-controlled special-purpose entities.
- (c) Financing and financing activities such as:
- Ownership structure of major subsidiaries and associated entities, including consolidated and non-consolidated structures.
 - Debt structure and related terms, including off-balance-sheet financing arrangements and leasing arrangements.
 - Beneficial owners (for example, local, foreign, business reputation and experience) and related parties.
 - Use of derivative financial instruments.

HKSA 315
(Revised 2019),
App. 1, para 5

Illustrative Example 15

In CPB Technologies, new entrants to the market have become a threat to the entity because of their competitive pricing structures. As CPB Technologies have a significant market share, this threat could impact on that share (and hence may create going concern issues). The auditor will need to understand how these threats impact on the entity so they can devise audit procedures to address the risk – for example, performing additional procedures over going concern.

These additional business risks may have had an impact on the entity's financial performance during the year. It is important that the auditor develops a sound understanding of how these additional risks could impact the financial statements (for example due to manipulation of sales revenue to achieve a higher profit to secure the additional bank finance the company needs to fund a new project).

In addition, the auditor will look at the entity's business operations in its entirety. The company operates from five sites so the auditor will need an understanding of how each site operates and the controls present at each site.

CPB Technologies has also recruited a new finance director to the board during the year. The finance director has overhauled the finance department and introduced a new

Illustrative Example 15 (*continued*)

accounting system. The auditor must carry out a thorough review of how the finance department is structured, identifying new processes and changes to previous processes and reviewing and testing new and existing controls. As the accounting system has been changed during the year, the auditor will need to:

- carefully document the new system;
- devise procedures to ensure transactions and balances from the old to the new system have been transferred correctly;
- review any parallel running of the old and new accounting system to ensure the new system works correctly; and
- devise procedures to test controls over the new system to ensure their operating effectiveness.

The company is also looking to secure additional bank finance to fund activities in a different market. The auditor must obtain a sound understanding of the entity's financing and financing activities in accordance with HKSA 315 (Revised 2019). This will include the auditor understanding the terms and conditions of any financing arrangements, including whether there are any covenants in place together that, if breached, would result in the relevant loan(s) becoming immediately repayable.

When the auditor obtains a sound understanding of the entity, including the risks that it faces, it allows them to devise specific procedures (which will be included in the audit plan) to address the risks they have identified.

HKSA 315
(Revised 2019),
para 19

In addition, requires the auditor to perform risk assessment procedures to obtain an understanding of:

- (a) The following aspects of the entity and its environment:
 - (i) The entity's organizational structure, ownership and governance, and its business model, including the extent to which the business model integrates the use of IT;
 - (ii) Industry, regulatory and other external factors; and
 - (iii) The measures used, internally and externally, to assess the entity's financial performance;
- (b) The applicable financial reporting framework, and the entity's accounting policies and the reasons for any changes thereto;
- (c) How inherent risk factors affect susceptibility of assertions to misstatement and the degree to which they do so, in the preparation of the financial statements in accordance with the applicable financial reporting framework, based on the understanding obtained in (a) and (b).

HKSA 315
(Revised 2019),
para 19

HKSA 315
(Revised 2019),
para 20

The auditor is also required to evaluate whether the entity's accounting policies are appropriate and consistent with the applicable financial reporting framework.

Some audit clients have an internal audit function which performs a vital role in the entity's overall system of internal control. The auditor must obtain an understanding of the role of internal audit, in particular, the role that internal audit plays in monitoring the entity's internal control environment over financial reporting.

3.2.2 Industry Level

The auditor must obtain an understanding of the entity at industry level. This requires a much wider understanding of the business than at the entity level. According to HKSA 315 (Revised 2019) paragraph A68, examples of matters which the auditor may consider at industry level include:

- The market and competition, including demand, capacity and price competition;
- Cyclical or seasonal activity;
- Product technology and lifecycles relating to the entity's products; and
- Energy supply and cost.

HKSA 315
(Revised 2019)
para A68

Illustrative Example 16

CPB Technologies Ltd is facing a threat to its business from new entrants into the market and this is a particular issue for which the auditor must develop a detailed understanding. This is because additional competition within the industry could have an impact on CPB Technologies' going concern if management does not respond to the threat appropriately.

In addition, CPB Technologies manufactures computers which become obsolete very quickly. The risk here is that if the company does not keep up with the pace of change in its industry, it will effectively get 'left behind' in the marketplace which would, again, impact on the going concern status of the company. Also, the auditor must factor this inherent risk into the audit of the company's inventory and work in progress, because there may well be some inventory which is slow moving or has become obsolete due to technological advancements. If such inventory's selling price is below cost, there is a risk that inventory could be overvalued in the year-end financial statements.

3.2.2.1 Regulatory Factors

Linked to risks at the industry level are regulatory factors which the auditor must also consider. HKSA 315 (Revised 2019), para A69 recognises that the industry in which the entity operates may give rise to specific risks of material misstatement arising from the nature of the business or the degree of regulation. For example, long-term contracts may involve significant estimates of revenues and expenses which give rise to risks of material misstatement.

Key Learning Point

HKFRS 15 *Revenue from Contracts with Customers* governs the accounting treatment over revenue recognition, including construction contracts. This standard inherently requires significant management judgement where revenue from contracts is concerned, and this is an area of the financial statements which may be particularly prone to material misstatement. The auditor must devise specific procedures at the planning stage to address this risk.

HKSA 315 (Revised 2019) acknowledges that regulatory factors include the regulatory environment. The regulatory environment includes, among other things, the applicable financial reporting framework and the legal and political environment. The auditor may consider the following matters in the context of regulatory factors:

- Regulatory framework for a regulated industry, for example, prudential requirements, including related disclosures.
- Legislation and regulation that significantly affect the entity's operations, for example, labour laws and regulations.
- Taxation legislation and regulations.
- Government policies currently affecting the conduct of the entity's business, such as monetary, including foreign exchange controls, fiscal, financial incentives (for example, government aid programs), and tariffs or trade restriction policies.
- Environmental requirements affecting the industry and the entity's business.

HKSA 315
(Revised 2019),
para A70

3.2.3 Economy Level

To gain an understanding of the client, the auditor assesses how economy-level factors affect the client. This includes an assessment of economic upturns and downturns (recession), a change in interest rates and currency fluctuations. Here, the auditor is concerned with how susceptible a client is to these changes and its ability to withstand economic pressures.

When the economy is good, companies are generally under pressure to perform well, or at the very least better than their competitors, and shareholders will expect an improvement in profits. Hence, the focus of the auditor's attention in such economic situations will be the overstatement of revenue and the understatement of expenses, because the inherent risk is that management will wish to meet shareholders' expectations and report a healthy profit and a strong financial position.

When the economy is poor, management may purposefully understate profits by maximising write-offs, since a fall in profits can easily be explained as a downturn in the economy. Here, the auditor's focus is on the risk of understated revenues and overstated expenses.

Illustrative Example 17

In CPB Technologies Ltd, the Board of Directors has agreed for the company to explore a different market: that of software development. Before that market can be entered, the company needs access to additional finance in the sum of HK\$1 million. The bank has stated that the audited financial statements for the year ending 31 December 20X2 are needed before any decisions will be made as to the funding.

The inherent risk in this situation is that the company may wish to artificially inflate revenues to report a better profit. This could involve the inappropriate capitalising of expenditure (in turn boosting the balance sheet) or the reversal of prior period provisions. The auditor must factor this risk into the risk assessment and devise specific procedures which address the risk. For example, extended cut-off testing on revenues and additional procedures over additions to non-current assets, recalculation of provisions and detailed reviews of journal entries and adjustments at, or towards, the year end.

 Knowledge Check Questions**Question 17**

Identify which of the following is a purpose of the auditor understanding the entity and its environment.

- A** To identify weaknesses in the internal control environment.
- B** To assess the risks of material misstatement in the financial statements.
- C** To help team members execute the audit correctly.
- D** To advise management if the structure of the entity is appropriate.

Question 18

The audit senior of CPB Technologies is considering which types of information can be obtained from an external source to understand the entity and its environment. Identify which of the following is information that can be obtained from an external source.

- (I) Information in last year's audit file
 - (II) Discussion with the client
 - (III) Trade press information
 - (IV) Information from a credit-rating agency
 - (V) Information from the company's website.
- A** I and II
 - B** II and III
 - C** III and IV
 - D** IV and V

**3.3 INTERNAL CONTROL OVERVIEW**

HKSA 315 (Revised 2019) defines 'Controls' as policies or procedures that an entity establishes to achieve the control objectives of management or those charged with governance. In this context:

- (i) Policies are statements of what should, or should not, be done within the entity to affect control. Such statements may be documented, explicitly stated in communications, or implied through actions and decisions.
- (ii) Procedures are actions to implement policies.

HKSA 315
(Revised 2019),
para 12(c)

The auditor must consider the entity's internal control system to assess whether it is likely to be reliable. If so, the auditor will test the relevant controls to ensure they are in place and working effectively. The advantage of this is that, to some extent, the auditor can reduce the level of detailed substantive procedures which can provide efficiencies to an audit in the form of time savings if the controls are found to be operating effectively.

Internal control is important from two perspectives: management's perspective and the auditor's perspective. From management's point of view, a strong internal control environment is important because it not only provides reliable financial information but also helps to safeguard the assets of the company (as fewer assets will be susceptible to theft or fraud in a business with strong internal controls). In addition, when management are setting up the internal control environment, they will want to ensure that the controls enable the business to achieve its overall objectives as well as ensuring that it is as profitable as possible to enable the business to grow, provide more employment opportunities for both existing and new members of staff, as well as providing a return for its shareholders.

From the auditor's perspective, internal controls are important because they need to understand the processes involved and whether or not the internal control is effective. A weak internal control environment is likely to give rise to a higher risk of misstatement in the financial statements, whereas a strong internal control environment is less likely to materially misstate the financial statements. The auditor may also be able to place reliance on strong internal controls which could reduce the level of detailed audit work the auditor carries out, resulting in a more efficient and less expensive audit.

Key Learning Point

The auditor can never eliminate the need for substantive procedures entirely because there are **inherent limitations** to the reliance which can be placed on internal controls due to:

- human error in the use of judgement;
- ineffective controls;
- collusion of staff in circumventing controls;
- the abuse of power by those with ultimate controlling responsibility (management override of controls); and
- the use of management judgement on the nature and extent of controls the entity chooses to operate.

Hence, the auditor must always perform some substantive tests on material balances in the financial statements.

3.3.1 The System of Internal Control

HKSA 315 (Revised 2019) refers to the 'system of internal control' and defines it as follows:

The system designed, implemented and maintained by those charged with governance, management and other personnel, to provide reasonable assurance about the achievement of an entity's objectives with regard to reliability of financial reporting, effectiveness and efficiency of operations, and compliance with applicable laws and regulations. For the purposes of the HKSAs, the system of internal control consists of five inter-related components:

- (i) Control environment;
- (ii) The entity's risk assessment process;

- (iii) The entity's process to monitor the system of internal control;
- (iv) The information system and communication; and
- (v) Control activities.

HKSA 315
(Revised 2019)
para 12(m)

3.3.1.1 Control Environment

According to HKSA 315 (Revised 2019), the **control environment** includes the governance and management functions and the attitudes, awareness and actions of those charged with governance and management concerning the entity's system of internal control and its importance in the entity. The control environment sets the tone of an organization, influencing the control consciousness of its people, and provides the overall foundation for the operation of the other components of the entity's system of internal control.

HKSA 315
(Revised 2019)
App. 3 para 4

HKSA 315 (Revised 2019) recognises various elements which the auditor may be interested in when obtaining an understanding of the control environment of an entity, as follows:

- (a) *How management's responsibilities are carried out, such as creating and maintaining the entity's culture and demonstrating management's commitment to integrity and ethical values.* HKSA 315 (Revised 2019) recognises that the effectiveness of controls cannot rise above the integrity and ethical values of the people who create, administer and monitor them. The standard recognises that integrity and ethical behaviour are the product of the entity's ethical and behavioural standards or codes of conduct which may be communicated to staff through policy statements, as well as how they are enforced in practice (e.g. through management actions to dissuade staff from engaging in dishonest, illegal or unethical acts).
- (b) *When those charged with governance are separate from management, how those charged with governance demonstrate independence from management and exercise oversight of the entity's system of internal control.* recognises that an entity's control consciousness is influenced by those charged with governance. It states that considerations may include:
 - Whether there are sufficient individuals who are independent from management and objective in their evaluations and decision-making;
 - How those charged with governance identify and accept oversight responsibilities; and
 - Whether those charged with governance retain oversight responsibility for management's design, implementation and conduct of the entity's system of internal control.

HKSA 315
(Revised 2019),
para 6(a)

HKSA 315
(Revised 2019),
para 6(b)

The standard recognises that the importance of those charged with governance is acknowledged in codes of practice and other laws and regulations that apply to the entity and are produced for the benefit of those charged with governance. Other responsibilities of those charged with governance include oversight of the design and effective operation of whistle blower procedures.

HKSA 315
(Revised 2019),
para 6(b)

- (c) *How the entity assigns authority and responsibility in pursuit of its objectives.* This could include considerations relating to:
 - Key areas of authority and responsibility and appropriate lines of reporting;

HKSA 315
(Revised 2019),
para 6(c)

- Policies relating to appropriate business practices, knowledge and experience of key personnel, and resources provided for carrying out duties; and
- Policies and communications directed at ensuring that all personnel understand the entity's objectives, know how their individual actions interrelate and contribute to those objectives, and recognise how and for what they will be held accountable.

(d) *How the entity attracts, develops, and retains competent individuals in alignment with its objectives.* This element is concerned with how the entity ensures it employs individuals that have the knowledge and skills necessary to carry out their duties, for example:

- Standards for recruiting the most qualified individuals – with an emphasis on educational background, prior work experience, past accomplishments and evidence of integrity and ethical behaviour.
- Training policies that communicate prospective roles and responsibilities, including practices such as training schools and seminars that illustrate expected levels of performance and behaviour; and
- Periodic performance appraisals driving promotions that demonstrate the entity's commitment to the advancement of qualified personnel to higher levels of responsibility.

HKSA 315
(Revised 2019),
para 6(d)

(e) *How the entity holds individuals accountable for their responsibilities in pursuit of the objectives of the entity's system of internal control.* HKSA 315 (Revised 2019), para 6(e) recognises that this may be accomplished through:

- Mechanisms to communicate and hold individuals accountable for performance of controls responsibilities and implement corrective actions as necessary;
- Establishing performance measures, incentives and rewards for those responsible for the entity's system of internal control, including how the measures are evaluated and maintain their relevance;
- How pressures associated with the achievement of control objectives impact the individual's responsibilities and performance measures; and
- How the individuals are disciplined as necessary.

HKSA 315
(Revised 2019),
para 6(e)

Key Learning Point

HKSA 315 (Revised 2019) states that when assessing the control environment, the auditor may also consider how management has responded to the findings and recommendations of the internal audit function concerning identified deficiencies in internal control relevant to the audit, including whether and how such responses have been implemented, and whether they have subsequently been evaluated by the internal audit function.

Evidence relating to the control environment is usually acquired through a combination of inquiry and observation, although inspection of key internal documents (such as organisational charts) is possible.

3.3.1.2 Entity's Risk Assessment Process

The risk assessment process forms the basis for how management determines the business risks to be managed (i.e. threats to the achievement of ongoing business objectives).

The risk assessment process will vary considerably depending on the nature, size and complexity of an organisation. However, if the process is appropriate in the company's circumstances (including the nature, size and complexity of the entity), it will assist the auditor in identifying the risks of material misstatement.

Threats to business objectives can lead to a misstatement in the financial statements. For example, non-compliance with laws and regulations may lead to fines and penalties which require disclosure or provision in the financial statements. Where the client has robust procedures for assessing the business risks it faces, the risk of misstatement overall will be lower.

In smaller entities, there is unlikely to be an established risk assessment process. In such cases, it is likely that management will identify risks through direct personal involvement within the business. Even when there is no formal risk assessment process involved, the auditor is still required to inquire of management about identified risks and how they are addressed by management.

Illustrative Example 18

The audit of CPB Technologies for the year ending 31 December 20X1 revealed a number of weaknesses in the company's internal control environment. One of those weaknesses related to the supplier statement reconciliations not being carried out on a regular basis.

The risk of not carrying out supplier statement reconciliations on at least a monthly basis is that any errors in the processing of supplier invoices or credit notes will not be detected. This could result in year-end trade payables being over- or understated as a result of the weakness.

Monitoring of controls can either be ongoing or performed on a separate evaluation basis (or a combination of both). Whichever way the entity deems appropriate, the monitoring of controls needs to be effective for the system to work. Where the entity has an internal audit department, the internal audit function will monitor such controls.

3.3.1.3 The Entity's Process to Monitor the System of Internal Control

Monitoring of controls relates to the client's process of assessing the effectiveness of controls over time and taking remedial action where necessary. If a control is weak or ineffective, then misstatements are likely to pass undetected into the financial statements.

HKSA 315 (Revised 2019) says that risks can arise or change due to circumstances such as the following:

- *Changes in operating environment.* Changes in the regulatory, economic or operating environment can result in changes in competitive pressures and significantly different risks.

- *New personnel.* New personnel may have a different focus on or understanding of the entity's system of internal control.
- *New or revamped information system.* Significant and rapid changes in the information system can change the risk relating to the entity's system of internal control.
- *Rapid growth.* Significant and rapid expansion of operations can strain controls and increase the risk of a breakdown in controls.
- *New technology.* Incorporating new technologies into production processes or the information system may change the risk associated with the entity's system of internal control.
- *New business models, products, or activities.* Entering into new business areas or transactions with which an entity has little experience may introduce new risks associated with the entity's system of internal control.
- *Corporate restructurings.* Restructurings may be accompanied by staff reductions and changes in supervision and segregation of duties that may change the risk associated with the entity's system of internal control.
- *Expanded foreign operations.* The expansion or acquisition of foreign operations carries new and often unique risks that may affect internal control, for example, additional or changed risks from foreign currency transactions.
- *New accounting pronouncements.* Adoption of new accounting principles or changing accounting principles may affect risks in preparing financial statements.
- *Use of IT.* Risks relating to:
 - Maintaining the integrity of data and information processing;
 - Risks to the entity's business strategy that arise if the entity's IT strategy does not effectively support the entity's business strategy; or
 - Changes or interruptions in the entity's IT environment or turnover of IT personnel or when the entity does not make necessary updates to the IT environment or such updates are not timely.

HKSA 315
(Revised 2019),
para 9

3.3.1.4 The Information System and Communication

The information system is all of the businesses processes which are relevant to financial reporting and communication. It includes the procedures within both information technology and manual systems.

The information system includes all of the procedures and records which are designed to:

- Initiate, record, process and report the entity's transactions (as well as to capture, process and disclose information about events and conditions other than transactions) and to maintain accountability for the related assets, liabilities and equity.
- Resolve incorrect processing of transactions, for example, automated suspense files and procedures followed to clear suspense items out on a timely basis.
- Process and account for system overrides or bypasses to controls.

HKSA 315
(Revised 2019)
para 15

- Incorporate information from transaction processing into the general ledger (e.g. transferring of accumulated transactions from a subsidiary ledger).
- Capture and process information relevant to the preparation of the financial statements for events and conditions other than transactions, such as the depreciation and amortization of assets and changes in the recoverability of assets.
- Ensure information required to be disclosed by the applicable financial reporting framework is accumulated, recorded, processed, summarized and appropriately reported in the financial statements.

The understanding of the information system relevant to financial reporting (including the understanding of relevant aspects of the information system relating to information disclosed in the financial statements which is obtained from within, or outside, of the general and subsidiary ledgers) is a matter of the auditor's professional judgement. For example, certain amounts or disclosures in the entity's financial statements may be based on information obtained from the entity's risk management system. However, the auditor is not required to understand all aspects of the risk management system and must use professional judgement in determining the necessary understanding.

3.3.1.5 Control Activities

Control activities include all policies and procedures which are designed to ensure that management directives are carried out throughout the organisation. Examples of specific control activities according to HKSA 315 (Revised 2019) include those relating to the following:

- Authorisation and approvals;
- Reconciliations;
- Verifications;
- Physical or logical controls; and
- Segregation of duties.

HKSA 315 (Revised 2019) recognises that the entity's process to monitor the system of internal control may consist of ongoing activities, separate evaluations or a combination of the two. This process will vary depending on the assessment of risks by the entity.

Where the entity has an internal audit (IA) function, the duties of IA will usually include monitoring the effectiveness of the system of internal control. IA will not implement controls (because this could create a self-review threat if they then subsequently test the operating effectiveness of those controls. Instead they will advise management (as part of their control tests) as to any weaknesses or remediations necessary to the entity's system of internal control.

HKSA 315 (Revised 2019) clarifies that monitoring is done to ensure that controls continue to operate effectively over time and provides an example of the timeliness and accuracy of bank reconciliations. If bank reconciliations are not monitored, personnel are likely to stop preparing them.

Illustrative Example 19

Examples of control activities relevant to CPB Technologies include the following:

Authorisation and approvals – approval of transactions before they are processed

- A manager must approve an employee's timesheet to confirm that the hours stated have been worked and can be paid. This control activity ensures that the employee is not paid for hours not worked.
- A manager must approve a purchase order to confirm the order can be placed with the supplier. This control activity ensures that goods are purchased for valid business requirements.
- **Reconciliations.** Reconciliations compare two or more data elements and where differences are identified, action is taken to remedy the disagreement. An example of a reconciliation would be a bank reconciliation (reconciling the balance per the bank statement to the cash book balance).
- **Verifications.** Verifications compare two or more items with each other or compare an item with a policy. If the two items do not match (or are not consistent with the policy) then follow-up action will be required. An example of a verification would be batch total checks when entering purchase invoices into the payables ledger. The system will give a value of the total amount of purchase invoices entered in the batch. The payables ledger clerk will double-check that the correct number of invoices has been entered and none have been missed or entered twice.
- **Physical or logical controls.** These also include those that address security of assets against unauthorised access, acquisition, use or disposal, for example, adequate safeguards to prevent unauthorised access to assets (e.g. high-value inventory). An example of a logical control is the use of passwords that only allow access to certain computer programs (e.g. payroll systems). Inventory counting procedures are also an example of such a control which compares the inventory counted to the inventory recorded in the system.

Segregation of duties – assigning the responsibility for recording transactions, authorising transactions and maintaining custody of assets to different employees to prevent the risk of fraud and error

- Following recommendations in the 20X1 audit, CPB Technologies' payroll department has a system in place whereby one person prepares the payroll, the payroll manager reviews the payroll and the finance manager prepares the bank transfer to the employees.
- Warehouse staff are not responsible for the year-end inventory count, as this would not detect if goods were being stolen by staff throughout the year.

 Knowledge Check Questions**Question 19**

Identify which of the following relates to the 'system of internal control' of an entity.

- A** Commitment to integrity and ethical values.
- B** Processing and accounting for system overrides.
- C** Physical or logical control.
- D** Segregation of duties.

Question 20

Identify the activity to which 'monitoring of controls' relates.

- A** The auditor assessing the effectiveness of internal controls.
- B** Management assessing the effectiveness of internal controls.
- C** Internal audit improving internal controls.
- D** Improving controls following deficiencies noted during the audit.

Question 21

HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement* states that auditors need to understand an entity's system of internal control. Control components are the policies and procedures designed to ensure that management directives are carried out.

List the five specific control components identified by HKSA 315 (Revised 2019) and for each control activity identified, illustrate an example of a relevant control.



3.4 IDENTIFYING AND ASSESSING THE RISKS OF MATERIAL MISSTATEMENTS

One of the most crucial aspects of audit planning is identifying and assessing the risks of material misstatements in the financial statements. HKSA 315 (Revised 2019) includes the following steps on how to identify and assess the risk of material misstatement as follows:

- Undertake risk assessment procedures and related activities. Obtain an understanding of the entity and its environment, the applicable financial reporting framework and the entity's system of internal control.
- Identify and assess the risks of material misstatement.
- Prepare audit documentation relating to the auditor's understanding of the entity, the risk assessment procedures performed, the evaluation of controls and risks of material misstatement at the financial statement and assertion level.

Key Learning Point

Students must remember that the overriding principle of auditing is introduced in HKSA 200 *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Hong Kong Standards on Auditing*. This overriding principle is for the auditor:

To obtain reasonable assurance, the auditor shall obtain sufficient appropriate evidence to reduce audit risk to an acceptably low level . . .

Audit risk is the risk that the auditor expresses an inappropriate audit opinion. For example, expressing an unmodified opinion when a modified opinion is appropriate.

The overriding principle is further developed in HKSA 315 (Revised 2019), which states that the objective of the auditor is to identify and assess the risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels thereby providing a basis for designing and implementing responses to the assessed risks of material misstatement.

HKSA 315
(Revised 2019)
para 11

Key Learning Point

The auditor must identify the risks of material misstatement and then use this to guide the design of audit procedures. HKSA 450 *Evaluation of Misstatements Identified During the Audit* defines a 'misstatement' as a difference between the reported amount, classification, presentation or disclosure of a financial statement item and the amount, classification, presentation or disclosure that is required for the item to be in accordance with the applicable financial reporting framework. Misstatements can arise from error or fraud.

HKSA
450.4(a)

Illustrative Example 20

CPB Technologies Ltd has an accounting policy for the depreciation of its motor vehicles. Motor vehicles are depreciated at a rate of 25% on a reducing balance (diminishing balance) basis. The auditor has calculated that the depreciation charge for the year ended 31 December 20X2, based on the declared accounting policy, should be HK\$51,500.

The actual charge per the financial statements is HK\$64,000.

The auditor has therefore discovered a misstatement of HK\$12,500 and this amount will be included in a summary of unadjusted misstatements. At the end of the audit, the auditor will consider whether the misstatement, individually and in combination with other misstatements, results in the financial statements being materially misstated.

Illustrative Example 20 (continued)

The auditor is required to carry out risk assessment procedures to identify the risks of material misstatement through:

- inquiries of management;
- analytical procedures; and
- observation and inspection.

By carrying out a thorough risk assessment (including 'standing back' and evaluating the identified risks of material misstatement as required by HKSA 315 (Revised 2019)), the auditor will be able to:

- Identify areas of the financial statements where misstatements are likely to occur early in the audit process.
- Devise procedures which address the risks of material misstatement.
- Carry out an efficient audit which is focused on areas containing risk.
- Minimise audit risk to an acceptably low level.
- Reduce the risk of negligence claims being brought against the firm for deficient audit work.

HKSA 315 (Revised 2019) requires the auditor to consider misstatements at both the financial statement level and the assertion level (Exhibit 3.7).

Misstatements at:**Financial statement level**

- Risk of misstatement affects the financial statements as a whole (i.e. many assertions are affected).
- Risk of material misstatement at the financial statement level may be due to fraud.

Assertion level

- Consists of inherent risk and control risk.
- Inherent risk is the risk of misstatement before considering the internal controls.
- Control risk is the risk that the misstatement will not be prevented or detected and corrected by the internal controls.

► **EXHIBIT 3.7 Misstatements at financial statement level and assertion level****3.4.1 Financial Statement Level**

The auditor is required to assess the risk of material misstatement, whether due to fraud or error, at **both** the financial statement level and the assertion level (see Section 3.4.2).

The financial statements of an entity will consist of **transactions** and **account balances**.

Transactions include:

- Sales;
- Purchases;

- Expenses; and
- Wages paid during the year.

Account balances include:

- Assets;
- Liabilities; and
- Equity interests.

The risk of misstatement at the **financial statement level** requires the auditor to consider whether there are any figures in the financial statements that could be materially misstated and potentially affect many of the assertions. HKSA 315 (Revised 2019) acknowledges that risks of this nature are not necessarily risks identifiable with specific assertions at the class of transactions, account balance or disclosure level (e.g. risk of management override of controls). Rather, they represent circumstances which may increase the risks of material misstatement at the assertion level.

HKSA 315
(Revised 2019)
para A195

Risks at the financial statement level may arise due to poor oversight by management over the preparation of the financial statements, or a general lack of management competence. Such risks may have a more pervasive effect on the financial statements, which may require an overall response by the auditor.

Illustrative Example 21

CPB Technologies is seeing a major threat to its business by the arrival of new competitors into the market. Assume for the purposes of this illustration that the company has not made any going concern disclosures in the financial statements for the year ended 31 December 20X2.

During the course of the audit, the auditor concludes that there is a material uncertainty related to going concern which has not been adequately disclosed. There have not been any other material misstatements noted within the company's statement of financial position, statement of profit or loss and other comprehensive income, statement of changes in equity or statement of cash flows.

Here, the auditor has concluded that the monetary amounts in the financial statements are not materially misstated (hence the assertions themselves are fine). However, the financial statements are materially misstated because they do not contain adequate disclosure concerning the material uncertainties related to going concern. Therefore, if adequate disclosures are not included in the financial statements by management, the auditor will modify the auditor's opinion because a material misstatement exists even though it is not directly related to the numerical aspects of the financial statements.

Key Learning Point

Identifying and assessing the risks of material misstatement at the **financial statement level** means ensuring that the financial statements as a whole give a true and fair view (or present fairly in all material respects). Hence, the assertions themselves may be fine, but the financial statements as a whole do not present a true and fair view (or present fairly in all material respects).

3.4.2 Assertion Level

Risks of material misstatement at the **assertion level** for classes of transactions, account balances and disclosures need to be considered by the auditor because this will lead the auditor to determine the nature, timing and extent of further audit procedures which are considered necessary to obtain sufficient and appropriate evidence.

At the assertion level, the auditor is concerned with obtaining audit evidence to support the individual assertions applicable to the relevant area being audited. Exhibit 3.8 illustrates how the assertions work for various classes of balances and the procedures involved to test those assertions.

Area	Assertions to test	Procedure
Non-current assets	Completeness, classification and presentation	Obtain the non-current assets register, cast and agree the totals to the financial statements
Non-current assets	Existence	Select a sample of assets from the non-current assets register and physically inspect them to ensure they are properly included
Non-current assets	Valuation	Inspect assets for any signs of impairment
Non-current assets	Rights and obligations	Inspect supplier invoices or title deeds for properties to ensure they are in the name of the client
Inventory	Completeness and presentation	Trace items counted at the inventory count to the final inventory valuation to ensure any errors identified at the count stage have been corrected
Inventory	Valuation	Inspect the ageing of inventory to identify any old or slow-moving items which may require writing down to net realisable value

► **EXHIBIT 3.8** Assertions and procedures to test

Area	Assertions to test	Procedure
Inventory	Completeness and existence	Trace goods despatched immediately prior to year-end to the general ledger to ensure they are not included in inventory and revenue has been recorded
Receivables	Accuracy and presentation	Obtain the aged receivables listing, cast the list and agree it with the financial statements
Receivables	Completeness and existence	Agree the sales ledger control account with the list of balances
Receivables	Valuation and allocation	Inspect the aged receivables list to identify any slow-moving balances to assess whether an allowance for receivables is necessary
Receivables	Existence	Select a sample of year-end receivable balances and agree back with goods despatched notes and sales orders
Payables	Completeness, classification and presentation	Obtain a list of trade payables, cast the list and agree with the general ledger and the financial statements
Payables	Existence, completeness, obligations and valuation	Obtain supplier statements and reconcile these to the purchase ledger balance and investigate any significant differences
Revenue	Cut-off	Inspect a sample of goods despatched notes before and after year-end and ensure they have been recorded in the correct period
Revenue	Accuracy	Recalculate discounts and sales tax applied for a sample of large sales invoices
Revenue	Completeness	Select a sample of customer orders and agree these with despatch notes and sales invoices through to inclusion in the sales day book
Purchases	Cut-off	Inspect goods received notes before and after year-end and ensure they have been recorded in the correct period
Purchases	Accuracy	Recalculate discounts and sales tax applied for a sample of large purchase invoices
Purchases	Completeness	Select a sample of purchase orders and agree these with goods received notes and purchase invoices through to inclusion in the purchases day book
Payroll	Accuracy	Cast the monthly payroll listings to verify the accuracy of the payroll expense
Payroll	Completeness and presentation	Agree the total payroll expense per the payroll system with the general ledger and the financial statements
Payroll	Occurrence	Agree the total net pay per the payroll records with the bank transfer listing of payments and the cash book

► **EXHIBIT 3.8** (Continued)

The assertions listed in HKSA (Revised 2019) are shown in Exhibits 3.9 and 3.10.

Occurrence	Transactions and events that have been recorded or disclosed have occurred, and such transactions and events pertain to the entity.
Completeness	All transactions and events that should have been recorded have been recorded, and all related disclosures that should have been included in the financial statements have been included.
Accuracy	Amounts and other data relating to recorded transactions and events have been recorded appropriately, and related disclosures have been measured appropriately and described.
Cutoff	Transactions and events have been recorded in the correct accounting period.
Classification	Transactions and events have been recorded in the proper accounts.
Presentation	Transactions and events are appropriately aggregated or disaggregated and clearly described, and related disclosures are relevant and understandable in the context of the requirements of the applicable financial reporting framework.

HKSA 315
(Revised 2019)
para A190(a)

► **EXHIBIT 3.9 Assertions about classes of transactions and events, and related disclosures**

Existence	Assets, liabilities and equity interests exist.
Rights and obligations	The entity holds or controls the rights to assets, and liabilities are the obligations of the entity.
Completeness	All assets, liabilities and equity interests that should have been recorded have been recorded, and all related disclosures that should have been included in the financial statements have been included.
Accuracy, valuation and allocation	Assets, liabilities and equity interests have been included in the financial statements at appropriate amounts and any resulting valuation or allocation adjustments have been properly recorded, and related disclosures have been properly measured and described.
Classification	Assets, liabilities and equity interests have been recorded in the proper accounts.
Presentation	Assets, liabilities and equity interests are appropriately aggregated or disaggregated and clearly described, and related disclosures are relevant and understandable in the context of the requirements of the applicable financial reporting framework.

HKSA 315
(Revised 2019)
para A190(b)

► **EXHIBIT 3.10 Assertions about account balances, and related disclosures**

3.4.3 Risks that Require Special Audit Consideration

HKSA 315 (Revised 2019) states that as part of the risk assessment process, the auditor must determine whether any identified risks are, in the auditor's judgement, a **significant risk**. When exercising this judgement, the auditor must exclude the effects of identified controls related to the risk.

Key Learning Point

A 'significant' risk is defined as

An identified risk of material misstatement:

- (i) For which the assessment of inherent risk is close to the upper end of the spectrum of inherent risk due to the degree to which inherent risk factors affect the combination of the likelihood of a misstatement occurring and the magnitude of the potential misstatement should that misstatement occur; or
- (ii) That is to be treated as a significant risk in accordance with the requirements of other HKSAs.

HKSA 315
(Revised 2019),
para 12(i)

When the auditor is exercising judgement as to whether a risk may be significant, the following must be considered:

- Whether the risk is a risk of fraud.
- Whether the risk is related to recent significant economic, accounting or other developments and, therefore, requires specific attention.
- The complexity of the transactions.
- Whether the risk involves significant transactions with related parties.
- The degree of subjectivity in the measurement of financial information related to the risk, especially those measurements involving a wide range of measurement uncertainty.
- Whether the risk involves significant transactions that are outside the normal course of business for the entity, or that otherwise appear to be unusual.

When the auditor concludes that a risk is significant, an understanding of the entity's controls (including control activities) which are relevant to that risk must be obtained.

Illustrative Example 22

CPB Technologies Ltd manufactures desktop and laptop computers. At year-end 31 December 20X2 the company is expected to have a material amount of work in progress which relies on a significant amount of judgement and estimation.

In previous years, the company has used the services of a professional valuer to determine the value of work in progress at year-end. However, the warehouse manager has said that to reduce costs he will be able to value the work in progress at year-end. The Board of Directors have agreed to this.

The issue faced by the auditor here is that the work in progress valuation at year-end is at significant risk of being materially misstated. This is on the basis that the warehouse manager has no previous experience of valuing the work in progress, because it has previously been valued by an expert. In this case, the auditor must devise specific procedures over the work

Illustrative Example 22 (continued)

in progress valuation to obtain sufficient and appropriate audit evidence that it does not contain a material misstatement. The auditor may also consider using the audit firm's own expert to value the inventory in an attempt to reduce the risk of material misstatement to an acceptable level.

HKSA 315 (Revised 2019) requires that when the auditor concludes that a risk is significant, an understanding of the entity's controls, including control activities, which are relevant to that risk must be obtained.

Where the auditor concludes a risk is significant and management have not implemented controls over that risk, this is an indicator that there is a significant deficiency in internal control which must be notified to those charged with governance in accordance with HKSA 265 *Communicating Deficiencies in Internal Control to Those Charged with Governance and Management*.

Illustrative Example 23

CPB Technologies Ltd has received notice of a significant lawsuit which is being brought against the company for a breach of contract.

The auditor will consider how management have responded to this event – for example, whether the entity's legal advisors are involved and have made an assessment as to the potential effect of it. The auditor will also be concerned with whether or not the lawsuit has been disclosed in the financial statements (i.e. as a contingent liability) or if a liability has been recognised (i.e. by way of a provision).

The significant risk from the auditor's perspective is that the lawsuit is not appropriately reflected in the financial statements, either through a provision (if the recognition criteria in HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets* are met) or adequately disclosed as a contingent liability.

If the management of CPB Technologies have not responded appropriately (i.e. by implementing controls over this risk), the auditor will conclude that there is a significant deficiency in the internal control environment in respect of this matter, and must notify those charged with governance in accordance with HKSA 265.

► Knowledge Check Questions**Question 22**

Identify which of the following statements correctly describes 'risk of material misstatement at the financial statement level'.

- A** Risks of material misstatement at the financial statement level refer to risks which only affect certain assertions.
- B** Risks of material misstatement at the financial statement level refer to risks which materially affect the financial statements as a whole.

► Knowledge Check Questions (*continued*)

- C** Risks of material misstatement at the financial statement level refer to risks that relate pervasively to the financial statements as a whole and affect many assertions.
- D** Risks of material misstatement at the financial statement level refer to risks that are immaterial and do not affect the main assertions being tested.

Question 23

Identify which of the following assertions do NOT relate to account balances.

- (I) Existence
- (II) Rights and obligations
- (III) Classification
- (IV) Cut-off
- (V) Occurrence

- A** I and II
- B** II and III
- C** III and IV
- D** IV and V

Question 24

Identify which one of the following would be considered a significant risk of material misstatement of the financial statements.

- A** The adoption of a new accounting standard in the year.
- B** An understatement in the depreciation charge for the year.
- C** An understatement in the tax provision for the previous year.
- D** The sale of goods at market rates to a related party.

3.5 FRAUD RISK OVERVIEW

The primary responsibility for the prevention and detection of fraud rests with management and those charged with governance of the entity. HKSA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements* defines 'fraud' as an intentional act by one or more individuals among management, those charged with governance, employees or third parties, involving the use of deception to obtain an unjust or illegal advantage.

Fraud can be split into two types:

- **Fraudulent financial reporting** – this involves deliberately misstating the financial statements to make the company look better or worse than it actually is. This is usually done to present a better financial position in the statement of financial position and a

higher level of profit in the statement of profit or loss and other comprehensive income so the financial statements look better than they actually are. For example, inflating revenue and receivables for fictitious sales or for sales that have occurred in the next accounting period.

- **Misappropriation of assets** – this involves theft of company assets and may lead to the falsification of accounting records or other documents in order to conceal the fraud. For example, diverting funds from the company bank account into an employee's bank account which has been concealed as a fictitious supplier. Misappropriation of assets could also involve the theft of other assets, such as stealing a laptop computer or other high-value assets.

3.5.1 The Auditor's Objectives

HKSA 240 states that the objectives of the auditor are:

1. To identify and assess the risks of material misstatement of the financial statements due to fraud.
2. To obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud, through designing and implementing appropriate responses.
3. To respond appropriately to fraud or suspected fraud identified during the audit.

HKSA
240.10

Key Learning Point

HKSA 240 recognises that a misstatement in the financial statements can arise from **either** fraud **or** error. The distinguishing factor between the two is whether the underlying action which has resulted in the misstatement was intentional or unintentional.

While the responsibility to prevent and detect fraud rests with management and those charged with governance, the auditor is responsible for obtaining reasonable assurance that the financial statements taken as a whole are free from material misstatement, whether caused by fraud or error. In order to discharge this responsibility adequately, the auditor must:

- Maintain an attitude of **professional scepticism**. This means that the auditor must recognise the possibility that a material misstatement due to fraud **could** occur, regardless of the auditor's previous experience of the client's integrity and honesty.
- Discuss with the engagement team the susceptibility of the financial statements to material misstatement due to fraud.
- Consider any incentives to commit fraud, such as a need by a director or employee to maintain a certain level of lifestyle.
- Identify and assess the risks of material misstatement due to fraud.
- Identify how management assesses and responds to the risk of fraud.
- Enquire of management and those charged with governance if they are aware of any actual or suspected fraud.

If the auditor discovers a fraud, it must be communicated on a timely basis to an appropriate level of management. An 'appropriate level of management' will generally be those with primary responsibility to prevent and detect fraud.

When the fraud involves management, the auditor must communicate the matter to those charged with governance. However, if the auditor has any doubts concerning the integrity of those charged with governance, the auditor must seek legal advice.

In addition to this reporting responsibility, the auditor must also consider whether there is a responsibility to report the suspicion to a third party by law or regulation, such as:

- The Independent Commission Against Corruption
- The Police
- The Customs and Excise Department
- The Joint Financial Intelligence Unit
- Hong Kong Exchanges and Clearing Limited
- The Securities and Futures Commission of Hong Kong
- The Hong Kong Monetary Authority
- The Insurance Authority
- The Mandatory Provident Fund Schemes Authority.

HKSA
240.8

Key Learning Point

While the auditor does have an ethical duty to maintain confidentiality, it is likely that any legal responsibility will take precedence. In these situations, it is advisable that the auditor seeks legal advice.

If the fraud has a material impact on the financial statements, the auditor will need to modify the report. In such cases, the modified auditor's report will explain why the report has been modified and hence will make the shareholders aware of the fraud.

HKSA
240.11(b)

3.5.2 Fraud Risk Factors

HKSA 240 states that '**fraud risk factors**' are events or conditions that indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud.

Fraud, by its nature, is designed to be concealed and sometimes may go undetected – particularly very sophisticated frauds. Broadly, fraud can be committed by management through the overriding of internal controls (such as bypassing an authorisation procedure) or by an employee through manipulation of weaknesses in the internal control environment (such as a lack of segregation of duties).

It is important to note that the existence of fraud risk factors may not necessarily indicate the existence of fraud. There may, for example, be a lack of segregation of duties in the payroll department (a fraud risk factor), but that does not mean that the payroll clerk has committed a fraud; it just means there is *potential* for a fraud to occur.

Fraud risk factors, distinguished between fraudulent financial reporting and misappropriation of assets include the following:

Fraudulent financial reporting	Misappropriation of assets
Pressure placed on management to achieve a profit-related bonus	Weak or ineffective internal controls such as poor physical safeguards over assets
Loan covenants which, if breached, could cause company debt to be repayable in full	High-value inventory or a high level of cash kept on the premises
	A dominant individual in a managerial position
	Disgruntled employees with access to significant assets
	Missing or 'doctored' documents
	Poor maintenance of accounting records
	Employee awareness of future redundancies or restructuring plans
	Employees not taking holiday entitlement (for fear that the fraud may be discovered in their absence)

Illustrative Example 24

The audit of the 31 December 20X1 financial statements of CPB Technologies revealed a lack of segregation of duties in the payroll cycle. This is an indicator of a fraud risk factor because a lack of segregation of duties in the payroll cycle could enable a payroll clerk to create a fictitious employee (sometimes referred to as a 'ghost' employee) on the payroll and transfer funds through the payroll to a bank account belonging to the payroll clerk. The fact that there is little segregation of duties in place means that it is less likely that the fraud will be discovered.

By introducing a more robust control environment through appropriate segregation of duties, each stage of the payroll cycle (i.e. preparation through to finalisation and eventual payment of the employees) will be reviewed by a responsible individual and hence it is less likely that a fraud will take place.

3.5.3 Risk Assessment Procedures

HKSA 240 states that when the auditor is performing risk assessment procedures and related activities to obtain an understanding of the entity and its environment, including the entity's internal control, the auditor must perform certain procedures to obtain information for use in identifying the risks of material misstatement due to fraud.

- The auditor must make inquiries of management concerning:
 - Management's assessment of the risk that the financial statements may contain material misstatement due to fraud, including the nature, extent and frequency of such assessments.
 - Management's process for identifying and responding to the risks of fraud in the entity, including any specific risks of fraud that management has identified or that

HKSA
240.17(a)

HKSA
240.17(b)

have been brought to its attention, or classes of transactions, account balances or disclosures for which a risk of fraud is likely to exist.

HKSA
240.17(c)

- Management's communication, if any, to those charged with governance concerning its processes for identifying and responding to the risks of fraud in the entity.

HKSA
240.17(d)

- Management's communication, if any, to employees concerning its views on business practices and ethical behaviour.

HKSA
240.18

- Inquire of management and others within the entity as to whether they are aware of any actual, suspected or alleged fraud.

2. Where the entity has an internal audit function, make inquiries of appropriate individuals within internal audit to determine if they have knowledge of any actual, suspected or alleged fraud and obtain their views about the risks of fraud.
3. Obtain an understanding of how those charged with governance exercise oversight of management's processes for identifying and responding to the risks of fraud in the entity and the internal control environment which management has established to mitigate these risks.
4. Make inquiries of those charged with governance to determine whether they have knowledge of any actual, suspected or alleged fraud affecting the entity. These inquiries are made in part to corroborate the responses to the inquiries of management.
5. Evaluating whether any unusual or unexpected relationships have been identified in performing analytical procedures that may indicate risk of material misstatement due to fraud.
6. Considering whether any other information may indicate risk of material misstatement due to fraud, such as information obtained from the auditor's entity acceptance and retention processes, and experience gained on other engagements performed for the entity.
7. Evaluating whether any fraud risk factors are present.

Key Learning Point

One of the inherent limitations of an audit is the risk that some material misstatements may remain undetected, regardless of the fact that the audit has been properly planned and carried out in accordance with HKSA's. The detection of fraud will depend on how sophisticated the fraud is, how many people have been colluding in the fraud, the size of the amounts involved and the seniority of the staff members involved.

3.5.4 Audit Responses to Address Fraud Risks

Once the auditor has assessed the risk of material misstatement due to fraud, they must develop responses which address those risks.

Key Learning Point

The auditor must never assess the risk of fraud as not being applicable to an entity. HKSA 240 is clear that regardless of the auditor's previous experience concerning the integrity and honesty of management and those charged with governance, the auditor must always maintain professional scepticism throughout the audit, recognising the possibility that a misstatement due to fraud could exist.

Maintaining professional scepticism enables the auditor to have a questioning mind and hence be alert to conditions which may indicate possible misstatement due to fraud, as well as critically assessing the audit evidence obtained.

The auditor's responses to assessed fraud risks include:

- Obtaining written representations (in accordance with HKSA 580 *Written Representations*) from management that it has informed the auditor of all known or suspected frauds.
- Testing journals and adjustments to the financial statements at, or towards, year-end as these may be used to manipulate the reported figures in the financial statements.
- Testing accounting estimates and areas of the financial statements which require judgement for reasonableness.
- Making audit procedures unpredictable so that the client cannot hide fraud in areas where the auditor is not expected to test.
- Using suitably experienced staff to audit areas of particular risk.

► Knowledge Check Questions

Question 25

Identify which of the following statements is correct.

- A** The auditor is responsible for the prevention and detection of fraud at an entity.
- B** Management and those charged with governance are responsible for the prevention and detection of fraud.
- C** The auditor has no responsibility for fraud as this rests with management and those charged with governance.
- D** The auditor must never disclose a fraud to a third party due to client confidentiality rules.

A large, light grey downward-pointing chevron shape. The word "SUMMARY" is written in orange capital letters across the middle of the chevron.

SUMMARY

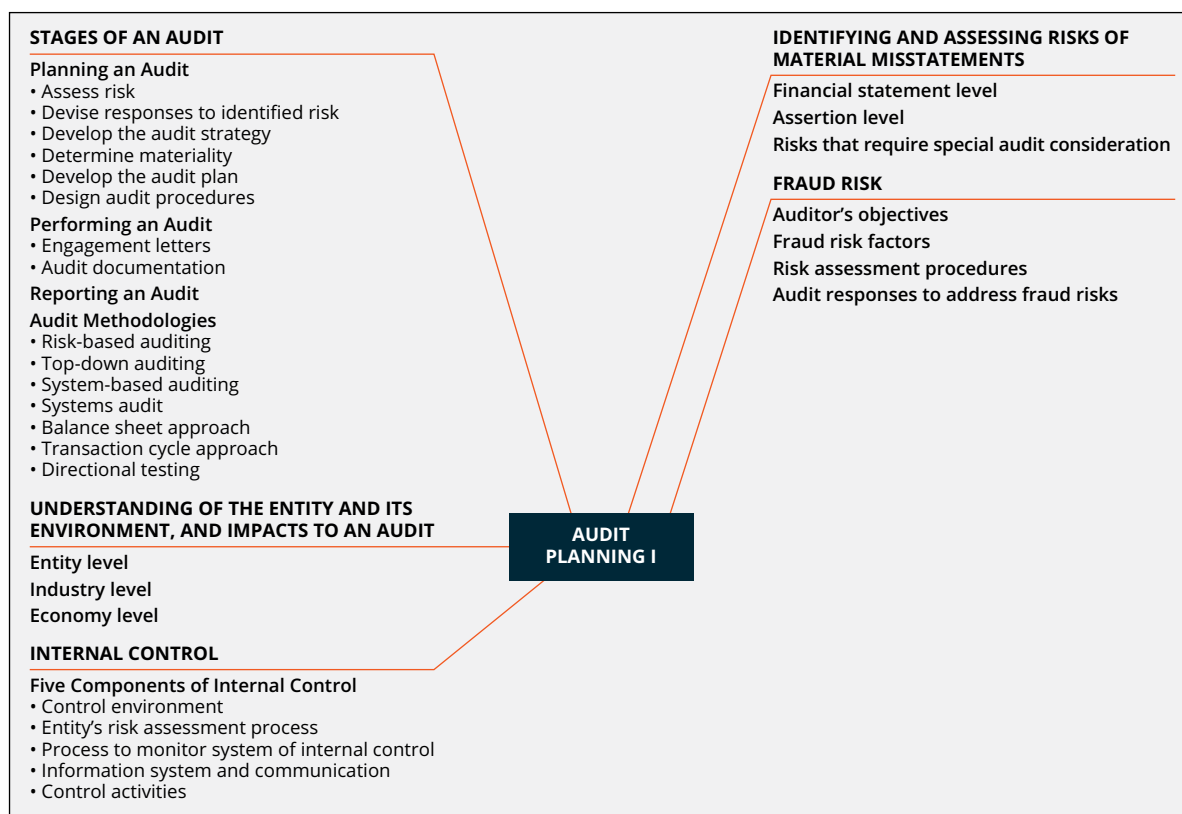
This chapter has set out the various preliminary audit planning activities, which are detailed and sometimes complex. However, audit planning is a critical stage in the audit process because inadequate audit planning generally leads to an inefficient audit and increased audit risk.

The auditor must carry out risk assessment procedures that feed directly into the audit strategy. From the audit strategy, the auditor can develop the audit plan, which is more detailed than the audit strategy and outlines the nature, extent and timing of audit procedures.

The auditor must obtain a thorough understanding of the entity and its environment, together with the internal controls present, as this also influences the detailed audit procedures which will be required at the evidence-gathering stage.

While the responsibility for the prevention and detection of fraud rests with management and those charged with governance, the auditor is responsible for obtaining reasonable assurance that the financial statements, taken as a whole, are free from material misstatement, whether caused by fraud or error. Hence, the external auditor has some responsibility for considering the risk of material misstatement due to fraud.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect because HKSA 500 *Audit Evidence* does not refer to audit evidence being 'adequate'.

Answer B is incorrect because while audit evidence has to be sufficient, the quality of the audit evidence is not addressed in HKSA 500.

Answer C is correct because HKSA 500 requires audit evidence to be both sufficient and appropriate.

Answer D is incorrect because the reliability of audit evidence is not addressed in HKSA 500.

Question 2

Answer A is incorrect because the auditor does not provide maximum (or absolute) assurance that the financial statements are not materially misstated – this is one of the inherent limitations of an audit.

Answer B is correct because the auditor confirms in the auditor's report that only a reasonable level of assurance, which is positive assurance, is being provided. It is not absolute assurance.

Answer C is incorrect because the auditor provides more than just moderate assurance.
 Answer D is incorrect because a low level of assurance would be inappropriate for an audit engagement.

Question 3

Answer A is correct – paragraph 4 of HKSA 300 *Planning an Audit of Financial Statements* confirms that the auditor's objective is to plan the audit so that it will be performed in an effective manner.

Answer B is incorrect because the expression of an auditor's opinion is contained in HKSA 700 (Revised) *Forming an Opinion and Reporting on Financial Statements* and not HKSA 300.

Answer C is incorrect – audit evidence is dealt with in HKSA 500 *Audit Evidence* and audit evidence has to be both sufficient and appropriate, not just sufficient.

Answer D is incorrect because the auditor is required to comply with the HKSAs rather than the objective being to carry out the audit in accordance with the HKSAs.

Question 4

Answer A is incorrect because communication with the client will take place at the planning stage, but adequate audit planning does not help this communication be more effective.

Answer B is correct as an adequate audit plan and risk assessment will help the auditor to focus attention on areas of the financial statements which are prone to higher risks of material misstatement and it also facilitates the direction and supervision of the engagement team together with a review of the work.

Answer C is incorrect because effective controls can help reduce the level of substantive testing rather than adequate audit planning.

Answer D is incorrect because adequate audit planning does not save costs; less detailed substantive procedures, where appropriate, can serve to save costs on an audit.

Question 5

Answer A is incorrect because audit risk is a function of the risks of material misstatement and detection risk.

Answer B is incorrect because this relates to detection risk, which is the risk that the auditor's procedures fail to detect a material misstatement.

Answer C is correct because audit risk is the risk that the auditor expresses an incorrect opinion on the financial statements.

Answer D is incorrect because a failure to make adequate disclosures is a risk of material misstatement.

Question 6

Answer A is correct because a business risk is generally a risk arising from external factors, hence a rise in interest rates and a change in foreign exchange rates would be beyond the control of the entity and are therefore business risks.

Answer B is incorrect because incorrect capitalisation of research expenditure is an audit risk.

Answer C is incorrect because a lack of segregation of duties in the payroll department is a fraud risk factor.

Answer D is incorrect because a change in the depreciation method would be an audit risk as the depreciation charge is at risk of being over- or understated.

Question 7

Answer A is incorrect because a business risk approach to auditing starts at the highest level of the entity and focuses down to the accounting system.

Answer B is correct because the auditor is concerned with the controls in place at the highest level of the business in its entirety.

Answer C is incorrect because the impact of new accounting standards is not featured in the business risk approach; a new accounting standard will affect audit risk rather than business risk.

Answer D is incorrect because assessing compliance with laws and regulations is only one aspect of the audit and is dealt with in HKSA 250 (Revised) *Consideration of Laws and Regulations in an Audit of Financial Statements*.

Question 8

Answer A is incorrect because the engagement letter does outline the responsibilities of the auditor but also of management.

Answer B is correct because HKSA 210 *Agreeing the Terms of Audit Engagements* requires the responsibilities of both the auditor and the client to be set out in a clearly understandable form, which is usually in the form of a letter.

Answer C is incorrect because while the letter of engagement is a legally binding contract, it does not necessarily have to be issued each year; it must be reviewed each year by the auditor to ensure it remains appropriate and the auditor must also consider whether the client needs to be reminded of the terms of the engagement.

Answer D is incorrect because the client could still take legal action against the auditor for deficient audit work even though a letter of engagement is in place.

Question 9

Answer A is incorrect because audit evidence serves a wider purpose than simply protecting the auditor against negligence claims.

Answer B is correct because sufficient and appropriate audit evidence does provide a basis on which the auditor forms a conclusion about the achievement of the overall audit objectives. Audit documentation also provides evidence that the audit was properly planned and performed in accordance with the HKSA's and applicable legal and regulatory requirements.

Answer C is incorrect because audit evidence each year will be different and does not influence the procedures the auditor must carry out in the current year's audit.

Answer D is incorrect because audit documentation is not supplied to the audit client as it remains the property of the auditor.

Question 10

Answer A is correct because an 'emphasis of matter' paragraph is a paragraph used in the auditor's report which draws attention to a disclosure note that has been adequately disclosed in the financial statements.

Answer B is incorrect because immaterial misstatements do not need to be referred to in the auditor's report as by their nature of being immaterial, they do not warrant the attention of shareholders.

Answer C is incorrect because any inconsistencies between audit evidence and amounts and disclosures in the financial statements would serve to influence the auditor's opinion and would not be a matter that would need emphasis in the auditor's report.

Answer D is incorrect because an 'emphasis of matter' paragraph is not a modification of the auditor's report in any way and this should be clearly communicated within the paragraph itself.

Question 11

Answer A is incorrect because a modified opinion would only be expressed if the material uncertainty related to going concern had not been adequately disclosed.

Answer B is incorrect because material uncertainties related to going concern are not described in an 'emphasis of matter' paragraph.

Answer C is correct because HKSA 570 (Revised) *Going Concern* requires disclosures about material uncertainties related to going concern to be cross-referenced in the auditor's report under a Material Uncertainty Related to Going Concern paragraph.

Answer D is incorrect because an adequate disclosure of a material uncertainty related to going concern would not give rise to a modified opinion. If a modified opinion was necessary, the auditor would not include a Material Uncertainty Related to Going Concern paragraph as this is only used when the material uncertainty has been adequately disclosed by management.

Question 12

Answer A is incorrect because while Key Audit Matters (KAM) are only mandatory for listed entities, private entities can also include KAM if they so wish.

Answer B is incorrect because KAM describes the matters considered most significant by the auditor, not management.

Answer C is incorrect because KAM describes the matters considered most significant by the auditor and communicated to those charged with governance.

Answer D is correct because KAM may be disclosed in the auditor's report by a private entity and will describe the issues considered most significant by the auditor which have been communicated to those charged with governance.

Question 13

Answer A is incorrect because review does not feature in the list of audit procedures in HKSA 500 *Audit Evidence*.

Answer B is incorrect because external confirmations are a valid procedure rather than internal confirmations.

Answer C is correct because the auditor can reperform various tasks carried out by the entity to generate audit evidence, such as reperforming a control account.

Answer D is incorrect because recasting does not feature in the list of procedures in HKSA 500.

Question 14

Answer A is incorrect because a risk-based audit will include some substantive procedures on material areas of the financial statements.

Answer B is correct because a risk-based approach can limit the amount of detailed substantive testing if the control environment of the entity has been operating effectively throughout the period.

Answer C is incorrect because a risk-based approach is taken by the whole engagement team rather than just junior team members.

Answer D is incorrect because while a risk-based approach may be used by internal audit, the external auditors devise their own procedures rather than relying on internal audit.

Question 15

Answer A is correct because a top-down approach is similar to a business risk approach to auditing in that 'top' refers to the entity's day-to-day operations and 'down' refers to the financial statements.

Answer B is incorrect because top does not refer to management; it refers to the entity's day-to-day operations and down refers to the financial statements, not the accounting function.

Answer C is incorrect because the highest level of controls is considered in a risk-based approach to auditing, not a top-down approach as with assessment of controls.

Answer D is incorrect because down refers to the financial statements and not the entity's management.

Question 16

Answer A is incorrect because this is a substantive analytical procedure.

Answer B is incorrect because this is a substantive procedure.

Answer C is correct because this ensures that the company's sales cycle is operating effectively.

Answer D is incorrect because this is directional testing.

Question 17

Answer A is incorrect because identification of weaknesses in the control environment would be detected through tests of control.

Answer B is correct because the objective of understanding the entity is to assess the risks of material misstatement in the financial statements and develop procedures which specifically respond to those risks – both business risk and financial statement risk.

Answer C is incorrect because this is the purpose of the engagement team meeting and planning.

Answer D is incorrect because the structure of the entity will feature in the planning of the audit to help understand the client, but it is not a purpose of the auditor understanding the entity and its environment.

Question 18

Answer A is incorrect because information in last year's audit file is considered an internal source.

Answer B is incorrect because discussions with the client are also an internal source of information.

Answer C is correct because trade press information and information from credit-rating agencies are information from third parties unconnected to the client, hence are external sources.

Answer D is incorrect because the client's website would be a source of internal information.

Question 19

Answer A is correct because commitment to integrity and ethical values is a component of the entity's control environment.

Answer B is incorrect because processing and accounting for system overrides form part of the information system rather than relating to the system of internal control of an entity.

Answer C is incorrect because physical or logical controls are part of control activities.

Answer D is incorrect because segregation of duties is also part of control activities.

Question 20

Answer A is incorrect because the auditor assessing the effectiveness of internal controls is part of the audit procedures rather than the entity monitoring its controls.

Answer B is correct because monitoring of controls is the client's process of assessing the effectiveness of controls over time and taking necessary remedial action.

Answer C is incorrect because internal audit gives advice on controls; they do not implement controls nor do they improve them, as this would affect their independence.

Answer D is incorrect because improving controls following the audit would be acting on the auditor's recommendations rather than forming part of management's monitoring process.

Question 21

Authorisation and approvals – approval of a purchase invoice prior to processing.

Reconciliations – Preparing a bank reconciliation to reconcile the bank statement balance to the cash book balance.

Verifications – Using batch controls when inputting data into an IT system to ensure that items are not omitted or duplicated.

Physical or logical controls – Restricting access to certain assets (such as high-value inventory) and password restrictions to prevent unauthorised access to computer files.

Segregation of duties – prohibiting warehouse staff from being responsible for the inventory count.

Question 22

Answer A is incorrect because this would be a risk of material misstatement at the assertion level rather than at the financial statement level.

Answer B is correct because risks of material misstatement at the financial statement level are those which may affect the financial statements as a whole.

Answer C is incorrect because it would be risks which materially affect the financial statements as a whole rather than pervasively, since pervasive is a higher level than material.

Answer D is incorrect because immaterial misstatements do not affect the auditor's opinion.

Question 23

Answer A is incorrect because existence relates to account balances (e.g. a trade receivable balance is tested for existence through a debtor's circularisation).

Answer B is incorrect because rights and obligations are assertions related to account balances (e.g. tracing a fixed asset to the purchase invoice from the supplier to ensure the invoice is in the name of the company).

Answer C is incorrect because classification is an assertion related to both account balances (e.g. classifying a liability as current or non-current) and to transactions and events (e.g. classifying expenditure as cost of sales or administrative expenses).

Answer D is correct because occurrence relates to a class of transaction, event or related disclosure (e.g. a sale has occurred in the accounting period). Cut-off is the assertion that is tested to ensure that transactions and events have been recorded in the correct accounting period.

Question 24

Answer A is correct because the adoption of a new accounting standard in the year would give rise to a significant risk of material misstatement, since the client may not correctly understand the standard and may have misapplied it.

Answer B is incorrect as an understatement of depreciation is unlikely to have a material or pervasive impact on the financial statements.

Answer C is incorrect as an understatement in the prior year's tax provision could have occurred, since it is an estimate until the tax position is agreed with the tax authority.

Answer D is incorrect because while transactions with related parties are deemed to be high risk, a sale of goods at market rates to a related party would not be considered to be a significant risk of material misstatement.

Question 25

Answer A is incorrect because the auditor does not have any responsibility for the prevention and detection of fraud at the entity. The prevention and detection of fraud is part of management's internal control processes.

Answer B is correct because HKSA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements* is clear that the primary responsibility for the prevention and detection of fraud rests with those charged with governance and management.

Answer C is incorrect because the auditor does have some responsibility where fraud is concerned, since the auditor has to obtain reasonable assurance that the financial statements taken as a whole are free from material misstatement, whether caused by fraud or error.

Answer D is incorrect because the auditor may be compelled to disclose fraud to a third party if required by law or regulation.

EXAM PRACTICE

QUESTION 1

Identify which of the following must be fulfilled before accepting appointment as auditor or reappointment as auditor.

- A. The audit firm must ensure the firm has an ethics partner in place.
- B. The audit firm must ensure the client has complied with all its laws and regulations.
- C. The audit firm must ensure the preconditions for an audit are present.
- D. The audit firm must ensure the financial statements have been completed.

QUESTION 2

HKSA 230 *Audit Documentation* outlines the auditor's responsibilities to prepare audit documentation during the audit. Identify which of the following purposes HKSA 230 states audit documentation serves.

- (I) It allows the audit client to be provided with information to support the amounts and disclosures in the financial statements.
- (II) It assists the engagement team to plan and perform the audit.
- (III) It retains a record of matters of continuing significance for future audits.
- (IV) It enables the firm to prove the client has complied with its responsibilities under the *Companies Ordinance* (Cap.622).
- (V) It is a legal requirement.

- A. I and II
- B. II and III
- C. III and IV
- D. IV and V

QUESTION 3

ABC Enterprises Limited is a non-listed company which operates a chain of supermarkets in Lan Kwai Fong. You are the audit senior of Ling & Co Certified Public Accountants and are planning the audit of ABC Enterprises for the year ending 31 December 20X2. This is a new audit client for your firm and the audit engagement partner has held a planning meeting with the client. Extracts of the planning meeting notes are as follows:

Planning Meeting Notes with ABC Enterprises Ltd

The company has recently undertaken a large refurbishment of its supermarkets and the statement of financial position includes a significant value of additions to property, plant and equipment. In addition, the company has recently appointed a number of new staff to the finance department and the finance director confirmed that due to additional training requirements, he decided that supplier statement reconciliations need not be completed this year as he is confident the balances will be correct.

In October 20X2, a supermarket branch manager was dismissed by the company. The manager has brought a case of unfair dismissal against the company and the lawyers have said it is currently not certain whether the company will be found guilty of unfair dismissal. The case is due to be concluded in March 20X3 and the sum claimed by the former branch manager is material.

In order to provide adequate funds for the refurbishment programme, the company took out a five-year bank loan. The company also pledged one of its buildings – which it owns – as security for the bank loan.

Required

- (a) Determine the benefits of adequate audit planning.
- (b) Analyse six audit risks present in this scenario and describe the auditor's responses to those audit risks.

QUESTION 4

The audit engagement partner of Bright & Co Certified Public Accountants has decided that the audit methodology to be used to audit the financial statements of Kwai Limited will be a balance sheet approach.

Required

- (a) Explain what is meant by a balance sheet approach to auditing.
- (b) Describe two advantages and two disadvantages of a balance sheet approach to auditing.

QUESTION 5

You are the audit senior of Pav & Co Certified Public Accountants undertaking the audit planning for your existing client, Hong Kong Industries Ltd, for the year ending 31 October 20X2. Last week, the company dismissed a purchase ledger clerk who had been committing fraud. The investigation carried out by the finance department concluded that the fraud had been going on for at least two years. The finance director has asked why the auditor did not discover the fraud during the previous year's audit.

Required

- (a) Justify the auditor's responsibilities for fraud in an audit of financial statements.
- (b) Determine five fraud risk factors which the auditor may consider during the planning stage of the audit.
- (c) Explain what is meant by the term 'professional scepticism' and justify why it is important that the auditor maintains professional scepticism during an audit.

QUESTION 6

On 2 February 2021, Jenny Wong, an audit partner of a reputable audit firm, ADE & Co, was approached by the managing director, Tom Wong, who is also the major shareholder of a new audit client, HQ Mask Limited ('HML'), to discuss the audit engagement. HML was incorporated in January 2020. HML runs a small business with one factory in Hong Kong for masks manufacturing and the wholesaling of masks. HML ordered mask production machines and equipment from Mainland China in February 2020. Due to the high demand of mask production line machines during that period, the purchase price was exceptionally high. However, Tom Wong had confidence in the sales of Hong Kong manufactured masks in Hong Kong and thus HML bought the mask production line machines and the packing machines. The arrival of the machines was in early April 2020. Unluckily, the quality of the machines was poor. All the machines did not function properly. Tom Wong has a friend who is an engineer, Jack Li, who spent one month adjusting the machinery of the mask

production line. After this adjustment, the production line worked as expected. No machine has been disposed of and all have been recorded in the accounting system. The company adopted a cost model to account for the machineries. The company started production in May 2020. HML is facing keen competition and there are few purchase orders from customers due to their price, which is higher than those of masks produced from Mainland China due to the high production cost. HML is now running at a loss. HML leased from a landlord an industrial property as its factory for a five-year term which was effective from 1 January 2020. HML kept a large amount of inventory, face masks, which have an expiry period of three years.

Required:

Determine the inherent risk of misstatement of the lease liability with explanation.

HKICPA June 2021 (amended)

ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer A is incorrect because it is not a requirement of HKSA 210 *Agreeing the Terms of Audit Engagements* to ensure that there is an ethics partner in place prior to accepting appointment, or reappointment, as auditor.

Answer B is incorrect because compliance with laws and regulations is assessed during the course of the detailed audit by application of HKSA 250 (Revised) *Consideration of Laws and Regulations in an Audit of Financial Statements*.

Answer C is correct as the preconditions for an audit must be present before the auditor accepts the appointment, or reappointment. If the preconditions for an audit are not present, HKSA 210 requires the auditor to decline the engagement or resign from the engagement.

Answer D is incorrect because the financial statement preparation process may not even have started at the point the auditor accepts the engagement. The financial statements may not be completed until some time after the reporting date has passed.

QUESTION 2

Answer A is incorrect because audit evidence does not get provided to the client to support amounts and disclosures in the financial statements. Information supporting amounts and disclosures in the financial statements is provided to the auditor by the client.

Answer B is correct as HKSA 230 *Audit Documentation* states that audit evidence serves to assist the engagement team to plan and perform the audit and retains a record of matters of continuing significance for future audits.

Answer C is incorrect because compliance with the *Companies Ordinance* (Cap.622) would fall under the scope of HKSA 250 (Revised) *Consideration of Laws and Regulations in an Audit of Financial Statements* and audit evidence would not necessarily serve to prove that the auditor has complied with its responsibilities under the *Companies Ordinance* (Cap.622); it would only offer reasonable assurance.

Answer D is incorrect because it is not a legal requirement to prepare audit documentation; it is a requirement of the HKSAs.

QUESTION 3

(a) Benefits of audit planning

- It helps the auditor to devote appropriate attention to important areas of the audit.
- It helps the auditor to identify and resolve potential problems on a timely basis.
- It helps the auditor to properly organise and manage the audit engagement so that it is performed in an effective manner.
- It assists in the selection of engagement team members with appropriate levels of capabilities and competence to respond to anticipated risks, and the proper assignment of work to them.
- It facilitates the direction and supervision of engagement team members and the review of their work.
- It assists, where applicable, in the coordination of work done by auditors of components and experts.

(b) Audit risks and auditor's responses

Audit risk	Auditor's response
1. ABC Enterprises Ltd is a new client for Ling & Co. The firm does not have any previous experience of auditing ABC Enterprises Ltd and so will be unfamiliar with its transactions, balances and accounting policies. This increases detection risk (the risk that the auditor's procedures will fail to detect a material misstatement).	Ensure the team is comprised of members who have appropriate skill and experience to audit ABC Enterprises Ltd. Ensure the team has sufficient time available to acquire detailed knowledge and understanding of the client, its industry and the internal control environment.
2. During the year the company has completed a large refurbishment programme and there has been a significant value of additions to property, plant and equipment during the year. There is a risk that some of the capitalised expenditure may be of a revenue nature, hence a risk that non-current assets and profit are both overstated.	Obtain a detailed breakdown of items capitalised during the year and review the breakdown, ensuring that the expenditure meets the recognition criteria in HKAS 16 <i>Property, Plant and Equipment</i>.
3. The finance director has said that supplier statement reconciliations need not be completed at year-end due to staff training requirements. There is a risk that trade payables may contain errors, resulting in a misstated year-end balance.	Request that supplier statement reconciliations be performed or set time aside for an audit team member to carry out supplier statement reconciliations on material suppliers to ensure that the year-end trade payables balance is not misstated.
4. A former branch manager was dismissed during the year and he has brought a case of unfair dismissal against the company. The lawyers have confirmed that the outcome of the case is uncertain and the sum claimed is material. There is a risk that the financial statements fail to adequately disclose the contingent liability in accordance with HKAS 37 <i>Provisions, Contingent Liabilities and Contingent Assets</i>.	Review the financial statement disclosure in respect of the contingent liability and ensure that it complies with the requirements of HKAS 37.

Audit risk	Auditor's response
5. During the year the company raised finance by taking out a five-year bank loan. There is a risk that the loan has not been correctly split between current and non-current liabilities, resulting in under- or overstated current and non-current liabilities.	Obtain the loan balance breakdown at year-end and review the split of the loan, ensuring it has been correctly allocated between current and non-current liabilities in the balance sheet.
6. The company has pledged one of its buildings as security for the bank loan. Assets pledged as security should be disclosed in the financial statements and there is a risk that the disclosure has either not been made or is inadequate.	Obtain details of the security and agree this with the disclosures in the financial statements ensuring it complies with the <i>Companies Ordinance</i> (Cap.622) requirements.

QUESTION 4

(a) Balance sheet approach to auditing

The balance sheet approach to auditing involves the auditor focusing substantive procedures on the accounts in the statement of financial position with only limited procedures being applied over the statement of profit or loss and other comprehensive income.

(b) Two advantages and two disadvantages

Advantages

- The focus is on the statement of financial position, hence little attention is devoted to the statement of profit or loss and other comprehensive income, resulting in a time saving on the audit.
- Audit evidence can usually be sufficient and appropriate where all the assertions for account balances are appropriately tested.

Disadvantages

- Statement of profit or loss and other comprehensive income line items may still be misclassified due to netting off, which may not be discovered by the balance sheet approach to auditing.
- Fraud risk factors are higher as the balance sheet approach does not generally address the risk of theft or fraudulent financial reporting.

QUESTION 5

(a) Auditor's responsibilities for fraud

According to HKSA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*, the auditor's responsibilities are to:

- Identify and assess the risks of material misstatement of the financial statements due to fraud.
- Obtain sufficient and appropriate audit evidence regarding the assessed risk of material misstatement due to fraud, through designing and implementing appropriate responses.
- Respond appropriately to fraud or suspected fraud identified during the audit.

(b) Fraud risk factors (any FIVE of the following)

- Pressure placed on management to achieve a profit-related bonus.
- Weak or ineffective internal controls.
- High-value inventory or a high level of cash kept on the premises.
- Loan covenants, which, if breached, would cause company debt to become immediately repayable.
- A dominant individual in a managerial position.
- Disgruntled employees with access to significant assets.
- Missing or 'doctored' documents.
- Poor maintenance of accounting records.
- Employee awareness of future redundancies or restructuring plans.
- Employees not taking holiday entitlement.

(c) Professional scepticism

Professional scepticism is an attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of evidence.

It is important that the auditor maintains professional scepticism because this will enable the auditor to recognise that there is always a possibility that the financial statements contain a material misstatement due to fraud. Maintaining a questioning mind will enable the auditor to question management's explanations and judgements, as well as critically appraising areas of the financial statements which involve significant management judgement or estimation. Maintaining a questioning mind will also enable the auditor to question why certain figures are higher or lower than the previous year, or why certain disclosures have, or have not, been made and therefore devise procedures to address the fraud risk factors.

QUESTION 6

HKFRS 16 is effective for annual periods beginning on or after 1 January 2019. This may be the first time for the client to adopt this new accounting standard since HML was incorporated in January 2020.

Several assumptions are required for lease accounting, and these assumptions can generate a substantial difference in the initial right-of-use asset and lease liability. Examples of these key assumptions include reasonably certain assumptions regarding the exercise of options, establishing an incremental borrowing rate and estimates for consumer price index.

Due to the existence of assumptions involved in the accounting of leases, the inherent risk of misstatement is high.

4

Audit Planning II

CHAPTER TOPIC LIST

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- 4.5.5 Ratio Analysis
- 4.5.6 Factors to Consider when Conducting Analytical Procedures

4.6 Designing the Audit Programme

- 4.6.1** Audit Responses to Address Risks of Material Misstatements
- 4.6.2** Risks at the Financial Statement Level
- 4.6.3** Overview of Types of Audit Evidence

4.7 Using the Work of Others

- 4.7.1** Determining the Need to Use an Expert
- 4.7.2** Determining the Scope of Work to be Carried Out

- 4.7.3** Assessing the Competence, Capability and Objectivity of the Expert

- 4.7.4** Evaluating the Adequacy of the Expert's Work

- 4.7.5** Using the Work of Internal Auditors

- 4.7.6** Responsibility for the Conclusion

4.8 Finalising the Audit Programme

LEARNING OUTCOMES

PRINCIPAL LO3: EXPLAIN AND ANALYSE AUDIT APPROACH AND PLANNING

LO3.03: Explain and analyse the relationship between risks assessment, inherent risk, control risk, and audit approach

3.03.01 Explain and analyse the impact of risks on the financial statements and determine the audit approach by:

- define business risk and inherent risk, and explain their differences
- identify inherent risks (including risks associated with IT security) based on the understanding of the entity's operation and environment
- define control risk
- analyse the internal control system of an entity and identify control risks based on the understanding of the entity's operation and environment
- define detection risk and explain its relationship with inherent risk and control risk
- identify the affected components and assertions relating to those identified inherent and control risks

3.03.02 Determine appropriate audit approach (i.e. combined or substantive approach, including risks associated with IT security), based on the identified inherent and control risks

LO3.05: Demonstrate how to prepare the overall audit plan and audit programme

3.05.02 Demonstrate an understanding of the following types of audit tests:

- procedures to obtain an understanding of internal controls
- evaluation and validation of controls
- substantive tests of transactions: analytical procedures and tests of details of balances (including data analytics)

3.05.03 Determine the design of an audit programme

3.05.04 Explain the relationships between 'types of tests' and 'types of evidence', and the relationships between each type of tests

3.05.05 Explain and analyse evidence mix and how it should be varied in different circumstances

LO3.09: Determine the issues under the requirement of sufficient and appropriate audit evidence

3.09.01 Analyse the nature of audit evidence and its impact on an audit

3.09.02 Describe the decisions that an auditor must make to prepare an audit programme for obtaining audit evidence

3.09.03 Describe the factors affecting the persuasiveness of audit evidence, including relevance, competence, reliability, sufficiency and timeliness

3.09.04 Explain the procedures for obtaining audit evidence

3.09.05 Demonstrate an understanding of the nature and purposes of analytical procedures (including big data analytics) in different stages of the audit process

3.09.06 Apply analytical procedures on financial data

LO3.10: Describe the use of work of others

- 3.10.01** Explain why an auditor relies on the work of others
- 3.10.02** Describe and explain the major considerations in using the work of others
- 3.10.03** Explain the extent to which external auditors are able to rely on the work of others
- 3.10.04** Explain the extent to which reference to the work of others can be made in an auditor's report

PRINCIPAL LO4: APPLY AUDIT PROCEDURES TO AN AUDIT
LO4.01: Analyse the importance of audit planning and its documentation

- 4.01.03** Describe the appropriate information an auditor needs to obtain about the client's legal obligations
- 4.01.04** Describe the nature and purposes of preliminary analytical procedures
- 4.01.05** Illustrate the importance of assessing the internal audit function of the client in planning the audit and developing audit approach
- 4.01.06** Describe the test of controls to obtain sufficient appropriate audit evidence for explaining the operating effectiveness of relevant controls
- 4.01.07** Identify and explain material classes of transactions, account balances and disclosures by considering both qualitative and quantitative factors

LO4.02: Illustrate the relationship between materiality and risk

- 4.02.01** Explain the concept of materiality and revision to materiality in an audit
- 4.02.02** Explain materiality levels of financial information
- 4.02.03** Illustrate how to apply preliminary judgment about materiality in audit planning
- 4.02.04** Illustrate how to apply materiality in evaluating audit findings
- 4.02.05** Illustrate how to identify and explain the risks of material misstatements at financial statement levels and assertion levels, including presumed fraud risks
- 4.02.06** Explain the impact of business risks on those identified risks of material misstatement
- 4.02.07** Explain the factors and considerations in identifying inherent risks (including risks associated with IT security)
- 4.02.08** Explain how materiality and risk are related and integrated into the audit process

LO4.04: Illustrate major actions involved during the completion of an audit

- 4.04.02** Describe the purpose and importance of obtaining confirmation letters



OPENING CASE

WAVER ENTERPRISES LTD

You are the audit senior of Pan & Co Certified Public Accountants dealing with the audit of Waver Enterprises Ltd, which is a private company and a manufacturer of disposable clothing with year-end 31 December 20X2. It operates from a large site in Kowloon Bay that comprises a manufacturing facility, warehouse and offices. Your firm was appointed as auditor to Waver Enterprises Ltd in September 20X2 and so this is the first year your firm has audited the company. You have held a planning meeting with the finance director, May Leung, and the notes from the meeting are as follows:

- The company has been established for several years and is a market leader in disposable clothing. Its customer base is widespread, with a number of large customers based in Hong Kong, Europe and Asia. Demand for its products has fallen in most markets, although the company still retains competitive advantage. The directors are concerned that if the fall in demand continues, this will have an impact on profitability. The company is also aware of a major competitor that has invested in robotic machinery which is capable of taking on more of the manufacturing processes that would otherwise have been carried out by human employees.
- The draft financial statements for the year ending 31 December 20X2 show pre-tax profit of HK\$15.1m and total assets of HK\$200m.
- During the year the company changed its accounting system, which proved quite problematic. The old and the new systems were not run in parallel and a significant amount of financial information had to be recreated in order to balance the major control accounts. In addition, the company entered into a forward foreign currency contract on 1 December 20X2 to purchase €300,000 at a forward contract rate of €1:HK\$8.50 on 31 March 20X3. This is the first time the company has entered into a forward contract.
- The prior year auditor's report was qualified due to insufficient audit evidence. The Basis for Qualified Opinion paragraph states that the previous audit firm disagreed with the accounting treatment adopted by the directors in respect of development expenditure. A material amount of development expenditure for a new range of disposable clothing had been recognised in the 31 December 20X1 financial statements but in the previous auditor's opinion, this expenditure was research expenditure and hence should have been written off to the statement of profit or loss as opposed to capitalised on the statement of financial position.
- In September 20X2, the company outsourced its payroll function to a service provider, QACT Payroll Ltd (QACT), which retains all the company's payroll information. 



OVERVIEW

This chapter leads on from Chapter 3 but introduces more detail into the planning process. As noted in Chapter 3, the planning phase of the audit is a critical part of the engagement and must be carried out thoroughly in order to ensure that an efficient audit, carried out in accordance with the HKSA's, is completed.

In this chapter we will examine, among other things, the concept of materiality, how the auditor responds to the assessed risks of material misstatement within the financial statements, the types of audit evidence and when the auditor may rely on the work of third parties as sufficient and appropriate audit evidence.



4.1 AUDIT RISK

Audit risk is fundamental to the audit process because auditors are unable to check every transaction that makes up the financial statements, as this would be impossible due to time constraints. Hence, the auditor generally takes a risk-based approach to auditing. Traditionally, a risk-based approach minimises the chance of giving an inappropriate audit opinion and audits conducted in accordance with HKSA's must follow the risk-based approach, which should help to ensure that audit work is carried out efficiently using the most effective audit procedures based on the risk assessment.

Auditors must focus their attention on those areas of the financial statements where it is more likely that errors in transactions, balances and disclosures will lead to a material misstatement in the financial statements.

4.1.1 The Audit Risk Model and Its Components

It is important to understand the traditional audit risk model and its components. The audit risk model itself pre-dates HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement*. The audit risk model breaks down audit risk (which is the risk that the auditor expresses an incorrect opinion on the financial statements) into three components:

- inherent risk;
- control risk; and
- detection risk.

The above three components fit into the audit risk model as follows:

$$\text{Audit risk} = \text{Inherent risk} \times \text{Control risk} \times \text{Detection risk}$$

We will examine each of these individual components within this chapter.

4.1.1.1 Business Risk

HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement* defines 'business' risk as:

A risk resulting from significant conditions, events, circumstances, actions or inactions that could adversely affect an entity's ability to achieve its objectives and execute its strategies, or from the setting of inappropriate objectives and strategies.

HKSA 315
(Revised 2019)
para 12(b)

A business risk is something that causes a problem for a business which, in turn, causes a negative impact on operations, finance or even the longer-term future of the business. Business risks are often linked to inherent risk (see Section 4.1.1.2 below), which is itself a component of audit risk as you can see from the audit risk model in Section 4.1.1 above.

Business risks are often categorised as

- operational risks;
- financial risks; and
- compliance risks.

Operational risks are risks which relate to a failure in the organisation's operations. These risks will obviously be quite specific to the type of business and its strategy, but could include, for example, loss of key members of staff, running out of raw materials, loss of a major customer or a decline in market share.

Financial risks are risks which relate to financial issues, for example, failing to collect cash quickly enough from customers, difficulties in raising long-term finance, an increase in interest rates and adverse movements in foreign exchange rates.

Compliance risks are risks that occur when the organisation fails to comply with central laws and regulations which apply to it. For example, failing to comply with employment law, tax legislation, environmental regulations and data protection regulations.

In order to understand an entity's business risk, one must understand its business model, objectives and strategy. Business risks are closely related to an entity's business model and the strategic decisions it must make. For example, consider two retailer businesses that sell furniture. One sells through physical stores and the other sells only online through its retail website. While both companies are in a similar sector, they have very different business models and strategies, so they face very different risks.

HKSA
315.A61

While it is important for auditors to understand an entity's broad business model, it is not necessary for them to be able to identify or analyse all types of business risk. Auditors should focus on those risks that can lead to risks of material misstatement on the financial statements, which are a narrower type of business risk. Such risks can be related to:

HKSA
315.A62

- Strategy, including misaligned or inappropriate business objectives or strategies; ineffective strategic execution; improper change or complexity.
- Need for change, including new products/services that fail; a market that fails to support a new offering; legal liability or reputational risk arising from faulty products or services.
- Management pressures, including management bias resulting from incentives or pressures on management; unreasonable assumptions; poor governance.

HKSA
315.A63

When considering business risk, an auditor may take into account the following, which can result in a risk of material misstatement of the financial statements:

- Personnel or management unprepared to face industry changes.
- New products or services that may lead to increased product liability.
- Inaccurate estimation of demand.
- New accounting requirements where there has been incomplete or improper implementation.
- Legal exposure due to failure to comply with regulatory requirements.
- Inability to secure financing; loss of financing.
- IT systems that impact operations and financial reporting.
- New accounting requirements that arise from strategy implementation.

HKSA
315.A64

Key Learning Point

Business risk is not the same as audit risk. Business risks can give rise to audit risks, but the auditor needs to be clear that when obtaining an understanding of how an organisation manages its business risk, this is not the same as evaluating audit risk. Some business risks have no impact at all on the financial statements and hence they are outside the scope of the audit.

Exhibit 4.1 outlines some examples of business objectives which Waver Enterprises Ltd has in place and how business risk may impact on these objectives.

Business objective	Business risk
Waver Enterprises' management wish to maximise profit as far as possible.	Suppliers increase their prices, which increases production costs.
Management wish to maintain liquidity.	Customers take longer to pay, or the credit control function is not as effective as it should be.
Waver Enterprises wants to be known for its high level of customer satisfaction.	Problems arise in the quality of output due to the purchase of inferior-quality components.
The organisation wishes to innovate product lines.	There is a lack of investment in research and development.
Key members of staff are retained.	Competitors 'steal' staff by offering higher remuneration packages or Waver Enterprises fails to keep pay rates in line with market rates.
Management wish to maintain the reputation of the company to keep its market share.	Adverse publicity occurs due to the company's actions or inactions.

► EXHIBIT 4.1 Business objectives and business risks

Business risks are not necessarily unfavourable. The majority of organisations wish to maximise wealth for shareholders and hence accept risk in order to grow and achieve their strategic objectives. However, the risk needs to be carefully managed in order to ensure that risk-taking is not excessive, because this can lead to a decline in wealth.

It is important to understand that business risk is broader than the risk of material misstatement of the financial statements, although it does include the latter. Examples of matters that the auditor may consider when obtaining an understanding of the entity's objectives, strategies and related business risks that could result in a risk of material misstatement include:

- Industry developments – a potential related business risk may be, for example, that the entity does not have the personnel or expertise to deal with changes in the industry.

For example, a new regulation that is introduced will require someone with expertise in dealing with such changes to implement it. If the regulation is not implemented, or is implemented incorrectly, this will mean the entity is in breach of laws and regulations. This could result in fines and penalties being levied by the relevant authority, which may need to be provided for in the financial statements if the recognition criteria in *Provisions, Contingent Liabilities and Contingent Assets* is met. If such fines and penalties are not provided for, liabilities in the statement of financial position will be understated, as will expenses in the statement of profit or loss.

- New products and services – a potential related business risk might be, for example, that there is increased product liability.

For example, when an entity launches a new product into the market, it may contain faults or bugs if the product is not properly tested prior to launch. This could mean the entity's product return rate increases. This will affect revenue (as revenue will be lower) and profit (which will also be lower due to returns). Warranty provisions in the statement of financial position may also need to be higher (affecting the entity's net assets position and corresponding reduction in profit) where return rates are high.

- Expansion of the business – a potential related business risk might be, for example, that the demand has not been accurately estimated.

A high demand rate for the entity's goods/services may mean the entity cannot cope with the demand and fails to satisfy customers' orders. This may impact on the reputation of the entity that may put future customers off buying goods or services from the business. This will impact on the entity's ability to make sales and generate additional profits as well as impacting on the cash inflows of the business.

Conversely, a low demand rate may mean that inventories become slow moving or obsolete. This could mean write-downs of inventory to net realisable value may be needed that impact on profit or loss and the statement of financial position.

- New accounting requirements – a potential related business risk might be, for example, incomplete or improper implementation, or increased costs.

Where a complex accounting standard is issued, there is a risk that it may be applied incorrectly, resulting in the financial statements becoming misleading. Profits or losses may be materially stated and there may also be a resulting misstatement in the statement of financial position as a result of the incorrect application.

There will also be associated costs at the entity level in understanding the detailed accounting and disclosure requirements to enable correct application of the standard.

- Regulatory requirements – a potential related business risk might be, for example, that there is increased legal exposure.

HKAS 37

For example, where the entity breaches tax legislation there is a risk that the tax authority may impose fines and penalties for the breach that need to be recognised in the statement of profit or loss and statement of financial position. These fines and penalties can be large, which may result in the company sustaining cash flow difficulties.

- Current and prospective financing arrangements – a potential related business risk might be, for example, the loss of financing due to the entity's inability to meet requirements.

If shareholders lose confidence in the entity, they may decide to withdraw their investment or invest further into the entity. This may also have an impact on the decisions of other lending institutions (such as banks), who may view the loss of confidence as being detrimental and hence may refuse to provide the entity with borrowings.

If the business is unable to secure adequate financing arrangements, there is likely to be a consequential impact on the going concern status of the business. This may result in the financial statements not being prepared on a going concern basis.

- Use of IT – a potential related business risk might be, for example, that systems and processes are incompatible or have an increase in cybersecurity risk.

Unreliable IT systems or systems that are not compatible with the entity's operating system are likely to result in increased costs for the business in correcting the deficiency. These costs may be very high, which impacts on the company's cash flow.

Also, if the entity's IT systems are not sufficiently protected (e.g. through 'Firewalls' or 'Malware' security) there is a risk that hackers may gain unauthorised access to the company's systems, which may cause the company a significant loss – particularly if banking systems are accessed. This will mean additional costs being incurred for the business, reduced levels of profit and a corresponding reduction in assets reported in the statement of financial position.

- The effects of implementing a strategy, particularly any effects that will lead to new accounting requirements – a potential related business risk might be, for example, incomplete or improper implementation.

For example, if the entity decides to go into research and development activities, a sound understanding of *Intangible Assets* will be required. This standard requires development costs to be recognised on the statement of financial position as intangible assets when the recognition criteria are met. If the provisions of HKAS 38 are not met then the financial statements will be misleading (expenses may be overstated and profit and assets understated).

HKAS 38

4.1.1.2 Inherent Risk

Inherent risk is a function of the risk of material misstatement. HKSA 200 *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Hong Kong Standards on Auditing* defines 'inherent risk' as:

The susceptibility of an assertion about a class of transaction, account balance or disclosure to a misstatement that could be material, either individually or when aggregated with other misstatements, before consideration of any related controls.

HKSA
200.13(n)(i)

Inherent risk is the risk of a material misstatement in the financial statements because of the nature of the entity or the nature of the item itself. The following are examples of how inherent risk can arise.

- An item(s) in the financial statements is subject to a complex accounting standard or complex accounting treatment. The inherent risk is that the accounting standard may not be understood properly.
- Inventory becomes obsolete very quickly due to the nature of the products which the entity manufactures. The inherent risk is that inventory will not be valued appropriately at the lower of cost and net realisable value in accordance with HKAS 2 *Inventories*.
- An accounting estimate that is subject to significant estimation uncertainty has been determined as being a significant risk, meaning that it may be on the upper end of the spectrum of inherent risk.

Apply and Analyse 1

Apply

During discussions with May Leung, it was noted that Waver Enterprises Ltd had entered into a forward foreign currency contract to buy €300,000 at a contracted rate of €1:HK\$8.50 on 31 March 20X3. May Leung confirmed that this was the first time the company had entered into such an arrangement with its bank and was unsure how to deal with the transaction in the financial statements, stating:

I was unsure about what to do with the forward foreign currency contract as I have never dealt with one of these before and nor has any of the accounting staff. We have recognised the forward contract on our statement of financial position and have accounted for the movement in the exchange rates through the statement of profit or loss. Please let me know if this accounting treatment is correct as I was in a rush and needed to provide the Board with the draft financial statements.

You have notified the audit engagement partner of this issue and he has asked you to document the inherent risk associated with the forward foreign currency contract.

Explain the inherent risk with May Leung's problem.

Analysis

Forward foreign currency contracts are accounted for under the provisions of HKFRS 9 *Financial Instruments*. HKFRS 9 is a complicated accounting standard and the inherent risk is that the forward contract will not be accounted for in accordance with the accounting standard, resulting in a misstatement in the financial statements.

The definition of 'inherent risk' makes reference to misstatements which arise *before* consideration of any related controls the entity may have over that risk. It may be the case that the forward foreign currency is accounted for correctly, but the auditor must factor this inherent risk in when carrying out the risk assessment at the planning stage and devise suitable audit procedures to reduce the risk of material misstatement to an acceptable level.

Cybersecurity

In today's modern business environment, the use of IT systems is commonplace. An increasing reliance on digital technology makes organisations more susceptible to cybersecurity risk.

'Cybersecurity' is concerned with protecting digital assets, including:

- networks;
- hardware;
- software; and
- information which is processed, stored or transported on an IT system.

The auditor must evaluate the extent of the company's automated controls as they relate to financial reporting, including general IT controls which are important to the effective operation of automated controls and the reliability of data and reports used in the audit which have been produced by the company.

In assessing the risks of material misstatement in the financial statements, the auditor must consider cybersecurity risk, including IT risks resulting from unauthorised access to the system. Where the auditor identifies a risk to cybersecurity (or discovers a material breach), the auditor would need to consider the impact on financial reporting, including disclosures.

4.1.1.3 Business Risk vs Inherent Risk

It is important to understand that both business risk and inherent risk have an impact on the audit, the audit risk model and the nature, timing and extent of audit procedures which the auditor will apply.

Neither risk can be eliminated in totality and neither is under the control of the auditor (only **detection risk** is under the control of the auditor – see Section 4.1.1.4). Business risk relates to the financial statements and affects overall audit risk. Inherent risk is included in the HKSAs and the audit risk model.

Exhibit 4.2 summarises the difference between business risk and inherent risk.

Business risk	Inherent risk
The uncertainty of the business making a profit or making a loss. Business risk is concerned with the occurrence of an event which will have a detrimental impact on the business as a whole.	The risk that the financial statements are materially misstated before the auditor considers any related controls; a function of the audit risk model.
Business risk should be reviewed continuously by management.	Inherent risk is only assessed at the time of the audit.
Business risks are identified by management.	Inherent risk is identified by the auditor.

► EXHIBIT 4.2 Business risk vs inherent risk

4.1.1.4 Control Risk

HKSA 200 defines 'control risk' as:

The risk that a misstatement that could occur in an assertion about a class of transactions, account balance or disclosure and that could be material, either individually or when aggregated with other misstatements, will not be prevented, or detected and corrected, on a timely basis by the entity's controls.

Control risk may be high because the entity's internal control systems may be ineffective. Essentially, control risk is the risk that the entity's internal control system will fail to prevent or detect and correct a material error or misstatement.

Apply and Analyse 2

Apply

During the year to 31 December 20X2, Waver Enterprises Ltd changed its accounting system but did not run the old and the new system in parallel. This resulted in a number of problems, meaning that certain financial information had to be recreated.

The audit engagement partner has asked you to draft the area of control risk in the audit planning notes, paying particular attention to the problems encountered when the entity changed its accounting system.

Describe the control risk present due to the change of accounting system during the year.

Analysis

The company's accounting system is a core tool used in the production of the entity's financial statements. Controls over the changeover from the old system to the new system were poor or did not exist. The company did not run the old system and the new system in parallel which, if they had done so, would have at least meant that the old system could have continued producing accurate reports until issues with the new system were resolved.

A significant amount of financial information had to be recreated in order to balance the major control accounts within the accounting system. In addition, control risk is high because there is also a risk that the opening balances from the old system have not been transferred correctly into the new system.

In light of these difficulties, the auditor should rely less on the controls over the transfer from the old to the new accounting system as they did not operate effectively and hence, increased the level of substantive testing over the transactions and balances affected. As control risk has been increased, detection risk is decreased because the auditor is relying less on the internal control system and has increased the level of substantive testing to be performed, which means that detection risk (the risk that the auditor's procedures fail to detect a material misstatement) is reduced.

Key Learning Point

Control risk is influenced by a number of factors, such as:

- The attitude of the directors, management and those charged with governance of an entity towards internal control. If management and those charged with governance have little regard for internal control systems, control risk is higher as the controls in place are likely to be ineffective, or certain key controls may not exist.
- The overall internal control environment and the capabilities of staff who maintain and operate them.

Key Learning Point (continued)

- The level of supervision within the business.
- The integrity of staff, management and those charged with governance.
- For the identified risks of material misstatement at the assertion level, the auditor is required to carry out a separate assessment of inherent risk and control risk. This separate assessment is needed so the auditor can respond appropriately to the assessed risks of material misstatement at the assertion level.

4.1.1.5 Detection Risk and the Relationship with Inherent Risk and Control Risk

HKSA 200 defines 'detection risk' as:

The risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a misstatement that exists and that could be material, either individually or when aggregated with other misstatements.

Detection risk is the only risk in the audit risk model which is under the control of the auditor and is not part of the risk of material misstatement. As noted in Section 5.2 (in Chapter 5), detection risk comprises 'sampling risk' and 'non-sampling risk'.

Sampling risk is the risk that the auditor's conclusion based on a sample is different from the conclusion that would be reached if the whole population were tested.

Non-sampling risk is the risk that the auditor's conclusion is inappropriate for any other reason, such as the application of inappropriate audit procedures or the misinterpretation of audit evidence.

Control risk is examined in Section 4.1.1.4 above.

Detection risk is the residual risk after the auditor takes into account inherent risk and control risk and the overall risk which the auditor is willing to accept.

There is an inverse relationship between detection risk and control risk. The auditor could conclude that the risk of material misstatement is low, which means that the auditor's assessment that the financial statements contain a material misstatement is low. In turn, this also means that the auditor is seeking to place reliance on the entity's internal control systems. If the risk of material misstatement is low, then detection risk becomes high because the auditor is seeking to place more reliance on an entity's internal control system and undertake less detailed substantive testing. Conversely, if the auditor concludes that an entity's internal control system cannot be relied upon and hence deems the risk of material misstatement to be high, then detection risk becomes low because the auditor will undertake more detailed substantive testing.

If inherent risk or control risk increase, the auditor must strengthen audit procedures in order to keep overall audit risk (the risk that the auditor expresses an incorrect opinion on the financial statements) to an acceptable level.

4.1.1.6 Risks of Material Misstatements at Assertions Level

Financial statement 'assertions' are claims made by an entity's management with regard to the financial statements.

HKSA
200.13(e)

The term 'assertions' is defined in HKSA 315 (Revised 2019) as:

'Representations, explicit or otherwise, with respect to the recognition, measurement, presentation and disclosure of information in the financial statements which are inherent in management representing that the financial statements are prepared in accordance with the applicable financial reporting framework. Assertions are used by the auditor to consider the different types of potential misstatements that may occur when identifying, assessing and responding to the risks of material misstatement.'

HKSA 315
(Revised 2019),
para 12(a)

Why the auditor obtains an understanding of the entity's business model

Understanding the entity's objectives, strategy and business model helps the auditor to understand the entity at a strategic level and to understand the business risks the entity takes and faces. An understanding of the business risks that have an effect on the financial statements assists the auditor in identifying risks of material misstatement, since most business risks will eventually have financial consequences and, therefore, an effect on the financial statements.

Examples:

An entity's business model may rely on the use of IT in different ways:

- The entity sells shoes from a physical store and uses an advanced stock and point of sale system to record the selling of shoes; or
- The entity sells shoes online so that all sales transactions are processed in an IT environment, including initiation of the transactions through a website.

HKSA 315
(Revised 2019),
para A61

For both of these entities the business risks arising from a significantly different business model would be substantially different, notwithstanding both entities sell shoes.

Understanding the entity's business model

Not all aspects of the business model are relevant to the auditor's understanding. Business risks are broader than the risks of material misstatement of the financial statements, although business risks include the latter. The auditor does not have a responsibility to understand or identify all business risks because not all business risks give rise to risks of material misstatement.

HKSA 315
(Revised 2019),
para A62

Business risks increasing the susceptibility to risks of material misstatement may arise from:

- Inappropriate objectives or strategies, ineffective execution of strategies, or change or complexity.
- A failure to recognise the need for change may also give rise to business risk, for example, from:
 - The development of new products or services that may fail;
 - A market which, even if successfully developed, is inadequate to support a product or service; or
 - Flaws in a product or service that may result in a legal liability and reputational risk.

HKSA 315
(Revised 2019),
para A63

- Incentives and pressures on management, which may result in intentional or unintentional management bias, and therefore affect the reasonableness of significant assumptions and the expectations of management or those charged with governance.

Examples of matters that the auditor may consider when obtaining an understanding of the entity's business model, objectives, strategies and related business risks that may result in a risk of material misstatement of the financial statements include:

- Industry developments, such as the lack of personnel or expertise to deal with the changes in the industry;
- New products and services that may lead to increased product liability;
- Expansion of the entity's business, and demand that has not been accurately estimated;
- New accounting requirements where there has been incomplete or improper implementation;
- Regulatory requirements resulting in increased legal exposure;
- Current and prospective financing requirements, such as loss of financing due to the entity's inability to meet requirements;
- Use of IT, such as the implementation of a new IT system that will affect both operations and financial reporting; or
- The effects of implementing a strategy, particularly any effects that will lead to new accounting requirements.

HKSA 315
(Revised 2019),
para A64

Management may 'assert' that they own certain non-current assets by capitalising on the statement of financial position. The auditor will therefore test this 'rights and obligation' assertion by tracing the asset to a purchase invoice and checking that the purchase invoice is in the name of the company. For land and buildings, the auditor would test rights and obligations by tracing ownership to title deeds.

Risks of material misstatement at the financial statement level are those risks which can cause the financial statements *as a whole* to be materially misstated, for example, due to fraud. Fraud risk factors must be considered by the auditor as these can lead to material misstatement at the financial statement level. However, just because the auditor concludes a fraud risk factor is present, this does not necessarily mean that a fraud has occurred; it is just that there is a higher risk of fraud occurring due to the fraud risk factor. Examples of fraud risk factors include:

- incentives, pressures and opportunities;
- fraudulent financial reporting;
- weak internal controls (e.g. a lack of segregation of duties);
- risk of management override of internal controls;
- toleration of petty theft;
- corruption; and
- dissatisfied employees.

During the planning phase of the audit, the auditor must obtain a thorough understanding of the entity and its environment, recognising that there is a risk that the financial statements as a whole could be materially misstated.

In addition to the risk of material misstatement at the financial statement level, there is a risk of material misstatement at the assertion level also. As noted above, financial statement 'assertions' are claims by management in the financial statements. Risks of material misstatement at the assertion level are subdivided into **inherent risk** and **control risk**. Inherent risk is the susceptibility of an assertion to a misstatement because of fraud or error *before* consideration of any related controls. **Control risk** is the risk of misstatement which will not be prevented or detected by a reporting entity's internal controls.

The auditor will use **risk assessment procedures** to assess the risks of material misstatement. Risk assessment procedures should include inquiries of management and other relevant individuals, analytical procedures, observation and inquiry. The auditors' risk assessment will then be used to influence the audit procedures they devise when developing the detailed audit plan.

Key Learning Point

Where a risk is identified as a **significant risk**, the relevant controls (including the control activities) must be understood. If the auditor plans to rely on controls over a significant risk, the controls must be tested in the current period and substantive procedures must be performed in response to the significant risks at the assertion level.

The financial statement assertions themselves are split as follows:

- Assertions about classes of transactions and events and related disclosures;
- Assertions about account balances, and related disclosures; and
- Assertions about disclosures.

Assertions About Classes of Transactions and Events, and Related Disclosures

According to HKSA 315 (Revised 2019), there are six assertions related to classes of transactions and events, and related disclosures, as shown in Exhibit 4.3.

Occurrence	Transactions and events that have been recorded or disclosed, have occurred, and such transactions and events pertain to the entity.
Completeness	All transactions and events that should have been recorded have been recorded, and all related disclosures that should have been included in the financial statements have been included.
Accuracy	Amounts and other data relating to recorded transactions and events have been recorded appropriately, and related disclosures have been appropriately measured and described.
Cutoff	Transactions and events have been recorded in the correct accounting period.
Classification	Transactions and events have been recorded in the proper accounts.
Presentation	Transactions and events are appropriately aggregated or disaggregated and clearly described, and related disclosures are relevant and understandable in the context of the requirements of the applicable financial reporting framework.

► **EXHIBIT 4.3** Assertions about classes of transactions and events, and related disclosures

Assertions About Account Balances, and Related Disclosures

HKSA 315 (Revised 2019) states that there are six assertions about account balances, and related disclosures at the period end, as shown in Exhibit 4.4.

Existence	Assets, liabilities and equity interests exist.
Rights and obligations	The entity holds or controls the rights to assets, and liabilities are the obligations of the entity.
Completeness	All assets, liabilities and equity interests that should have been recorded have been recorded, and all related disclosures that should have been included in the financial statements have been included.
Accuracy, valuation and allocation	Assets, liabilities and equity interests have been included in the financial statements at appropriate amounts and any resulting valuation or allocation adjustments have been appropriately recorded, and related disclosures have been appropriately measured and described.
Classification	Assets, liabilities and equity interests have been recorded in the proper accounts.
Presentation	Assets, liabilities and equity interests are appropriately aggregated or disaggregated and clearly described, and related disclosures are relevant and understandable in the context of the requirements of the applicable financial reporting framework.

HKSA 315
(Revised 2019)
para A190(b)

► EXHIBIT 4.4 Assertions about account balances, and related disclosures

Assertions About Disclosures

HKSA 315 (Revised 2019) states that assertions described above in Exhibits 4.3 and 4.4, adapted as appropriate, may also be used by the auditor in considering the different types of potential misstatements that may occur in disclosures not directly related to recorded classes of transactions, events or account balances.

When testing assertions about disclosures, the auditor may use a disclosure checklist to ensure the disclosures are complete and conform to accounting standards and the requirements of the *Companies Ordinance* (Cap.622). It is important that the checklist is up-to-date for any developments or changes in accounting standards that impact on disclosures.

Legal Obligations

A principal risk which the auditor must be concerned with is the risk that the client has not complied with its obligations under laws and regulations. It is management that is responsible for ensuring that the business complies with its relevant laws and regulations. Therefore, management must ensure that they monitor legal requirements carefully and implement appropriate internal controls to ensure compliance with those legal requirements.

HKSA 250 (Revised) *Consideration of Laws and Regulations in an Audit of Financial Statements* requires the auditor to:

- Obtain a general understanding of the client's overall legal and regulatory environment.
- Inspect correspondence with relevant licensing and regulatory authorities.
- Enquire of management and those charged with governance as to whether the entity is compliant with its laws and regulations.

- Remain alert to the possibility that the entity has not been compliant with laws and regulations, such as reading Board minutes and making relevant inquiries of lawyers and through substantive procedures.
- Obtain written representations from the management that they have disclosed all known instances of possible non-compliance to the auditor.

Key Learning Point

The auditor must obtain an understanding of the entity's laws and regulations because some laws and regulations may have a **direct** effect on the financial statements (i.e. they affect the amounts and disclosures in the financial statements), whereas others will have an **indirect** effect (i.e. they may not necessarily affect the amounts and disclosures in the financial statements).

Examples of laws and regulations which have a **direct** effect on the financial statements include:

- Hong Kong Financial Reporting Standards;
- Companies Ordinance (Cap.622); and
- taxation legislation.

Examples of laws and regulations which have an **indirect** effect on the financial statements include:

- environmental legislation;
- employment legislation; and
- health and safety legislation.

Non-compliance with laws and regulations can impact the financial statements because if the company is in breach of a law or regulation, they can receive a fine or penalty or be required to pay costs and damages. In some more serious cases, this can potentially affect the going concern basis of the entity. In addition, the auditor may need to report any non-compliance with laws and regulations to regulatory bodies if the issue requires such action to be taken.

4.1.1.7 Audit Approach and Development of Audit Procedures

Depending on the risks of material misstatement, the auditor may decide to place reliance on the entity's internal control environment. This does not mean, however, that auditors do not have to do any detailed substantive testing because they do – auditors cannot just place 100% reliance on the control environment, but they can use reliance on the internal controls to *reduce* the level of substantive testing they do.

Alternatively, the auditor may choose not to place reliance on the entity's internal control environment and carry out more detailed substantive testing. The auditor may choose a more substantive approach to reduce detection risk.

Evaluating the Internal Audit Function

Many entities have an internal audit function. An internal audit department forms part of the client's system of internal control. If the client has an effective internal audit function, this can help in reducing control risk and can also help the auditors by reducing the level of detailed substantive testing they may be required to do. The types of work which the external auditor may wish to place reliance on where the internal audit function is concerned include:

- tests of controls;
- risk assessment;
- fraud investigations; and
- compliance with laws and regulations.

The auditor cannot simply rely on an internal function just because the entity has one. It is important that the auditor assesses the internal audit function in planning the audit and developing the audit approach. This will include an assessment by the external auditor of:

- the extent to which the internal audit function's organisational status and relevant policies and procedures support the objectivity of the internal auditors;
- the competence of the internal audit function; and
- whether the internal audit function applies a systematic and disciplined approach (including having regard to quality control).

When planning the audit, the external auditor will also wish to review the work of the internal audit function. This will help the external auditor to evaluate whether:

- the work carried out by internal audit was properly planned, performed, supervised, reviewed and documented;
- sufficient and appropriate audit evidence has been obtained;
- the conclusions reached are appropriate in the entity's circumstances; and
- the reports prepared are consistent with the work performed.

The external auditor will need to reperform some of the procedures carried out by internal audit to assess whether the conclusions reached by internal audit are the same as those which would be reached by the external auditor. In addition, the extent of the work performed on the internal audit function will depend on the amount of judgement involved and the risk of material misstatement in that particular area.

When reviewing and reperforming some of the work of the internal auditor, the external auditor must consider whether their initial expectation of using the work of the entity's internal audit function is still appropriate.

Apply and Analyse 3

Apply

In Waver Enterprises Ltd, the prior year's auditor's report was qualified by the predecessor audit firm on the grounds that the company had inappropriately capitalised a material amount of research expenditure in contravention of HKAS 38 *Intangible Assets*, since HKAS 38 requires research expenditure to be expensed to the statement of profit or loss when it is incurred.

The audit engagement partner has asked that you pay careful attention to this issue in the audit for the year ending 31 December 20X2, as the draft financial statements show a further material amount of additions to intangible assets in the form of development expenditure.

Describe the audit approach that you should adopt in the area of intangible assets.

Analysis

The risk of material misstatements of intangible assets would be judged to be high on the grounds that the previous year's auditor's report was qualified for a material misstatement of intangible assets. The auditor should not place reliance on the controls over the area of intangible assets because they do not appear to be operating effectively, or management may be deliberately overstating the value of intangible assets in order to boost profitability and the financial position presented in the statement of financial position.

The audit approach over the area of intangible assets should be substantive. Substantive procedures (tests of detail) should be applied over the intangible assets and careful attention paid to the stage in the development process to ensure that only development expenditure is capitalised in accordance with HKAS 38, and not research expenditure.

Once the audit approach has been developed, the auditor will then design audit procedures to test the financial statement assertions. Hence, the first step is to identify the assertion that needs to be tested.

Exhibit 4.5 provides an overview of the financial statement assertions described in Section 4.1.1.6.

Transactions and events	Account balances at year-end	Presentation and disclosure
Occurrence	Existence	Occurrence and rights and obligations
Completeness	Rights and obligations	Completeness
Accuracy	Completeness	Classification
Cut-off	Valuation and allocation	Accuracy and valuation
Classification		

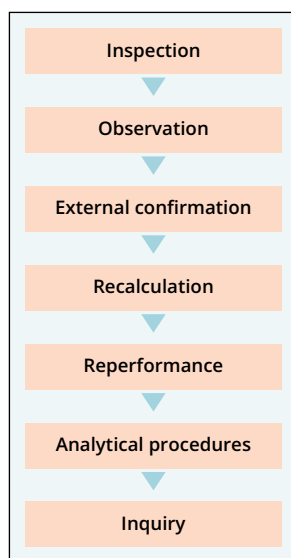
► **EXHIBIT 4.5** Overview of assertions to be tested by the auditor

Once it has been established which assertion is to be tested by the auditor, the auditor can then devise the audit procedures.

Audit procedures are the means by which the auditor gathers sufficient and appropriate audit evidence. Audit evidence is obtained by performing:

1. risk assessment procedures
2. further audit procedures, comprising:
 - (a) tests of controls, when required by the HKSA's or when the auditor has chosen to do so; and
 - (b) substantive procedures, including tests of detail and substantive analytical procedures.

HKSA 500 recognises seven procedures which the auditor can use to gather sufficient appropriate audit evidence:



Inspection

Inspection involves examining records or documents, both internal and external, in paper form or electronic form, or other media, or the physical inspection of an asset.

Inspection of documents and records may provide the auditor with:

- evidence of rights and obligations (e.g. inspecting a purchase invoice for a non-current asset which is in the name of the company);
- evidence that a control is operating (e.g. a purchase invoice is stamped 'paid' or authorised for payment by a responsible official);

- evidence concerning cut-off (e.g. dates on invoices, despatch notes, etc.); and
- confirmation of sales values and purchases costs.

Inspection of assets (e.g. tangible non-current assets) may provide the auditor with:

- evidence that the asset exists; and
- evidence of valuation (e.g. evidence of damage indicating impairment).

However, be aware that the inspection of an asset may not provide reliable audit evidence about the rights and obligations assertion over the respective asset. Testing one assertion does not necessarily provide evidence over other assertions.

Observation

Observation consists of looking at a process or procedure being performed by others, such as the auditor's observation of the inventory count or the performance of controls.

Observation may provide the auditor with:

- evidence that a control is being operated (e.g. segregation of duties between the warehouse department and the purchase ordering department); and
- evidence that the control is being operated effectively (e.g. attendance at the year-end inventory count may provide evidence that the count was carried out effectively).

A limitation of observation is that it may only provide evidence to the auditor that the control being observed was operating properly at the time of the observation. The auditor's presence may have had an influence on the operation of the control.

External Confirmation

An external confirmation represents audit evidence obtained by the auditor as a direct written response to the auditor from a third party, in paper form, or by electronic or other medium. An example of an external confirmation is the bank confirmation letter (bank audit letter) which is sent directly to the auditor after permission has been granted from the audit client.

External confirmations are relevant when addressing assertions associated with certain balances and their elements. Examples include:

- confirmation of receivables;
- confirmation of payables (where supplier statements are not available);
- confirmation of actual or potential penalties/damages from legal advisers; and
- confirmation of inventory held by third parties.

External confirmation may provide the auditor with evidence that balances exist (e.g. when a trade receivables confirmation is carried out). However, they may not necessarily give reliable evidence concerning the valuation assertion (e.g. customers may confirm receivable amounts but may be unable to pay in the future).

Illustrative Example 1

The audit senior is designing the audit programmes to be used in the audit of Waver Enterprises Ltd trade receivables. She has decided that a trade receivables confirmation is appropriate. A trade receivables confirmation is a letter transcribed onto Waver Enterprises' letter-headed notepaper asking the customer to confirm if the balance owed per Waver Enterprises' sales ledger at year-end 31 December 20X2 is in agreement with the balance on the customer's purchase ledger. If there are any differences between the two, the letter will request details of the reconciling items.

Example of a Trade Receivables Confirmation

Customer address

5 January 20X3

Dear Sirs

As part of their normal audit procedures, we have been requested by our auditor, Pan & Co, to ask you to confirm the balance on your account with us as at 31 December 20X2.

The balance on your account, as shown by our records, is HK\$XX,XXX. After comparing this with your records, would you kindly sign the confirmation below and return a copy of this letter to our auditor in the prepaid envelope enclosed. If the balance is not in agreement with your records, will you please note the items making up the difference in the space provided.

Please note this request is made for audit purposes only and is not a request for payment.

Yours faithfully

I Sou

Finance Director

Waver Enterprises Ltd

We confirm that, except as noted below, a balance of HK\$XX,XXX was owing to Waver Enterprises as at 31 December 20X2.

Details of differences:

The trade receivables confirmation letter is an example of an external confirmation because the auditor is obtaining directly from the client's customer confirmation of the balance owing on the sales ledger. The trade receivables confirmation can provide evidence over the existence and rights and obligations assertions but would not provide evidence over the valuation assertion (just because the customer may owe the money does not necessarily mean it will be paid – it could become an irrecoverable receivable).

Recalculation

Recalculation consists of checking the mathematical accuracy of documents or records. Recalculation may be performed electronically or manually.

Examples of recalculation include:

- recalculating the depreciation charge for the year;
- recalculating the profit and loss on disposal of non-current assets;
- recalculating statutory deductions from payroll;
- recalculating work in progress and finished goods valuations using payroll records for labour costs and utility bills for overhead absorption; and
- recalculating prepayments to confirm mathematical accuracy.

Reperformance

Reperformance involves the auditor's independent execution of procedures or controls that were originally performed as part of the entity's system of internal control.

Examples of reperformance include:

- reperforming the bank reconciliation to prove the year-end cash book balance;
- reperforming the ageing of receivables and payables using computer-assisted audit techniques (CAATs); and
- reperforming the employment tax control account to agree the amount owed to the tax authority at year-end.

Analytical Procedures

Analytical procedures consist of evaluations of financial information made by a study of plausible relationships between financial and non-financial data. Analytical procedures also encompass such investigation as is necessary of identified fluctuations or relationships that are consistent with other relevant information or that differ from expected values by a significant amount. There is a specific HKSA which provides guidance to auditors on analytical procedures: HKSA 520 *Analytical Procedures*.

The auditor is required to perform analytical procedures as risk assessment procedures in accordance with HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement*, which will be used at the planning stage of the audit in order to:

- assist in assessing the risks of material misstatement in order to provide a basis for designing and implementing responses to the assessed levels of risk;
- help identify the existence of unusual transactions or events, and amounts, ratios and trends which may indicate issues which have implications for the audit; and
- assist the auditor in identifying risks of material misstatement due to fraud.

Analytical procedures include comparisons of the entity's information with, for example:

- comparable information for the prior year;
- anticipated results such as budgets or forecasts;

- expectations of the auditor, such as an estimate of depreciation or the payroll expense in the statement of profit or loss; and
- similar industry information, such as a comparison of the entity's ratio of sales to trade receivables with industry averages or with other entities of comparable size in the same industry.

Analytical procedures also include consideration of relationships, such as:

- among elements of the financial information which would be expected to conform to a predictable pattern based on the entity's experience, for example gross profit margins; and
- between financial and non-financial information, such as payroll costs to the number of employees.

Key ratios used by the auditor when carrying out analytical procedures include:

Profitability ratios	Efficiency ratios	Liquidity ratios	Shareholders' return
• Gross profit margin • Net profit margin	• Receivables days • Payables days • Inventory days	• Current ratio • Quick ratio • Gearing ratio	• Return on capital employed

Ratio analysis is considered further in Section 4.5.5 below.

Inquiry

Inquiry involves seeking information from knowledgeable persons within the entity. This can include both management and other relevant individuals (e.g. the credit control supervisor).

It is important to emphasise that inquiry alone is insufficient, and the results of inquiries must be corroborated through other substantive audit procedures. This is because responses generated by an audit client are considered to be of low quality due to their inherent bias. However, inquiry can be useful in that it can corroborate the results of analytical procedures.

The auditor may also request that oral responses from the client are confirmed in a **written representation**, because they are part of overall inquiries.

4.1.2 Quantification of the Audit Risk Model

As seen earlier, the audit risk model is:

$$\text{Audit risk} = \text{Inherent risk} \times \text{Control risk} \times \text{Detection risk}$$

Audit risk may be considered as the product of the various risks which could be encountered during the audit. Audit risk is the risk that the auditor expresses an incorrect opinion on the financial statements and hence it is in the auditor's best interests to keep audit risk to a minimum.

Apply and Analyse 4

Apply

Waver Industries Ltd is operating in a market which is experiencing a fall in demand for its products and a major competitor has invested in robotic machinery which can carry out most of the manufacturing process.

The company does not have an internal audit department and control risk has been deemed high because the company has changed accounting systems during the year, which resulted in significant problems being encountered and various information having to be recreated in order to compile the financial statements. In addition, the prior year's auditor's report was qualified due to a disagreement by the predecessor auditor over the accounting treatment of research expenditure.

The audit engagement partner has said that he wishes to keep overall audit risk below 10%. He has assessed inherent risk and control risk to both be 70%.

Calculate detection risk based on the firm's policy that audit risk is not to exceed 10% and inherent risk and control risk are both assessed to be 70%.

Analysis

The audit planning section of the file must include workings showing the audit risk model incorporating the values calculated by the audit engagement partner as follows:

Audit risk	=	Inherent risk	×	Control risk	×	Detection risk
10%	=	70%	×	70%	×	?

If inherent risk and control risk are 70% each, detection risk has to be set to 20.4% in order to prevent overall audit risk from exceeding 10% as follows:

Audit risk	=	Inherent risk	×	Control risk	×	Detection risk
10%	=	70%	×	70%	×	20.4% ^a

^a $0.70 \times 0.70 = 0.49$; $0.10/0.49 = 0.204 = 20.4\%$.

► Knowledge Check Questions

Question 1

Identify which of the following risks relate to business risks.

- A** Control risk
- B** Financial risk
- C** Fraud risk
- D** Audit risk

► **Knowledge Check Questions (continued)**

Question 2

The audit junior is unsure what is meant by the term 'inherent risk'. Identify which of the following statements correctly describes inherent risk:

- A** It is the only risk under the control of the auditor.
- B** It is a risk of a material misstatement in the financial statements due to the nature of the entity and before consideration of any related controls.
- C** It is the risk that the internal controls will fail to detect and correct a misstatement in the financial statements.
- D** It is the risk that the auditor expresses an incorrect opinion on the financial statements.

Question 3

Identify which of the following are assertions about classes of transactions and events.

- (I) Rights and obligations
- (II) Completeness
- (III) Accuracy
- (IV) Existence
- (V) Valuation and allocation

- A** I and II
- B** II and III
- C** III and IV
- D** IV and V

Question 4

Identify which of the following is NOT a procedure to gather audit evidence according to HKSA 500 *Audit Evidence*:

- A** Inspection
- B** Reperformance
- C** Review
- D** Inquiry

Question 5

The audit junior has asked you to confirm which is the best ratio to calculate when assessing the liquidity of an entity. Identify which of the following is a liquidity ratio:

- A** Current ratio
- B** Receivables days
- C** Gross profit margin
- D** Return on capital employed

4.2 MATERIALITY OVERVIEW

HKSA 320 *Materiality in Planning and Performing an Audit* refers to **materiality** as follows:

HKSA
320.2

Misstatements, including omissions, are considered to be material if they, individually or in the aggregate, could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

If the financial statements contain a material misstatement, they cannot be deemed to show a true and fair view (or present fairly in all material respects).

The focus of the audit is identifying the significant risks of material misstatement in the financial statements and then designing audit procedures which aim to identify and quantify material misstatement.

Key Learning Point

Materiality is a matter of professional judgement and can be revised during the course of an audit. It is set at the planning stage of the audit based on the draft financial statements or other sources of financial information. If matters come to light during the audit which the auditor was not previously aware of, the auditor may choose to increase or decrease materiality levels as appropriate.

4.2.1 Material Classes of Transactions, Account Balances and Disclosures

Financial statements are split into transactions (items in the statement of profit or loss and other comprehensive income), account balances (items in the statement of financial position) and disclosures (items contained in the notes to the financial statements, including the entity's significant accounting policies).

A 'class' of transaction and account balance refers to the various categories in which the entity's transactions are divided. For example, expenditure may be classed as 'cost of sales', 'administration expenses' or 'other'. A 'class' of account balance will be 'non-current assets' and 'current assets', as well as 'current' and 'non-current' liabilities and equity balances.

The auditor is concerned with material classes of transactions, account balances and disclosures – although some immaterial classes of transactions, account balances and disclosures may be judged material further into the audit if materiality levels change.

Transactions include sales, purchases and wages paid during the accounting period.

Account balances include all the entity's assets, such as non-current assets, inventory and work in progress, receivables, prepayments and bank balances. They also include the entity's liabilities and equity.

Disclosures relate to the information shown in the notes to the financial statements, including the entity's significant accounting policies. Disclosures include the detailed breakdown

of amounts shown in the primary financial statements (the statement of profit or loss, statement of financial position, statement of changes in equity and statement of cash flows). Disclosures also include narrative disclosures such as related party disclosures, going concern disclosures and events after the end of the reporting period (subsequent events).

Key Learning Point

There is a link between classes of transactions and account balances because if the auditor carries out tests to confirm the **occurrence** of sales, this will also provide the auditor with assurance concerning the **existence** of receivables, although the auditor will also carry out additional audit procedures over the existence of receivables.

The auditor will be concerned with material classes of transactions, account balances and disclosures to ensure there is no material misstatement. Immaterial account balances and disclosures will not be a major concern of the auditor on the grounds of their immateriality, but that is not to say they can be forgotten about entirely during the course of the audit – immaterial transactions, balances and disclosures may become material if there are any revisions to materiality levels during the course of the audit.

4.2.2 Qualitative and Quantitative Factors for Materiality

Financial statements contain both numerical and narrative information. While the auditor's objective is to obtain sufficient appropriate audit evidence over the figures that appear in the financial statements (i.e. in the primary financial statements and in the notes), they are also concerned with ensuring that the narrative information relevant to the organisation's financial performance, financial position and cash flows is accurate.

Key Learning Point

There are two important factors to consider where materiality is concerned: whether an item is material by **size** or whether it is material by **nature**.

HKSA 320 recognises the need to establish a financial 'threshold' to guide audit planning and procedures. HKSA 320 does not prescribe a definitive calculation because materiality is down to the auditor's professional judgement. However, the following benchmarks may be useful as a starting point:

- 0.5% to 1% of revenue;
- 5% to 10% of profit before tax; and
- 1% to 2% of total assets (non-current assets plus current assets).

The above benchmarks are common but not definitive. Different audit firms may use different benchmarks or different thresholds for each client.

Illustrative Example 2

The draft financial statements of a company for the year ending 31 October 20X2 show the following:

	20X2 (draft) HK\$'000
Revenue	82,600
Profit before tax	6,200
Non-current assets	42,000
Current assets	55,000

Financial statement materiality has been determined at 1% of revenue, 5% of profit before tax and 2% of total assets.

During the audit, the audit senior discovers HK\$1.2m worth of additions to non-current assets which should be recognised as expenditure as they do not meet the recognition criteria for an asset per HKAS 16 *Property, Plant and Equipment*.

The misstatement represents 2.9% (1,200/42,000) of non-current assets and 19.4% (1,200/6,200) of profit before tax and hence is a material amount because it goes over the benchmarks of 2% of total assets and 5% of profit before tax. Management should be requested to correct the misstatement to avoid the auditor modifying the auditor's opinion due to disagreement with an accounting standard.

Key Learning Point

Where judgements against materiality are concerned, it is important that the auditor considers misstatements against the correct benchmarks. In the example above, the auditor compared the incorrectly capitalised expenditure against the benchmarks for total assets and profit before tax which is correct, as the misstatement would affect both the reported amounts. It would be inappropriate to compare such a misstatement against revenue, because the misstatement does not affect revenue. Likewise, if the auditor considers a provision for a liability to be appropriate which the entity has not recognised, the value of this provision will be compared against the benchmarks for profit before tax. It would be irrelevant to compare such a liability against total assets or revenue, because the provision would not affect such amounts.

Material by nature refers to the fact that materiality is not just concerned with the numerical aspects of the financial statements. Some items may be material by nature because of the impact they have on the financial statements. Examples of such items include:

- Misstatements that, when adjusted, would turn a reported profit into a loss.
- Misstatements that, when adjusted, would turn reported net assets into net liabilities or net current assets to net current liabilities.

- Transactions with directors, such as directors' remuneration and personal use of company assets.
- Material uncertainties related to going concern.
- Disclosures relating to potential future legal claims against the company.

The auditor will consider both **qualitative** and **quantitative** factors where materiality is concerned.

Apply and Analyse 5

Apply

During the audit of Waver Enterprises' non-current assets, the audit senior was reviewing sundry income accounts in the general ledger for any postings which may indicate that disposal of a non-current asset has been posted to the incorrect account in the accounting system.

The audit senior discovers a small round-sum amount with the narrative 'Disposal of motor vehicle' which should have been posted to the 'Profit and loss on disposal of assets' account in the accounting system. Upon further investigation, the audit senior discovers that the sale of the motor vehicle was to the director and that the car was sold to the director at a heavy discount. Materiality has been determined at 2% of total assets and the monetary amount of this transaction is immaterial when compared against total assets. There have not been any disclosures made in the financial statements concerning this transaction.

Explain the impact of this transaction for the purposes of materiality.

Analysis

While the transaction from a **quantitative** point of view is immaterial, it is material **by nature**. The reason is that the motor vehicle was sold to a director at a significant discount, which would imply that this transaction has not been carried out on an 'arm's length' basis. Such a transaction would need to be disclosed as a related party transaction in accordance with HKAS 24 (Revised) *Related Party Disclosures*. In addition, as the transaction is with a director, it would be regarded as material by nature.

If the directors do not make adequate disclosure about this transaction, it would mean the auditor would be required to modify the opinion due to a material disclosure being omitted from the financial statements.

4.2.3 Materiality and Audit Risk

Audit risk is the risk that the auditors express an incorrect opinion on the financial statements – for example by expressing an unmodified opinion when, in actual fact, they should have expressed a modified opinion. At all times of the audit, the auditor must aim to reduce audit risk to the lowest possible level.

If the auditor sets a high materiality level, fewer transactions will be subjected to audit procedures, which increases the level of audit risk. Conversely, if the auditor sets a lower

materiality level, this means that more transactions will be subjected to audit procedures, hence a greater amount of audit evidence is gathered which in turn reduces audit risk.

Auditors can increase or decrease materiality levels at any stage during the audit fieldwork where they find this appropriate. For example, auditors may decrease materiality because they find a misstatement, multiple misstatements, or additional risks of misstatements; this in turn reduces audit risk.

In the audit risk model, the only risk under the control of the auditor is detection risk. The auditor can reduce detection risk by modifying the nature, timing and extent of planned substantive procedures (i.e. increasing the level of audit work).

4.2.4 Performance Materiality

HKSA 320 defines '**performance materiality**' as:

... the amount or amounts set by the auditor at less than materiality for the financial statements as a whole to reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatements exceeds materiality for the financial statements as a whole. If applicable, performance materiality also refers to the amount or amounts set by the auditor at less than the materiality levels for particular classes of transactions, account balances or disclosures.

HKSA
320.9

In a lot of cases, it is unlikely that auditors will be able to design tests which identify material misstatements individually. It is much more common that misstatements are material when combined (i.e. in the aggregate). For this reason, HKSA 320 includes a concept of 'performance materiality'.

Performance materiality is a level of materiality which is set *lower* than financial statement materiality. This lower level of materiality is used when designing and performing audit procedures. For example, if performance materiality for trade receivables is HK\$160,000 then essentially all trade receivables over HK\$160,000 are included in the sample.

Performance materiality is a tool used by auditors to reduce the risk that they will fail to identify misstatements which become material when added together.

Apply and Analyse 6

Apply

During the audit planning of Waver Enterprises Ltd, the audit engagement team has determined a materiality level for the financial statements as a whole of HK\$990,000. The audit engagement partner has approved the financial statement materiality level but during the audit planning meeting with the engagement team, stated that work in progress is susceptible to a higher risk of material misstatement, particularly in light of the problems encountered during the year when the entity changed its accounting system. The engagement partner has asked you to arrive at an appropriate performance materiality level over Waver Enterprises' work-in-progress valuation.

Describe how performance materiality could be calculated for the work-in-progress valuation.

Apply and Analyse 6 (continued)

Analysis

Performance materiality could be determined as a percentage of financial statement materiality, for example 75% (i.e. a performance materiality of HK\$990,000 $\times$ 75% = HK\$742,500). However, the audit team could use a higher or lower percentage (or even use a different calculation), depending on their professional judgement.

The aim of performance materiality is to reduce the risk that the aggregate of immaterial misstatements exceeds materiality for the financial statements as a whole.

If, for example, a misstatement of HK\$800,000 was identified without performance materiality, the auditor would conclude that work in progress is not materially misstated. However, the auditor may not have detected further misstatements which, when added to the HK\$800,000 identified, would result in a material misstatement. In this case, the misstatement of HK\$800,000 is lower than the financial statement materiality of HK\$990,000. However, if there are other misstatements and the aggregate amount of these misstatements exceeds the materiality level, the auditors will conclude that the misstatements are material and the auditors would require the directors to correct the misstatement. This reduces the risk that the auditor expresses an incorrect opinion on the financial statements.

► Knowledge Check Questions

Question 6

HKSA 320 requires an auditor to establish materiality and performance materiality levels at the planning stage of the audit. Identify which of the following statements best describes materiality:

- A** It must be based on the statement of financial position.
- B** It is always based on 1% of revenue and 2% of total assets.
- C** It is always based on the monetary impact on the financial statements.
- D** It is based on the auditor's professional judgement using numeric benchmarks as a useful starting point.

Question 7

Identify which of the following statements best describes the relationship between materiality and audit risk:

- A** The higher the level of materiality, the higher the level of audit risk.
- B** The lower the level of materiality, the higher the level of audit risk.
- C** The higher the level of materiality, the lower the level of audit risk.
- D** There is no relationship between materiality and audit risk.

► **Knowledge Check Questions (continued)**

Question 8

The audit senior has found an irrecoverable debt when auditing receivables. Identify which of the following the receivable should be assessed against when assessing if the misstatement is material:

- A** Revenue and net assets.
- B** Revenue and gross assets.
- C** Profit before tax and net assets.
- D** Profit before tax and gross assets.

4.3 AUDIT STRATEGY

As part of audit planning, the auditor must develop an audit strategy. The audit strategy is developed before the audit plan and sets the scope, timing and direction of the audit. In determining the audit strategy, the auditor should:

- identify the characteristics of the engagement;
- ascertain the reporting objectives to plan the timing of the audit and the nature of communications;
- consider the significant factors and results of preliminary engagement activities that will direct the team's efforts; and
- ascertain the nature, timing and extent of resources necessary to perform the engagement.

Characteristics of the engagement

- the financial reporting framework to be applied (e.g. HKFRS);
- industry reporting;
- knowledge of the business;
- internal audit function;
- use of service organisations;
- whether the auditor will use computer-assisted audit techniques;
- timing of the audit work; and
- availability of client staff.

Reporting objectives

- timetable for reporting;
- communication with the client;

- communication among the audit engagement team; and
- communication with third parties.

Significant factors

- materiality;
- assessed risks of material misstatement;
- need for professional scepticism;
- internal controls of the client;
- significant developments affecting the entity;
- changes in laws and regulations; and
- changes to accounting standards.

Nature, timing and extent of resources

- selection of the audit team; and
- budget.

The audit strategy also allows the auditor to determine the following:

- the resources to deploy for specific audit areas;
- the amount of resources to allocate, such as the number of team members;
- when the resources are to be deployed; and
- how the resources are managed, directed and supervised, including the timings of meetings, debriefs and reviews.

The audit strategy can be seen as a 'high-level' approach to how the audit will be conducted. After the audit strategy has been developed, the audit plan is produced, which outlines how the auditor will gather sufficient appropriate audit evidence for each audit area. Audit evidence is gathered through tests of controls and substantive procedures, including substantive analytical procedures and tests of detail.

4.3.1 Tests of Controls

The auditor must assess the risk of material misstatement within the financial statements and to do this, the audit risk model will be brought into account. Remember that:

$$\text{Audit risk} = \text{Inherent risk} \times \text{Control risk} \times \text{Detection risk}$$

Internal controls referred to as the 'system of internal control' in HKSA 315 (Revised 2019) are a vital component of an organisation, because they are the mechanism designed by the client to prevent, detect and correct misstatements. Remember that such controls are not just there to prevent misstatements in the financial statements; they are also there to safeguard the assets of the company and are a requirement of good corporate governance.

If the internal control system is good, then control risk (the risk that a misstatement which could occur and be material is not prevented, or detected and corrected on a timely basis) is lower and this means that there is a lower risk of material misstatement in the financial statements.

In order to place reliance on the entity's internal controls, the auditor must:

- find out how the system functions;
- record the system in the audit working papers;
- carry out tests on the operation of the system;
- evaluate the design and how effective the company's operations are in the use of the control system; and
- find out the impact on the audit approach for a specific class of transaction, account balance or disclosure.

Key Learning Point

The focus of a test of control is not on the monetary amount of a transaction, and a test of control does not test the figure in the financial statements (this is the purpose of substantive procedures). A test of control provides evidence on whether a control procedure is operating correctly. A test of control provides *indirect* evidence over the financial statements and the auditor can assume that if the controls are working effectively, there is a lower risk of material misstatement in the financial statements.

If the control is judged to be ineffective, the auditor will not place reliance on it. There would be little to be achieved by relying on weak internal controls, because the risk of material misstatement will be higher. Where internal controls are ineffective or do not exist, the auditor will carry out more substantive procedures which aim to test for material misstatement at the assertion level.

4.3.2 Substantive Procedures

Substantive procedures are audit procedures designed to detect material misstatement at the assertion level. Substantive procedures consist of **tests of detail** and **analytical procedures**.

An auditor must carry out some substantive procedures even if a client's internal control environment is very good.

4.3.2.1 Substantive Analytical Procedures

'Analytical procedures' are dealt with in HKSA 520 *Analytical Procedures* and involve the evaluation of financial information through analysis of plausible relationships between financial and non-financial data.

Key Learning Point

An analytical procedure is used to assess the reasonableness of a figure. For example, if the auditor is auditing purchases, the percentage change in purchases from the prior year could be recalculated and compared to the current year's percentage change in revenue to see if they move in line with each other as expected. Any significant variations from the auditor's expectation would need to be investigated further.

Analytical procedures as substantive tests are used to identify trends and understand relationships between sets of data. Substantive analytical procedures in themselves do not detect misstatements but will identify possible sources of misstatements. As a consequence, substantive analytical procedures cannot be used in isolation; they are used with other forms of testing, such as inquiry, recalculation and reperformance.

The suitability of substantive analytical procedures depends on four factors as follows:

1. **The assertions being tested**

Substantive analytical procedures should be suitable for the assertion being tested (e.g. classification, rights and obligations, occurrence, etc.). Analytical procedures are generally unsuitable for testing inventories but are suitable for assessing the value of inventory in terms of the need for potential allowances against inventory (such as for slow-moving, obsolete or damaged inventory) which have been identified using the inventory holding period ratio.

Analytical procedures are suitable for testing balances which are likely to be predictable over time and hence relationships between the data can be used to identify fluctuations.

2. **Reliability of the data**

Where the auditor judges the controls over the financial data to be weak, there is a higher risk of misstatement and hence analytical procedures would be unsuitable as a basis for assessment.

3. **Degree of precision possible**

The auditor uses substantive analytical procedures as a high-level approach to test the balance as a whole. If the auditor requires a high degree of precision, then analytical procedures are unlikely to identify misstatements and hence would be unsuitable as a means of testing.

4. **The amount of variation which is acceptable**

The amount of variation which is acceptable between the expected figure and the actual figure will impact on whether substantive analytical procedures provide sufficient appropriate evidence. When the level of variation from actual is higher than the level of variation which is acceptable, further audit procedures will be necessary so as to make sure that the balance in the financial statements being audited is not materially misstated.

4.3.2.2 Tests of Detail

Tests of detail are used to verify individual transactions and balances.

A test of detail looks at the supporting evidence for an individual transaction. For example, the auditor may inspect a purchase invoice to verify the amount, date or classification of a specific purchase (such as a non-current asset). However, if there are, say, 20,000 purchase invoices recorded during the accounting period, this one test of detail will only provide evidence for one of those transactions.

4.3.3 Combined Approach

An auditor will generally use a combined approach of tests of controls and substantive procedures. Where tests of controls suggest that the client's internal control environment is operating effectively, then this usually means the auditor can carry out less detailed substantive testing. This results in audit efficiencies and means the auditor can spend more time auditing higher-risk areas of the financial statements.

However, if tests of controls suggest the internal control environment is weak, the auditor places less reliance on the controls and carries out more substantive testing.

Key Learning Point

The auditor must always carry out some substantive procedures on material items and carry out specific substantive procedures as required by HKSA 330 *The Auditor's Responses to Assessed Risks* including:

- agreeing the financial statements to the underlying accounting records;
- examining material journals; and
- examining other adjustments made in preparing the financial statements.

Apply and Analyse 7

Apply

In Waver Enterprises Ltd, the audit team has been informed that the company has changed its accounting system during the year, which proved to be problematic. Various financial information had to be recreated in order to balance the major control accounts. In addition, the company has also outsourced its payroll function during the year, and payroll is likely to be significant and material to the financial statements given the nature of the entity.

Explain a suitable approach to the audit of Waver Enterprises, keeping in mind that this is also the first year your firm has audited the company.

Analysis

A problematic transfer to a new accounting system presents a significantly higher risk of material misstatement within the financial statements, especially as the old and new system were not run in parallel with each other. There is a high risk that opening balances

Apply and Analyse 7 (continued)

from the old system have not been transferred correctly and that the re-creation of the major control accounts contains balancing adjustments which may have been written off to the statement of profit or loss. While these balancing adjustments could be immaterial in isolation, they may become material when aggregated.

The outsourcing of the payroll also presents a risk of material misstatement. If the company does not retain any payroll records or if the controls at the payroll provider are weak, there is a higher risk of material misstatement.

Given the high risk of material misstatement, the auditor could decide to carry out tests of controls over the control environment and report any significant deficiencies to those charged with governance and management in accordance with HKSA 265 *Communicating Deficiencies in Internal Control to Those Charged with Governance and Management*. However, it is likely that a more substantive approach to the audit would be suitable given the problems with the accounting system and the transfer of the payroll to a service provider during the year.

► Knowledge Check Questions

Question 9

Identify which of the following audit procedures would be a substantive procedure:

- A** Observing client's staff clock in and out of the warehouse.
- B** Tracing a capital item to a purchase invoice.
- C** Reviewing a customer file for evidence of a credit check.
- D** Reviewing overtime worked reports for evidence of authorisation.

Question 10

The audit senior is planning to use substantive analytical procedures over the payroll. Identify which of the following factors the auditor must consider when planning to use substantive analytical procedures:

- (I) The assertion being tested.
- (II) The reliability of the data.
- (III) The internal control environment.
- (IV) Financial statement materiality.
- (V) Performance materiality.

- A** I and II
- B** II and III
- C** III and IV
- D** IV and V

► Knowledge Check Questions (*continued*)

Question 11

You are the audit senior designing the audit programmes for your client for the year ending 31 December 20X2. The audit will be carried out using a combination of substantive procedures and tests of controls. The audit junior who will be assisting you is unsure of the differences between the two types of procedure.

Analyse the differences between substantive procedures, including substantive analytical procedures and tests of controls.



4.4 OVERVIEW OF AUDIT TESTS

So far, we have established that the auditor will carry out tests of controls to ascertain the operating effectiveness of the client's internal control environment. The auditor will also carry out substantive testing (consisting of tests of detail and analytical procedures) which aims to detect misstatements at the assertion level.

Tests of controls and substantive procedures are the means by which the auditor obtains sufficient appropriate audit evidence.

4.4.1 Understanding Internal Controls for the Audit

For every audit, regardless of whether or not the auditor intends to place reliance on the control environment, the auditor must obtain a sufficient understanding of the entity's system of internal control in order to plan the audit and determine the tests to be performed. This is a mandatory procedure under HKSA 315 (Revised 2019).

There are five components of internal control which the auditor needs to understand in order to:

- identify the types of potential misstatement;
- identify the factors that affect the risk of material misstatement; and
- design tests of controls and substantive procedures.

The five components of internal control which are outlined in Chapter 3 (see Section 3.1) are:

- the control environment;
- the entity's risk assessment process;
- the entity's process to monitor the system of internal control;
- the information system and communication; and
- control activities.

Key Learning Point

The auditor obtains an understanding of internal controls in order to assess control risk and to identify the types of potential misstatements which may occur and the factors which contribute to the risk that they will occur.

An auditor gains an understanding of the control environment of an entity by:

- making enquiries of key management;
- inspecting documented policies and procedures;
- observing activities and operations; and
- considering previous experience with the audit client.

The auditor must determine how management identify business risks, estimate their significance, assess their likelihood of occurrence and decide on actions to manage them. The auditor must then inquire of management as to whether the business risks identified could result in a material misstatement within the financial statements. When the auditors discover a risk of material misstatement which management have failed to identify, they must consider whether management should have identified it and if so, why the process has failed.

4.4.2 Evaluation and Validation of Controls

Once the auditors have gained an understanding of the entity's controls, they then carry out tests of those controls to ensure their operating effectiveness. As discussed earlier, if the auditors conclude that the controls are not operating effectively, they will place less reliance on them and apply extended substantive procedures because the risk of material misstatement is higher where a control is weak or non-existent. Placing reliance on internal controls can result in the auditor carrying out less substantive procedures.

Apply and Analyse 8

Apply

The auditor of Waver Enterprises Ltd is carrying out internal controls testing over the entity's sales cycle. The sales cycle has been documented by the auditor and an overview is as follows:

- A customer places an order for goods via telephone or email.
- An official order is received by Waver Enterprises Ltd for goods.
- The order is processed by the sales ordering clerk and a copy is sent to the central warehouse electronically.
- The warehouse receives the order and picks the goods and packs them ready for despatch.
- The warehouse prepares a goods despatched note (GDN).
- Once the goods have been despatched, the GDN is sent to the sales department.

Apply and Analyse 8 (continued)

- Once the sales department receives the GDN from the warehouse, a sales invoice is raised.
- A copy of the order, GDN and sales invoice is sent to the finance department.

Describe how you would assess the operating effectiveness of the controls over the sales cycle.

Analysis

In order to test the operating effectiveness of the sales cycle, the auditor will perform a 'walk-through' test. A walk-through test is a means by which the auditor traces a sample of transactions through the accounting system. When the transactions selected are typical of those transactions which pass through the system, this procedure can be treated as part of the tests of controls.

One of the objectives of the sales cycle is to ensure that goods are not sold on credit to customers who may not pay (i.e. they are a bad credit risk). As part of the tests of controls, the auditor will document the process for granting credit facilities to customers and part of this process may involve a responsible official authorising a credit limit for the customer. The auditor will test this control by ensuring there is evidence that a responsible official has authorised the credit limit for the customer. If there is no evidence, this indicates that there is a weakness in the control which should be notified to management and/or those charged with governance of the entity.

The auditor may also be told that there are specific processes in place; for example, inventory counting teams are provided with instructions issued by management and the counting teams must consist of two individuals (one counting and one recording the quantities on the inventory counting sheets). The auditor cannot just take this assertion at 'face value'. The auditor must, instead, carry out checks to ensure that this control is in place and operates effectively, and this is done primarily through observing the control in process by attending the inventory count.

Illustrative Example 3

In Waver Enterprises Ltd, controls over the sales cycle (as documented above) are judged by the auditor to be appropriate. However, the auditors cannot just say that a control is fine because, on the face of it, a control exists; they must carry out additional validation procedures to assess that the control operates as understood.

The auditor will observe a sample of sales orders being processed by the sales ordering department and the warehouse and ensure that each order flows through the process as understood and that there are no deviations from the control. Where deviations are noted, the auditor may conclude that the control is not operating as understood and hence is ineffective, thus choosing not to place reliance on the control.

Illustrative Example 3 (continued)

Data Analytics

The use of data analytics in auditing is gathering pace. Data analytics offers a practical way for auditors to manage some important aspects of a client's IT system in larger audits. Data analytics does require a significant investment in hardware, software, skills and quality control, but enables the auditor to manipulate a complete data set. It also enables auditors to improve the risk assessment process, substantive procedures and tests of controls.

Data analytics involves the extraction of data using fields within the basic data structure rather than the format of the records. For example, PowerView is an Excel tool which can filter, sort and highlight data in a spreadsheet and then present it visually in a variety of bubble, bar and pie charts. Data analytics can also be used to:

- compare the last time an item was bought with the last time the item was sold to enable a comparison between cost and net realisable value for inventory valuation purposes;
- perform ageing of inventory and how many days inventory is in stock, analysed by item;
- analyse revenue trends by product or region;
- match orders to cash and purchases to payments;
- analyse capital and revenue expenditure;
- analyse user codes to check for segregation of duties;
- analyse gross profit margins and sales and highlight any negative margins; and
- analyse receivables and payables ageing and the reduction in overdue debt over time per customer.

► Knowledge Check Questions

Question 12

According to HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement*, there are five components of an entity's system of internal control. Identify which of the following is a component of an entity's internal control:

- A** Authorisation procedures
- B** Segregation of duties in the payroll department.
- C** The information system and communication
- D** Internal audit

► Knowledge Check Questions (*continued*)

Question 13

You are the audit senior undertaking the planning of the audit of an existing audit client. You are reviewing the narrative notes of the audit client's internal control system in preparation for designing the audit procedures to be performed at the audit fieldwork stage.

Justify the importance of the auditor obtaining an understanding of the internal controls for an audit client and how such an understanding of the control environment is obtained by the auditor.

4.5 ANALYTICAL PROCEDURES OVERVIEW

Analytical procedures are dealt with in HKSA 520 *Analytical Procedures*. HKSA 520 provides guidance on the auditor's use of analytical procedures as substantive procedures (substantive analytical procedures). It also deals with the auditor's responsibility to perform analytical procedures towards the end of the audit to assist the auditor in forming an overall conclusion on the financial statements. Analytical procedures are also examined in HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement* although HKSA 315 (Revised 2019) deals with the use of analytical procedures as risk assessment procedures.

HKSA 520 states that the objectives of the auditor are:

- to obtain relevant and reliable audit evidence when using substantive analytical procedures; and
- to design and perform analytical procedures near the end of the audit that assist the auditor when forming an overall conclusion as to whether the financial statements are consistent with the auditor's understanding of the entity.

The term 'analytical procedures' is defined in HKSA 520 as:

... evaluations of financial information through analysis of plausible relationships among both financial and non-financial data. Analytical procedures also encompass such investigation as is necessary of identified fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount.

4.5.1 Importance of Analytical Procedures Throughout the Audit

Analytical procedures are an important aspect of generating audit evidence. They are used all through the audit process and are managed for three primary purposes:

1. At the planning stage as risk assessment procedures

Preliminary analytical procedures are performed to enable the auditor to obtain an understanding of the business and its environment so as to help assess the risk

of material misstatement in order to determine the nature, timing and extent of audit procedures (this helps the auditor to develop the audit strategy and audit programme).

2. Substantive analytical procedures

Analytical procedures are used as substantive procedures when the auditor considers that the use of analytical procedures can be more effective or efficient than tests of detail in reducing the risk of material misstatement at the financial statement assertion level to an acceptably low level.

3. Final analytical review towards the end of the audit

Final analytical procedures are performed as an overall review of the financial statements at the end of the audit to assess whether the financial statements are consistent with the auditor's understanding of the entity. This is a mandatory requirement of HKSA 520.

4.5.2 Comparisons

Analytical procedures can be used to compare financial information. For example, the payroll expense in the current year's financial statements can be compared against the payroll expense in the prior year and the auditor will investigate any significant differences. Similarly, current-year gross profit margins can also be compared against the prior year or against another entity in the same industry. Again, the auditor will investigate any significant variations.

Comparison is an effective means of carrying out analytical review. For example, if gross profit margins are considerably higher or lower than the previous year, this will indicate a risk of material misstatement. It could be that cut-offs of sales or purchases are incorrect or there is a misstatement in the year-end inventory valuation. Similarly, if administrative expenses are disproportionately higher or lower than the previous year, this too could indicate a risk of material misstatement. It is not necessarily the case that there is a misstatement in every case where current-year figures are higher or lower than prior-year figures – there may well be genuine reasons for the variation and the auditor will gather sufficient appropriate audit evidence to corroborate the reasons.

4.5.3 Trend Analysis

Trend analysis is the analysis of changes in an account over time (i.e. the comparison of a current account balance with the previous year's balance). An auditor may choose to evaluate if the current year's balance on the account deviates significantly from the trend established in the previous year's balance for that account. Alternatively, the auditor may calculate a balance expected for that account and then compare it to the actual amount.

4.5.4 Common-Size Analysis

Common-size analysis is a tool the auditor can use to analyse financial statements. It evaluates the financial statements by expressing each line item as a percentage of the base amount for that period. The idea of common-size analysis is that it helps the auditor to understand the impact of each item in the financial statements and its contribution to the final figure.

Common-size analysis is calculated using the following formula:

$$\text{Percentage of base} = \frac{\text{Amount of individual item}}{\text{Amount of base item}} \times 100$$

Common-size analysis is used by the auditor to analyse the three primary financial statements (statement of financial position, statement of profit or loss and statement of cash flows). In the statement of financial position, the common-size analysis mostly utilises the total assets value as the base value. In the statement of financial position, the total assets value equals the value of total liabilities and shareholders' equity. The auditor uses the common-size analysis to see how a client's capital structure may compare to other entities in the same industry.

Common-size analysis is an extremely useful tool for the auditor because it can identify significant changes in a company's financial statements and can also indicate areas of the financial statements which contain misstatements. For example, significant reductions in profits for two, or more, consecutive years may indicate that the company is going through financial difficulties. Conversely, a significant increase in the value of the entity's assets may mean that the company is implementing an expansion programme.

Illustrative Example 4

The auditor of Waver Enterprises Ltd is performing common-size analysis on the statement of financial position by looking at the company's long-term debt. If the value of long-term debt in relation to total assets is too high, it shows that the company's debt levels are too high. The auditor can also look at retained earnings in relation to the company's total assets, as the base value can reveal how much of the annual profits are retained in the company.

For the statement of profit or loss, the base item is usually total revenue (or total sales). Common-size analysis is used to calculate gross profit margin, net profit margin and operating margin. These calculations tell the auditor how the company is performing in terms of its revenues and they can also predict future revenues if deemed appropriate.

Illustrative Example 5

The auditor of Waver Enterprises Ltd is performing common-size analysis on the statement of profit or loss. The company has paid interest on its borrowings which is equivalent to 2% of total revenue for the year. The net operating income or earnings after interest and tax represents 11% of total revenue. These amounts can be compared to the previous year's calculations (or another similar company operating in the same sector) to see how the company's performance has been year-on-year.

4.5.5 Ratio Analysis

Ratio analysis is probably one of the most common methods of analytical procedure used by the auditor. It is important to understand that when using ratio analysis, the auditor must have something to compare the current year's ratio against (i.e. a ratio is meaningless on its own). For example, if a company's gross profit margin in 20X3 was 40%, this would not tell the auditor very much. However, if the company's gross profit margin in 20X3 was 40% and in 20X2 was 30%, this would be useful information as the auditor would want to identify the reasons why the margins have increased by 10% in the year when (generally) gross profit margins are expected to remain relatively consistent.

Exhibit 4.6 shows the four categories of key ratios used by the auditor:

Profitability	- Gross profit margin - Net profit margin
Efficiency	- Receivables days - Inventory days - Payables days
Liquidity	- Current ratio - Quick ratio - Gearing ratio
Return	- Gearing ratio - Return on capital employed (ROCE)

► **EXHIBIT 4.6** Key ratios used by the auditor

4.5.5.1 Profitability Ratios

Gross profit margin = $\text{Gross profit} / \text{Sales revenue} \times 100$

Net profit margin = $\text{Profit before tax} / \text{Sales revenue} \times 100$

Auditors generally expect the relationships between costs and revenues to stay relatively consistent. Profitability ratios can be affected by changes in sales prices, bulk purchase discounts, economies of scale, changing energy costs, payroll increases and new marketing strategies.

Hence, any unusual fluctuation in the profitability ratio could indicate a risk of material misstatement.

Illustrative Example 6

The draft financial statements of Waver Enterprises Ltd for the year ending 31 December 20X2 show gross profit margins have increased by 6% during the year. The auditor cannot just take that at 'face value' because the increase in the gross profit margin could be caused by:

- Overstated revenue – cut-offs may be incorrect, or the company could have recognised revenue too early.

Illustrative Example 6 (continued)

- Understated cost of sales – purchases and liabilities may be incomplete (i.e. understated).
- Understated cost of sales – due to overvaluation of closing inventory (resulting in an overvalued inventory asset in the statement of financial position).

4.5.5.2 Efficiency Ratios

$$\text{Receivables days} = \text{Receivables} / \text{Revenue} \times 365$$

$$\text{Inventory days} = \text{Inventory} / \text{Cost of sales} \times 365$$

$$\text{Payables days} = \text{Payables} / \text{Purchases} \times 365$$

Efficiency ratios show how long, on average, companies take to collect cash from customers and pay suppliers and how long inventory is being held. A company should try as much as possible to reduce receivables and inventory days and maximise payables days because this assists the company's cash flow. However, the entity must be careful not to breach supplier payment terms as this will result in a loss of supplier goodwill and withdrawal of supplies or credit facilities, which would be detrimental to the business.

Any changes in efficiency ratios can indicate significant issues to the auditor, for example:

- Worsening credit control may give rise to the need for receivables to be written down by way of an allowance account (or increasing an allowance for receivables).
- Ageing and possible obsolete inventory which could be overvalued (i.e. net realisable value may be lower than cost, hence the need for a write-down).
- Poor cash flow could lead to material uncertainties related to going concern, which would require disclosure in the financial statements.

4.5.5.3 Liquidity Ratios

$$\text{Current ratio} = \text{Current assets} / \text{Current liabilities}$$

$$\text{Quick ratio} = (\text{Current assets} - \text{Inventory}) / \text{Current liabilities}$$

Liquidity ratios shows how able a company is to meet its short-term debts. Liquidity ratios are particularly important for auditors when they are assessing the ability of the entity to continue as a going concern.

4.5.5.4 Return Ratios

$$\text{Gearing} = \text{Borrowings} / (\text{Share capital} + \text{Reserves})$$

$$\text{Return on capital employed (ROCE)} = \text{Profit before interest and tax} / (\text{Share capital} + \text{Reserves} + \text{Borrowings})$$

Gearing ratio measures the company's external debt to internal equity. ROCE indicates the returns which those investments generate for the entity.

Any change in gearing or ROCE may indicate a change in the financing structure of the entity or changes in overall performance of the business. Return ratios (or investor ratios) are crucial for identifying potentially material changes to the statement of financial position, such as new loans taken out in the year or share issues.

4.5.6 Factors to Consider when Conducting Analytical Procedures

There are four key factors which affect the precision of analytical procedures:

1. Disaggregation

The more detailed the level at which analytical procedures are performed, the greater the potential precision of the procedures. When the auditor performs analytical procedures at a high level, this may not reveal differences that offset each other (i.e. contra). If the auditor disaggregates the data into smaller groupings, such differences are more likely to come to the auditor's attention.

The objective of the audit procedure will determine whether data for an analytical procedure should be disaggregated and the extent to which it should be disaggregated. For example, disaggregating sales data into weekly or monthly sales, by geographic region or by product to understand the various elements. The reliability of the data is also influenced by the comparability of the information available and the relevance of information made available.

2. Data reliability

If the source data used by the auditor is reliable, then it is likely that the expectation will be more precise. The data used could consist of external industry information gathered through research activities. The source of the information will be a particularly important factor for the auditor, because information produced by the entity's systems and records which cannot be manipulated by individuals is generally considered to be more reliable.

3. Predictability

The more precise an expectation is for an analytical procedure, the greater the potential reliability of that data will be. For example, the use of non-financial data, such as the number of employees or occupancy rates, in developing an expectation may increase the auditor's ability to predict relationships among the accounts.

4. Type of analytical procedure

Auditors have a variety of analytical procedures, which they can use as substantive procedures, and the use of each one will be influenced by the precision of the expectation. The auditor chooses the most appropriate analytical procedure based on the purpose of the test, or the desired level of assurance.

► Knowledge Check Questions

Question 14

HKSA 520 outlines certain stages of the audit when analytical procedures must be used by the auditor. Identify which of the following are the correct stages:

- A** During the audit and towards the end of the audit.
- B** At the planning stage and towards the end of the audit.
- C** At the planning stage.
- D** At the end of the audit.

Question 15

During the planning phase of the audit, the auditor will carry out preliminary analytical procedures which include ratio analysis. Identify which of the following ratios are profitability ratios:

- (I) Current ratio
 - (II) Quick ratio
 - (III) Gross profit margin
 - (IV) Net profit margin
 - (V) Gearing ratio
- A** I and II
 - B** II and III
 - C** III and IV
 - D** IV and V

4.6 DESIGNING THE AUDIT PROGRAMME

At the planning stage of the audit, the auditor will design an audit programme. An audit programme can be thought of as a list of audit procedures which the auditor will apply over the various areas of the financial statements in order to obtain sufficient and appropriate audit evidence. The sources of evidence come from tests of controls and substantive procedures. Substantive procedures are then subdivided into tests of detail and analytical procedures.

4.6.1 Audit Responses to Address Risks of Material Misstatements

The auditor wishes to keep audit risk (the risk that an incorrect opinion on the financial statements will be formed) to a minimum. Obtaining an understanding of the entity and the environment in which it operates is a crucial exercise when establishing how the financial statements may be materially misstated. The auditor considers **business risks** and the risks of material misstatement at the financial statement assertion level. In devising the audit programme, the auditor will design responses to address the risks of material misstatement.

4.6.1.1 Tests of Controls

As discussed earlier in the chapter, part of the audit risk model is **control risk**. Internal controls are a vital component of the audit risk model because they are the mechanism by which the entity attempts to prevent, detect and correct on a timely basis misstatement in the financial statements. Sound controls are also necessary to safeguard the assets of the entity – for example, by restricting access to high-value inventory to authorised employees.

If the entity's system of internal control is assessed to be strong, then it is less likely that the financial statements will contain misstatements (although this cannot be absolute due to risks such as management override of the internal control environment). Auditors carry out tests of controls to assess how effectively they operate, and they will design tests of controls at the planning stage. However, if the control environment is judged to be weak or ineffective, auditors will place less reliance on the control environment and adopt a more substantive approach to the audit (substantive procedures are procedures aimed to detect material misstatement at the assertion level).

Apply and Analyse 9

Apply

During the year, Waver Enterprises Ltd outsourced its payroll function to a service provider, QACT Payroll Ltd (QACT). QACT retains all of the company's payroll information. The audit supervisor is concerned that the auditors may be unable to gather sufficient appropriate audit evidence over the payroll expense in the statement of profit or loss and the associated employment tax accrual at year-end. The payroll expense is highly material to the year-end financial statements.

Apply tests of controls to address the risk of material misstatement of the payroll charge and associated employment tax accrual.

Analysis

It is likely that as QACT specialises in the provision of payroll services, it will have an internal control system in place over the services provided. However, the auditor must obtain sufficient appropriate audit evidence to corroborate this. In order to address the risk of material misstatement, the auditor could carry out one or more of the following tests of controls:

- Attend QACT and discuss with a responsible official the processes the service provider has in place.
- Visit the service organisation to perform procedures over the control environment.
- If it is not possible to attend QACT (for example because of its location), arrange for another audit firm to attend to discuss the control environment.
- Obtain a report on the description and design of controls at the service provider (known as a 'type 1' or 'type 2' report). A type 1 report focuses on the description and design of controls, whereas a type 2 report also covers the operating effectiveness of those controls. A type 2 report can provide some assurance over the controls which should have operated at the service organisation.

Apply and Analyse 9 (continued)

- Review payroll records for evidence that they have been reviewed by a senior member of staff at the service provider prior to finalisation.
- Discuss with management of Waver Enterprises whether there have been any problems with the payroll since it was outsourced.

Key Learning Point

Keep in mind that the focus of a test of control is not the monetary amount of a transaction. A test of control provides evidence of whether the client's control procedure has operated effectively.

An inherent limitation of a test of control performed as an observation is the fact that the auditor will be present as a control is being operated. For example, if any wages are paid in cash, the auditor may attend the cash wages payout to observe the process in place. The auditor will also attend the year-end inventory count to observe the inventory count being carried out and perform test counts to assess the overall accuracy of the count. While the auditor is in attendance, the relevant control may be being operated correctly; however, the auditor must keep in mind that this may not be the case throughout the reporting period. There is always a risk that management could override the internal control environment (e.g. for personal financial gain) or that employees could manipulate weaknesses in the control environment.

4.6.1.2 Substantive Analytical Procedures

The auditor may devise substantive analytical procedures at the planning stage of the audit in order to gather sufficient appropriate audit evidence.

We have already examined the concept of analytical procedures earlier in the chapter. Analytical procedures can also be used as substantive procedures (i.e. procedures which are designed to detect material misstatement).

Key Learning Point

Analytical procedures are used to identify trends and to understand relationships between sets of data. As such, analytical procedures will not, in themselves, detect misstatements but will identify potential sources of misstatement. To that end, the auditor cannot use analytical procedures in isolation as they should be used with other, corroborative, forms of testing (e.g. inquiry of management and recalculation).

Auditors have a variety of 'tools' they can use to apply analytical procedures. Comparison is one of those tools, but auditors do not simply compare the current-year figures to the previous

year and work out a percentage change. They will consider other comparisons such as against budgeted information and industry data. They will also carry out ratio analysis and trend analysis, and 'proof in total'.

Proof in total is a reasonableness test and is often used when auditing payroll. For example, the auditor may create an expectation of payroll costs during the year by taking last year's payroll expense from the statement of profit or loss, inflating this number for pay increases during the year and changes in staff numbers. A formula which can be used is:

$$\text{Total wages last year} \times (1 + \text{Inflation}) \times \text{No. employees this year} / \text{No. employees last year}$$

There are four elements which comprise distinct steps in the process of using substantive analytical procedures.

Step 1: Develop an independent expectation

The development of an appropriately precise and objective expectation is fundamental when using substantive analytical procedures. An 'expectation' is a prediction of a recorded amount or ratio and can be a specific number, a percentage, a direction or an approximation. Whenever auditors use substantive analytical procedures, they should always have an expectation to identify plausible relationships.

Step 2: Define a significant difference or threshold

The auditor should always consider the amount of difference from the expectation which can be accepted without further investigation. The maximum acceptable difference is referred to as the 'threshold' and may be defined as a numerical value or as a percentage of the items being tested. Establishing a threshold is vital to the effective use of substantive analytical procedures. It is also particularly important that the threshold does not exceed performance materiality, and it must be sufficiently small to enable the auditor to identify misstatements which could be material, either individually or when aggregated.

Step 3: Calculate the difference

This is the comparison of the expected value with the recorded amounts and the identification of significant differences, if any. The calculation of the difference should be done after consideration of an expectation and a threshold. When the auditor is using substantive analytical procedures, it would be inappropriate to first calculate the difference from prior-year/period balances and then allow the results to influence the expected difference and acceptable threshold.

Step 4: Investigate the significant differences and draw conclusions

The final step is the investigation of significant differences and drawing conclusions thereon. Differences indicate an increased likelihood of misstatements and must be investigated. The auditor must obtain explanations for the *full* difference, not just the amount of the difference which exceeds the threshold, as any unexplained difference may indicate an increased risk of material misstatement.

When the differences between the recorded amount and our expectation are found to be the result of factors which ought to have been included in our original expectation, it may be beneficial to refine that expectation when practicable.

If our model is refined, we may use it to develop new expectations for each disaggregated part for which we used the original model. We may then recalculate the differences between each expectation and its corresponding recorded amount.

Substantive analytical procedures are useful for assessing several assertions at once, because the auditor is effectively auditing a whole account balance or class of transactions to assess if it is reasonable. The objective of analytical procedures is to identify unusual items which can then be investigated further to ensure that a misstatement in the balance does not exist.

The four factors which the auditor must consider when assessing the suitability of analytical procedures as substantive tests are outlined in Section 4.5.6 above.

Apply and Analyse 10

Apply

The audit engagement partner for Waver Enterprises Ltd has stated that the audit approach for the year ending 31 December 20X2 should be a combination of tests of controls and substantive procedures, including substantive analytical procedures. The audit engagement partner has identified various risks at the planning stage, including:

- a fall in demand for the company's products;
- a risk of material misstatement in the inventory valuation if the inventory count is not properly coordinated;
- the change in the company's accounting system, which proved to be problematic;
- incorrect capitalisation of research costs in the prior year, which could still be material in the current year, hence a potential modification of the auditor's report;
- additional research expenditure which may be capitalised in contravention of HKAS 38 *Intangible Assets*; and
- outsourcing of the payroll function.

Describe analytical procedures which could be used as substantive procedures during the audit of the financial statements.

Analysis

Substantive analytical procedures which could be used in the audit of Waver Enterprises include:

- Calculation of gross profit margins and investigating any significant differences.
- Calculating the change in percentage of purchases during the year and assessing if the change is in line with the change in sales.
- Performing a proof in total of the depreciation/amortisation charges to assess their reasonableness.
- Performing a proof in total of wages and salaries, incorporating joiners and leavers and the annual pay increase. Compare this to the actual payroll charge in the statement of profit or loss and investigate any significant differences.

4.6.1.3 Tests of Detail

As discussed earlier in the chapter, tests of detail are used by auditors to gather sufficient appropriate audit evidence that the balances, disclosures and underlying transactions associated with a client's financial statements are correct. For example, the auditor may trace a sample of non-current asset additions to purchase invoices to check the rights and obligations assertion (i.e. that the invoice is in the name of the company, which proves that the company owns the asset) and that the asset has been capitalised at an appropriate value in line with HKAS 16 *Property, Plant and Equipment*.

Apply and Analyse 11

Apply

The audit senior of Waver Enterprises Ltd is auditing development expenditure. During the year, the company has capitalised a material amount of development expenditure and the audit engagement partner has flagged this area of the financial statements as high risk, given the fact that the previous auditors issued a modified auditor's report for the year ending 31 December 20X1 as research expenditure had been inappropriately capitalised in contravention of HKAS 38 *Intangible Assets*.

Apply tests of detail over the intangible assets of the company to reduce audit risk to an acceptable level.

Analysis

The key assertion for development costs is **existence**. Development costs must only be capitalised on the statement of financial position if the recognition criteria of HKAS 38 are met. The following are the principal tests of detail the auditor can apply over the intangible assets of the entity:

- Obtain a breakdown of costs capitalised during the year, cast the schedule for mathematical accuracy and agree the amount included in the financial statements (this verifies **valuation**).
- For a sample of costs, agree to invoices or timesheets (this verifies **valuation**).
- Obtain the company's Board minutes and inspect them for evidence of any discussions relating to the intended use or sale of the asset (this verifies **existence**).
- Obtain details of the project(s) and assess compliance with HKAS 38 (this verifies **existence**).
- Obtain the project plans and other documentation to evaluate compliance with HKAS 38 (this verifies **existence**).
- Obtain budgets and review to confirm financial feasibility (this verifies **existence**).

For other intangible assets, the auditor can:

- Inspect purchase invoices for purchased intangible assets (this verifies **existence, right and obligations** and **valuation**).
- Inspect any valuer's reports and agree the amount stated with the amount in Waver Enterprises' general ledger (this verifies **valuation**).

4.6.2 Risks at the Financial Statement Level

At the planning stage of the audit, the auditor will be provided with the draft financial statements. Using knowledge and understanding of the entity, the auditor will identify the areas of the financial statements which are susceptible to material misstatement, whether caused by fraud or error.

The **risk of material misstatement** is the risk that the financial statements contain material misstatement. This risk is assessed at two levels:

- At the **financial statement assertion level**, where the auditor assesses inherent risk and control risk. Inherent risk is the susceptibility of an assertion to misstatement due to error or fraud prior to considering controls. Control risk is the risk of misstatement which will not be prevented or detected by the entity's system of internal control.
- At the **financial statement level**. This relates to the financial statements as a whole and this risk is more likely when there is a risk of fraud (however, there may be other risks at the financial statement level other than fraud risk which can include inadequate accounting systems, incompetent management and material uncertainties related to going concern.).

Fraud is a key factor which must be considered by the auditor, as required by HKSA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*. The auditor cannot rely on previous experience of the client's honesty and integrity as a means of dismissing the fact that fraud may occur. This is because management could well override the entity's internal control environment for personal financial gain, and it is for this reason that the auditor must apply professional scepticism – recognising that the financial statements may contain material misstatement due to fraud or error.

Presumed fraud risks at the financial statement level include the risk of fraud in revenue recognition. Management may deliberately accelerate revenue recognition in order to present the financial statements in a better light than they really are. Alternatively, the company may delay revenue recognition in order to minimise tax liabilities.

The auditor can use analytical procedures to identify variations in the figures, which may indicate a risk of material misstatement. For example, if gross profit margins have increased or decreased significantly, or if certain types of overhead expenditure have increased or decreased beyond expectations. Such procedures will then lead the auditor to develop specific substantive procedures which aim to provide a reason for the variation.

Apply and Analyse 12

Apply

In Waver Enterprises' 31 December 20X1 audit, the previous audit firm modified the auditor's report on the grounds of incorrect accounting treatment of research expenditure. The draft financial statements for the year ending 31 December 20X2 recognise a material amount of additions to intangible assets in the form of development costs. The audit engagement partner has asked you to carefully document the risks associated with these transactions.

Describe the risks of material misstatement of the financial statements due to the additions to development costs.

Apply and Analyse 12 (continued)

Analysis

The principal risk of material misstatement is that the capitalised development costs do not qualify for recognition as an intangible asset in accordance with HKAS 38. HKAS 38 states that only development expenditure is to be capitalised – all research expenditure is to be written off to the statement of profit or loss as incurred, because at the research phase of a project there is no intangible asset and the recognition criteria for such an intangible asset are not met.

There is already a potential modification due to the brought-forward research costs, which were incorrectly capitalised in the financial statements for the year ending 31 December 20X1. If these brought-forward costs remain material, the auditor's report will also have to be modified if management do not correct the position. In addition, if the current year's additions prove to be research expenditure, then non-current assets and profit are both overstated. This will also result in a modified auditor's report if management do not correct the financial statements.

The auditor must devise specific procedures to address the risk of material misstatement, such as:

- Reviewing the stage of the project(s) to ascertain whether the costs capitalised are in the research phase or the development phase.
- Obtaining a schedule of capitalised development costs and agreeing that they do satisfy the recognition criteria in HKAS 38.
- Discussing with management how they identify the stage at which costs enter the development phase.
- Agreeing employee-related development costs to payroll records.
- Identifying any research costs that have been incorrectly capitalised and requesting that management correct the financial statements.

The audit engagement partner should ensure that an appropriately experienced team member is responsible for auditing the intangible assets of the company, given that it is a high-risk area.

4.6.3 Overview of Types of Audit Evidence

Audit evidence is the information needed by the auditor in order to form an opinion as to whether the financial statements give a true and fair view (or present fairly in all material respects). Audit evidence comes in a variety of forms and is more reliable when it is auditor-generated and external to the entity. However, auditor-generated audit evidence can sometimes be expensive (such as reperforming a trade receivables control account), because more time has to be spent by the auditor in generating such evidence.

Exhibit 4.7 provides an overview of the types of audit evidence the auditor will wish to obtain.

Physical examination	The inspection or count by the auditor of a non-current asset or attendance at inventory count.
Confirmation	The receipt of a written response from a third party verifying the accuracy of information which has been requested by the auditor. For example, a trade receivable confirmation or a bank confirmation letter.
Documentation	Inspection of documentation and records to substantiate information in the financial statements. Documentation can be internal (i.e. prepared or used in the client's organisation) or external (i.e. handled by someone external to the entity, such as a supplier invoice). Documentation should be original documents, as these are considered to be more reliable than photocopies or scanned documents.
Analytical procedures	Comparisons and relationships of data to assess whether the outcome is reasonable (e.g. comparing the gross profit margin in the current year to the prior year).
Inquiry	Obtaining written or oral confirmation from the client in response to questions from the auditor. Inquiry alone is not sufficient evidence because it is not from an independent source and hence inquiry will be used in conjunction with other types of evidence.
Recalculation	Rechecking a sample of calculations made by the client (e.g. checking the calculations on a sample of sales invoices or recalculating the statutory deductions from a sample of employees' payroll).
Reperformance	Tests of the client's accounting procedures or controls which were originally done as part of the accounting/control system. This is not the same as recalculation, because reperformance involves checking other procedures.
Observation	Observing a client's internal control processes in operation (such as observing the inventory count or cash wages payout). Observation is not sufficient on its own, because there is always the risk that the client may change their behaviour because the auditor is present.

► **EXHIBIT 4.7 Types of audit evidence**

As noted above, audit evidence is generally considered to be more reliable and persuasive when it is auditor-generated or comes from external sources (such as a bank confirmation). However, the auditor will have to rely on internal sources of audit evidence as well. For example, the auditor will wish to obtain written representations in accordance with HKSA 580 *Written Representations*. Written representations are an internal source of audit evidence and hence cannot be relied on as sufficient audit evidence on their own (i.e. they serve to complement other forms of audit evidence).

4.6.3.1 Factors Affecting Information to be Used as Audit Evidence

The auditor must consider certain factors which may affect information that can be used as audit evidence. Factors which the auditor must consider are:

- relevance;
- reliability;
- competence;
- sufficiency; and
- timeliness.

Relevance

To be relevant, audit evidence has to address the objective/purpose of a procedure. For example, when the auditors attend the inventory count they will:

- select a sample of items from the physical inventory and trace them to the inventory records to confirm the **completeness** of the accounting records; and
- select a sample of items from the inventory records and trace them to physical inventories to confirm the **existence** of the inventories.

Using the above example, while the procedures may, on the face of it, look similar, they are testing different assertions regarding the inventory balance.

Reliability

Auditors should always try, wherever possible, to obtain evidence from the most trustworthy and dependable sources. Evidence is considered to be more reliable when it is:

- obtained from an independent external source;
- generated internally but subject to an effective control environment;
- obtained directly from the auditor;
- in documentary form; and
- original.

Generally, the more reliable the audit evidence, the less of it the auditor will need. However, where the audit evidence is unreliable it will not be appropriate for the audit, regardless of how much is gathered.

Competence

The competency of evidence depends on the financial statement assertion under consideration. Essentially, the auditor should attempt to gather a sufficient quantity of competent evidence at a minimum cost.

The term 'competence' refers to the quality of the audit evidence, regardless of whether the evidence is written, oral or observed. The term 'competence' also refers to whether the audit evidence is relevant to the work being carried out and whether it is reliable. They both focus on the quality of the supporting documentation and the audit tests performed.

Sufficiency

The term 'sufficiency' relates to the quantity of evidence. There needs to be sufficient audit evidence in order to support the auditor's conclusion. This is a matter of professional judgement. When determining whether there is sufficient audit evidence, the auditor must consider:

- the risk of material misstatement;
- the materiality of the item;
- the nature of the accounting and internal control system;
- the results of the tests of control;
- the reliability of the evidence obtained;

- the auditor's knowledge and experience of the audit client;
- the size of the population being tested; and
- the size of the sample selected to test.

Timeliness

The timeliness of audit evidence can refer to either when it was gathered, or to the period covered by the audit. Evidence in respect of the statement of financial position is generally more reliable when it is obtained as close to the reporting date as possible. Evidence in respect of the statement of profit or loss is generally more reliable if there is a sample from the entire period under audit (e.g. a sample of transactions for the whole year rather than from only a part of the period).

4.6.3.2 Sufficient and Appropriate Audit Evidence (Quality)

HKSA 500 *Audit Evidence* requires the auditor to obtain **sufficient** and **appropriate** audit evidence. As noted above, 'sufficiency' relates to the quantity of audit evidence. 'Appropriateness' relates to the quality or relevance/reliability of the audit evidence.

Auditors will use professional judgement and exercise professional scepticism when determining the quantity and quality of audit evidence. Generally, auditors find it necessary to rely on audit evidence which is persuasive rather than conclusive, especially in sensitive areas such as significant accounting estimates. The **quantity** of audit evidence is sufficient if, when taken as a whole, its weight is adequate to provide persuasive support for the content of the financial statements. For evidence to be **appropriate**, the information must be **relevant** and **reliable**.

Important factors the auditor must take into consideration when determining the sufficiency and appropriateness of audit evidence are:

- the quality of the evidence (its relevance and reliability);
- the level of materiality (the lower the level of materiality, the higher the standard and quantity of evidence will need to be); and
- the cost of obtaining additional audit evidence (e.g. external confirmations).

4.6.3.3 External Confirmations

HKSA 505 *External Confirmations* provides guidance to auditors when using external confirmations as a source of audit evidence. HKSA 505, para 6(a) defines an 'External confirmation' as:

HKSA 505,
para 6(a)

'Audit evidence obtained as a direct written response to the auditor from a third party (the confirming party), in paper form, or by electronic or other medium.'

The purpose of an external confirmation is for the auditor to obtain sufficient and appropriate audit evidence from an external third party that certain balances contained in the financial statements (or in a population of a balance within the financial statements) are free from material misstatement. HKSA 505 requires the auditor to maintain control over such external confirmations. This is achieved by:

HKSA
505.7

- The auditor preparing the confirmation letters and determining the information to be requested and the information which should be included in the request.
- The auditor selecting the sample of external parties to obtain confirmation from.
- The auditor sending the requests to the confirming party.

External confirmations, such as legal confirmations and bank confirmations, are an important source of audit evidence, because they are external to the audit client (i.e. they are

provided by a third party) and they are sent **directly to the auditor** rather than directly to the audit client. This ensures that the confirmation is not tampered with in any way.

A typical external confirmation would be a trade receivables confirmation, where a request is sent to the client's customer to confirm the balance owing to the client at the reporting date. When the auditor carries out a trade receivables confirmation, the auditor selects the sample from the client's trade receivables list. The client then prepares the letter on their letterheaded paper, asking for confirmation that the balance on the client's sales ledger agrees with the customer's purchase ledger. If there is any difference between the amounts, the auditor requests a reconciliation. Such confirmations confirm the **existence** assertion but do not confirm the **valuation** assertion (just because customers say they owe the money, does not necessarily mean they will pay).

Another form of external confirmation is a bank confirmation letter (or bank audit letter). A bank confirmation letter is sent to the auditor (following permission from the client), and provides the auditor with the balances on each bank account or loan account at the reporting date. Details of security pledged over the company's borrowings are also included in the bank confirmation letter.

Legal confirmations are another form of external confirmation. For example, a confirmation may be requested from the lawyer (with the client's permission) to the auditor as to the potential outcome of a legal case. This confirmation is then used by the auditor to determine whether a provision or a contingent liability is required, in accordance with HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*. In addition, the auditor may contact legal counsel to determine whether anything has come to their attention since sending their written confirmation. (Note: Often regulators expect, although there is nothing written in law or in the HKSAs, that such a follow-up should be made a maximum of seven days prior to the date of the auditor's report.)

External confirmations provide reliable audit evidence for the auditor, because they are obtained from a source external to the entity. However, in some cases trade receivables confirmation can be a weak form of evidence, because there is either no response or the response received back from the customer may be incorrect (i.e. customers could just say they agree with the balance even though it does not agree with their purchase ledger).

4.6.3.4 Documentary Evidence

Documentary evidence, whether on paper or in electronic form, is more reliable than oral evidence. In addition, documentary evidence is more reliable when it is in paper form and is an original document. Documents which are scanned or photocopied could have been tampered with by a member of staff, indicating a fraud risk factor. The auditor will be interested in obtaining the following types of documentary evidence:

- evidence of journal entries showing authorisation of the journal;
- purchase invoices from suppliers showing transactions such as additions to non-current assets or related party transactions;
- original bank statements showing the balance per the bank account at the reporting date;
- original payroll reports to carry out sampling on payroll calculations; and
- sales invoices to test the mathematical accuracy of a sample of sales invoices.

Representations

HKSA 580 *Written Representations* provides the guidance to auditors on the form and content of written representations. A 'representation' is a statement made by management and/or those charged with governance, confirming certain matters. A representation to support other audit evidence may be appropriate where more reliable forms of evidence are not available, especially in relation to matters requiring management judgement or knowledge restricted to management, such as:

- plans or intentions which may affect the carrying value of assets or liabilities;
- confirmation of values where there is significant estimation involved (such as provision for a liability in respect of a legal case);
- formal confirmation of the directors' judgement in areas of significant subjectivity (e.g. the value of assets where there is a risk of impairment); and
- aspects of laws and regulations which may affect the financial statements, including compliance.

Representations are an internal source of audit evidence because they are gathered from the entity's management and/or those charged with governance. The auditor must not rely solely on representations, because they can be a weak form of evidence and hence serve to complement additional forms of audit evidence. Representations should only be sought to support other audit evidence.

In practice, a representation will be in written form – usually in the form of a letter from the audit client to the auditor – and will be transcribed onto the client's letterhead. The letter must be signed by an appropriate senior member of client management (e.g. the chief executive officer and chief financial officer). The date of the representation must be the same date as the date the financial statements are authorised for issue, and must be obtained before the auditor's report is signed because it constitutes audit evidence.

If the representations are inconsistent with the other audit evidence, the auditor must:

- consider the reliability of the representations in general;
- reconsider the initial risk assessment; and
- consider the need to perform further audit procedures.

If management refuse to provide the requested representations, the auditor must:

- discuss the matter with management to understand the reasons why they are refusing;
- re-evaluate the integrity of management and consider the effect that this may have on the reliability of other representations (whether oral or written) and audit evidence in general; and
- consider the implications for the auditor's report.

4.6.3.5 Verbal Evidence

Verbal evidence may be obtained by the auditor during initial and subsequent inquiries of management and employees. Verbal evidence is less reliable than documentary evidence and will often be internally generated.

Verbal evidence may be obtained, for example, where the auditor is enquiring as to how a process works, and may make inquiries of management and relevant staff. Whenever the auditor obtains verbal evidence, it will be recorded on an audit working paper.

Verbal evidence is a means of 'inquiry', which is a procedure to gather audit evidence according to HKSA 500 *Audit Evidence*. However, care must be taken with verbal evidence obtained through inquiry. Inquiry alone is insufficient audit evidence and hence must be used in conjunction with other procedures to gather sufficient and appropriate audit evidence.

4.6.3.6 Computational Evidence

Computation or recalculation provides the auditor with a high level of assurance regarding the mathematical accuracy of areas of the financial statements which can be recalculated by the auditor to establish whether the amount reported in the financial statements is reasonable.

Examples of computational evidence include:

- computing accumulated depreciation/amortisation;
- computation of prepaid expenses;
- computation of the year-end employment tax accrual account; and
- computation of the year-end bank reconciliation.

4.6.3.7 Physical Evidence

Physical evidence is obtained by auditors when they actually see and confirm the existence of items such as non-current assets or inventory. Physical evidence is obtained, for example, when attending the year-end inventory count to carry out test counts on the inventory and to assess if management's instructions are being adhered to.

The auditor can also obtain audit evidence using physical inspection when physically inspecting the condition of a non-current tangible asset.

The availability of physical evidence is limited, because of the nature of the audit. For example, if an auditor is confirming payroll expenses, the auditor cannot realistically watch someone work the hours they will be paid for. Physical evidence is, therefore, used for procedures such as physically inspecting the condition of a non-current asset or inventory.

4.6.3.8 Electronic Evidence

In today's modern auditing environment, a lot of the evidence the auditor will gather will usually be in electronic form.

Unlike paper-based evidence, electronic data sources may exist in a variety of file and application formats. The auditor must obtain an understanding of the forms in which those records exist in order to evaluate the authenticity of the records and the information they contain.

Electronic evidence does provide the auditor with audit evidence over the assertions being tested. However, they must keep in mind that there is a possibility that a scanned purchase invoice, for example, may have been 'doctored' in an attempt to cover a fraud.



► Knowledge Check Questions

Question 16

When designing substantive analytical procedures, there are four elements which comprise distinct steps in the process. Identify which of the following are the correct elements:

- (I) Develop an independent expectation.
- (II) Define a significant difference or threshold.
- (III) Calculate a variance.
- (IV) Compare the expectation against performance materiality.
- (V) Discuss the outcome with the engagement team.

- A** I and II
- B** II and III
- C** III and IV
- D** IV and V

Question 17

The audit senior is devising the audit programmes for the forthcoming final audit of a client. The audit senior wishes to apply substantive analytical procedures over certain areas. Identify which of the following is a substantive analytical procedure:

- A** Performing a proof in total on wages and salaries.
- B** Reperforming the year-end bank reconciliation.
- C** Comparing the gross profit margin in the current year to the prior year.
- D** Tracing a sample of year-end receivables to post year-end cash receipts.

Question 18

The auditor must consider various factors which may affect information they can use as audit evidence. Identify which of the following is a factor the auditor must consider:

- A** Adequacy
- B** Trustworthiness
- C** Authenticity
- D** Sufficiency

Question 19

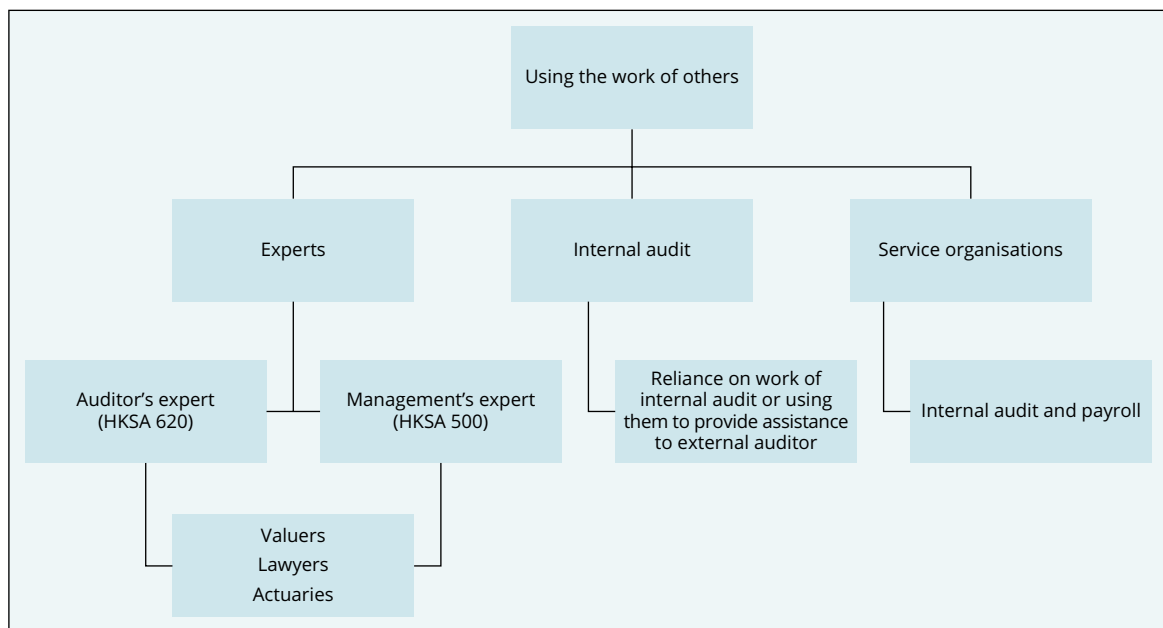
An audit client has refused to provide certain representations to the auditor. Identify which of the following responses by the auditor would be appropriate?

- A** Immediately resign.
- B** Re-evaluate the integrity of management.
- C** Issue a disclaimer of opinion.
- D** Insist that the client provides the representation.

4.7 USING THE WORK OF OTHERS

The auditor cannot be a specialist in every aspect of the client's business – for example, if the client has commissioned a valuer to revalue a portfolio of buildings, the auditor will not be an expert in valuing commercial premises and hence may have to rely on the work of others. However, the auditor has some very important responsibilities when it comes to using the work of others.

Using the work of others includes the use of experts, internal audit and service organisations. A summary is shown below:



Auditors may choose to rely on the work of others because it is more effective and efficient to do so.

There are two types of expert which an auditor may use:

Management's expert – this is an employee of the audit client or someone engaged by the client who has expertise which is used to assist in the preparation of the financial statements (for example, an expert specialising in the valuation of work in progress).

Auditor's expert – this is an employee of the audit firm, or someone engaged by the audit firm, to provide sufficient appropriate audit evidence.

4.7.1 Determining the Need to Use an Expert

As discussed above, an auditor cannot be an expert in every aspect of a client's business. There are some areas where the auditor may need to rely on an expert to obtain sufficient appropriate audit evidence. This is likely when the auditor does not possess the relevant skills.

HKSA 500 *Audit Evidence* provides guidance on what the auditor should consider before relying on the work of a management's expert. Where an auditor's expert is used, the guidance is found in HKSA 620 *Using the Work of an Auditor's Expert*.

The auditor may need to use an expert when obtaining sufficient appropriate audit evidence in connection with:

- property valuations;
- construction work in progress;
- actuarial valuations for defined benefit pension plans;
- specialist inventory (e.g. agricultural produce or livestock);
- legal provisions;
- valuation of complex financial instruments; and
- accounting estimates (especially significant and/or complex accounting estimates).

There are specific requirements in connection with accounting estimates for which the auditor may need to engage the services of an expert. Specifically, HKSA 540 (Revised), paragraph A31 refers to the following circumstances:

- The specialized nature of the matter requiring estimation, for example, the accounting estimate, may involve measurement of mineral or hydrocarbon reserves in extractive industries or the evaluation of the likely outcome of applying complex contractual terms.
- The complex nature of the models required to apply the relevant requirements of the applicable financial reporting framework, as may be the case in certain measurements, such as level 3 fair values.¹
- The unusual or infrequent nature of the condition, transaction or event requiring an accounting estimate.

Auditors must therefore consider whether they have considered the requirements of other HKSAs to satisfy the audit evidence requirements.

4.7.2 Determining the Scope of Work to be Carried Out

The auditor should obtain an understanding of the field of expertise of the expert to enable the external auditor to determine the scope and objective of the work. Prior to any work being carried out, it is important that the auditor agrees the work to be performed with the expert. This agreement is usually in the form of an engagement letter which outlines:

- the nature, scope and objectives of the expert's work;
- the roles and responsibilities of the auditor and the expert;
- the nature, timing and extent of communication between the auditor and the expert; and
- the need for the expert to observe confidentiality.

¹ See, for example, Hong Kong Financial Reporting Standard (HKFRS) 13, *Fair Value Measurement*.

4.7.3 Assessing the Competence, Capability and Objectivity of the Expert

HKSA 620 requires the auditor to assess the competence, capability and objectivity of the expert. This must be done before asking the expert to carry out the work.

Competence and capability can be assessed by enquiring of the expert's qualifications, experience and membership in a professional body. The auditor can also review any published work by the expert (such as books, articles or discussion papers).

Objectivity can be assessed by enquiring if there are any business or personal relationships which exist between the expert and the audit client. If there are any business or personal relationships between the expert and the audit client, it may affect the expert's ability to be objective.

4.7.4 Evaluating the Adequacy of the Expert's Work

Once the work has been completed, the auditor must then carry out an assessment of the work to ensure that it is appropriate for the purposes of the audit. The assessment must consider:

- the consistency of the findings with other audit evidence;
- the relevance and reasonableness of the assumptions and methods used by the expert; and
- the relevance, completeness and accuracy of the source data used.

If the auditor considers that the work is inadequate, further work must be agreed with the expert or an alternative expert must be used.

4.7.5 Using the Work of Internal Auditors

An internal audit department forms part of the client's internal control system. If the internal audit function is effective, it can reduce control risk and hence reduce the need for the auditor to carry out more substantive testing.

External auditors may be able to place reliance on the procedures adopted by internal audit. Areas where the external auditor may wish to rely on the work of internal audit include:

- tests of controls
- risk assessment
- compliance with laws and regulations
- fraud investigations.

HKSA 610 (Revised 2013) *Using the Work of Internal Auditors* requires that *before* the auditors rely on the work of internal audit, they must assess the effectiveness of the internal audit function and consider whether the work carried out by internal audit is adequate for the purposes of internal audit.

When evaluating the internal audit function, the auditor must consider:

- the extent to which internal audit remains objective;
- the competence of the internal audit function; and
- whether the internal audit function applies a systematic and disciplined approach, including quality control.

HKSA 610 (Revised 2013) requires the auditor to determine whether the work of the internal audit function can be used for the purposes of the audit by evaluating:

HKSA
610.15

- the extent to which the internal audit function's organisational status and relevant policies and procedures support the objectivity of the internal auditors;

HKSA
610.16

- the level of competence of the internal audit function; and

HKSA
610.17

- whether the internal audit function applies a systematic and disciplined approach, including quality control.

If the external auditors wish to rely on the work of an internal audit, they must determine the areas and extent to which the work of internal audit can be used. Time must also be set aside so that the external auditor can evaluate whether:

- the work of internal audit was properly planned, performed, supervised, reviewed and documented;
- sufficient appropriate audit evidence has been obtained;
- the conclusions reached are appropriate in the circumstances; and
- the reports prepared are consistent with the work performed.

When evaluating the work of an internal audit, the external auditor may reperform some of the procedures applied by internal audit to ensure that the same conclusion is reached. The extent of the work performed will depend on the amount of judgement involved and the risk of material misstatement in that particular area.

The term 'direct assistance' is defined as:

HKSA
610.14(b)

The use of internal auditors to perform audit procedures under the direction, supervision and review of the external auditor.

HKSA 610 (Revised 2013) recognises that the external auditor may be prohibited by law or regulation from obtaining direct assistance from internal auditors. Where this is the case, the external auditor must not use the entity's internal audit function to provide direct assistance.

Where the external auditor is not prohibited by law or regulation from obtaining direct assistance from the internal audit function, the external auditor must evaluate the existence and significance of threats to objectivity and the level of competence of the internal auditors who will be providing such assistance. This includes inquiry of the internal auditors concerning interests and relationships which may create a threat to objectivity.

HKSA 610 (Revised 2013) prohibits an external auditor from using the internal audit function to provide direct assistance if:

HKSA
610.28(a)

- there are significant threats to the objectivity of the internal auditor; or

HKSA
610.28(b)

- the internal auditor lacks sufficient competence to perform the proposed work.

In addition, the external auditor must not:

- assign work to the internal auditor which involves making significant judgements in the audit, a high risk of material misstatement or with which the internal auditor has been involved; or
- assign work which relates to decisions the external auditor makes in accordance with HKSA 610 (Revised 2013) regarding the internal audit function and the use of its work or direct assistance.

Where it is agreed that the internal auditor can provide direct assistance:

- Management must agree in writing that the internal auditors can provide direct assistance and that they will not intervene in that work.
- The internal auditors must provide written confirmation that they will keep the external auditor's information confidential.
- The external auditor will provide direction, supervision and review of the internal auditor's work.
- During the direction, supervision and review process, the external auditor will remain alert to the risk that the internal auditor is not objective or competent.

Documentation

The auditor must document:

- The evaluation of:
 - whether the function's organisational status and relevant policies and procedures adequately support the objectivity of the internal auditors;
 - the level of competence of the function; and
 - whether the function applies a systematic and disciplined approach, including quality control.
- The nature and extent of the work used and the basis for that decision.
- The audit procedures performed by the external auditor to evaluate the adequacy of the work used.

HKSA
610.36(a)(i)

HKSA
610.36(a)(ii)

HKSA
610.36(a)(iii)

HKSA
610.36(b)

HKSA
610.36(c)

If the external auditor uses internal auditors to provide direct assistance on the audit, the external auditor must include in the audit documentation:

- The evaluation of the existence and significance of threats to the objectivity of the internal auditors and the level of competence of the internal auditors used to provide direct assistance.
- The basis for the decision regarding the nature and extent of the work performed by the internal auditors.
- Who reviewed the work performed and the date and extent of that review, in accordance with HKSA 230 *Audit Documentation*.
- The written agreements obtained from an authorised representative of the entity and the internal auditors.
- The working papers prepared by the internal auditors who provided direct assistance on the audit engagement.

HKSA
610.37(a)

HKSA
610.37(b)

HKSA
610.37(c)

HKSA
610.37(d)

HKSA
610.37(e)

4.7.6 Responsibility for the Conclusion

The responsibility for the auditor's opinion lies with the audit engagement partner. Notwithstanding the fact that experts (management or auditor experts) may have been used during the course of the audit to obtain sufficient appropriate audit evidence, the auditor cannot shift any of the responsibilities onto the expert.

The external auditor is responsible for conclusions drawn where the use of an expert is concerned. In addition, the external auditor must not refer to the work of others in the auditor's report unless required by law or regulation. If such reference is required by law or regulation, the auditor's report must indicate that the reference does not diminish the responsibility for the auditor's opinion.

► Knowledge Check Questions

Question 20

The audit junior has enquired as to why an auditor may need to rely on the work of a third party as sufficient appropriate audit evidence. Identify which of the following reasons best describes why an auditor would wish to place reliance on the work of others:

- A** It saves time on the audit.
- B** The auditor does not possess the relevant skills over a specialist area.
- C** The auditor can refer to the reliance on the work of others in their auditor's report.
- D** HKSA's make it mandatory for the auditor to rely on the work of others.

Question 21

The audit manager is planning on using the work of an auditor's expert to obtain sufficient appropriate audit evidence over a portfolio of financial instruments. Identify which of the following must be done prior to any work being carried out:

- A** Assess the competence, capability and objectivity of the expert.
- B** Ensure the audit client does not have any objections to the use of an expert.
- C** Discuss the use of experts with the audit engagement partner.
- D** Consider if any other engagement team members possess the relevant skills and expertise to carry out the work.

Question 22

XYZ is a listed entity and has an internal audit function. The external auditor wishes to use the internal audit function to provide direct assistance. Identify which of the following is a requirement of HKSA 610 (Revised 2013) *Using the Work of Internal Auditors*, where it is agreed that the internal auditor can provide direct assistance:

- (I) The external auditor must document the reasons why direct assistance is necessary.
- (II) There must be a legal agreement in place before internal audit can provide direct assistance.
- (III) Internal audit must provide written confirmation that they will keep the external auditor's information confidential.
- (IV) The external auditor will provide direction, supervision and review of the internal auditor's work.
- (V) The internal auditor must be named in the external auditor's report.

- A** I and II
- B** II and III

► **Knowledge Check Questions (*continued*)**

C III and IV

D IV and V

Question 23

ABC Ltd is a specialist property valuer and has provided the auditor with a valuation report for a building owned by the audit client. Identify which of the following statements is correct where the auditor places reliance on this expert:

A The auditor must refer to the property valuer in their auditor's report.

B The auditor must not refer to the property valuer in their auditor's report unless required to do so by law or regulation.

C Both the auditor and the valuer are responsible for the conclusions drawn over the property valuation.

D The auditor must include an emphasis of matter paragraph in their auditor's report if they use an expert.

4.8 FINALISING THE AUDIT PROGRAMME

The final stage in the audit planning process is the finalisation of the audit programme. The audit programme is a summary of all the audit procedures which are to be applied over each area of the financial statements.

In practice, the audit engagement partner will review the entire audit planning, including the audit programmes, and make any amendments considered necessary prior to the detailed audit fieldwork (the evidence-gathering process) commencing. Once the audit engagement partner has reviewed the planning stage, the audit programmes will be authorised and the detailed audit fieldwork can commence.

Apply and Analyse 13

Apply

The draft financial statements of Waver Enterprises Ltd for the year ending 31 December 20X2 show trade receivables of HK\$13m, which is considered to be material to the financial statements. The audit engagement partner has asked you to devise the audit programme for trade receivables which addresses the identified risks of material misstatement.

Describe the audit procedures which are likely to be contained in the audit programme for trade receivables, together with the relevant financial statement assertions the procedures address.

Apply and Analyse 13 (continued)

Analysis

The focus of the testing for receivables is **valuation** and **existence**. The audit programme for trade receivables is shown in Exhibit 4.8.

Assertion	Procedure
Accuracy and presentation	Obtain an aged receivables listing, cast the list and agree the total with the financial statements.
Completeness and existence	Agree the sales ledger control account with the list of receivables.
Existence	Select a sample of year-end trade receivables and agree back with supporting documentation of goods despatched notes (GDNs) and sales orders.
Rights and obligations and existence	Inspect post-year-end cash receipts and follow through to pre-year-end receivables balances.
Completeness and existence	Select a sample of GDNs immediately before and after year-end and follow through to sales invoices to ensure they are recorded in the correct accounting period (cut-offs).
Valuation	Assess the reasonableness of the expected credit loss allowance calculated by customer.
Existence and rights and obligations	Carry out a trade receivables confirmation for a sample of trade receivables and for any non-replies, send a reminder letter or follow up with a telephone call. If there is still no response, apply alternative procedures on the non-responses (such as extended post-year-end cash receipts testing).
Valuation and allocation	Inspect the aged receivables report to identify any slow-moving balances; discuss these with the credit control manager to assess if an allowance for receivables is necessary.
Existence and rights and obligations	Inspect customer correspondence in respect of slow-moving balances to assess if there are any invoices in dispute.
Existence and rights and obligations	Inspect Board minutes of Waver Enterprises Ltd to assess if there are any material disputed receivables which may require to be written off.
Existence (of receivables) and completeness (of payables) and classification	Inspect the sales ledger for any credit balances and discuss with the finance director as to whether these should be reclassified as payables.
Existence (and occurrence of revenue)	Inspect a sample of post-year-end credit notes to identify any which relate to pre-year-end transactions and ensure that they have not been included in receivables.
Completeness and valuation	Calculate trade receivables days, compare to prior year and investigate any significant differences.

► **EXHIBIT 4.8** Audit programme for testing receivables

► Knowledge Check Questions

Question 24

The audit programme is a list of audit procedures which the auditor will apply to gather sufficient appropriate audit evidence. Identify who is responsible for authorising the finalising of the audit programmes:

- A** The audit engagement partner.
- B** The audit manager.
- C** The audit supervisor.
- D** The ethics partner.



SUMMARY

This chapter has set out the various planning activities which the auditor must undertake before any detailed fieldwork is carried out. Audit risk must be kept to an absolute minimum and the auditor will take into account inherent risk, control risk and detection risk when assessing audit risk.

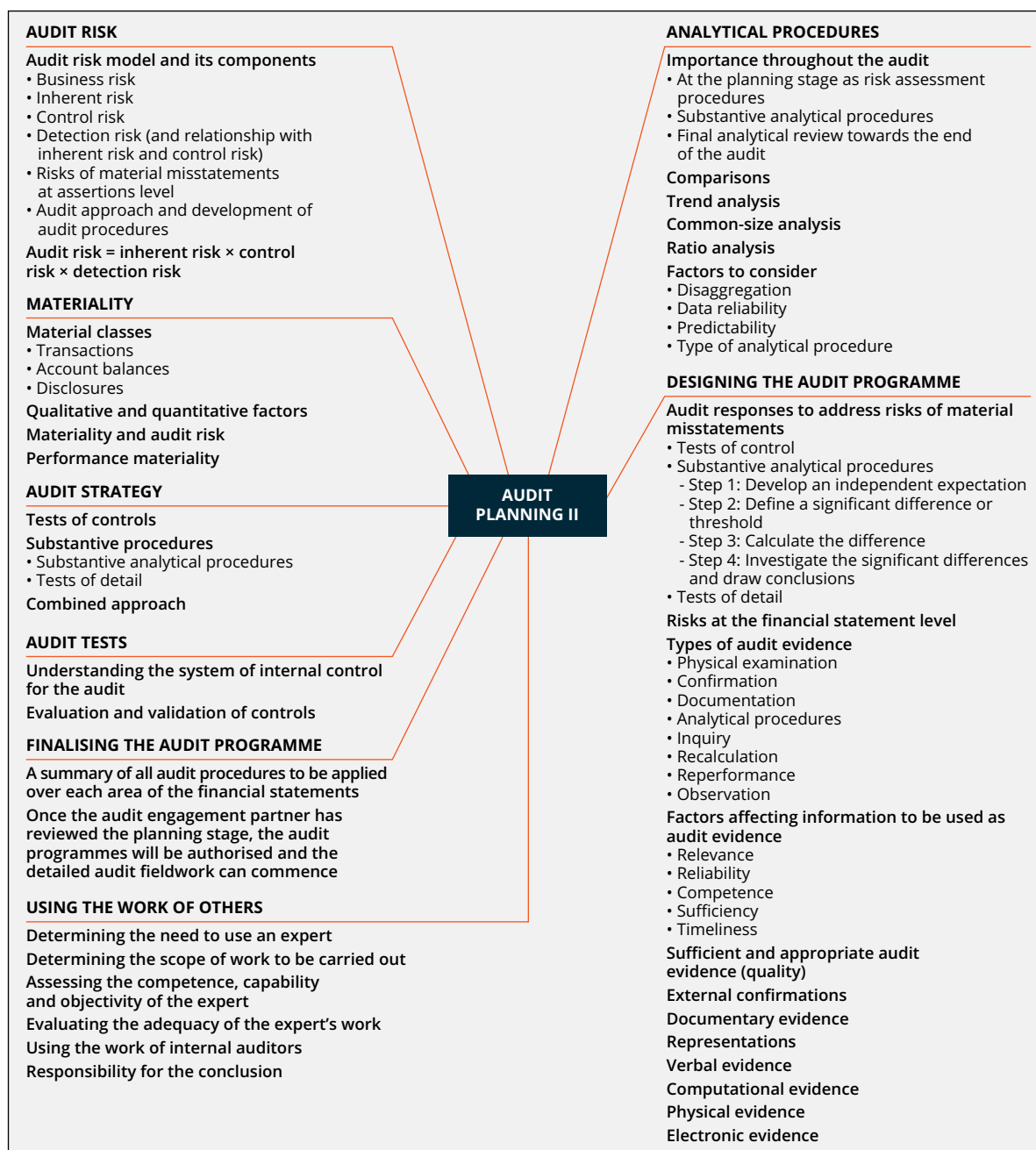
Auditors must be satisfied that sufficient appropriate audit evidence is obtained for the relevant financial statement assertions and that materiality levels are appropriate. Materiality is a twofold issue – financial statement materiality is set using benchmarks as a starting point (e.g. 1% of revenue, 5% to 10% of pre-tax profit and 1% to 2% of gross assets), but this is not absolute and materiality is revised accordingly if further risks of material misstatement are identified. Performance materiality is also established, which is at a lower level than financial statement materiality. Materiality has both qualitative and quantitative features (i.e. an auditor is concerned with the size and nature of a misstatement when judging its materiality).

Audit evidence is obtained from two types of sources: tests of controls and substantive procedures. Substantive procedures consist of tests of detail and substantive analytical procedures. Analytical procedures include ratio analysis, trend analysis, common-size analysis and comparisons. The auditor must use tests of controls and substantive procedures appropriately, having regard to the risk of material misstatement.

Audit evidence is generated from internal or external sources. Auditor-generated evidence is generally more persuasive than internal evidence but can be expensive to produce. There are also factors such as relevance and reliability that have to be considered, which affect information to be used as audit evidence.

The auditor may also consider it appropriate to use the work of others – being a management's expert or an auditor's expert. The auditor can also rely on the work of internal audit if the internal audit function is effective.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect because control risk is a component of the audit risk model.

Answer B is correct because financial risks are risks that relate to financial issues such as failing to collect cash quickly enough from customers and not having the ability to raise long-term finance. Financial risks are one of the category of business risks (the other two being operational risks and compliance risks).

Answer C is incorrect because fraud risk is a risk that the auditor will automatically consider but does not necessarily relate to business risk.

Answer D is incorrect because audit risk is the risk that the auditor forms an incorrect opinion on the financial statements and hence relates to the risk of material misstatement.

Question 2

Answer A is incorrect because that describes detection risk, which is the only risk in the audit risk model that is under the control of the auditor.

Answer B is correct because inherent risk is the risk of misstatement which could be material before the auditor considers any related controls to prevent a misstatement.

Answer C is incorrect because this relates to control risk.

Answer D is incorrect because this refers to audit risk.

Question 3

Answer A is incorrect because rights and obligations refer to classes of assets and liabilities.

Answer B is correct because completeness means all transactions and events that should have been recorded have been recorded. Accuracy means that amounts and other data have been recorded appropriately.

Answer C is incorrect because existence refers to assets, liabilities and equity interests.

Answer D is incorrect because valuation and allocation refers to assets, liabilities and equity interests.

Question 4

Answers A, B and D are incorrect because inspection, reperformance and inquiry are all valid audit procedures under HKSA 500.

Answer C is correct because review is not an audit procedure.

Question 5

Answer A is correct because the current ratio is a liquidity ratio along with the quick ratio and the gearing ratio.

Answer B is incorrect because receivables days is an efficiency ratio.

Answer C is incorrect because gross profit margin is a profitability ratio.

Answer D is incorrect because return on capital employed is a shareholders' return ratio.

Question 6

Answer A is incorrect because materiality is also based on the statement of profit or loss.

Answer B is incorrect because numeric benchmarks are not absolute.

Answer C is incorrect because materiality is both quantitative and qualitative in nature and hence is not just concerned with monetary amounts, since disclosures could also be material in nature.

Answer D is correct because materiality is a wholly judgemental exercise and HKSA 320 does not provide a definitive calculation, hence the use of benchmarks is useful as a starting point.

Question 7

Answer A is correct because if there is a high materiality level, fewer transactions will be subject to audit procedures, which increases audit risk.

Answer B is incorrect because if the materiality level is low, the auditor will subject a higher level of transactions to audit procedures, which reduces audit risk.

Answer C is incorrect because a higher materiality level gives rise to a higher level of audit risk.

Answer D is incorrect because there is a relationship between materiality and audit risk (since a low materiality level reduces audit risk whereas a high materiality level increases audit risk).

Question 8

Answer A is incorrect because net assets are not taken into account when using benchmarks for materiality (total assets are used).

Answer B is incorrect because revenue is not affected when an allowance for a receivable is made, since pre-tax profit is affected instead.

Answer C is incorrect because net assets are not used; gross assets are.

Answer D is correct because an irrecoverable receivable will affect both profit before tax and gross assets.

Question 9

Answer A is incorrect because it is a test of control to ensure that staff are not paid for hours not worked.

Answer B is correct because tracing a capital item to a purchase invoice is a substantive procedure which confirms the rights and obligations assertion (checking the invoice is in the name of the company) and valuation assertion (checking the item has been included in the statement of financial position at the correct amount).

Answer C is incorrect because a credit check is carried out to ensure the company is not selling goods to customers with a poor credit history – to reduce the risk of irrecoverable receivables – and reviewing files for evidence of a credit check is a test of control.

Answer D is incorrect because reviewing overtime worked reports for evidence of authorisation is a test of control – to ensure that employees are paid for the hours they have worked, and that overtime is authorised by a responsible official.

Question 10

Answer A is correct because the auditor must consider the assertion being tested and the reliability of the data prior to applying substantive analytical procedures.

Answer B is incorrect because the internal control environment is tested via tests of controls.

Answers C and D are incorrect because materiality is not a factor to consider at the outset, since the auditor will establish the degree of precision possible and the amount of variation which is acceptable.

Question 11

Substantive procedures are audit procedures which are designed to detect material misstatement at the assertion level. Substantive procedures consist of tests of detail and analytical procedures.

Substantive analytical procedures are used to assess the reasonableness of a figure but, unlike substantive procedures, they do not detect material misstatements. Instead, they identify possible sources of misstatements. As a result, substantive analytical procedures cannot be used in isolation but are used with other forms of testing such as inquiry, recalculation and reperformance.

Tests of controls aim to test the operating effectiveness of the audit client's internal controls during the reporting period. The focus of a test of control is not on the monetary amount of a transaction and so it does not test a particular figure in the financial statements, because this is the purpose of substantive procedures. A test of control does, however, provide *indirect* evidence on the financial statements and so the auditor can assume that if the controls are operating effectively, there is a lower risk of material misstatement in the financial statements.

Question 12

Answers A and B are incorrect because authorisation procedures and segregation of duties are internal control procedures rather than components of internal control.

Answer C is correct because HKSA 315 (Revised 2019) identifies the information system and communication as one of the five components of an entity's system of internal control.

Answer D is incorrect because internal audit is a function of the entity's internal control rather than a component of internal control.

Question 13

It is important that the auditor obtains a thorough understanding of the internal controls in place at an audit client in order to plan the audit properly and determine the audit tests to be performed at the audit fieldwork stage. If the client's internal controls are deemed to be weak or ineffective, there will be little (if any) reliance placed on those controls and a more substantive approach will be taken in order to generate sufficient and appropriate audit evidence. In addition, it is important that the auditor obtains a good understanding

of the internal control environment in order to assess control risk and identify the types of potential misstatements which may arise, together with the factors which contribute to the risk that they will occur.

The auditor gains an understanding of the control environment of an entity by:

- making inquiries of key management (this can also include others within the entity whom the auditor determines is an appropriate individual – for example, the warehouse manager when understanding controls over inventory);
- inspecting documented policies and procedures;
- observing activities and operations; and
- considering previous experience with the audit client.

Question 14

Answer A is incorrect because it has missed the planning phase of the audit.

Answer B is correct because HKSA 520 requires the auditor to apply analytical procedures at the planning stage of the audit as risk assessment procedures and towards the end of the audit to form a conclusion as to whether the financial statements are consistent with the auditor's knowledge and understanding of the entity.

Answer C is incorrect because it misses out the end of the audit.

Answer D is incorrect because it misses out the planning stage.

Question 15

Answers A and B are incorrect because the current ratio and the quick ratio are both liquidity ratios.

Answer C is correct because gross profit margin shows the relationship between direct costs (cost of sales) and revenues and the net profit margin shows the relationship between total costs and revenues.

Answer D is incorrect because the gearing ratio is a liquidity and a shareholders' return ratio.

Question 16

Answer A is correct because the auditor must first develop an expectation for the outcome and then define a significant difference or threshold.

Answer B is incorrect because calculating a variance is part of ratio analysis, which forms part of analytical procedures rather than being an element to consider.

Answer C is incorrect because performance materiality does not come into the elements – the auditor instead calculates an acceptable difference or threshold.

Answer D is incorrect because the results are documented in the audit working papers rather than discussed among the engagement team.

Question 17

Answer A is correct because a proof in total test is a reasonableness test and is a substantive analytical procedure.

Answer B is incorrect because reperformance is an audit procedure rather than a substantive analytical procedure.

Answer C is incorrect because comparison of the current-year gross profit margin to the prior year is an analytical procedure but not a substantive analytical procedure.

Answer D is incorrect because tracing a sample of year-end receivables to post-year-end cash receipts is a substantive procedure not a substantive analytical procedure.

Question 18

Answer A is incorrect because adequate audit documentation is not referred to in the HKSA's.

Answer B is incorrect because trustworthiness is not a factor cited in HKSA 500 *Audit Evidence*.

Answer C is incorrect because authenticity of audit evidence is not referred to in the HKSA's.

Answer D is correct because sufficiency is a characteristic of audit evidence which is required by HKSA 500 *Audit Evidence* and refers to the quantity of audit evidence.

Question 19

Answer A is incorrect because the auditor would try to resolve the situation first and would not immediately resign.

Answer B is correct because HKSA 580 *Written Representations* would require the auditor to discuss the matter with management, re-evaluate the integrity of management and consider the implications for the auditor's report.

Answer C is incorrect because a disclaimer of opinion would only be issued if the auditor cannot form an opinion.

Answer D is incorrect because the auditors cannot insist that the client provides representations; they can only ask for them.

Question 20

Answer A is incorrect because relying on the work of others would not serve to save time on the overall audit.

Answer B is correct because the auditor cannot be expected to be an expert in every area of the client's business.

Answer C is incorrect because the auditor must not refer to reliance on the work of others in the auditor's report (unless required by law or regulation).

Answer D is incorrect because HKSA's do not make it mandatory for the auditor to rely on the work of others. It is left to the auditor's professional judgement in determining the need to rely on the work of others.

Question 21

Answer A is correct because the auditor must first assess whether the expert is competent, capable and objective.

Answer B is incorrect because the auditor may appoint an expert to generate sufficient appropriate audit evidence.

Answer C is incorrect because it would be the audit engagement partner that would authorise the use of an expert in practice.

Answer D is incorrect because experts are used in specialist areas of the financial statements and it is unlikely that other engagement team members would possess the relevant skills.

Question 22

Answer A is incorrect because the auditor does not have to document the reasons why direct assistance is necessary (although they may choose to do so).

Answer B is incorrect because there does not have to be a legal agreement in place; there has to be an agreement, but it is not necessary to have it drawn up legally.

Answer C is correct because HKSA 610 (Revised 2013) paragraph 33 makes it mandatory that internal audit keeps the external auditor's information confidential and the external auditor must provide direction, supervision and review of the work of the internal auditor.

Answer D is incorrect because the internal auditor is not named in the auditor's report; only the external audit engagement partner is named.

Question 23

Answer A is incorrect because the auditor must not refer to the property valuer in the auditor's report.

Answer B is correct because the auditor is responsible for the auditor's report and hence cannot make reference to the property valuer (unless such reference is required by law or regulation) as this may be viewed as diminishing their responsibility for the auditor's opinion.

Answer C is incorrect because it is the external auditor who is responsible for the conclusions drawn over the property valuation.

Answer D is incorrect because an emphasis of matter paragraph is not used where a building is revalued.

Question 24

Answer A is correct because the audit engagement partner is responsible for authorising the planning and the audit programmes.

Answers B, C and D are incorrect because neither the audit manager, the audit supervisor nor the ethics partner can authorise the planning and the audit programmes.

 EXAM PRACTICE QUESTIONS**QUESTION 1**

You are the audit senior planning the audit of your existing client, Tanlee Industries Ltd, for the year ending 31 December 20X2. You are assessing the risks of material misstatement and have been approached by the audit junior who wishes to understand the audit risk model.

- (a) Define audit risk and describe the audit risk model and its components.
- (b) Using the audit risk model, explain which of the risks is under the control of the auditor.

QUESTION 2

You are the audit supervisor planning the audit of your existing client, Ling Clothing Ltd. You are responsible for the audit of the company's non-current assets. During the year to 31 December 20X2, the company has purchased a material amount of plant and machinery and has disposed of some old plant and machinery, which has resulted in a profit on disposal being recognised in the draft statement of profit or loss. The company has also revalued its property during the year, which has resulted in a revaluation gain being recognised.

- Describe the sources of audit evidence which the auditor will use to verify the assertions in the financial statements for the year ending 31 December 20X2.
- Determine at least five audit procedures which the auditor could devise in the audit programmes for the non-current assets of the business.

QUESTION 3

Extracts from the draft financial statements of Zoor Ltd for the year ending 31 December 20X2 show the following:

	20X2 (draft) HK\$'000	20X1 (audited) HK\$'000
Revenue	190,000	180,000
Cost of sales	(105,000)	(75,000)
Gross profit	85,000	105,000
Operating expenses	(62,000)	(68,000)
Profit before interest and tax	23,000	37,000
Inventory	25,000	22,000
Receivables	60,000	51,000
Cash	9,000	15,000
Trade payables	26,000	20,000
Bank loan	8,000	–

Using the information above:

- Calculate five ratios for both years which would assist the audit manager in planning the audit of Zoor Ltd.
- Using the ratios calculated, describe any associated risks of material misstatement within the figures and construct an overall conclusion over the financial performance and financial position of Zoor Ltd.

QUESTION 4

You are planning the audit of Cheung Industries Ltd for the year ending 31 December 20X2. During the year, the company carried out a revaluation of seven buildings which it owns. This resulted in a significant revaluation gain.

The audit engagement partner has suggested that it may be possible to rely on the work of the property valuer when auditing property, plant and equipment. However, it is likely that the audit firm will use its own property valuer to obtain sufficient appropriate audit evidence over the valuation.

- (a) Describe the terms 'management's expert' and 'auditor's expert'.
- (b) Explain the requirements of HKSA 620 *Using the Work of an Auditor's Expert* when the auditor plans on relying on the work of an expert.

QUESTION 5

HKSA 500 *Audit Evidence* states that audit evidence must be sufficient and appropriate.

In the context of HKSA 500, explain the terms 'sufficient' and 'appropriate'.

ANSWERS TO EXAM PRACTICE

QUESTION 1

- (a) Audit risk and the components of audit risk

Audit risk is the risk that the auditor expresses an inappropriate audit opinion when the financial statements contain material misstatement. Audit risk is a function of two main components – the risk of material misstatement and detection risk. The risk of material misstatement is made up of inherent risk and control risk.

Inherent risk is the susceptibility of an assertion about a class of transaction, account balance or disclosure to a misstatement which could be material, either individually or when aggregated with other misstatements, before consideration of any related controls.

Control risk is the risk that a misstatement which could occur in an assertion about a class of transactions, account balance or disclosure and which could be material, either individually or when aggregated with other misstatements, will not be prevented, or detected and corrected, on a timely basis by the entity's controls.

Detection risk is the risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a misstatement which could be material, either individually or when aggregated with other misstatements. Detection risk is affected by sampling and non-sampling risk.

- (b) Risk under the control of the auditor

In the audit risk model, detection risk is the only risk which is under the control of the auditor. It is the risk that the auditor's conclusion based on a sample is different from the conclusion which would be reached if the whole population was tested.

QUESTION 2

- (a) Sources of audit evidence

The auditor will gather audit evidence using tests of controls and substantive procedures. Substantive procedures include tests of detail and substantive analytical procedures.

Tests of controls aim to test the operating effectiveness of a client's internal control environment throughout the reporting period.

Substantive procedures focus on the monetary amounts recognised in the financial statements and aim to detect material misstatements.

- (b) Five procedures which the auditor could include in the audit programme for non-current assets

Any five of the following:

- Obtain the non-current assets register, cast the register and agree the totals with the financial statements.
- Select a sample of assets from the non-current asset register and physically inspect them.
- Select a sample of assets visible at the client and inspect the asset register to ensure they are included.
- Inspect assets for condition and usage to identify if there are signs of impairment.
- For the revalued building, inspect the valuation report and agree the amount stated with the amount included in the general ledger and the financial statements.
- Select a sample of additions and agree the cost with the supplier invoice.
- Obtain a list of additions and inspect the description of the items to ensure that they are of a capital nature rather than repairs and maintenance.
- Inspect the repairs and maintenance account in the general ledger for items which may be of a capital nature.
- Inspect supplier invoices (for plant and machinery), title deeds (for property) and registration documents (for motor vehicles) and ensure that these documents are in the name of the company to confirm the rights and obligations assertions.
- For disposals, obtain a breakdown, cast the list and agree all assets have been removed from the non-current assets register.
- Select a sample of disposals and agree sale proceeds to sundry sales invoices.
- Recalculate the profit on disposal and agree with the statement of profit or loss.
- Recalculate the depreciation charge for a sample of assets to verify arithmetical accuracy.
- Inspect the financial statement disclosures for depreciation charges and policies and compare to the prior year to ensure they are consistently applied.
- Recalculate the depreciation charge for the revalued building to ensure the charge is based on the new carrying amount.
- Review the level of profit on disposal of assets – if depreciation charges are reasonable, there should not be a high level of profit on disposal.
- Compare depreciation rates to companies in the same industry to assess reasonableness.
- Perform a proof in total calculation for the depreciation charge for each category of assets and discuss with management where significant fluctuations exist.

QUESTION 3

- (a) Ratios which will help the audit manager plan the audit

Only five required:

	20X2	20X1
Gross margin	$85,000/190,000 = 44.7\%$	$105,000/180,000 = 58.3\%$
Operating margin	$23,000/190,000 = 12.1\%$	$37,000/180,000 = 20.6\%$
Inventory days	$25,000/105,000 \times 365 = 87 \text{ days}$	$22,000/75,000 \times 365 = 107 \text{ days}$
Receivables days	$60,000/190,000 \times 365 = 115 \text{ days}$	$51,000/180,000 \times 365 = 103 \text{ days}$
Payables days	$26,000/105,000 \times 365 = 90 \text{ days}$	$20,000/75,000 \times 365 = 97 \text{ days}$
Current ratio	$94,000/34,000 = 2:8$	$88,000/20,000 = 4:4$
Quick ratio	$(94,000 - 25,000)/34,000 = 2:0$	$(88,000 - 22,000)/20,000 = 3:3$

- (b) Risks of material misstatement

Gross profit margins are generally expected to remain relatively consistent. In Zoor's draft financial statements, the gross profit margin has reduced from 58.3% to 44.7%, which may indicate a cut-off problem within sales (sales may be understated), or purchases from the next accounting period could be recognised in error, or there may be a problem with the valuation of inventory at year-end (i.e. inventory could be undervalued).

Operating margin has also decreased quite significantly from 20.6% to 12.1%. This could indicate that the company has experienced an increase in overhead expenditure which has had a detrimental impact on profit. If this is expected to continue, the company will eventually start to sustain a loss if it is not addressed by management.

Inventory days have reduced from 107 days to 87 days, which suggests that the company is holding inventory for a shorter period of time – this is encouraging, as there are costs associated with holding inventory for long periods of time. However, if the inventory is undervalued (as may be the case given the reduced gross profit margins), any adjustment to increase inventory will increase the inventory holding days.

Receivables days have increased from 103 days to 115 days. This suggests that it is taking longer for the company to collect cash in from receivables, which could impact on cash flow if the credit control function is weaker than in the previous year. It may also be the case that certain receivables are themselves having difficulties in paying, which may mean an allowance for receivables is required.

Payables days have decreased from 97 days to 90 days and given that receivables days have increased (as above), the company's cash operating cycle is likely to be impacted detrimentally. If payables days continue to decrease and receivables days continue to increase, the company runs the risk of running out of money or being unable to pay suppliers, which will impact on the business – giving rise to a material uncertainty related to going concern.

The current ratio has decreased from 4:4 to 2:8, which means that the company's available resources to meet its short-term debt are lower than they were in the

previous year. This also gives rise to questions over the entity's ability to continue as a going concern. If the current ratio goes lower than 1, this would indicate that the company is in financial difficulty.

The quick ratio recognises that inventory takes time to sell and hence is removed when calculating the quick ratio. The quick ratio has also fallen, meaning that the company's ability to use its 'near' cash or quick assets to meet liabilities is also lower.

The ratios calculated for Zoor indicate that there are some concerns over the company's financial performance and position, and hence additional procedures over the entity's ability to continue as a going concern will also have to be included in the audit programmes for the year ending 31 December 20X2.

QUESTION 4

(a) Management's expert and auditor's expert

A 'management's expert' is an employee of the audit client or someone engaged by the client who has expertise which is used to assist in the preparation of the financial statements, such as an actuary, lawyer or property valuer.

An 'auditor's expert' is an employee of the audit firm, or someone engaged by the audit firm to provide sufficient appropriate audit evidence.

(b) Requirements of HKSA 620

According to HKSA 620, the auditor must:

- Determine the scope of work to be carried out and agree the scope of this work in an engagement letter which outlines:
 - the nature, scope and objectives of the expert's work;
 - the roles and responsibilities of the auditor and the expert;
 - the nature, timing and extent of communication between the auditor and the expert; and
 - the need for the expert to observe confidentiality.
- Assess the competence, capability and objectivity of the expert through:
 - enquiring of the expert's professional qualifications and experience and whether they are a member of a professional body; and
 - assessing if there are any business or personal relationships which exist between the expert and the audit client.
- Evaluate the adequacy of the expert's work to ensure that it is appropriate for the purpose of the audit and consider:
 - the consistency of the findings with other audit evidence;
 - the relevance and reasonableness of the assumptions and methods used by the expert; and
 - the relevance, completeness and accuracy of the source data used.

QUESTION 5

(a) Explanation of 'sufficient' and 'appropriate'

The term 'sufficiency' relates to the quantity of audit evidence. There needs to be sufficient audit evidence in order to support the auditor's conclusion. When determining if there is sufficient audit evidence, the auditor must consider:

- The risk of material misstatement.
- The materiality of the item.
- The nature of accounting and internal control systems.
- The results of control tests.
- The auditor's knowledge and experience of the business.
- The size of the population being tested.
- The size of the sample selected to test.
- The reliability of the evidence obtained.

The term 'appropriateness' relates to the reliability and relevance of the audit evidence. Evidence is considered more reliable when it is:

- Obtained from an independent external source.
- Generated internally but subject to effective control.
- Obtained directly by the auditor.
- In documentary form.
- In original form.

If audit evidence is unreliable, it will not be appropriate for the audit regardless of how much is gathered.

To be relevant, audit evidence has to address the objective/purpose of a procedure.

5

Sampling

CHAPTER TOPIC LIST

5.1 Audit Sampling Overview

5.2 Sampling and Non-sampling Risk

- 5.2.1 Sampling Risk and Tests of Control
- 5.2.2 Sampling Risk and Substantive Procedures
- 5.2.3 Non-sampling Risk

5.3 Statistical and Non-statistical Sampling Overview

5.4 Sampling Techniques and Factors Affecting Sampling

- 5.4.1 Sampling Techniques
- 5.4.2 Factors to Consider When Selecting a Sample

5.5 Factors that Influence the Sample Size

- 5.5.1 Tests of Control
- 5.5.2 Substantive Procedures

5.6 Techniques for Performing Substantive Tests

- 5.6.1 Variable Sampling
- 5.6.2 Monetary Unit Sampling

5.7 Comparison of Tests of Control, Tests of Details of Balances and Transactions

- 5.7.1 Tests of Control
- 5.7.2 Attribute Sampling
- 5.7.3 Test of Details and Balances and Transactions
- 5.7.4 Differences in the Methods of Audit Sampling

5.8 Achieving Audit Objectives Using Sampling

- 5.8.1 Design the Sample
- 5.8.2 Select the Sample and Carry Out the Tests
- 5.8.3 Evaluate the Results



LEARNING OUTCOMES

PRINCIPAL LO3: EXPLAIN AND ANALYSE AUDIT APPROACH AND PLANNING

LO3.06: Describe the use of audit sampling for tests of controls

- 3.06.01** Explain and describe the concept of representative sampling
- 3.06.02** Explain the difference between statistical and non-statistical sampling
- 3.06.03** Illustrate audit sampling for exception rates
- 3.06.04** Illustrate the use of non-statistical sampling
- 3.06.05** Define and describe attributes sampling and a sampling distribution
- 3.06.06** Illustrate the use of attributes sampling
- 3.06.07** Illustrate sampling concepts and methodology to an audit plan
- 3.06.08** Explain the difference between sampling risk and non-sampling risk
- 3.06.09** Illustrate the evaluation of potential misstatements from audit sampling

LO3.07: Illustrate the use of audit sampling for tests of details of balances

- 3.07.01** Describe the methodology for designing tests of details of balances using the audit risk model
- 3.07.02** Explain the differences between audit sampling for tests of details of balances, tests of controls and substantive tests of transactions
- 3.07.03** Define and describe variable sampling
- 3.07.04** Define and illustrate monetary unit sampling



OPENING CASE

ABC INDUSTRIES LTD

You are the audit senior of Li & Co Certified Public Accountants and are carrying out the planning of your existing audit client, ABC Industries Ltd, with year-end 31 December 20X2. The audit engagement partner has held a planning meeting with ABC Industries' finance director, Manchu Kang, and extracts from that meeting are as follows.

ABC Industries Ltd manufactures chemicals for use in domestic cleaning products, such as bleaches and disinfectants. It operates from one large site which consists of the manufacturing division, a warehouse and offices. In addition, ABC Industries Ltd stores its finished products in three bonded warehouses that are owned by unconnected third parties. It is expected that each warehouse (including the one located on the site of the company itself) will contain a material amount of finished goods and the manufacturing division will also have a material amount of work in progress as at 31 December 20X2. The company uses a computerised stock control module which also values the company's finished goods and work in progress.

The company will be carrying out a full inventory count of its finished goods and work in progress on 31 December 20X2, including inventory counts at all three bonded warehouses. During the inventory count, slow-moving or damaged items of inventory are stored in a separate area of each warehouse. The company will not be accepting deliveries of goods inwards or outwards on 31 December 20X2 to allow for a smooth inventory count to be performed. An audit team from Li & Co will be attending the inventory count on 31 December 20X2 to carry out test counts during the inventory counting process and review management's instructions to assess if they reduce the risk of material misstatement in the overall final inventory valuation that will be recognised in the year-end financial statements.

The company operates approximately 300 sales ledger accounts and sells products on credit to its customer base. Credit terms range from 30 to 90 days, depending on the size of the customer and the volume of sales during the year. On average, most customers pay their invoices in full within 60 days. The company raises approximately 1,500 invoices per month for its four major product lines (ChemPro A, ChemPro B, ChemPro C and ChemPro D), each of which is accounted for separately in the general ledger so that management can assess the sales volume of each product. 



OVERVIEW

One of the primary techniques which auditors use to gather audit evidence is sampling. It is not possible for the auditor to test every single transaction which is included in the financial statements of a reporting entity, because this would be impracticable. As a consequence, the auditor selects various items for testing through sampling.

Before continuing with this chapter, you are encouraged to reflect on the earlier planning in Chapters 3 and 4 of this module. These chapters consider audit planning and risk assessment in detail, which significantly influences the auditor's decisions where sampling is concerned.

This chapter will introduce you to the concept of sampling, which is dealt with in HKSA 530 *Audit Sampling*.



5.1 AUDIT SAMPLING OVERVIEW

Audit sampling is dealt with in HKSA 530 *Audit Sampling*. The definition of '**audit sampling**', as described in HKSA 530, is:

The application of audit procedures to less than 100% of items within a population of audit relevance such that all sampling units have a chance of selection in order to provide the auditor with a reasonable basis on which to draw conclusions about the entire population.

The term '**population**' refers to the entire set of data from which a sample is selected and about which the auditor wishes to draw conclusions.

It is usually impracticable for the auditor to test every item in an accounting population because of the costs involved and time constraints. This is recognised as one of the inherent limitations of an audit.

The term 'representative sample' can be taken to mean one in which the properties of interest of the sample are approximately the same as those of the population. The sample selected may not be representative of the population because of both the sampling and non-sampling risks.

Illustrative Example 1

ABC Industries Ltd operates approximately 300 credit accounts through its sales ledger and raises approximately 1,500 sales invoices each month.

Illustrative Example 1 (continued)

1,500 sales invoices multiplied by 12 months is equivalent to 18,000 sales invoices each year. It would be impracticable for the auditor to test every single sales invoice during the year, as this would prove very expensive and would take a significant amount of time to complete. For this reason, the auditor will extract a sample from the population of sales invoices.

Key Learning Point

Keep in mind that the auditor only gives **reasonable** assurance (they can never give **absolute** assurance) that the financial statements are free from material misstatement, whether caused by fraud or error. Hence, the auditor is not endorsing that the financial statements are 100% accurate as the auditor is not verifying 100% of the transactions that are included in the financial statements.

 5.2 SAMPLING AND NON-SAMPLING RISK

As discussed in Chapter 4, sampling risk is a component of detection risk. Detection risk is the risk that the auditor will fail to detect a misstatement that exists in a financial statement assertion which could be material, either individually or when aggregated with other misstatements. In the audit risk model, detection risk is the only risk that is under the control of the auditor.

The term 'sampling risk' is defined in HKSA 530 as:

The risk that the auditor's conclusion based on a sample may be different from the conclusion if the entire population were subjected to the same audit procedure. Sampling risk can lead to types of erroneous conclusions:

- (a) In the case of a test of controls, that controls are more effective than they actually are, or in the case of a test of details, that a material misstatement does not exist when in fact it does. The auditor is primarily concerned with this type of erroneous conclusion because it affects audit effectiveness and is more likely to lead to an inappropriate audit opinion.
- (b) In the case of a test of controls, that controls are less effective than they actually are, or in the case of a test of details, that a material misstatement exists when in fact it does not. This type of erroneous conclusion affects audit efficiency as it would usually lead to additional work to establish that initial conclusions were incorrect.

The term 'non-sampling risk' is defined as:

The risk that the auditor reaches an erroneous conclusion for any reason not related to sampling risk.

Auditors will have to deal with sampling risk in both tests of control and substantive procedures. Keep in mind that **sampling risk** is the risk that the auditor's sample from a population (the population being the items that make up a balance) will not be representative.

5.2.1 Sampling Risk and Tests of Control

As we saw in Chapters 3 and 4, 'tests of control' are audit procedures applied by the auditor which are designed to evaluate the operating effectiveness of the entity's controls in preventing or detecting and correcting material misstatement.

The risk to auditors where tests of control are concerned is that the controls are either more or less effective than they actually are, because the rate of errors in the sample is not the same as the actual rate of errors in the population.

Sampling risk affects tests of control because the wrong conclusion over the operating effectiveness of controls could lead the auditor to rely too heavily on controls, hence failing to detect a material misstatement and expressing an incorrect audit opinion. Or, the auditor could place less reliance on internal controls, which results in more substantive procedures having to be applied, and hence audit inefficiencies due to more work having to be performed.

Apply and Analyse 1

Apply

During the initial audit planning with the client, the audit engagement partner was told by Manchu Kang, ABC Industries' finance director, that all staff involved in the year-end inventory count are provided with detailed instructions drawn up by Manchu Kang and the company's production director, Yu Yu Cheung. Manchu Kang confirmed that at each warehouse there will be a number of teams counting the inventory in different numbered sections of each warehouse, which has been mapped. Each team will comprise two individuals: one will count the inventory and the other will record the inventory on the sequentially numbered inventory count sheets. The audit engagement team will be attending each warehouse on 31 December 20X2 to carry out a sample of test counts in a two-way direction: from inventory count sheets to inventory and from inventory to inventory count sheets. As each section of a warehouse has been counted, it will be shaded on the map to indicate that counting is complete in that area.

Assuming that the inventory count sampling confirms that management's instructions are being complied with and the inventory count procedures will reduce the risk of material misstatement of the final inventory valuation, describe the sampling risk present and how this can affect the auditor's conclusions over the controls present over the inventory count.

Analysis

The sampling risk is the risk that the auditor's sample from the entire inventory count is not representative of the population (the population being the entire inventory). This can arise because the auditor's sample is inadequate (i.e. too small). In order to reduce sampling risk, the auditor needs to increase the size of the sample selected.

Apply and Analyse 1 (continued)

ABC Industries has a number of controls in place over the inventory count as follows:

- Detailed instructions are provided to counting staff by management.
- Each section of the warehouse has been numbered on the warehouse map.
- Teams are comprised of two individuals – one counting and one recording.
- Sequentially numbered inventory count sheets are being used.

Sampling risk can lead the auditor to erroneously conclude that the above controls are more effective than they actually are. This means that the auditor's sample of inventory counts will be lower than would otherwise be the case (as they are placing reliance on the effectiveness of the controls) and is more likely to lead to an inappropriate audit opinion being expressed because those items of inventory which have not been sampled may contain material misstatement due to the incorrect conclusion over the controls of the inventory count.

Conversely, sampling risk can lead the auditor to erroneously conclude that the above controls are less effective than they actually are. This results in the auditor increasing sample sizes from what would otherwise have been the case, creating additional work and hence reducing audit efficiency.

5.2.2 Sampling Risk and Substantive Procedures

Substantive procedures are also referred to as 'tests of details' and are aimed at detecting material misstatement at the assertion level.

As noted earlier in the chapter, sampling risk is the risk that the auditor's sample from a population is not representative. If the sample is too small, the sampling risk is that the auditor fails to detect a material misstatement.

Conversely, if the auditor has concluded that a material misstatement exists and hence requires a large sample to be tested, the auditor is carrying out more substantive procedures, which increases time spent on the audit.

Apply and Analyse 2

Apply

During the detailed audit fieldwork of ABC Industries, the audit senior has decided to test a sample of items counted at the inventory from the inventory counting sheets to the final inventory valuation. The audit senior has reviewed a note on the file from the team who carried out the inventory count testing, referring to a number of items that had been counted twice, which would have resulted in an overstated inventory valuation had the duplication not been discovered. The duplication arose because the items had not been flagged as counted at the time they were initially counted. The audit senior has decided that as this error was spotted during the inventory count by the audit team, no additional work needs to be performed and a relatively low number of items will be checked from the inventory count sheets to the final inventory valuation.

Apply and Analyse 2 (continued)

Describe the impact of the audit senior's decision on the audit of the final inventory valuation.

Analysis

Duplicated inventory counts are indicative that the controls over the count itself were not operating effectively. The audit team carrying out the inventory count would not have sampled all of the inventory they were attending to while the count was in progress. The audit senior's decision to sample a relatively low number of items from the count sheets to the final inventory valuation increases sampling risk, because the audit senior is essentially concluding that a material misstatement does not exist when in fact it may. This increases audit risk (the risk that the auditor will express an incorrect opinion).

Conversely, if no errors had been spotted during the inventory count and controls over the inventory count were operating effectively, and there had not been a history of errors in the inventory valuation, but the audit senior increases the sample by, say, 70%, this would increase the time spent carrying out substantive procedures, which would lead to increased costs on the audit.

5.2.3 Non-sampling Risk

Non-sampling risk is the risk that the auditor's conclusion is inappropriate for any other reason, such as the application of inappropriate audit procedures or the failure to recognise a misstatement or deviation. Non-sampling risk can also arise by the auditor misinterpreting the audit evidence obtained. Non-sampling risk is the opposite of sampling risk.

Apply and Analyse 3

Apply

Barbara Mok is the audit supervisor of Li & Co who is attending the inventory count of ABC Industries with a team of four other audit engagement team members.

During December 20X2, a significant problem arose in the company's stock control system. A junior member of the warehouse team incorrectly inputted the selling prices of finished goods as opposed to their cost prices. This resulted in overstated inventory valuations for approximately 20% of the company's products. The issue has come to light due to complaints from customers about receiving invoices for overcharged goods.

Yu Yu Cheung (the production director) carries out monthly reviews of the prices input into the stock valuation system to ensure they are cost prices, so the inventory valuation complies with HKAS 2 *Inventories* 'lower of cost and net realisable value' principles. However, in December 20X2, Yu Yu Cheung was absent due to illness and hence did not carry out the checks – nor did any other responsible official. Barbara Mok has fully

Apply and Analyse 3 (continued)

documented the controls over ABC Industries' inventory cycle, including the checks carried out by Yu Yu Cheung, but has not been made aware of this control deviation, nor asked Yu Yu Cheung or the finance director, Manchu Kang, about any problems arising in the system during the year.

Describe the impact on the audit sampling if Barbara Mok remains unaware of the inventory valuation issue in December 20X2.

Analysis

The issue here is that further inputting errors could have been made by the junior member of staff. A failure to recognise a misstatement or deviation is a non-sampling risk. Hence, Barbara Mok could conclude that controls over the inventory cycle have been operating effectively enough during the year to reduce the risk of material misstatement when, in fact, there has been a deviation from the internal control.

► Knowledge Check Questions**Question 1**

Identify which of the following erroneous conclusions HKSA 530 recognises an auditor could make in respect of an entity's controls:

- (I) They have been operating correctly during the period.
- (II) They are more effective than they actually are.
- (III) They are less effective than they actually are.
- (IV) A misstatement will be prevented, corrected and detected.
- (V) The controls have been operating ineffectively during the period.

- A** I and II
- B** II and III
- C** III and IV
- D** IV and V

Question 2

Identify which of the following would be an example of non-sampling risk.

- A** A misinterpretation of audit evidence.
- B** Assessing controls as effective when they are ineffective.
- C** Increasing the size of a sample selected.
- D** Subjecting the entire population to audit procedures.

5.3 STATISTICAL AND NON-STATISTICAL SAMPLING OVERVIEW

HKSA 530 defines 'statistical sampling' as:

An approach to sampling that has the following characteristics:

- (i) Random selection of the sample items; and
- (ii) The use of probability theory to evaluate sample results, including measurement of sampling risk.

Any approach which does not have both characteristics is considered as non-statistical sampling and whichever approach is taken by the auditor is a matter of professional judgement.

While statistical sampling requires the use of mathematical procedures, it still requires the auditor to exercise professional judgement – for example, in determining what constitutes a misstatement or deviation and what the performance materiality level is. In practice, a certain level of mathematical competence is required if valid conclusions are to be drawn from the sample evidence. Exhibit 5.1 outlines the advantages and disadvantages of statistical sampling.

Advantages	Disadvantages
It can be used by all levels of audit staff.	It can result in complex mathematical processes which need to be understood.
It is an efficient use of audit time because excessive sample sizes are not taken.	The principles of testing have to be properly applied in order for the tests to be valid.
It can result in a standard programme of testing.	
It relies on mathematical procedures which can be defensible and hence provides precise mathematical statements about probabilities being correct.	

► EXHIBIT 5.1 Advantages and disadvantages of statistical sampling

Non-statistical sampling means selecting an appropriate sample size based on the auditor's judgement of what is desirable. In contrast to statistical sampling, no time is spent on complex mathematical procedures and no specialist knowledge of statistics is required. Exhibit 5.2 outlines the advantages and disadvantages of non-statistical sampling.

Advantages	Disadvantages
It is an established process which is well understood.	It can result in large sample sizes which can increase the costs of the audit; it can also result in sample sizes which are too small and render the test invalid.
It brings in the auditor's judgement and expertise.	The results are not statistically valid.

► EXHIBIT 5.2 Advantages and disadvantages of non-statistical sampling

Advantages	Disadvantages
No time is spent on complex mathematical formulae or interpretations.	It can result in bias in the sample chosen.
No specialist knowledge is required.	It is generally not defensible when there is a lack of logic in the selection of the sample or its size.
Non-statistical sampling has been refined by experience.	There is no consistency of results – different auditors can produce different samples.

► **EXHIBIT 5.2** (Continued)

Illustrative Example 2

The auditor of ABC Industries Ltd is carrying out the audit of the bank payments made during the year. The auditor decides that she will select a minimum of 20 payments throughout the year on a haphazard basis (i.e. random choice).

This method of haphazard sampling follows no structured technique and would be regarded as an example of non-statistical sampling. Care must be taken with such approaches to ensure that there is no conscious bias in the selection of the sample.

► Knowledge Check Questions

Question 3

Identify which of the following is a characteristic of statistical sampling:

- A** The use of auditor's professional judgement.
- B** Haphazard selection of sample items.
- C** The use of statistical theory to evaluate sample results, including measurement of sampling risk.
- D** A structured selection of sample items based on the auditor's judgement.

5.4 SAMPLING TECHNIQUES AND FACTORS AFFECTING SAMPLING

There are a variety of sampling techniques (statistical and non-statistical) which the auditor can use in devising a sample of a population to perform audit procedures over. The technique used will ultimately be at the discretion of the auditor's professional judgement, and there are various factors which need to be carefully considered by the auditor because not every technique will be appropriate in the circumstances.

5.4.1 Sampling Techniques

HKSA 530 recognises that there are many methods of selecting samples and states that the principal methods are as follows:

- (a) **Random selection.** This can be achieved through the use of random number generators or tables. When random number generators or tables are used, this is a method of statistical sampling.
- (b) **Systematic selection.** This is a method of statistical sampling where the number of sampling units in the population is divided by the sample size to give a sampling interval. For example, every 50th sales invoice. While the starting point may be determined on a haphazard basis, the sample is more likely to be genuinely random if it is determined using a computerised random number generator or by way of random number tables. It is important when auditors use this sampling technique that they ensure the sampling units contained in the population do not result in a particular pattern arising within the sampling interval.
- (c) **Monetary unit sampling.** This is a method of statistical sampling which is a type of value-weighted selection in which sample size, selection and evaluation results in a conclusion in monetary amounts. This technique selects items based on monetary values (usually focusing on higher-value items).
- (d) **Haphazard selection.** This is an example of non-statistical sampling. When the auditor adopts a haphazard technique, it is not a structured technique. Even where auditors follow no structured technique, they must ensure they avoid any bias in the sample – for example, focusing their sampling on easy-to-locate items. This is because all items within a population must stand an equal chance of selection. HKSA 530 acknowledges that haphazard selection is inappropriate when using statistical sampling.
- (e) **Block selection.** This is a non-statistical method of sampling which involves selecting a block of contiguous (i.e. next to each other) items from the population and is often used in cut-off testing. HKSA 530 clarifies that such a technique would rarely be appropriate when the auditor expects to draw valid inferences about the entire population based on the sample.

When non-statistical methods (haphazard and block) are used, the auditor must use professional judgement to select the items to be tested. This increases the risk of auditor bias, but does support the risk-based approach whereby the auditor focuses on those areas of the financial statements which are more susceptible to material misstatement.

5.4.1.1 Stratification

Stratification is the process of breaking down a population into smaller sub-populations. Each sub-population is a group of sampling units which have similar characteristics. Audit efficiency can be enhanced if the auditor stratifies a population by dividing it into discrete sub-populations which have a classifying characteristic. This is because the auditor will effectively be auditing a small sub-population. HKSA 530 acknowledges that the objective of stratification is to reduce the variability of items within each stratum and so allow sample sizes to be reduced without increasing sampling risk. HKSA 530 provides useful guidance on stratification as follows.

When performing tests of detail, the population is often stratified by monetary value. This allows greater audit effort to be directed to larger-value items, as larger-value items contain a higher degree of risk of material misstatement (in terms of overstatement). Similarly, a population may be stratified according to a particular characteristic which indicates a higher risk of misstatement, for example, when testing the allowance for receivables in the valuation of trade receivables, balances may be stratified by age.

HKSA 530.2,
App 1

The results of audit procedures applied to a sample of items within a stratum can only be projected to the items which make up that stratum. To draw a conclusion on the entire population, the auditor will need to consider the risk of material misstatement in relation to whatever other strata make up the entire population. For example, 20% of the items in a population may make up 90% of the value of an account balance. The auditor may decide to examine a sample of these items. The auditor evaluates the results of the sample and reaches a conclusion on the 90% of value separately from the remaining 10% (on which a further sample or other means of gathering audit evidence will be used, or which may be considered immaterial).

HKSA 530.3,
App 1

If a class of transactions or account balance has been divided into strata, the misstatement is projected for each stratum separately. Projected misstatements for each stratum are then combined when considering the possible effect of misstatements on the total class of transactions or account balance.

HKSA 530.4,
App 1

Illustrative Example 3

ABC Industries Ltd raises approximately 1,500 sales invoices per month and has four major product lines which are all accounted for separately in the general ledger.

The auditor may 'stratify' the population of revenue into the four major product lines (i.e. ChemPro A represents 33% of revenue, ChemPro B represents 22% of revenue, ChemPro C represents 40% of revenue and ChemPro D represents 5% of revenue). From this, the auditor can then select a sample of revenue from ChemPro A. The results of the testing of that sample could be extrapolated across the whole sub-population of revenue from ChemPro A. A sample could then be selected for revenue from ChemPro B and the results of that testing can be extrapolated across that sub-population with the same exercise carried out for ChemPro C. The auditor may conclude that revenue from ChemPro D is immaterial and hence may not be tested.

5.4.2 Factors to Consider When Selecting a Sample

When designing a sample, the auditor must consider:

- **The purpose of the procedure** – why is the test being carried out? What contribution does the test make to the overall assessment of the financial statements presenting a true and fair view?
- **The combination of procedures that are being performed** – are tests of control being carried out and can they contribute as audit evidence? What other audit procedures are being carried out over the area being audited?

- **The nature of audit evidence sought** – is external, third-party audit evidence available? Can auditor-generated evidence be obtained?
- **The possible misstatement conditions** – is the area being audited at higher risk of material misstatement or are controls over the area weak or non-existent?

Apply and Analyse 4

Apply

ABC Industries Ltd operates approximately 300 sales accounts and the majority of these sales ledger accounts are expected to owe the company money at year-end 31 December 20X2. The audit engagement partner has decided that a trade receivables confirmation will not be carried out this year due to the low response rate received in the previous year's audit, and the fact that they are generally viewed as a weak form of audit evidence since they do not provide evidence over the valuation assertion (customers may acknowledge that they owe the money, but that does not necessarily mean they will pay – it could end up being written off as a bad debt).

The audit engagement partner has requested extended post-year-end cash receipts testing be performed to support the valuation and existence assertions. Explain how would this request influence the sample to be chosen by the auditor?

Analysis

Given the number of sales ledger accounts in existence, it is highly likely that the trade receivables balance at year-end will be material. The audit engagement partner has requested **extended** post-year-end cash receipts testing be performed as a trade receivables confirmation is not being carried out. In designing the sample, the auditor must consider:

- The purpose of the procedure – which is to provide reasonable assurance that the trade receivables amount in the statement of financial position does not contain material misstatement.
- The combination of the procedures that are being performed – extended post-year-end cash receipts testing will be **in addition** to other audit procedures to support the trade receivables amount (such as agreeing the sales ledger control account with the list of balances and selecting a sample of year-end balances and agreeing back to goods despatched notes and sales orders).
- The nature of the audit evidence sought – the extended post-year-end cash receipts testing will confirm (or otherwise) that trade receivables exist at year-end and that they are appropriately valued as they will be traced to monies received after the reporting date from the receivable.
- Possible misstatement conditions – the auditor must consider the possibility that some receivables balances may not be recoverable (especially if they cannot be traced to post-year-end cash receipts) and hence an allowance for receivables may be necessary to avoid overstating trade receivables and profit.

Tolerable misstatement is a monetary amount set by the auditor in respect of which the auditor seeks to obtain an appropriate level of assurance that the monetary amount set by the auditor is not exceeded by the actual misstatement in the population.

Tolerable rate of deviation is a rate of deviation from prescribed internal control procedures set by the auditor in respect of which the auditor seeks to obtain an appropriate level of assurance that the rate of deviation set by the auditor is not exceeded by the actual rate of deviation in the population.

To test this, auditors will estimate the percentage value of items in a population containing a certain characteristic or attribute of interest. This percentage is called the **occurrence rate** or **exception rate**. Auditors are interested in the following types of exceptions:

- Deviations that have arisen from the client's internal control environment.
- Monetary misstatements in populations of transaction data (e.g. revenue).
- Monetary misstatements in populations of account balance details (e.g. trade receivables).

Where auditors discover a deviation or a misstatement, they must examine the nature and cause of such deviations/errors and assess their likely effect on the purpose of the audit procedures, including other areas of the audit. If the error is considered to be an anomalous error (a one-off error), the auditor must obtain sufficient appropriate audit evidence that this conclusion is correct and that the error is not, in fact, representative of the population.

Misstatements must then be projected across the population (see Section 5.8.3.1) and the results of audit sampling evaluated (see Section 5.8.3.2).

5.4.2.1 Exception rates

When the auditor is carrying out tests of control and performing substantive tests of transactions, the auditor must determine whether the controls are operating effectively and whether the rate of monetary errors is below tolerable limits.

► Knowledge Check Questions

Question 4

Identify which of the following is a principal sampling method according to HKSA 530:

- A Interval sampling
- B Systematic selection
- C Monetary block sampling
- D Statistical sampling

5.5 FACTORS THAT INFLUENCE THE SAMPLE SIZE

As noted earlier in the chapter, there are various sampling techniques and various factors which the auditor must consider, and not all techniques and factors will apply to every audit. Sample sizes must be representative of the population because if they are too small, there is a greater risk that the auditor will form an incorrect opinion on the financial statements. Conversely, if the sizes are too large, there will be a resulting increase in audit inefficiencies (i.e. increased costs).

5.5.1 Tests of Control

HKSA 530 recognises the following factors which the auditor may consider when determining the sample size for tests of control. The factors in Exhibit 5.3, which must be considered together, assume that the auditor makes no changes to the nature or timing of tests of control, or otherwise changes the approach to substantive procedures in response to assessed risks.

Factor	Effect on sample size	
An increase in the extent to which the auditor's risk assessment takes into account relevant controls	Increase	The more assurance the auditor intends to obtain from the operating effectiveness of controls, the lower the auditor's assessment of the risk of material misstatement will be, and the larger the sample size will need to be. When the auditor's assessment of the risk of material misstatement at the assertion level includes an expectation of the operating effectiveness of controls, the auditor is required to perform tests of control. Other things being equal, the greater the reliance the auditor places on the operating effectiveness of controls in the risk assessment, the greater is the extent of the auditor's tests of control (and therefore, the sample size is increased).
An increase in the tolerable rate of deviation	Decrease	The lower the tolerable rate of deviation, the larger the sample size needs to be.
An increase in the expected rate of deviation of the population to be tested	Increase	The higher the expected rate of deviation, the larger the sample size needs to be so that the auditor is in a position to make a reasonable estimate of the actual rate of deviation. Factors relevant to the auditor's consideration of the expected rate of deviation include the auditor's understanding of the business (in particular, risk assessment procedures undertaken to obtain an understanding of internal control), changes in personnel or in internal control, the results of audit procedures applied in prior periods and the results of other audit procedures. High expected control deviation rates ordinarily warrant little, if any, reduction of the assessed risk of material misstatement.

Factor	Effect on sample size	
An increase in the auditor's anticipated level of assurance where the tolerable rate of deviation does not exceed the actual rate of deviation in the population	Increase	The greater the level of assurance that the auditor desires for the results of the sample to in fact be indicative of the actual incidence of deviation in the population, the larger the sample size needs to be.
An increase in the number of sampling units in the population	Negligible effect	For large populations, the actual size of the population has little, if any, effect on sample size. For small populations, however, audit sampling may not be as efficient as alternative means of obtaining sufficient appropriate audit evidence.

► **EXHIBIT 5.3** (Continued)

5.5.2 Substantive Procedures

HKSA 500 *Audit Evidence* states that substantive procedures include tests of details and substantive analytical procedures. Analytical procedures can be used to identify trends and understand relationships between sets of data. Substantive analytical procedures will not, in themselves, detect misstatements but will identify possible sources of misstatements.

Exhibit 5.4 outlines the factors which influence the sample size for test of details.

Factor	Effect on sample size	
An increase in the auditor's assessment of the risk of material misstatement	Increase	The higher the auditor's assessment of the risk of material misstatement, the larger the sample size needs to be. The auditor's assessment of the risk of material misstatement is affected by inherent risk and control risk. For example, if the auditor does not perform tests of control, the auditor's risk assessment cannot be reduced for the effective operation of internal controls with respect to the particular assertion. Therefore, in order to reduce audit risk to an acceptably low level, the auditor needs a low detection risk and will rely more on substantive procedures. The more audit evidence that is obtained from tests of details (that is, the lower the detection risk), the larger the sample size will need to be.
An increase in the use of other substantive procedures directed at the same assertion	Decrease	The more the auditor is relying on other substantive procedures (tests of details or substantive analytical procedures) to reduce to an acceptable level the detection risk regarding a particular population, the less assurance the auditor will require from sampling and, therefore, the smaller the sample size can be.

► **EXHIBIT 5.4** Factors influencing the sample size for tests of details

Factor	Effect on sample size	
An increase in the auditor's anticipated level of assurance where tolerable misstatement does not exceed the actual misstatement in the population	Increase	The greater the level of assurance that the auditor requires for the results of the sample to in fact be indicative of the actual amount of misstatement in the population, the larger the sample size needs to be.
An increase in tolerable misstatement	Decrease	The lower the tolerable misstatement, the larger the sample size needs to be.
An increase in the amount of misstatement the auditor expects to find in the population	Increase	The greater the amount of misstatement the auditor expects to find in the population, the larger the sample size needs to be in order to make a reasonable estimate of the actual amount of misstatement in the population. Factors relevant to the auditor's consideration of the expected misstatement amount include the extent to which item values are determined subjectively, the results of risk assessment procedures, the results of tests of control, the results of audit procedures applied in prior periods and the results of other substantive procedures.
Stratification of the population when appropriate	Decrease	When there is a wide range (variability) in the monetary size of items in the population, it may be useful to stratify the population. When a population can be appropriately stratified, the aggregate of the sample sizes from the strata generally will be less than the sample size that would have been required to attain a given level of sampling risk, had one sample been drawn from the whole population.
The number of sampling units in the population	Negligible effect	For large populations, the actual size of the population has little, if any, effect on sample size. Thus, for small populations, audit sampling is often not as efficient as alternative means of obtaining sufficient appropriate audit evidence. (However, when using monetary unit sampling, an increase in the monetary value of the population increases sample size, unless this is offset by a proportional increase in materiality for the financial statements as a whole [and, if applicable, materiality level or levels for particular classes of transactions, account balances or disclosures].)

► **EXHIBIT 5.4 (Continued)**

► **Knowledge Check Questions**

Question 5

According to HKSA 530, identify which of the following would INCREASE the sample size in a test of control:

- A** An increase in the tolerable rate of deviation.
- B** An increase in the number of sampling units in the population.
- C** A decrease in the number of sampling units in the population.
- D** An increase in the expected rate of deviation of the population to be tested.

► Knowledge Check Questions (*continued*)

Question 6

According to HKSA 530, identify which of the following would DECREASE the sample size in a test of details:

- A** An increase in the amount of misstatement the auditor expects to find in the population.
- B** The number of sampling units in the population.
- C** An increase in the assessment of the risk of material misstatement.
- D** An increase in tolerable misstatement.

5.6 TECHNIQUES FOR PERFORMING SUBSTANTIVE TESTS

Substantive tests aim to detect material misstatement, whether due to fraud or error, at the assertion level. This chapter will examine two types of techniques for performing substantive tests:

- variable sampling; and
- monetary unit sampling.

5.6.1 Variable Sampling

Variable sampling is the process used to predict the value of a specific variable within a population. The auditor will treat each individual item in the population as a **sampling unit**. Variable sampling is a method used to evaluate the entire population based on the sample data.

There are three common types of variable sampling:

Mean per unit – this uses the statistical concept of mean or average. When the auditor uses the average value (mean) in the sample, the population value can be estimated.

Illustrative Example 4

Assume the auditor of ABC Industries Ltd has a population of 1,000 items and is required to sample 20. The total amount for the 20 items is HK\$9,000, hence the mean is HK\$450 (HK\$9,000/20). With 1,000 items in the population, the mean estimate is HK\$450,000 (HK\$450 × 1,000). The auditor can use the mean estimate together with the confidence level, sampling risk and error rate to project to the entire population.

Ratio estimation – the method of applying the sample ratio to the entire population.

Illustrative Example 5

Following on from the illustrative example above, if the sample results in total errors of HK\$900 out of the total sample amount of HK\$9,000, the misstatement ratio is 10% (HK\$900/HK\$9,000). If the total for the population is HK\$225,000, then the projected misstatement is HK\$22,500 (HK\$225,000 × 10%).

Difference estimation – this is similar to the ratio estimation technique, but difference estimation also incorporates the records in the population itself.

Illustrative Example 6

Following on from the above, the population is 1,000 items and the auditor's sample is 20 of those records. Audit procedures conclude that there are total errors of HK\$900. The estimated misstatement would be HK\$45,000 ((HK\$900/20) × 1,000).

5.6.2 Monetary Unit Sampling

Monetary unit sampling uses the currency unit value as opposed to the items as the sampling population.

Monetary unit sampling is generally applied to large-variance populations (such as receivables or inventories), where the individual members are of varying degrees of size.

The sample size will take into account:

- the size of the population;
- the level of tolerable misstatement, which is related to performance materiality; and
- the assurance level required.

Illustrative Example 7

The auditor has extracted a list of trade receivables from ABC Industries Ltd which shows a total population value of HK\$750,000. The sample size is set to 120. The sampling interval is therefore HK\$6,250 (HK\$750,000/120).

Extracts from the receivables ledger are as follows:

Customer name	Balance (HK\$)	Cumulative (HK\$)	Selected
ABC Co.	10,250	10,250	Yes
DEF Co.	600	10,850	No
GHI Co.	1,300	12,150	No

Illustrative Example 7 (continued)

Customer name	Balance (HK\$)	Cumulative (HK\$)	Selected
JKL Co.	4,050	16,200	Yes
MNO Co.	2,820	19,020	Yes
And so on . . .			
	<u>750,000</u>	<u>750,000</u>	

If the auditor starts at HK\$0:

- The first balance, ABC Co., has within it the first sampling interval of HK\$6,250, so this is selected.
- The next HK\$12,500 (HK\$6,250 + HK\$6,250) arrives in the balance belonging to JKL Co.
- Finally (in the list above), the sampling interval has reached HK\$18,750 (HK\$6,250 + HK\$6,250 + HK\$6,250), which is in the balance belonging to MNO Co., and so on.

The sample is random because the starting point for sampling can be random although the amount which the auditor starts off with does not have to be zero. This will be left to the professional judgement of the auditor.

When the auditor uses monetary unit sampling, the larger balances have a greater chance of being selected and this is protective for the auditor.

► Knowledge Check Questions

Question 7

Identify which one of the following statements best describes attribute sampling:

- A** It is used primarily to test internal controls and whether they have been working effectively or not.
- B** It uses a constant sampling interval where the first item is selected randomly.
- C** It requires the use of random number generators or tables.
- D** It is a sampling technique best used for cut-off testing.

Question 8

Identify which one of the following statements is correct where monetary unit sampling is used:

- A** The starting point for sampling must be zero.
- B** The starting point for sampling must not be applied randomly.
- C** Larger balances have a greater chance of being selected.
- D** Smaller balances have a greater chance of being selected.

5.7 COMPARISON OF TESTS OF CONTROL, TESTS OF DETAILS OF BALANCES AND TRANSACTIONS

The means by which an auditor gathers sufficient and appropriate audit evidence is through a mixture of tests of control and tests of details of balances and transactions. The extent to which the auditor performs tests of control and tests of details of balances and transactions is determined by the auditor having regard to the risk of material misstatement and the detailed audit planning. Exhibit 5.5 provides a general overview of the differences between tests of control and tests of details of balances and transactions.

Tests of control	Substantive procedures
Aim to test the operating effectiveness of the internal controls implemented by management in their ability to prevent, detect and correct, on a timely basis, misstatements in the accounting records. The focus of tests of control is not on the monetary amount in the financial statements, but instead on the processes in place which result in the monetary amount.	Aim to detect material misstatements in the financial statements at the assertion level. The focus of substantive procedures is on monetary values contained within the financial statements.

► **EXHIBIT 5.5** Differences among tests of control, tests of details of balances and transactions (substantive procedures)

5.7.1 Tests of Control

Tests of control are designed to gauge the operating effectiveness of controls in preventing or detecting and correcting material misstatement. This requires the auditor to evaluate the risk of material misstatement in the financial statements.

$$\text{Audit risk} = \text{Inherent risk} \times \text{Control risk} \times \text{Detection risk}$$

Inherent risk is the risk that an error is made in the first place before considering any of the client's controls.

Control risk is the risk that the client's internal control system will not prevent, identify or correct an error.

Detection risk is the risk that the auditor does not detect an error during the audit.

A client's internal controls are a vital component of the audit risk model, because they are designed by the client to prevent, detect and correct misstatements. This is required for good financial reporting as well as to safeguard the assets of the company, and is also a requirement of corporate governance.

At the planning stage of the audit (see Chapters 3 and 4), the auditor must obtain a sound understanding of the entity, the environment in which it operates and the internal controls present. This is a mandatory requirement of HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement*. HKSA 315 (Revised 2019) defines the 'system of internal control' as:

The system designed, implemented and maintained by those charged with governance, management and other personnel, to provide reasonable assurance about the achievement of an entity's objectives with regard to reliability of financial reporting, effectiveness and efficiency of operations, and compliance with applicable laws and regulations. For the purposes of the HKSA, the system of internal control consists of five inter-related components:

- (i) *Control environment;*
- (ii) *The entity's risk assessment process;*
- (iii) *The entity's process to monitor the system of internal control;*
- (iv) *The information system and communication; and*
- (v) *Control activities.'*

HKSA
315.12(m)

Chapter 3 examines the entity's system of internal control in more detail. Broadly, if controls are not expected to be operating effectively then the auditor may decide to carry out more **substantive procedures** which aim to detect misstatements at the financial statement assertion level. However, the auditor may choose to test controls (and place reliance on them) where they are judged to be operating effectively.

When performing tests of control, the auditor assesses the internal control system including the design and operation of the controls. Exhibit 5.6 provides an illustration of how tests of control can be applied.

Control	Test of control
All additions to non-current assets over HK\$5,000 have to be approved by the finance director.	Inspect a sample of invoices for evidence that the finance director has approved the expenditure (such as a signature on the invoice).
Overtime payments for production staff have to be authorised by the production director before payment.	Inspect a sample of overtime worked reports for evidence of approval by the production director before being submitted to payroll for payment.
All staff paid in cash are required to provide identification and sign for their pay packets.	Attend a cash wages payout and observe the staff providing identification and signing for their pay packets.
A separate human resources (HR) department is responsible for setting up all new employees on the payroll.	Discuss with members of the payroll department the process for setting up new employees and for confirmation that the process is completed by HR.
Production employees are required to use swipe cards at the beginning and end of their shift and this process is supervised by security at all times.	Observe the use of the swipe cards by the employees when entering the production site and confirm that the security team is supervising the process.
Customers are prevented from placing orders which will take them over their agreed credit limits.	Attempt to enter a sales order which would take a customer over the agreed credit limit and ensure the system rejects the order.
To ensure that goods are despatched correctly to customers and are of an adequate quality, the warehouse performs checks against the goods despatched notes (GDNs) and checks the quality of the goods.	Visit the warehouse and observe the goods despatch process, ensuring that all goods are checked against the GDNs and checks are made on the quality of the goods.

► **EXHIBIT 5.6 Controls in place and tests of control**

As you can see, the focus of a test of control is *not* the monetary amount of a transaction. Tests of control are focused on ensuring that the company's controls are adequate and have been operating effectively enough during the reporting period so as to prevent, detect and correct a misstatement on a timely basis.

Illustrative Example 8

The audit junior of ABC Industries Ltd is inspecting a purchase invoice for evidence of authorisation (which is a test of control). It is irrelevant whether the invoice is for HK\$100 or HK\$1,000,000, as it is the control that is being tested and not the monetary amount. Hence, it could be said that a test of control provides indirect evidence over the financial statements.

If the auditor concludes that ABC Industries' controls are operating effectively, it can also be said that there is less risk of material misstatement in the financial statements.

Key Learning Point

If the auditor determines that the client's internal control environment is not effective, or has not been operating effectively during the reporting period, the auditor will rely less on the results of the tests of control and increase the level of substantive procedures to be performed. If the control environment is weak, there is a higher risk of material misstatement within the financial statements. This is because the test of control itself does not test the figure in the financial statements; this is the purpose of a substantive procedure (test of details and balances and transactions).

5.7.2 Attribute Sampling

Attribute sampling is a technique used by the auditor to test controls. It provides results based on two possible attributes: correct or not correct. Attribute sampling means that an item being sampled either will, or will not, possess certain qualities (or attributes). The auditor selects a certain number of records to estimate how many times a certain feature will present itself in a population.

Illustrative Example 9

ABC Industries Ltd has a policy that every purchase invoice over HK\$10,000 must be authorised by the purchasing director. Here, every purchase over HK\$10,000 either will or will not be authorised by the purchasing director.

The audit junior has extracted a sample from the purchases day book showing all supplier invoices over HK\$10,000. There are 150 invoices in the sample and you note that six of the 150 invoices are not authorised by the purchasing director. This gives you a population error rate of 4% (6/150).

Illustrative Example 9 (continued)

- Tolerable error is 7%
- Expected error is 5%
- Sampling risk is 2%
- Confidence level is 98% (confidence level plus sampling risk should always equal 100%)
- Population error rate is 4%

Keep in mind that the audit junior is only looking at a sample of invoices – not the entire population. Even though the 4% population error rate is less than the tolerable error of 7%, the auditor cannot conclude that the sample is sufficient. When using attribute sampling, the auditor has to add the sampling risk of 2% to the population error of 4%. These two figures combined are referred to as the ‘upper deviation rate’.

The upper deviation rate is 6%, which is below the tolerable error of 7%, and hence the auditor can place reliance on the control.

5.7.3 Test of Details and Balances and Transactions

Tests of details and balances and transactions are referred to as ‘substantive procedures’. Tests of details are used to verify individual transactions and balances. In addition, substantive analytical procedures are analytical procedures. The term ‘analytical procedures’ means evaluations of financial information through analysis of plausible relationships among both financial and non-financial data. Analytical procedures also encompass such investigation as is necessary of identified fluctuations or relationships that are consistent with other relevant information or that differ from expected values by a significant amount. Keep in mind that **substantive procedures** include **tests of details** and **analytical procedures**.

A test of detail looks at the supporting evidence for an individual transaction, such as inspecting a purchase invoice to verify the amount/date/classification of a specific purchase. If an entity has, for example, 10,000 purchase invoices recorded during the accounting period, this one test of detail will have only provided evidence for one of those transactions.

Analytical procedures would be used to determine the reasonableness of the purchases figure in total. For example, the auditor could calculate the percentage change in purchases from the prior year and compare this to the percentage change in revenue to see if there is a consistent movement with each other as expected.

This analytical procedure is not looking at the detail of any of the individual purchases that make up the population; rather, it is looking at the total figure. It is possible that a number of misstatements are present within the purchases population which would only be discovered by testing the detail as they may cancel each other out (contra). Keep in mind that analytical procedures would not detect these misstatements.

The auditor should only use analytical procedures as the main source of substantive evidence where the internal controls have been assessed as being reliable, as this means there is less chance of misstatements being present as the client’s internal control would have detected and corrected them on a timely basis.

Exhibit 5.7 illustrates some typical substantive procedures for various areas of the financial statements.

Area	Substantive procedure
Non-current assets	- Obtain the non-current assets register, cast the register and agree with general ledger/trial balance/financial statements. - For a sample of additions, agree with purchase invoices, ensuring the invoice is in the name of the company and the value capitalised is correct. - Recalculate the profit/loss on non-current asset disposals and agree with the trial balance. - Recalculate the depreciation charge and agree with general ledger/trial balance.
Inventory	- Compare value of inventory with prior year and investigate significant fluctuations. - Recalculate inventory holding period, compare with prior year and investigate any significant differences. - Trace a sample of inventory items counted at the inventory count and agree correctly included in the final inventory valuation.
Trade receivables	- Obtain the list of trade receivables, cast the list and agree the list with the control account. - Calculate trade receivables days, compare with prior year and investigate any significant differences. - Trace a sample of receivables from the list to post-year-end cash receipts.
Bank balances	- Reperform the bank reconciliation. - Agree reconciling items on the bank reconciliation with post-year-end bank statements. - Agree the balance per the cash book with the trial balance. - Agree balances on the bank reconciliation with the bank confirmation letter.
Trade payables	- Obtain the list of trade payables, cast the list and agree the list with the control account. - Calculate trade payables days, compare with prior year and investigate any significant differences. - Agree a sample of payables from the list with post-year-end cash payments. - Carry out a trade payables confirmation and agree the responses with the purchase ledger.
Revenue	- Agree a sample of orders received with goods despatched notes, sales invoices, sales ledger and the general ledger. - Compare current-year revenue with prior year and investigate any significant differences. - Compare current-year revenue with budgeted revenue and investigate any significant differences. - Disaggregate sales on a month-by-month basis or a product-by-product basis, compare with prior year and investigate any significant differences.
Payroll	- Compare current-year payroll charge with prior year and investigate any significant differences. - Cast a sample of payroll records to confirm completeness and accuracy of the payroll expense. - Agree total payroll expense per the payroll reports with the general ledger and trial balance and investigate any significant differences. - Select a sample of overtime worked reports and agree with the payroll records to confirm completeness of overtime paid.

► **EXHIBIT 5.7 Substantive procedures for areas of the financial statements**

5.7.4 Differences in the Methods of Audit Sampling

As you have seen from the above, the auditor has a variety of sampling methods available in order to test controls and test for misstatements within the financial statements. There are, however, some differences among audit sampling for tests of details of balances, tests of control and substantive tests of transactions which need to be understood.

Tests of details aim to verify individual transactions and balances. For example, the auditor will agree the balance per the bank statement on the year-end bank reconciliation with an original bank statement or the bank audit (bank confirmation) letter. Similarly, the auditor will agree an addition to a non-current asset with the relevant purchase invoice to ensure that the non-current asset has been correctly classified and has been capitalised at an appropriate amount. Keep in mind that if there are, say, 10,000 purchase invoices recorded during the accounting periods, a test of detail will only provide evidence for one of those transactions.

Tests of control are used by the auditor to ensure that the internal control environment of the entity has been operating effectively throughout the period. For example, the auditor may review payroll reports to ensure that they have been reviewed by a responsible official prior to finalising the payroll. Similarly, the auditor will review purchase invoices for a sample of non-current assets to ensure they have been authorised by an appropriate individual. Tests of control are not used to detect material misstatement as they do not focus on a monetary amount recorded in the financial statements – they are used to ensure that the controls in place at the entity are adequate enough to prevent, detect and correct, on a timely basis, misstatements which may arise.

Substantive tests of transactions and balances are used by the auditor to verify the monetary value of transactions in order to reduce detection risk (the risk that the auditor's procedures will fail to detect a material misstatement). Substantive tests of transactions are designed to verify the Hong Kong dollar value of a transaction, whereas substantive tests of balances are tests which corroborate the closing (ending) balance of an account in the general ledger (e.g. trade receivables).

Keep in mind that the auditor must perform some substantive testing over all material transactions and balances. It is not possible to rely wholly on tests of control regardless of how robust the internal control system is. This is because tests of control do not focus on the monetary amount recorded in the financial statements; this is what substantive testing is for.

► Knowledge Check Questions

Question 9

Identify which of the following would be a test of control:

- A** Agreeing a sample of inventory counts to the final inventory valuation.
- B** Reviewing overtime worked reports for evidence of authorisation by the production director.
- C** Tracing a non-current asset addition to a supplier invoice.
- D** Performing cut-off procedures to ensure sales invoices have been raised in the correct accounting period.

► **Knowledge Check Questions (continued)**

Question 10

Identify which of the following best describes substantive procedures:

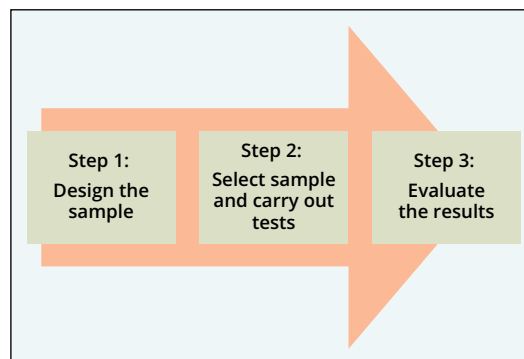
- A** They are designed to detect material misstatements at the assertion level.
- B** They are designed to correct material misstatements at the assertion level.
- C** They are designed to prevent material misstatements at the assertion level.
- D** They are designed to ensure management assertions are feasible.

5.8 ACHIEVING AUDIT OBJECTIVES USING SAMPLING

As you have seen in this chapter, it is impracticable for the auditor to test every single transaction which makes up a population because of time constraints and cost. Hence, the use of sampling techniques is an important process in the auditing process.

It is important that auditors ensure the sample selected provides a **reasonable basis** for the auditor to draw conclusions about the population from which the sample has been selected.

Audit sampling can be summarised as follows:



5.8.1 Design the Sample

This involves auditors confirming the overall objective of the audit procedures they are going to apply. This is important because it will help auditors understand what type of audit evidence they need to gather in order to conclude that the objective has been met.

The period covered by the sample is also determined at this stage to ensure that the sample is representative – for example, avoiding bias by simply selecting items at the end of the reporting period.

At this stage the auditor must also determine the size of the sample, ensuring that sample sizes are representative. Remember, if the sample is not representative, then detection risk and audit risk are increased because the auditor may fail to detect a material misstatement during the sampling, which could lead the auditor to express an incorrect opinion. There will be a level at which the auditor is willing to accept deviations or misstatements because such deviations or misstatements are immaterial and hence will not affect the auditor's opinion. At this stage, the level of deviation or misstatement is determined but this may be changed throughout the course of the audit if auditors discover facts, circumstances, events or transactions of which they were previously unaware.

The auditor must define the population from which a sample will be drawn. For example, the total trade receivables balance will make up the population of trade receivables; the unit of sampling within the trade receivables population will be individual trade receivable balances.

At the planning stage of the audit, the auditor must consider the audit assertions which will be tested. For example, **completeness** of revenue or **rights and obligations** for non-current assets. The auditor must also carefully consider what would give rise to a **deviation** (from internal controls) or a **misstatement** (within the financial statements).

These considerations are important because they will then lead the auditor to determine the type of audit evidence which will need to be gathered to cover the relevant assertions. It will also help the auditor to establish what would give rise to a deviation or misstatement, as well as which population to extract a sample from.

A population could be made up of a large number of items. For example, an audit client could have several hundred trade receivables. Extracting a sample from a large population can often prove to be costly and inefficient, and so the auditor may conclude that **stratifying** the sample is a better use of audit resources. For example, the auditor may subdivide a population of trade receivables into:

- receivables which are based in Hong Kong;
- receivables which are based in Europe; and
- receivables which are based in non-European countries.

When the auditor subdivides a population into strata, it allows the sample size to be reduced but it does not increase the sampling risk.

Finally, auditors must determine how they will select the sample, which leads on to step 2 of the sampling process.

5.8.2 Select the Sample and Carry Out the Tests

Sample sizes have to be representative of the population. For example, it would be inappropriate to only test 20% of trade payables because a material misstatement could exist in the remaining 80%. In most cases it is not practicable to test every item that makes up a population due to time constraints. However, there are three methods available to the auditor in performing the tests:

- **100% selection.** This is not 'sampling', because the auditor will be testing every item that makes up a population. The auditor is only likely to do this when the population is comprised of a small number of high-value items, or the auditor has identified a significant risk of material misstatement. HKSA 530 also states that 100% examination may be appropriate when carrying out tests of details if the expected misstatement is high.
- **Selection of specific items.** Again, this method is not 'sampling', because sampling means that every item within a population stands an equal chance of selection. Here, the auditor is selecting specific items so not all the units in the population stand a chance of being selected. The auditor is only likely to use selection of specific items where the population is made up of high-value or specific items, such as those which are prone to error or are unusual in nature.
- **Audit sampling.** Sampling is applied by the auditor as a means of audit efficiency and the objective of sampling is for the auditor to form a conclusion about a population by testing only part of that population. Audit sampling can be applied using **statistical** and **non-statistical** methods. As noted above, when the auditor uses audit sampling, every item within the population must stand an equal chance of being selected.

As you have already seen in this chapter, **statistical sampling** refers to the approach that sample items are selected in such a way that each sampling unit has a known probability of being selected. Conversely, a haphazard sampling approach means that the auditor approaches the sample selection with no structure. The **sample selection method** includes methods such as random selection and systematic selection. Carrying out this test will provide the auditor with comfort that all goods and services sold have been invoiced as the starting point of the sampling will be from 'outside' of the accounting system (i.e. the customer order). In other words, the test is to ensure that revenue is not understated because of goods sold that have not been invoiced.

Once auditors have selected a sample appropriate to the purpose, they must apply audit procedures to that sample. For example, when testing the **completeness** of revenue, tracing a sample of customer orders from:

- sales orders received; to
- goods despatched notes; to
- the sales invoice; to
- the sales day book; to
- the customer's sales ledger account; to

- the sales tax control account (if applicable); and to
- the revenue account in the general ledger.

Suitable alternative audit procedures must be applied to a selected item if the audit evidence expected to be collected is not available.

Illustrative Example 10

The audit supervisor of ABC Industries Ltd has decided to carry out a trade receivables confirmation on a sample of trade receivables. A sample of 40 trade receivables was selected and out of this sample, five have not responded.

For the five trade receivables which have not responded, the auditor cannot just ignore the fact that they have not responded. With the client's permission, the auditor may chase up the non-replies by a telephone call or a further letter. However, if there is still no response, the auditor must apply alternative audit procedures to address the assertion being tested (**existence**) by examining subsequent post-year-end cash receipts along with evidence of their source documents, such as sales invoices, sales orders and goods despatched notes.

5.8.3 Evaluate the Results

Once auditors have completed the testing, they must evaluate the results of the sampling process.

During the sampling exercise, the auditor could have discovered deviations and misstatements. For example, the inventory valuation could contain mathematical errors or cut-off errors may have been discovered when testing payables. HKSA 530 states that the auditor shall investigate the nature and cause of any deviations or misstatements identified, and evaluate their possible effect on the purpose of the audit procedure and on other areas of the audit.

HKSA
530.12

In some rare circumstances, the auditor may conclude that a misstatement or deviation is an **anomaly** (i.e. it is only an isolated deviation or misstatement). Where this is the case, auditors must ensure that they are extremely certain that such a misstatement is anomalous and is not representative of the population. In order to gain this assurance, the auditor must carry out further audit procedures to obtain sufficient appropriate audit evidence that the deviation or misstatement is, in fact, anomalous and is not representative of the population. In addition, the auditor must also be satisfied that the deviation or misstatement is not indicative of a fraud risk factor.

5.8.3.1 Projecting Errors and Misstatements

HKSA 530 requires the auditor to project misstatements found in the sample to the population for tests of details. Misstatements which, in the auditor's opinion, are anomalous can be excluded from the projection.

HKSA
530.14

Illustrative Example 11

The audit senior is testing the responses received from a trade receivables confirmation (a test of detail). The population of trade receivables is HK\$100 million and the audit senior has selected a sample of balances totalling HK\$10 million. The audit senior has found errors of HK\$0.3 million, which have overstated receivables.

In this situation, the projected error in the population would be HK\$3 million ($\text{HK\$0.3m} \times \text{HK\$100m} / \text{HK\$10m}$). If this projected misstatement exceeds tolerable misstatement, the sample will not provide the auditor with a reasonable basis for conclusions about the population.

Illustrative Example 12

The audit senior is testing purchase invoices for authorisation (a test of control). During the sampling, the auditor found three invoices without authorisation and the sample size is 60 invoices.

The error rate is 5% ($3/60 \times 100$). This is the projection of the error in the population.

In either of the above examples, the auditor will compare this with the relevant thresholds (i.e. materiality for the Hong Kong dollar amount and tolerable rate for the percentage). If it is not acceptable, the auditor must carry out more work.

5.8.3.2 Evaluate the Results and Form Conclusions

HKSA 530 requires the auditor to evaluate:

- (a) the results of the sample; and
- (b) whether the use of audit sampling has provided a reasonable basis for conclusions about the population tested.

HKSA
530.15(a), (b)

When the auditor has performed tests of control, any unexpectedly high deviation rate may usually lead to an increase in the assessed risk of material misstatement, unless further audit evidence corroborating the initial assessment is obtained. For tests of details, an unexpectedly high misstatement amount in a sample may lead the auditor to conclude that a class of transactions or account balances is materially misstated, in the absence of further audit evidence that no material misstatement exists.

HKSA
530.A21

When the auditor has carried out tests of details, the projected misstatement plus the anomalous misstatement (if any) are the auditor's best estimates of misstatement within the population. If this total exceeds **tolerable misstatement**, the sample will not provide the auditor with a reasonable basis for conclusions about the population tested.

HKSA
530.A22

When designing a sample, the auditor determines tolerable misstatement in order to address the risk that the aggregate of individually immaterial misstatements may cause the financial statements to be materially misstated and provide a margin for possible undetected misstatements. Tolerable misstatement is the application of performance materiality, as

defined in HKSA 320 *Materiality in Planning and Performing an Audit*, paragraph 9 to a particular sampling procedure. Tolerable misstatement may be the same amount or an amount lower than performance materiality.

HKSA 530 clarifies that the closer the projected misstatement plus anomalous misstatement are to tolerable misstatement, the more likely that actual misstatement in the population may exceed tolerable misstatement. In addition, if the projected misstatement is higher than the auditor's expectations of misstatement used to determine the sample size, the auditor may conclude that there is an unacceptable sampling risk that the actual misstatement in the population exceeds the tolerable misstatement.

HKSA
530.A22

5.8.3.3 Sampling Does Not Provide a Reasonable Basis for Conclusions About the Population

Where auditors determine that the results of their sampling does not provide a realistic basis for conclusions about the population, the auditors may:

- Request that management investigate the identified misstatements and the potential for further misstatements and make any necessary adjustments; or
- Tailor the nature, timing and extent of those additional audit procedures to best achieve the required assurance. For example, in the case of tests of control, auditors may increase the sample size, test an alternative control or modify related substantive procedures.

HKSA
530.A23

► Knowledge Check Questions

Question 11

Identify which of the following factors is correct when an auditor is designing a sample.

- A** State the objectives of audit procedures and the period covered.
- B** Ensure the population is not one for which the audit engagement partner does not require sampling to be applied.
- C** Determine the projected misstatement.
- D** Consider the possibility of any anomalous error.

Question 12

Identify which of the following statements are correct about anomalous errors.

- A** They are one-off errors which can be ignored by the auditor as it is unlikely they will occur again.
- B** They are one-off errors for which the auditor must obtain sufficient appropriate audit evidence that they are not representative of the population.
- C** They are one-off errors which must be included in error projection for a test of details.
- D** They are one-off errors which are included in error projection for a test of controls.

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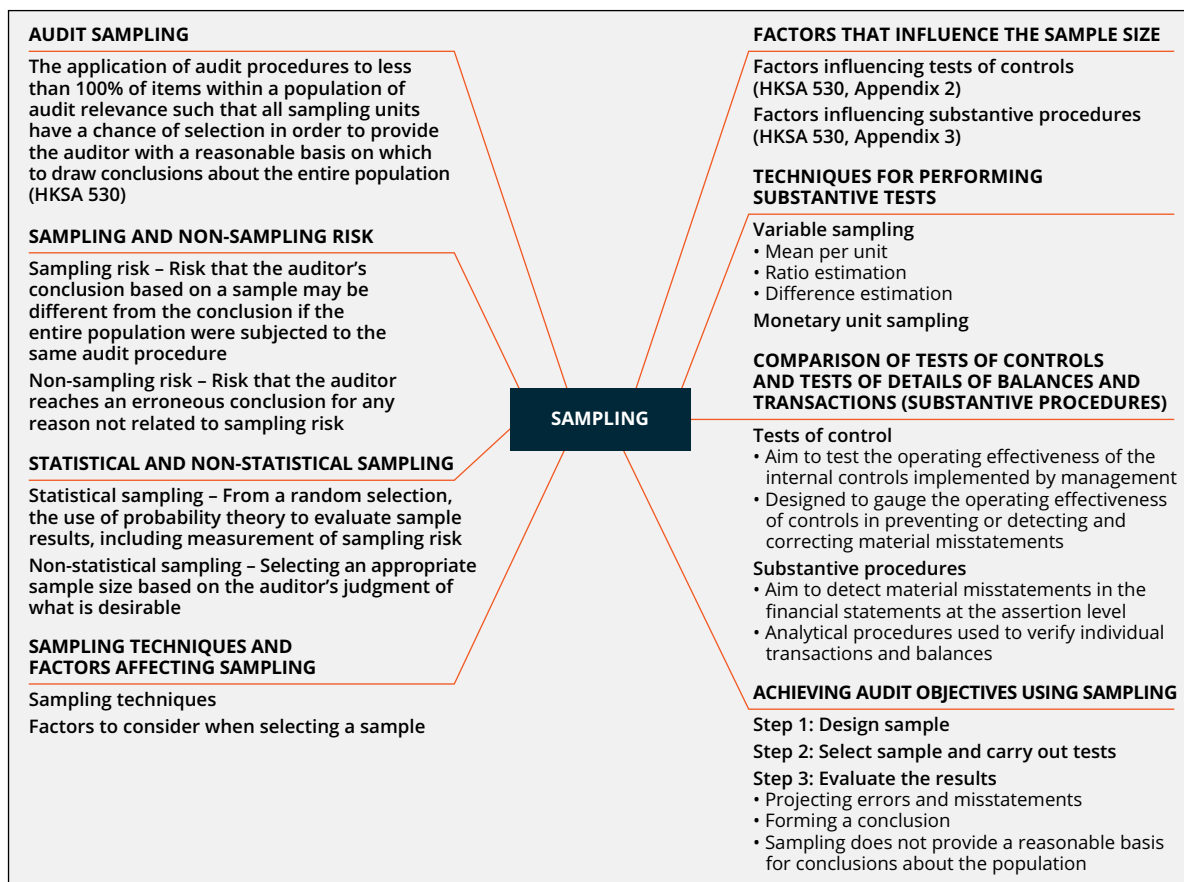
SUMMARY

This chapter has set out the various requirements for an auditor where audit sampling is concerned. Remember that auditors cannot test or verify every single transaction that is included in the financial statements, because it is not practicable or cost-effective to do so.

The types of audit sampling are deciphered initially at the audit planning stage, but this could change during the course of the detailed fieldwork if issues come to the auditors' attention of which they were previously unaware.

Samples are extracted from populations. Populations are the items which make up a full account balance. Samples must, therefore, be representative of the population which they represent.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect because the auditor will test the controls to conclude on operating effectiveness.

Answer B is correct because HKSA 530 states that sampling risk is the risk that the auditor could conclude that controls are more effective than they actually are, meaning that there is a higher audit risk (the risk that the auditor forms an incorrect opinion on the financial statements). The auditor could also conclude that controls are less effective than they actually are, which increases the costs of the audit because more detailed work will be carried out as less reliance is being placed on the controls.

Answer C is incorrect because management implement controls to prevent, correct and detect misstatements and the auditor tests these controls to assess operating effectiveness.

Answer D is incorrect because the auditor may correctly conclude that the controls have been operating ineffectively during the period and concludes this through tests of control.

Question 2

Answer A is correct because the audit sampling may produce sufficient and appropriate audit evidence, but this may be misinterpreted by the auditor hence is a non-sampling risk.

Answer B is incorrect because this is an example of sampling risk.

Answer C is incorrect because an increase in sample sizes occurs when misstatements are found in the sample or issues come to the attention of the auditor which were previously unknown.

Answer D is incorrect because this is 100% selection rather than audit sampling.

Question 3

Answer A is incorrect because the auditor uses professional judgement when determining sample sizes and items to be sampled.

Answer B is incorrect because haphazard sampling is a non-statistical sampling technique.

Answer C is correct because statistical theory does not exist to evaluate sample results.

Answer D is incorrect because a structured selection would form the basis of the auditor's overall sample when using statistical sampling.

Question 4

Answer A is incorrect because there is no such technique called 'interval sampling' – it is referred to as 'systematic sampling', which is answer B.

Answer B is correct.

Answer C is incorrect as monetary block sampling does not exist – it is monetary unit sampling.

Answer D is incorrect because statistical sampling is a sampling technique rather than a principal sampling method.

Question 5

Answer A is incorrect because an increase in the tolerable rate of deviation would decrease the sample size.

Answer B is incorrect because an increase in the number of sampling units would have a negligible effect.

Answer C is incorrect because a decrease in the number of sampling units in the population is not referred to in HKSA 530 (only an increase which has a negligible effect).

Answer D is correct because if the expected rate of deviation is increased in the population, the sample size would have to be increased to minimise detection risk.

Question 6

Answer A is incorrect because an increase in the amount of misstatement the auditor expects to find in the population would mean the sample size would have to be increased.

Answer B is incorrect because this would have a negligible effect.

Answer C is incorrect because an increase in the assessment of the risk of material misstatement would mean sample sizes would have to be increased.

Answer D is correct because an increase in tolerable misstatement would give rise to a decrease in sample sizes because the higher the tolerable misstatement, the smaller the sample size needs to be (and vice versa).

Question 7

Answer A is correct because attribute sampling uses a 'correct' or 'not correct' conclusion approach to sampling and hence is used primarily to test if controls are working effectively or are not working effectively.

Answer B is incorrect because this describes systematic selection of sampling.

Answer C is incorrect because this describes random sampling.

Answer D is incorrect because block selection is often used for cut-off testing.

Question 8

Answer A is incorrect because the starting point for sampling need not be zero.

Answer B is incorrect because the starting point for sampling can be applied randomly.

Answer C is correct because in monetary unit sampling, larger balances stand a better chance of being selected.

Answer D is incorrect because in monetary unit sampling, smaller balances stand a lesser chance of being selected because the sampling method is focused on monetary values.

Question 9

Answer A is incorrect because testing inventory counts to the final inventory valuation is a completeness test that aims to test for material misstatement and hence is a substantive test.

Answer B is correct because the control is the authorisation of overtime worked prior to payment. The test of this control is reviewing a sample of overtime worked reports to ensure all reports in the sample have been authorised by the production director.

Answer C is incorrect because tracing a non-current asset addition to a purchase invoice checks for the assertions of rights and obligations (checking the invoice is in the name of the company) and valuation (the non-current asset has been included in the statement of financial position at the correct value), and hence is a substantive procedure testing for material misstatement.

Answer D is incorrect because cut-off tests aim to ensure that transactions have been included in the correct reporting period and so are a substantive procedure.

Question 10

Answer A is correct because substantive tests focus on the monetary amounts included in the financial statements and are designed to detect material misstatements within the financial statement assertions.

Answer B is incorrect because substantive procedures detect material misstatements; they do not correct them. Only management can do this.

Answer C is incorrect because prevention of material misstatements is carried out by the internal control environment implemented by management.

Answer D is incorrect because management make assertions in the financial statements which they believe are feasible; substantive procedures aim to detect misstatements within those assertions.

Question 11

Answer A is correct because this is one of the objectives of audit sampling which the auditor must achieve.

Answer B is incorrect because the auditor would not start to design a sample from a population for which the audit engagement has already stated audit sampling is inappropriate.

Answer C is incorrect because the auditor would project misstatements once the sampling had been carried out; hence this is carried out at the evaluation stage.

Answer D is incorrect because anomalous errors are also considered at the evaluation stage, not at the design stage.

Question 12

Answer A is incorrect because anomalous errors cannot be ignored since the auditor must obtain sufficient appropriate audit evidence that it is not representative of the population as a whole.

Answer B is correct because the auditor must obtain a high degree of certainty that an anomalous error is not representative of the population from which it is drawn.

Answer C is incorrect because anomalous errors may be excluded in the projection of errors for a test of details.

Answer D is incorrect because for tests of control there is no requirement to project deviations since the sample deviation rate is also the projected deviation rate for the population as a whole.

 EXAM PRACTICE**QUESTION 1**

You are planning the audit of your existing audit client, Sunflower Enterprises Ltd, for the year ending 31 December 20X2. The audit junior who will be assisting you with various tasks has asked how the audit team will apply audit sampling.

- (a) List and explain the FIVE methods of selecting a sample of items to test from a population in accordance with HKSA 530 *Audit Sampling*.
- (b) List and explain FOUR factors to consider when selecting a sample.

QUESTION 2

You have explained to the audit junior that there are a variety of sampling methods available. Some sampling methods are statistical and some methods are non-statistical.

The audit junior has identified a higher-than-expected deviation rate when carrying out tests of control over the sales cycle.

Identify which of the following would be an appropriate response by the auditor:

- (I) Choose alternative items to test instead of those just tested and ignore the deviations.
 - (II) Extend the sample size.
 - (III) Carry out more substantive procedures over sales.
 - (IV) Request a written representation.
 - (V) Modify the auditor's opinion.
- A. I and II
 - B. II and III
 - C. III and IV
 - D. IV and V

QUESTION 3

The audit junior is carrying out initial planning work on the trade receivables for the year ending 31 December 20X2. The audit junior has asked you what factors must be considered when designing a sample to test the **existence** and **valuation** of trade receivables.

Identify which of the following would be factors the auditor must consider:

- (I) The nature of the client's industry.
 - (II) Management's attitude to internal controls.
 - (III) The purpose of the procedure.
 - (IV) The nature of the audit evidence sought.
 - (V) The reliability of the information system.
- A. I and II
 - B. II and III
 - C. III and IV
 - D. IV and V

QUESTION 4

Auditors have a variety of sampling techniques available to them. The audit junior has been asked to design a sample using **variable sampling** as a technique, but she is unsure what is meant by this.

Identify which of the following statements correctly describes variable sampling:

- A. A sampling technique which uses the currency unit value as opposed to the items in the population.
- B. A sampling technique which selects various units in the population with no structured technique applied.
- C. A sampling technique which is used to predict the value of a specific variable in a population.
- D. A sampling technique which is used specifically to carry out tests of control.

QUESTION 5

The audit junior is in the process of designing sampling techniques using variable sampling.

List and describe the three common types of variable sampling.

QUESTION 6

You are the audit senior carrying out the audit sampling of your client, DEF Enterprises Ltd, for the year ending 31 December 20X3. You are testing trade payables using monetary unit sampling. The trade payables listing shows a population of HK\$820,000 and the sample size is set to 110. Extracts from the trade payables list are as follows:

Supplier name	Supplier balance (HK\$)	Cumulative (HK\$)
GHI Co.	9,500	9,500
JKL Co.	1,200	10,700
MNO Co.	8,220	18,920
PQR Co.	7,033	25,953
STU Co.	2,031	27,984
VWX Co.	3,029	31,013

- Describe the term 'monetary unit sampling'.
- Using the extract above, identify which of the balances would be selected using monetary unit sampling if the starting point for the sample is HK\$0.

QUESTION 7

You are the audit supervisor planning the audit of your existing client, Treetops Industries Ltd, for the year ending 31 October 20X2. The audit engagement partner has asked you to use various audit sampling techniques to carry out tests of details of balances and tests of control.

Identify the three types of technique available to the auditor when designing items to test in a population.

QUESTION 8

The auditor of Ling Enterprises Ltd has identified errors of HK\$0.4 million in the population of trade receivables which total HK\$20 million. The sample size total is HK\$4 million.

Identify which of the following is the correct value for error projection:

- HK\$1 million
- HK\$2 million
- HK\$3 million
- HK\$4 million

ANSWERS TO EXAM PRACTICE

QUESTION 1

- Five methods of selecting a sample*
 - Random selection** – this can be achieved through the use of random number generators or tables.
 - Systematic selection** – where the number of sampling units in the population is divided by the sample size to give a sampling interval. For example, every 50th sales invoice. While the starting point may be determined on a haphazard basis, the sample is more likely to be truly random if auditors use a computerised random

number generator or tables. When auditors use systematic sampling, they must take care to ensure that the items being sampled are not structured in such a way that the sampling interval conforms to a particular pattern within the population.

- (iii) **Monetary unit sampling** – this is a type of value-weighted selection in which sample size, selection and evaluation result in a conclusion in monetary amounts. This technique selects items based on monetary values (usually focusing on higher-value items).
- (iv) **Haphazard selection** – when the auditor adopts a haphazard technique, a structured technique is not followed. Where auditors follow no structured technique, they must avoid any conscious bias or predictability (e.g. testing items which are easy to locate), because all items within a population must stand a chance of selection. HKSA 530 acknowledges that haphazard selection is inappropriate when using statistical sampling.
- (v) **Block selection** – this involves selecting a block of contiguous items (i.e. next to each other) from the population and is often used in cut-off testing. HKSA 530 clarifies that such a technique would rarely be appropriate where the auditor intends to draw valid inferences about the entire population based on the sample.

(b) *Four factors to consider when selecting a sample*

- (i) **The purpose of the procedure** – to establish why the test is being carried out and the contribution the test makes to the overall assessment of the financial statements presenting a true and fair view.
- (ii) **Combination of the procedures which are being performed** – tests of control may also be being carried out which could provide audit evidence over the operating effectiveness of the control environment and other audit procedures, such as substantive analytical procedures or external confirmations, may also be a factor in selecting sample sizes.
- (iii) **Nature of the audit evidence sought** – third-party audit evidence may be available which could serve to reduce sample sizes if it is reliable. Auditor-generated audit evidence could also be available that could serve to reduce sample sizes.
- (iv) **Possible misstatement conditions** – if the area being audited is at higher risk of material misstatement, or controls are weak, then sample sizes will need to be increased. Conversely, if the area being audited is at lower risk of material misstatement, or controls are strong, then sample sizes can be reduced.

QUESTION 2

Answer B is correct.

(II) is correct because increasing the sample size would reduce sampling risk, which is what likely caused the higher than expected deviation rate.

(III) is correct because carrying out more substantive procedures over sales would also reduce the sampling risk.

(I) is incorrect because the auditor must never ignore any deviations from controls.

(IV) is incorrect because written representations are internally generated and will not address the deviation from internal controls – there could still be material misstatement within the financial statements.

(V) is incorrect because the auditor's report would only be modified as a last resort if the material misstatements were not corrected. It would not be an appropriate response at the audit fieldwork stage, since management must be given the opportunity to correct material misstatements.

QUESTION 3

Answer C is correct.

(I) is incorrect because the nature of the client's industry is an issue considered at the audit planning phase.

(II) is incorrect because management's attitude to internal controls is also considered at the planning phase when the auditor considers whether, or not, to place reliance on the entity's internal control environment.

(III) and (IV) are correct because the purpose of the audit procedure and the nature of the audit evidence sought are both important factors which auditors must consider when designing their sample.

(V) is incorrect because the reliability of the information system is an issue considered at the planning stage when assessing the risks of material misstatement.

QUESTION 4

Answer A is incorrect because this describes monetary unit sampling.

Answer B is incorrect because this describes haphazard sampling.

Answer C is correct because variable sampling is used to predict the value of a specific variable in a population.

Answer D is incorrect because attribute sampling is used to specifically carry out tests of control.

QUESTION 5

Three common types of variable sampling:

Mean per unit – this uses the statistical concept of mean or average. When the auditor uses the average value (mean) in the sample, the population value can be estimated.

Ratio estimation – this uses the method of applying the sample ratio to the entire population.

Difference estimation – this is similar to the ratio estimation technique, but difference estimation also incorporates the records in the population itself.

QUESTION 6

(a) Description of monetary unit sampling:

Monetary unit sampling uses the currency unit value as opposed to the items as the sampling population. Monetary unit sampling is generally applied to large variance populations, such as inventories or receivables, where the individual members are of varying degrees of size. The sample size will take into account the size of the population, the level of tolerable misstatement and the assurance level required.

(b) Balances to be selected using monetary unit sampling:

- The sampling interval is calculated as HK\$7,454 (HK\$820,000/110).
- The first balance, GHI Co., has within it the first sampling interval of HK\$7,454 so this is selected.

- The next balance, MNO Co., has within it the second sampling interval of HK\$14,908 (HK\$7,454 + HK\$7,454) and so this is selected.
- The next balance, PQR Co., has within it the third sampling interval of HK\$22,362 (HK\$7,454 + HK\$7,454 + HK\$7,454) and so this is selected.
- The next balance, VWX Co., has within it the fourth sampling interval of HK\$29,816 (HK\$7,454 + HK\$7,454 + HK\$7,454 + HK\$7,454) and so this is selected.

QUESTION 7

Three types of audit techniques which can be used to test items within a population:

100% selection – used by auditors when they conclude that sampling is not appropriate for a particular assertion. This technique is likely to be used when the population is made up of a small number of large-value items or there is a significant risk of material misstatement and other audit procedures do not provide sufficient appropriate audit evidence.

Selection of specific items – auditors use this technique based on their understanding of the entity together with the assessed risks of material misstatement and the characteristics of the population being tested. Selection of specific items is not sampling, because not every item stands a chance of selection. Such a technique is subject to non-sampling risk and could include high-value items (e.g. high-value items of inventory). Selection of specific items could also include items which demonstrate some other characteristics (e.g. items which exceed a certain amount or items of a specific nature).

Audit sampling – a technique used to evaluate audit evidence about an entire population. The auditor must ensure that all items which make up a population (the **sampling units**) stand an equal chance of selection because not every item in the population is tested. Such a technique provides auditors with a reasonable basis on which they can form a conclusion about the population as a whole.

QUESTION 8

The correct answer is B (HK\$2m). The error in the population is HK\$0.4m in a population totalling HK\$20m and a sample size totalling HK\$4m. Therefore, $(\text{HK\$}0.4\text{m} \times \text{HK\$}20\text{m}) / \text{HK\$}4\text{m}$ is HK\$2m. Answer B is correct.

6

Auditing IT Systems

CHAPTER TOPIC LIST

6.1 The Audit Approach in an IT Environment

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- 6.5.1 Test Data
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6.8 The Auditor's Role in Cybersecurity



LEARNING OUTCOMES

PRINCIPAL LO3: EXPLAIN AND ANALYSE AUDIT APPROACH AND PLANNING

LO3.08: Describe the audit of computerised systems

- | | |
|----------------|--|
| 3.08.01 | Explain how the complexities of computerised systems (including the risk associated with IT security) affect business organisations |
| 3.08.02 | Describe automated-related internal controls in complex systems and their impact on evidence accumulation, including application controls (input controls, processing controls, output controls and controls over master file information) |
| 3.08.03 | Describe the complex and non-complex computerised systems of internal control |
| 3.08.04 | Explain when it is appropriate to audit only the manual internal controls to assess control risk |
| 3.08.05 | Illustrate computer auditing techniques such as the test data approach and parallel simulation |
| 3.08.06 | Describe the nature, purpose and function of generalised audit software as a computer audit tool |
| 3.08.07 | Explain how the auditor can make use of personal computers (PCs) in auditing |
| 3.08.08 | Describe the special concerns of the auditor when the client's information is processed by an outside computer company (service bureau), including the concerns associated with IT security |



OPENING CASE

PICK A BIT

You are the audit senior of Lim & Co Certified Public Accountants and are carrying out the audit of your existing client, Pick a Bit Ltd for the year ended 31 December 20X2. Pick a Bit Ltd is a retailer of domestic appliances such as cookers, refrigerators and washing machines and operates from four branches in Lantau Island. The audit engagement partner, Marie Chow, has had a planning meeting with the finance director of Pick a Bit Ltd and the notes from that meeting are as follows:

The draft financial statements recognise an increase in revenue and pre-tax profit and the statement of financial position is showing a healthy financial position at the year end. However, during the year there has been an increase in the level of customer complaints. The company sells goods to the general public through each of its four stores. When a customer purchases an item from a store, the cashier uses an electronic scanner which brings up the product together with the price to be paid on the cash register. This process is automated and is linked directly to the company's accounting system which is fully backed up once a week. When the sale is completed, revenue is recognised automatically. Customers have complained that incorrect prices are being charged for goods (i.e. the price charged by the electronic scanning system is higher than the price displayed on the product). This has resulted in some adverse press reports being published and management have launched an investigation to establish why the prices being charged by the cash registers are different to the prices displayed on the products.

Each store has a branch manager who is given authority by the board of directors of the company to authorise changes in prices within certain limits. If the manager wants to change a price beyond these limits, the sales director has to authorise such a change.

The company has an internal audit department which carries out regular reviews of the company's controls to ensure they are operating effectively. Internal audit have highlighted the pricing issues in their latest report to the board of directors and have recommended that monthly checks be carried out at each branch to ensure that prices displayed on products match those in the sales system so that there are no discrepancies when customers purchase goods.

The company employs over 150 staff across each of branches. All staff are paid on a monthly basis by the company's in-house payroll department. The company also has a separate human resources department who are responsible for dealing with staff joiners and leavers and authorising increases in pay for the staff. 



OVERVIEW

It is important to appreciate that in today's business environment, and almost without exception, the amounts recognised in an organisation's financial statements will be derived from a computer system. As such, it is essential that the auditor understands:

- where this information comes from;
- how it is processed;
- how its integrity is maintained;
- how much reliance can be placed on it; and
- in the days of paperless transactions, how an electronic audit trail may be followed.

Computer systems, in general, may be defined as a set of elements or components that interact to accomplish specific goals and objectives. These systems may take the form of systems that perform business-related activities (*application systems*) or systems that help the computer itself function (*operating systems*).

The auditor is concerned with ensuring that the data generated by the computerised system that is included within the financial statements is free from errors in order to reduce the risk of material misstatement within the financial statements.

This chapter explores the impacts which the introduction of computerised accounting systems has had on the risks faced by organisations, the control architectures implemented by the client to mitigate such risks, the control elements to be relied upon by management and the auditors' role in planning and performing the audit in a computer-based environment. The focus of the chapter will be in the context of auditing the financial statements when the client is reliant on a computerised accounting system.



6.1 THE AUDIT APPROACH IN AN IT ENVIRONMENT

According to HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement*, the auditor must obtain an understanding of the information system, including the related business processes, relevant to financial reporting. HKSA 315 (Revised 2019), paragraph 25 contains enhanced requirements for the auditor. HKSA 315 (Revised 2019), paragraph 25 deals with the information system and communication and specifically requires the auditor to obtain an understanding of the entity's information system and communication relevant to the preparation of the financial statements through performing risk assessment procedures as follows:

- (a) Understanding the entity's information processing activities, including its data and information, the resources to be used in such activities and the policies that define, for significant classes of transactions, account balances and disclosures:
 - (i) How information flows through the entity's information system, including how:
 - (a) Transactions are initiated, and how information about them is recorded, processed, corrected as necessary, incorporated into the general ledger and reported in the financial statements; and
 - (b) Information about events and conditions, other than transactions, is captured, processed and disclosed in the financial statements;
 - (ii) The accounting records, specific accounts in the financial statements and other supporting records relating to the flows of information in the information system;
 - (iii) The financial reporting process used to prepare the entity's financial statements, including disclosures; and
 - (iv) The entity's resources, including the IT environment, relevant to (a)(i) to (a)(iii) above;
- (b) Understanding how the entity communicates significant matters that support the preparation of the financial statements and related reporting responsibilities in the information system and other components of the system of internal control:
 - (i) Between people within the entity, including how financial reporting roles and responsibilities are communicated;
 - (ii) Between management and those charged with governance; and
 - (iii) With external parties, such as those with regulatory authorities; and
- (c) Evaluating whether the entity's information system and communication appropriately support the preparation of the entity's financial statements in accordance with the applicable financial reporting framework.

HKSA
315.25

As noted in the overview section of the chapter, most organisations will produce their financial statements using information processed via a computer system. However, it should be appreciated that this will also require a large amount of human input (e.g. posting invoices or posting amounts of cash received and paid). Whilst computer systems will have some elements of control processes in place, the primary risk is that these controls can be overridden. To that end, the auditor is concerned with understanding the entity's information technology (IT) system, the controls over that system and the risk of material misstatement in the financial statements.

6.1.1 Characteristics of Good IT Systems

It is useful to revisit the auditor's overall objective which is to obtain reasonable assurance as to whether the financial statements **as a whole** are free from material misstatement, whether due to fraud or error. This enables the auditor to express an opinion on the financial statements.

Even though an entity may have a reliable IT system, there are still factors which the auditor must consider which may give rise to a risk of material misstatement within the financial statements. For example, overriding in-built control processes, 'hacking' by fraudsters (particularly

in today's modern online business environment), data corruption and fraud (including fraudulent financial reporting). Internal control systems cannot be 100% effective and this is also the case for an IT system – for example due to management override of internal controls over the IT system.

A 'good' IT system will enable the organisation to produce meaningful and accurate financial data as the basis for the financial statements. However, there is still a need for the entity to ensure that the financial information produced by the IT system is reliable. For example:

- Carrying out monthly control account reconciliations (e.g. the bank reconciliation and ensuring the trade receivables control account agrees to the list of receivables at each reporting date);
- Ensuring accurate cut-off processes are in place (e.g. ensuring that all sales made during the accounting period are recorded in the correct accounting period and all purchases are recorded in the correct accounting period or accurately accrued for);
- Relevant personnel are given relevant access rights to the IT system (e.g. only the payroll department can access the payroll system and only the finance department has access to the online banking system);
- Ensuring the IT system is adequately backed up on a regular basis (to reduce the risk of loss of data); and
- The IT system is adequately protected against hackers/fraudsters and to protect against the loss of sensitive accounting data.

A 'good' IT system is evaluated in terms of the following attributes:

- Accuracy of data processing
 - Ensuring that all data input undergoes accurate calculations and arithmetic processes. For example, sales discounts provided to customers is at the agreed level and sales taxes are calculated in accordance with tax rates prescribed by the tax authorities.
- Completeness of data processing
 - To ensure that all data input is fully and completely processed and that errors are identified, rectified and re-input where required. For example, ensuring that the purchase ledger captures all invoices at the end of the reporting period or using 'batch totals' to ensure that all purchase invoices are input correctly.
- Verifiability of processing
 - To ensure that all processing can be verified against a standard and that processing is carried out in the manner intended by the organisation. For example, ensuring the bank reconciliation agrees to the cash book balance per the trial balance at each reporting date and that the trade payables control account agrees to the list of trade payables.
- System reliability
 - To ensure that the system functions as intended and is available as required. For example, tax rates are updated as necessary in the payroll system and sales taxes are updated as necessary in the sales cycle. This reduces the risk of the entity's exposure to fines/penalties being levied by the tax authorities.

- Relevance to business objectives
 - That systems function in a manner which assists the organisation in achieving its business objectives. For example, control objectives are met such as ensuring the sales cycle does not allow goods to be despatched without being invoiced and that the purchasing cycle only allows goods to be ordered which are required by the business.
- Simplicity and maintainability
 - To ensure that systems are designed and implemented in a way which facilitates future changes when required and that systems are not unnecessarily complicated to operate and maintain. For example, if the accounting system is overly-complex then this gives rise to a higher risk of material misstatement in the financial statements due to errors or omissions.
- Processing timeliness
 - To ensure that systems can process information in a manner that will deliver results in a satisfactory timescale. For example, ensuring that returns to the tax authority can be completed by specific deadlines to avoid exposing the business to fines and penalties for late submission. In addition, ensuring that the financial statements can be completed in good time for submission to the relevant authorities.
- Economy of processing
 - To ensure that systems do not require unrealistic consumption of resources to function effectively. For example, only a realistic number of personnel are required to ensure a specific cycle of the business runs efficiently, such as sales ordering, payroll and purchasing. If one cycle requires more human resources, it may have a detrimental impact on other cycles if staff are deployed on other areas. For example, if purchase ledger clerks are deployed to other areas of the business and their roles are not covered it could result in incomplete trade payables at the end of the reporting period or errors in processing purchase invoices due to the backlog.

6.1.2 Using the Work of an Internal Audit

Internal audit is part of an entity's system of internal control. As part of their work, internal audit (IA) may be asked to carry out an evaluation of controls over the organisation's IT system. This is particularly the case in larger organisations which are required to comply with Sarbanes-Oxley regulation. Internal audit cannot implement internal controls (as this will create a threat to their independence as they will then effectively be reviewing their own work). Instead, internal audit can make recommendations for improvements to controls.

The external auditors may choose to rely on the work of IA. Chapter 4 examines using the work of internal audit in more detail.

Apply and Analyse 1

Apply

The level of customer complaints due to incorrect pricing has increased at Pick a Bit Ltd and the company has also been subjected to adverse press reports about this. This is likely to have a damaging impact on customer goodwill as customers will usually be cautious about purchasing goods from the company if the pricing problem continues. Internal audit have also highlighted this problem to the board of directors in their latest report.

The audit junior has asked why internal audit cannot simply implement their recommendations and then carry out checks to ensure their recommendations have been properly actioned. In addition the audit junior has also questioned what recommendations internal audit are likely to make to the board.

Explain why internal audit cannot implement internal controls over the pricing process of Pick a Bit Ltd and describe the work which internal audit are likely to carry out over the company's pricing policy.

Analysis

Internal audit (IA) is a function of an entity's internal control environment. IA must be seen to be acting independently and objectively and will therefore make recommendations to management and/or those charged with governance as to how the internal control environment may be improved upon or suggest controls in areas where internal controls may be lacking. IA cannot implement their own controls because if they were to do this, it would create a self-review threat as IA would then be reviewing their own work.

IA would generally carry out the following tests over the pricing policy of the company:

- Use test data to ensure selling prices match those prices displayed on products.
- Review pricing overrides by each branch manager to ensure they have only changed prices in accordance with their authorisation limits.
- Review exception reports from the sales system to identify the level of pricing errors and to check that these are reducing once controls have been improved upon.
- Review the procedures in place for price increases to ensure the IT system is updated correctly when prices are to be increased or to review the procedures in place when the company has a sale to ensure the procedure for decreasing prices is properly controlled and that price decreases are correct (i.e. they are not decreased beyond the agreed sale price).

The controls present in an organisation are normally evaluated by internal audit and the auditor will decide whether, or not, to rely on the findings of IA. Therefore, it is important that the auditor develops a sufficient level of understanding of the company's IT system including the controls in place over the IT system.

► Knowledge Check Questions

Question 1

Identify which of the following is a primary concern of the auditor when auditing financial statements from which information has been derived from an IT system.

- A Ensuring that the IT system is compatible with the auditor's audit software program.
- B Obtaining reasonable assurance that data within the IT system is free from misstatement.
- C Obtaining reasonable assurance that the IT system's passwords are changed on a regular basis.
- D Obtaining reasonable assurance that the IT system is sourced only from an approved supplier.

Question 2

An organisation has an internal audit department which carries out regular checks over the entity's IT system. Identify which of the following would be true in respect of internal controls over the IT system.

- A Internal audit must implement internal controls over the IT system.
- B Internal audit must authorise which supplier the IT system is sourced from.
- C Internal audit recommends internal controls over the IT system.
- D Internal audit have no responsibility over the IT system.

6.2 MANUAL AND AUTOMATED CONTROLS OVERVIEW

Internal controls are processes put in place by an entity's management and can be manual or automated. In an IT environment, controls can comprise both manual and automated controls.

Automated controls are in-built into the IT system. An example of an automated control would be to reject a customer whose credit-rating is not high enough or to reject a sales order which takes a customer's balance owing to the company beyond its agreed credit limit.

A manual control is a control within the system that is operated by the employee. An example of a manual control would be to increase the level of discount to a certain customer or to override the system's automated control so that it accepts a customer when it has already rejected it.

Key Learning Point

A **manual control** is inherently riskier than an automated control because it is susceptible to human error and is applied by the employee. For example there is a risk that a manual control could be operated erroneously or fraudulently and so such controls must be properly implemented.

Illustrative Example 1

An organisation runs its accounting and ordering function using an IT system. There are procedures in place for accepting new customers who will be sold goods on credit terms. The new customer must be subject to credit checks to ensure they are not a bad credit risk and once this test is passed, the customer's account is created. Credit terms vary depending on the size and reputation of the customer and how long the customer has been established. In addition, the credit score obtained from the credit-rating agency will also influence how long credit terms are granted. Credit terms range from five working days to 90 days. Credit terms granted beyond 45 days have to be authorised by the sales director.

The IT system has an automated control process whereby new customers above a specified credit-rating are automatically accepted whereas new customers with a credit-rating below the specified rating are automatically declined. This is an example of an automated control process which is in-built into the IT system.

Customers who are automatically declined by the IT system are reviewed by the sales director. If she assesses that the customer is credit-worthy, then she can override the automated control and manually accept the customer. This is an example of a manual control.

Apply and Analyse 2

Apply

In Pick a Bit Ltd, the internal audit department have been conducting their review of why sales prices often differ to those prices on display which has resulted in customer complaints.

During their review, it was found that in some cases prices can be overridden by sales staff and senior officials. The audit junior has asked what the implications are where this is concerned.

Explain to the audit junior the problems in the automated and manual controls over the sales cycle of Pick a Bit Ltd.

Analysis

An automated control is in-built into the IT system itself. Where selling prices are concerned, these should not be changed unless proper authority has been given by a responsible official. Branch managers have the authority to change prices within a certain range and beyond that range, higher authority must be sought.

The automated controls should ensure that goods are sold at the correct prices. Manual controls over the selling prices should be restricted to only the branch managers (within the levels they are authorised to change prices at) and senior officials within the organisation. There is a risk of the company losing money if staff can manually amend selling prices – for example, products could be sold to family and friends at significantly reduced prices resulting in a loss to the business.

6.2.1 Audit of Manual Controls

The auditor may consider it necessary to only audit the manual controls to assess control risk. 'Control risk' is the risk that a misstatement which could occur, and which could be material will not be prevented, or detected and corrected on a timely basis by the entity's internal controls.

Every organisation's combination of manual and automatic controls will vary due to the nature of the business and the complexity of the entity's computerised systems. As noted above, the auditor may consider it necessary to only audit the manual controls in order to assess control risk. HKSA 315 (Revised 2019), Appendix 5, para 1 acknowledges that an entity's system of internal control contains both manual elements and automated elements (i.e. manual and automated controls and other resources used in the system of internal control). Paragraph 1 of Appendix 5 to HKSA 315 (Revised 2019) recognises that the mix of manual and automated elements will vary depending on the nature and complexity of the entity's use of IT.

HKSA 315 (Revised 2019), Appendix 5, para 2 then goes on to clarify that the characteristics of manual or automated elements are relevant to the auditor's identification and assessment of the risks of material misstatement and further audit procedures based thereon. It then goes on to state that automated controls may be more reliable than manual controls because they cannot be as easily bypassed, ignored or overridden and they are also less prone to simple errors and mistakes. Appendix 5, para 2 then goes on to outline two circumstances in which automated controls may be more effective than manual controls as follows:

- High volume of recurring transactions, or in situations where errors that can be anticipated or predicted can be prevented, or detected and corrected through automation.
- Controls where the specific ways to perform the control can be adequately designed and automated.

HKSA 315
App. 5, para 2

HKSA 315
App. 5, para 2

Illustrative Example 2

Consider a company that uses an automated computerised accounting system in its organisation. The computer system will initiate, record, process and report transactions. However, the company also has manual controls in place such as:

- Approvals (of capital expenditure over a certain amount or a supervisor review and sign-off of overtime worked);
- Reconciliations (of control accounts such as the bank reconciliation); and
- Follow-up of reconciling items (for example, investigating and correcting balancing entries on the bank reconciliation); and
- Manual data entry controls which include the pre-numbering of source documents (e.g. invoices) and the marking of records as 'input' after entry.

The operation of manual controls depends on human beings so are more susceptible to error or override. Therefore, the auditor would need to devise audit procedures to ensure that these manual controls have operated effectively during the period. If manual controls are not 'owned' by key individuals within the organisation, it is unlikely that they will operate consistently. This would create an issue because to properly test manual controls, a sample of transactions is selected to confirm that the control has operated as expected. If the control did not operate consistently, a deviation or exception will arise.

For example, the auditor may devise procedures which verify the existence and operation of manual data entry controls to ensure they have prevented the entry of duplicate records.

► Knowledge Check Questions

Question 3

Identify which of the following is an example of a manual control within an IT system.

- A** Rejecting access to the payroll system to an unauthorised member of staff.
- B** The generation of an exception report by the IT system.
- C** Rejection of an invoice for an unapproved supplier.
- D** Approval of a new customer by the sales director.

➤ 6.3 IT GENERAL CONTROLS

The auditor's responsibility is to obtain sufficient and appropriate audit evidence that the financial statements are free from material misstatement whether due to fraud or error. The term 'general controls' refers to the environment within which the computer system is developed, maintained and operated and within which the application controls operate (application controls are examined further in Section 6.4 of this chapter).

HKSA 315 (Revised 2019), Appendix 5, para 18 provides examples of risks that arise from the use of IT and general IT controls as follows:

- Unauthorised access to data that may result in destruction of data or improper changes to data, including the recording of unauthorised or non-existent transactions, or inaccurate recording of transactions. Particular risks may arise where multiple users access a common database.
- The possibility of IT personnel gaining access privileges beyond those necessary to perform their assigned duties, thereby breaking down segregation of duties.
- Unauthorised changes to data in master files.
- Unauthorised changes to IT applications or other aspects of the IT environment.
- Failure to make necessary changes to IT applications or other aspects of the IT environment.
- Inappropriate manual intervention.
- Potential loss of data or inability to access data as required.

HKSA 315
App. 5, para 18

The auditor is primarily concerned with ensuring that an entity's general controls provide secure, effective and efficient operation of the IT system. General IT controls consist of the following:

- Developing computer applications.
- Preventing and detecting unauthorised access to the IT system including ensuring individuals only have access to relevant programs (e.g. only payroll can access the payroll system and senior members of the finance team have access to the online banking system).

- Ensuring that changes within the IT system are appropriate, carried out only by authorised personnel and are capable of being logged and ensuring that the entity has controls in place to prevent unauthorised changes being made to the system.
- Ensuring controls are in place to ensure business operations are not disrupted.
- Putting controls in place over network security to prevent 'hackers' and reducing the risk of sensitive data being put into the public domain.

When the auditor is auditing the entity's general controls, they will carry out procedures which confirm that:

- (a) there are adequate segregation of duties in place to reduce the risk of fraud or error;
- (b) management and the entity's employees comply with written policies and procedures and that any changes to these policies and procedures are adequately documented; and
- (c) access to computer systems and computer terminals is restricted to only relevant employees.

General controls include the implementation of appropriate systems development standards, controls over the operation of the computer installation and those governing the functioning and maintenance of system **software**. As such, they have a pervasive effect on all application systems and the degree of reliance the auditor can place on the systems in use.

The approach selected to review business systems must address all relevant risks, management and general controls, and manual controls that are part of the business function under review.

General IT controls include, but are not limited to, data and program security, program change control, logical access controls, system development controls, and IT operations controls.

Key Learning Point

It must be emphasised that if the auditor concludes that general controls are ineffective then it is unlikely that the application controls, for example controls over processing, (see Section 6.4) will be effective. The auditor will usually review the general controls first before they review the application controls.

If general controls are ineffective, the auditor will place little (if any) reliance on the IT system and will carry out a more substantive approach to auditing the financial statements. The risk of material misstatement is likely to be high when general controls are deemed to be ineffective because there is more scope for errors in the day-to-day processing of financial information.

Apply and Analyse 3

Apply

You are the audit senior of Pick a Bit Ltd and have been requested to document the general controls in place over the entity's IT system and to devise risk assessment procedures to assess whether the entity's processes for preventing or detecting unauthorised changes

Apply and Analyse 3 (continued)

to the accounting system are adequate. These risk assessment procedures will be used during the audit of the financial statements for the year ended 31 December 20X2.

Describe the audit risk assessment procedures you should carry out over the entity's general controls to prevent and detect unauthorised changes to the company's computerised accounting system.

Analysis

The prevention and detection of unauthorised changes to the computerised accounting system is a general control. Audit risk assessment procedures to be carried out to test the operating effectiveness of this general control include the following:

- Observing the client's performance of certain procedures to ensure there are adequate segregation of duties in place.
- Reviewing the log of amendments for evidence that they have been carried out by an appropriate individual.
- Logging in to the accounting system using a member of staff's login details who does not work in the finance department (the system should reject access).
- Ensuring there are appropriate anti-virus systems in place over the accounting system and that these are up-to-date.
- Reviewing the company's policy for backups of the accounting system.
- Inspecting logs into the accounting system.

HKSA 315 (Revised 2019), Appendix 6, para 2 provides examples of general IT controls which may exist as follows:

(a) Process to manage access

- *Authentication*
Controls that ensure a user accessing the IT application or other aspects of the IT environment is using the user's own log-in credentials (i.e. the user is not using another user's credentials).
- *Authorisation*
Controls that allow users to access the information necessary for their job responsibilities and nothing further, which facilitates appropriate segregation of duties.
- *Provisioning*
Controls to authorise new users and modifications to existing users' access privileges.
- *Deprovisioning*
Controls to remove user access upon termination or transfer.
- *Privileged access*
Controls over administrative or powerful users' access.
- *User access reviews*
Controls to recertify or evaluate user access for ongoing authorisation over time.

- *Security configuration controls*
Each technology generally has key configuration settings that help restrict access to the environment.
 - *Physical access*
Controls over physical access to the data centre and hardware, as such access may be used to override other controls.
- (b) Process to manage program or other changes to the IT environment
- *Change management process*
Controls over the process to design, program, test and migrate changes to a production (i.e. end user) environment.
 - *Segregation of duties over change migration*
Controls that segregate access to make and migrate changes to a production environment.
 - *Systems development or acquisition or implementation*
Controls over initial IT application development or implementation (or in relation to other aspects of the IT environment).
 - *Data conversion*
Controls over the conversion of data during development, implementation or upgrades to the IT environment.
- (c) Process to manage IT operations
- *Job scheduling*
Controls over access to schedule and initiate jobs or programs that may affect financial reporting.
 - *Job monitoring*
Controls to monitor financial reporting jobs or programs for successful execution.
 - *Backup and recovery*
Controls to ensure backups of financial reporting data occur as planned and that such data are available and able to be accessed for timely recovery in the event of an outage or attack.
 - *Intrusion detection*
Controls to monitor for vulnerabilities and/or intrusions in the IT environment.

HKSA 315
App. 6, para 2

6.3.1 Program Change Control

From time to time there is a need to make changes to IT programs, particularly accounting and payroll software, to update the program for improvements in performance and legislative changes affecting the organisation's business, such as increasing tax-free allowances for employees or changing sales tax rates. The entity must have controls in place to ensure that such changes are not actioned in an unauthorised, untested, or even malicious manner.

Larger entities tend to have an IT department which is assigned this responsibility and, even then, there has to be sufficient controls in place within the IT department to ensure that changes to IT systems are done in accordance with the company's published policies

and procedures. Smaller entities may outsource their IT functions to a third party or have less rigorous controls in place than a larger entity. In itself, a small entity having less rigorous controls in place than a large entity is not a weakness – the auditor is concerned with how effective those controls are and any weaknesses must be notified to management and/or those charged with governance.

The auditor's focus is to ensure that controls over program changes are operating effectively. The auditor will design audit risk assessment responses to ensure that:

- All changes, whether to hardware or software, are properly authorised by a responsible official;
- All authorised changes are correctly implemented on a timely basis;
- All changes implemented are as specified and authorised; and
- The entity keeps a **log** of all changes made to an IT system including who actioned and authorised the change.

Where the entity has an internal audit department, it is likely that they will be assigned responsibility to ensure that controls in this area are actioned correctly and are done in accordance with the company's written policies and procedures.

Illustrative Example 3

At the start of a new fiscal year, the company adjusted the salaries of all staff members to match the inflation. The Human Resources (HR) department are required to action these changes before the first payroll of the new fiscal year is prepared. A member of staff in HR record the required changes to employees' standing data and this is then reviewed by the HR manager.

The HR manager reviews the proposed changes to the employees' standing data before it is actioned. He signs the log of changes as being authorised and the increment amounts are updated by the HR administrator.

Once the changes have been processed, a log of the changes is printed from the payroll system. This is then checked by a second member of the HR department to ensure that the changes have been inputted correctly. Once this is confirmed, the log of changes together with the original list of changes to the standing data is sent back to the HR manager for his final review. Once the HR manager has authorised the changes as being correct, payroll is notified and the first month's payroll in the new fiscal year can be processed.

In this example, there are a number of key controls in the process to change employees' salary amounts as follows:

- HR (not payroll) is responsible for the changes to the employees' standing data.
- One employee is responsible for preparing the list of changes and this is reviewed by the HR manager BEFORE the changes are processed.
- A second member of staff in HR reviews the log of changes to ensure they have been inputted into the system correctly.

Illustrative Example 3 (continued)

- The HR manager also reviews the log of changes and the original list of changes to the standing data before payroll processes the first month's payroll in the new fiscal year.

A combination of appropriate segregation of duties and review procedures will ensure that changes to employees' standing data are processed correctly and only authorised changes are made.

6.3.2 Logical Access Controls

A logical **access control** prevents unauthorised individuals from gaining access to data or software. The use of passwords is an example of a logical access control.

Data or software of an individual computer will be classified depending on the sensitivity and confidentiality of the data in question. Information such as payroll data will generally be classified as confidential and sensitive whereas other information may not be as confidential or sensitive. A 'logical access system' performs three operations when an individual requests access:

- (1) It requires the individual to enter a user identification.
- (2) When the user identification has been entered, the system will check its authenticity.
- (3) The system will also check the authority of the user. For example, to grant them access to only those areas of the system to which they are authorised to have access to.

Illustrative Example 4

The accounting function of Pick a Bit Ltd is fully computerised. Each department only has access to the relevant areas of the accounting system. For example, Barbara Chow is the purchase ledger clerk and she can only access the purchase ledger function of the accounting system. Ivan Sou is the senior credit controller and he only has access to the sales ledger function of the system. Janet Ma is the financial controller and she has full access to all areas of the accounting system.

Access to various areas of the system is granted depending on the user's identification (ID) and password when they access the system. If Janet Ma were to enter Barbara Chow's credentials into the accounting system, she would only be given access to the purchase ledger.

The use of such **logical access controls** prevents unauthorised access to sensitive and confidential areas of the accounting system and ensures that staff can only access those areas of the system which they need to perform their roles in the organisation.

6.3.3 Backup and Recovery

In a computerised accounting environment, it is important that the entity has adequate backup and recovery procedures in place. The concern of the auditor in this respect is to ensure that the entity has specific controls in place which ensure continuity of business operations in the event of an IT failure or disaster (such as a fire or flood).

If the entity does not have adequate backup and recovery procedures in place, the loss of accounting data could have a catastrophic impact on the audit. For example, the auditor may not be able to obtain sufficient and appropriate audit evidence over various areas of the financial statements. This could be so serious that the auditor simply cannot form an opinion as to whether the financial statements give a true and fair view, or present fairly in all material respects. In such cases the auditor must issue a disclaimer of opinion (Chapter 9 examines auditor's reporting in more detail). A disclaimer of opinion states that the auditor cannot form an opinion because they cannot gather the evidence they need to support the amounts and disclosures in the financial statements.

The threat of loss of accounting data cannot be over-emphasised and it is important that all entities, regardless of size, have adequate backup and recovery procedures in place. A key control which the auditor will invariably check to see is in place is that backups are taken off-site so that there is a backup of the IT system if, for example, a flood or fire destroyed the building.

It is critical that all system users are aware that, should anything go wrong, even as small as deleting a file accidentally, with adequate backup there is at least a chance of recovery. With inadequate backup, recovery may be prolonged or even impossible. If recovery is prolonged or impossible, the auditor's risk assessment must reflect this and a more substantive approach to the audit will be likely.

One key control that a business must have in place is a system which ensures the business can continue in the event of a disaster. If a disaster happens and the entity does not have controls in place to ensure continuity of operations, this threatens the ability of the entity to continue as a going concern. If there are doubts as to the entity's ability to continue as a going concern, such doubts must be disclosed in the financial statements. In more serious cases, the auditor may conclude that the going concern basis of accounting is inappropriate. Where the financial statements have been prepared on a going concern basis, but the auditor concludes that the going concern basis is inappropriate, this will result in the auditor expressing a modified opinion (see Chapter 9).

The auditor will carry out the following procedures to determine whether the controls to ensure continuity of business operations are adequate:

- Inquiring of management and/or those charged with governance and inspecting backup procedures, including whether backups are taken offsite.
- Inspecting the company's disaster recovery procedures.
- Inspecting insurance contracts (to ensure the levels of insurance cover are adequate) and maintenance agreements.
- Inspecting equipment to see how protected it is against hazards such as a fire or flood.

Apply and Analyse 4

Apply

You are the audit senior of Pick a Bit Ltd and have reviewed the entity's controls to ensure continuity of business operations in the event of a disaster, including a loss of vital accounting data. The internal controls notes confirm that the company carries out a full backup of the accounting system once a week. The audit senior has concerns about this process given the sheer number of transactions which the company undertakes on a weekly basis.

The audit engagement partner agrees with your concerns and has asked you to draft a response to the directors of Pick a Bit Ltd which makes recommendations for improvements in this area. Explain the potential consequences of the company's current backup policies and the effect this may have on the company's continuity of operations in the event of a disaster and recommend an improvement to this control.

Analysis

Pick a Bit Ltd currently takes a full backup of the accounting system once a week. Given the nature of the business (a retailer) and the volume of transactions which it undertakes each week, the frequency of backups is inadequate. There is a high risk of loss of key accounting data, including sales revenue and purchases, which may take a long time to re-process, particularly if the loss of data arises at a busy time, such as at month end or at the year end. In addition, such backup policies could have company-wide implications. For example, if sales prices are lost and data is unable to be recovered, this will prevent the company from selling goods and the business may be interrupted – this could have potential going concern implications for the business.

The company is advised to increase the level of backups of its accounting information so that they take place at least once a day. The company is also advised to ensure that a copy of the latest backup is taken offsite at the end of each working day so that there is a working copy of the accounting data in the event of a loss of data.

► Knowledge Check Questions

Question 4

Identify which of the following general controls are a primary concern of the auditor at the planning stage of the audit:

- (I) They provide secure operation of the IT system.
- (II) They provide effective and efficient operation of the IT system.
- (III) They are implemented only by IT specialists within the company.
- (IV) Passwords are changed on at least a monthly basis.
- (V) They include adequate segregation of duties.

- A** I and II
- B** II and III
- C** III and IV
- D** IV and V

► **Knowledge Check Questions (*continued*)**

Question 5

Identify which of the following statements is TRUE in respect of both general and application controls:

- A** General controls have no impact on the IT system's application controls.
- B** If general controls are ineffective, then application controls will be effective.
- C** If application controls are effective, then general controls will be ineffective.
- D** If general controls are ineffective, then application controls will generally be ineffective.

Question 6

An entity has made various changes to its computerised accounting system during the year. Identify which of the following risk assessment responses will be carried out by the auditor:

- (I) The auditor will confirm that the changes are legally required.
- (II) The changes have been properly authorised by a responsible official.
- (III) Reviewing the log of changes to the accounting system to ensure there is evidence of appropriate authorisation.
- (IV) Ensuring that only internal audit have actioned the changes.
- (V) Ensuring that only the finance director has implemented the changes to the accounting system.

- A** I and II
- B** II and III
- C** III and IV
- D** IV and V

Question 7

Identify which of the following is an example of a logical access control:

- A** The system requires the individual to enter a user identification.
- B** The system rejects a sales order which takes the customer over its agreed credit limit.
- C** Information output is distributed only to authorised individuals.
- D** A responsible official can only make changes to standing data.

6.4 APPLICATION CONTROLS

These are the controls which operate within the business application to ensure that data is processed completely, accurately, validly and in a timely manner. The auditor is concerned with application controls because they may have a direct impact on how individual transactions have been processed within the accounting system and hence form part of the information reported in the financial statements.

Ultimately, the auditors' job is to determine if the application systems function as intended and evaluate management controls to ensure the integrity, accuracy, and completeness of all information processing. This provides comfort to the auditor that the IT system has processed financial information correctly and hence will enable the auditor to render an opinion on the financial statements.

Application controls can be manual or computerised and apply to the processing of transactions. Examples of application controls include:

- Batch total checks – for example adding up the total of a batch of supplier invoices to ensure the total agrees to the value inputted into the system.
- Sequence checks – for example inspecting the output of numerical sequence checks for any exception reports and inquiring as to how these have been resolved.
- Matching master files to transaction records – for example inspecting the number of documents processed to ensure there have been no deletions.
- Arithmetic checks – for example ensuring that sales invoices are mathematically correct in terms of amounts invoiced and that sales taxes are correctly calculated.
- **Range checks** – for example ensuring that data stays within a reasonable range.
- Existence checks – for example ensuring that employees included on the payroll actually exist and hence are genuine employees.
- Authorisation checks – for example inspecting purchase invoices for evidence of manual checks.
- Exception reporting – for example ensuring that the system adequately flags up any exceptions such as unauthorised access to programs, changes to master file data or errors in calculations.

Apply and Analyse 5

Apply

The audit senior of Pick a Bit Ltd has held a discussion with the finance director to enquire into the problems associated with the pricing complaints. The finance director has been working with internal audit to understand the reasoning behind the problems.

Part of the investigation revealed that certain sales price data can be accessed by unauthorised individuals. For example, discounts can be applied to various products by a sales clerk and prices of various products can be reduced quite easily by most of the sales staff.

The audit engagement partner has asked that recommendations be made to management and those charged with governance as this is viewed as a significant deficiency in internal controls. Describe the recommendations that should be made to management and those charged with governance over the identified weaknesses.

Analysis

Discounts and the setting of sales prices for products should only be accessible to senior officials within Pick a Bit Ltd. Providing access to such records to more junior members of staff exposes the company to a higher risk of fraud and loss of income. Sales clerks could

Apply and Analyse 5 (continued)

override the electronic point of sale system by providing excessive discounts to friends and family members. In addition, disgruntled employees could excessively reduce sales prices of goods meaning the company loses revenue.

Application controls over the sales cycle need to be strengthened as quickly as possible. Recommendations could include:

- Enabling the sales cycle to provide reports to management of changes made to selling prices.
- Reviewing exception reports for evidence of unauthorised access (or attempts to access) programs which control selling prices of goods.
- Implementing authorisation controls over programs so that discounts can only be applied by senior officials and sales prices can only be increased or decreased by a responsible official.

6.4.1 Input Controls

Input controls are designed to ensure that information inputted into the IT system is as accurate as possible. Other types of input controls may include:

- *Check digit verification* to ensure accuracy of the data entered. The check digit is created as the result of a calculation routine from the data input. This can be recalculated to match and ensure the accuracy of the data entered into the system.
- *Hash total verification* verifies accuracy for non-monetary or non-numeric data. A **hash total** is a meaningless total of numbers such as account numbers. The hash total is, itself, meaningless but may be recalculated to ensure input data is not lost or corrupted.
- *Input verification* where required involves a second person reviewing and authorising the data entered into the system. For example, one person can enter the raw data to prepare the monthly payroll and another person can check that data to ensure it is accurate before it is finalised. Executed properly, this control can ensure the segregation of duties between the input process and the authorisation process.

Illustrative Example 5

A company pays its staff on a monthly basis and has its own payroll department to carry out this function. There are three members of staff in the payroll department consisting of two payroll clerks and a payroll manager.

Time sheets are entered into the payroll system by one of the payroll clerks and a report is produced which details the hours worked by the employees that month. This report is then compared against the time sheets by the second payroll clerk. Once this review is complete any necessary amendments are made and the payroll for that month is processed.

Prior to the payroll being finalised, the payroll manager carries out a detailed final review. She compares the hours worked per the time sheets to the payslips which are

Illustrative Example 5 (continued)

going to be given to the staff members. Once she is happy that the payroll is ready to be finalised, she signs and dates the payroll summaries as being reviewed and the payroll is finalised. The bank transfer list is prepared by the second payroll clerk and this is reviewed by the payroll manager prior to it being sent to the finance director for his final review. The finance director compares the amounts on the bank transfer list to the payroll summaries to ensure that the net pay being paid to each employee is correct.

This is an example of detailed input verification whereby various information within the payroll is reviewed by other members of the payroll team prior to the payroll being finalised. In addition, the finance director also carries out a review of the bank transfer list to ensure each employee is receiving the correct amount of net pay.

Having such controls in place not only reduces the risk of error within the payroll, but it is also a deterrent against fraud because so many checks are being performed throughout the cycle by individual members.

6.4.2 Processing Controls

A computerised system must have processing controls in place which ensure that all data input is processed correctly and that data files are updated on a timely manner. The concern of the auditor in this respect is that if processing controls are weak then it is likely that information generated by the IT system which is included in the financial statements contains a material misstatement.

When a new IT system is being implemented, processing controls should ideally be tested prior to the new system going live. In these situations, the entity may choose to run the old and the new system in parallel so that any problems which present themselves in the new system can be resolved before the old system is finally shut down. *Re-entry verification of rejected data* can be used to ensure that all transactions which have been previously rejected are corrected, and input appropriately into the accounting system. The IT system should have the ability to record such rejected data (e.g. by way of exception reports) which will enable checks to be carried out to ensure that corrective action has been taken and the data has been inputted into the system correctly.

Illustrative Example 6

Consider a company that has recently introduced a new accounting system. The new system should be run in parallel with the old system to ensure that it is operating correctly. The primary objective of doing this is to ensure the integrity of cumulative totals contained in the accounting records is maintained from one data processing run to the next.

When the company runs its month-end process, the finance manager carries out checks to ensure that the balances contained within the statement of financial position have been 'rolled over' into the next accounting period correctly. For example, ensuring the balance on the bank account in the general ledger has been correctly carried over. These checks ensure that the new system is operating correctly before it 'goes live' and the old system is removed.

6.4.3 Output Controls

Output controls should be implemented in an IT system whose primary objective is to ensure that all data is processed correctly and that the output is only distributed to authorised individuals. Common output controls include:

- Using batch control totals.
- Review and investigation of exception reports to ensure they have been adequately resolved.
- Adequate scheduling of data processing so that information can be distributed to users on a timely basis.
- Formal written procedures are in place which outline the entity's distribution procedures.
- Ongoing monitoring processes to ensure that distribution processes are being complied with.

Illustrative Example 7

The purchase ledger department of Pick a Bit Ltd is required to use 'batch control totals' when entering supplier invoices onto its purchase ledger. The purchase ledger clerk will manually total the batch of supplier invoices to be entered and compare this final total to the audit trail of supplier invoices entered. The two totals should match and if they do not it indicates that either an invoice has been entered into the purchase ledger incorrectly or that the batch itself has been totaled incorrectly. Before finalising the batch, the purchase ledger clerk is required to ensure both the totals calculated and the audit trail balance are in agreement.

The use of batch controls ensures that the batch of supplier invoices has been entered completely and accurately.

6.4.4 Controls over Master File Information

It is vital that the entity has adequate controls over master file information. Any unauthorised changes to master file information will affect the standing data. For example, unauthorised increases to certain staff salaries or increasing sales discounts allowed can cause the company to lose money and are indicative of fraud which is a major concern for the auditor.

Controls over master file information include:

- Appropriate use of passwords and provision of access to master file information to senior officials of the organisation only.
- Written procedures which deal with how master file information and standing data are to be amended.
- Adequate segregation of duties (e.g. one person inputs changes to master file information and another person reviews the changes and/or the log of changes).
- Performing regular checks of master file data to ensure it is consistent with expectations.
- Having adequate processing controls over the updating of master files which can include record counts and control totals.

Apply and Analyse 6

Apply

Pick a Bit Ltd has over 150 staff working for the company and each staff member is paid on a monthly basis by the company's in-house payroll department. In addition, the company also has its own human resources (HR) department who are responsible for dealing with staff joiners and leavers and amendments to staff pay.

The audit junior is unsure of the controls that should be expected of this type of company over the payroll cycle of the business and has asked your advice as to what to look for when auditing the controls over master file information dealing with payroll.

Explain to the audit junior the types of key controls you would expect to find over the master file information in the payroll cycle of Pick a Bit Ltd.

Analysis

The company will undoubtedly have many ranks of individuals in the business on differing levels of pay depending on their position in the business and their seniority. It is important, therefore, that the entity has a sound system of control over the employees' rates of pay and access to such information.

HR must be independent of the payroll function and in Pick a Bit Ltd it seems that they are. Only responsible officials within the HR department should have access to master file information containing details of staff and their rates of pay. Joiners would be expected to fill in 'new starter forms' which must be completed before they start work. These will be used to enter relevant information into the payroll system by the HR department. Once this information has been entered, it should be reviewed by a second individual to ensure it has been inputted correctly.

All payroll/HR master file information must be protected by passwords which should be changed on a regular basis. Passwords must also be kept confidential and in the event that a password is divulged to an unauthorised member of staff or third party, procedures should be in place to immediately change the password.

Rates of agreed pay should be entered into the payroll master file information by the HR department and, again, these should be reviewed for accuracy once they have been input. Payroll should not have responsibility in this area as there needs to be a segregation of duties in this important area of the HR process.

Any amendments to staff pay must be made by the HR department following agreement by senior officials (e.g. the senior management or the board of directors). As with all master file information, a log of amendments made must be maintained and this log must be reviewed by a senior official to ensure that the amendments are correct and have been appropriately authorised.

The computerised system itself should be capable of producing a report detailing any amendments made to master file information and this should be reviewed by the auditor for evidence of a review by a senior official in Pick a Bit Ltd.

► Knowledge Check Questions

Question 8

Identify which of the following statements is TRUE in respect of the following application controls:

- A** Existence checks are checks to ensure application controls exist.
- B** Authorisation checks ensure a transaction should be processed.
- C** Range checks check that a range of information is included in the IT system.
- D** Application controls can only be automated within the IT system.

Question 9

An audit junior has asked you to explain what 'input verification' means. Identify which of the following statements correctly describes input verification:

- A** It involves a transaction being authorised prior to processing.
- B** It involves a calculation routine from the data input.
- C** It verifies the accuracy for non-monetary data entered into an IT system.
- D** It involves one person processing and one person reviewing the information entered.

Question 10

Identify which of the following are examples of 'output controls':

- (I) Verifying data which has been re-entered to ensure previous errors have been corrected.
- (II) One person inputs the data and a second person reviews it prior to distribution.
- (III) Using batch control totals.
- (IV) Reviewing and investigating exception reports to ensure the exceptions have been resolved.
- (V) Carrying out regular checks of master file data.

- A** I and II
- B** II and III
- C** III and IV
- D** IV and V

➤ 6.5 COMPUTER-ASSISTED AUDITING TECHNIQUES

Computer-assisted auditing techniques (CAATs) have increased in popularity over the years because they can provide audit efficiencies. CAATs use computers to perform various audit procedures but the important point to emphasise is that they do not change the overall scope or objective of the audit. Two common types of CAATs include audit software (see Section 6.5.2) and **test data** (see Section 6.5.1).

An auditor can use CAATs to perform a variety of audit procedures including:

- Carrying out tests of details on transactions and balances.
- Performing analytical review procedures, such as calculating gross profit margins and comparing them to the prior year.
- Designing sample sizes and carrying out sampling.
- Repperforming calculations that have been carried out by the company's accounting system.
- Performing tests of controls over the computerised system, such as testing general controls and application controls.

As noted earlier, there are many advantages of CAATs – the main one being time efficiencies on the audit. In addition, the auditor can test larger sample sizes and key controls and processes can be traced which may otherwise be impossible in the absence of a computer. CAATs can also prove to be cost-effective in the long-term provided the client does not change their IT system.

There are, however, some inherent disadvantages to using CAATs, the main one being the initial setup costs and time spent as well as training audit staff in the use of CAATs. In addition, the auditor must also factor in the possibility that the software the auditor uses for CAATs may not be compatible with the client's system and there is a risk of data corruption or losing the client's live data (the auditor must have extremely strong controls to prevent data corruption/loss of client's live data – see Section 6.5.1.1).

6.5.1 Test Data

In addition to audit software as discussed above, the auditor can also use 'test data'. Test data is used by the auditor to carry out compliance tests (tests of control). Tests data is used to enter a sample of transactions (or other types of data) into the client's IT system and then comparing the results with pre-determined results. This allows the auditor to check that the entity's IT system is processing data in the correct way and can provide assurance to the auditor that such data is free from error.

Illustrative Example 8

Consider a company which has a significant number of customers to which it sells goods on credit. The trade receivables amount in the year-end financial statements will be material and the auditor is concerned with ensuring that the valuation of these receivables is reasonable (in other words, there are no amounts which may be irrecoverable and hence are overstating the value of trade receivables and profit before tax).

One of the main control objectives of a sales cycle is to ensure that goods are not sold on credit to customers who may not be able to pay. The auditor can use test data to process a transaction (or a number of transactions) into a customer's sales ledger account so that the transaction takes the customer over its agreed credit limit. The system should reject the transaction if the customer's credit limit is exceeded. If it does, the auditor can take comfort that the system works correctly; but if it does not, this will indicate a weakness in the controls and hence the auditor will have to carry out more substantive testing over the receivables.

Illustrative Example 8 (continued)

The auditor can also use test data to check for invalid data being entered into the IT system. For example:

- Inputting a customer account number which does not exist – the system should reject the account number.
- Entering an inappropriate amount for a transaction – such as a significant bonus for a junior member of staff. The payroll system should report this as a potential exception.

Test data may also be used as follows:

- To test general controls over the IT system such as checking access to certain programs is only granted to specific individuals by checking passwords and controls over data access.
- Testing that certain processes are followed during the normal processing cycle – for example creating a 'dummy' employee and ensuring that certain information must be included (e.g. name, date of birth, tax information and such like).

6.5.1.1 Inherent Problems with Test Data

When using test data, the auditor must always ensure that the client's system will not become corrupted or that information entered can easily be removed. Understandably, many audit clients may become nervous about the auditor inputting information into their system in case things go wrong.

Instead of using the client's live data, the auditor may use copy files. Essentially, copy files are a backup of the client's system which the auditor can use to interrogate data and use test data without having any impact on the client's live data. The auditor must be satisfied that the copy files are genuine and that if the files are being used on the auditor's personal computer, that they are free from **viruses** which may cause problems with hardware or software which belongs to the audit firm.

Another inherent problem with test data is that the auditor is only testing the system at a specific point in time. There could be issues with the data processing at other times during the reporting period which the auditor may not know about.

6.5.2 Audit Software

The auditor may also use audit software to perform tests over a client's computerised system. The type of software used can be '**general**' software or it can be customised (although customised software tends to be more expensive). The auditor uses audit software in order to carry out substantive procedures which are aimed at detecting material misstatement within the financial statements.

It is important that the auditor considers the need to request permission from the client before extracting data from the client's accounting system using audit software. In some circumstances, the auditor may need to include references to extraction of data from the client's accounting system in the engagement letter.

Audit software is very useful because it enables audit efficiencies to be achieved. This is because the use of audit software provides the auditor with more resources to perform analysis over the data and investigate any unusual items. This, in turn, can reduce detection risk (detection risk being the risk that the auditor fails to detect a material misstatement).

The auditor can use audit software to perform the following procedures:

- Carry out analytical procedures such as calculating trade receivables and trade payables days and comparison of current year versus prior year amounts.
- Designing and extracting samples to carry out substantive procedures.
- Repperform certain calculations such as recasting the inventory valuation report.
- Ensure information in certain files is correct, such as checking that prices charged on sales invoices agrees to the prices per the sales master file data.
- Prepare confirmation letters (e.g. trade receivables confirmations and bank confirmations).
- Scan files to ensure that all documents within a range have been accounted for correctly and to search for large or unusual items.

Modern audit software enables efficiencies in substantive testing because it automates the process and enables the auditor to scrutinise large volumes of data. This enables the auditor to focus their attention on investigating the results of such testing rather than on designing and selecting samples.

► Knowledge Check Questions

Question 11

Identify which of the following is an inherent ADVANTAGE of using audit software:

- A** It reduces detection risk.
- B** It reduces inherent risk.
- C** It reduces control risk.
- D** It reduces the risk of material misstatement.

6.5.3 Parallel Simulation

Parallel simulation as a technique will require the use of additional software since it involves the creation of programmed procedures to duplicate part of the client's IT system.

When the auditor uses parallel simulation, they will take the live data processed through the client's IT system in the normal way and then reprocess that information through their version of the system. The output from both systems is compared to check that the client's system is processing information correctly.

Advantages and disadvantages of parallel simulation	
Advantages	Disadvantages
• It facilitates substantive testing of balances. • It provides evidence on the controls used within the client's application programs. • Assists the auditor in focussing on items where differences exists. • It tests the accuracy of large volumes of transactions.	• Parallel simulations can be expensive to implement especially where the client has complex calculations in certain areas of programs which are to be replicated.

► Knowledge Check Questions

Question 12

Computer-assisted auditing techniques (CAATs) allow the auditor to perform a variety of audit procedures. Identify which of the following is an example of an audit procedure using CAATs.

- A** Tracing disposal proceeds for a non-current asset to the cash book.
- B** Reviewing a non-current asset for indicators of impairment.
- C** Calculating trade receivables days.
- D** Ensuring that a provision for a liability has been adequately disclosed.

Question 13

Identify which of the following is an example of the auditor using 'test data':

- A** Inputting a fictitious customer account number into the system to see if the system rejects the order.
- B** Using CAATs to reperform the employee tax control account.
- C** Recalculating the gross profit margin in the statement of profit or loss.
- D** Using the logon details for an unauthorised employee to check if the payroll system prohibits access.

➤ 6.6 USING PERSONAL COMPUTERS AS AN AUDIT TOOL

In the modern auditing environment, the auditor will use a personal computer (PC) to carry out a variety of audit tasks. Indeed, nowadays most audit programmes (including the planning and detailed audit plan) are held within a software package and accessed as an online tool. This has many efficiencies as issues raised during the audit can be resolved by, say, the audit engagement partner, without the partner having to wait for a physical paper file to come back to the office or attend the client to resolve the issue.

Computer-assisted auditing techniques (CAATs) are widely used. Where the auditor uses a PC to carry out audit procedures the primary advantage is the speed and accuracy. For

example, if the auditor can use a computer program to analyse financial statements and compile various data (e.g. perform analytical procedures and devise samples) then the job can be carried out quicker than if the auditor were to only place slight reliance on a computer.

Another advantage of using PCs as an audit tool is that computers can include embedded checks which can identify inordinate transactions and balances – for example, identifying invoices or transactions above a certain amount so that the auditor can carry out more detailed procedures over those transactions. The use of PC-based audit software can also detect calculation errors in client's accounting records as well as other significant transactions which may require additional audit procedures being carried out.

Key Learning Point

It should be noted that the use of PCs in auditing does not remove the need to carry out the audit procedures which would be carried out if the auditor were not to use a PC. For example, the auditor would still be required to apply the same procedures to verify the valuation of trade receivables and the completeness of payables.

► Knowledge Check Questions

Question 14

Identify which of the following situations the use of a personal computer by the auditor would increase audit efficiency:

- A** To identify unauthorised purchase invoices over a pre-determined amount.
- B** To identify overhead expenditure which has increased by 3% or more during the year.
- C** Ensuring that disclosure requirements comply with the Companies Ordinance (Cap.622).
- D** Ensuring the company's internet security is adequate.



6.7 AUDIT CONCERNS USING A THIRD-PARTY COMPUTER PROCESSING COMPANY (SERVICE BUREAU)

The use of a third party in respect of an IT system may create further issues for the auditor.

Where the audit client uses a third party to manage its IT system, the auditor will be concerned with ensuring that the third party has adequate controls in place to ensure the client's data is kept safe and cannot be access by unauthorised individuals.

To address these concerns, and with the audit client's permission, the auditor may discuss such issues with the third party including what controls they have in place at their

entity to protect the client's data. They may also ask for a 'Type 1' report which focuses on the description and design of controls or a 'Type 2' report which also covers the operating effectiveness of the controls at the third party. Chapter 4 examines these issues (including using the work of others) in more detail.

Cybersecurity is also a concern of the auditor. Cybersecurity is the protection of computer systems from theft or damage to hardware or software and electronic data. The auditor will be concerned with ensuring that the third party has adequate controls in place over the client's data in respect of cybersecurity including ensuring that the service provider has proper anti-virus software and firewalls installed and that backup procedures are adequate and regular.

Controls over an IT system at the third party which concern the auditor include confirming:

- there is an adequate backup process in place in the event of a system breakdown;
- the accounting system is updated on a timely basis – such as updating tax allowances in a payroll system or updating sales taxes as appropriate;
- financial data is adequately password-protected and passwords are changed on a regular basis;
- 'standing data' is changed only by authorised individuals and that a log of such changes is maintained;
- individuals have appropriate access rights (i.e. they can only access programs which are relevant to their job and sensitive information can only be accessed by authorised individuals); and
- networks are sufficiently secure to prevent unauthorised access (e.g. hackers are unable to access sensitive information or the company's online banking system).

► Knowledge Check Questions

Question 15

The audit senior has asked a client's third party IT software company for a Type 1 report. Identify which of the following statements correctly describes such a report.

- A** It provides an overview of the IT company's responsibilities to the client.
- B** It provides a report on how effective the client's IT system is.
- C** It describes the operating effectiveness of controls at the IT software company.
- D** It provides an description and designs of controls at the IT software company.

Question 16

The audit junior has asked as to why the auditor is concerned with 'hackers' or fraudsters accessing the computer system when the client has an IT company to oversee such functions. Identify which of the following statements correctly explain why the auditor is concerned with such breaches of cybersecurity.

- (I) Such acts would breach the company's policies and procedures.
- (II) Such acts may give rise to a misstatement in the financial statements.

► **Knowledge Check Questions (*continued*)**

- (III) Such acts are indicative of fraud risk factors.
- (IV) Such acts may result in sensitive information being leaked.
- (V) Such acts are likely to result in a disclaimer of opinion.

- A I and II
- B II and III
- C III and IV
- D IV and V

6.8 THE AUDITOR'S ROLE IN CYBERSECURITY

Cybersecurity may be seen as the combination of the protection mechanisms to safeguard networks, computers, programs, and ultimately data from unauthorised access, direct attacks and damage, whether accidental or deliberate. Cybersecurity itself is not restricted to technology tools but also encompasses the business functions involved and providing such protection. Cybersecurity has gained momentum over the years as IT systems become more vulnerable to attack and hence is no longer viewed as a 'priority'; rather, it has become a 'necessity'.

Theft of data and unauthorised disclosure is becoming prevalent on a worldwide basis. International legislation requiring organisations to protect confidentiality as well as the need to ensure ongoing competitive advantage by protecting key corporate information has increased the pressures on organisations to take adequate steps to protect its data.

Cyberattacks are being generated from a variety of sources including malicious outsiders as well as insiders, state-sponsored hacking, hacktivists, and the like. The auditor's concern is that the client has adequate controls in place in the event of a cyberattack and that cybersecurity is viewed as a necessity in the entity. Any unauthorised access to the client's data may result in the financial statements containing a material misstatement.

In such a high risk environment, the auditor is also concerned with the operating effectiveness of such cybersecurity controls. This is because their concern is to ensure the client is complying with relevant legislation (non-compliance may result in fines or penalties which may need to be recognised in the financial statements). In addition, the auditor is also concerned with ensuring the data used in the preparation of the financial statements is genuine and free from material errors.

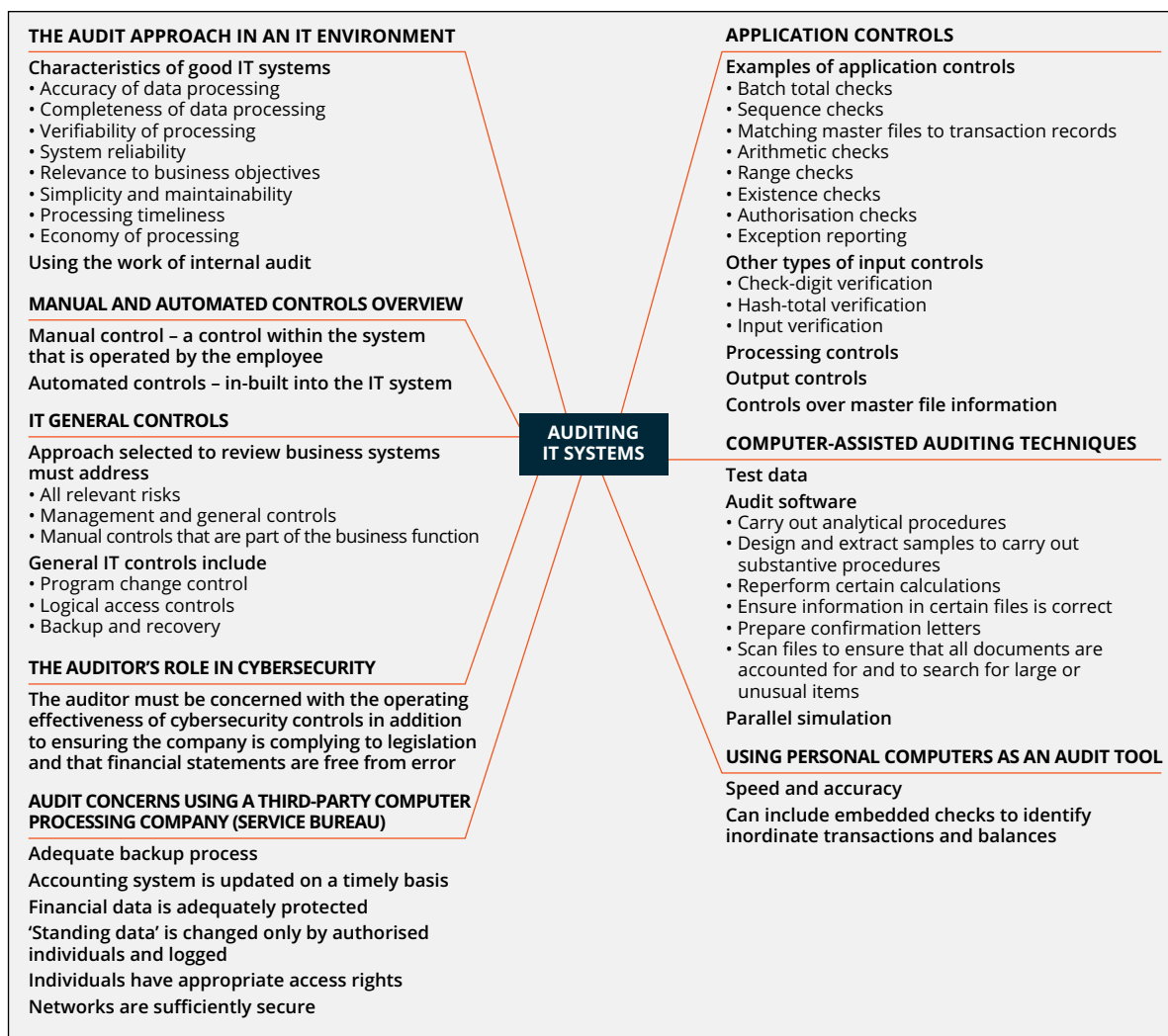
A large, light gray downward-pointing chevron shape. The word "SUMMARY" is written in orange, uppercase letters across the middle of the chevron.

SUMMARY

This chapter focuses on:

- How IT systems are used in the production of an entity's financial statements and the controls over those computer systems (general controls and application controls).
- The auditor's concerns over the client's use of an IT system, including:
 - The operating effectiveness of controls over the IT system;
 - The reliability of the data generated from the IT system which is then subsequently used in the production of the financial statements; and
 - How cybersecurity needs to be controlled and the controls in place in ensuring data is kept secured.
- The auditor's use of computers to perform their procedures, such as the use of computer-assisted auditing techniques to carry out procedures such as analytical review and designing samples.
- How the auditor can use the client's data (test data) to apply audit procedures and the factors that must be considered by the auditor prior to using test data (e.g. authenticity of copy files and the risk of data corruption).
- The use of third-party service providers when an entity outsources their IT handling functions and the issues which the auditor is concerned with in such arrangements.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect because the auditor can still carry out their audit even if the client's IT system is not compatible with their own audit software.

Answer B is correct because if the data generated by the IT system which is included in the financial statements contains misstatements, the financial statements themselves will contain misstatements (which may be material).

Answer C is incorrect because while irregular changes of passwords may be a control deficiency, such a deficiency may not have a material impact on the financial statements themselves.

Answer D is incorrect because whether the IT system was obtained from an approved supplier or not, such an issue is unlikely to have a material impact on the financial statements.

Question 2

Answer A is incorrect because internal audit cannot implement internal controls in an organisation as this would create a self-review threat (they can only recommend internal controls and then check that these controls have been implemented and are operating effectively).

Answer B is incorrect because it would be the board of directors that would authorise the expenditure to be incurred on sourcing a new IT system.

Answer C is correct because one of the roles of internal audit is to recommend (not implement) internal controls and they can recommend internal controls over the organisation's IT system.

Answer D is incorrect because internal audit would have a responsibility to ensure that controls over the entity's IT system are operating effectively and report any deficiencies to the audit committee or to the board of directors.

Question 3

Answer A is incorrect because rejection of access to the payroll system is an automated control due to access rights embedded within the system.

Answer B is incorrect because an IT system generates the exception report automatically which is an automated control.

Answer C is incorrect because the IT system will first check that the supplier is an approved supplier and reject the invoice if it is not and hence is an automated control.

Answer D is correct because a manual control is operated by a human and hence the sales director approving a new customer is an example of a manual control.

Question 4

Answer A is correct as the auditor is concerned with ensuring that the entity's general controls provide secure, effective and efficient operation of the IT system as this will reduce the risk of material misstatement within the financial statements.

Answer B is incorrect because general controls do not need to be implemented by IT specialists within the entity – they can be implemented by other responsible officials.

Answer C is incorrect because whilst passwords should be changed on a regular basis, if they are not it is unlikely to give rise to a risk of material misstatement within the financial statements and hence would not be a primary concern of the auditor.

Answer D is incorrect because a lack of segregation of duties would be notified to management as a control weakness and this would be tested via tests of controls over the IT system during the audit.

Question 5

Answer A is incorrect because general controls do have an impact on application controls (general controls usually influence the operation of application controls).

Answers B and C are incorrect because these statements are contradictory; if general controls are ineffective then application controls are likely to be ineffective as well meaning D is the correct answer.

Question 6

Answer A is incorrect because the changes to the accounting system need not be legally required (e.g. a change in access rights).

Answer B is correct because the auditor will want to gain assurance that the changes have been authorised by a responsible official and will want to corroborate that authorisation by reviewing a log of the changes to ensure it has been signed off by a responsible official.

Answer C is incorrect because internal audit cannot action the changes to the accounting system as this is not their function – they report on the operating effectiveness of controls operating at the entity.

Answer D is incorrect because changes to an accounting system should be carried out by a responsible official, but this is not confined to just the finance director.

Question 7

Answer A is correct as this is one of three operations a logical access control performs (the other two being checking the user's authenticity and granting them access to only appropriate areas of the system).

Answer B is incorrect because this is an example of an application control.

Answer C is incorrect because this is an example of an output control.

Answer D is incorrect because this is an example of an internal control over the IT system.

Question 8

Answer A is incorrect because existence checks are checks to ensure something exists such as an employee.

Answer B is correct because an authorisation check could involve a responsible official reviewing a transaction (e.g. a purchase invoice) prior to it being processed.

Answer C is incorrect because range checks are application controls to ensure that data stays within a reasonable range.

Answer D is incorrect because application controls can be both manual and automated.

Question 9

Answer A is incorrect because this is an application control over transactions to ensure the transaction is valid and is fine to be processed.

Answer B is incorrect because this is an example of 'check digit verification'.

Answer C is incorrect because this is an example of 'hash total verification'.

Answer D is correct because input verification would involve one person processing transactions (e.g. in a payroll) and another person reviewing those transactions for completeness and accuracy to reduce the scope for errors and/or omissions.

Question 10

Answer A is incorrect because verifying data which has been re-entered to ensure previous errors are correct is an example of a re-entry verification control.

Answer B is incorrect because one person inputting the data and another verifying it is an example of an input verification control.

Answer C is correct because batch control totals involve adding up a batch of transactions (e.g. sales invoices) and comparing this total to the amount of the transactions physically

entered into the system and reviews of exception reports ensure that transactions have been re-entered into the IT system correctly.

Answer D is incorrect because carrying out regular reviews of master file data is an example of controls over master file information rather than controls over the output of information from an IT system.

Question 11

Answer A is correct. Detection risk is reduced because software can be capable of providing the auditor with more resources to perform analysis over large amounts of data and to enable them to investigate any unusual items.

Answers B, C and D are all incorrect because these risks are not under the control of the auditor and the risk of material misstatement is a combination of inherent risk and control risk.

Question 12

Answer A is incorrect because this is a substantive procedure which would be carried out by the auditor to ensure the profit/loss on disposal has been correctly calculated and the proceeds have been correctly accounted for.

Answer B is incorrect because this would also be a substantive procedure which would be carried out by the auditor to assess the valuation of a non-current asset.

Answer C is correct because CAATs can be used to calculate certain ratios, such as trade receivable days in order to carry out analytical procedures.

Answer D is incorrect because a disclosure checklist would be used by the auditor to confirm the disclosures for provisions (and contingencies) comply with HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*.

Question 13

Answer A is correct because test data can be used to check for invalid data being entered into the IT system to ensure the system rejects it.

Answer B is incorrect because this is an example of a computer-assisted auditing technique (CAAT) to reperform calculations already prepared by the entity.

Answer C is incorrect because this is also an example of CAATs.

Answer D is incorrect because this is an example of an application control.

Question 14

Answer A is incorrect because the auditor would physically inspect a sample of purchase invoices over a pre-determined amount for evidence of authorisation.

Answer B is correct because audit software can be used to perform analytical procedures over the company's overhead expenditure to identify those overheads which have increased by 3% or more during the year.

Answer C is incorrect because a disclosure checklist would be used by the auditor to ensure disclosures comply with the Companies Ordinance.

Answer D is incorrect because the security of the client's internet is unlikely to increase audit efficiencies.

Question 15

Answer A is incorrect because the responsibilities to the client by the IT software company would be outlined in the engagement letter.

Answer B is incorrect because a Type 1 report does not provide reports on client's systems.

Answer C is incorrect because a Type 2 report covers the operating effectiveness of controls at the third party.

Answer D is correct because a Type 1 report would focus on the description and design of controls (but not the operating effectiveness of the controls) at the IT software company.

Question 16

Answer A is incorrect because whilst such acts may breach the company's policies and procedures, such acts may be beyond the control of the entity.

Answer B is correct because a hack or fraudsters accessing the IT system may give rise to a misstatement within the financial statements and also is a strong fraud risk factor (especially if the fraudsters access the company's bank accounts).

Answer C is incorrect because while sensitive information being leaked may have detrimental consequences for the client, this is a primary concern of management and those charged with governance.

Answer D is incorrect because hacking or fraud may not necessarily lead to a disclaimer of opinion; an unmodified opinion is entirely possible even when such acts have been committed if the auditor can obtain reasonable assurance that the financial statements are free from material misstatement (whether caused by fraud or error).

 EXAM PRACTICE**QUESTION 1**

You are the audit senior of Breary Enterprises Limited, carrying out the audit of the financial statements for the year ended 31 December 20X2. Breary Enterprises Ltd is a large company with an internal audit (IA) department who have carried out a range of tests over the entity's IT systems over the year.

- (a) Explain the reasons why IA are unable to implement internal controls over the IT system; and
- (b) List the tests which you would expect IA to carry out over the sales cycle of the IT system.

QUESTION 2

Describe three **general** IT controls and five **application** controls over an organisation's IT system.

QUESTION 3

Laing Co Ltd is a large company in Kowloon Bay which operates from one site and has 350 members of staff on its payroll. All the company's activities are fully computerised and the company has a dedicated IT department to manage the systems and the access rights within the system.

The company also has a dedicated human resources (HR) function who are responsible for processing joiners and leavers. HR is also responsible for ensuring that the annual pay increase is notified to payroll on the 1 April each year.

The company's staff are paid by bank transfer on the 20th of each month. The company has its own payroll department which processes the payroll and pays the tax authority the relevant amounts of taxation deducted from employees each month.

Required:

- (a) Describe what is meant by the term 'access rights' in an IT system; and
- (b) List the controls you would expect to see over the computerised payroll system.

QUESTION 4

You are the audit senior of Shipley Limited and are planning the audit of the financial statements for the year ended 31 December 20X2. The audit engagement partner would like a variety of computer-assisted auditing techniques (CAATs) to be used this year to try and increase audit efficiency.

Required:

- (a) Describe one advantage and one disadvantage of CAATs; and
- (b) List five audit procedures which the auditor can perform using CAATs.

ANSWERS TO EXAM PRACTICE

QUESTION 1

- (a) *Reasons why internal audit (IA) are unable to implement internal controls over the IT system*

IA have to be seen to be independent and objective in their work. In order to maintain independence and objectivity they are unable to implement internal controls within the organisation. IA can advise on relevant internal controls provided they do not implement them. This is because if they were to implement and then review those controls, this would create a self-review threat which would mean IA are not independent and objective as they would essentially be reviewing their own controls that they have implemented.

Instead, IA are required to test the operating effectiveness of internal controls which have been implemented by management.

- (b) *Tests carried out by IA over the sales cycle of the IT system*

Typical tests which the external would expect IA to have performed over the sales cycle of the IT system include:

- Using test data to ensure selling prices are correct and discounts have been provided to customers correctly.
- Reviewing any pricing overrides by management (e.g. through an exception report) to ensure that prices have only been changed in accordance with any pre-determined benchmarks or within authorisation limits.



- Reviewing exception reports to identify any pricing errors or overrides of standing data.
- Reviewing the process of increasing and decreasing selling prices to ensure prices are only increased or decreased as authorised.
- Reviewing credit applications from new customers to ensure these have been authorised by a responsible official and credit limits are appropriate.
- Carrying out application control tests to ensure that master file data cannot be accessed by unauthorised individuals such as using the logon details of an unauthorised person – the system should prohibit access.

QUESTION 2

Three general and five application controls

General controls (only three required)

- Developing computer applications
- Preventing and detecting unauthorised access to the IT system
- Ensuring that changes to the IT system are appropriate, carried out by authorised individuals and are logged
- Ensuring that individuals have appropriate access rights
- Ensuring controls are in place to prevent unauthorised amendments to the system
- Ensuring controls are in place to prevent business interruption in case of failure of the IT system
- Ensuring the IT system is adequately protected against hackers or fraudsters and controls are in place to prevent sensitive data being put into the public domain

Application controls (only five required)

- Batch total checks – for example adding up the total of a batch of supplier invoices to ensure the total agrees to the value inputted into the system.
- Sequence checks – for example inspecting the output of numerical sequence checks for any exception reports and inquiring as to how these have been resolved.
- Matching master files to transaction records – for example inspecting the number of documents processed to ensure there have been no deletions.
- Arithmetic checks – for example ensuring that sales invoices are mathematically correct in terms of amounts invoiced and that sales taxes are correctly calculated.
- Range checks – for example ensuring that data stays within a reasonable range.
- Existence checks – for example ensuring that employees included on the payroll actually exist and hence are genuine employees.
- Authorisation checks – for example inspecting purchase invoices for evidence of manual checks.
- Exception reporting – for example ensuring that the system adequately flags up any exceptions such as unauthorised access to programs, changes to master file data or errors in calculations.

QUESTION 3

(a) *Access rights*

The term 'access rights' is an application control which ensures that individuals within an organisation are only provided with access to areas of the IT system to which they need. For example, access to the accounting system is only given to accounting staff and the levels of access granted are determined in accordance with their duties (e.g. purchase ledger clerks are only given access to the purchase ledger whereas the finance director should be provided with access to the full accounting system).

Access rights prevent individuals from gaining unauthorised access to programs or areas of programs for which they have no need to access in performing their roles within an organisation.

(b) *Controls over the computerised payroll system*

Controls the auditor would expect over the computerised payroll system include:

- Preventing unauthorised access to master file data (such as employees' rates of pay).
- Only allowing the payroll department to process transactions within the payroll system.
- Preventing payroll staff from creating joiners in the payroll system as this should be carried out by the human resources department.
- Input controls whereby a payroll clerk(s) prepare(s) the monthly payroll and a responsible official (such as the payroll supervisor) reviews the payroll reports extracted from the system prior to finalising the payroll.
- Second reviews of information completed on new starter forms to ensure it has been inputted correctly and completely into the payroll system by human resources.
- Exception report generation which provides details of any unauthorised attempts to login to the payroll system or make changes to the payroll system.
- Production and review of reports which provides details of changes made to the payroll system.

QUESTION 4

(a) *One advantage and one disadvantage of CAATs*

Advantages (only one required)

- CAATs can reduce the time spent on detailed procedures as they increase audit efficiency.
- CAATs allow the auditor to test larger sample sizes.
- Key controls and processes can be traced more efficiently using CAATs.
- CAATs can be cost-effective in the long-term.

Disadvantages (only one required)

- Initial setup costs can be high in the first year.
- Staff will need to be trained in the first year CAATs are used which will have an impact on initial setup costs.
- The software used for CAATs may not be compatible with the client's systems.
- There is a risk of data corruption or losing the client's live data.

(b) *Five audit procedures which can be performed using CAATs*

- Carrying out tests of details on transactions and balances.
- Performing analytical review procedures (e.g. calculation of trade receivables and payables days and comparison of gross profit margins).
- Designing sample sizes and carrying out sampling.
- Reperforming calculations that have already been carried out by the audit client.
- Performing test of controls over the computerised system – such as testing general controls and application controls.

7

Audit Procedures for Specific Balances and Transactions

CHAPTER TOPIC LIST

7.1 Revenue

- 7.1.1 Common Audit Risks
- 7.1.2 Audit Procedures

7.2 Purchases

- 7.2.1 Common Audit Risks
- 7.2.2 Audit Procedures

7.3 Expenses

- 7.3.1 Common Audit Risks
- 7.3.2 Audit Procedures

7.4 Payroll and Directors' Emoluments

- 7.4.1 Common Audit Risks
- 7.4.2 Audit Procedures

7.5 Inventories

- 7.5.1 Common Audit Risks
- 7.5.2 Audit Procedures
- 7.5.3 Physical Inventory Count
Considerations and Procedures
- 7.5.4 Consignment Stocks

7.6 Receivables and Prepayments

- 7.6.1 Common Audit Risks
- 7.6.2 Audit Procedures

- 7.6.3 Considerations and Procedures for Confirmation Requests

7.6.4 Follow-up Procedures

7.7 Bank and Cash

- 7.7.1 Common Audit Risks
- 7.7.2 Audit Procedures
- 7.7.3 Considerations and Procedures for Confirmation Requests
- 7.7.4 Physical Cash Count

7.8 Financial Instruments and Investments

- 7.8.1 Common Audit Risks
- 7.8.2 Audit Procedures

7.9 Tangible Non-current Assets

- 7.9.1 Common Audit Risks
- 7.9.2 Audit Procedures

7.10 Intangible Assets

- 7.10.1 Common Audit Risks
- 7.10.2 Audit Procedures

7.11 Payables and Accruals

- 7.11.1 Common Audit Risks
- 7.11.2 Audit Procedures

7.11.3 Considerations and Procedures
for Confirmation Requests

7.12 Provisions

7.12.1 Common Audit Risks

7.12.2 Audit Procedures

7.13 Non-current Liabilities

7.13.1 Common Audit Risks

7.13.2 Audit Procedures

7.14 Capital and Reserves

7.14.1 Common Risks of Material
Misstatement

7.14.2 Audit Procedures

7.15 Leases

7.15.1 Right-of-Use Asset

7.15.2 Lease Liability

7.15.3 Common Audit Risks

7.15.4 Audit Procedures

7.16 Related Parties

7.16.1 Common Audit Risks

7.16.2 Audit Procedures



LEARNING OUTCOMES

PRINCIPAL LO4: APPLY AUDIT PROCEDURES TO AN AUDIT

LO4.03: Apply the audit procedures to different business cycles

4.03.01 Apply tests of control and substantive tests of transactions applicable to different business cycles:

- Sales and collection
- Purchases and payment
- Payroll and personnel, including directors' emoluments
- Inventory and production cycle
- Debtors and prepayments
- Creditors and accrued liabilities and provisions
- Non-current assets and leases
- Intangible assets
- Cash and cash equivalent
- Non-current liabilities
- Capital and reserves
- Financial instruments (e.g. derivatives or forward contracts)
- Treasury (e.g. bank loan/facility)
- Related parties

 OPENING CASE

SEALAND INDUSTRIES LTD

You are the audit senior of Pang Certified Public Accountants and are in the process of completing the audit programmes for your existing client, Sealand Industries Ltd for the year ending 31 December 20X2.

Sealand Industries Ltd manufactures chemicals and operates from a head office and central warehouse in Kowloon Bay. The company employs approximately 300 staff (production and administrative staff, including its directors) and operates 24 hours a day, 7 days a week. Production staff work night and day shifts and are required to use a swipe card to enter and leave the factory. This process records the hours worked by the employees and this data is then sent electronically to the payroll system.

The company sells goods on credit to approximately 800 customers in Hong Kong. The finance department includes three credit control clerks who are all responsible for ensuring customers pay within prescribed credit terms. On 2 January 20X3, the company received notification that one of its customers had ceased trading due to difficult trading conditions and it is unlikely that the amount of HK\$185,000 will be received.

The company has a central purchasing department which is responsible for the purchase of all goods and services. Purchases of non-current assets must be authorised by the Board of Directors prior to the item being ordered through one of the company's approved suppliers.

During the year the company acquired a licence which allows it to produce a certain type of chemical which is protected by copyright. The company is permitted to produce this chemical for a period of three years, after which production must cease. Sales of this chemical commenced on 1 March 20X2 and if the company wishes to continue producing this particular chemical after the three-year period, it must reapply for the licence. It is currently uncertain as to whether the company will wish to continue producing the chemical after the first three years as this is dependent on the level of sales.

The company purchases a number of products from overseas suppliers. In order to protect the company against adverse changes in the foreign exchange rate, the company uses forward foreign currency contracts which allow the company to agree a particular exchange rate at the date the contract is entered into.

On 20 December 20X2, the company received a letter from a former employee claiming unfair dismissal. The employee was dismissed due to a poor standard of work. The directors have refuted the claim, stating that proper employment legislation was followed. At year-end 31 December 20X2, the claim was still being actively defended by the company. 



OVERVIEW

Once the planning phase of the audit is completed, the detailed audit fieldwork stage commences. This is the part of the audit where the auditor gathers **sufficient** and **appropriate** audit evidence to support the amounts and disclosures contained in the financial statements.

As you have seen from Chapters 3 to 5, the auditor gathers audit evidence by the application of **tests of control** and **substantive procedures**. Substantive procedures include tests of details and analytical procedures. The types and level of procedures the auditor applies will all be driven by the auditor's assessment of risk of material misstatement. Audit procedures must be responsive to the assessed levels of risk and if tests of control suggest the internal control being tested is ineffective, the auditor must apply additional substantive tests.

The auditor's risk assessment is primarily carried out at the planning stage of the audit. HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement* provides the auditor with the guidance needed to ensure they obtain a sound understanding of their audit client together with the environment in which it operates. HKSA 315 (Revised 2019) was significantly overhauled by the HKICPA in order to require a more rigorous risk assessment to be carried out and also requires the auditor to 'stand back' and evaluate those risks. This will ensure that the auditor does not inadvertently overlook any risks that may cause the financial statements to be materially misstated.

This chapter will introduce you to the major business cycles of a business and explain the typical procedures which the auditor applied to those cycles in order to obtain sufficient and appropriate audit evidence

7.1 REVENUE

Revenue is often the 'headline' figure in an entity's financial statements and is usually the most material. A company accounts for revenue in accordance with HKFRS 15 *Revenue from Contracts with Customers*, which provides guidance on when revenue should be recognised in the financial statements.

The assertions relating to revenue are:

- cut-off;
- accuracy;
- completeness; and
- occurrence.

7.1.1 Common Audit Risks

The auditor will also be concerned about the possibility that the revenue figure has been manipulated due to fraud. For example, salespersons may deliberately overstate revenue figures in order to receive a revenue-related bonus. Similarly, revenue may also be manipulated to present healthier results to secure additional finance that may be required.

At the planning stage of the audit, the auditor will assess fraud risk factors where revenue is concerned and they must devise audit procedures that are responsive to the assessed levels of risk that revenue is misstated due to fraud.

The common audit risk where revenue is concerned is that revenue could be materially misstated by overstating revenue – for example, by recognising sales which should be recognised in the next accounting period or by recognising fictitious revenue. Overstated revenue distorts the financial statements by falsely improving the financial performance of the business for the year as well as overstating trade receivables (although it will also invariably overstate the company's tax liability). Conversely, understated revenue can suggest that the company's performance throughout the accounting period is not as good as what it really has been; it also understates the company's trade receivables and tax liabilities.

There is a risk that a company may manipulate its revenue figure to show much better or much worse results than what has really happened. This could be, for example, due to shareholder pressure to report better results or pressure from financiers (such as banks) to achieve a certain level of pre-tax profit or to maintain loan covenants which are based on, for example, total assets.

Auditors are particularly interested in ensuring that revenue is recognised by the company at an appropriate time and at an appropriate amount. Audit procedures will therefore focus on the assertions above to ensure the revenue figure is not materially misstated.

A company may have **service income** (service revenue) which arises from the provision of service contracts. For example, a company may sell a product and agree to service that product over a specified period of time. To comply with HKFRS 15 *Revenue from Contracts with Customers*, the company must only recognise revenue in respect of a servicing contract when it performs its obligations within the contract. Hence, the auditor will be interested to see that the company's service revenue has been recognised at the correct time and at the correct amount. Any unearned amounts of revenue will be presented within contract liability in the statement of financial position, usually as a current liability.

Cut-off errors may also misstate the revenue figure in the financial statements. If the client's systems do not accurately post sales in the correct accounting period then this can mean that current year sales may be included in the next year's financial statements or next year's sales may be included in the current year's figures. It is therefore important that the auditor devises specific procedures which provide evidence that the accounting system has accurately recorded sales in the correct accounting period, such as testing goods dispatched notes immediately pre- and post-year end to ensure goods and/or services have been recorded in the correct period.



Apply and Analyse 1

Apply

Sealand Industries Ltd has an accounting policy of recognising revenue in respect of the sale of goods when the goods have been despatched to its customer, which is the point at which the risks and rewards of ownership of the goods pass from the company to its customer. On 30 December 20X2, the company processed an order for a batch of chemicals for one of its customers. Once the order had been finalised, a sales invoice was raised and the sales value was recognised as revenue.

The customer requested that the goods not be despatched until 10 January 20X3. The audit junior is unsure as to any implications this may have on the audit of the revenue figure for the year ending 31 December 20X2.

Explain how the above sale should be accounted for in the financial statements of the company for the year ending 31 December 20X2 and what the auditor's considerations should be.

Analysis

The sale of goods to the customer has been processed on 30 December 20X2 and a sales invoice has been raised on this date. The sale will have been automatically recognised within revenue at the point the invoice was raised. The goods are not to be despatched until 10 January 20X3.

As the goods are not being despatched until after year-end, the company is unable to recognise a sale because the control of the goods has not passed to the customer. The sale should therefore not be recognised as at 30 December 20X2, but should instead be recognised as a current liability in the entity's statement of financial position and be presented as 'contract liability'. The sale will be recognised on 10 January 20X3 when the goods are despatched to the customer.

The auditor should devise audit procedures to ensure that unearned revenue is not recognised within the revenue figure in the statement of profit or loss and to ensure that such amounts are presented as contract liability and presented within the liabilities section of the statement of financial position. For example, recalculating the value of contract liability at year-end and agreeing this amount with the financial statements.

7.1.2 Audit Procedures

- Inspect a sample of goods despatched notes (GDNs) before and after year-end and ensure they have been recorded in the correct accounting period (verifies **cut-off**).
- Recalculate any sales discounts and sales tax applied for a representative sample of sales invoices (verifies **accuracy**).
- Select a sample of GDNs and agree these with sales invoices and follow through to inclusion in the sales day book (verifies **completeness**).

- Inspect post-year-end credit notes, trace to the GDN and invoice and if the credit note relates to a pre-year-end sale, ensure the sale has been reversed (verifies **occurrence**).
- Recalculate amounts of contract liability at year-end and agree this amount with the statement of financial position (verifies **completeness** (of revenue and liabilities) and **accuracy**).
- For a sample of service revenue invoices, agree service revenue has been recognised when the contractual obligations to the customer have been fulfilled and any remaining obligations are recognised as contract liability (verifies **occurrence** and **completeness**).

Analytical procedures can also be applied over revenue as follows:

- Compare current-year revenue against the prior year and investigate any significant fluctuations.
- Compare revenue with the entity's budget/forecast and investigate any significant fluctuations.
- Compare revenue against industry averages or benchmarks and investigate any significant fluctuations.
- Calculate the gross profit margin ($\text{gross profit/sales} \times 100$) and compare to the prior year and investigate any significant fluctuations.

Tests of control which the auditor may carry out are as follows:

- For a sample of receivables, carry out a review to ensure that appropriate credit limits are in operation.
- Ensure the system does not allow customers to exceed their credit limits by entering a fictitious order into the system which will take the customer over their credit limit. The system should reject it.
- Ensure the sales system only accepts sales orders which can be fulfilled (goods not despatched promptly can result in loss of customer goodwill). Attempt to enter an order for goods which are out of stock – the system should reject the order.
- Inspect GDNs for evidence of being matched to invoices to ensure the invoice is raised from the GDN and not the original order.
- Inspect a sample of sales invoices for evidence of approval by a responsible official prior to it being sent to the customer.
- Obtain a copy of the entity's price list which is currently in use and for a sample of invoices ensure that correct prices have been used.
- Enquire of management who has authority to amend standing data in the sales system (e.g. customer discounts). Try to input a change of standing data using the user ID of an employee not authorised to make such changes, ensuring the system does not allow the change to be made.
- With the client's permission, attempt to process an invoice with a sales discount without authorisation from a responsible official. The system should reject the invoice.
- For sales orders where discounts are given, review the order for evidence of a signature approving the discount by a responsible official.



Illustrative Example 1

During the year, Sealand Industries Ltd commenced production of a new type of chemical which it is permitted to produce via the acquisition of a licence. Sales of this chemical started on 1 March 20X2.

The auditor can use a substantive analytical procedure of 'proof in total' by taking the prior-year sales total and adjusting this for sales from the new chemical for approximately nine months. This expectation should then be compared to actual revenue and any significant fluctuations should be investigated.

► Knowledge Check Questions

Question 1

Identify which of the following assertions relate to revenue:

- (I) Completeness
- (II) Accuracy
- (III) Existence
- (IV) Rights and obligations
- (V) Valuation and allocation

- A I and II
- B II and III
- C III and IV
- D IV and V

7.2 PURCHASES

Purchases usually form part of a company's **cost of sales**, which is calculated as follows:

Opening inventory	X
Plus purchases	<u>X</u>
	X
Less closing inventory	(<u>X</u>)
Cost of sales	<u>X</u>

7.2.1 Common Audit Risks

The most common audit risk is that purchases are not complete at the reporting date.

Incomplete purchases will mean that cost of sales is understated and so are liabilities (trade payables or accruals). Conversely, the purchases cut-off may be incorrect and so the company could have recognised purchases which belong in the next accounting period, hence in this

situation cost of sales is overstated and so are liabilities. This can present a very misleading position in the financial statements.

When an auditor is auditing a company's inventory, work can also be carried out on purchases at the same time (such as verifying whether purchase invoices have been authorised or have been included in the general ledger at the correct value). This is because goods purchased which have not been sold by the reporting date will be included in the company's closing inventory valuation.

Apply and Analyse 2

Apply

During the planning phase of the audit of Sealand Industries Ltd, the audit engagement partner performed various analytical procedures. One of the points noted was that the company's gross profit margin (gross profit/sales) had increased from 35% in 20X1 to 45% in 20X2. The finance director was unable to provide any convincing reason as to why the gross profit margin should increase by 10% when it has remained relatively consistent over the last five years.

The audit junior has asked why this would be regarded as an important issue in the audit and what audit procedures should be performed to address it.

Explain what it means to have an overstated gross profit and describe potential reasons why Sealand Industries' gross profit margin has increased by 10%. Describe the audit procedures which should be performed to reduce the risk of material misstatement.

Analysis

Gross profit is the difference between total revenue (sales) and cost of sales. Sealand Industries' gross profit has increased by 10% without adequate explanation, suggesting that either sales are higher than they should be or that costs of sales are lower than they should be. The company's gross profit margin has increased from 35% in 20X1 to 45% in 20X2. In other words, it would seem that for every HK\$1 sale, the company is making 45c per sale rather than 35c per sale. In some cases this may be correct, for example, if the company had made higher margins than normal on sales of certain products, but the auditor should be concerned with such disproportionate increases. This is because gross profit margins generally remain consistent, so a 10% increase without corroborative explanations seems unusual.

Potential reasons and audit procedures which should be performed are as follows:

Potential reason for the increase	Audit procedures
Revenue has been overstated due to incorrect cut-off (i.e. sales in 20X3 have been recognised incorrectly in 20X2)	Perform extended cut-off testing on the sales cycle, ensuring all goods sold immediately pre- and post-year-end are recognised as sales in the correct accounting period
Opening inventory has been brought forward at an incorrect value	Agree the opening inventory per the trial balance with the closing inventory in the prior-year audit working papers file to ensure it has been brought forward into 20X2 at the correct amount

Apply and Analyse 2 (continued)

Potential reason for the increase	Audit procedures
Purchases have not been recorded completely due to incomplete cut-off (i.e. purchases in 20X2 have been recognised incorrectly in 20X3)	As with revenue, perform extended cut-off testing ensuring that purchases have been recognised in the correct accounting periods and that any goods or services received up to year-end but not invoiced have been recognised as accruals
Year-end inventory has been overvalued	Obtain the final inventory valuation and carry out substantive procedures to ensure the valuation assertion is correct. Agree the final inventory valuation with the financial statements
Direct costs have been included in overhead expenditure	Review the company's operating margin or carry out analytical review over the overhead expenditure items in the statement of profit or loss to identify any significant increases in the current year which may indicate that direct costs have been incorrectly classified as overhead expenditure

7.2.2 Audit Procedures

- Inspect goods received notes (GRNs) immediately prior to and post-year-end and ensure they have been recorded in the correct accounting period (verifies **cut-off**).
- Select a sample of purchase orders and agree these with GRNs and purchase invoices and follow through to inclusion in the purchases day book (verifies **completeness**).
- Recalculate the values, including discounts, on a sample of large purchase invoices (verifies **accuracy**).
- Recalculate sales tax calculated on a sample of purchase invoices (verifies **accuracy**).

Analytical procedures can also be applied over the company's cost of sales in the statement of financial position by calculating the gross profit margin for the current year and comparing it with the prior year. Any unusual fluctuations in the gross profit margin would need to be investigated. Such fluctuations could occur if:

- The company's purchases figure is incomplete – an understated purchases figure would usually give rise to a higher gross profit margin in the current year, whereas an overstated purchases figure would increase cost of sales and hence the gross profit margin would be lower than the prior year.
- The company's closing inventory is misstated – an understated inventory valuation would give rise to a lower gross profit margin, whereas an overstated inventory valuation would give rise to a higher gross profit margin.

Tests of control over purchases which the auditor should perform include:

- Inspect a sample of purchase orders to ensure that they are generated by the central purchasing department rather than by individuals within the organisation.

- Inspect a sample of purchase orders for evidence of authorisation by a responsible individual (e.g. the purchasing manager or purchasing director) to ensure that only necessary goods and/or services are ordered.
- For a sample of purchase orders, inspect the order and written confirmation from the supplier to ensure all and only necessary goods and services are received.
- Observe the ordering process to ensure that the purchase order clerk checks inventory levels prior to ordering. This ensures that only necessary goods/services are ordered.
- Inspect a sample of purchase orders for evidence that orders have been authorised by responsible officials prior to the order being placed. In addition, observe a sample of purchase orders being processed to ensure that they have been authorised before the purchasing department places the order.
- Review the entity's procedures to ensure correct cut-offs over purchases and for a sample of purchases immediately pre- and post-year-end carry out a review to ensure the controls have operated effectively.
- For a sample of purchase orders, carry out sequence checks of order numbers for completeness.
- Review the entity's purchasing policy, such as tendering processes and obtaining quotations, to ensure the company is obtaining value for money.

7.3 EXPENSES

As well as incurring **direct costs** (cost of sales), a company will also incur **overhead expenditure**. Examples of such overhead expenditure include:

- heating and lighting bills;
- telephone bills;
- computer costs;
- rent and rates;
- postage and stationery costs;
- repairs and maintenance; and
- legal and professional fees.

The auditor must carry out audit procedures over a company's expenditure (both direct costs and overhead expenditure) to ensure that it is correctly classified and has been recorded in the financial statements at the correct amount.

7.3.1 Common Audit Risks

As with purchases, the most common audit risk associated with expenses is the **completeness** of expenses. A company must record all expenses in the accounting period to which it relates. At the reporting date a company may not have received all of its invoices for expenses before it completes the ledger close-down. In this situation, the company must make **accruals** for goods



and services received but not yet invoiced. The auditor will need to be provided with a schedule of accrued expenditure so that audit procedures can be applied over the accruals.

In some cases, the audit client may need to estimate the value of expenses incurred by year-end which have not been invoiced. Care must be taken with such estimates to ensure that they are not disproportionately higher or lower than they should be. Auditors will need to carefully check the client's estimates against prior years to ensure they are reasonable, or by tracing the estimate to any invoices received post-year-end, and compare the actual expense against the estimate.

Apply and Analyse 3

Apply

You have been asked by the audit engagement partner for Sealand Industries Ltd to carry out preliminary analytical procedures over the overhead expenditure in the statement of profit or loss. Your initial results are as follows:

- Rent expense has reduced by 25% from the previous year.
- Computer costs have increased by 40% from the previous year.
- Repairs expenditure includes a large provision for work which is to be carried out in 20X3.

Describe the initial auditor's responses to the above three issues as to how they should be addressed during the audit fieldwork stage.

Analysis

Rent expense

Rent would usually be regarded as a fixed overhead and hence remain consistent (albeit for potential annual increases in the rent charge). However, in Sealand Industries' case, the rent expense has reduced by 25%. As 25% is equivalent to one-quarter, this may indicate that the year-end accrual has been missed, meaning that rent expense and accruals are understated. The auditor should review the entries making up the total rent charge for the year, recalculate any necessary accrual and agree this with the schedule of accruals.

Computer costs

Computer costs increasing by 40% may indicate that the company has written off items of a capital nature to the statement of profit or loss. This will overstate expenditure and understate profit and non-current assets. The auditor should obtain a schedule of computer expenses for the year and ensure that no items of a capital nature have been included.

Repairs provision

A provision has been included in repairs for future expenditure. A provision can only be recognised if the company has a legal or constructive obligation as a result of a past event and is likely to result in an outflow of economic benefits which can be reliably estimated (HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*). If the recognition criteria in HKAS 37 cannot be met, then Sealand Industries Ltd should not recognise a provision as this would overstate expenditure and liabilities and understate profit.

7.3.2 Audit Procedures

- Obtain a year-end schedule of accruals, inspect the dates on GRNs to ensure they have been included within expenses in the correct accounting period and that goods received post-year-end are not included (verifies **cut-off**).
- For a sample of expense accounts in the general ledger, agree the entries in the general ledger with purchase invoices (verifies **accuracy** and **completeness**).
- Inspect unmatched GRNs not yet invoiced and if they relate to the current year, agree with the schedule of accruals (verifies **completeness**).
- For GRNs immediately pre- and post-year-end ensure they have been recorded in the correct accounting period (verifies **cut-off**).
- Recalculate discounts for a sample of large purchases (verifies **accuracy**).

Analytical procedures can be used to identify possible sources of misstatement in a company's expenses as follows:

- Compare expenses for each category with the same category in the prior year and investigate any significant fluctuations (verifies **accuracy, completeness** and **occurrence**).
- Compare expenses against the company's budget and investigate any significant fluctuations (verifies **accuracy** and **completeness**).
- Calculate the operating profit margin and compare with the prior year and investigate any significant differences (verifies **accuracy, completeness** and **occurrence**).
- Calculate the gross profit margin and compare with the prior year to identify any possible misstatement of purchases and overhead expenses. For example, if the gross profit margin has significantly reduced in the current year but operating margin has significantly increased, then it may indicate that overhead expenditure has been included in cost of sales incorrectly (verifies **accuracy, completeness** and **occurrence**).

► Knowledge Check Questions

Question 2

The gross profit margin in 20X2 is 40% and in 20X1 is 30%. Identify which of the following may have contributed to the increased gross profit margin in 20X2:

- A** Revenue that should have been recognised in 20X2 has been recognised in 20X3.
- B** Purchases that should have been recognised in 20X2 have been recognised in 20X3.
- C** The year-end inventory valuation is understated.
- D** The opening inventory as at 1 January 20X2 has been brought forward at an overstated amount.

► Knowledge Check Questions (*continued*)

Question 3

Identify which of the following is a substantive procedure that would test the **completeness** of purchases and other expenses:

- A** Inspect goods received notes immediately pre- and post-year-end to ensure they have been recorded in the correct accounting period.
- B** Recalculate discounts applied for a sample of large purchase invoices.
- C** Agree a sample of purchase orders with goods received notes and purchase invoices through to inclusion in the purchase day book.
- D** For a sample of purchase orders, ensure there is evidence of authorisation by a responsible official.

7.4 PAYROLL AND DIRECTORS' EMOLUMENTS

Payroll is a very sensitive area and confidentiality must be observed at all times by the auditor where payroll is concerned.

Payroll is usually a material item in the financial statements and there are various procedures which the auditor can use to verify:

- the total payroll expense in the financial statements; and
- associated payroll liabilities which are owed by the entity at the reporting date.

7.4.1 Common Audit Risks

At the outset it is worth noting that payroll is an area which gives rise to a fraud risk factor. For example, the inclusion of a fictitious employee (often referred to as a 'ghost' employee) on the payroll, where funds are diverted into a perpetrator's bank account. Audit procedures must be adopted which address this fraud risk factor. (*Note: Just because this is an area where a fraud risk factor is present does not automatically mean that a fraud will have occurred.*)

The most common audit risks associated with payroll are misstated payroll expenses and misstated payroll liabilities. Payroll liabilities generally include employment taxes due at the reporting date but can also include other forms of liability such as mandatory deductions from an employee's payroll due to a court order which then has to be paid to a third party. The auditor will need to apply procedures to ensure that the total payroll expense in the statement of profit or loss is complete and accurate and that associated payroll liabilities owed by the entity at the reporting date are also complete.

Illustrative Example 2

Assume that Sealand Industries Ltd pays its staff in arrears. Therefore, hours worked by staff in the month of January are paid in February.

Sealand Industries Ltd has a 31 December 20X2 year-end. Staff are therefore paid for hours worked in December 20X2 in January 20X3. Hence, the company must make an accrual in the year-end financial statements for the December 20X2 payroll and associated liabilities. If the company does not make this accrual, the payroll expense will be short by one month and the associated payroll liabilities will also be incomplete. The opening accrual as at 1 January 20X2 should also have been reversed in the current year.

In the above example, if the auditor does not gain a thorough understanding of the payroll cycle, there is a higher risk of the auditor missing the fact that the company should make an accrual at year-end for hours worked but not paid until January 20X3. This increases audit risk and illustrates the importance of gaining a sound understanding of the key cycles of the business.

7.4.2 Audit Procedures

Audit procedures to generate sufficient and appropriate audit evidence over payroll are as follows:

- Agree the total wages and salaries charge per the payroll system with the trial balance/general ledger and financial statements (verifies **completeness** and **presentation**).
- Obtain the monthly payroll reports and cast them to verify the accuracy of the payroll listings (verifies **accuracy**).
- For a sample of employees, recalculate the gross and net pay and agree with the payroll records (verifies **accuracy**).
- Select a sample of joiners and leavers and agree their start/leave date with the first/last payroll run (verifies **accuracy**).
- For a sample of employees, reperform the calculation of employment taxes and confirm that these have been included in the payroll expense for the year (verifies **accuracy**).
- For a sample of monthly payrolls, agree the total net pay per the payroll records with the bank transfer listing of payments and agree these with the cash book (verifies **occurrence**).
- Agree the year-end employment tax accrual with the payroll records and agree the liability with a post-year-end payment (verifies **occurrence**).
- For a sample of employees, agree individual wages and salaries with human resources records and records of hours worked per the clocking-in system (verifies **accuracy**).

Tests of control which the auditor may carry out include:

- Review a sample of time sheets, particularly where overtime has been worked, to ensure that they have been authorised by a responsible official prior to being sent to payroll.
- Review the log of amendments to payroll standing data to ensure that changes have been authorised by a responsible official.
- For bonuses to staff and directors, review Board minutes for approval of the bonus.

- Observe the clocking-in/clocking-out process to ensure that it is adequately supervised.
- Review the payroll process to ensure there is adequate segregation of duties in place (e.g. one person processing and another senior individual reviewing the payroll prior to it being finalised).
- Review joiner and leaver forms to ensure they have been completed correctly and authorised by a responsible official.

Analytical procedures can be applied over the company's payroll expense as follows:

- Perform a proof in total test by taking last year's payroll expense, incorporating joiners and leavers and the annual pay increase. Compare this expectation with the actual payroll expense and investigate any significant fluctuations (verifies **completeness** and **accuracy**).
- Compare the current year's payroll expense with the prior year and identify any unusual fluctuations (verifies **completeness** and **accuracy**).

Apply and Analyse 4

Apply

Sealand Industries Ltd operates from a head office and one central warehouse. It employs 300 staff and operates 24 hours a day, 7 days a week. Production staff work night and day shifts and use a swipe card to enter and leave the factory. This swipe-card process records the hours worked by the employees and this data is sent electronically to the payroll system.

The audit engagement partner has instructed that specific audit procedures be included in the audit programme to ensure that the payroll expense recorded in the statement of profit or loss is accurate and reflects the hours worked by the employees.

Describe seven audit procedures you would include in the audit programme over the company's payroll expense. Ensure two procedures are **analytical procedures**.

Analysis

Audit procedures which should be included in the audit programme include:

- Agreeing the total payroll expense with the payroll records and the general ledger and the financial statements.
- Observing employees enter and leave the factory using their swipe cards and ensuring this process is supervised (this is a test of control to ensure that employees only get paid for the hours they have worked – i.e. the supervisory controls mean one employee cannot swipe in or swipe out multiple employees).
- Review the information sent electronically from the swipe-in process to the payroll to ensure it is complete and accurate.
- Recalculate the gross and net pay for a sample of employees and agree with the payroll records.
- Agree individual wages and salaries per the payroll with human resources records and records of hours worked per the swipe-in process.

Apply and Analyse 4 (continued)

- Perform a proof in total of wages and salaries, incorporating joiners and leavers throughout the year and the annual pay increase/bonuses. Compare this with the actual payroll expense and investigate any significant differences (this is an analytical procedure).
- Compare the payroll expense in the current year with the prior year and investigate any significant differences (this is an analytical procedure).

7.4.2.1 Directors' Emoluments

Directors' emoluments must be disclosed separately from other payroll amounts and the auditor will have to carry out audit procedures to ensure that such remuneration has been disclosed adequately in accordance with accounting standards and legislation. If disclosure is inadequate or does not comply with accounting standards or local legislation, it will have implications for the auditor's opinion which may be modified.

Audit procedures over directors' emoluments include the following:

- Obtain a schedule of directors' emoluments split among wages and salaries, bonuses, benefits, pension contributions and other emoluments and agree with the financial statement disclosures (verifies **completeness**).
- Agree directors' wages/salaries with payroll records and human resources records (verifies **completeness, occurrence** and **accuracy**).
- Agree a sample of directors' wages/salaries with bank statements and/or the bank transfer listing and cash book (verifies **occurrence**).
- Inspect Board minutes for discussion and approval of directors' bonuses or other additional remuneration (verifies **accuracy** and **occurrence**).
- Obtain a written representation from directors that they have disclosed directors' emoluments to the auditor (verifies **completeness**).

► Knowledge Check Questions

Question 4

Identify which of the following audit procedures would test the **occurrence** assertion for payroll:

- A** Agreeing the year-end employment tax liability with the payroll records and tracing to a post-year-end payment.
- B** Selecting a sample of joiners and leavers and agreeing their start/leave date with the first/last payroll run.
- C** Agreeing total payroll expense per the payroll system with the trial balance and financial statements.
- D** Agreeing individual wages with human resources records.

► Knowledge Check Questions (*continued*)

Question 5

You are the audit senior designing the audit programmes for the payroll cycle for the year ending 31 December 20X2. The audit engagement partner has requested that a combination of substantive procedures and tests of control be carried out. Determine five substantive procedures the auditor should carry out to obtain sufficient and appropriate audit evidence over the payroll expense in the statement of profit or loss; describe three tests of control the auditor should carry out over the entity's payroll cycle.

7.5 INVENTORIES

A company's inventory has to be valued in accordance with HKAS 2 *Inventories* lower of cost and net realisable value requirements. In a lot of cases there may be estimates included in the valuation of inventories which auditors have to pay particular attention to, because there is a higher risk of material misstatement where estimates are concerned.

Inventory has a direct impact on both the statement of financial position and the statement of profit or loss and any significant fluctuation in, say, the gross profit margin could indicate a risk of material misstatement with the closing inventory's valuation.

The key assertions for inventory are:

- valuation;
- existence;
- completeness; and
- rights and obligations.

7.5.1 Common Audit Risks

The principal risk of material misstatement is that inventory is overvalued, which results in overstated current assets and an overstated gross profit. Overstatement can arise due to:

- incorrect cut-offs;
- slow-moving or obsolete items of inventory not being written down to net realisable value at the reporting date;
- calculative errors; or
- deliberate manipulation of the inventory's costing to achieve a desired level of profit or loss or current assets figure.

While auditors are principally concerned with overstated inventory, they are also concerned with understated inventory. This could arise, for example, if the year-end inventory count was incomplete or if inventory has been missed out of the valuation completely. Such instances would be indicative of control weaknesses, which may need to be communicated to management and/or those charged with governance of the entity.

7.5.2 Audit Procedures

- Attend the year-end inventory count during the counting process to observe the inventory count being carried out (verifies **existence** and **completeness**).
- Trace items counted during the inventory count and check against the final inventory valuation; check to confirm that any errors identified during the inventory count have been corrected (verifies **completeness** and **presentation**).
- Obtain a schedule of inventory disaggregated into raw materials, finished goods and works in progress. Cast the list to ensure it is mathematically correct and agree the final total with the financial statements (verifies **completeness** and **classification**).
- For a sample of inventory items, agree with purchase invoices to agree the cost prices (verifies **valuation**).
- For a sample of inventory items, inspect post-year-end sales invoices to determine if net realisable value is determinable. Compare net realisable value with cost to determine if inventory is held at the lower of cost and net realisable value (verifies **valuation**).
- Consider using computer-assisted audit techniques (CAATs) to age the inventory items in order to identify any slow-moving inventory which may need an allowance and discuss these with management (verifies **valuation**).
- Trace goods received immediately prior to the reporting date and agree these with year-end payables balances and inventory records (verifies **completeness** and **existence**).
- Trace goods despatched immediately prior to the reporting date to ensure these goods are not in inventory at the reporting date (they should be included in revenue and receivables) (verifies **completeness** and **existence**).
- Agree the valuation of raw materials with invoices and price lists (verifies **valuation**).
- Confirm with management that an appropriate basis of valuation is being used (verifies **valuation**).
- Agree labour cost with wage records (verifies **valuation**).
- Review standard labour costs in light of actual costs and production (verifies **valuation**).
- Reconcile labour hours with time records (verifies **valuation** and **completeness**).
- Compare actual manufacturing overhead costs with budgeted or standard manufacturing overhead costs (verifies **valuation** and **completeness**).

Analytical procedures over the inventory valuation at the reporting date include:

- Calculating inventory days or the inventory turnover ratio and comparing this with the prior year to determine if the company is holding inventory longer than the prior year, which may indicate the need for an allowance to write the inventory down to net realisable value (verifies **valuation**).
- Calculating the gross profit margin and comparing this with the prior year and investigating any significant fluctuations which may highlight an error in the closing inventory valuation (verifies **valuation**).

If inventory is held by third parties:

- Obtain **external confirmation** from the third party concerning the quantity and condition of the goods (verifies **rights and obligations**).



- Where the inventory held by a third party is material, attend the third party's inventory count (verifies **existence** and **completeness**).
- The auditor may also obtain a report from the third party's auditors over the internal controls at the third party to ensure these are operating effectively.

For inventory in transit:

- Review transfer documentation to ensure that inventory quantities and costs are adequately reflected in the inventory valuation.
- Review GRNs received after the reporting date to ensure that the goods were genuinely in transit.

7.5.2.1 Use of Standard Costs

HKAS 2 *Inventories* allows the use of **standard costs** which takes into account normal levels of materials, labour, efficiency and capacity utilisation. Where an entity uses standard costs, it must ensure that the standard costs are updated regularly and revised in light of current conditions. If the entity uses standard costs, the auditor must:

- Obtain a breakdown of the standard cost calculation and agree a sample of costs with purchase invoices.
- Discuss with management the basis for the standard costs and how often they are updated to reflect current costs.
- Inspect variance reports and assess the level of variances for reasonableness. For any significant variances arising, discuss the reasons with management.

7.5.3 Physical Inventory Count Considerations and Procedures

HKSA 501 *Audit Evidence – Specific Considerations for Selected Items* requires the auditor to attend the physical inventory count (unless this is impracticable) when the client's inventory balance is material to the financial statements and perform audit procedures over the final inventory records to determine whether they accurately reflect the count results.

The inventory count is the responsibility of the client. The auditor does not carry out the physical inventory count for the client. The primary objectives of the auditor where the inventory count is concerned are to:

- evaluate management's instructions and procedures for the inventory count;
- observe the client's staff performing the inventory count;
- inspect the condition of the inventory; and
- perform test counts.

The auditor attends the inventory count during the counting process to ensure that management's instructions are being complied with. The auditor's procedures carried out at the inventory count will help to obtain sufficient appropriate audit evidence that the inventory valuation is free from material misstatement.

7.5.3.1 Before the Inventory Count

Prior to attending the inventory count, the auditor must:

- Obtain a copy of the inventory count instructions issued to the counting staff to understand how the count will be carried out and assess the effectiveness of the counting process.

- Obtain the prior year's working papers file and review the counting process and audit evidence acquired during last year's counting process to identify any issues which may need to be taken into account this year.
- Establish the location(s) of the inventory and whether any third parties are holding inventory on behalf of the client. If third parties are holding inventory that is material, consider how sufficient and appropriate audit evidence will be gathered.
- Consider circularising third-party warehouses requesting confirmation of inventory balances held at the reporting date, together with quantities and condition of the inventory.
- Consider the need to utilise the services of any experts which may need to assist in valuing inventory being counted.

7.5.3.2 During the Inventory Count

As noted above, the auditor should attend the inventory count **during** the actual counting process because one of the primary objectives of the inventory count attendance is to ensure that management's instructions are being adhered to. The auditor will carry out **tests of control** and **substantive procedures** during the inventory counting process to gather sufficient appropriate audit evidence that the inventory counting process will reduce the risk of material misstatement.

Tests of control usually carried out by the auditor during the inventory count include the following:

- Ensure that staff who are normally employed in the warehouse are not involved in the inventory counting process (this is to ensure that there is adequate segregation of duties because if the warehouse staff were involved in the counting process not only would they not be independent, but if there was any fraud being committed they would be in a position to cover up such discrepancies).
- Ensure that once a section of inventory has been counted it is flagged as counted to avoid double-counting or not counting at all.
- Ensure that there are no movements of inventory during the counting process.
- Where movement of inventory cannot stop (e.g. because the client operates 24 hours a day, 7 days a week), ensure items requiring despatch are moved to a different location from the other inventory. Also ensure that any deliveries of goods are made to a different location while the count is taking place. A separate count can then be performed on these segregated items, which can be added to the warehouse count.
- Ensure that count sheets which record the inventory and quantities run in numerical sequence.
- Ensure that there are at least two people in each counting team performing the count.
- Ensure that damaged and/or obsolete items of inventory are segregated from other inventory to enable it to be valued appropriately.
- Ensure that count sheets do not show expected quantities of goods (so that staff can avoid physically counting the inventory).



Substantive procedures which the auditor would normally carry out during the inventory counting process include the following:

- Select a sample of inventory from the inventory counting sheets to the physical inventory in the warehouse and highlight these once counted for subsequent checking with the final inventory valuation (verifies **existence**).
- Select a sample of inventory from the physical inventory in the warehouse to the inventory counting sheets and highlight these once counted for subsequent checking with the final inventory valuation (verifies **completeness**).
- For goods held on behalf of third parties, discuss with management the process for ensuring these are not included in inventory and ensure they are not included in the inventory count (verifies **rights and obligations**).
- Obtain details of the last deliveries into the warehouse immediately prior to, or at, the reporting date and retain a record of these deliveries so that during the final audit procedures the auditor can ensure that no further adjustments have been made which may misstate the final inventory valuation (verifies **completeness** and **existence**).
- Attend the inventory count at third-party warehouses where inventory balances are material and carry out test counts and inspect the condition of the inventory (verifies **completeness** and **existence**).
- Inspect inventory being counted for evidence of any damage or obsolescence which may indicate the need to write down the inventory to net realisable value (verifies **valuation**).

Apply and Analyse 5

Apply

Sealand Industries Ltd operates 24 hours a day, 7 days a week with production staff working night and day shifts to ensure continued production. The directors have confirmed that production will not be stopped during the inventory counting process, because this will have a negative impact on the business and customer orders may not be fulfilled on time.

Jocelyn Chow has recently joined your audit firm as a trainee auditor and is attending the inventory counting process, which is to be held on 31 December 20X2. She is unsure as to how the inventory count will be possible if production is not stopped, commenting that inventory values will constantly change. She is concerned that the inventory balance at the reporting date will contain a material misstatement.

Explain how organisations such as Sealand Industries Ltd, which operate 24 hours a day, 7 days a week, can ensure that the final inventory valuation does not contain a material misstatement due to ongoing production.

Analysis

Ideally, during the inventory count, movements of inventory should stop to enable the count to be conducted without it being affected by goods in and goods out. However, for some industries such as Sealand Industries, it is just not practicable to do this.

Management must ensure that they move the items requiring despatch to a different location from that being counted prior to the count being carried out. Any deliveries

Apply and Analyse 5 (continued)

of goods should be made to a different location while the count is being undertaken. A separate count can then be performed on the items delivered or produced during the count, which can then be added to the warehouse items counted.

Ensuring that such controls are in place will ensure that the completeness and existence assertions can be verified and that cut-offs for purchases and sales can also be tested efficiently.

7.5.3.3 Perpetual Inventory Counts

Perpetual inventory counts are also known as 'continuous counting systems'. A perpetual inventory counting system means that all lines of inventory are counted on a regular basis (e.g. monthly) throughout the accounting period, so that by the reporting date all lines of inventory have been counted.

Perpetual inventory counts have advantages and disadvantages as follows:

Advantages

- They enable the auditor to attend counts relating to lines of inventory which stand a higher chance of material misstatement and can also reduce the time spent by the auditor on the overall inventory count.
- Slow-moving and damaged inventory is identified on a continuous basis with relevant adjustments to the inventory valuation being made, which means that the year-end inventory valuation should be more accurate.

Disadvantages

- The auditor must obtain sufficient appropriate audit evidence that the perpetual inventory counting system is operating effectively at all times rather than at the reporting date.
- Additional audit procedures will need to be applied by the auditor to ensure that the final inventory balance is appropriate in terms of the cut-off assertion and allowances to reduce certain inventory to net realisable value (e.g. damaged or obsolete items), which is the valuation assertion.

Where the client uses a perpetual inventory counting process, the auditor must:

- Attend at least one inventory count to ensure that there are adequate internal controls in place during the counting process.
- Inspect the number of exceptions raised as a result of the count. Where significant variations arise, this may indicate that the inventory valuation at the reporting date is unreliable and hence a full inventory count at year-end may need to be carried out.
- Carry out additional tests to verify cut-off, valuation and rights and obligations, even where the perpetual inventory counting process is deemed to be reliable.
- Inspect GRNs and GDNs immediately pre- and post-year-end to verify cut-off is correct.
- Carry out a net realisable value test to ensure that goods are being sold in excess of cost (if net realisable value is lower than cost, this would indicate inventory impairment).
- Calculate inventory days and compare with the prior year to identify if there is any slow-moving inventory which may need an allowance to bring its valuation down to net realisable value.

7.5.4 Consignment Stocks

Consignment stock is stock which is legally owned by one party (the principal) but is being held by another party (the agent). This means that the **risks and rewards** of ownership of the goods remain with the principal, but the agent is responsible for distribution or retail of the inventory.

Consignment stock is generally regarded as high risk because it is a complex accounting issue and, if included in the incorrect financial statements, will invariably have a material impact.

The auditor will be concerned with the **rights and obligations** assertion when testing inventory. Therefore, inventory which is legally owned by the principal does not appear on the statement of financial position as inventory of the agent because the agent does not own the inventory, nor does the agent possess any of the risks and rewards of ownership of the consignment goods.

The principal risk where consignment stock is concerned is that it is included in the final inventory valuation of the client where the client does not legally own the stock. This would result in an overstated inventory valuation and an overstated gross profit.

Any consignment stock must be segregated from other inventory owned by the client. The auditor must inquire of management as to the process involved in ensuring that such consignment stock is excluded from the inventory valuation (i.e. how it is segregated from owned inventory).

If the auditor is auditing the principal's financial statements, then the agent should tell the principal how many of the agent's goods are in the principal's possession. The principal will then calculate the cost value of those goods and include that value in inventory (net realisable value will be used if that is lower than cost to comply with HKAS 2 *Inventories* principles). If the value of the consignment stock belonging to the principal is material, the auditor may consider attending the inventory count of the agent to verify the existence, completeness and condition of the consignment stock.

► Knowledge Check Questions

Question 6

Identify which of the following substantive audit procedures would verify the **existence** of inventory during the inventory count:

- A** Tracing inventory from the count sheets to the physical inventory.
- B** Tracing physical inventory to the count sheets.
- C** Enquiring if goods held on behalf of third parties are segregated from other inventory.
- D** Performing sequence checks on the inventory count sheets to ensure they run in numerical order.

Question 7

Identify which of the following are substantive analytical procedures:

- (I) Casting the inventory valuation and agreeing the total with the financial statements.
- (II) Obtaining a breakdown of standard cost calculations and agreeing a sample of costs with invoices.
- (III) Calculating the gross profit margin, comparing to prior year and investigating any significant differences.

► Knowledge Check Questions (*continued*)

(IV) Calculating the inventory holding period, comparing to prior year and investigating any significant differences.

(V) Inspecting inventory for evidence of damage or obsolescence.

A I and II

B II and III

C III and IV

D IV and V

Question 8

Auditors are required to attend the year-end inventory count where inventory is material to the financial statements. Identify which of the following correctly describes the purpose of the auditor attending the inventory count:

A To perform the inventory count.

B To perform substantive procedures over the inventory valuation.

C To ensure all goods in and goods out have stopped during the count.

D To evaluate management's instructions and procedures for the count.

➤ 7.6 RECEIVABLES AND PREPAYMENTS

Receivables and prepayments are generally shown as current assets in the statement of financial position. The key assertions for testing receivables are **valuation** and **existence**. Auditors will test receivables for overstatement and hence indirectly test revenue for overstatement also due to the double entry when a sale on credit is recognised (debit trade receivables, credit revenue).

7.6.1 Common Audit Risks

The principal risk for receivables is overstatement. If receivables are overstated then assets and revenue are overstated, which would present a misleading position in the financial statements. Overstatement of receivables could arise if, for example, sales cut-offs have been incorrectly applied, hence sales which should be recognised in the subsequent accounting period have been recognised in the current accounting period. Similarly, if management have manipulated the financial statements, they could have recognised future sales and receivables in the current accounting period or even recognised sales that have never actually occurred (**occurrence** being one of the assertions for revenue).

Receivables can, however, be understated, which could arise due to incorrect cut-offs (cut-off being applied too early) or through manipulation of the financial statements by management – for example, deliberately reducing or not recognising revenue to influence the tax position of the company or deliberately reducing profit so that it is not as high as it should be, since shareholders may want an even higher profit in the next accounting period.

Receivables may also be overstated due to customers' inability to settle debts owed to the company – for example, where they are experiencing cash flow difficulties. In such cases, an allowance for receivables may be needed, or an existing allowance for receivables may need to be increased.

Apply and Analyse 6

Apply

During the audit of trade receivables, it was noted that a balance of HK\$185,000 was significantly overdue from a customer. The credit controller has told the audit junior that it is unlikely this amount will be received because the customer is experiencing significant cash flow difficulties and is likely to cease trading in the next few weeks. The finance director has refused to make an allowance for this receivable as he insists this should only happen when the customer officially ceases to trade.

Explain the reason for any adjustment that may need to be made to the financial statements in connection with this customer ceasing to trade.

Analysis

It is unlikely that the balance of HK\$185,000 will be received by the company because the credit controller has confirmed that the customer is experiencing significant cash flow difficulties and is likely to cease trading in the next few weeks. If an allowance for the receivable is not recognised in the financial statements as at 31 December 20X2, trade receivables and profit will both be overstated and hence will be misleading.

The finance director's argument that an allowance should not be made until the customer officially ceases to trade is invalid and the financial statements of Sealand Industries Ltd as at 31 December 20X2 should reflect the bad debt, hence trade receivables should be written down by HK\$185,000 and a bad debt expense recorded in the statement of profit or loss.

If the finance director refuses to make an allowance for the receivable and the HK\$185,000 is material, the auditor would have to modify the auditor's opinion accordingly.

7.6.2 Audit Procedures

- Obtain an aged receivables listing, cast the list and agree the total with the financial statements (verifies **valuation** and **presentation**).
- Agree the receivables ledger control account total with the list of trade receivables at year-end (verifies **completeness** and **existence**).
- Inspect post-year-end cash receipts and follow through to pre-year-end trade receivables balances (verifies **rights and obligations** and **existence**).
- Assess the reasonableness of the expected credit loss allowance calculated by customer (verifies **valuation**).
- Select a sample of year-end trade receivable balances and agree back with supporting documentation (GDNs and sales orders) (verifies **existence**).
- Select a sample of GDNs immediately pre- and post-year-end and follow through to the sales invoice to ensure that the sale has been recorded in the correct accounting period (verifies **completeness**, **existence** and **cut-off** of revenue).

- Perform a trade receivables confirmation by selecting a representative sample of trade receivables and sending a letter on the client's letterhead asking the customers for confirmation of the balance on their purchase ledger at year-end (verifies **rights and obligations** and **existence**). See Section 7.6.3 below.
- Review the valuation of the trade receivables to ensure that an appropriate allowance has been made in accordance with the expected credit loss model in HKFRS 9 *Financial Instruments*. Discuss the aged receivables with the credit control manager to assess whether any further allowance is required (verifies **valuation**).
- Inspect any customer correspondence to assess if there are any material disputed items which may require a balance to be written off (verifies **existence, valuation** and **rights and obligations**).
- Inspect the list of trade receivables for any credit balances to assess whether these need to be reallocated to payables (verifies **existence** and **completeness** (of payables) and **classification**).

An analytical procedure which can be applied when auditing receivables is the calculation of trade receivables days for the current year, comparing to the prior year and investigating any significant differences (verifies **completeness** and **valuation**).

7.6.2.1 Prepayments

Prepayments are goods or services which the organisation has paid for in advance of receiving the good or service. Procedures to test prepayments include the following:

- Inspect the cash book and bank statements to ensure that the payment has been made (verifies **existence**).
- Inspect invoices to ensure that the payment relates to a good or service that has not yet been delivered or rendered (verifies **existence**).
- Inspect the trade payables listing to identify any debit balances and assess whether these debit balances relate to on-account payments (prepayments) (verifies **classification** and **existence** (of prepayments)).
- Recalculate the amount prepaid to confirm mathematical accuracy (verifies **valuation**).

Analytical procedures can be applied over prepayments by comparing the current year's prepayments with the prior year and identifying those which may require further testing (e.g. items which were not prepaid last year or have not been prepaid this year) (verifies **existence, valuation** and **completeness**).

7.6.3 Considerations and Procedures for Confirmation Requests

A *confirmation request* where receivables are concerned typically includes **positive** and **negative confirmation requests**. A *positive* trade receivables confirmation asks the customer to respond as to whether the balance is correct or not. A *negative* trade receivables confirmation asks the customers to respond only if they disagree with the balance. A negative trade receivables confirmation is only appropriate where the risk of material misstatement is low.

An auditor would generally want to carry out a trade receivables confirmation request where some of the client's trade receivables are material or where the audit is carried out



shortly after the reporting date and additional audit evidence is needed to verify the existence assertion.

The procedure for a trade receivables confirmation request is as follows:

- The auditor selects a representative sample of trade receivables from the aged receivables listing.
- A letter is prepared by the client on their letterhead and it is sent to the customer by the auditor.
- A request is made in the letter to confirm the balance and to then send the letter back **directly to the auditor** – not send it back to the client.

7.6.4 Follow-up Procedures

An inherent problem with trade receivables confirmations is that the customer may not respond to the request. In such cases, the auditor must follow up the **non-response** with another letter or, with the client's permission, a telephone call. Alternatively, the auditor may decide that alternative procedures can be applied to confirm the balance the customer owes, such as post-year-end cash receipts testing.

Sufficient and appropriate audit evidence must be gathered to support the valuation, existence, completeness and rights and obligations assertions.

Once the confirmation request has been received, the auditor will review the letter to assess whether the customer agrees with the balance owing to the audit client. If the customer does not agree with the balance, the auditor will review the reconciling items (it may be due to cash in transit or invoices sent at year-end which have not reached the customer in time for processing on their purchase ledger). Any disagreement may also indicate that a misstatement exists and the auditor has to evaluate whether such misstatement indicates a fraud risk factor or deficiencies in the entity's internal control environment over financial reporting.

7.6.4.1 Doubts Concerning the Reliability of Responses to the Confirmation

When the auditor has doubts concerning the reliability of the response to the confirmation request, HKSA 505 requires the auditor to obtain further audit evidence in an attempt to resolve those doubts. The auditor may have doubts about the reliability of a response if it has not been received by the auditor directly or appears not to have come from the originally intended confirming party. The concern of the auditor may be that the response is not authentic or the respondent is not authorised to respond to the confirmation request.

HKSA 505 requires the auditors to determine whether to modify or apply additional procedures to resolve their doubts. This could include the auditor choosing to verify the source and contents of a response to the confirmation request by contacting the respondent directly. For example, the auditor may receive a trade receivables confirmation response via email, and so the auditor may contact the respondent by telephone to verify that they did, in fact, send the response. In another example, the trade receivable may inadvertently send the confirmation response back to the audit client; in such a case, the auditor may request the confirming party to respond in writing directly to the auditor.

Oral responses to confirmation requests are not external confirmations because they are not specifically in writing to the auditor. If auditors receive an oral response to a confirmation

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request they may (depending on the circumstances) choose to request the confirming party respond in writing directly to the auditor. If no such written response is received, the auditor must seek other audit evidence to support the information contained in the oral response.

Key Learning Point

It is the client who writes to their customers requesting the confirmation of the balance. The customer is asked to send the letter back directly to the auditors to reduce the risk of the client interfering with any response.

Illustrative Example 3

Sealand Industries Ltd sells goods on credit terms to approximately 800 customers in Hong Kong. Lisa Chow, the audit engagement partner, has requested that a positive trade receivables confirmation be carried out as soon as possible after year-end to increase the chances of an accurate and timely response. A sample of trade receivables is selected from the client's aged receivables listing and the following letter is prepared and sent on Sealand Industries' letterhead:

6th January 20X3

Dear Sirs

As part of our auditor's procedures, we have been requested to ask you to confirm the balance on your purchase ledger with us as at 31 December 20X2.

According to our records the balance owing to us is HK\$XXX. We would be grateful if you could please compare this balance with your purchase ledger account and return this letter to our auditors in the prepaid envelope enclosed. If the balance is not in agreement with your records, please could you provide a reconciliation in the space provided.

This is only a request for the purposes of our audit and is not a request for payment.

Your co-operation in this matter would be greatly appreciated.

Yours faithfully

Jocelyn Sou

Finance Director

Sealand Industries Ltd

We confirm that, except as noted below, a balance of HK\$XXX was owing by us to Sealand Industries Ltd as at 31 December 20X2.

.....

Customer signature

Illustrative Example 3 (continued)

Details of differences:

A key point to emphasise where a trade receivables confirmation is concerned is that it does not test the **valuation** assertion. It only tests the **existence** and **rights and obligations** assertions. As such, the auditor must not place total reliance on a trade receivables confirmation response, even if the customer agrees the balance is owing. This is because the customer may not be able to pay the balance and so the auditor must apply further procedures to test the valuation assertion, such as extended post-year-end cash receipts testing.

Key Learning Point

HKSA 505 *External Confirmations* states that the auditor must maintain control over external confirmations (a trade receivables confirmation request is an external confirmation). This is achieved by:

- Determining the information to be confirmed or requested.
- Selecting the appropriate confirming party.
- Designing the confirmation requests, including determining that requests are properly addressed and contain return information for responses to be sent directly to the auditor.
- Sending the requests, including follow-up requests when applicable, to the confirming party.

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► Knowledge Check Questions**Question 9**

The audit senior has calculated average receivable days and compared this with the prior year. Identify which assertion this substantive analytical procedure verifies:

- A** Existence
- B** Valuation
- C** Rights and obligations
- D** Cut-off

Question 10

Identify which of the following procedures could verify the **existence** of a receivable in the event that the receivable does not respond to a confirmation request:

- A** Calculate average receivables days.
- B** Demand that the receivable replies.
- C** Inspect post-year-end cash receipts.
- D** Ensure the receivables list total agrees with the financial statements.

7.7 BANK AND CASH

The key assertions for bank and cash are **existence** and **valuation**. When auditing bank and cash balances, there are two important sources of evidence: the bank confirmation letter and the year-end bank reconciliation.

7.7.1 Common Audit Risks

A common audit risk for bank balances is understatement due to 'window dressing'. Window dressing occurs when the client treats a payment made immediately after the reporting date as being made at, or before, the year-end date. This understates positive bank balances (and overstates an overdrawn balance) and understates payables. This makes the statement of financial position look like there are less amounts owing to payables than is actually the case. Where window dressing is apparent, the auditor will ask the client to add the payment back into payables and remove it from the bank reconciliation.

An audit risk where cash is concerned is the understatement of cash due to fraud. Cash on hand usually comprises petty cash but in a cash-based business, cash on hand can be significant.

7.7.2 Audit Procedures

- Obtain the bank reconciliations for all accounts and cast the bank reconciliations to ensure mathematical accuracy. Agree the balance per the cash book with the trial balance and financial statements (verifies **accuracy, valuation and allocation**).
- Obtain a bank confirmation letter from the bank and agree the balance on the bank confirmation letter with the year-end bank reconciliation (verifies **accuracy, valuation and allocation**).
- Agree the balance per the cash book with the year-end bank reconciliation (verifies **accuracy, valuation and allocation**).
- Agree the balance per the bank statement on the bank reconciliation with an original bank statement and the bank confirmation letter (verifies **accuracy, valuation and allocation**).
- Trace all outstanding payments on the bank reconciliation to a post-year-end bank statement and note the date the payment clears (verifies **accuracy, valuation and allocation** and **completeness**).
- Trace all outstanding lodgements to the pre-year-end cash book and post-year-end bank statements (verifies **accuracy, valuation and allocation** and **existence**).
- Examine old unpresented cheques to determine whether these should be written back into the purchase ledger if they are no longer valid to be presented (verifies **accuracy, valuation and allocation** and **completeness**).
- Inspect the bank confirmation letter for details of security pledged by the company or any legal right of set-off of overdrafts against positive bank balances which may require disclosure in the financial statements (verifies **presentation** and **rights and obligations**).



- Review the cash book for any large or unusual items, particularly around year-end, as this may indicate window dressing (verifies **completeness** and **existence**).
- If cash on hand at year-end is material, attend the year-end cash count to ascertain that the closing balance on hand at year-end is accurate (verifies **completeness** and **valuation and allocation**).

Tests of control over the bank and cash cycle may include the following:

- Review a sample of bank reconciliations for evidence of review by a responsible official.
- Enquire of management who has access to the online banking system and attempt to log in to the banking system using an unauthorised staff member's login details. The system should reject access.
- Inspect petty cash requisitions to ensure they are authorised by a responsible official.
- Review the payments cycle to assess whether supporting documentation is presented (e.g. an invoice) before a payment is authorised.
- If cash on hand at year-end is material, attend the year-end cash count to ascertain that the closing balance on hand at year-end is accurate.
- Observe whether the entity's staff are following instructions for the cash count as this will help to ensure the count is complete and accurate.
- Perform test counts to ensure procedures and internal controls are working properly.

Apply and Analyse 7

Apply

During the audit of the bank current account for the year ending 31 December 20X2, the audit senior noticed that a large bank transfer dated 2 January 20X3 on the company's bank statements, which related to the December 20X2 supplier payment run, had been included as an unrepresented payment in the year-end bank reconciliation.

The audit senior held a discussion with the financial controller who confirmed that the payment was made on 2 January 20X3 but should have been made on 30 December 20X2. However, due to problems with the company's online banking system the payment run could not be done on that date. The financial controller has therefore included the payment as an outstanding payment at year-end, as it was the company's original intention to pay the suppliers prior to year-end and doing this will make the company's trade payables balance more consistent with the prior year. The company does not operate an overdraft facility on the bank current account and hence the bank balance is an asset at year-end.

Describe the potential issues for the auditor in respect of this transaction and the impact, if any, on the auditor's report if the issue remains unresolved.

Analysis

An unrepresented item has been included on the year-end bank reconciliation in respect of a payment run to a supplier which was actually carried out on 2 January 20X3. The

Apply and Analyse 7 (continued)

company's bank account is a current asset as it is not overdrawn and so this current asset is understated in the financial statements as at 31 December 20X2. In addition, trade payables are also understated by the same amount (the principle audit objective for the auditor is to test liabilities for understatement). This sort of transaction is often referred to as 'window dressing'. In other words, deliberately understating the company's liabilities by 'accelerating' a payment which has been made in the next accounting period.

The argument that the company *intended* to pay the suppliers by the reporting date is invalid. The trade payables were still outstanding at that date and therefore the payment run needs to be added back to trade payables and the outstanding payment removed from the year-end bank reconciliation.

If this adjustment is not carried out and the amounts involved are material, then the auditor's opinion will be modified due to a material misstatement.

7.7.3 Considerations and Procedures for Confirmation Requests

A key source of audit evidence for bank balances is the bank confirmation letter. This is a letter sent directly to the auditor from the client's bank and provides details of balances on each bank account at year-end.

The bank will need permission from the client to send such confirmation requests and this permission is usually sought once the audit client is initially engaged by the auditor.

Prior to the reporting date, the auditor will send a confirmation request directly to the client's bank asking for certain information relating to the bank. The bank will usually need a few weeks to prepare the confirmation request and so the auditor will send the letter to the bank well in advance of the reporting date to ensure that it is received in time for the audit.

The standard content of the confirmation request usually includes the following:

- company name;
- details of current, deposit, loan and other accounts;
- account description number;
- currency;
- collateral;
- contingent liabilities;
- year-end date (audit confirmation date);
- authority to disclose information date;
- contact name (usually the audit engagement partner); and
- contact details of audit firm.



Illustrative Example 4

Pang Certified Public Accountants
123 Street Name
Hong Kong

30 November 20X2

The Manager
Hong Kong Bank
456 Street Name
Hong Kong

Dear Sir/Madam

Sealand Industries Ltd

In accordance with the agreed practice for the provision of information to auditors, please would you provide the following information for our client as at 31 December 20X2. This request and your response do not create any contractual or other duty with us.

Company name:	Sealand Industries Ltd
Account numbers:	12345678 87654321
Information required:	Standard Trade finance Custodian arrangements Other (see attached)
Audit confirmation date:	31 December 20X2
Audit contact name:	Lisa Chow (audit engagement partner)

The authority to disclose information has previously been signed by our mutual client and is held by you. This authority is dated 31 July 20X2.

Yours faithfully

Pang Certified Public Accountants

Bank confirmations are reliable sources of audit evidence because they are external and are always sent directly to the auditor. They can also provide evidence of any security pledged by the client for borrowings which may need to be disclosed in the financial statements.

7.7.4 Physical Cash Count

Where cash is material to the financial statements, the auditor may attend the client at year-end and carry out a physical cash count. The objective of this procedure is to ensure that the cash on hand at year-end is accurately stated in the statement of financial position.

If the audit client has a large cash balance on hand, the auditor will need to ensure the reasons for such large cash balances are reasonable. This is because cash is susceptible to theft and if it is not kept secure, there is a high risk that it could be stolen. In addition, the company must ensure that it has adequate levels of insurance for high cash balances (if the company is not insured for large cash balances then any stolen cash may be uninsured – meaning the company is at higher risk of suffering a loss). Levels of insurance must be considered where large cash balances are held on the premises, because such balances may exceed the limits in the insurance policy and hence any excess cash over the insurance limit is likely to be uninsured.

The auditor will count the petty cash on hand at year-end and agree this total with the balance included in the financial statements (this verifies **accuracy**, **valuation** and **existence**).

The auditor will also consider the controls in place over cash to assess whether these are effective. For example, if cash is not kept secure then there is a higher risk of material misstatement due to fraud and if the auditor concludes that controls over cash are weak, additional substantive procedures (tests of details) must be carried out to ensure the risk of material misstatement due to fraud or error is reduced to an acceptably low level.

► Knowledge Check Questions

Question 11

Identify which of the following would be an example of **window dressing**:

- A** Treating a payment as an unrepresented cheque at year-end when it was made immediately after year-end.
- B** Forgetting to include bank interest receivable at year-end in the year-end financial statements.
- C** Carrying out a purchase ledger payment run at the reporting date.
- D** Failing to reconcile the bank at year-end.



7.8 FINANCIAL INSTRUMENTS AND INVESTMENTS

Financial instruments can be complex areas of the financial statements – particularly financial instruments which must be remeasured to fair value at each reporting date, such as derivative financial instruments (i.e. forward foreign currency contracts), where fair value gains and losses are reported through the statement of comprehensive income, or in the case of some hedging instruments, through other comprehensive income.

The fair value exercise itself can be complex and therefore the auditor must ensure that the individual carrying out the fair value exercise is appropriately qualified, suitably experienced and competent to carry out such a valuation – especially if it is material to the financial statements. Where valuations are concerned, the auditor must not carry out such a valuation for the client; the auditor must obtain sufficient and appropriate audit evidence that the fair value exercise is free from material misstatement.

Illustrative Example 5

A company has a number of investments which are measured at fair value at each reporting date through profit and loss. The investments are valued each year by an investment manager who is independent of the company and details of these valuations are then passed to the finance director so that they can be appropriately accounted for in the year-end financial statements.

In this example, the fact that the company uses an investment manager who is independent of the entity cannot just be accepted by the auditor. Whilst independence and objectivity are two important issues which the auditor must consider (if the investment manager is not independent or objective then there could be bias in the year-end valuation), other aspects of the investment manager must be considered, for example:

- Is the investment manager appropriately qualified? If the investment manager does not possess the relevant qualifications for valuing the investments, then the year-end valuation is likely to be at higher risk of misstatement and he or she may not be up-to-date with changes in valuation methodologies or other developments which may influence the year-end valuation.
- Does the investment manager possess the relevant experience and competence to value such investments? If the investment manager does not have suitable experience or is not sufficiently competent to carry out the valuation of the investments, then this is more likely to result in a material misstatement.
- Are the assumptions and methodologies used in the valuation consistent with previous valuations? If any of the assumptions or methodologies used differ significantly from previous reports, supporting reasons must be obtained by the auditor and considered, as such differences may lead to a higher risk of material misstatement.
- Do adequate internal controls exist over the valuation exercise itself? For example, is the valuation reviewed by a senior official prior to it being sent to the audit client and is the data used in the valuation subject to an adequate control process?

If the auditors have any concerns about the investment manager (in respect of their expertise, qualifications or independence and objectivity), then the auditors can use their own expert in accordance with HKSA 620 *Using the Work of an Auditor's Expert* who can be asked to carry out an independent valuation which the auditors can use to identify if there is a material misstatement in the client's valuation.

7.8.1 Common Audit Risks

The main audit risk for financial instruments and investments is the risk that the financial instrument or the investment is misstated at the reporting date. Financial instruments and investments which are remeasured to fair value at each reporting date contain a higher risk of material misstatement due to the fair value exercise (as this may contain mistakes or be manipulated in such a way as to achieve a desired outcome). For example, the client may have loan covenants which require the company to maintain a certain level of assets; the audit risk here is that any financial assets or investments may contain deliberate misstatement

to maintain assets at a predetermined level. Similarly, financial liabilities may contain a misstatement due to human error or deliberate misstatement to understate liabilities.

For financial instruments which have to be remeasured to fair value at each reporting date through profit or loss or other comprehensive income, the audit risk is that the fair value gain or loss has been recognised incorrectly, as through profit or loss or other comprehensive income.

Apply and Analyse 8

Apply

Sealand Industries Ltd purchases a number of products from overseas suppliers. In order to protect the company against adverse changes in the foreign exchange rate, the company uses forward foreign currency contracts which allow the company to agree a particular exchange rate at the date the contract is entered into. The forward foreign currency contracts must be remeasured to fair value at each reporting date.

The audit senior has enquired as to the types of audit risk which arise when such financial instruments exist.

Explain to the audit senior what audit risks arise in respect of a derivative financial instrument, such as a forward foreign currency contract, and what principal audit procedures should be applied.

Analysis

The derivative financial instrument (in this case the forward foreign currency contract) must be remeasured to fair value through profit or loss at each reporting date. The audit risk is that the fair value gain or loss has been incorrectly recognised in other comprehensive income. In addition, there is also a risk that the fair value gain or loss itself could be materially misstated.

Principal audit procedures would include:

- Obtain a schedule of financial instruments measured at fair value through profit or loss at the reporting period and agree these with the financial assets and/or financial liabilities in the statement of financial position (verifies **valuation and allocation**).
- Obtain the valuation of the forward foreign currency contracts at the reporting date, assess the reliability of these valuations and agree the valuations with the schedule of financial instruments (verifies **valuation and allocation**).
- Agree the contracted rates of the forward foreign currency contracts with supporting documentation (such as the forward foreign currency contract itself) (verifies **existence** and **valuation and allocation**).
- Agree the fair value gain or loss with the statement of profit or loss (verifies **accuracy** and **valuation and allocation**).
- Ensure that financial assets and financial liabilities have not been set off each other in the statement of financial position, unless there is a legal right of set-off (verifies **presentation and disclosure**).



7.8.2 Audit Procedures

7.8.2.1 Financial Assets

- For loans (a financial asset) review Board minutes or other supporting documentation, such as a loan agreement, to ensure the loan has been properly authorised (verifies **existence**).
- Obtain a schedule of loans made by the company during the year and agree the opening balances of loans in existence in the prior year to the prior year's working papers file and ensure they have been correctly brought forward into the current year (verifies **existence, valuation** and **completeness**).
- Review the adequacy of the allowance for loan receivables. If an employee loan exists and that employee leaves the company, assess the recoverability of the remaining balance (verifies **valuation**).
- For material investments, agree opening balances with the prior year's working papers file and ensure these have been correctly brought forward into the current year (verifies **existence, completeness** and **valuation**).
- Agree investments with supporting documentation (e.g. share certificates) and ensure they are correctly classified in the financial statements (e.g. as an associate or simple investment) (verifies **rights and obligations** and **presentation and disclosure**).
- Agree additions to investments with share certificates, cash book and bank statements (verifies **accuracy and valuation** and **rights and obligations**).
- Where a service organisation has carried out the valuation of the investments, test the integrity of the valuation report and sample test items to certificates of title (verifies **existence, accuracy and valuation** and **rights and obligations**).
- Review sale and purchase documentation and contract notes for investments purchased and sold during the year (verifies **existence** and **rights and obligations**).
- For investments disposed of during the year, agree the disposal proceeds with supporting documentation, cash book and bank statement (verifies **valuation, existence, rights and obligations** and **completeness**).
- For investments that have been valued professionally, ensure the valuer is independent and objective and evaluate the valuer's competence, professional qualifications and experience (verifies **accuracy and valuation**).
- Consider whether there are any indicators of impairment of investments or financial assets (verifies **accuracy and valuation**).
- Ensure adequate disclosure of financial instruments and investments through the use of a disclosure checklist (verifies **presentation and disclosure**).

7.8.2.2 Financial Liabilities

- Where the loan is material, obtain a confirmation from the borrower as to the amount outstanding at the reporting date (verifies **existence** and **rights and obligations**).
- Recalculate the interest accrual on each loan and agree with the general ledger and financial statements (verifies **accuracy, valuation** and **completeness**).

- Examine loan agreements and ensure that the loan terms are being complied with (verifies **valuation**).
- If a loan is secured, examine the security and consider its value and whether the security is sufficient – for example, if it has to be sold quickly to cover the outstanding balance (verifies **valuation**).
- For loans taken out during the year by the company, review loan documentation, agree loan proceeds with the cash book and bank statement and recalculate the interest charge and agree the closing balance with external confirmations (verifies **valuation, completeness, existence** and **rights and obligations**).
- Agree opening loan liabilities with the prior year's working papers file and ensure the opening balances have been correctly brought forward into the current year (verifies **valuation** and **completeness**).
- Agree closing loan liabilities with the external confirmations, trial balance and financial statements (verifies **accuracy and valuation, completeness** and **rights and obligations**).

► Knowledge Check Questions

Question 12

The audit senior has obtained a valuation of a significant investment which has been carried out by a professional valuer. Identify which of the following audit procedures should be carried out by the audit senior:

- A** None, as the valuation has been carried out by a professional valuer.
- B** Assess the independence and objectivity of the professional valuer.
- C** Discuss with management why they have used a professional valuer.
- D** Refer to the professional valuer in the auditor's report.

7.9 TANGIBLE NON-CURRENT ASSETS

A *tangible* non-current asset is an asset used in the business which possesses a physical form (i.e. you can touch it). Non-current assets are assets that are going to be used in the business for more than one financial year (hence the term 'non-current'). The key assertions for non-current assets are existence, valuation, completeness and rights and obligations.

7.9.1 Common Audit Risks

Common audit risks include overstatement of non-current assets which can arise due to expenditure being incorrectly capitalised on the statement of financial position in contravention of HKAS 16 *Property, Plant and Equipment*. Overstatement can also arise because of inappropriate depreciation policies (under-depreciation) and this will usually be evident

when the company disposes of an item of property, plant and equipment because there may be a large loss on disposal recorded in the statement of profit or loss which suggests that the depreciation method is inappropriate.

Understatement of non-current assets can arise because items of property, plant and equipment have been incorrectly expensed to the statement of profit or loss. This will usually be evident because the relevant expense account in the general ledger may be higher than the prior year (e.g. repairs and maintenance expenditure) and hence analytical procedures may indicate a risk of material misstatement.

Other audit risks relate to revaluation. HKAS 16 allows a company an accounting policy choice of the **revaluation model** to measure items of property, plant and equipment. When the revaluation model is used, the asset is revalued to fair value at the date of the revaluation and then subsequently depreciated and reviewed for indicators of impairment at each reporting date. HKAS 16 requires an entity measuring non-current assets under the revaluation model to carry out revaluations with **sufficient regularity** to ensure that the carrying amount of the non-current asset does not differ materially from its fair value at the reporting date. The audit risk is that the revaluation has either not been carried out or has been carried out by a valuer who is not independent of the entity (i.e. a director has carried out the revaluation), or the valuer lacks technical competence and professional expertise in revaluing the non-current asset. In some cases, the auditors may determine it necessary to use their own expert to obtain sufficient and appropriate audit evidence over the valuation exercise. A further audit risk arises if the revaluation has not been accounted for correctly (e.g. it is taken to profit or loss rather than through the revaluation reserve and reported as other comprehensive income).

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16.31

Key Learning Point

HKAS 16 states that when the revaluation model is applied, it must be applied to all assets within the same asset class (an asset 'class' being the relevant grouping, such as plant and machinery, fixtures and fittings, motor vehicles and computer equipment). For example, a client may revalue its land and buildings – it cannot 'cherry pick' which buildings to revalue – it must revalue them all. This is to stop entities from deliberately revaluing assets that have gone up in value and eliminating those that have gone down in value. The principal audit risk here is that some assets in the same asset class may not have been revalued at the same time.

Illustrative Example 6

The non-current assets reconciliation of an entity will usually look like this:

	Land and buildings	Plant and machinery	Fixtures and fittings	Total
	HK\$	HK\$	HK\$	HK\$
Cost at 1 January 20X2 (a)	X	X	X	X
Additions (b)	X	X	X	X
Disposals (c)	(X)	(X)	(X)	(X)
Cost at 31 December 20X2 (d = a + b – c)	X	X	X	X

Illustrative Example 6 (continued)

Depreciation at 1 January 20X2 (e)	X	X	X	X
Charge for the year (f)	X	X	X	X
Eliminated on disposal (g)	(X)	(X)	(X)	(X)
Depreciation at 31 December 20X2 (h = e + f – g)	X	X	X	X
Net book value				
At 31 December 20X2 (i = d – h)	X	X	X	X
At 31 December 20X1 (j)	X	X	X	X

7.9.2 Audit Procedures

- Obtain the non-current assets register, cast the register and agree the totals with the financial statements and ensure cost and accumulated depreciation have been correctly brought forward from the prior year (verifies **completeness, classification and presentation**).
- Select a sample of assets from the non-current assets register and physically inspect them, ensuring they are in working order and are not showing indicators of impairment such as damage (verifies **existence and valuation**).
- Select a sample of physical assets and inspect the non-current assets register to ensure they have been included (verifies **completeness**).
- For assets that have been revalued during the reporting period, inspect the valuation report and agree the revalued amount with the client's general ledger and the financial statements and ensure that all assets in the same asset class have been revalued (verifies **valuation**).
- Select a sample of additions and agree the cost with the supplier invoice (verifies **valuation**).
- Select a sample of additions and agree the supplier invoice is in the name of the company (verifies **rights and obligations**).
- For properties, inspect the title deeds and ensure they are in the name of the company (verifies **rights and obligations**).
- Obtain a schedule of additions to non-current assets during the reporting period and confirm that they are capital in nature rather than repairs and maintenance expenditure (verifies **existence**).
- For assets that have been self-constructed by the client, obtain a schedule of costs that have been incurred, cast the schedule to check mathematical accuracy and agree a sample of costs with supporting documentation (e.g. labour costs with payroll records and material costs with supplier invoices) (verifies **valuation**).



- For non-current assets that have been disposed of during the year, agree sales proceeds with supporting documentation such as sales invoices (verifies **accuracy** [of profit or loss on disposal]).
- For a sample of disposals, recalculate the profit or loss on disposal and agree with the statement of profit or loss (verifies **accuracy** (of profit or loss on disposal)).

Tests of control may include:

- Review Board minutes for evidence of authorisation of capital expenditure by the directors.
- Inspect purchase orders for capital expenditure for evidence of signature of a responsible individual.
- Inspect the reconciliation of the non-current assets register and evidence of approval by a responsible official to ensure the reconciliation has been performed correctly.
- Inspect insurance policies and compare this with the value of non-current assets to ensure the value of the company's non-current assets is sufficiently covered.
- Inspect management accounts/revenue expenditure schedules for evidence of review to ensure that capital items are not incorrectly written off to the statement of profit or loss (i.e. as overhead expenditure).
- For a sample of disposals of non-current assets, review Board minutes to ensure that such disposals have been formally approved by the Board prior to disposal taking place.

Audit procedures on the depreciation charge include the following:

- For a sample of assets, recalculate the depreciation charge for the year and agree with the non-current assets register (verifies **valuation and allocation**).
- Inspect the financial statement disclosure with respect to the accounting policies for depreciation and agree that these policies have been consistently applied (verifies **presentation**).
- For assets that have been revalued during the year, recalculate the depreciation charge based on the revalued amount and agree the charge with the statement of profit or loss (verifies **valuation and allocation**).
- Review profit and loss on disposal of assets to assess the reasonableness of the depreciation policies – if depreciation policies are reasonable, there should be no significant profits or losses on disposal of non-current assets (verifies **valuation**).
- Perform a proof in total calculation for the depreciation charge for each category of non-current asset and discuss any significant fluctuations with management (analytical procedure – verifies **completeness** and **valuation**).
- Inspect budgets for the next few years to assess the appropriateness of the useful economic lives in comparison with the asset replacement cycle (verifies **valuation**).

Apply and Analyse 9

Apply

The audit junior has obtained a copy of the non-current assets register for Sealand Industries Ltd and is auditing the depreciation charge for fixtures and fittings. The depreciation charge for fixtures and fittings has been recorded in the financial statements at HK\$81,500 and the depreciation policy is to depreciate fixtures and fittings over their useful economic lives of five years on a straight-line basis. The total cost of the fixtures and fittings is HK\$410,000 and the materiality level is 2% of total assets.

Calculate the expected total depreciation charge for fixtures and fittings for the year ending 31 December 20X2.

Analysis

The total cost of fixtures and fittings is HK\$410,000 and the depreciation policy is five years on a straight-line basis. Therefore, the expected depreciation charge is HK\$82,000 ($\text{HK\$410,000} / 5 \text{ years}$). The actual depreciation charge is HK\$81,500, which is understated by HK\$500. This difference is 0.6% ($\text{HK\$500} / \text{HK\$82,000}$) less than our expectation, and hence we can conclude that the depreciation is materially correct.

► Knowledge Check Questions

Question 13

An audit senior has physically inspected a sample of tangible non-current assets for evidence of impairment. Identify which assertion this verifies:

- A** Existence
- B** Rights and obligations
- C** Completeness
- D** Valuation

Question 14

Identify which of the following is an analytical procedure over the depreciation charge:

- A** Performing a proof in total test calculation and discussing any significant variations with management.
- B** Agreeing the depreciation charge per the non-current assets register with the statement of profit or loss.
- C** Comparing depreciation rates with companies having the same type of assets to assess reasonableness.
- D** Inspecting the financial statement disclosures of the depreciation charges and accounting policies.

7.10 INTANGIBLE ASSETS

Intangible assets are non-current assets held by an entity which do not possess a physical form (they cannot be touched). HKAS 38 *Intangible Assets* contains strict recognition criteria which must be met before an intangible asset can be recognised on the statement of financial position; certain types of intangible asset must never be recognised – such as internally generated goodwill.

Examples of intangible assets include:

- purchased goodwill;
- licences;
- brands;
- trademarks;
- copyrights;
- airport landing rights; and
- development costs.

7.10.1 Common Audit Risks

The principal audit risk that concerns auditors is that intangible assets may have been capitalised during the reporting period in contravention of HKAS 38, hence they are overstated. For example, management may have capitalised internally generated goodwill in an attempt to make the statement of financial position look healthier. As noted above, internally generated goodwill is specifically prohibited from being recognised under HKAS 38.

Another principal audit risk is that research expenditure (in a research and development project) may have been incorrectly capitalised (only development expenditure which meets the recognition criteria must be capitalised on the statement of financial position).

Another audit risk is that intangible assets are overstated because the amortisation method is inappropriate (i.e. the intangible asset is being amortised over an excessively longer period than the useful economic life suggests).

Intangible assets pose a specific issue for auditors because they are invisible – they do not possess a physical form (hence the reference to ‘intangible’). It is therefore not possible to physically count intangible assets, but the auditor has to obtain sufficient appropriate audit evidence that the financial statements conform, in all material respects, with the financial reporting framework.

HKAS 38 *Intangible Assets* states that an intangible asset shall be recognised if, and only if:

1. it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity; and
2. the cost of the asset can be measured reliably.

The ‘cost’ of the intangible asset can be verified by supporting documentation such as an invoice or a contractual agreement. Supporting documentation should be from

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38.21(a), (b)

external sources (e.g. suppliers). Where a class of intangible assets comprises several items (e.g. licences), the auditor should select a representative sample of licences and trace these back to supporting documentation (the licence documentation itself).

Illustrative Example 7

During the year to 31 December 20X2, a company included an amount of HK\$200,000 worth of goodwill on the statement of financial position. The audit senior held a discussion with the finance director, who stated the following:

The Board decided that it would be appropriate for the company to recognise the value of its brand through the inclusion of goodwill on its statement of financial position. The company has been established in excess of 50 years and the amount recognised reflects the potential selling price of the business if it were to be marketed for sale.

In this example, the goodwill recognised of HK\$200,000 is internally generated and should not be included on the statement of financial position because this contravenes HKAS 38, which specifically prohibits internally generated goodwill being recognised. This is because there is no 'active market' from which a fair value can be obtained. An 'active market' is one in which the intangible asset is frequently traded and as there is no active market for internally generated goodwill, HKAS 38 prohibits the recognition of such on the grounds that a reliable measure of cost cannot be obtained. To avoid a modified auditor's opinion, the goodwill will have to be removed from the statement of financial position.

7.10.2 Audit Procedures

For intangible assets other than development costs:

- Inspect purchase documentation for purchased intangible assets and agree the amounts capitalised are appropriate (verifies **existence, rights and obligations** and **valuation**).
- Inspect any specialist valuer's reports and agree the amount on the report with the amount included in the general ledger and financial statements (verifies **valuation**).
- Agree the opening balances of intangible assets (cost and amortisation) with the prior year's working papers file and ensure they have been brought forward correctly (verifies **valuation** and **completeness**).
- Carry out an assessment of the intangible assets to identify if any intangible assets are showing indicators of impairment (verifies **valuation**).

The procedures which the auditor would apply over the amortisation procedures are similar to those of depreciation (see Section 7.9.2).

Audit procedures for development costs include the following:

- Obtain a schedule of development costs capitalised during the reporting period, cast the schedule and agree the amount with the financial statements (verifies **valuation**).
- Discuss details of the project with management and evaluate compliance with HKAS 38 to ensure that only development costs are capitalised (research costs must always be expensed to the statement of profit or loss) (verifies **existence**).

- Inspect the project's plans and other documentation to assess compliance with HKAS 38 (verifies **existence**).
- Inspect the company's budgets to confirm the project is financially viable, as this is one of the criteria of HKAS 38 (verifies **existence**).
- Inspect Board minutes for discussions relating to the intended sale or use of the asset (verifies **existence**).
- For a sample of costs, agree them with purchase invoices or labour costs to payroll records (verifies **valuation**).
- Agree the opening balances of development costs (cost and amortisation) with the prior year's working papers file and ensure they have been brought forward correctly (verifies **valuation** and **completeness**).

Apply and Analyse 10

Apply

During the year to 31 December 20X2, Sealand Industries Ltd acquired a licence which allows it to produce a certain type of chemical which is protected by copyright. The audit junior has asked why this has been treated as an addition to intangible assets in the year and what principal audit procedures should be applied to gather sufficient and appropriate audit evidence.

Explain why the licence would be treated as an intangible asset and determine the types of principal audit procedures which the audit junior should carry out in order to obtain sufficient and appropriate audit evidence.

Analysis

A licence is an example of an intangible asset. For Sealand Industries Ltd, the company is able to produce a chemical product which it can then sell on to its customers that will create economic benefit for the entity (in the form of sales revenue). HKAS 38 only allows an intangible asset to be recognised on the statement of financial position if future economic benefits associated with the intangible asset will flow to the entity. In this case it will be because the company has obtained a licence to produce a chemical that it can sell on to customers. HKAS 38 also requires that the intangible asset has a cost or value which can be reliably measured. This can be obtained from the invoice or from the licence agreement, as the company will have had to pay a fee to the owner to acquire the licence.

The licence should be amortised over its useful economic life, which is three years, and the company would expect to amortise the whole licence fee over a three-year period (i.e. on a straight-line basis).

Principal audit procedures would include the following:

- Obtain a copy of the licence and agree that the licence has been correctly capitalised as an intangible asset.
- Review the terms of the licence and agree that three years is the correct length of the licence.

Apply and Analyse 10 (continued)

- Agree the amount capitalised on the statement of financial position with the agreement.
- Recalculate the amortisation charge for the year based on three-year straight line and discuss any significant variations with management. Agree the amortisation charge for the year with the statement of profit or loss.
- Review the disclosures in the financial statements and assess whether they are in compliance with HKAS 38 and local legislation.

► Knowledge Check Questions

Question 15

Identify which of the following would indicate a misstatement in the carrying amount of intangible non-current assets in the statement of financial position:

- A** The accounting policy for amortisation is incorrect but the amortisation charge is correct.
- B** The amortisation charge is overstated.
- C** The reconciliation of net book value of intangible assets has not been disclosed in the financial statements.
- D** The intangible asset was disposed of after year-end but is included in the year-end financial statements.

7.11 PAYABLES AND ACCRUALS

Payables and accruals are liabilities in the statement of financial position and hence the focus of testing for liabilities is their **completeness**. When auditors directly test payables for understatement, they are also indirectly testing cost of sales for understatement due to the double entry (debit purchases, credit payables).

7.11.1 Common Audit Risks

The principal audit risk is that payables and accruals are understated, hence profit is overstated or a loss is understated. Understated payables and accruals can arise generally because cut-offs are incorrect (i.e. the purchase ledger has been closed down too early or the schedule of accruals at year-end is incomplete).

Some companies close their purchase ledger down on the first day of a new month (i.e. the purchase ledger for January is closed on 1 February). The issue where an early close-down is concerned is that the accounting system may not have captured all of the invoices for goods and services received up to the reporting date (goods could have been received by the



company but not yet invoiced by the supplier). In such cases, the company must make accruals for goods and services received but not yet invoiced.

There is also a risk that payables are understated if a business has to make 'on-account' payments upfront. The understatement may arise because of a debit balance on the purchase ledger which may distort the trade payables balance, and hence such arrangements may need to be reclassified to receivables (as a prepayment).

7.11.2 Audit Procedures

- Obtain a list of trade payables from the purchase ledger, cast the list to ensure mathematical accuracy and agree the total of the purchase ledger list with the general ledger and the financial statements (verifies **completeness, classification** and **presentation**).
- Reconcile the total of the purchase ledger listing with the purchase ledger control accounts (ordinarily this should agree automatically if the accounting system is computerised, but differences can arise if journals have been incorrectly posted into the purchase ledger control account) (verifies **completeness**).
- Inspect payments made by the company post-year-end and where they relate to the current year, agree them with invoices on the purchase ledger or schedule of accruals (verifies **completeness**).
- Inquire of management as to any unrecorded liabilities (verifies **completeness**).
- Select a sample of trade payable balances and perform a trade payables' confirmation. Follow up any non-replies and any reconciling items between balances confirmed and trade payables balances per the purchase ledger (verifies **completeness** and **existence**).
- Obtain supplier statement reconciliations and agree these with the balance on the purchase ledger at year-end and investigate any reconciling items (verifies **existence, completeness, obligations** and **valuation**). See also Section 7.11.2.1 below.
- Review invoices received post-year-end and if any relate to the current year, agree them with the schedule of accruals (**completeness**).
- Select a sample of GRNs immediately pre- and post-year-end and ensure those received pre-year-end are included in the trade payables balance and those received post-year-end are excluded (**completeness** of payables and **cut-off** of purchases).
- Inspect the purchase ledger listing for any debit balances and for material amounts discuss with management and consider whether reclassification as a receivable is appropriate (verifies **classification** and **completeness** [of receivables]).
- Obtain a schedule of accruals, cast the schedule to ensure mathematical accuracy and agree the total with the general ledger and the financial statements (verifies **completeness** and **classification**).
- Inspect invoices received post-year-end and compare with the list of accruals to ensure the accrual at year-end is reasonable (verifies **valuation**).

Analytical procedures over payables and accruals include the following:

- Compare total payables and accruals with the prior year and investigate any significant variations (verifies **completeness** and **valuation**).
- Calculate trade payables days and compare with the prior year and investigate any significant differences (verifies **completeness** and **valuation**).

7.11.2.1 Supplier Statement Reconciliations

A key audit procedure to verify the completeness of trade payables is to obtain supplier statement reconciliations. A supplier statement is sent by the supplier to the client and hence is considered to be a strong form of evidence because it is external to the entity. Supplier statement reconciliations reconcile the balance on the supplier statement (i.e. the balance on the supplier's sales ledger) with the balance on the client's purchase ledger at year-end. Such reconciliations can highlight errors or discrepancies which may need to be discussed with management.

Illustrative Example 8

Dragon Supply Co. Ltd is one of Sealand Industries' main suppliers. The supplier statement as at 31 December 20X2 shows a balance of HK\$2,282,280, but Sealand Industries' purchase ledger shows an amount owing of HK\$2,121,110. The difference is reconciled as follows:

	HK\$
Balance per Sealand purchase ledger	2,121,110
Less:	
Cash in transit not yet recorded by Dragon	(185,200)
	1,935,910
Plus:	
Invoice 2240 not on purchase ledger	163,450
Invoice 2283 not on purchase ledger	171,220
Transposition error on invoice 2199	11,700
Balance per Dragon Supply Co. supplier statement	<u>2,282,280</u>

The auditor should carry out the following procedures:

Cash in transit

- Review the date of the payment sent to Dragon Supply Co. for HK\$185,200 – it could form one of several payments made immediately before or after year-end. If it was made after, it must be added back to the purchase ledger.
- If payment was made pre-year-end, agree the date of clearance. If the payment has cleared shortly after year-end, it would seem that the cash had not been processed by Dragon Supply Co. prior to 31 December 20X2 and the reconciling item is valid.



Illustrative Example 8 (continued)

Invoices not on purchase ledger

- Inquire with the warehouse manager as to whether these goods had been delivered prior to the reporting date or inspect GRNs to assess whether the goods had been received by the reporting date.
- Inspect correspondence with Dragon Supply Co. to establish whether these invoices are in dispute.
- If a purchase invoice has been received prior to the reporting date, enquire of management as to why it has not been included in the purchase ledger (this could indicate a problem with cut-offs or there could be a dispute with the invoice).
- If the goods relating to these invoices are in Sealand Industries' inventory, or have been sold, the invoices should be included in the accruals schedule.
- If the goods have not been received by the reporting date, then no adjustment is necessary.

Transposition error

- Review the original copy of invoice 2199 from Dragon Supply Co. to agree that there has been a transposition error when posting the invoice.
- No adjustment to the purchase ledger will be necessary if the invoice has been posted at the correct value and the error relates to the sales invoice posting in Dragon Supply Co.'s accounting records.

7.11.3 Considerations and Procedures for Confirmation Requests

As with trade receivables' confirmation requests, the auditor may determine it necessary to carry out a trade payables confirmation request.

The procedure for carrying out a trade payables confirmation request is generally the same as that for a trade receivables confirmation. The auditor will select a sample of balances from the trade payables list at the reporting date and ask the client to write to the suppliers asking for positive confirmation that the balance owing per the purchase ledger agrees with its sales ledger. A negative confirmation request would ask for the supplier to respond if the balance on the confirmation request differs from the balance on their sales ledger. A trade payables confirmation request verifies **completeness** and **existence** of payables.

The auditors' focus will primarily be on large supplier balances when they conclude that the internal control environment is strong and the auditors believe that all liabilities have been recorded. However, where the auditors suspect that there may be unrecorded liabilities, they will also include regular suppliers with small or zero balances in their sample.

The auditors would follow up any non-responses, usually through a further letter or, with the client's permission, a telephone call. Alternatively, additional post-year-end payment testing would satisfy the relevant assertions.

A trade payables confirmation cannot be used as sufficient and appropriate audit evidence on its own. The supplier could just say the balance agrees when, in fact, it does not. Hence, supplier confirmation requests must complement other forms of audit evidence covering the completeness and existence of payables.

Trade payables confirmation requests are less common than trade receivables confirmation requests because suppliers will usually send statements of account which can be regarded as a reliable form of audit evidence (due to their being external). However, if a supplier statement has not been sent or the client has not retained them, the auditor may determine a trade payables confirmation appropriate.

The auditor will consider whether supplier statements are available for major suppliers and also those suppliers with a nil balance on the purchase ledger at the reporting date. If a supplier has a nil balance in the current year but had a large balance in the prior year, this may be indicative of an understatement in the current year and the auditor may consider requesting a confirmation of a nil balance directly from the supplier. Major suppliers may also be requested to confirm their balance in the absence of a supplier statement so the auditor can investigate any significant differences.

► Knowledge Check Questions

Question 16

The audit junior has selected a sample of goods received notes immediately prior to year-end to ensure they have been included in the year-end payables balance. Identify which of the following assertions this procedure verifies:

- (I) Rights and obligations
- (II) Existence
- (III) Presentation
- (IV) Cut-off
- (V) Completeness

- A** I and II
- B** II and III
- C** III and IV
- D** IV and V

Question 17

A major supplier has not sent a supplier statement showing the balance owing to them at year-end. Identify which of the following would verify the completeness of this supplier's balance at year-end:

- A** Inspecting post-year-end invoices to confirm the accrual.
- B** Sending a confirmation request.
- C** Obtaining a written representation from management.
- D** Discussing the balance owed at year-end with the purchase ledger supervisor.

7.12 PROVISIONS

Provisions (and contingencies) are dealt with in HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*. HKAS 37 requires an entity to recognise a provision when the recognition criteria have been met, that is:

- the entity has a present obligation as a result of a past event;
- payment is probable (which means 'more likely than not'); and
- the amount of the payment can be estimated reliably.

HKAS
37.10

Provisions are liabilities of an uncertain timing or amount; hence, the liability will generally be an estimate. If the liability is actually known, then it will be a payable rather than a provision.

If payment is only *possible* rather than probable, then the entity will have a contingent liability which requires disclosure rather than being recognised as a provision in the financial statements. In terms of a reimbursement receivable, HKAS 37 only allows an asset to be recognised in respect of the reimbursement if receipt is *virtually certain* rather than probable. The 'virtually certain' test is a higher hurdle to pass than the probability test.

7.12.1 Common Audit Risks

The principal audit risk where provisions are concerned is that they are understated or incomplete. This may arise because the directors do not wish to recognise a provision for a liability because to do so would present a less healthy statement of financial position.

Contingent liabilities are not recognised in the financial statements; they are disclosed in the notes to the financial statements where they are material. Contingent liabilities are not disclosed if the possibility of settlement is remote. The principal audit risk here is that disclosures may be inadequate or even incomplete. This could arise if the directors do not want to make disclosures because doing so may present them in an unfavourable light.

It may be the case, however, that disclosing information relating to a contingent liability could seriously prejudice the position of an entity which is in a dispute with other parties on the matter relating to the provision, contingent liability or contingent asset. HKAS 37 makes an exception to disclosing the information required by the standard but the entity must provide the general nature of the dispute, together with the fact that, and reason why, the information has not been disclosed. This exception is only used in extremely rare circumstances.

HKAS
37.92

Illustrative Example 9

On 20 December 20X2, Sealand Industries Ltd received a letter from an employee claiming unfair dismissal. The directors have refuted the claim, stating that proper employment legislation was followed, and the claim was actively being defended by the company at the reporting date.

Illustrative Example 9 (continued)

The principal audit risk in this situation is that the company has a present obligation as a result of a past event and payment to the former employee is, in fact, probable. In such a scenario, the company would be required to recognise a provision if the amount of the payment could be reliably measured. If payment is only possible, rather than probable, the company must disclose a contingent liability. Even if payment is possible, rather than probable, but the directors do not disclose a contingent liability, the auditor will have to express a modified opinion (qualified 'except for') if the contingent liability is material. This is because the company would not be compliant with HKAS 37 and the matter is material but not pervasive.

7.12.2 Audit Procedures

- Obtain a breakdown of provisions, cast the schedule and agree the total with the general ledger and the financial statements (verifies **valuation and allocation**).
- Discuss the schedule of provisions with the directors and/or inspect relevant supporting documentation to confirm that the entity does have a present obligation as a result of a past event at the reporting date (verifies **rights and obligations**).
- Inquire of the directors, or inspect relevant Board minutes, to ascertain if payment is probable (verifies **existence**).
- Where necessary, recalculate the components of the provision and agree the calculation with supporting documentation (verifies **valuation and completeness**).
- Obtain the post-year-end cash book, review the cash book for any payments made in respect of the provision in the next accounting period and agree such payments with the bank statements; compare the payments made with the provision to assess whether the provision is reasonable (verifies **valuation**).
- With the client's permission, obtain confirmation from the lawyers as to the likely outcome of the case and how probable it is that payment will be made. Alternatively, inspect correspondence from the lawyers regarding the issue to confirm whether a provision should be recognised and if the amount provided for is reasonable (verifies **existence, rights and obligations** and **completeness**).
- Review the financial statement disclosures in respect of the provision or contingency and confirm they are compliant with HKAS 37 (verifies **presentation**).
- For reimbursement assets, agree the receivable with written confirmation that the receipt is virtually certain and agree the receipt with the post-year-end cash book and bank statement (verifies **valuation**).
- Perform a review of the legal expenses account in the general ledger to identify any items which may indicate the need for a provision at year-end (verifies **existence**).
- Obtain a written representation from management that they believe the provision is appropriately valued and is complete (verifies **valuation and completeness**).

► Knowledge Check Questions

Question 18

A supplier has commenced legal proceedings alleging breach of contract and is claiming a material sum of money from the client. At year-end it is unknown if the case will be successful. Identify which of the following you would expect to see in the financial statements:

- A** A trade payable for the estimated amount of damages.
- B** A provision for liability.
- C** A contingent liability disclosure.
- D** Nothing.

7.13 NON-CURRENT LIABILITIES

Non-current liabilities are those liabilities which the entity will settle after more than 12 months from the reporting date (hence the term 'non-current'). Typically, an organisation will show the following in non-current liabilities:

- long-term loans
- long-term finance leases
- mortgages.

7.13.1 Common Audit Risks

The principal audit risks where non-current liabilities are concerned are incomplete or misstated non-current liabilities. For example, a company may take out a five-year bank loan in 20X2. At year-end this loan must be split between the portion falling due within one year from the reporting date (a current liability) and the amounts falling due after more than one year from the reporting date (the non-current liability). If the liability is not split correctly, current and non-current liabilities will both be misstated and hence the financial statements will be misleading.

The auditors will focus their attention on the completeness of non-current liabilities, recognising the risk that non-current liabilities may be understated.

7.13.2 Audit Procedures

- Obtain a breakdown of all loans outstanding during the year, cast the breakdown and agree the total with the financial statements (verifies **completeness**).
- For long-term loans, reperform the loan control account and recalculate the split of the closing loan balance between the portion falling due within one year from the reporting date and the portion falling due after more than one year from the reporting date; agree this split with the financial statements (verifies **accuracy** and **completeness**).

- Recalculate the interest charge and any interest accrual to ensure mathematical accuracy of the closing balance and interest expense in the statement of profit or loss (verifies **accuracy** [of the finance cost] and **completeness** [of accruals]).
- Inspect the cash book for loan repayments and agree these with the general ledger (verifies **existence** and **valuation**).
- Agree loan balances at the reporting date with an original loan statement and the bank confirmation letter and inspect the bank confirmation for evidence of any loans that have not been included in the financial statements (verifies **completeness**).
- For sundry loans, agree the closing balance with the loan provider via a confirmation request. Recalculate the non-current liability portion and agree this with the financial statements (verifies **completeness**).
- Agree security pledged for long-term loans with supporting documentation and review the financial statement disclosures for adequacy (verifies **presentation and disclosure**).
- Inspect loan agreements for restrictive covenants and determine the effect if there has been any breach of the covenants (e.g. the loan becoming immediately repayable, which means a need to reclassify the loan from non-current to current) (verifies **allocation, classification and presentation**).

Apply and Analyse 11

Apply

During the audit of Sealand Industries' Ltd liabilities, the audit senior noticed that the company had taken out a three-year bank loan in order to fund a refurbishment of its laboratories in November 20X2. The loan is to be paid back on a monthly basis starting on 1 December 20X2 and each payment comprises repayments of both the principal amount of the loan and interest.

The audit senior has noted that non-current liabilities in the statement of financial position have, in fact, reduced compared with the prior year and current liabilities have significantly increased.

Describe the potential audit issues in respect of the treatment of the three-year bank loan and how it should be resolved.

Analysis

During the year, the company took out a three-year bank loan and the presentation of the statement of financial position indicates that this bank loan has not been correctly split between the current portion and the non-current portion in accordance with HKAS 1 *Presentation of Financial Statements*. At the reporting date, the entity must split the loan balance between the amount falling due within one year from the reporting date as a current liability and the amount falling due after more than one year from the reporting date as a non-current liability.

If this split is not done correctly, current liabilities will be overstated and non-current liabilities will be understated. This will also have an effect on liquidity ratios (e.g. the

Apply and Analyse 11 (continued)

current ratio), because it will appear that the company has more liabilities falling due within one year from the reporting date than it actually has.

The auditor should request that the loan be correctly classified between current and non-current liabilities. Once this is completed by the audit client, the auditor should recalculate the split of the current and non-current portions, having regard to the terms of the loan in the loan agreement, and agree that they have been correctly presented in the statement of financial position. The auditor should also recalculate the finance cost and ensure this has been correctly accounted for as finance costs in the statement of profit or loss, including any related finance cost accrual at year-end to ensure completeness of the liability.

► Knowledge Check Questions**Question 19**

The audit junior has enquired as to the purpose of a bank confirmation request for loans. Identify which of the following assertions a bank confirmation verifies:

- A** Completeness
- B** Classification
- C** Presentation
- D** Accuracy

7.14 CAPITAL AND RESERVES

Capital and reserves are reflected in the 'equity' section of the statement of financial position and are the residual funds which belong to the shareholders. Capital represents the amount invested by the shareholders of the business and their shares may attract *dividends* to be paid at the company's discretion (usually on ordinary shares). Capital may also be issued by the company at a higher price than its face value, which is known as a 'premium', and the equity section of the statement of financial position may include a share premium account which is where the excess of face value over proceeds is taken.

Reserves comprise the retained profits which the company has reinvested back into the business (retained earnings). In addition, the company may also have a **revaluation reserve** if they have measured any items of property, plant and equipment under the **revaluation model** permitted by HKAS 16 *Property, Plant and Equipment*.

7.14.1 Common Risks of Material Misstatement

The audit of capital and reserves is mainly concerned with the entity's compliance with legal and regulatory requirements.

Common risks of material misstatement include share capital being issued at a premium and the inclusion of the premium amount in a 'share premium account'. Please note that under the *Companies Ordinance*, companies incorporated in Hong Kong no longer have share premium.

Illustrative Example 10

On 1 January 20X2, Sealand Industries Ltd issued 20,000 shares with a par value of HK\$1 for HK\$2. The entries to record this transaction correctly in the financial statements are:

Dr Cash at bank	HK\$40,000 (20,000 shares × HK\$2 per share)	
Cr Share capital		HK\$40,000

Other common risks of material misstatement of the capital and reserves section of the statement of financial position include misstated revaluation reserves. If the entity has revalued an item of property, plant and equipment as permitted by HKAS 16, there is a risk that the entity may not have accounted for the revaluation correctly.

Illustrative Example 11

On 31 December 20X2, Sealand Industries Ltd revalued its land and buildings, which resulted in a revaluation gain of HK\$180,000. The entries to correctly record this revaluation gain in the financial statements are:

Dr Property, plant and equipment	HK\$180,000	
Cr Revaluation reserve		HK\$180,000

There is a risk that the revaluation gain has been incorrectly recorded in the financial statements. For example, the gain could be included within the statement of profit or loss rather than in equity, or the gain could have been omitted from the financial statements completely.

Another transaction which is frequently entered into between the entity and its shareholders is dividends. Dividends are a form of return on investment and are always recognised as a movement on reserves (i.e. they are not taken to the statement of profit or loss) and are reported through the statement of changes in equity. The principal audit risk where dividends are concerned is that they have been recognised in the financial statements inappropriately (i.e. they have been accrued but there is no legal obligation at the reporting date), or they have been recognised as a transaction in the statement of profit or loss rather than within equity.

A dividend can only be recognised in the financial statements if the entity has a legal obligation at the reporting date to pay the dividend to the shareholders. A legal obligation will be created when the dividend is declared by the entity. If the dividend is declared after the reporting date, then it must not be recognised as a liability; however, if it is declared prior to the reporting date and paid after the reporting date, the dividend can be recognised as a liability because the entity will then have a legal obligation.



7.14.2 Audit Procedures

For share capital:

- Agree share capital and nominal value of share capital with underlying shareholder agreements/statutory constitution documents (verifies **existence and completeness**).
- Agree the prior year amounts of share capital have been correctly brought forward during the year (verifies **completeness**).
- For share issues during the year, agree the proceeds from the share issue with the cash book and bank statements (verifies **existence and completeness**).
- For shares called up but not yet paid, agree that these have been correctly disclosed as 'Called-up share capital not paid' (verifies **presentation**).
- For shares issued at a premium, ensure the proceeds have been correctly recorded in share capital (note that under the *Companies Ordinance*, companies incorporated in Hong Kong no longer have share premium) (verifies **presentation**).
- Inspect the Board minutes to verify the issue of share capital during the year (verifies **existence**).

For reserves:

- Agree prior-year reserves have been correctly brought forward into the current year and reconcile all movements (verifies **completeness**).
- Agree movements in reserves with supporting documentation – for example, agree movements on the revaluation reserve with an independent valuation report (verifies **accuracy and completeness**).

For dividends:

- Inspect Board minutes for evidence that the dividend has been declared at, or prior to, the reporting date (verifies **rights and obligations**).
- Recalculate the dividend based on the announced dividend per share and agree the amount with the financial statements (verifies **accuracy and completeness** (of liabilities)).
- Agree the dividend with the post-year-end cash book and bank statement (verifies **completeness**).
- Review the financial statement disclosures in respect to the dividend and ensure compliance with accounting standards and local legislation (verifies **presentation**).

► Knowledge Check Questions

Question 20

Identify which of the following matters would concern the auditor in respect of a dividend:

- A** The dividend has been recorded as an item of expenditure in the financial statements.
- B** The entity has a legal or constructive obligation to pay the dividend at the reporting date.
- C** The entity has a legal obligation to pay the dividend at the reporting date.
- D** The dividend has been correctly recorded on the shareholders' tax return.

7.15 LEASES

HKFRS 16 *Leases* is a relatively new accounting standard and replaced the old HKAS 17 *Leases*. Broadly, HKFRS 16 removes the concept of 'operating leases' and hence for lessees the majority of leases will be treated as 'finance leases' with a 'right-of-use' asset recognised on the statement of financial position, together with a corresponding finance lease payable. Certain types of leases (short-term (less than 12 months) and low-value leases) can still be treated as operating leases under HKFRS 16 (although this is optional). Examples of 'low-value' leases include tablets, personal computers, small items of office furniture and telephones.

HKFRS 16 requires an entity to recognise a right-of-use asset and a lease liability at the commencement of a lease.

7.15.1 Right-of-Use Asset

The right-of-use asset is calculated as follows:

	HK\$
Value of lease liability at initial measurement	X
Plus lease payments made at or before commencement of the lease	X
Less lease incentives received	(X)
Plus initial direct costs	X
Plus an estimate of dismantling costs	<u>X</u>
Right-of-use asset per the statement of financial position	<u>X</u>

7.15.2 Lease Liability

The lease liability is recognised at the commencement of the lease at the **present value of the lease payments** which are not paid at the date of recognition. The present value of the liability is measured using the **interest rate implicit in the lease**. Hence, the lease liability is recognised as follows:

	HK\$
Fixed payments less lease incentives receivable	X
Plus variable lease payments	X
Plus amounts payable under residual value guarantees	X
Plus the exercise price of a purchase option (if reasonably expected to exercise)	X
Add penalties for early termination (if these will be incurred)	<u>X</u>
Lease liability	<u>X</u>



After initial recognition, HKFRS 16 requires the lease liability to be remeasured by:

	HK\$
Balance brought forward from prior year	X
Plus interest using the interest rate implicit in the lease	X
Minus payments made	(X)
Plus/minus remeasurement for any modifications made, or revisions to payment	X/(X)

The right-of-use asset is depreciated in line with the cost model in HKAS 16 *Property, Plant and Equipment*. Depreciation is charged until the **earlier** of:

- the end of the useful life; and
- the end of the lease term.

Apply and Analyse 12

Apply

During the audit of Sealand Industries Ltd, the audit senior came across two transactions as follows:

Personal computers

Sealand Industries had entered into a 12-month lease to rent two personal computers for use by the directors. The finance director has treated this transaction as a finance lease.

Storage facility

The company had entered into a five-year lease to rent a large secure storage facility to house its chemicals, which are considered to be highly explosive. The finance director has charged the lease rentals to the statement of profit and loss (i.e. not as a finance lease) because the company does not own the building.

Describe the audit issues in respect of the above transactions and whether any adjustment to the financial statements would be necessary.

Analysis

The personal computers would be regarded as low-value assets and given that the lease term is only 12 months, it would also be considered a short-term lease. HKFRS 16 allows an entity to treat such leases as either a finance lease or by charging the lease rentals to the statement of profit or loss on a straight-line basis over the term of the lease. The finance director has treated this lease as a finance lease which is permitted by HKFRS 16 (albeit the more complex treatment for a low-value and short-term lease), therefore no adjustment to the financial statements would be required.

The storage facility should be treated as a finance lease in accordance with HKFRS 16 and therefore adjustments to the financial statements in respect of this transaction are necessary. Regardless of the fact that the company does not own the building which

Apply and Analyse 12 (continued)

houses the explosive chemicals, the company has a 'right-of-use' the storage facility and this right-of-use asset is what must be capitalised and treated as a finance lease in accordance with HKFRS 16. The lease rentals should be removed from the statement of profit and loss; a right-of-use asset should be recognised with a corresponding finance lease payable. The right-of-use asset should be depreciated in accordance with HKAS 16 *Property, Plant and Equipment*, or from the commencement date to the earlier of the end of the useful life of the right-of-use asset (if ownership is transferred at the end of the lease) or the end of the lease term. In addition, the statement of profit or loss should recognise a finance cost in respect of the finance lease.

7.15.3 Common Audit Risks

The principal audit risk is whether an arrangement constitutes a lease under HKFRS 16. HKFRS 16 defines a lease in terms of the right to control the use of the asset for a period of time in exchange for consideration. Where an arrangement does constitute a lease, the financial statements must include a right-of-use asset and a lease liability.

Leases are likely to be material. The auditor is concerned with ensuring that the right-of-use asset has been recognised at an appropriate value in line with HKFRS 16 requirements. The risk is that the calculation of fixed/variable payments is incorrect, resulting in a misstated right-of-use asset, or additional amounts have been included in the right-of-use asset which are either incorrect or will not arise, thereby overstating the value of the right-of-use asset.

In addition, a lease liability may be correctly recognised on initial recognition, but there is a risk that incorrect accounting entries have been made during the year and that the closing lease liability is misstated. The auditor will therefore be concerned with ensuring that interest added to the lease liability during the year has been correctly calculated using the interest rate implicit in the lease, because any misstatement can also have an effect on the statement of profit or loss.

Another audit risk relates to the depreciation charged on the right-of-use asset. This could be misstated if the entity is unaware of the requirements of HKFRS 16 and HKAS 16.

HKFRS 16 requires extensive disclosures to be made in the financial statements. There is a risk that the disclosures are incomplete and do not comply with the requirements of the standard. In particular, the lease liability must be presented as an analysis to show the present value of the minimum lease payments in time bands which are appropriate (and in line with HKFRS 7 *Financial Instruments: Disclosures*).

7.15.4 Audit Procedures

- Agree prior-year finance lease liabilities with the prior year's working papers file and agree that they have been correctly brought forward into the current year (verifies **completeness**).
- Obtain a schedule of finance leases in existence at the reporting date, cast the schedule and agree the total with the general ledger and the financial statements (verifies **completeness and valuation**).



- For leases entered into during the year, obtain a copy of the leasing agreements and recalculate the right-of-use asset and lease liability and agree these totals with the general ledger (verifies **completeness and valuation**).
- Agree the depreciation charge for the right-of-use asset is in accordance with the company's declared accounting policy and HKFRS 16 and agree the charge with the statement of profit or loss (verifies **valuation**).
- Ensure the interest rate implicit in the lease is the rate which causes the present value of (A) the lease payments and (B) the unguaranteed residual value to equal the sum of (i) the fair value of the underlying asset and (ii) the initial direct costs of the lessor (verifies **valuation**).
- Repperform the calculation of the closing lease liability for a sample of leases taking the opening balance, deducting the payments made and recalculating the interest using the interest rate implicit in the lease and agree with the client's calculations (verifies **completeness and valuation**).
- Review the financial statement disclosures for compliance with HKFRS 16 and HKFRS 7 (verifies **presentation and disclosure**).

Illustrative Example 12

Sealand Industries Ltd has entered into a finance lease to lease some storage facilities for six years from 1 January 20X2. The company will make six annual instalments of HK\$900,000 and the interest rate implicit in the lease has been calculated at 5%. The right-of-use asset and finance lease liability have been correctly recognised on initial recognition at HK\$671,594 and Sealand Industries' total assets at the date of initial recognition were HK\$10 million.

The right-of-use asset was material on initial recognition at 6.7% (HK\$671,594/HK\$10 million) of total assets and so it is likely that it will be material at the end of the reporting period. While the right-of-use asset and the finance lease liability were correct at initial recognition, there is a risk that the subsequent accounting entries have caused the closing liability to be misstated. For example, the interest charge may be incorrect or the payments allocated against the liability could be incorrect. Therefore, materiality will have to be assessed against the statement of profit or loss (interest expense and depreciation).

In addition, if the entity has incurred any incremental costs in negotiating and arranging the lease (e.g. legal fees), then these will qualify for capitalisation as well (which will also need to be subsequently depreciated). There is a risk that such costs may have been written off to the statement of profit or loss inappropriately, hence non-current assets and profit are understated.

► Knowledge Check Questions

Question 21

During the year, the client has recognised a right-of-use asset acquired in a finance lease. Identify which of the following assertions would be verified by agreeing the depreciation charge for the right-of-use asset:

- A Presentation
- B Accuracy
- C Completeness
- D Rights and obligations

➤ 7.16 RELATED PARTIES

The disclosure requirements for related parties are outlined in HKAS 24 (Revised) *Related Party Disclosures*. HKAS 24 (Revised) must be applied in:

1. identifying related-party relationships and transactions;
2. identifying outstanding balances, including commitments, between an entity and its related parties;
3. identifying the circumstances in which disclosure of the items in (1) and (2) is required; and
4. determining the disclosures to be made about those items.

HKAS
24.2

HKAS 24 (Revised) requires disclosure of related-party relationships, transactions and outstanding balances, including commitments, in the consolidated and separate financial statements of a parent or investors with joint control of, or significant influence over, an investee presented in accordance with HKFRS 10 *Consolidated Financial Statements* or HKAS 27 *Separate Financial Statements*. The standard also applies to individual financial statements.

HKAS
24.3

HKAS 24 (Revised) acknowledges that the financial statements of an entity may be affected by a related-party relationship, even if no transactions between the related parties take place. The overarching objective of HKAS 24 (Revised), therefore, is to inform the users that the financial statements may be influenced by the existence of related-party relationships. For example, the company may rent premises owned by the wife of the chief executive officer of the entity and pay a significantly reduced rate of rent than would otherwise be paid by an unconnected individual. If the financial statements do not disclose this related-party relationship and transactions among those related parties, the user of the financial statements will be misled.

Apply and Analyse 13

Apply

During the audit of Sealand Industries Ltd's non-current assets, the audit senior noted a disposal of a motor vehicle to one of the directors at a heavily discounted price. The company has not made any related-party disclosure in its financial statements concerning this transaction and the finance director is reluctant to make such disclosure on the basis that it would be considered a 'sensitive' disclosure to make in the financial statements.

Explain the implications of this transaction together with the impact on the auditor's opinion if the transaction is not adequately disclosed as a related-party transaction in the financial statements.

Analysis

Transactions with directors are always considered to be material in nature and hence must be disclosed within the financial statements. The objective of related-party disclosures is to explain to the user that the financial statements may have been influenced by transactions with related parties. In this example, Sealand Industries has sold a motor vehicle to a director at a heavily discounted price. It is unlikely that the company would sell a motor vehicle at such a large discount to an unconnected third party and therefore the transaction must be disclosed as a related-party transaction.

If the finance director refuses to make such a disclosure, the auditor must modify the auditor's opinion (it is likely that a modified 'except for' opinion will be expressed in such a situation). There will also be a Basis for Modified Opinion paragraph included after the Opinion paragraph, which would explain the reasons for the auditor expressing a modified opinion.

7.16.1 Common Audit Risks

The principal audit risks are the non-disclosure of related-party transactions. Non-disclosure can arise from a deliberate failure by management to make the required disclosures or by concealing the identity of related-party transactions and/or related-party relationships from the auditor. Where the auditors discover a related-party relationship of which they were previously unaware, they must consider management's reasons for failing to disclose the related-party relationship and whether this gives rise to a fraud risk factor.

HKSA 550 *Related Parties* recognises that the nature of related-party relationships and transactions may, in some circumstances, give rise to higher risks of material misstatement of the financial statements than transactions with unrelated parties. For example:

- Related parties may operate through an extensive and complex range of relationships and structures, with a corresponding increase in the complexity of related-party transactions.
- Information systems may be ineffective at identifying or summarising transactions and outstanding balances between an entity and its related parties.
- Related-party transactions may not be conducted under normal market terms and conditions; for example, some related-party transactions may be conducted with no exchange of consideration.

Management are responsible for the identification of related-party transactions and such transactions must be properly disclosed in the financial statements. However, risks that are present for the auditor include:

- Related-party transactions could have taken place without a price being charged.
- Transactions may have taken place with a related party whom the auditors could not reasonably be expected to know is a related party.
- The corporate structure is complex.
- Management have taken steps to conceal the identity of certain related parties from the auditors (fraud risk factor).
- Related-party transactions are not evident to the auditor.

Audit risk is increased where the issue of related parties is concerned because, to a certain extent, the auditor is reliant on management's co-operation to disclose all related parties and transactions with those related parties.

Apply and Analyse 14

Apply

The audit senior has discovered several round-sum payments being transferred by bank transfer to a related party. These amounts have been treated as a loan to the related party in Sealand Industries' statement of financial position.

With the finance director's permission, the audit senior has written to the related party asking for confirmation of the loan balance outstanding in their financial statements as at the reporting date. The related party's response is that the balance is HK\$nil at the reporting date.

Explain the steps the auditor should take in respect of the confirmation response from the related party.

Analysis

A loan receivable has been recognised in Sealand Industries' financial statements in respect of the round-sum payments made to the related party. However, there does not appear to be any corresponding loan payable in the related party's books. This is indicative of a fraud risk factor. HKSA 550 recognises that in some circumstances, related-party relationships may give rise to a higher risk of material misstatement than transactions with unrelated parties.

The auditor needs to carefully consider the possibility that there may be a fraud being committed by one, or more, members of staff, management or those charged with governance of Sealand Industries. The auditor should discuss the situation with the finance director and obtain sufficient appropriate audit evidence over the finance director's responses. The auditor should make further inquiries with the related party as to why there is no corresponding loan payable and if permission to make this request is refused by management, the auditor must assess the reasonableness of the refusal and evaluate the implications of the refusal on the relevant risks of material misstatement.



Apply and Analyse 14 (continued)

If further sufficient appropriate audit evidence cannot be obtained, then the auditor must communicate the issue with those charged with governance.

Where fraud is suspected, the auditor must comply with the requirements of HKSA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements* carefully.

7.16.2 Audit Procedures

At the **risk assessment stage**, the auditor must:

- Discuss among the engagement team the susceptibility of the financial statements to material misstatement due to related parties or transactions with them.
- Inquire of management as to:
 - the identity of related parties, including any changes from the previous year;
 - the nature of the relationship between the entity and its related parties;
 - whether any transactions have taken place between the entity and its related parties during the reporting period;
 - the controls which are in place governing related parties and transactions with them (including approval of related-party transactions); and
 - what controls are in place to approve significant transactions and arrangements outside the ordinary course of business.
- Apply professional scepticism at all times throughout the course of the audit, recognising the possibility that there may be related parties or related-party transactions which the auditors may not be aware of.
- When significant transactions, outside the ordinary course of business, are discovered, discuss with management the rationale behind them and whether related parties could be involved.
- At all times share additional information obtained in connection with related parties with the rest of the audit team.

During the **audit**, the auditor must:

- Enquire of management as to whether transactions with related parties have taken place. If so, agree a sample of transactions with supporting documentation, ascertaining whether transactions have been carried out at market rates.
- Review the prior year's working papers file for details of related parties.
- Review information held on the public register for evidence of directors' involvement in any other entities.
- Review **accounting records** for any large or unusual transactions or balances, particularly around the reporting date.
- Review confirmations of loan balances – in particular, if any guarantors are related parties.

- Agree amounts disclosed in the financial statements (transactions and balances) to the accounting records and investigate any significant differences.
- Review investment transactions such as a purchase or sale in a joint venture or an associate.
- Review the entity's tax returns for any information supplied to the tax authority for evidence of the existence of any additional related parties.
- Review invoices and correspondence from lawyers/regulatory agencies for indications of the existence of related parties or related-party transactions.
- Inspect the bank confirmation letter for evidence of any related-party transactions.

If auditors suspect there are additional related parties which have not been disclosed by management, they must determine whether the information giving rise to the suspicion confirms there are related parties which were previously unknown to the auditor.

7.16.2.1 Related Parties are Discovered Which Were Previously Unknown to the Auditor

Where the auditor does identify related parties which have not been disclosed by management, the auditor must:

- Inform the rest of the audit team as quickly as possible.
- Request that management identify all transactions with those related parties.
- Inquire of management as to why the internal control environment failed to identify the related parties.
- Perform substantive procedures over the relating parties by:
 - making enquiries of third parties, such as lawyers, who may have knowledge of the related-party relationship;
 - analysing accounting records for transactions with the related parties; and
 - verifying the terms and conditions of transactions by looking at related contracts.
- Revisit the risk assessment over related parties and consider its appropriateness in light of the findings.
- If the non-disclosure of the related parties to the auditor appears to be intentional (and hence indicative of fraud), consider the implications for the audit as additional procedures will be necessary.

7.16.2.2 Related-Party Transactions Outside the Ordinary Course of Business

If the auditor identifies related-party transactions which are outside the ordinary course of business, the auditor must:

- Inspect contracts and agreements to evaluate:
 - the business rationale (or lack thereof) and whether this gives rise to a fraud risk factor;
 - whether the terms of the transactions are consistent with management's explanations; and
 - whether the transactions have been accounted for and disclosed correctly.



7.16.2.3 Related-Party Transactions Conducted at Market Rates

Where management have made an assertion that all related-party transactions were conducted on an arm's-length basis (i.e. at market rates), the auditor must:

- Obtain sufficient and appropriate audit evidence that this assertion is correct by reviewing the terms of any contract, paying particular attention to:
 - prices charged;
 - terms of credit granted;
 - specific charges; and
 - any contingencies.

7.16.2.4 Written Representations

The auditor must obtain a written representation from management and, where appropriate, those charged with governance that:

1. they have disclosed to the auditor the identity of the entity's related parties and all the related-party relationships and transactions of which they are aware; and
2. they have appropriately accounted for and disclosed such relationships and transactions in accordance with HKAS 24 (Revised).

► Knowledge Check Questions

Question 22

Identify which of the following actions would be appropriate when the auditors discover a related party which they were previously unaware of:

- A** Resign from the audit.
- B** Report the matter to the Hong Kong Institute of Certified Public Accountants.
- C** Inform the rest of the engagement team as soon as possible.
- D** Modify the auditor's opinion.

Question 23

The audit senior has concluded that there are no material misstatements in the related-party disclosures made in the financial statements. Identify which of the following the auditor must ensure is on file in respect of related-party disclosures:

- A** Confirmation from all related parties as to the value of sales and purchases during the year.
- B** Details of all transactions and balances after year-end but before the auditor's report is signed.
- C** Written confirmation from the audit engagement team that they have performed all of the procedures requested by the audit engagement partner.
- D** A written representation from management that they have disclosed all related parties to the auditor and have appropriately accounted for and disclosed them.

A large, light grey downward-pointing chevron shape. The word "SUMMARY" is written in orange capital letters across the middle of the chevron.

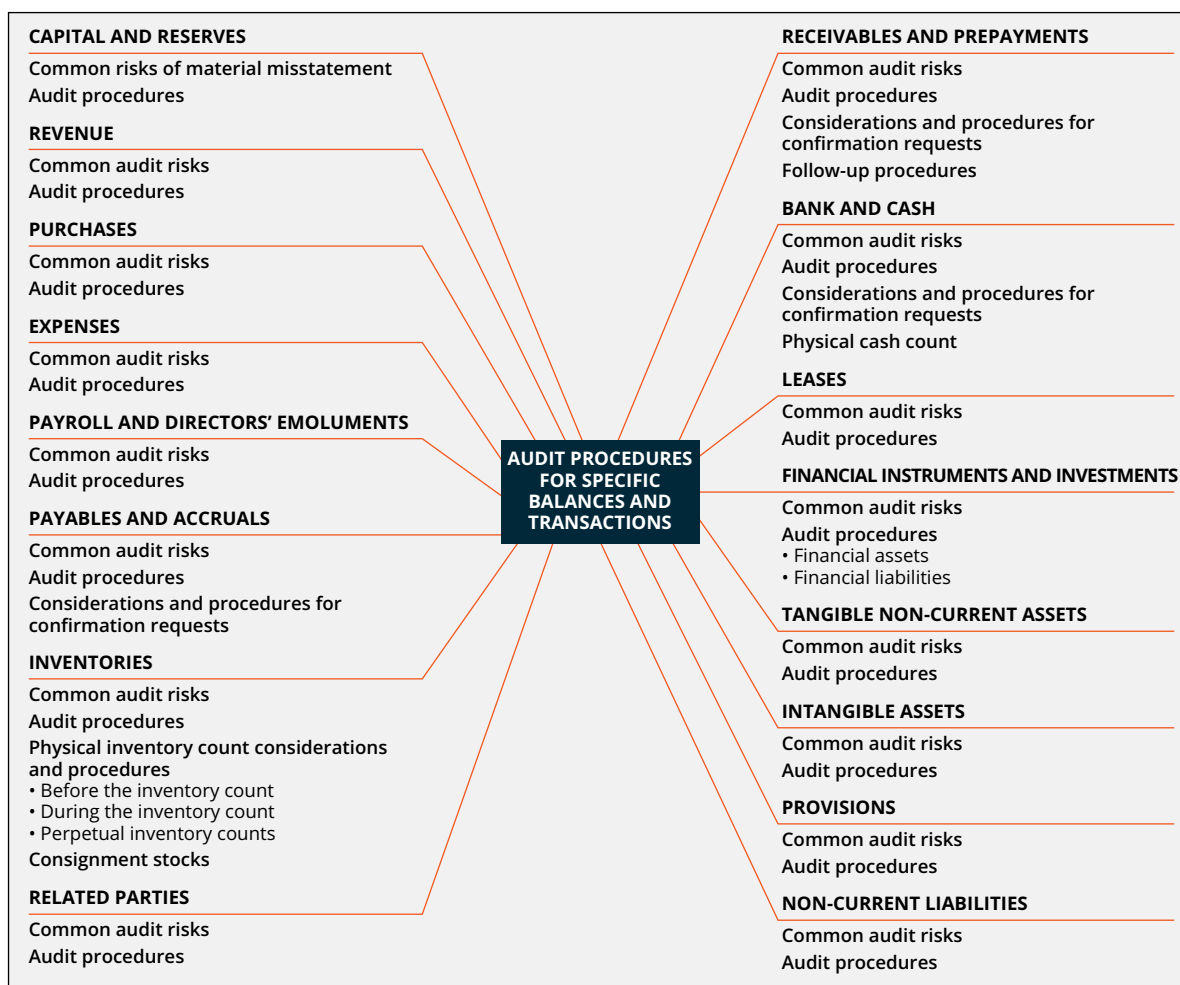
SUMMARY

This chapter has set out the various procedures which auditors must apply in order to gather sufficient and appropriate audit evidence. Keep in mind that the evidence must be both sufficient and appropriate in order that the auditor can form the opinion as to whether the financial statements give a true and fair view (or present fairly in all material respects). Audit evidence is, therefore, a critical aspect of the audit working papers file.

Audit evidence must satisfy all the relevant assertions (e.g. rights and obligations, completeness, accuracy, etc). If a procedure does not generate sufficient or appropriate audit evidence and alternative procedures do not generate sufficient or appropriate audit evidence, this may cause a limitation of scope on the work of the auditor and hence could result in the auditor modifying the auditor's opinion.

Students must be able to identify **substantive procedures** and **substantive analytical procedures** as well as **tests of control**. Chapters 3, 4 and 5 examine these types of audit evidence in more detail.

MIND MAP



► Answer to Knowledge Check Questions

Question 1

Answer A is correct because completeness and accuracy both relate to **transactions and events** and hence relate to revenue.

Answers B, C and D are incorrect because existence, rights and obligations, and valuation and allocation all relate to account balances which are in the statement of financial position.

Question 2

Answer A is incorrect because revenue that should have been recognised in 20X2 but has been recognised in 20X3 will mean the company's gross profit is lower than what it should be and hence the gross profit and gross profit margin will be lower.

Answer B is correct because purchases that should have been recognised in 20X2 but have been recognised in 20X3 will mean that cost of sales is lower than it should be and hence the gross profit margin will increase as the gross profit will be higher than it should be.

Answer C is incorrect because an understated year-end inventory valuation will mean cost of sales is higher than it should be, meaning gross profit is lower.

Answer D is incorrect because if the opening inventory has been brought forward at a higher value than it should be, cost of sales will be higher resulting in a lower gross profit.

Question 3

Answer A is incorrect because this verifies that cut-offs have been correctly applied.

Answer B is incorrect because this verifies accuracy.

Answer C is correct because agreeing a sample of purchase order to GRNs and purchase invoices through to inclusion in the day book is a test of completeness of purchases and other expenses.

Answer D is incorrect because this is a test of control rather than a substantive procedure which would address the completeness assertion.

Question 4

Answer A is correct because agreeing the year-end employment tax liability with the payroll records and tracing to a subsequent payment verifies the **occurrence** assertion.

Answer B is incorrect because selecting a sample of joiners/leavers and agreeing their start/leave date with their first/last payroll verifies **accuracy**.

Answer C is incorrect because agreeing the total payroll charge per the payroll system with the trial balance/financial statements verifies **completeness** and **presentation**.

Answer D is incorrect because agreeing individual wages with human resources records verifies **accuracy**.

Question 5

Substantive procedures over the payroll expense (any five of the following):

- Agree the total payroll expense per the payroll system with the general ledger and the financial statements.
- Cast the payroll listings to verify the accuracy of the payroll.
- Recalculate the gross and net pay for a sample of employees and agree with the payroll records.
- Reperform the calculation of statutory deductions to confirm the accuracy of the deductions and confirm they have been included in the payroll expense.
- For a sample of joiners and leavers, agree their start/leave date with supporting documentation and recalculate that their first/last pay packet was accurately calculated and recorded.
- Agree the total net pay per the payroll records with the bank transfer listing of payments and the cash book.
- Agree the individual payroll amounts with human resources records and records of hours worked.
- Perform a proof in total of the payroll expense, incorporating joiners and leavers and the annual pay increase. Compare this expectation with the actual payroll expense per the financial statements and investigate any significant differences (substantive analytical procedure).

- Compare the payroll charge for the current year against the prior year and investigate any significant differences and discuss them with management (substantive analytical procedure).

Tests of control over the payroll (any three of the following):

- Review source data (such as clock cards or time sheets) for evidence of review by a senior official to ensure that employees are only paid for hours worked.
- Review payroll reports for evidence that they have been authorised by a responsible official (this verifies adequate segregation of duties).
- Confirm that payroll master file data is only able to be changed by the human resources department and not the payroll department. This can be done by reviewing a log of amendments to payroll master file data.
- Review Board minutes for evidence that bonuses and/or annual pay increases have been agreed by the directors.
- Observe the payroll process in operation, ensuring that adequate review processes are in place (e.g. a senior member of the finance department authorises the bank transfer to employees and that the payroll is reviewed by a senior official prior to it being finalised).

Question 6

Answer A is correct because tracing inventory from the count sheets to the physical inventory verifies that inventory exists.

Answer B is incorrect because tracing inventory from the physical inventory to the count sheets verifies **completeness**.

Answer C is incorrect because inquiring if goods held on behalf of third parties are segregated from other inventory verifies **rights and obligations**.

Answer D is incorrect because performing a sequence check on the inventory count sheets is a test of control and not a substantive procedure.

Question 7

Answer A is incorrect because casting inventory valuations and agreeing the total with the financial statements are substantive procedures which verify **completeness**.

Answer B is incorrect because obtaining a breakdown of standard cost calculations and agreeing a sample with invoices ensures the standard costs are not materially different and verifies **accuracy**.

Answer C is correct because calculating gross profit margins and inventory holding periods and comparing with the prior year and investigating any significant differences are substantive analytical procedures aimed at detecting sources of material misstatements.

Answer D is incorrect because inspecting inventory for damage or obsolescence is a substantive procedure which verifies **valuation** (as inventory may need to be written down to net realisable value).

Question 8

Answer A is incorrect because it is not the job of the auditor to perform the inventory count; this is the job of the client.

Answer B is incorrect because substantive procedures over the inventory valuation will be done during the fieldwork, not during the inventory count, as the valuation will be unknown at the time of the count.

Answer C is incorrect because not all entities can stop goods inwards and outwards (especially if they operate 24 hours a day, 7 days a week).

Answer D is correct as the auditor must evaluate management's instructions and procedures for the count to ensure that they reduce the risk of material misstatement in the year-end inventory valuation.

Question 9

Answer A is incorrect because existence is verified on a sample of receivables rather than the entire population.

Answer B is correct because aged receivables days may indicate receivables days have increased, hence the need to write off some doubtful debts, therefore verifying the **valuation** of receivables.

Answer C is incorrect because rights and obligations would be verified through means such as performing a trade receivables confirmation request.

Answer D is incorrect because cut-offs relate to revenue rather than receivables.

Question 10

Answer A is incorrect because calculating the average receivables days is a substantive analytical procedure which verifies completeness and valuation.

Answer B is incorrect because the auditor cannot demand that the receivable responds; in the event of no response, alternative audit procedures must be carried out instead.

Answer C is correct because post-year-end cash receipts from the receivable can verify that the receivable existed at year-end.

Answer D is incorrect because ensuring the receivables list agrees with the financial statements verifies completeness and presentation.

Question 11

Answer A is correct because treating a payment as outstanding on the year-end bank reconciliation when it was made post-year-end would reduce the value of payables and the bank balance and is termed 'window dressing'.

Answer B is incorrect because forgetting to include the bank interest is an error which would understate the bank balance.

Answer C is incorrect because it is permissible to carry out a payment run on the reporting date; this would not constitute window dressing because it would be included in the cash book balance at year-end.

Answer D is incorrect because failing to reconcile the bank account at year-end is a control deficiency would give rise to a misstated cash book balance.

Question 12

Answer A is incorrect because the auditor cannot just accept the professional valuation at face value; further audit procedures must be carried out to obtain sufficient and appropriate audit evidence.



Answer B is correct because the auditor must ensure the professional valuer is independent of the entity and objective in the approach to the valuation to avoid any bias in the valuation.

Answer C is incorrect because there is no reason to discuss with management why they have used a professional valuation; in fact, it would be more sensible to discuss with directors if they had not used a professional valuer to value the investment.

Answer D is incorrect because the auditor cannot refer to any experts in their auditor's report (unless required by law or regulation).

Question 13

Answer A is incorrect because physical inspection **for evidence of impairment** would not test existence (although it would if the test was not specifically for impairment).

Answer B is incorrect because rights and obligations would be tested through tracing the non-current asset to an invoice/other documentation confirming the asset belongs to the company.

Answer C is incorrect because completeness would be tested by physically inspecting the asset and then agreeing it with the non-current assets register.

Answer D is correct because physically inspecting assets for evidence of impairment verifies valuation – if the asset is showing indicators of impairment, it may need writing down to recoverable amount through an impairment loss.

Question 14

Answer A is correct because a proof in total test is a reasonableness test which aims to detect a source of misstatement in the depreciation charge.

Answer B is incorrect because this is a substantive procedure ensuring that the depreciation charge is complete.

Answer C is incorrect because comparing depreciation rates for companies with the same types of assets is a substantive procedure which verifies valuation.

Answer D is incorrect because inspecting disclosure of depreciation and associated accounting policies is a substantive procedure which verifies presentation.

Question 15

Answer A is incorrect because if the accounting policy is disclosed incorrectly, this is a presentation error and would not affect the carrying amount of the intangible assets.

Answer B is correct because if amortisation is overstated, the net book value is understated and hence would be a misstatement of the carrying amount.

Answer C is incorrect because if the reconciliation of intangible assets has not been disclosed in the financial statements then this is a presentation issue and would not affect the carrying amount of the intangible assets.

Answer D is incorrect because the intangible asset would need to continue to be recognised at the reporting date; it was disposed of in the next accounting period and hence the next year's financial statements would reflect the disposal.

Question 16

Answer A is incorrect because rights and obligations would be tested through reconciling supplier statements with the purchase ledger.

Answer B is incorrect because existence would be tested through supplier statement reconciliation and agreeing the balance per the supplier statement with the purchase ledger.

Answer C is incorrect because presentation would be tested through casting the list of payables and agreeing the total with the purchase ledger.

Answer D is correct because selecting a sample of goods received notes before year-end and following through to inclusion in the year-end payables balance verifies completeness of payables and cut-off of purchases.

Question 17

Answer A is incorrect because inspecting post-year-end invoices to confirm the accrual verifies the completeness of accruals, not the balance owing to the supplier at year-end.

Answer B is correct because sending a confirmation request would indicate any difference between the balance on the purchase ledger and the balance per the supplier's sales ledger.

Answer C is incorrect because obtaining a written representation would not be appropriate when confirming a balance owing to a third party using internally generated written representations.

Answer D is incorrect because discussing the balance owed with the purchase ledger supervisor would not confirm that the balance agrees with the supplier's accounting records.

Question 18

Answer A is incorrect because a trade payable would only be used for a known amount of money owed to a supplier – it is not known whether the case will be successful or even how much will be paid (if anything).

Answer B is incorrect because it is unknown whether the case will be successful (i.e. it is not probable that there will be an outflow of economic benefit) and hence the recognition criteria for a provision are not met.

Answer C is correct because the amount claimed by the supplier is material and hence a contingent liability disclosure would be appropriate.

Answer D is incorrect because the amount claimed is material so while there cannot be a provision recognised in the financial statements as the recognition criteria are not met, a contingent liability disclosure must be made.

Question 19

Answer A is correct because a bank confirmation letter can be used to identify any loans listed which have not been included in the financial statements, hence verifying completeness.

Answer B is incorrect because classification would be verified through inspecting the split of loans between current and non-current liabilities.



Answer C is incorrect because presentation would be verified by inspecting loan covenants because if these are breached, the loan may be immediately repayable and hence should be treated as a current liability.

Answer D is incorrect because accuracy would verify the calculation of the interest charge in the statement of profit or loss and any interest accrual.

Question 20

Answer A is incorrect because dividends are not recorded as items of expenditure in the financial statements; they are a movement on reserves and hence are recorded in equity.

Answer B is incorrect because the entity cannot have a constructive obligation to pay a dividend; it has to be a legal obligation.

Answer C is correct because the entity must be legally obliged to pay the dividend at the reporting date in order to recognise the dividend in the year-end financial statements.

Answer D is incorrect because the auditor would not be concerned with the shareholders' tax return information, since notifying the tax authority of their receipt of a dividend is their responsibility and not the reporting entity's.

Question 21

Answer A is incorrect because presentation would not be affected by the recalculation of the depreciation charge.

Answer B is correct because recalculating the depreciation charge verifies the accuracy of the charge for the right-of-use asset.

Answer C is incorrect because verifying completeness would involve ensuring all leases have been correctly recognised and accounted for during the year.

Answer D is incorrect because rights and obligations would be tested by ensuring the finance lease has been correctly classified and that the lease is in the name of the client.

Question 22

Answer A is incorrect because it would be inappropriate to resign from the audit because a previously unidentified related party had been discovered. The financial statements could still give a true and fair view.

Answer B is incorrect because it would be inappropriate to report the matter to the Hong Kong Institute of Certified Public Accountants as it is not a matter for the HKICPA to deal with.

Answer C is correct because the rest of the team must be notified as soon as possible so that all the team is aware of the new related party.

Answer D is incorrect because the financial statements may already correctly disclose the related party and transactions with that related party, or the client may be willing to make such disclosures and in such a case it would be unnecessary to modify the auditor's opinion.

Question 23

Answer A is incorrect because auditors can prepare a schedule showing the value of sales and purchases during the year; they do not have to get confirmation from the related party.

Answer B is incorrect because the auditor would not be concerned with details of transactions and balances post-year-end until the next audit.

Answer C is incorrect because written confirmation from the audit team is not necessary – the work they have performed will be recorded on the audit file.

Answer D is correct because HKSA 550 *Related Parties* specifically requires the auditor to obtain a written representation from management that they have disclosed all related parties to the auditor and have properly accounted for and disclosed related-party transactions within the financial statements.

EXAM PRACTICE

QUESTION 1

You are the audit senior of Shine & Co. Certified Public Accountants carrying out the audit of Arctic Limited which has a year-end of 31 December 20X2. Arctic Limited operates 24 hours a day, 7 days a week and has a workforce of 300 people. Factory staff are required to use a swipe card to enter and leave the factory and this process is supervised to ensure that staff are not paid for hours not worked. The swipe card machine is linked directly to the payroll system and hours worked are automatically calculated from the swipe card.

The production supervisor authorises all overtime worked and overtime worked reports are reviewed by the supervisor before being sent to the payroll department. All staff are paid on a monthly basis by bank transfer. The bank transfer listing is prepared by the payroll clerk and is then reviewed by the finance director against the payroll reports prior to the finance director signing the bank transfer listing and it being sent to the bank.

- (a) Determine substantive procedures the auditor should perform over the company's payroll charge for the year.
- (b) Determine three tests of controls which the auditor should perform over the payroll cycle.

QUESTION 2

You are the audit supervisor of Pan & Co. Certified Public Accountants and are planning the attendance at the inventory count of your existing client Ling Enterprises Ltd.

- (a) Identify five tests of control which should be carried out during the attendance at the inventory count.
- (b) Identify five substantive procedures which should be carried out during the attendance at the inventory count.

QUESTION 3

You are the audit senior of Dan & Co. Certified Public Accountants auditing your existing client, Stan Ltd. A customer is suing Stan Ltd for HK\$2 million for damage to property and breach of contract.

The court case is due to take place after year-end and management believe they have a 35% chance of success. The finance director of Stan Ltd has informed you that he intends to include a provision for a liability of HK\$2 million and they are suing their contractor for the damage because it was his company that caused the damage. The finance director has said that the financial statements will also recognise a receivable of HK\$2 million in respect of the claim against their contractor.



- (a) Determine the substantive procedures which should be performed to obtain sufficient and appropriate audit evidence in respect of the above issue.
- (b) Determine any potential adjustments that may be needed to the financial statements as a result of the recognition criteria of HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets* and any implications for the auditor's opinion if these adjustments are not actioned.

QUESTION 4

You are the audit senior of Star & Co. Certified Public Accountants and are preparing the audit programmes for the forthcoming audit of your existing client, Saturn Limited, for the year ending 31 December 20X2.

The company sells goods on credit terms to approximately 2,000 customers based in Hong Kong. The audit engagement partner has asked that the audit programmes include a combination of substantive procedures and tests of control to obtain sufficient and appropriate audit evidence over the company's revenue.

- (a) Identify four substantive procedures which the audit team should carry out over the company's revenue figure.
- (b) Identify three tests of control over the sales cycle of the company.

QUESTION 5

You are the audit supervisor of Ling & Co. Certified Public Accountants and are finalising the audit programmes for receivables and prepayments for your client Cup Co. Ltd for the year ending 31 January 20X3.

The finance director has requested that this year the audit firm does not carry out a trade receivables confirmation request as this has proved inconvenient to its customers. The audit engagement partner has agreed to this request and has informed you to include further audit procedures in the audit programme which will cover the existence and valuation assertions for receivables.

- (a) Apart from a trade receivables confirmation request, determine four substantive procedures which the auditor should carry out to obtain sufficient and appropriate audit evidence over the **existence** and **valuation** of trade receivables.
- (b) Determine three substantive procedures the auditor should perform to obtain sufficient and appropriate audit evidence over the year-end prepayments.

QUESTION 6

You are the audit senior currently auditing the bank and cash balances of your client, Sundance Ltd for the year ending 31 December 20X2.

- (a) List five contents of a bank confirmation request.
- (b) Determine three tests of control the auditor should carry out over the bank and cash cycle of the business.

QUESTION 7

The financial statements of Harley Limited for the year ending 31 December 20X2 recognise additions to tangible non-current assets of HK\$100,000 and disposals of non-current assets of HK\$30,000. You are in charge of auditing the tangible non-current

assets and have been asked to devise certain audit procedures over the additions and disposals during the year.

- (a) Determine three substantive procedures over the additions to non-current assets.
- (b) Determine three tests of control over the non-current assets cycle of the business.
- (c) Determine three substantive procedures the auditor could perform over the disposals of non-current assets.
- (d) Explain what a large loss or profit on disposal of a non-current asset may mean for the company and any action the auditor may take.

QUESTION 8

You are the audit senior in charge of auditing your client's liabilities for the year ending 31 December 20X2 and this year you have carried out a trade payables confirmation request. The majority of trade payables in the sample have responded, but there have been three suppliers who have not responded.

- (a) Identify which financial assertions a trade payables confirmation covers.
- (b) Determine two further audit procedures in respect of those suppliers who have not responded to the confirmation request.

QUESTION 9

You are the audit senior for your existing client Howey Ltd and are in charge of auditing trade payables for the year ending 31 January 20X3. Last year the auditor's letter of comment highlighted a number of deficiencies over the payables cycle, including a lack of segregation of duties and review processes. The audit engagement partner wishes to ensure that trade payables are complete and has asked for a number of extra audit procedures to be carried out to ensure the completeness of trade payables in the year-end financial statements.

- (a) In respect to trade payables, explain the concept of 'window dressing' in relation to the bank cycle.
- (b) Determine six substantive procedures which address the **completeness** assertion over trade payables.

QUESTION 10

You are the audit senior of Malick Limited whose year-end is 31 January 20X3. The company has a number of related parties who are either fellow subsidiaries or companies under common control.

The audit junior has noted that the audit engagement partner has confirmed that there is a higher risk of material misstatement where related-party transactions are concerned and is unsure what she means by this comment. In addition, the audit engagement partner has also requested that audit procedures be developed at the risk assessment stage which address the specific requirements of HKSA 550 *Related Parties*, keeping in mind the high-risk nature of related parties.

- (a) Explain to the audit junior why there is a higher risk of material misstatement in respect of transactions with related parties.
- (b) Determine five audit procedures the auditor should carry out at the RISK ASSESSMENT STAGE of the audit in respect of related parties.



QUESTION 11

The audit engagement partner of Syke Limited has asked you to develop the principal audit procedures to be carried out over the company's related parties for the year ending 28 February 20X3.

The audit engagement partner has also notified you that she has held a planning meeting with the finance director of Syke Limited who appeared to be very reluctant to agree details of the related parties and this has raised concerns.

- (a) Determine five principal audit procedures which the audit team should carry out DURING the audit over the company's related parties and related-party transactions
- (b) Explain the steps to be taken where the auditor identifies related parties which have not been disclosed by management.

ANSWERS TO EXAM PRACTICE

QUESTION 1

- (a) Substantive procedures over the payroll charge for the year:
 - Agree the total salaries expense per the payroll system with the general ledger and the financial statements.
 - Cast the monthly payroll listings in order to check the accuracy of the payroll.
 - For a sample of employees, recalculate the gross and net pay and agree with the payroll records.
 - For a sample of employees, recalculate the statutory deductions made from the payroll and ensure they have been included within the payroll expense for the year.
 - Select a sample of joiners and leavers and agree their start date and leaving date with human resources records. Recalculate their first/last pay and check that it was accurately recorded in the accounting system.
 - Agree the total net pay per the payroll records with the bank transfer listings and the cash book.
 - Agree the year-end employment tax accrual with the payroll records and a post-year-end payment.
 - For a sample of employees, agree their individual salaries with human resources records and/or hours worked reports.
 - Perform a proof in total of salaries, incorporating joiners and leavers and the annual pay increase. Compare this with the actual salaries expense in the financial statements and investigate any significant differences.
 - Compare payroll expense in the current year against payroll expense in the prior year and investigate any significant differences.
- (b) Tests of control over the payroll cycle (only three required):
 - Observe staff entering and leaving the factory, ensuring they use their swipe card and that the process is adequately monitored.

- Review hours worked reports from the swipe-card machine to ensure they have been checked for accuracy by the payroll department prior to the payroll being finalised.
- For a sample of overtime worked reports, review these for evidence that the factory supervisor has authorised them (by way of signature).
- For a sample of payrolls, ensure there is evidence of a review by a senior official prior to the reports being finalised (e.g. the finance director).
- For a sample of bank transfers, agree that these have been signed by the finance director.

QUESTION 2

(a) Tests of control during the inventory count (only five required):

- Ensure that only non-warehouse staff are involved in performing the inventory count.
- Ensure that inventory is flagged as counted once it has been counted to avoid double-counting or not counting at all.
- Ensure count sheets are completed in ink rather than pencil to avoid them being tampered with later.
- Ensure there is no movement of inventory during the count unless absolutely necessary and if movements are necessary, ensure there are sufficient controls over the movements.
- Ensure the inventory count sheets run in numerical sequence so any missing or incomplete sheets are identified.
- Ensure there are two people in each team; one counting and one recording.
- Ensure the count sheets show a description of the goods but not the quantity of goods.
- Ensure that damaged and obsolete items of goods are separately identified so they can be valued appropriately.

(b) Substantive procedures during the inventory count (only five required):

- Select a sample of items from the inventory count sheets to the physical inventory to verify existence.
- Select a sample of items from physical inventory to the inventory count sheets to verify completeness.
- Inspect inventory for evidence of damage or obsolescence to verify valuation.
- Enquire of management if any inventory is being held for third parties and, if so, ensure it is segregated from other inventory and recorded separately.
- Record details of the last deliveries pre-year-end to ensure that no further amendments are made to inventory which may overstate or understate the inventory valuation.



- If any inventory is being held at third parties, attend the inventory count at those third parties where inventory is material.
- Obtain copies of the inventory count sheets at the completion of the inventory count for final checking during the detailed audit fieldwork.

QUESTION 3

(a) Substantive procedures over the legal claim and reimbursement receivable:

- Review correspondence from the customer to assess whether a present obligation as a result of a past event has taken place and also with the contractor to assess whether they accept liability for the damage caused.
- Inquire of the company's lawyers to obtain their view as to the probability of either claim being successful and the likely amounts involved.
- Review Board minutes to understand whether the directors believe that either claim will be successful or not.
- Review the post-year-end cash book to assess whether any payments have been made to the customer or whether cash has been received from the supplier.
- Review the expense accounts to ensure that appropriate costs have been included in the statement of profit or loss.
- Discuss with management why they believe a reimbursement receivable is appropriate as this is likely to be a contingent asset and should only be recognised if the receipt of cash is virtually certain. If probable, the amount should be disclosed as a contingent asset.
- Obtain a written representation confirming management's view that both cases are likely to be successful and therefore a provision for both a liability and an asset are to be included.
- Ensure that the provisions for liability and reimbursement receivable are not offset in the statement of financial position.
- Review the adequacy of the disclosures in the financial statements and ensure they comply with HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*.

(b) Potential adjustments to the financial statements:

If the provision for a liability does not meet the recognition criteria (i.e. there is no obligation as a result of a past event; or it is not probable that there will be an outflow of economic benefit to satisfy the obligation; or the obligation cannot be reliably measured) a provision for a liability cannot be recognised and hence the financial statements will have to be adjusted to remove the provision. If the provision for liability fails to meet the recognition criteria, the legal case will have to be disclosed as a contingent liability instead. The provision should therefore be reversed. If this is not done and the provision is material, liabilities will be overstated and profit understated. The auditor will have to modify the auditor's opinion accordingly (i.e. a qualified 'except for' opinion as the matter will be material but not pervasive).

A reimbursement asset can only be recognised if its receipt is **virtually certain**. If the reimbursement asset is not virtually certain, then a contingent asset must be disclosed instead. The reimbursement asset must be reversed if the recognition criteria are not met. If this is not done, assets and profit will both be overstated. The auditor will have to modify the auditor's opinion accordingly (i.e. a qualified 'except for' opinion as the matter will be material but not pervasive).

QUESTION 4

(a) Substantive procedures over revenue (only four required):

- Inspect a sample of goods despatched notes (GDNs) immediately pre- and post-year-end and ensure the sample has been recorded in the correct accounting period.
- Recalculate sales discounts for a large sample of sales invoices.
- Select a sample of customer orders and agree these with GDNs and sales invoices through to inclusion in the sales day book.
- Inspect credit notes issued post-year-end and if these relate to sales made during the reporting period, ensure the sale has been reversed.
- Compare current-year revenue against the prior year and investigate any significant differences (analytical procedure).
- Compare current-year revenue against budgets/forecasts and investigate any significant differences (analytical procedure).
- Calculate the gross profit margin for the current year; compare with the prior year and investigate any significant differences (analytical procedure).

(b) Tests of control over revenue (only three required):

- Enter a fictitious sales order into the system which takes customers over their credit limit. The system should reject it.
- Review the sales system to ensure that it only accepts sales orders which can be fulfilled. Attempt to enter an order for goods which are out of stock – the system should reject the order.
- Inspect goods despatched notes (GDNs) for evidence of being matched to invoices to ensure the invoice is raised from the GDNs and not the original order.
- Inspect a sample of sales invoices for evidence of approval by a responsible official prior to it being sent to the customer.
- Obtain a copy of the current price list and obtain confirmation that it has been authorised by a responsible official.
- Enquire of management who has authority to amend standing data in the sales system (e.g. customer discounts). Try to input a change of standing data using the user ID of an employee not authorised to make such changes, ensuring the system does not allow the change to be made.
- With the client's permission, attempt to process an invoice with a sales discount without authorisation from a responsible official. The system should reject the invoice.



- For sales orders where discounts are given, review the order for evidence of a signature approving the discount by a responsible official.

QUESTION 5

- (a) Substantive procedures over existence and valuation of receivables (only four required and must not include a trade receivables confirmation request):
- Agree the receivables ledger control account with the list of trade receivables balances.
 - Select a sample of year-end receivable balances and agree back with the goods despatched note (GDN) and sales order.
 - Inspect after-date cash receipts and follow through to pre-year-end receivables balances.
 - Select a sample of GDNs immediately pre- and post-year-end and follow through to the sales invoice to ensure the sample is recorded in the correct accounting period.
 - Inspect the aged receivables listing and identify any slow-moving balances; discuss these with the credit controller to assess if an allowance for receivables is required.
 - Inspect customer correspondence in respect of slow-moving balances to identify whether there are any invoices in dispute.
 - Inspect Board minutes for evidence of discussion among the directors of disputed receivables which may require write-down.
 - Inspect the receivables ledger for any credit balances and discuss with management whether these should be reclassified to payables.
 - Calculate average receivables days, compare with the prior year and investigate any significant differences (analytical procedure).
- (b) Substantive procedures over year-end prepayments (only three required):
- Inspect the bank statements to ensure that payment has been made.
 - Inspect relevant invoices to confirm that the payment relates to goods and/or services which have not yet been received by Cup Co. Ltd.
 - For a representative sample, recalculate the prepayment to confirm mathematical accuracy.
 - Compare prepayments with the prior year to identify any missing items or any new prepayments which may require further audit procedures (analytical procedure).

QUESTION 6

- (a) Contents of a bank confirmation request (only five required):
- company name
 - details of current, deposit, loan and other accounts
 - account description number
 - currency
 - collateral

- contingent liabilities
 - year-end date (audit confirmation date)
 - authority to disclose information date
 - contact name (usually the audit engagement partner)
 - contact details of audit firm.
- (b) Tests of control over the bank and cash cycle of the business (only three required):
- Review a sample of bank reconciliations for evidence of review by a responsible official.
 - Enquire of management who has access to the online banking system and attempt to log in to the banking system using an unauthorised staff member's login details. The system should reject access.
 - Inspect petty cash requisitions to ensure they are authorised by a responsible official.
 - Review the payments cycle to assess whether supporting documentation is presented (e.g. an invoice) before a payment is authorised.
 - Observe whether the entity's staff are following instructions of the cash count as this will help to ensure the count is complete and accurate.
 - Perform test counts to ensure procedures and internal controls are working properly.

QUESTION 7

- (a) Substantive procedures over additions to non-current assets (only three required):
- For a sample of additions, agree the cost of the additions with the purchase invoice.
 - For a sample of additions, agree the purchase invoice is in the name of the company (this verifies the rights and obligations assertion).
 - Obtain a schedule of additions to non-current assets during the year and inspect the description to confirm that they are capital in nature rather than repairs and maintenance expenses.
- (b) Tests of control over the non-current assets cycle (only three required):
- For a sample of capital expenditure during the year, review the capital expenditure requisition form and ensure it has been authorised by a responsible official.
 - Review the non-current assets register throughout the reporting period for evidence of approval by a responsible official.
 - Inspect insurance policies and compare the level of insurance cover with the value of assets to ensure the insurance is adequate.
 - Inspect management accounts/revenue expenditure lists for evidence of review by a responsible official to ensure items of a capital nature are not incorrectly written off to the statement of profit or loss.
- (c) Substantive procedures over the disposal of non-current assets (only three required):
- Recalculate the profit and loss on disposal of assets during the year and agree the amount with the trial balance/financial statements.

- Agree sales proceeds received with sundry sales invoices or the cash book/bank statement.
 - Obtain the schedule of disposals during the year; cast the list and agree that all assets disposed of have been properly removed from the non-current assets register.
- (d) *Explanation of a large profit or loss disposal.* When an entity makes a large profit or loss on disposal of a non-current asset, this may indicate that the company's chosen depreciation method is inappropriate. If a large profit has been made, it may indicate that the depreciation method is excessive (i.e. too much depreciation has been charged) or if a large loss has been made, it may indicate that the depreciation method is too long (i.e. too little depreciation has been charged). Where large profits or losses on disposal of non-current assets are made, the auditor should discuss the depreciation policies with management and/or those charged with governance to assess whether, in their opinion, the depreciation policies may need to be changed.

QUESTION 8

- (a) *Assertions covered by a trade payables confirmation request.* The assertions which are covered by a trade payables confirmation request are **completeness** and **existence**. If the trade payable confirmation request and the purchase ledger are both in agreement, the liabilities can be said to be complete and exist at the reporting date.
- (b) Two further audit procedures in respect of non-responses to a trade payables confirmation request:
- Follow-up the non-response with a reminder letter or telephone call (with the client's permission).
 - Perform post-year-end cash payments testing by tracing the year-end payable balance to post-year-end payments.

QUESTION 9

- (c) *Window dressing.* The concept of window dressing in respect of trade payables means that a payment made immediately after the reporting date is included as an unpresented payment on the year-end bank reconciliation. This has the effect of reducing a positive bank balance (or increasing a bank overdraft) and reducing the value of the company's trade payables.

This can seriously distort the financial position presented in the financial statements – particularly where the company's bank account is an asset at year-end – because the statement of financial position will show understated liabilities and will not reflect a true year-end position.

- (d) Substantive procedures over the completeness of trade payables (only six required):
- Obtain the trade payables listing from the purchase ledger, cast the list to ensure mathematical accuracy and agree with the general ledger and financial statements.
 - Reconcile the total of the payables ledger control with the list of trade payables.
 - Obtain supplier statements and reconcile these with the payables ledger balances, investigating any significant reconciling items.

- Inspect post-year-end payments and if they relate to the current year, follow through to the purchase ledger.
- Select a sample of goods received notes pre-year-end and follow through to inclusion in the year-end payables balances.
- Select a sample of payables balances and carry out a trade receivables confirmation; follow up any non-replies and any reconciling items.
- Inspect the payables ledger for any debit balances and discuss with management whether these should be reclassified to receivables.
- Compare the list of trade payables against the prior year and investigate any significant differences (analytical procedure).
- Calculate average trade payables days and compare with prior years; investigate any significant differences (analytical procedure).

QUESTION 10

- (a) *Reasons why there is a higher risk of material misstatement in respect of related parties.*

HKSA 550 *Related Parties* recognises that the nature of related-party relationships and transactions may, in some circumstances, give rise to higher risks of material misstatement of the financial statements than transactions with unrelated parties. For example:

- Related parties may operate through an extensive and complex range of relationships and structures, with a corresponding increase in the complexity of related-party transactions.
- Information systems may be ineffective at identifying or summarising transactions and outstanding balances between an entity and its related parties.
- Related-party transactions may not be conducted under normal market terms and conditions; for example, some related-party transactions may be conducted with no exchange of consideration.

HKSA
550.2

- (b) Audit procedures which the auditor should carry out at the RISK ASSESSMENT STAGE in respect of related parties (only five required):

- Discuss among the engagement team the susceptibility of the financial statements to material misstatement due to related parties or transactions with them.
- Inquire of management as to:
 - the identity of related parties, including any changes from the previous year;
 - the nature of the relationship between the entity and its related parties;
 - whether any transactions have taken place between the entity and its related parties during the reporting period;
 - the controls which are in place governing related parties and transactions with them (including approval of related-party transactions); and
 - what controls are in place to approve significant transactions and arrangements outside the ordinary course of business.



- Apply professional scepticism at all times throughout the course of the audit, recognising the possibility that there may be related parties or related-party transactions which the auditors may not be aware of.
- When significant transactions, outside the ordinary course of business, are discovered, discuss with management the rationale behind them and whether related parties could be involved.
- At all times share additional information obtained in connection with related parties with the rest of the audit team.

QUESTION 11

- (a) Audit procedures to be carried out DURING the audit over related parties and related-party transactions (only five required):
- Enquire of management as to whether transactions with related parties have taken place. If so, agree a sample of transactions with supporting documentation, ascertaining whether transactions have been carried out at market rates.
 - Review the prior year's working papers file for details of related parties.
 - Review information held on the public register for evidence of directors' involvement in any other entities.
 - Review accounting records for any large or unusual transactions or balances, particularly around the reporting date.
 - Review confirmations of loan balances – in particular, if any guarantors are related parties.
 - Agree amounts disclosed in the financial statements (transactions and balances) with the accounting records and investigate any significant differences.
 - Review investment transactions such as a purchase or sale in a joint venture or an associate.
 - Review the entity's tax returns for any information supplied to the tax authority for evidence of the existence of any additional related parties.
 - Review invoices and correspondence from lawyers/regulatory agencies for indications of the existence of related parties or related-party transactions.
 - Inspect the bank confirmation letter for evidence of any related-party transactions.
- (b) *Steps to be taken when the auditor identifies related parties which have not been disclosed by management.* Where the auditor does identify related parties which have not been disclosed by management, the auditor must:
- Inform the rest of the audit team as quickly as possible.
 - Request that management identify all transactions with those related parties.
 - Inquire of management as to why the internal control environment failed to identify the related parties.

- Perform substantive procedures over the related parties by:
 - making enquiries of third parties, such as lawyers, who may have knowledge of the related-party relationship;
 - analysing accounting records for transactions with the related parties; and
 - verifying the terms and conditions of transactions by looking at related contracts.
- Revisit the risk assessment over related parties and consider its appropriateness in light of the findings.
- If the non-disclosure of the related parties to the auditor appears to be intentional (and hence indicative of fraud), consider the implications for the audit as additional procedures will be necessary.

8

Major Actions During the Audit Completion

CHAPTER TOPIC LIST

8.1 Audit Completion

- 8.1.1 Sufficient Appropriate Audit Evidence
- 8.1.2 Evaluating Audit Evidence

8.2 Final Overall Review of Financial Statements

- 8.2.1 Audit of Financial Statement Disclosures
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8.3 Going Concern

- 8.3.1 Auditor's Objectives
- 8.3.2 Requirements
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8.4 Contingent Liabilities and Commitments

- 8.4.1 Auditor's Objectives
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8.5 Subsequent Events

- 8.5.1 Auditor's Objectives
- 8.5.2 Types of Subsequent Events
- 8.5.3 Subsequent Events Review Procedures

8.6 Evaluation of Misstatements

- 8.6.1 Auditor's Objectives
- 8.6.2 Current-Year Misstatements
- 8.6.3 Prior-Year Misstatements
- 8.6.4 Qualitative and Quantitative Considerations for Misstatements
- 8.6.5 Evaluating the Effect of Uncorrected Misstatements

8.7 Written Representations

- 8.7.1 Auditor's Objectives
- 8.7.2 Requirements of the Written Representation Letter
- 8.7.3 List of HKSA's Containing Requirements for Written Representations

8.8 Communication with Those Charged with Governance

- 8.8.1 Auditor's Responsibilities
- 8.8.2 Audit Matters of Governance Interest
- 8.8.3 Documentation Considerations of the Communications

8.9 Related Parties

- 8.9.1 Definition of a Related Party



LEARNING OUTCOMES

PRINCIPAL LO4: APPLY AUDIT PROCEDURES TO AN AUDIT

LO4.04: Illustrate major actions involved during the completion of an audit

4.04.01 Illustrate a review for contingent liabilities and commitments

4.04.03 Illustrate a review for subsequent events

4.04.04 Illustrate a final overall review of financial statements

4.04.05 Explain the going concern assumption and describe the disclosure requirements and reporting implications of going concern findings

4.04.06 Describe the purpose and importance of obtaining management representation letter

4.04.07 Summarise the overall audit results by integrating all the audit evidences

4.04.08 Explain the significance of uncorrected misstatements and describe the effect of uncorrected misstatements

4.04.09 Describe the purpose and importance of communicating with those charged with corporate governance

4.04.10 Describe the auditor's responsibilities when facts affecting the auditor's report are discovered subsequent to its issuance

4.04.11 Describe the procedures required to identify related parties



OPENING CASE

AUDIT OF WONG FU BANK INTERNATIONAL

Quality auditor ('Quality') is a firm of certified public accountants (practising) registered with the Hong Kong Institute of Certified Practicing Accountants (HKICPA). Quality has been undertaking the audit of Wong Fu Bank International ('Wong Fu'), a publicly listed financial institution on the Hong Kong Stock Exchange (HKEX), for some years.

Wong Fu engages in retail banking, wealth management, commercial banking and global banking and is seeking to also move into the insurance sector, as many other banks have done to obtain lucrative returns on their investments. Wong Fu has invested heavily in its digital banking platforms to ensure the bank is seen as a market leader in its offerings to its customers.

In the last couple of years, Wong Fu has incurred collectively assessed impairment charges against its credit card and personal loan portfolios. Wong Fu's focus in recent times has been directed towards small to medium-sized enterprises (SMEs) and growing their share in that market. Wong Fu would have guarantees and irrevocable letters of credit pledged as collateral security.

Quality recognises the complex environment in which financial institutions operate and has specialist banking and finance professionals assigned to the audit of Wong Fu to ensure that the audit risks are identified and that the skills needed to mitigate those risks to an acceptable level to Quality are applied.

The current year's audit, for the year ended 31 December 20X1, is coming to its conclusion and the audit partner, Jackie Ling, has asked her team for a meeting to discuss the audit progress and how the audit team intends to bring the audit to its completion. (Note that this audit process does not cover any of the compliance audits required of the banking and insurance industries in Hong Kong.)

The agenda for this meeting is set out below:

AGENDA



Audit Completion Meeting – Wong Fu Bank International

Date: 20 March 20X2; at 10.00am – Hong Kong Office, Queens Road, Central

Present at Meeting: Jackie Ling – audit partner; Nicky Lam – audit manager; Lei Leung – audit manager; Manchu Kang – audit supervisor

Agenda item	Issues identified	Actions required
Outcomes from the going concern assessment	There have been some significant compliance issues with Wong Fu's lending departments.	Full assessment to be completed as part of the completion stages by Nicky Lam in conjunction with Jackie Ling.
Evaluation of adjusted and non-adjusted errors identified throughout the audit process	Wong Fu has been very resistant to discussing the errors identified by the audit team this year.	Lei Leung to discuss with Jackie Ling, with the aim of having a further discussion with those charged with governance on the likely implications for the auditor's opinion of the errors if not adjusted in the financial statements.
Draft financial statements	The first draft of the financial statements has been received (230 pages in length). Historically there have been substantial omissions and errors in the drafts presented to Quality.	Manchu Kang to do the first review of the financial statements; then Nicky Lam will complete the second review. The team needs to determine when the firm's technical department should become involved in the completion process. That department has assisted on a number of possible reporting issues during the period.
Contingent liabilities assessment	It has been noted in the current year that the guarantees pledged by Wong Fu have increased considerably and a number of legal matters remain unresolved at year-end.	Lei Leung needs to look into the areas identified and determine that all contingent liabilities have been identified and the disclosures in the financial statements are appropriate.
Other commitments	From the review of the minutes of Board meetings, Quality has identified that Wong Fu has committed to constructing a second building at North Point. Wong Fu also has a substantial number of operating leases.	Manchu Kang is to collect audit evidence for other commitments and ensure that the appropriate disclosures have been made.
Subsequent events	Outstanding: Jackie Ling is aware of a significant development post-year-end that she will discuss further with the audit team when she finds out the details from Board members of Wong Fu.	Jackie Ling to follow up with the audit team.



OVERVIEW

The completion stage of an audit is of crucial importance. It is during this stage that the auditor sits back and reflects on the status of the audit and aligns the conclusions obtained to date with thinking about the auditor's opinion that may be released.

Before continuing with this chapter, you are encouraged to reflect on the earlier phases of the audit process already outlined in Chapters 1–7 of this module. The completion phase of the audit brings together all the learning you have achieved in the previous chapters.

This chapter will introduce you to a number of the HKICPA auditing standards and will return you to some of the standards you have already looked at during this module.

The audit procedures commonly undertaken at the completion stage of the audit include the following, which will be explored in depth in this chapter:

- final overall review of the financial statements
- completion of the going concern assessment
- determination of contingent liabilities and commitments
- review of subsequent events
- evaluation of misstatements (and the likely impact where the misstatements are material and management doesn't want to make the changes)
- the written representations that auditors need to obtain
- required communications with those charged with governance
- identification of related parties.



8.1 AUDIT COMPLETION

The auditor is responsible for drawing conclusions based on the audit work completed up to the completion phase of the audit.

8.1.1 Sufficient Appropriate Audit Evidence

There is a term that is used frequently in the world of auditing, by regulators and other reviewers of an auditor's work. They look for documentation of the auditor having gained 'sufficient appropriate audit evidence' and take the view that if such evidence was not documented, then it was not obtained. This stance can lead to severe conclusions about the quality of the audit. We are going to explore the nature of such evidence here.

HKSA 500 *Audit Evidence* paragraph 5(c) defines 'Audit evidence' as 'information used by the auditor in arriving at the conclusions on which the auditor's opinion is based. Audit evidence includes both information contained in the accounting records underlying the financial statements and information from other sources'. Paragraph 5(f) defines sufficiency as 'the measure of the quantity of audit evidence. The quantity of the audit evidence needed is affected by the auditor's assessment of the risks of material misstatement and also by the quality of such audit evidence'. Paragraph 5(b) defines appropriateness as 'The measure of the quality of audit evidence; that is, its relevance and its reliability in providing support for the conclusions on which the auditor's opinion is based'.

What does this mean in practice though?

If you consider a bucket as a repository for audit evidence and water represents audit evidence, how much clean water does an auditor need in the bucket to be happy that for a certain area and for the appropriate audit assertions (see Chapter 3), there is sufficient appropriate audit evidence to reduce detection risk (see Chapter 4) to an acceptable level? This is a complex question and in practice the answer will vary considerably. The overall objective of the auditor is to be very efficient in obtaining water by obtaining only the audit evidence necessary to be satisfied that detection risk is at an acceptable level. This process is cumulative in nature over the entire audit process.

Some of the key elements that will contribute to the sufficiency and quality of audit evidence are:

- Source of evidence – external. Externally and independently derived audit evidence, in most cases, has a greater level of credibility and effectiveness than internally generated evidence. This evidence usually takes the form of confirmations, expert reports, analysts' reports and benchmarking data. These sources will either act as primary evidence or serve to corroborate management's assertions. This source of evidence in most cases would result in a 'smaller amount of water' needing to be collected.
- Source of evidence – internal. Audit evidence derived from the entity's accounting records and its controls. Inter-relationships between internally sourced data can provide a degree of corroboration.
- How the audit evidence was obtained and evaluated – inspection, observation, recalculation, reperformance, analytical procedures and inquiry can be applied, when appropriate, to the circumstances.
- Relevance to the risks and assertions being audited – logical connection needs to be achieved between the evidence gathered and the risks and assertions being considered.

So, as portrayed above, auditors at the completion stage of the audit are determining whether or not they are satisfied that each bucket (aspect of the audit) has the right quality and level of clean water (sufficient and appropriate audit evidence) in it.

While HKSA 500 is the primary auditing standard governing the requirements of audit evidence, other standards such as HKSA 540 (Revised) *Auditing Accounting Estimates and Related Disclosures* contain specific requirements to apply HKSA 500 when obtaining audit evidence over the entity's accounting estimates and related disclosures.



Apply and Analyse 1

Apply

When Nicky Lam, an audit manager of the Wong Fu audit, was discussing with Manchu Kang the audit evidence he had obtained in relation to the creditors balance of HK\$40 million at 31 December 20X1 (a material balance, with some significant balances making up the total and with a medium inherent risk rating over the relevant assertions), Manchu explained the following:

1. He had completed the lead schedule summarising the balances and had obtained an explanation from the accountant as to the reasons for the movements in balances between the years and documented what the accountant had said on the lead sheet.
2. A copy of the creditors reconciliation was obtained and agreed with the subsidiary ledger, and Manchu confirmed it had been reviewed by a more senior accountant.
3. Manchu then conducted audit sampling by randomly choosing 10 creditors from the creditors' subsidiary ledger totalling HK\$9 million. He agreed the creditors balances with the original invoices and found no exceptions.

Analyse if Manchu has obtained sufficient appropriate audit evidence in relation to the creditor's balance.

Analysis

Nicky Lam would have concluded fairly quickly that Manchu had not obtained sufficient appropriate audit evidence to reduce the risk of material misstatement. (To simplify the analysis, the fact that controls in the context of a bank are critical to achieve audit comfort has been excluded.) The level of testing is far too low to support a conclusion about the population from which the sample was drawn. Manchu should have considered non-statistical sampling of the largest creditor balances with external confirmations as his first step and then used audit sampling for the rest of the creditor population to a level appropriate to the level of audit risk remaining. There is no evidence from what Manchu has said in relation to whether he tested for completeness, and whether he had considered how the cut-off for creditors had been applied.

8.1.2 Evaluating Audit Evidence

The engagement partner is responsible for the direction and supervision of the members of the engagement team and reviewing their work. This is the basic quality management objective of HKSA 220 (Revised) *Quality Management for an Audit of Financial Statements* and serves to ensure that sufficient appropriate audit evidence has been obtained in respect of transactions and events, balances and disclosures included in the financial statements. Note, HKSA 220 (Revised) was issued in April 2021 and will be effective on 15 December 2022 which makes it an examinable document.

HKSA
220.29–34

When evaluating audit evidence, consideration should be given to ensuring the following:

- The work has been performed in accordance with the relevant professional standards and the legal and regulatory requirements of Hong Kong.
- The risks identified during the planning process have been appropriately addressed throughout the audit.
- Having designed and performed audit procedures to verify assertions in the financial statements, the outcome of the procedures constituted relevant and reliable audit evidence that is capable of supporting the auditor's opinion.
- Any significant matters identified have been addressed appropriately and the matter and outcomes have been documented appropriately.
- The work performed supports the conclusions reached and has been appropriately documented.
- Where a reviewer evaluated that further audit work needed to be completed, the nature and extent of further work was documented and subjected to a follow-up review.
- Appropriate consultations had taken place and the outcomes were implemented and supported by documentation.

During the completion phase of the audit, it is critical that an engagement partner is satisfied that the accumulation of audit evidence through the audit process supports the proposed opinion of the auditor.

The Code of Ethics has been revised to address requirements in respect of the objectivity of an engagement quality reviewer and other appropriate reviewers. An 'appropriate reviewer' is a professional with the necessary knowledge, skills, experience and authority to review, in an objective manner, the relevant work performed or service provided. Such an individual may be a professional accountant.

Section 300 of the COE provides examples of threats that may be created for the engagement quality reviewer as follows:

Self-interest threats	• A professional accountant having a direct financial interest in a client. • A professional accountant quoting a low fee to obtain a new engagement and the fee is so low that it might be difficult to perform the professional service in accordance with applicable technical and professional standards for that price. • A professional accountant having access to confidential information that might be used for personal gain. • A professional accountant discovering a significant error when evaluating the results of a previous professional service performed by a member of the accountant's firm.
Self-review threats	• A professional accountant issuing an assurance report on the effectiveness of the operation of financial systems after implementing the systems. • A professional accountant having prepared the original data used to generate records that are the subject matter of the assurance engagement.



Advocacy threats	• A professional accountant promoting the interests of, or shares in, a client. • A professional accountant acting as an advocate on behalf of a client in litigation or disputes with third parties. • A professional accountant lobbying in favour of legislation on behalf of a client.
Familiarity threats	• A professional accountant having a close or immediate family member who is a director or officer of the client. • A director or officer of the client or an employee in a position to exert significant influence over the subject matter of the engagement, having recently served as the engagement partner. • An audit team member having a long association with the audit client. • An individual who is being considered to serve as an appropriate reviewer, as a safeguard to address a threat, having a close relationship with an individual who performed the work.
Intimidation threats	• A professional accountant being threatened with dismissal from a client engagement or the firm because of a disagreement about a professional matter. • A professional accountant feeling pressured to agree with the judgment of a client because the client has more expertise on the matter in question. • A professional accountant being informed that a planned promotion will not occur unless the accountant agrees with an inappropriate accounting treatment. • A professional accountant having accepted a significant gift from a client and being threatened that acceptance of this gift will be made public.

COE, para
300.6 A1

Paragraph 300.8 A2 then goes on to provide examples of factors that in certain circumstances may be safeguards to the above threats, including:

- Assigning additional time and qualified personnel to required tasks when an engagement has been accepted that might address a self-interest threat.
- Having an appropriate reviewer who was not a member of the team review the work performed or advise as necessary might address a self-review threat.
- Using different partners and engagement teams with separate reporting lines for the provision of non-assurance services to an assurance client might address self-review, advocacy or familiarity threats.
- Involving another firm to perform or re-perform part of the engagement might address self-interest, self-review, advocacy, familiarity or intimidation threats.
- Disclosing to clients any referral fees or commission arrangements received for recommending services or products might address a self-interest threat.
- Separating teams when dealing with matters of a confidential nature might address a self-interest threat.

In terms of threats to an engagement quality reviewer, the COE provides examples of the following types of threats:

Self-interest threat	Two engagement partners each serving as an engagement quality reviewer for the other's engagement.
Self-review threat	An accountant serving as an engagement quality reviewer on an audit engagement after previously serving as the engagement partner.
Familiarity threat	An accountant serving as an engagement quality reviewer has a close relationship with or is an immediate family member of another individual who is involved in the engagement.
Intimidation threat	An accountant serving as an engagement quality reviewer for an engagement has a direct reporting line to the partner responsible for the engagement.

Whenever a threat is discovered, it must be safeguarded against. If the threat cannot be mitigated to an acceptably low level, the engagement quality review must be carried out by another person.

Ethics in Practice

The auditor must always exercise professional competence, due care and professional behaviour [as defined in Section 110 – subsection 113 and 115 of the COE]. This can be challenging as the audit process comes to completion and the auditor's report deadline looms. To ensure that the ethical principles of professional competence, due care and professional behaviour are met, the auditor must not be tempted to take 'shortcuts' in completing the audit, in line with the relevant professional standards and the legal and regulatory requirements of Hong Kong.

The accumulation of sufficient appropriate audit evidence throughout the audit process, and the continued evaluation of where in the audit continuum the audit is right through to completion are key to the auditor concluding on the auditor's opinion.

► Knowledge Check Questions

Question 1

Identify which of the following would not be a key consideration when evaluating audit evidence at the completion stage.

- A** The reliability of the audit evidence obtained.
- B** The timing of the audit testing.
- C** The relevance of the evidence obtained to forming the auditor's opinion.
- D** The accumulation of audit evidence in accordance with HKSAs.



8.2 FINAL OVERALL REVIEW OF FINANCIAL STATEMENTS

8.2.1 Audit of Financial Statement Disclosures

The objective of the auditor is to express an opinion on the financial statements as a whole. This includes the notes to the financial statements which are an integral part of those statements, providing additional information on balances and transactions and other relevant information.

When the first draft of the financial statements is given to the auditor, it normally includes the statement of financial position, the statement of profit and loss, statement of cash flows and when appropriate other comprehensive income and the statement of changes in equity and the basic note disclosures such as details of cash in bank, receivables and property, plant and equipment. The more complex disclosures are often left until late in the audit cycle. On this basis, the first step should be to ensure that the financial statements replicate the numbers that have been audited and documented in the audit file. This will normally be, in the first instance, the aggregated quantitative totals and then the disaggregated quantitative totals. In basic terms, this means cross-referencing the financial statements to the audit file.

Generally speaking, the level of audit procedures that have been applied over financial statement presentation and disclosures has been the subject of much focus by regulators and the International Auditing and Assurance Standards Board (IAASB). Both have been concerned that the level of audit is inconsistent, meaning that financial statement presentation and disclosures in cases do not satisfy accounting standard disclosure requirements. The auditor must carefully review the financial statement disclosures for completeness and accuracy and ensure compliance with HKFRSs issued by the HKICPA, and that they are in compliance with the *Companies Ordinance* (Cap.622) when applicable. Often the auditor will use a disclosure checklist to check the disclosure requirements are adequate.

The auditor should consider the following key points when auditing financial statement disclosures:

Disclosures of amounts (quantitative disclosures)

- Disaggregated information that has been subject to management judgement – for example, operating leases, financial instruments and financial assets designated at fair value.
- Segment reporting of revenues, profit and certain other items.
- The amounts of related-party transactions.
- Summarised financial information in relation to associates and joint ventures.

Disclosures of related information, including qualitative disclosures

- Descriptions of significant accounting policies and critical accounting estimates, including note disclosure when there has been any change in accounting policies or critical accounting estimates.
- Information about the identity of related parties.
- Description of the basis for impairment losses recognised in the financial statements.

- Information about application of the going concern assumption when appropriate.
- Information about the circumstances leading to contingent liability disclosures.

Judgement is needed to help determine whether qualitative disclosures are material or not.

The auditor should also focus on instances in which management has proposed providing excessive disclosure, sometimes of immaterial matters and sometimes covering matters more appropriately dealt with in the annual report outside of the financial statements or elsewhere. Excessive disclosures can make it difficult for the readers of the financial statements to focus on the important matters.

The auditor must, as part of the planning phase of the audit process, remind management of their responsibility to make available information related to financial statement disclosures, as early as possible so that audit procedures can be applied in the same way as for classes of transactions, events and account balances. Early consideration should also be given to matters such as significant new or revised disclosures.

There is help relating to the audit of financial statement disclosures, including:

- Illustrative financial reports and disclosure checklists – HKICPA provides support at its website: www.hkicpa.org.hk
- Larger member firms of HKICPA may have internal financial reporting technical experts available to audit engagement teams to help navigate some of the more technical accounting and disclosure issues.

Apply and Analyse 2

Apply

Manchu Kang has been assigned the first level of review of the financial statements of Wong Fu for the year ending 31 December 20X1. Manchu is aware of the complexities of the financial statements of a bank and the first draft presented to him has 230 pages. Manchu is also alert to the fact that Quality has a consultation policy which requires mandatory consultation with its technical department for financial statements of all banks and financial institutions.

Explain the procedures that Manchu should perform in order to complete the first level of review.

Analysis

Manchu would need to start the review process as early as possible; it is still likely that his role would include referencing what he could from the financial statements back into the audit file. It would also be likely that he would make sure that the balances add up and cross reference to the note disclosures. Manchu should involve Nicky Lam in line with what was agreed in the audit completion meeting as early as possible, as the disaggregated quantitative and qualitative disclosures will be significant. The technical department of Quality will also need to be placed on notice so their review and clearance are given at the appropriate time.

8.2.2 Perform Final Analytical Procedures

During the completion stage of the audit, final analytical procedures must be conducted in line with HKSA 520 *Analytical Procedures*. One of the objectives of the auditor in complying with HKSA 520 is to design and perform analytical procedures near the end of the audit that assist in forming

an overall conclusion as to whether the financial statements as a whole are consistent with the auditor's understanding derived from conducting the audit during the current period.

The analytical procedures carried out at this stage of the audit are similar to those performed as the risk assessment procedures at the planning stage in Chapter 4. The auditor should perform ratio analysis, comparisons with the prior-period financial statements and look for the trends that are expected based on the knowledge obtained throughout the audit process (and the expectations built as a result of the economic and business environment the business operates in). These procedures should be designed to highlight unusual transactions and balances that may indicate a risk of material misstatement. Taken together, if the auditor is unable to explain – by reference to audit procedures undertaken throughout the entire audit process – any of the issues that have been highlighted by the analytical procedures, the reasonableness of the financial statements as a whole should be questioned.

When analytical procedures performed near the completion of the audit uncover further, previously unrecognised risks of material misstatement, the auditor is required to revise the previously assessed risk of material misstatement and modify the planned audit response appropriately. This could result in the auditor having to perform further audit procedures in relation to matters that have been identified as having a higher risk.

When conducting the final overall review of financial statements, the auditor is standing back and reconciling the knowledge obtained up to the completion stage with the disclosures in the financial statements and ensuring that the risk of material misstatement has been reduced to an acceptable level.

► Knowledge Check Questions

Question 2

Identify which one of the following would not normally be a quantitative consideration when auditing financial statements:

- A Lease commitments
- B Basis for impairment losses
- C Segment reporting
- D Financial disclosures for associates

Question 3

Identify which of the following should always be conducted by the auditor when conducting the final overall review of financial statements:

- A Substantive analytical procedures over the financial statement disclosures.
- B Ensure the firm's technical division is consulted.
- C Obtain the note disclosures only near the date of the auditor's opinion to ensure completeness.
- D Ensure disclosures comply with HKFRS that are material to the company.

Question 4

State the key factors that should be taken into consideration when conducting the final overall review of financial statements.

8.3 GOING CONCERN

HKAS
1.25–26

Note that the overarching responsibility for the assessment of an entity's ability to continue as a going concern is that of management. Specifically, Hong Kong Accounting Standard (HKAS) 1 *Presentation of Financial Statements* requires management to make an assessment of an entity's ability to continue as a going concern. Directors in certain circumstances are required under the *Companies Ordinance* (Cap.622) to make a solvency statement (confirming that debts can be met as and when they fall due).

It should be noted that the going concern assessment undertaken for financial reporting purposes is not intended to provide a guarantee that the entity will remain a going concern for 12 months from the date of the current financial statements. The assessment is based on what is known at the date of the financial statements.

8.3.1 Auditor's Objectives

HKSA
570.9

HKSA 570 (Revised) *Going Concern* sets out that under a going concern basis of accounting, the financial statements are prepared on the assumption that the entity is a going concern and will be able to pay its debts as and when they fall due. Alternatively, but relatively rarely, management may state in the financial statements their intention to liquidate the entity or cease operations. More problematical are the circumstances in which management is hoping and planning to continue, but the risks of this not being so are becoming quite material.

To this end, the objectives of the auditor are to:

- Obtain sufficient appropriate audit evidence regarding the appropriateness of the management's use of the going concern basis of accounting in the preparation of the financial statements.
- Conclude on whether a material uncertainty exists based on audit evidence obtained related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern.
- Draw conclusions and form an auditor's opinion based on the requirements of HKSA 570 (Revised).

8.3.2 Requirements

HKSA 570 (Revised) notes that the going concern assessment is made at the date of the financial statements and takes into account the relevant facts and circumstances known at that date; therefore, judgements need to be made by both management and the auditor.



HKSA
570.9–16

HKSA 570 (Revised) sets out four key requirements for the auditor in undertaking a going concern assessment. These are:

1. Risk assessment procedures and related activities.
2. Evaluating management's assessment.
3. Period beyond management's assessment.
4. Additional audit procedures.

HKSA
570.10–11

8.3.2.1 Risk Assessment Procedures and Related Activities

The auditor needs to consider going concern at the early stages of the audit, in particular when performing the risk assessment procedures required under HKSA 315 (Revised 2019) Identifying and Assessing the Risks of Material Misstatement. This assessment should extend to considering whether there are events or conditions in existence that may cast significant doubt on the going concern basis of accounting. This assessment will normally be based on the auditor's knowledge of the industry, the history of the entity itself, a review of draft financial statements or trial balance, and known events from the current period and the post-balance-date period.

It is the auditor's responsibility to discuss the concerns with management and determine the level of risk such that the response to the risk can be planned and performed in line with HKSA 330 *The Auditor's Responses to Assessed Risks*.

The auditor will look for relationships between amounts that indicate risk. The auditor will consider not only the absolute amounts involved, but also the trends in those amounts. Some warning signs that are commonly taken into account by the auditor in the risk assessment of the going concern assumption include:

Financial

- Current liabilities exceed current assets hence the statement of financial position will report net current liabilities.
- Total liabilities exceed total assets so technically the statement of financial position is 'insolvent'.
- Net cash-outflows from operating activities.
- Current and historical operating losses.
- Cash-on-delivery terms required by creditors.
- Unusual financing arrangements (e.g. unusual amounts sourced from offshore entities of questionable repute).
- Significant legal costs and pending cases.
- Loan covenant breaches.
- Significant increases in 'own-credit' risk implied in financial liabilities.

Operational

- Long lead times on sales of both current and non-current assets.
- Significant amounts of debt due and payable.

- The number of days' credit implied in creditor balances is extending or contracting materially.
- Supply chain issues.
- Increase in competition.
- Loss of major customers.

Other

- Recent economic or environmental trends, events and disasters.
- Changes in laws and regulation.
- Occurrence of non-insurable events.

HKSA
570.12-14

8.3.2.2 Evaluating Management's Assessment

The focus of the auditor's work must be to obtain sufficient appropriate audit evidence to evaluate management's assessment of the entity's ability to continue as a going concern.

Management should be able to present to the auditor any or all of the following when the auditor is seeking support for management's assessment that a going concern basis of accounting is appropriate (this list is not exhaustive but acts as a guide only):

- Obtain the budgets and forecasts prepared by management and analyse the underlying assumptions and appropriateness of their use.
- Obtain and inquire of management's plans and minutes supporting changes to operating strategies and plans, and evaluate whether management's assumptions are reasonable.
- Consider obtaining written agreement from creditors or financiers stating that they will not call back what is owed to them for at least 12 months from the date of the financial statements.
- Obtain proof of support from related parties that they can underwrite any payments of debts as and when they fall due for 12 months from the date of the financial statements.
- Determine if management can obtain further funding from creditable financiers.

Management's assessment should cover at least 12 months from *the date of the financial statements* (i.e. 12 months from the reporting date), and the auditor's assessment should cover the same period. The auditors must ensure that they do not take management's assessment at face value and that sufficient appropriate audit evidence is obtained, including (where necessary) evidence that the support offered is reasonable given the financial position of the support giver. In addition, the auditor will request a written representation from management in respect of the entity's ability to continue as a going concern.

HKSA
570.15

8.3.2.3 Period Beyond Management's Assessment

The auditor shall inquire of management as to its knowledge of events and conditions beyond the period of management's assessment, which may cast significant doubt on the entity's ability to continue as a going concern.



8.3.2.4 Additional Audit Procedures

If, after completing the risk assessment at the planning stage and after the evaluation of management's assessment, the auditor has identified events or conditions that may cast significant doubt on the entity's ability to continue as a going concern, the auditor must seek to determine what information has become available since the date of management's initial assessment. If no further audit evidence can be found, the auditor will need to determine the audit conclusion to be reached.

8.3.3 Audit Conclusion

Based on the audit evidence obtained, auditors will conclude whether – in their judgement – a material uncertainty exists in relation to events or conditions that individually or collectively may cast significant doubt on the entity's ability to continue as a going concern.

If a material uncertainty does exist and the auditor determines that management's use of the going concern basis of accounting is appropriate, then the auditor will determine whether adequate disclosure has been made by management in the financial statements in outlining how management plans to deal with the events or conditions.

HKSA
570.17–18

8.3.4 Implications for the Auditor's Report

The auditor has several distinct conclusions that can be reached on going concern. These conclusions determine the type of auditor's report that could be issued. A detailed assessment of the auditor's report options is provided in Chapter 9.

HKSA
570.21–23

The following outlines the general conclusions described in HKSA 570 (Revised).

1. If the auditor concludes that management's use of the going concern basis of accounting is appropriate in the circumstances but a material uncertainty exists, then the auditor shall:
 - (a) Determine whether the financial statements adequately disclose the principal events or conditions that may cast significant doubt on the entity's ability to continue as a going concern and management's plans to deal with these events or conditions.
 - (b) Disclose clearly that there is a material uncertainty related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern and, therefore, it may be unable to realise its assets and discharge its liabilities in the normal course of business.
2. If events or conditions have been identified that may cast significant doubt on the entity's ability to continue as a going concern but, based on the audit evidence obtained, the auditor concludes that no material uncertainty exists, then the auditor shall evaluate whether, in view of the requirements of the applicable financial reporting framework, the financial statements provide adequate disclosures about these events or conditions.
3. If the financial statements have been prepared using the going concern basis of accounting but, in the auditor's judgement, management's use of the going concern basis of accounting in the preparation of the financial statements is inappropriate, then the auditor shall express an adverse opinion.

4. If adequate disclosure about the material uncertainty is made in the financial statements, then the auditor shall express an unmodified opinion and the auditor's report shall include a separate section under the heading 'Material Uncertainty Related to Going Concern' to:
 - (a) Draw attention to the note in the financial statements that discloses the matters set out in 1 above.
 - (b) State that these events or conditions indicate that a material uncertainty exists that may cast significant doubt on the entity's ability to continue as a going concern and that the auditor's opinion is not modified in respect of the matter.
5. If adequate disclosure about the material uncertainty is not made in the financial statements, then the auditor shall:
 - (a) Express a qualified opinion or adverse opinion, as appropriate, in accordance with HKSA 705 (Revised).
 - (b) In the 'Basis for Qualified (Adverse) Opinion' section of the auditor's report, state that a material uncertainty exists that may cast significant doubt on the entity's ability to continue as a going concern and that the financial statements do not adequately disclose this matter.
6. If management is unwilling to make or extend its assessment when requested to do so by the auditor, then the auditor shall consider the implications for the auditor's report.

8.3.4.1 Illustrative Examples

Three examples are included below with the wording of the relevant paragraphs in the auditor's report from the Appendix to HKSA 570 (Revised). There are many different examples, depending on the particular circumstances surrounding a significant uncertainty and how it has been treated and/or disclosed by those charged with governance.

Unmodified auditor's opinion with a material uncertainty paragraph:

Basis for Opinion

We conducted our audit in accordance with Hong Kong Standards on Auditing (HKSAs) issued by the Hong Kong Institute of Certified Public Accountants (HKICPA). Our responsibilities under those standards are further described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of our report. We are independent of the Company in accordance with the HKICPA's Code of Ethics for Professional Accountants ('the Code'), and we have fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material Uncertainty Related to Going Concern

We draw attention to Note X in the financial statements, which indicates that the Company incurred a net loss of ZZZ during the year ending 31 December 20X1 and, as of that date, the Company's current liabilities exceeded its total assets by YYY. As stated in Note Z, these events or conditions, along with other matters as set forth in Note Z, indicate that a material uncertainty exists that may cast significant doubt on the Company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.



Qualified opinion when a material uncertainty exists and the financial statements are materially misstated due to inadequate disclosure:

Qualified Opinion

We have audited the financial statements of ABC Company ('the Company') set out on pages . . . to . . . , which comprise the statement of financial position as at 31 December 20X1, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, except for the incomplete disclosure of the information referred to in the 'Basis for Qualified Opinion' section of our report, the financial statements give a true and fair view of the financial position of the Company as at 31 December 20X1, and of its financial performance and its cash flows for the year then ended in accordance with Hong Kong Financial Reporting Standards (HKFRSs) issued by the Hong Kong Institute of Certified Public Accountants (HKICPA) and have been properly prepared in compliance with the *Companies Ordinance* (Cap.622).

Basis for Qualified Opinion

As discussed in Note Y, the Company's financing arrangements expire and amounts outstanding are payable on 19 March 20X2. The Company has been unable to conclude re-negotiations or obtain replacement financing. This situation indicates that a material uncertainty exists that may cast significant doubt on the Company's ability to continue as a going concern. The financial statements do not adequately disclose this matter.

We conducted our audit in accordance with Hong Kong Standards on Auditing (HKSA) issued by the Hong Kong Institute of Certified Public Accountants (HKICPA). Our responsibilities under those standards are further described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of our report. We are independent of the Company in accordance with the HKICPA's Code of Ethics for Professional Accountants ('the Code'), and we have fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

Adverse opinion when a material uncertainty exists and is not disclosed in the financial statements:

Adverse Opinion

We have audited the financial statements of ABC Company ('the Company') set out on pages . . . to . . . , which comprise the statement of financial position as at 31 December 20X1, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, because of the omission of the information mentioned in the 'Basis for Adverse Opinion' section of our report, the financial statements do not give a true and fair view of the financial position of the Company as at 31 December 20X1, and of its financial performance and its cash flows for the year then ended in accordance with Hong Kong Financial Reporting Standards (HKFRSs) issued by the Hong Kong Institute of Certified Public Accountants (HKICPA). In all other respects, in our opinion the financial statements have been properly prepared in compliance with the *Companies Ordinance* (Cap.622).

Basis for Adverse Opinion

The Company's financing arrangements expired and the amount outstanding was payable on 31 December 20X1. The Company has been unable to conclude re-negotiations or obtain replacement financing and is considering filing for bankruptcy. This situation indicates that a material uncertainty exists that may cast significant doubt on the Company's ability to continue as a going concern. The financial statements do not adequately disclose this fact.

We conducted our audit in accordance with Hong Kong Standards on Auditing (HKSAs) issued by the Hong Kong Institute of Certified Public Accountants (HKICPA). Our responsibilities under those standards are further described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of our report. We are independent of the Company in accordance with the HKICPA's Code of Ethics for Professional Accountants ('the Code'), and we have fulfilled our ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our adverse opinion.

Apply and Analyse 3

Apply

During the planning phase of the audit of Wong Fu, it was discovered by Jackie Ling that Wong Fu had received a number of warnings from the Hong Kong Monetary Authority (HKMA) in relation to its compliance with its lending policies and procedures. Lending constitutes a significant portion of Wong Fu's profitability and its receivable balances. Jackie Ling has requested that the Board of Directors provide information in relation to Wong Fu's responses to the warnings and an assessment of the potential impact if lending was prohibited for Wong Fu, and what impact this would have on Wong Fu's ability to continue as a going concern. Jackie Ling is most concerned about this situation, particularly as the lessons from the Global Financial Crisis and the Barings Bank collapse are in the front of her mind.

Explain the action that Jackie should take about this situation.

Analysis

Jackie Ling and her audit team ('the auditor') have conducted all assessments that the auditor should have under HKSA 570 (Revised) to this point. The auditor will need to receive sufficient appropriate audit evidence from the HKMA, either addressed to management or directly to the auditor, in relation to their proposed actions against Wong Fu, if any, and how those actions may impact the ongoing viability of Wong Fu. Management should be supplying the auditor with budgets and forecasts based on current levels of bank business and projected operational changes, as well as budgets and forecasts should the lending sector of the bank be discontinued. The auditor would need to be more alert to any other potential issues with banking compliance throughout the audit process.



Key Learning Point

The auditor has, in every audit, a responsibility to assess the ability of the entity to continue as a going concern and assess the likelihood of a significant uncertainty that would cast significant doubt on an entity's ability to continue as a going concern.

► Knowledge Check Questions

Question 5

Describe some of the key warning signs that an entity may have, signalling to the auditor that there may be a significant uncertainty in relation to the use of the going concern basis of accounting.



8.4 CONTINGENT LIABILITIES AND COMMITMENTS

HKSA 540 (Revised) *Auditing Accounting Estimates and Related Disclosures* applies when assessing contingent liabilities as, by their nature, contingent liabilities involve an accounting estimate in most instances. Commitments are often more straightforward for the auditor to conclude on, as they are normally based on contractual obligations.

From a definitional perspective, the following helps the understanding of the difference between a contingent liability and a commitment: A contingent liability is an existing liability (actual or asserted) for which the general recognition criteria for liabilities cannot as yet be met. Confirmation of the liability depends on the outcome of another uncertain future event (e.g. a ruling in a coming court case). A contingent liability is disclosed in the notes to the financial statements until the recognition criteria are met; that is, an outflow of assets (such as cash) becomes probable and the amount of the liability can be reasonably estimated.

A commitment is an agreement that is equally and proportionately unperformed by the parties to the agreement. It relates to a future transaction such as the acquisition of property, plant and equipment and future outlays for infrastructure for a joint venture. Until one of the parties performs, the commitments do not meet the definition of a liability.

Information about contingent liabilities and commitments informs users about future cash flows of the entity.

8.4.1 Auditor's Objectives

8.4.1.1 Contingent Liabilities

The objective of the auditor is to obtain sufficient appropriate audit evidence about whether accounting estimates associated with contingent liabilities and related disclosures in the financial statements are reasonable and in line with HKFRS (valuation). The other principal objective is to ensure that all material contingent liabilities have been appropriately identified, measured and disclosed in the financial statements (completeness).

8.4.1.2 Commitments

Similarly, the key objective of the auditor for commitments is to ensure that they are supported by sufficiently appropriate audit evidence about their value and completeness, and that they have been appropriately identified, measured and disclosed in the financial statements.

8.4.2 Requirements and Procedures

The auditor, as part of understanding the entity and its environment as required by HKSA 315 (Revised 2019), should consider knowledge of the industry and historical and current activities of the entity to determine the likely contingent liabilities and commitments. The auditor should also obtain an understanding of how the entity applies HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets* when developing its contingent liability and commitments notes.

The auditor will normally undertake the following procedures to determine the completeness and accuracy of contingent liabilities.

- An external confirmation issued in line with HKSA 505 *External Confirmations* to legal counsel and banks. The types of information the auditor might ask for include:
 - A list and progress report of any pending or imminent litigation to which legal counsel has given substantial attention.
 - A list of other claims, such as warranties and guarantees, including comment from legal counsel on their opinion of probability and HKD outcome.
 - Bank guarantees.
- Examination of the minutes of the Board of Directors to determine if, for example, any guarantees have been approved against loans.
- Examination of any environmental reviews and their likely outcomes for the entity.
- Consideration of industry practices. For example, for mining companies, contracts will commonly include 'make good' (restoration) clauses, which, as events occur (e.g. a tenement is used up), will see the recognition criteria for liabilities met (as the need to restore an asset becomes probable and can be reliably estimated).
- Review of product warranty arrangements.

The auditor will normally undertake the following procedures to determine the completeness and accuracy of commitments:

- Confirm that leasing commitments have been accounted for correctly in accordance with HKFRS 16 *Leases*.

- Search for and review of any commitments for capital expenditure contracted for future periods.
- Search for and review of any licensing costs subject to commitment.

Illustrative Example 1

The following illustrates contingent liabilities and commitments disclosed in a set of financial statements. This is PetroChina's disclosure in its 2020 financial statements (HKEX website–Equities Listings).

61 Contingent Liabilities

(1) Bank and other guarantees

At 31 December 2020 and 2019, the Group did not guarantee related parties or third parties any significant borrowings or others.

(2) Environmental liabilities

China has adopted extensive environmental laws and regulations that affect the operation of the oil and gas industry. Under existing legislation, however, management believes that there are no probable liabilities, except for the amounts which have already been reflected in the consolidated financial statements, which may have a material adverse effect on the financial position of the Group.

(3) Legal contingencies

During the reporting period, the Group has complied with domestic and overseas laws and regulatory requirements. Notwithstanding certain insignificant lawsuits as well as other proceedings outstanding of the Group, management believes that any resulting liabilities will not have a material adverse effect on the financial position of the Group.

(4) Group insurance

The Group has insurance coverage for vehicles and certain assets that are subject to significant operating risks, third-party liability insurance against claims relating to personal injury, property and environmental damages that result from accidents and also employer liabilities insurance. The potential effect on the financial position of the Group of any liabilities resulting from future uninsured incidents cannot be estimated by the Group at present.

62 Commitments

(1) Capital commitments

As of 31 December 2020, the Group's capital commitments contracted but not provided for were RMB 714 (31 December 2019: RMB 56,856).

The operating lease and capital commitments above are transactions mainly with China National Petroleum Corporation (CNPC) and its fellow subsidiaries.

Illustrative Example 1 (continued)

(2) Exploration and production licenses

The Company is obligated to make annual payments with respect to its exploration and production licenses to the Ministry of Natural Resources. Payments incurred were RMB 700 for the year ended 31 December 2020 (2019: RMB 535).

According to the current policy, estimated annual payments for the next five years are as follows:

	31 December 2020	31 December 2019
Within one year	800	800
Between one and two years	800	800
Between two and three years	800	800
Between three and four years	800	800
Between four and five years	800	800

Apply and Analyse 4

Apply

It was noted through discussions during the audit completion meeting for the audit of Wong Fu that the engagement team had identified, through the audit process, a number of areas that in their belief should result in disclosures of both contingent liabilities and other commitments.

Explain the audit procedures that the engagement team should perform.

Analysis

The engagement team noted that Wong Fu has guarantees and irrevocable letters of credit pledged as collateral security. The engagement team would need to audit management's calculations of these balances in line with HKSA 330 *The Auditor's Responses to Assessed Risks*, to ensure that the risks associated with this contingency have been mitigated.

The engagement team, knowing that there are a number of legal matters outstanding through their review of minutes up to and after the year end, would need to ensure that the confirmations and dialogue with external legal counsel satisfied them that they can conclude the level of disclosure and the estimation of the likely monetary outcome are reliable at the date of signing the auditor's opinion.

In terms of commitments, the engagement team would need to ensure that the commitments reflect the cash flows involved and that the disclosures by period are complete and accurate and that the level of monetary commitment for North Point has been estimated reliably.

► Knowledge Check Questions

Question 6

Identify which of the following best describes a contingent liability.

- A** The allocation of funds for a liability in the future arising out of capital expenditure.
- B** In all cases an accounting estimate.
- C** Straightforward for the auditor to conclude on as it is normally based on contractual obligations.
- D** An existing liability for which the recognition criteria for a liability cannot be met.

Question 7

Identify which of the following audit assertions, audit procedures in relation to commitments would be aimed at trying to ensure.

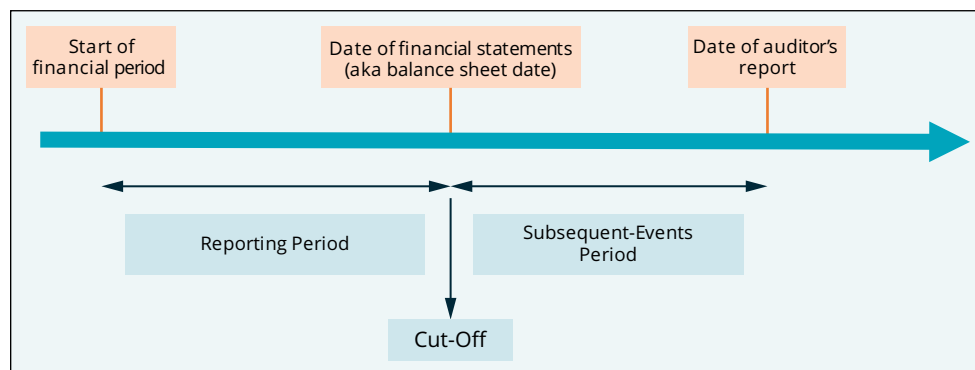
- A** Completeness and accuracy
- B** Occurrence and classification
- C** Rights and obligations and classification
- D** Cut-off and completeness

► 8.5 SUBSEQUENT EVENTS

8.5.1 Auditor's Objectives

HKSA 560 *Subsequent Events* requires the auditor to perform audit procedures to obtain sufficient appropriate audit evidence that all events occurring between the date of the financial statements and the date of the auditor's report that require adjustment of, or disclosure in, the financial statements have been identified and appropriately accounted for and/or disclosed in the financial statements.

The auditor must also respond to facts that become known after the date of the auditor's report which, if the auditor had known them at the time of the auditor's opinion, would have amended that opinion (Exhibit 8.1).



► EXHIBIT 8.1 Auditing timeline

8.5.2 Types of Subsequent Events

HKSA
560.2

According to HKAS 10 *Events After the Reporting Period*, there are two types of subsequent events:

1. Those that provide further evidence of conditions that existed at the end of the financial period, known as adjusting events.
2. Those that provide evidence of conditions that arose after the end of the financial period, known as non-adjusting events.

The most common disclosure of subsequent events in Hong Kong-listed entity financial statements is the declaration of a dividend or special dividend post-period-end.

Illustrative Example 2

The Board of Directors of Ming-húa Company have participated in a number of highly confidential Board meetings during the current accounting period that ended on 31 December 20X0. The basis of discussion was associated with the potential closure of a major manufacturing plant and terminating the employment of all 500 people. These discussions followed a review by external consultants late in the fourth quarter that seriously questioned the viability of the plant and recommended impairment charges. The discussions of the Board have been minuted.

Scenario 1 – The Board makes a final decision on 1 January 20X1 that the manufacturing plant will be closed and that all 500 employees will be terminated, having already completed a management assessment of the impairments required to assets and the provisions required for termination payments. In this case the circumstances being considered were the result of conditions that existed prior to the period end, despite the final decision being made on 1 January. In this case the financial impact of the subsequent event would need to be adjusted in the financial statements for the period ending 31 December 20X0.

Scenario 2 – The Board continues its discussions into 20X1. One week prior to the signing of the auditor's report on the financial statements for 31 December 20X0, a potential purchaser has signed a deed of intent to conduct due diligence procedures to potentially purchase the factory and continue to employ the 500 people currently working at the factory. There is no deed of confidentiality and given the rumours surrounding the factory and its employees, the Board made a decision to release what they knew to the market via an announcement through the HKEX. Given that the conditions did not exist at year-end, but the potential outcomes would be material, appropriate disclosures should be made in the notes to the financial statements explaining to users the facts as they are known at the date of the financial statements.



8.5.3 Subsequent Events Review Procedures

When looking at the audit procedures that should be conducted to meet the requirements of HKSA 560, the auditor can divide this work into three key time periods:

1. Events occurring between the date of the financial statements and the date of the auditor's report.
2. Facts that become known to the auditor after the date of the auditor's report but prior to the date of issue of the financial statements.
3. Facts that become known to the auditor after the financial statements have been issued.

HKSA
560.6-8

8.5.3.1 Events Occurring Between the Date of the Financial Statements and the Date of the Auditor's Report

If the auditor determines that there have been events occurring between the date of the financial statements and the date of the auditor's report, the auditor needs to refer to their initial risk assessment undertaken under the requirements of HKSA 315 (Revised 2019), and updated as appropriate throughout the audit process, to determine the appropriate extent of additional audit procedures that need to be undertaken. This is sometimes referred to as the auditor's 'active duty'. It is important to note that audit procedures undertaken should be completed as close to the date of the auditor's report as possible. The procedures may include:

- Gaining an understanding of how management has identified and assessed the subsequent events, and the reasonableness of the assumptions used by management in drawing their conclusions.
- Enquiring of management and potentially the Board to establish if any events or circumstances have occurred that may have a financial impact on the entity.
- Reading minutes from Board meetings and management meetings to identify any events that have occurred which may have an impact on the entity's financial statements.
- Reviewing management accounts produced after the period end.
- Contacting legal counsel to determine whether anything has come to their attention since sending their written confirmation. (*Note:* Often regulators expect, although it is not written in law or the auditing standards, that such a follow-up should be made a maximum of seven days before the date of the auditor's opinion.)

If, after having completed the procedures noted above, the auditor becomes aware of a material subsequent event, the auditor will need to determine whether it is an adjusting or a non-adjusting event and ensure the financial statements appropriately include and/or disclose the event.

HKSA
560.10–13

8.5.3.2 Facts that Become Known to the Auditor After the Date of the Auditor's Report But Prior to the Date of Issue of the Financial Statements

The auditor has no obligation to perform any audit procedures in relation to the financial statements after the auditor's report has been signed. However, if the auditor becomes aware of an event, which if known at the date of the auditor's report would have caused the auditor to amend the opinion, the auditor should determine whether the financial statements should be amended. This is sometimes called the auditor's 'passive duty'.

If the financial statements should be amended and management makes the necessary amendments, then the auditor must perform appropriate audit procedures over the amendments and a new auditor's report must then be issued. The auditor should include an emphasis of matter paragraph or other matter paragraph (the basis for these types of paragraphs is outlined in Chapter 9) to draw users' attention to the change in subsequent events after the first signing of the auditor's report.

If management refuses to amend the financial statements and the auditor believes the financial statements should be amended, then the auditor should modify the auditor's opinion in line with HKSA 705 (Revised). [More detail is provided on the types of auditor's reports issued under HKSA 705 (Revised) in Chapter 9.] The auditor should ensure that those charged with governance include the revised auditor's opinion with the financial statements. If the financial statements are issued with the original auditor's opinion, then the auditor will need to take appropriate action to prevent reliance on the original auditor's report, which depends upon the auditor's legal rights and obligations. Consequently, the auditor may consider it appropriate to seek legal advice.

HKSA
560.14–17

8.5.3.3 Facts that Become Known to the Auditor After the Financial Statements Have Been Issued

The same procedures as above would apply. Depending on the timing of the discovery of the situation, the auditor may determine that the issue would be rightly corrected in the following year's financial statements, or, for listed entities, in the following interim financial statements.

Apply and Analyse 5

Apply

Jackie Ling has called together all those present at the audit completion meeting on 20 March 20X2 to explain what she has discovered subsequent to the period end on which Quality is reporting, being 31 December 20X1. A material fraud has been discovered in the loans department, while completing the planned audit procedures, where several employees have been approving loans to themselves for millions of Hong Kong dollars over the course of the last financial year and up until the point of discovery (28 February 20X2).

Determine the action that Jackie should take about this situation.

Apply and Analyse 5 (continued)**Analysis**

Jackie Ling would instruct one of her managers to undertake audit procedures to determine the financial impact caused by the fraud. The material nature of the fraud would heighten the entire risk assessment process for Wong Fu. The risk assessment would need to be formally reviewed in line with the requirements of HKSA 315 (Revised 2019) and a determination made as to whether further audit procedures would need to be undertaken; this would likely be additional tests of details in the loans department.

For the purposes of determining the appropriate treatment of the subsequent event, given that the effects of the fraud took place in the current period being audited, it is an adjusting event that would require amendments to the financial statements as well as further note disclosures about the actions taken by the bank.

Key Learning Point

The auditor must ensure that the financial statements appropriately disclose all material subsequent events. The auditor must also be alert to any events or circumstances that occur pertaining to the financial statements subsequent to the issuance of the auditor's report.

► Knowledge Check Questions**Question 8**

State when subsequent events audit procedures should always be carried out.

- A** From period-end date until the date of the release of the financial statements.
- B** From the auditor's report date until the release of the financial statements.
- C** From period-end date until the date of the auditor's report.
- D** From period-end date and for the following months until the end of the following accounting period.

Question 9

Explain the key differences between adjusting and non-adjusting events.

8.6 EVALUATION OF MISSTATEMENTS

HKSA 450 *Evaluation of Misstatements Identified during the Audit* is the applicable auditing standard for this section. The auditor would normally be assessing misstatements throughout the entire audit process; however, a final evaluation is critical in completing the audit to determine whether identified misstatements might have an impact on the auditor's report.

8.6.1 Auditor's Objectives

HKSA
450.3

The auditor should evaluate:

1. The effect of misstatements, unless clearly trivial, identified during the audit process that were not material individually or collectively at the time identified.
2. The effect of uncorrected misstatements identified on the financial statements (i.e. misstatements that will not be corrected by management).

HKSA 450, para 5 requires the auditor to accumulate misstatements identified during the audit **except** those that are **clearly trivial**. HKSA 450, para A2 confirms that 'clearly trivial' is not the same as 'not material'. Misstatements which are clearly trivial will be of a wholly different (smaller) order of magnitude, or of a wholly different nature than those which would be determined to be material, and will be misstatements that are clearly of no consequence either individually or when combined with other misstatements.

It should be emphasised that if there is any uncertainty about whether one, or more, items are clearly trivial, the misstatement is deemed not to be clearly trivial.

By way of definition, HKSA 450 states that a misstatement is:

A difference between the reported amount, classification, presentation, or disclosure of a financial statement item and the amount, classification, presentation, or disclosure that is required for the item to be in accordance with the applicable financial reporting framework. Misstatements can arise from error or fraud.

When the auditor expresses an opinion on whether the financial statements are presented fairly, in all material respects, or gives a true and fair view, misstatements also include those adjustments of amounts, classifications, presentation, or disclosures that, in the auditor's judgement, are necessary for the financial statements to be presented fairly, in all material respects, or to give a true and fair view.

HKSA
450.4(a)

HKSA
450.4(b)

Uncorrected misstatements are misstatements that the auditor has accumulated during the audit and that have not been corrected.

8.6.2 Current-Year Misstatements

Materiality assessed in line with HKSA 320 *Materiality in Planning and Performing an Audit* is key in the consideration of current-year misstatements. Before concluding on the potential effects of identified misstatements, the auditor must ensure that the assessment is being completed against the most appropriate materiality level. The auditor must also be clear on what the clearly trivial level is.

HKSA 450 requires the auditor to accumulate individual misstatements identified during the audit process, except for amounts that are clearly trivial. The auditor should confirm that all misstatements have been documented in the 'one repository' to ensure completeness for the evaluation of the misstatements that have been identified.

HKSA
450.5

8.6.3 Prior-Year Misstatements

Management may have, with agreement of the auditor, determined not to correct misstatements that occurred in one or more prior periods because, in the judgement of the auditor at the time, the financial statements were not materially misstated.

As noted from the above illustration, the auditor needs to ensure that unadjusted prior-year misstatements are carried forward and documented in the current period. Should the auditor determine that the cumulative effect of prior-period unadjusted misstatements taken with the audited results of the current period, if left unadjusted, result in a material misstatement to the current-period financial statements, then the auditor would need to seek to have the relevant adjustment made.

Illustrative Example 3

Summary of Unadjusted Differences

Performance materiality HK\$XX

Clearly trivial misstatements under HK\$XX will not be recorded.

Description	Assets DR/ (CR)	Liabilities (DR)/CR	Equity (DR)/CR	Profit & Loss (DR)/CR	Corrected?	W/P ref.
Total corrected adjusting journal entries					Yes	
Unrecorded misstatements – factual						
Unrecorded misstatements – projected						
Unrecorded misstatements – judgemental						
Total uncorrected misstatements						
Effect of uncorrected misstatements from prior periods						
Uncorrected misstatements to be carried forward						

The above template alludes to potentially three types of unrecorded misstatements that the auditor may need to communicate to management throughout the audit process.

Factual misstatements are those about which there is no doubt. The amount or disclosure is materially incorrect.

Projected misstatements are the auditor's best estimate of misstatements in populations, involving the projection of misstatements identified in audit samples to the entire population from which the samples were drawn.

Judgemental misstatements are those arising from the judgements taken by management concerning accounting estimates and/or accounting policies that the auditor disagrees with. These misstatements can in many cases cause some debate between management and the auditor. For example, provisions for losses on construction contracts, percentage of completion assessments.

8.6.4 Qualitative and Quantitative Considerations for Misstatements

As noted earlier in this section, the level of assessed materiality is central to the quantitative consideration for misstatements. The auditor is required to determine whether uncorrected misstatements are material, individually or in aggregate.

Some misstatements may be evaluated as material, individually or when considered together with other misstatements accumulated during the audit, even if they are lower than materiality because of their qualitative nature. For example:

- Misstatements which might affect compliance with regulatory requirements.
- Misstatements that impact on debt covenants.
- Misstatements which hide a change in earnings or other trends.
- Misstatements which affect previous communications about forecast earnings to users of the financial statements.
- Misstatements which affect ratios used to evaluate the entity's financial position, results or cash flows.
- Classification errors.

8.6.5 Evaluating the Effect of Uncorrected Misstatements

HKSA
450.10-11

If the auditor concludes that uncorrected misstatements, either individually or in aggregate, are material, this must be brought to the attention of management and/or those charged with governance as soon as possible. The auditor shall request the material uncorrected misstatements be corrected. If the financial statements are adjusted for the material misstatements, then the auditor will normally conclude that the auditor's opinion will not need to be modified. However, the financial statements are not adjusted for the material misstatements assessed by the auditor, and this may affect the auditor's opinion. This scenario will generally result in a form of modified auditor's opinion. (Refer to Chapter 9 for auditor's reporting.)

Ethics in Practice

Before an auditor concludes that there are uncorrected misstatements which are material to the financial statements and that a modified auditor's opinion should be issued, the auditor will normally enter into significant discussion with management and/or those charged with governance. It is important that the respective views of management and the auditor are clearly understood.

This discussion can at times result in pressure being placed on the auditor not to issue a modified auditor's opinion (this can be applied to all forms of modified auditor's opinions). The auditor must stand its ground in order to meet the requirements of the HKSA's, the HKFRSs and the *Companies Ordinance* (Cap.622) where applicable. It is recognised that this can sometimes be difficult when a client threatens to engage another firm for a second opinion or threatens to change the auditor after the current audit is complete. This may also give rise to an intimidation threat under the ethical standard.

To also meet the ethical principles of integrity, objectivity, professional competence and due care, confidentiality, and professional behaviour [as defined in Section 110 – subsection 111 to 115 of the COE (Chapter A revised in 2021, effective 31 December 2021)], the auditor must not be tempted to issue an unmodified auditor's opinion in circumstances where a reasonable third party would conclude that a modified auditor's opinion should be issued.

The auditor must ensure that the financial statements do not include material misstatements which were identified during the audit process. If the material misstatements are left unadjusted, then the auditor will need to consider the effect on the auditor's report.

► Knowledge Check Questions

Question 10

Explain how the auditor should accumulate misstatements throughout the current year's audit process.

Question 11

Identify which of the following factors would not be viewed as a qualitative factor when considering misstatements:

- A Classification errors
- B Misstatements that impact debt covenants.
- C Misstatements which affect compliance with regulatory requirements.
- D Segment reporting

8.7 WRITTEN REPRESENTATIONS

For the purpose of this section, HKSA 580 *Written Representations* is the relevant auditing standard. Please note that despite the HKSA reference to written representations, other common terminology used for the same letter is a management representation letter (rep. letter or letter of representation).

8.7.1 Auditor's Objectives

At the outset it is worth noting that under the Companies Ordinance (Cap. 622), it is the **directors** who are responsible for the preparation of the financial statements which show a true and fair view, even where these are audited. The auditor is only responsible for the auditor's report, but is required to obtain certain representations from management (and, where applicable, those charged with governance) concerning certain material items relating to the financial statements.

HKSA 580 requires the auditor to obtain written representations from management and, where appropriate, those charged with governance. Audit evidence is all the information used by the auditor to arrive at the conclusion on which the auditor's report will be based. Written representations are necessary information required by the auditor in connection with the audit of the financial statements. So, similar to responses by management to enquiries made by the auditor, written representations are audit evidence. Although written representations provide necessary audit evidence, on their own they do not provide sufficient appropriate audit evidence on the matters covered in the letter because they are internally generated. Furthermore, the fact that management has provided written representations must not affect the nature of other audit evidence the auditor obtained in relation to management's obligations. The objectives of the auditor are:

1. To obtain written representations from management and, where appropriate, those charged with governance, that they believe they have fulfilled their responsibility for the preparation of the financial statements and for the completeness of the information provided to the auditor.

2. To support other audit evidence relevant to the financial statements or specific assertions in the financial statements by means of written representations, if determined by the auditor or required by other HKSAs.
3. To respond appropriately to written representations provided by management and, where appropriate, those charged with governance or, if management or, where appropriate, those charged with governance do not provide the written representations requested by the auditor.

**HKSA
580.6**

Illustrative Example 4

Quality obtained written representations from those charged with governance of Wong Fu in relation to the impairment losses against its credit card loan portfolio. This written representation is not a substitute for other audit evidence that Quality could reasonably expect to be available. Quality would need to plan for and conduct appropriate audit procedures to conclude whether the impairment loss in the current period is sufficient. If Quality is unable to obtain sufficient appropriate audit evidence regarding the recognition of the impairment loss and believes that the differences identified could have a material effect on the financial statements, this could result in a modification to the auditor's opinion expressed by Quality notwithstanding the written representations obtained on the matter from those charged with governance of Wong Fu.

8.7.2 Requirements of the Written Representation Letter

Though the items included in the written representation letter will vary depending on the audit engagement and the nature and basis of the financial statements, some commonly addressed items are:

- Management's acknowledgment of its responsibility for the proper preparation of the financial statements in accordance with the Hong Kong Financial Reporting Standards.
- The availability of books and records.
- The completeness and availability of all minutes of meetings of directors and associated Board committees.
- Management's assurance that it has made available all letters from regulatory agencies concerning non-compliance with, or deficiencies in, financial reporting practices.
- Management's assurance that there are no unrecorded transactions.
- Management's acknowledgement of its responsibility for the design and implementation of controls and for the system of financial controls.
- Management's assurance that it has disclosed all liens and other encumbrances on its assets.
- Management's assurance that all material transactions have been appropriately recorded.
- Significant assumptions used by us in making accounting estimates, including those measured at fair value, are reasonable.



- Related-party relationships and transactions have been appropriately accounted for and disclosed, in accordance with the requirements of Hong Kong Financial Reporting Standards.
- All events subsequent to the date of the financial statements and for which Hong Kong Financial Reporting Standards require adjustment or disclosure have been adjusted or disclosed.
- The effects of uncorrected misstatements are immaterial, both individually and in the aggregate, to the financial statements as a whole. A list of the uncorrected misstatements is attached to the representation letter.
- Any other matters that the auditor may consider appropriate.

The following additional management representations are applicable to audits of companies incorporated under the *Companies Ordinance* (Cap.622) ('we' being management):

1. We acknowledge that section 380 of the *Companies Ordinance* (Cap.622) requires us to prepare financial statements which give a true and fair view of the financial position of the company as at the end of the financial year and of the financial performance of the company for the financial year.
2. We are responsible for taking all reasonable steps to ensure the company keeps proper accounting records which are sufficient to show and explain the company's transactions, disclose with reasonable accuracy at any time the company's financial position and financial performance and to ensure that the financial statements comply with the *Companies Ordinance* (Cap.622).
3. The financial statements comply with section 383 (Notes to Financial Statements to Contain Information on Directors' Emoluments, etc.) of the *Companies Ordinance* (Cap.622) which must contain in the notes to the financial statements, the information prescribed by the Companies (Disclosure of Information about Benefits of Directors) Regulation (Cap. 622G).
4. We are responsible for the preparation of the director's report that
 - (a) complies with sections 390 (Contents of Directors' Report: General) and 543(2) (Disclosure of Management Contract) and Schedule 5 (Contents of Directors' Report: Business Review) of the *Companies Ordinance* (Cap.622);
 - (b) contains the information prescribed by the regulations made under section 452(3) (Financial Secretary May Make Other Regulations) of the *Companies Ordinance* (Cap.622); and
 - (c) complies with other requirements prescribed by the regulations made under section 452(3) of the *Companies Ordinance* (Cap.622).

The date of the written representation letter should be as close as possible to, but not after, the date of the auditor's report on the financial statements. In practice, the auditor normally requests that the directors sign the directors' report and issue the written representation letter on the same date as the auditor's report. The written representation letter must be for all financial statements and period(s) referred to in the auditor's report.

The auditor should not agree to any changes management may wish to make to the written representation letter, if the written representation letter is to be accepted as contributing to audit evidence.

8.7.3 List of HKSAs Containing Requirements for Written Representations

HKSA 580 Appendix 1 contains a list of HKSAs containing requirements for written representations. Exhibit 8.2 compiles the relevant paragraphs in a list that shows the additional requirements. However, there may be circumstances over and above those listed in Exhibit 8.2 that are relevant to the particular audit circumstances which the auditor should consider including in the written representation letter.

HKSA
580.App 1

HKSA 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements* – paragraph 40

The auditor shall obtain written representations from management and, where appropriate, those charged with governance that:

- (a) They acknowledge their responsibility for the design, implementation and maintenance of internal control to prevent and detect fraud;
- (b) They have disclosed to the auditor the results of management's assessment of the risk that the financial statements may be materially misstated as a result of fraud;
- (c) They have disclosed to the auditor their knowledge of fraud, or suspected fraud, affecting the entity involving:
 - Management;
 - Employees who have significant roles in internal control; or
 - Others where the fraud could have a material effect on the financial statements; and
- (d) They have disclosed to the auditor their knowledge of any allegations of fraud, or suspected fraud, affecting the entity's financial statements communicated by employees, former employees, analysts, regulators or others.

HKSA 250 (Revised) *Consideration of Laws and Regulations in an Audit of Financial Statements* – paragraph 17

The auditor shall request management and, where appropriate, those charged with governance, to provide written representations that all known instances of non-compliance or suspected non-compliance with laws and regulations whose effects should be considered when preparing financial statements have been disclosed to the auditor.

HKSA 450 *Evaluation of Misstatements Identified During the Audit* – paragraph 14

The auditor shall request a written representation from management and, where appropriate, those charged with governance whether they believe the effects of uncorrected misstatements are immaterial, individually and in aggregate, to the financial statements as a whole. A summary of such items shall be included in or attached to the written representation.

HKSA 501 *Audit Evidence – Specific Considerations for Selected Items* – paragraph 12

The auditor shall request management and, where appropriate, those charged with governance to provide written representations that all known actual or possible litigation and claims whose effects should be considered when preparing the financial statements have been disclosed to the auditor and accounted for and disclosed in accordance with the applicable financial reporting framework.

HKSA 540 (Revised) *Auditing Accounting Estimates, Including Fair Value Accounting Estimates, and Related Disclosures* – paragraph 37

The auditor shall request written representations from management and, when appropriate, those charged with governance about whether the methods, significant assumptions and the data used in making the accounting estimates and related disclosures are appropriate to achieve recognition, measurement or disclosure that is in accordance with the applicable financial reporting framework. The auditor shall also consider the need to obtain representations about specific accounting estimates, including in relation to the methods, assumptions or data used.

► EXHIBIT 8.2 List of HKSAs Containing Requirements for Written Representations

HKSA 550 *Related Parties* – paragraph 26

Where the applicable financial reporting framework establishes related party requirements, the auditor shall obtain written representations from management and, where appropriate, those charged with governance that:

- (a) They have disclosed to the auditor the identity of the entity's related parties and all the related party relationships and transactions of which they are aware; and
- (b) They have appropriately accounted for and disclosed such relationships and transactions in accordance with the requirements of the framework.

HKSA 560 *Subsequent Events* – paragraph 9

The auditor shall request management and, where appropriate, those charged with governance, to provide a written representation in accordance with HKSA 580 that all events occurring subsequent to the date of the financial statements and for which the applicable financial reporting framework requires adjustment or disclosure have been adjusted or disclosed.

HKSA 570 (Revised) *Going Concern* – paragraph 16(e)

Requesting written representations from management and, where appropriate, those charged with governance, regarding their plans for future actions and the feasibility of these plans.

HKSA 710 *Comparative Information—Corresponding Figures and Comparative Financial Statements* – paragraph 9

As required by HKSA 580, the auditor shall request written representations for all periods referred to in the auditor's opinion. The auditor shall also obtain a specific written representation regarding any restatement made to correct a material misstatement in prior period financial statements that affect the comparative information.

HKSA 720 (Revised) *The Auditor's Responsibilities Relating to Other Information* – paragraph 13(c)

When some or all of the document(s) determined in (a) will not be available until after the date of the auditor's report, request management to provide a written representation that the final version of the document(s) will be provided to the auditor when available, and prior to its issuance by the entity, such that the auditor can complete the procedures required by this HKSA.

► **EXHIBIT 8.2 (Continued)**

The auditor must ensure that a written representation letter is provided addressing the requirements of the relevant HKSAs prior to, but as close to the date of the auditor's report as possible.

► **Knowledge Check Questions****Question 12**

Identify and explain the three key objectives of the auditor in obtaining the written representation letter from those charged with governance.

Question 13

Identify which of the following HKSAs would not specifically require a written representation from those charged with governance:

- A** HKSA 315 (Revised 2019) *Identifying and Assessing the Risks of Material Misstatement*.
- B** HKSA 550 *Related Parties*.
- C** HKSA 560 *Subsequent Events*.
- D** HKSA 250 (Revised) *Consideration of Laws and Regulations in an Audit of Financial Statements*.



8.8 COMMUNICATION WITH THOSE CHARGED WITH GOVERNANCE

HKSA 260 (Revised) *Communication with Those Charged with Governance* requires the auditor to engage in communications with management and/or those charged with governance, as appropriate throughout the audit process.

8.8.1 Auditor's Responsibilities

The first consideration is to whom the communication should be directed. HKSA 260 (Revised) does not specify this exactly, but states that 'governance is the term used to describe the role of persons entrusted with the supervision, control and direction of an entity'. This implies that the communication should be with the highest level of management, including the executive and non-executive directors, and the Audit Committee, where relevant. The identity of the relevant person(s) to whom the communication will be addressed may be clarified in the engagement letter.

The auditor should aim for effective two-way communication with those charged with governance to enable:

- The auditor to communicate clearly to those charged with governance the responsibilities of the auditor in relation to the audit of the financial statements, and an overview of the planned scope of the audit and the timing of the relevant aspects of the audit, for example if interim procedures (i.e. pre-balance sheet date audit procedures) will be undertaken and when final procedures will take place.
- The auditor to be assured of obtaining from those charged with governance all the information relevant to the audit of the financial statements.
- The auditor to provide those charged with governance with timely observations obtained in relation to the financial statement audit that are significant and relevant to their responsibility to oversee the financial reporting process, including when a fraud has been uncovered by the auditor.

In applying HKSA 260 (Revised) and HKSA 265 *Communicating Deficiencies in Internal Control to Those charged With Governance and Management*, paragraph 9, the auditor is required to communicate with those charged with governance or management about certain matters, including significant qualitative aspects of the entity's accounting practices and significant deficiencies in internal control, respectively. In doing so, the auditor shall consider the matters, if any, to communicate regarding accounting estimates and take into account whether the reasons given to the risks of material misstatement relate to estimation uncertainty, or the effects of complexity, subjectivity or other inherent risk factors in making accounting estimates and related disclosures. In addition, in certain circumstances, the auditor is required by law or regulation to communicate about certain matters with other relevant parties, such as regulators or prudential supervisors. Please note that this is just one of the examples provided by HKSA 540 (Revised) when dealing with accounting estimates.

HKSA 540,
(Revised)
para 38



8.8.2 Audit Matters of Governance Interest

The auditor should consider the type of issues that should be communicated. HKSA 260 (Revised) provides some guidance as to the matters which ordinarily could be incorporated in the communication, including:

- The overall approach and scope of the audit, including any limitations on the scope of the audit.
- The accounting policies, and any changes to them, that could materially affect the financial statements.
- For listed companies, key audit matters (refer to Chapter 9 for details).
- Adjustments arising as a result of audit procedures which could materially impact the financial statements.
- Material events or uncertainties which could jeopardise the going concern status, and which require disclosure within the financial statements.
- Disagreements with management over accounting treatments or disclosures.
- Any expected modifications to the auditor's report.
- Material weaknesses discovered in the internal systems and controls.

The communication to those charged with governance should not just contain findings from the audit, but should cover the range of issues related to the audit, which the auditor may want to raise with management. Such matters may include:

- Details of any threats to independence and objectivity, and of any safeguards adopted.
- Explanations of the audit approach used (e.g. the concept of materiality and its application to the audit process).
- A summary of business risks identified, including an assessment of the likelihood of the risks materialising.
- A review of the contents of written representations.
- Recommendations, where relevant, to help improve the entity's internal systems and controls.

HKSA
260.14–17

Apply and Analyse 6

Apply

Jackie Ling has noted from the interim audit procedures that Nicky Lam documented a number of issues with one of the digital banking platforms of Wong Fu. The issues seem to be a result of the bank's strategy to adopt an 'inside out' approach, which is not supported by the internal skills of personnel to support such a strategy. This lack of expertise has resulted in periods of digital disruption, with customers not able to access their financial data.

Determine the action Jackie should take about the situation.

Apply and Analyse 6 (continued)

Analysis

Jackie Ling has determined that the issues noted by Quality in relation to the digital banking platform should be communicated to those charged with governance. Jackie Ling provided a written report to those charged with governance after the completion of the interim procedures. Her recommendation was that Wong Fu should consider adopting an 'outside in' approach to digital transformation, since digital platforms are constantly changing and the bank may be better served with the knowledge and skills of external digital providers to ensure a reduction in digital disruptions.

8.8.3 Documentation Considerations of the Communications

The auditor should communicate matters to those charged with governance on a timely basis, in order for management to react to the matters raised as soon as possible. Findings from the audit relevant to the accounting and financial reporting function should be communicated before the approval of the financial statements by management. This means that material errors can be corrected by management prior to the auditor's report being issued, thus avoiding a possible modification to the auditor's report. HKSA 260 (Revised) discusses the various forms that the communication should take. In most cases, the communication will be in writing. HKSA 260 (Revised) requires a communication be issued even if there are no matters that the auditor wishes to bring to the attention of those charged with governance. The communication would state that there are no significant findings from the audit to be communicated. The communication could be made orally. In this situation, it is important that the auditor has a written record within the audit working papers of the discussion of significant matters with management. Whichever method is used to formally communicate the matters, oral or written, the process should be seen as a two-way dialogue. Management should have the opportunity to respond to the auditor regarding the matters raised.

HKSA
260.23

The communication with those charged with governance should be viewed as a crucial reporting 'output' of the audit. It allows management to be informed of significant matters arising from the audit process and allows management the chance to respond to the auditor regarding these matters.

Key Learning Point

The auditor must ensure that appropriate two-way communication is maintained with those charged with governance throughout their term as auditor.

► Knowledge Check Questions

Question 14

Identify which of the following would not normally be communicated with those charged with governance:

- A Key audit matters
- B An unmodified auditor's opinion
- C Issues noted with internal controls
- D Uncorrected misstatements

8.9 RELATED PARTIES

For the purpose of this section, HKSA 550 *Related Parties* is the relevant auditing standard. The identification and audit of related party transactions has been an area of focus by standard setters and regulators for some time, as auditors have been inconsistent in applying the requirements of HKSA 550. Auditors often see related party relationships and transactions as disclosure issues under HKAS 24 (Revised) *Related Party Disclosures* and they audit disclosures to confirm that the requirements have been met rather than responding to the risk of material misstatement as a result of fraud or error.

Related parties can be involved in cases of fraudulent financial reporting, as highlighted in several major corporate scandals and collapses. Transactions with related parties can provide scope for distorting financial information in financial statements and hiding the economic substance of transactions or fraud in companies.

8.9.1 Definition of a Related Party

HKSA
550.10

A **related party** is a person or entity that is related to the entity that is preparing its financial statements (referred to here as the 'reporting entity').

A party that is either:

- (a) A related party as defined in the applicable financial reporting framework; or
- (b) Where the applicable financial reporting framework establishes minimal or no related party requirements:
 - (i) A person or other entity that has control or significant influence, directly or indirectly through one or more intermediaries, over the reporting entity;
 - (ii) Another entity over which the reporting entity has control or significant influence, directly or indirectly through one or more intermediaries; or

(iii) Another entity that is under common control with the reporting entity through having:

- Common controlling ownership;
- Owners who are close family members; or
- Common key management.

However, entities that are under common control by a state (that is, a national, regional or local government) are not considered related parties unless they engage in significant transactions or share resources to a significant extent with one another.

HKSA
550.10

A **related party transaction** is a transfer of resources, services or obligations between a reporting entity and a related party, regardless of whether a price is charged.

Close members of the family of a person are those family members who may be expected to influence, or be influenced by, that person in their dealings with the entity and include:

- (a) that person's children and spouse or domestic partner;
- (b) children of that person's spouse or domestic partner; and
- (c) dependents of that person or that person's spouse or domestic partner.



SUMMARY

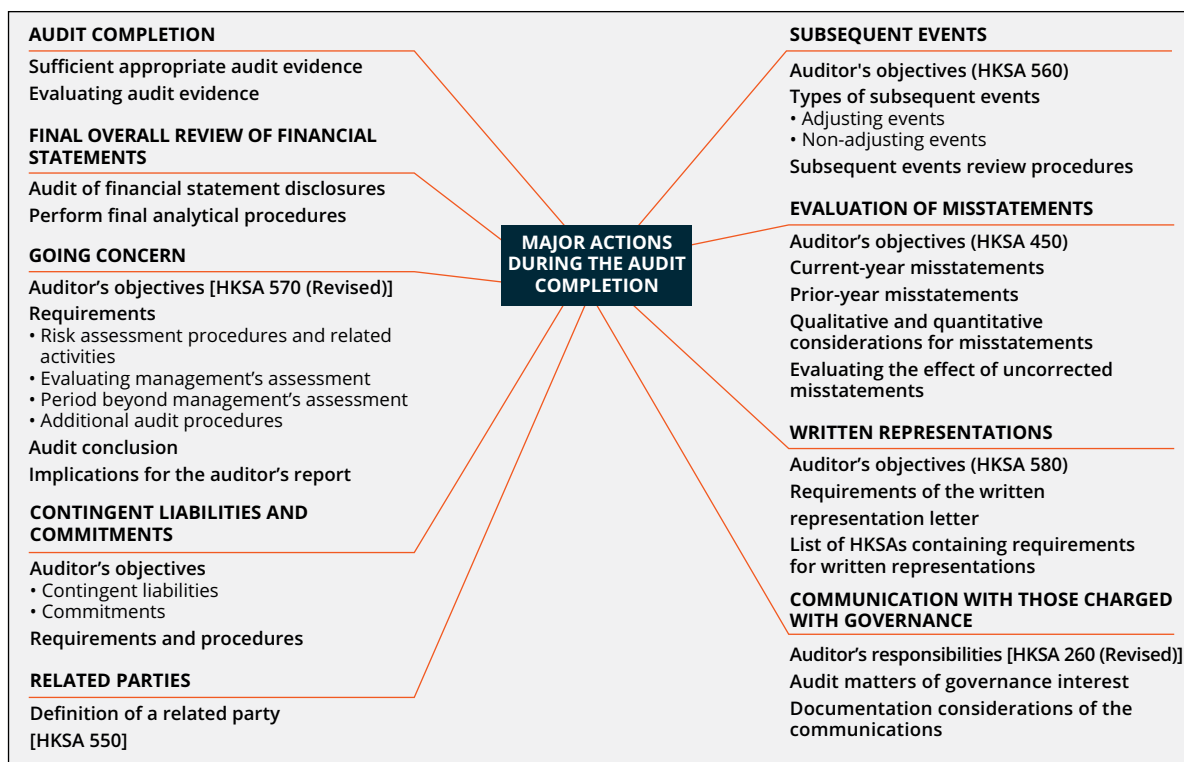
This chapter has set out various requirements of the auditor during the completion phase of the audit. The completion phase should be viewed as bringing all previous activities of the auditor to a conclusion, with the ultimate output being the auditor's report.

Taking a step back and a final overall look at what has been collected in terms of sufficient appropriate audit evidence to support an auditor's opinion is critical.

The auditor must be satisfied that the risk that a material misstatement exists after audit completion has been minimised to an acceptable level.

As has been demonstrated in this chapter, what happens with an auditee can extend past the period end date and even after an auditor's opinion has been signed. Professional scepticism on the part of the auditor never really ceases.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect because the reliability of the audit evidence is a key consideration.
 Answer B is correct because while timing of audit work is important throughout the entire audit process, it is not generally a key consideration when evaluating audit evidence at the completion stage.

Answer C is incorrect because the evidence obtained in support of the auditor's opinion is a key consideration.

Answer D is incorrect because the audit evidence obtained in line with HKSA's is a key consideration.

Question 2

Answer A is incorrect because this is required to be calculated and appropriate disclosure made.

Answer B is correct because this is a qualitative assessment.

Answer C is incorrect because this is a required quantitative disclosure.

Answer D is incorrect because this is a required quantitative disclosure.



Question 3

Answer A is incorrect because final analytical procedures should be conducted in accordance with HKSA 520. Substantive analytical procedures are performed during the audit as part of evidence-collection efforts.

Answer B is incorrect because this is not a requirement of any standard, but may be a firm-level requirement.

Answer C is incorrect because the objective is to obtain note disclosures as early as possible during the audit process.

Answer D is correct because in many of the HKFRSs there are materiality considerations that need to be taken into account in performing the audit of financial statement disclosures.

Question 4

The answer should include reference to the following:

- Quantitative and qualitative factors of the financial statements under review and how this should be conducted.
- Compliance with HKFRSs and the *Companies Ordinance* (Cap.622).
- Final analytical procedures undertaken, and further risk assessments and audit procedures conducted if necessary.
- Materiality when reviewing the financial statement disclosures.
- Obtaining note disclosures early enough that a thorough audit can be conducted over the disclosures.

Question 5

Factors include:

Financial

- Current liabilities exceed current assets.
- Total liabilities exceed total assets.
- Total cash-outflows from operating activities.
- Current and historical operating losses.
- Cash-on-delivery terms commenced by creditors.
- Unusual financing arrangements (usually sourced from offshore countries that have questionable tax regimes).
- Significant legal costs and pending cases.
- Bank covenant breaches.

Operational

- Long lead times on sales of both current and non-current assets.
- Significant amount of debt due and payable.
- Creditor's days extending dramatically.
- Supply chain issues.
- Increase in competition.
- Loss of major customers.

Other

- Recent economic or environmental disasters.
- Changes in laws and regulation.
- Occurrence of non-insurable events.

Question 6

Answer A is incorrect because this best describes a commitment.

Answer B is incorrect because not all contingent liabilities are an accounting estimate.

Answer C is incorrect because this best describes a commitment.

Answer D is correct because this best describes a contingent liability.

Question 7

Answer A is correct because these assertions best describe the objective of the auditor in ensuring the correct disclosure.

Answer B is incorrect because these assertions do not best describe the objective of the auditor in ensuring the correct disclosure.

Answer C is incorrect because these assertions do not best describe the objective of the auditor in ensuring the correct disclosure.

Answer D is incorrect because these assertions do not best describe the objective of the auditor in ensuring the correct disclosure.

Question 8

Answer A is incorrect because the auditor's responsibility in terms of audit procedures only extends to the date of the auditor's report for the current accounting period. If the auditor became aware of an event which could have affected the opinion after the auditor's report date, the auditor would then need to perform additional procedures.

Answer B is incorrect because the auditor's responsibility in terms of audit procedures only extends to the date of the auditor's report for the current accounting period. If the auditor became aware of an event which could have affected the opinion after the auditor's report date, the auditor would then need to perform additional procedures.

Answer C is correct because the auditor's responsibility in terms of audit procedures only extends to the date of the auditor's report for the current accounting period.

Answer D is incorrect because the auditor's responsibility in terms of audit procedures only extends to the date of the auditor's report for the current accounting period. The auditor definitely is not responsible for subsequent events for such an extended period.

Question 9

Adjusting events are those that provide further evidence of conditions that existed at the end of the financial period and require the financial statements to be adjusted.

Non-adjusting events are those that provide evidence of conditions that arose after the end of the financial period which, while not adjusted, are acknowledged by way of note disclosure.

**Question 10**

The answer should reference the following:

- Reference materiality levels.
- Misstatements should be accumulated by each member of the audit team that identifies a misstatement to a central repository, unless clearly trivial.
- Reviewers of working papers should ensure that if a misstatement has been identified, it has been cleared to a central repository.
- Any such misstatements should be accumulated up until the date of the auditor's report.

Question 11

Answer A is incorrect because this is a qualitative assessment.

Answer B is incorrect because this is a qualitative assessment.

Answer C is incorrect because this is a qualitative assessment.

Answer D is correct because this is a quantitative assessment.

Question 12

Answer:

- To obtain written representations from management and, where appropriate, those charged with governance that they believe they have fulfilled their responsibility for the preparation of the financial statements and for the completeness of the information provided to the auditor.
- To support other audit evidence relevant to the financial statements or specific assertions in the financial statements by means of written representations, if determined by the auditor or required by other HKSA.
- To respond appropriately to written representations provided by management and, where appropriate, those charged with governance or, if management or, where appropriate, those charged with governance do not provide the written representations requested by the auditor.

Question 13

Answer A is correct because there are no specific requirements in HKSA 315 (Revised 2019) to obtain written representations.

Answer B is incorrect because paragraph 26 of the standard requires specific written representation.

Answer C is incorrect because paragraph 9 of the standard requires specific written representation.

Answer D is incorrect because paragraph 17 of the standard requires specific written representation.

Question 14

Answer A is incorrect because key audit matters should be communicated to those charged with governance prior to the issuance of the auditor's opinion.

Answer B is correct because an unmodified opinion does not require management's understanding as it is the auditor's opinion that most auditees receive and the wording is set in HKSA 700 (Revised) *Forming an Opinion and Reporting on Financial Statements*.

Answer C is incorrect because material weaknesses in internal controls identified by the auditor should be communicated to those charged with governance.

Answer D is incorrect because the auditor is required to communicate unadjusted misstatements to those charged with governance.

EXAM PRACTICE

QUESTION 1

Stanley Limited is a non-listed company that runs a daytime market, every day of the week, except during the Lunar New Year, on Hong Kong Island. All market stall holders pay weekly rental and at 31 December each year a payment in relation to 5% of total stall holder revenue must be determined by each stall holder and paid to Stanley Limited by 31 January the immediately following calendar year.

- Identify and explain the key elements that contribute to the sufficiency and quality of audit evidence.
- Determine what the auditor should consider when obtaining sufficient appropriate audit evidence that the revenue recognised by Stanley Limited is complete as it relates to the 5% of total stall holder revenue.

QUESTION 2

The auditor of a bank has determined that the level of impairment against its personal loan portfolio is understated and has cleared a material unrecorded Hong Kong dollar amount to the summary of uncorrected misstatements, as follows:

Dr Impairment loss	HK\$XXXX
Cr Personal Loan Portfolio receivable	HK\$XXXX

Identify which of the following would best describe the type of unrecorded misstatement:

- projected misstatements
- correcting misstatement adjusting journal entry
- judgemental misstatement
- factual misstatement.

QUESTION 3

Beijing Tung, a very exclusive clothing and homewares company, has been financially unstable due to their resistance to an online trading strategy. They have taken a very traditional view on their sales strategy and have supported only having stores to sell their products, holding large quantities of inventory. Management has determined that for the purposes of the current audit they are a going concern despite having a substantial



amount of bank debt due and payable within the next 12 months and are actively seeking an online strategy over the next 12 months. Determine the audit procedures for evaluating management's assessment.

QUESTION 4

It has now been determined by the auditors that there is a material uncertainty pertaining to the going concern of Beijing Tung as at 31 December 20X1. Management and the Board do not agree with the auditors and believe they will be able to turn the business around, despite the material bank debt due and payable within 12 months from 31 December 20X1, for which the company does not have the cash flow to support paying. The draft financial statements do not have a note disclosure relating to going concern and the auditors have not been able to obtain any assurances from the bank in relation to an extension for the repayment of the bank debt due and payable. Explain the type of auditor's opinion that is the most likely to be appropriate in these circumstances.

QUESTION 5

On 1 January 20X2 a major announcement was made to the HKEX that Peak Construction Company had purchased several businesses that would start operating at the tourist point and that significant construction and infrastructure would be undertaken in 20X2 that would ensure the longevity of this important tourist hub. List the considerations of auditor in determining the type of subsequent event for the two developments announced by the Company.

QUESTION 6

Describe at least eight matters which may be of interest to those charged with governance and therefore should be communicated during the audit process.

QUESTION 7

Explain the procedures the auditor would normally undertake to determine the completeness and accuracy of contingent liabilities.

QUESTION 8

ABC Limited is an established operator of residential care homes for the elderly in Hong Kong. The operations of ABC Limited are subject to various laws and regulations that mainly relate to, among others, the requirements for licensing, operation, management and supervision of care and attention homes, and registration of health workers in Hong Kong.

ABC operations have to comply with certain other laws and regulations, such as building safety, fire safety, labour, physiotherapists, registered nurses, dealing in and storage of pharmaceutical products and dangerous drugs in order to renew its license to operate.

During the audit for the year ended 31 December 2020, the auditors found that there were instances where ABC Limited failed to comply with certain applicable laws and regulations in Hong Kong.

Required:

List the audit procedures when non-compliance with laws and regulations is identified or suspected.

HKICPA June 2021 (amended)

ANSWERS TO EXAM PRACTICE

QUESTION 1

(a) Source of evidence – external. Externally derived audit evidence has in most cases a greater level of effectiveness if it is concluded that it is independent of management. This evidence usually takes the form of confirmations, expert reports, analysts' reports and benchmarking data. These sources will either act as primary evidence or act to corroborate management's assertions. This source of evidence in most cases would result in a smaller amount of work needing to be collected.

Source of evidence – internal. Audit evidence derived from the entity's accounting records and its controls.

How the audit evidence was obtained and evaluated – inspection, observation, recalculation, reperformance, analytical procedures, inquiry.

Relevance to the risk and assertions being audited – logical connection needs to be achieved.

(b) The auditor of Stanley Limited should seek to obtain sales records of stall holders and agree revenue with stall holder bank accounts. It would be very difficult for the auditor to obtain sufficient appropriate audit evidence with internal records alone, as it would be normal for the stall holders to want to minimise the amount of money paid to Stanley.

QUESTION 2

A is the correct answer because it is a misstatement that has been calculated by the auditor as part of its audit procedures.

QUESTION 3

The answer should include the following:

Audit of budgets and forecasts for sales revenue, expenses, with a detailed analysis of the underlying assumptions and appropriateness of their use.

- Understand the reasonableness of the plans to minimise the level of investment in inventory levels.
- Management plans and minutes supporting changes to operating strategies and plans, to go to online sales.
- Confirm, when creditors or financiers give written agreement that they will not call back what is owed to them for at least 12 months from the date of the financial statements, that this is financially viable.
- Obtain proof of support from related parties that they can underwrite any payments of debts as and when they fall due for 12 months from the date of the financial statements.
- Understand what further funding from creditable financiers could be obtained.

QUESTION 4

The most appropriate auditor's opinion in these circumstances is an adverse opinion. Management and those charged with governance have not made any disclosure in the financial statements that Beijing Tung will have to prepay debt within 12 months of the date of the financial statements and it is not foreseeable that they will have the funds to make this repayment. There also does not appear to be any other alternative sources of finance



that have either been disclosed in the financial statements or are discoverable by the external auditors.

QUESTION 5

The key considerations in relation to the two circumstances announced being adjusting or non-adjusting events are as follows:

- Those that provide further evidence of conditions that existed at 31 December 20X1 would be deemed an adjusting event and the financial effects would be adjustable. It is likely that the purchase of the businesses referred to if signed on 1 January 20X2 would reasonably have been decided upon and due diligence completed well before 31 December 20X1. To this end, as long as the financial aspects of the contracts can be reasonably measured, it is likely that the financial impact of the transactions should be taken into account in the 31 December 20X1 financial statements. The auditor will be able to make such a determination by reviewing minutes of meetings, enquiries of management, contacting legal counsel, reviewing contracts and the results of due diligence.
- Those conditions that arose after the balance date but before the issuance of the financial statements would be a non-adjusting event and would, if material, result in a note disclosure in the financial statements. It is likely that the announcement pertaining to the construction would fit into this category, as it will be material to the entity but does not seem to have progressed. All of this would be confirmed by the auditor reviewing minutes of meetings, enquiries of management, review of plans if they exist and documentation of communication with potential construction companies.

QUESTION 6

The eight matters should include the following:

- The overall approach and scope of the audit, including any limitations on the scope of the audit.
- The accounting policies, and any changes to them, that could materially affect the financial statements.
- For listed companies – key audit matters.
- Adjustments arising as a result of audit procedures which could materially impact the financial statements.
- Material events or uncertainties which could jeopardise the going concern status, and which require disclosure within the financial statements.
- Disagreements with management over accounting treatments or disclosures.
- Any expected modifications to the auditor's report.
- Material weaknesses discovered in the internal systems and controls.
- Details of any threats to independence and objectivity, and of any safeguards adopted.
- Explanations of the audit approach used (e.g. the concept of materiality and its application to the audit process).
- A summary of business risks identified, including an assessment of the likelihood of the risks materialising.

- A review of the contents of written representations.
- Recommendations, where relevant, to help improve the entity's internal systems and controls.

QUESTION 7

The auditor will normally undertake the following procedures to determine the completeness and accuracy of contingent liabilities:

- An external confirmation issued in line with HKSA 505 *External Confirmations* to legal counsel and banks. The types of information the auditor might ask for include:
 - A list and progress report of any pending or imminent litigation to which legal counsel has given substantial attention.
 - A list of other claims, such as warranties and guarantees, including comment from legal counsel on their opinion of probability and HKD outcome.
 - Bank guarantees.
- Examination of the minutes of the Board of Directors to determine if, for example, any guarantees have been approved against loans.
- Examination of any environmental reviews and their likely outcomes for the entity.
- Consideration of industry practices. For example, for mining companies, it is common that contracts will include 'make good' (restoration) clauses which, as events occur (e.g. a tenement is used up), will see the recognition criteria for liabilities met (as the need to restore an asset becomes probable and can be reliably estimated).
- Review of product warranty arrangements.

QUESTION 8

If the auditor becomes aware of information concerning an instance of non-compliance or suspects non-compliance with laws and regulations, the auditor shall obtain:

- (a) An understanding of the nature of the act and the circumstances in which it has occurred.
- (b) Further information to evaluate the possible effect on the financial statements.

If the auditor suspects there may be non-compliance, the auditor shall discuss the matter, unless prohibited by law or regulation, with the appropriate level of management and, where appropriate, those charged with governance.

If management or, as appropriate, those charged with governance do not provide sufficient information that supports that the entity is in compliance with laws and regulations and, in the auditor's judgment, the effect of the suspected non-compliance may be material to the financial statements, the auditor shall consider the need to obtain legal advice.

The auditor shall request management and, where appropriate, those charged with governance, to provide written representations that all known instances of non-compliance or suspected non-compliance with laws and regulations whose effects should be considered when preparing financial statements have been disclosed to the auditor.

The auditor shall evaluate the implications of identified or suspected non-compliance in relation to other aspects of the audit, including the auditor's risk assessment and the reliability of written representations, and take appropriate action.



Part C

Auditor's Reporting



Chapter 9 Auditor's Reporting

9

Auditor's Reporting

CHAPTER TOPIC LIST

9.1 Auditor's Objectives

- 9.1.1 Importance of the Auditor's Report
- 9.1.2 Implications of Materiality to the Auditor's Opinion

9.2 Components of an Auditor's Report

- 9.2.1 Title of Auditor's Report
- 9.2.2 Addressee
- 9.2.3 Auditor's Opinion
- 9.2.4 Basis for Opinion
- 9.2.5 Other Information
- 9.2.6 Responsibilities of Directors and Those Charged with Governance
- 9.2.7 Auditor's Responsibilities for the Audit of the Financial Statements
- 9.2.8 Report on Other Legal and Regulatory Requirements

9.3 Auditor's Report Requirements

9.4 Form of Opinion

- 9.4.1 Unmodified Opinion
- 9.4.2 Modified Opinion

9.5 Modified Opinions

- 9.5.1 Qualified Opinion
- 9.5.2 Adverse Opinion
- 9.5.3 Disclaimer of Opinion

9.6 Additional Communications in the Auditor's Report

- 9.6.1 Key Audit Matters (KAMs)
- 9.6.2 Other Information
- 9.6.3 Material Uncertainty Related to Going Concern
- 9.6.4 Emphasis of Matter Paragraph
- 9.6.5 Other Matter Paragraph



LEARNING OUTCOMES

PRINCIPAL LO5: PREPARE AN AUDITOR'S REPORT

LO5.01: Analyse the basis of an auditor's report

5.01.01 Analyse the importance of the auditor's report on financial statements

5.01.02 Categorise auditors' reports by requirements and circumstances

5.01.03 Explain how materiality affects audit reporting decisions

5.01.04 Describe the elements of an auditor's report

LO5.02: Demonstrate an understanding of the circumstances that require modification to an auditor's report

5.02.01 Explain and analyse the conditions that justify issuing an unmodified auditor's report

5.02.02 Demonstrate an understanding of the format and content of emphasis of matter and other matter paragraphs

LO5.03: Demonstrate an understanding of the circumstances that require the auditor to express modified audit opinions

5.03.01 Explain and analyse the conditions that justify expressing a modified audit opinion

5.03.02 Demonstrate an understanding of the format and content of the opinion and the basis for opinion paragraphs when modified audit opinions are expressed



OPENING CASE

CWAVES FERRY HOLDING COMPANY LIMITED

This case study is the basis for illustration in the rest of this chapter.

CWaves Ferry Holding Company Limited (CWaves) is a publicly listed company on the Hong Kong Stock Exchange (HKEX); it operates ferry services in Hong Kong Harbour, Sok Kwu Wan, Shenzhen and Macau. CWaves has a 31 December year-end and has 10 wholly owned subsidiaries which it must consolidate for the purpose of reporting under s.379(2) of the *Companies Ordinance* (Cap.622) and HKFRS 10 *Consolidated Financial Statements*. The CWaves group has significant investments in buildings, godowns, port infrastructure, travel agencies and hotels.

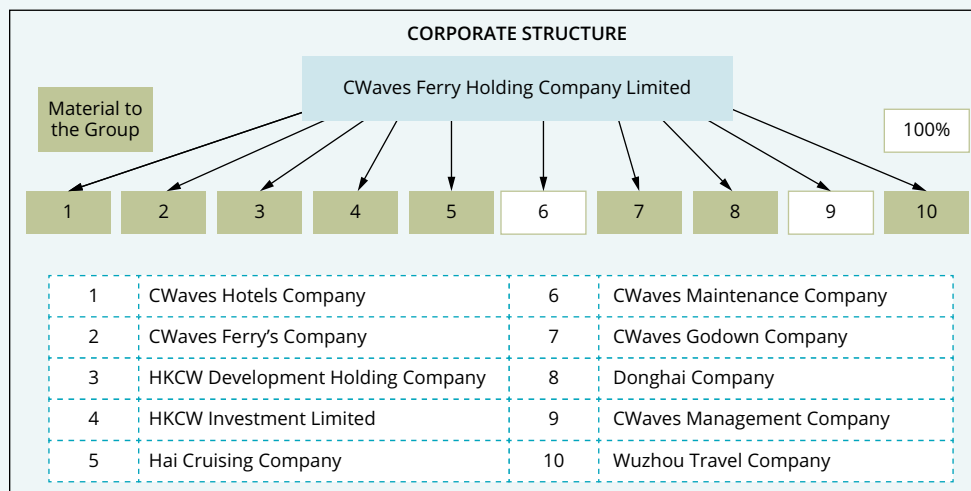
Charles Cheng is a newly appointed independent non-executive director of CWaves. He is concerned about the possible audit reporting outcomes for the coming year-end audit cycle. CWaves must lodge its financial report under its annual filing obligations; however, on top of this CWaves must also provide – on an annual basis – audited financial statements prepared under the Hong Kong Financial Reporting Standards (HKFRSs) for its eight material subsidiaries for its off-shore banks per the banking agreements. The banking arrangements entered require audited financial statements to be forwarded to the banks five months after each year-end.

Charles Cheng is concerned about the level of key audit matters that might be disclosed in the auditor's report of CWaves consolidated financial statements, given the complexity surrounding the accounting for some of the groups' non-current assets, and its share-based payments to directors. He is also concerned what effect this might have on the share price of CWaves.

The auditor's reports for some of the material subsidiaries are also concerning Charles Cheng for the following key reasons:

1. CWaves Hotels has suffered losses for the last three years and the level of external debt has increased substantially over the last two years. Also, there have been net cash outflows from operating activities in those years. There are no cross guarantees between this company and other companies in the CWaves Group.
2. Wuzhou Travel Company's revenue recognition policy and accounting have been the topic of discussion and concerns expressed by the company's external auditor (Quality Audit Firm ('Quality')) for a number of years; Quality has noted during the planning phase for the upcoming 31 December 20X2 year-end audit that if there is a material issue emerging in the current year under the requirements of HKFRS 15 *Revenue from Contracts with Customers*, a modification to the auditor's opinion might be required.

The group structure is as in Exhibit 9.1. 



► **EXHIBIT 9.1** Group structure of CWaves Ferry Holding Company Limited



OVERVIEW

Understanding an auditor's report and what goes behind it can be a complex task for auditors, as well as stakeholders, such as management, and those charged with governance, like the Board of Directors, not to mention the auditor themselves. The final decision as to what the auditor's report will look like is that of the auditor alone, but is fundamentally shaped by the requirements of auditing standards, laws and regulations. It reflects the independent nature of auditors and their reporting.

This chapter looks at the various steps the auditor must take in determining the appropriate form of auditor opinion. It also explores the different types of auditor's reports, from unmodified to modified, and takes into consideration the *Companies Ordinance* (Cap.622) requirements.

It is important for an accountant in public practice or an accountant in business to understand the auditor's reports as set out in the auditor's reporting standards suite – HKSA 700 (Revised) *Forming an Opinion and Reporting on the Financial Statements*. Practice Note (PN) 600.1 (Revised) *Reports by the Auditor under the Companies Ordinance* (Cap.622) issued by HKICPA is very helpful in terms of general application for auditor's reporting.



9.1 AUDITOR'S OBJECTIVES

Management is responsible for designing and maintaining an accounting system that appropriately draws data together from other internal management reporting systems to capture all business transactions, events and circumstances needed to compile a set of financial statements. Those outside the company – such as stakeholders, the Hong Kong Stock Exchange (HKEX), the Inland Revenue Department (IRD) and the Companies Registry – may be concerned about whether management has prepared the financial statements in accordance with HKFRSs, the *Companies Ordinance* (Cap.622) and other regulations that may be applicable to the auditee.

The auditor, exercising professional judgement and scepticism, will review the (implicit and explicit) assertions of management and consider whether management could have unintentionally or intentionally presented some of the financial information and/or events more optimistically or pessimistically than required under HKFRSs. Or could management have intentionally included fictitious revenues, omitted expenses, hidden bank loans, or bolstered

inventory numbers so that the financial statements would appear other than in accordance with the company's actual financial position?

The objectives of the auditor in forming an auditor's opinion, therefore, are:

1. To form an opinion on the financial statements based on an evaluation of the conclusions drawn from the audit evidence obtained; and
2. To clearly express that opinion through a written report.

9.1.1 Importance of the Auditor's Report

An independent auditor's report is designed to significantly reduce the concerns that unintentional and intentional misstatements may have occurred and to provide assurance that the financial statements, as a whole, are prepared in accordance with HKFRSs and can be relied on by all users of the financial statements.

The importance of the independence of the auditor cannot be overstated, as it is fundamental to the level of confidence that the auditor's report is appropriate and that the message of the auditor's report will be heard in whatever form it takes, unmodified or modified (the different types of auditor's reports will be explored in detail later in this chapter).

Independence is covered in more detail in Chapter 2. However, as a result of a number of corporate scandals and failures in the United States and elsewhere in the 1990s, and those of the Global Financial Crisis in 2007–2008, significant focus was placed on the degree of auditor's independence. Regulator intervention, new accounting and auditing standards, and considerable media focus and investor criticisms ensued from those scandals and failures. These developments, in turn, led to a greater focus by the International Ethics Standards Board for Accountants (IESBA), and in Hong Kong by the HKICPA, on auditor's independence and maintaining confidence in the auditor's reports.

The importance of the auditor's report has been described here to assist understanding of the fundamental premise of the need for auditor's reporting.

► Knowledge Check Questions

Question 1

Identify which of the following options best describes the main reason an independent auditor reports on financial statements:

- A** To give users of the financial statements assurance that any fraudulent activities will be detected.
- B** To identify a poorly designed internal control structure that may produce unreliable financial statements.
- C** To provide expertise to the auditee, who may not be totally knowledgeable of the HKFRSs.
- D** To provide independent assurance of the relevance and reliability of the auditee's financial statements.

HKSA
700.11

9.1.2 Implications of Materiality to the Auditor's Opinion

The overall objectives of the auditor are to obtain and communicate in the auditor's report reasonable assurance that the financial statements are free from material misstatement whether caused by fraud or error. Materiality therefore is a crucial concept at all stages of the audit process, from planning continuously through to the point of signing the financial statements. The concept of materiality was addressed in detail in Chapters 3 and 4, so if need be, please refer back to these chapters or to HKSA 320 *Materiality in Planning and Performing an Audit*.

As the auditor moves through the conduct of the auditor's procedures in whatever form the auditor determines is appropriate to reduce detection risk (see Chapter 4) to an acceptable level, the auditor must consider the likely implications of any misstatements that are discovered for the financial statements.

At the end of the audit, when drawing a conclusion on any uncorrected misstatements and making a final determination on the impact the uncorrected misstatements may have on the financial statements and ultimately the auditor's opinion, the auditor should re-evaluate the level of materiality that has been used during the course of the audit. The auditor must then determine whether the level of materiality remains appropriate at the time of the preparation of the financial statements and at the time of the issuance of the auditor's report.

It is very important in practice to take the time to stand back from the detail of all the working papers that have been collated throughout the entire audit process and to reflect on the overall materiality levels being applied to the final decisions on the form of the auditor's opinion. This will also help the auditor to decide whether, or not, further audit procedures are necessary in light of the facts and circumstances. Ultimately, this process serves to reduce audit risk.

Remember that some HKSAs specifically require the auditor to 'stand back' and evaluate the audit evidence collated. For example, HKSA 540 (Revised) *Auditing Accounting Estimates and Related Disclosures* recognises that some accounting estimates may pose a significant risk of material misstatement and hence the auditor must obtain sufficient appropriate audit evidence to support the estimate. The auditor must 'stand back' and consider whether the audit evidence obtained is sufficient and appropriate or whether additional audit procedures are necessary in the circumstances. Accounting estimates will also be taken into account at the planning phase of the audit when the auditor is determining the materiality levels.

Financial statements are prepared by management on the basis that they are in accordance with HKFRSs, the *Companies Ordinance* (Cap.622) and other relevant legal and regulatory requirements and so are not materially misstated. Management themselves will have made their own determination as to the materiality levels during the preparation of the financial statements. The auditor, in determining the levels of materiality throughout the audit process, will come to an independent conclusion on management's assumptions about materiality.

As materiality is concerned with the level of importance of information provided to users for making economic decisions, the auditor is required to be mindful of both the quantitative and qualitative characteristics of the information being considered. For example, a provision for legal costs against the audit client for environmental indiscretions may be quantitatively immaterial, but the disclosures surrounding the environmental indiscretions may influence the auditor's assessment of what users may consider material. Another example might be a non-arm's-length transaction initiated by a director of the audit client that is small in terms of Hong Kong Dollar (HKD) value but is important to the user's understanding of the governance of the client.

Each individual misstatement should be considered to determine its effects on the relevant classes of transactions, account balances or disclosures and whether the materiality level for the specific class of transactions, account balance or disclosure has been surpassed. Note that any misstatements which have arisen due to fraud are always considered qualitatively material even if they are not quantitatively material.

If a misstatement is determined to be material, care should be taken not to confuse that assessment by combining it inappropriately with other material misstatements. For example, if revenue has been materially overstated, the financial statements as a whole will be materially misstated even if a cost of sales misstatement offsets the ultimate effect on profit and loss and other comprehensive income.

The auditor may need to re-evaluate the risks of material misstatement for a specific account balance or class of transactions upon detection of a number of individually immaterial misstatements within the particular account balance or class of transactions that, taken together, might be material.

In determining the final form of the auditor's opinion, the auditor must be mindful that to express an unmodified opinion the auditor needs to conclude that the financial statements as a whole are prepared 'in all material respects, in accordance with the applicable reporting framework'.

If the auditor concludes that the financial statements as a whole are not free from material misstatement, then the auditor's opinion will need to be modified and reference will need to be made to HKSA 705 (Revised) *Modifications to the Opinion in the Independent Auditor's Report* as to the appropriate level of modification.

The concept and application of the independent auditor's determination of materiality is one of the central elements in determining the appropriate auditor's opinion.

HKSA
700.16

► Knowledge Check Questions

Question 2

Identify which of the following major audit concepts relates most closely to the fact that errors and/or omissions in certain relatively insignificant account balances would not affect an auditor's decision when reporting on the financial statements as a whole:

- A** Audit risk
- B** Managements assertions
- C** Materiality
- D** Reasonable assurance

Question 3

Identify the right time for the auditor to consider whether the appropriate level of materiality has been determined for the purpose of concluding on the auditor's report:

- A** Throughout the entire audit process, with a final reflection in determining the appropriate auditor's opinion.
- B** At the auditee's balance sheet date, when the first draft of the financial statements has been prepared.
- C** At the date of the auditor's report.
- D** At the planning phase of the audit and throughout the audit process so that any misstatements can be determined.

9.2 COMPONENTS OF AN AUDITOR'S REPORT

An auditor's report must be in writing in all cases, no matter the basis for opinion. The components to the auditor's report will vary depending on the type of report. In Hong Kong, HKSA 700 (Revised) provides eight illustrations of independent auditor's reports on financial statements, HKSA 705 (Revised) provides another five illustrations, HKSA 706 (Revised) provides two illustrations and HKSA 800 (Revised) *Special Considerations – Audits of Financial Statements Prepared in Accordance with Special Purpose Frameworks* provides three illustrations. Although the illustrations are appendices to each of the auditing standards, they are relevant guidance when constructing an appropriate auditor's report.

9.2.1 Title of Auditor's Report

The auditor's report must state clearly that it is an *independent* auditor's report. This reaffirms to financial statement users that the auditor is independent of management and provides assurance to those seeking to place reliance on the opinion.

9.2.2 Addressee

HKSA
700.22

The nature of the audit will determine to whom the auditor's report should be addressed. The most common addressee is the party for whom the auditor's report has been prepared, normally either the shareholders or, for non-listed companies, it is common that the auditor's report be addressed to those charged with governance.

In Hong Kong it is very common to state in the auditor's report where the company was incorporated.

9.2.3 Auditor's Opinion

HKSA 700 (Revised) requires the auditor's opinion to be presented at the start of the auditor's report. This allows the opinion to be given prominence in the auditor's report.

HKSA
700.23–27

As a precursor to the actual opinion, it is common for a subtitle to be presented setting out which financial statements are being addressed. This will normally be 'Report on the Audit of the Financial Statements' or 'Report on the Audit of the Consolidated Financial Statements'.

The first paragraph of the opinion section in all cases:

- States that the financial statements have been audited.
- Identifies the auditee, whether a single company [e.g. CWaves Hotels Company ('the Company')] for single-company financial statements or a group audit [e.g. CWaves Ferry Holding Company Limited and its subsidiaries ('the Group')] for a consolidated set of financial statements.
- Defines the pages of the financial statements that the auditor's opinion covers.

- States the specific components of the financial statements upon which an auditor's opinion is given:
 - Statement of financial position as at a defined point in time (e.g. 31 December 20X1).
 - Statement of profit or loss and other comprehensive income; statement of changes in equity and statement of cash flows for the year (or, when relevant, the period) then ended. [Note that HKAS 1 (Revised) *Presentation of Financial Statements* allows entities to present comprehensive income using either a one-statement approach or a two-statement approach. The importance is consistency with the titles of the corresponding statements.]
 - Notes to the financial statements, including the summary of significant accounting policies.

The second paragraph indicates whether the auditor's opinion on the financial statements is

- unmodified
- modified
 - qualified opinion
 - adverse opinion
 - disclaimer of opinion

The different types of opinion will be explored in detail later in this chapter.

9.2.4 Basis for Opinion

HKSA
700.28

This paragraph follows directly after the Opinion paragraph and gives the users of the financial statements an understanding of the basis used in coming to the auditor's opinion. This is relevant to all opinions, except when a Disclaimer of Opinion is issued. (The basis for a Disclaimer of Opinion will be addressed in detail later in this chapter.)

HKSA 700 (Revised) requires that the Basis for Opinion paragraph states that the audit was conducted in accordance with HKSAs and that reference is made to the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of the auditor's report, where the auditor's responsibilities are set out in more detail.

This paragraph must also state the independence and ethical basis on which the opinion has been formed. In Hong Kong, this is the HKICPA's *Code of Ethics for Professional Accountants* (the Code). The Revised version of this Code takes effect from June 2019 in Hong Kong and was last updated in May 2022.

Finally, the auditor states whether the auditor believes that the audit evidence obtained was sufficient and appropriate to provide the basis for the auditor's opinion.

9.2.5 Other Information

HKSA
700.32

The auditors must make reference to their responsibilities relating to other information if relevant. These responsibilities are set out in HKSA 720 (Revised) *The Auditor's Responsibilities Relating to Other Information* and also extend to the requirements of the *Companies Ordinance* (Cap.622). The auditor is required to read 'other information' that exists within the financial

report but outside the financial statements covered by the auditor's opinion. Some examples are the chairman's statement, a summary of highlights, management discussion and analysis, corporate governance report. Further examples can be seen in Appendix 1 in HKSA 720 (Revised). Note that, as with the financial statements themselves, the directors are responsible for the preparation and presentation of other information.

The auditor must state that no opinion is given on the 'other information' and that the auditor's responsibility extends only to reading the other information to ensure that it is materially consistent with the information disclosed as part of the financial statements.

If the auditor concludes that there is a material inconsistency of the 'other information' (for example, referring to an incorrect profit or loss figure than that reported in the statement of profit or loss), then the auditor is required to report that fact if the inconsistency is not corrected. If no material inconsistencies exist, then the auditor simply states that, based on the audit work completed, nothing has come to their attention that requires reporting. The auditor cannot provide any assurance on 'other information' because they are not applying audit procedures over the other information.

9.2.6 Responsibilities of Directors and Those Charged with Governance

The auditor's report must state that the directors are wholly responsible for the preparation of the financial statements and that they are responsible for such internal controls as they deem necessary to enable the preparation of the financial statements free from material misstatement, whether due to fraud or error.

HKSA
700.33–36

The directors must be satisfied that in their view the financial statements have been prepared to give a true and fair view in accordance with HKFRSs and the *Companies Ordinance* (Cap.622). In addition, those charged with governance are responsible for the oversight of the financial reporting process and reference to this responsibility is also included in the auditor's report. HKSA 700, para A49 states:

When some, but not all, of the individuals involved in the oversight of the financial reporting process are also involved in preparing the financial statements, the description as required by paragraph 35 of this HKSA may need to be modified to appropriately reflect the particular circumstances of the entity. When individuals responsible for the oversight of the financial reporting process are the same as those responsible for the preparation of the financial statements, no reference to oversight responsibilities is required.

HKSA
700.A49

There is now, in the revised auditor's reporting standards HKSA 700 (Revised) paragraph 34(b), a reference to the directors' specific statement in relation to the ability of the company or the group to continue as a going concern, and where applicable appropriate disclosures have been made. This is replicated by the directors themselves in the body of the financial statements and the financial report.

Finally, a statement is included that the directors are responsible for the oversight of the financial reporting process.

9.2.7 Auditor's Responsibilities for the Audit of the Financial Statements

Under the revised auditor's reporting suite of HKSA, the auditor's responsibilities paragraphs can be displayed in a number of ways, and various approaches have been employed in practice (as will be shown below).

HKSA
700.37–42

The first paragraph describing the auditor's responsibilities, as set out in HKSA 700 (Revised), must be disclosed in all types of auditor's reports except where a Disclaimer of Opinion is issued. (Illustrations 4 and 5 of HKSA 705 (Revised) give the required statements for Disclaimer of Opinion conclusions.) The key point made is that the objective of the auditor is to provide reasonable assurance (not a guarantee) about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error. The auditor states that misstatements are considered material if, individually or in aggregate, they could influence the economic decisions of users of the financial statements.

The requirements of HKSA 700 (Revised) contain a shaded section. This section sets out matters that can be addressed at the auditor's discretion:

- within the body of the auditor's report;
- as an appendix to the auditor's report; or
- by reference to the relevant authority or the auditor's firm website where the exact description of the auditor's responsibilities as described in HKSA 700 (Revised) are documented.

The shaded area of HKSA 700 (Revised) also outlines the following required disclosures. The auditor states that, as part of an audit conducted in accordance with HKSA, the auditor maintains professional judgement and scepticism throughout the audit, and specifically:

- Identifies and assesses the risk of material misstatement in the financial statements, whether due to fraud or error.
- Obtains an understanding of the control environment relevant to the design and execution of audit procedures.
- Assesses the adequacy of the accounting policies adopted by the directors.
- Concludes on the directors' declaration associated with the going concern assumption.
- Concludes on whether the financial statements, including disclosures, appropriately reflect the underlying transactions and events in the period covered by the auditor's report.
- Remains solely responsible for the auditor's opinion.
- Communicates with the directors and management throughout the audit process in line with the requirements of HKSA 260 (Revised) *Communication with Those Charged with Governance*.

9.2.8 Report on Other Legal and Regulatory Requirements

The matters addressed in this section are those required outside the requirements of the HKSA, which would not otherwise be covered in the auditor's report. The most common requirements in Hong Kong are those of the *Companies Ordinance*. For example, Section 407 requires the auditor to opine on other matters. Section 407(2) (a) requires a statement where adequate accounting records have not been kept by the company. While the form of auditor's opinion would reflect this in broad terms, the *Companies Ordinance* (Cap.622) requires an explicit comment from the auditor under the heading 'Report on Other Legal and Regulatory Requirements'. Further examples can be found in PN 600.1 (Revised) reports by the Auditor under the Companies Ordinance (Cap.622).

The auditor's report must also include:

- For audits of listed companies, the engagement partner's name.
- The auditor's name.
- Whether the auditor is a Certified Public Accountant (Practising) or Certified Public Accountant.
- The auditor's address, including the location in the jurisdiction where the auditor practices.
- The date of the auditor's report.

It may also include:

- Communication of matters relating to audit planning and scoping matters, where law or regulation requires.
- Where law, regulation or generally accepted accounting practice requires, or permits, the auditor to provide further explanation of their responsibilities.
- Communication that the auditor's report is intended solely for the intended users and should not be distributed or used by other parties.
- Explanation why the auditor has not resigned where a **pervasive** inability to obtain sufficient and appropriate audit evidence has been imposed by the entity's management, such as denying the auditor access to the books and records of the entity and the auditor is unable to withdraw from the engagement due to legal restrictions.

The content of the independent auditor's report can vary quite considerably depending on the final outcomes of the audit process and in the later part of this chapter, there is some complexity in the Opinion and Basis for Opinion paragraphs when a modified auditor's opinion is issued. The format of the auditor's report is consistent.

► Knowledge Check Questions

Question 4

Identify which of the following is not explicitly included in an auditor's report:

- A** A statement that the auditor believes the audit provides a reasonable basis for expressing negative assurance.
- B** A statement that the auditor's responsibility is to express an opinion on the financial statements.
- C** A statement that the financial statements in the financial report are the responsibility of directors.
- D** A title with the word 'independent'.

Question 5

Identify which of the following would be expected to be seen in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section in the auditor's report:

- A** That the auditor's responsibilities include the documentation and review of the internal controls that pertain to the material transactions and balances of the auditee.

► **Knowledge Check Questions (*continued*)**

- B** That the auditor has assessed the directors' going concern basis of accounting for at least a period of five years from the date of the auditor's opinion.
- C** That the auditor provides reasonable assurance to guarantee that the financial statements as a whole are free from material misstatement.
- D** That the auditor provides those charged with governance with a statement that the auditor has complied with the relevant ethical requirements.

9.3 AUDITOR'S REPORT REQUIREMENTS

As indicated previously, once the audit procedures have been appropriately carried out, the auditor must stand back from what has been collected and determine whether detection risk has been sufficiently minimised across each audit assertion relating to material balances and disclosures, to form an appropriate view on the form of the auditor's opinion.

The auditor must also review the unadjusted misstatements that have accumulated during the course of the audit and evaluate their impact on the auditor's opinion.

The auditor's opinion is the direct communication between the auditor and the users of the financial statements. It provides the auditor with the opportunity to explain how the opinion has been formed and the basis for the conclusions drawn.

The following are the possible types of auditor's opinions and the key messages they communicate to users.

- **Unmodified Opinion**

The financial statements give a true and fair view in accordance with HKFRSs. This is the best opinion an auditor can deliver.

- **Modified Opinion – Qualified**

In the auditor's opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of the auditor's report, the financial statements give a true and fair view in accordance with HKFRSs. This opinion demonstrates some reservation on the part of the auditor about the financial statements as a whole.

- **Modified Opinion – Adverse**

The financial statements as a whole do not give a true and fair view in accordance with HKFRSs, for the reasons disclosed in the Basis for Adverse Opinion paragraph. This is a very serious opinion for the auditor to deliver, as it is indicating to users that the financial statements cannot be relied upon.

- **Modified Opinion – Disclaimer of Opinion**

An opinion is not expressed on the financial statements, with the basis being described in the Basis for Disclaimer of Opinion paragraph. The auditor makes this

conclusion when the auditor has been unable to obtain sufficient appropriate audit evidence to conclude. Given the responsibilities upon management to prepare financial statements in accordance with the applicable financial reporting framework, this too is an unfortunate conclusion. The rest of this chapter explains the judgement required on the part of the auditor to determine what form the final auditor's opinion will take.

► Knowledge Check Questions

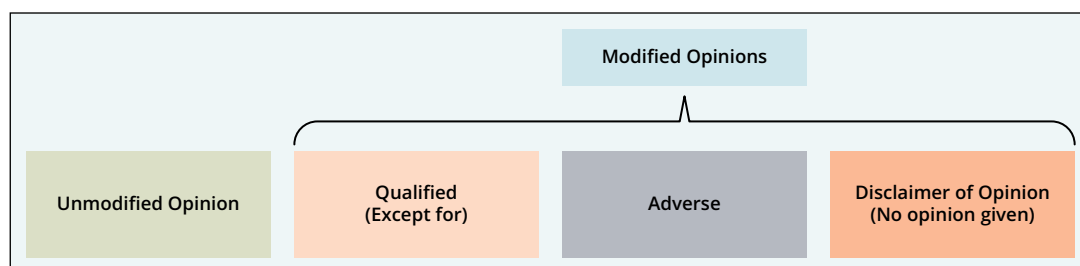
Question 6

Identify the key message that is communicated in a qualified auditor's report.

- A** The financial statements give a true and fair view in accordance with HKFRSs.
- B** The auditor cannot draw a conclusion on a specific element of the financial statements.
- C** The financial statements give a true and fair view in accordance with HKFRSs except for a certain matter.
- D** The financial statements do not give a true and fair view in accordance with HKFRSs.

9.4 FORM OF OPINION

The form of the auditor's opinion can have a serious impact on the decisions made by the users of the financial statements. There is a continuum in terms of opinions which will be explored in more detail in the remainder of this chapter (Exhibit 9.2).



► EXHIBIT 9.2 Forms of opinion

9.4.1 Unmodified Opinion

In an unmodified opinion the auditor concludes that the financial statements give a true and fair view in accordance with the applicable financial reporting framework. Globally and in Hong Kong, an unmodified opinion is the most common opinion outcome. This is to be expected, as a successful audit is one that has detected and corrected any material misstatements identified by the auditor, to a high level of assurance. The resulting audited financial statements merit an unmodified auditor's opinion.

Illustrative Example 1

This example is only intended to illustrate the Opinion and Basis for Opinion paragraphs of unmodified opinion.

INDEPENDENT AUDITOR'S REPORT

*To the members of CWaves Ferry Holding Company Limited
(incorporated in Hong Kong with limited liability)*

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of CWaves Ferry Holding Company Limited and its subsidiaries ('the Group') set out on pages x to xx, which comprise the consolidated statement of financial position as at 31 December 20X2, the consolidated statement of profit or loss and other comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the consolidated financial statements give a true and fair view of the consolidated financial position of the Group as of 31 December 20X2, and of its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with Hong Kong Financial Reporting Standards (HKFRSs) issued by the Hong Kong Institute of Certified Public Accountants (HKICPA) and have been properly prepared in compliance with the Companies Ordinance (Cap.622).

Basis for Opinion

We conducted our audit in accordance with Hong Kong Standards on Auditing (HKSAs) issued by the HKICPA. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the HKICPA's Code of Ethics for Professional Accountants ('the Code'), and we have fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Apply and Analyse 1

Apply

CWaves Godown Company ('Godown') is a material subsidiary of CWaves Ferry Holding Company Limited, and has made a profit for the year ending 31 December 20X2. The operations for the year have been consistent with prior years and the Godowns are at near capacity. It is likely that expansion of this subsidiary will occur over the next couple of years, with investment in the construction of further Godowns to meet the demand for space. This expansion is planned to be funded by significant external debt. Quality, the company's auditor, is completing the current year's audit. Determine the appropriate type of auditor's opinion to issue.

Apply and Analyse 1 (continued)

Analysis

Quality would need to reference HKSA 700 (Revised) in the first instance to determine the likely auditor's opinion to be issued. From the information given, it appears that Quality would be looking to issue an unmodified opinion. Quality should consider whether there is anything that they may need to draw users' attention to. In this instance, it is highly unlikely that there would be any note disclosure in relation to going concern, so a Material Uncertainty Related to Going Concern paragraph would not be needed. The discussion concerning future developments and the funding model would not normally have an impact on the auditor's opinion in the current year, not even as an Other Matter, since no formal commitments have been made and it could be viewed as a potential strategic development. So, with these considerations, Quality should conclude that an unmodified auditor's opinion should be issued with no further references.

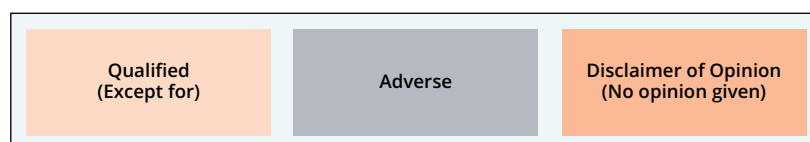
9.4.2 Modified Opinion

HKSA
705.4

HKSA 705 (Revised) requires the auditor to modify the opinion (Exhibit 9.3) in the auditor's report when

- The auditor concludes that, based on the audit evidence obtained, the financial statements as a whole are not free from material misstatement; or
- The auditor is unable to obtain sufficient appropriate audit evidence to make a definitive conclusion on the potential cumulative effects on the financial statements of uncertainties.

HKSA 705 (Revised) paragraph A.1 sets out the types of modified opinions and circumstances listed in Exhibit 9.4, when they are given. For further detail, see later in this chapter.



► **EXHIBIT 9.3** Modified opinion

Nature of matter giving rise to the modification	Auditor's judgement about the pervasiveness of the effects or possible effects on the financial statements	
	Material but not pervasive	Material and pervasive
Financial statements are materially misstated	Qualified Opinion	Adverse Opinion
Inability to obtain sufficient appropriate audit evidence	Qualified Opinion	Disclaimer of Opinion

► **EXHIBIT 9.4** Types of modified opinions and circumstances

► Knowledge Check Questions

Question 7

This question also requires you to use the information in the CWaves case. When issuing a qualified auditor's opinion in relation to revenue recognition for Wuzhou Travel Company, identify which of the following would have been concluded by Quality:

- A** The financial statements as a whole are materially misstated and revenue recognition is pervasive.
- B** Sufficient appropriate audit evidence on revenue recognition could not be obtained which was both material and pervasive.
- C** Revenue recognition was the only audit issue, but because it has been an issue in the past there should be a qualification.
- D** There was a material problem with management's determination of revenue recognition, and the amount of the difference from the HKSA requirements could be quantified.

➤ 9.5 MODIFIED OPINIONS

9.5.1 Qualified Opinion

HKSA
705.7

A qualified auditor's opinion is given by the auditor in either of the following two circumstances:

1. When the auditor has evidence that the financial statements are materially misstated due to misstatement in one particular account balance, class of transactions or disclosures that does not have a pervasive effect on the financial statements as a whole; or
2. When the auditor is unable to obtain sufficient appropriate audit evidence regarding a particular account balance, class of transactions or disclosures (often referred to as a limitation of scope). The auditor concludes that the possible effects on the financial statements of undetected misstatements, if any, could be material but not pervasive to the financial statements as a whole.

The wording of a qualified auditor's opinion is very similar to that of an unmodified auditor's opinion. The Basis for Opinion paragraph that immediately follows the Opinion paragraph explains the reasons for the qualification and must provide, to the extent possible, a quantification of the effects of the matter subject to qualification.



Illustrative Example 2

Example 1

An auditor's report containing a qualified opinion due to a material misstatement of the financial statements (only the Opinion paragraph and Basis for Opinion will be illustrated). For the purpose of this illustration, the auditor concluded that creditors were materially misstated as the company was trying to minimise the level of liabilities recorded and reduce expenses for the year to maximise reported profit.

INDEPENDENT AUDITOR'S REPORT

To the members of ABC Company

(incorporated in Hong Kong with limited liability)

Report on the Audit of the Financial Statements

Qualified Opinion

We have audited the financial statements of ABC Company ('the Company') set out on pages . . . to . . ., which comprise the statement of financial position as at 31 December 20X1, the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of our report, the financial statements give a true and fair view of the financial position of the Company as at 31 December 20X1, and of its financial performance and its cash flows for the year then ended in accordance with Hong Kong Financial Reporting Standards (HKFRSs) issued by the Hong Kong Institute of Certified Public Accountants (HKICPA) and have been properly prepared in compliance with the Companies Ordinance (Cap.622).

Basis for Qualified Opinion

The Company's creditors are carried in the statement of financial position at xxx. The directors have not included all creditors that should have been recognised, which constitutes a departure from HKFRSs. The Company's records indicate that, had the directors stated the creditors appropriately, an amount of xxx would have been required to increase the value of creditors. Accordingly, a number of expense accounts would have been increased by xxx, and income tax, net income and shareholders' equity would have been reduced by xxx, xxx and xxx, respectively.

We conducted our audit in accordance with Hong Kong Standards on Auditing (HKSAs) issued by the HKICPA. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the HKICPA's Code of Ethics for Professional Accountants ('the Code'), and we have fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

Illustrative Example 2 (continued)

Example 2

An auditor's report containing a qualified opinion due to a material omission in a disclosure in the financial statements (only the Opinion paragraph and Basis for Opinion will be illustrated). For the purpose of this illustration, the auditor concluded that material related-party transactions had not been disclosed.

You will note that the only difference between Example 1 and Example 2 is how the basis for qualified opinion is described. It is also important to note that the words used are generally not generic but should reflect the specific circumstances of the auditor's decision.

INDEPENDENT AUDITOR'S REPORT

To the members of ABC Company

(incorporated in Hong Kong with limited liability)

Report on the Audit of the Financial Statements

Qualified Opinion

We have audited the financial statements of ABC Company ('the Company') set out on pages . . . to . . ., which comprise the statement of financial position as at 31 December 20X1, the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of our report, the financial statements give a true and fair view of the financial position of the Company as at 31 December 20X1, and of its financial performance and its cash flows for the year then ended in accordance with Hong Kong Financial Reporting Standards (HKFRSs) issued by the Hong Kong Institute of Certified Public Accountants (HKICPA) and have been properly prepared in compliance with the Companies Ordinance (Cap.622).

Basis for Qualified Opinion

The Company has entered into a number of material related-party transactions during the current year. The directors have not disclosed the relationships or transaction values, which is required by HKAS 24 (Revised) Related Party Disclosures. An engineering contract with Engineers Company, an entity owned by VV Director, was awarded a consulting contract by the Company for HKD xx. A further consulting contract was awarded to ZZ Director's payroll services company for HKD xx.

We conducted our audit in accordance with Hong Kong Standards on Auditing (HKSAs) issued by the HKICPA. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the HKICPA's Code of Ethics for Professional Accountants ('the Code'), and we have fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

Illustrative Example 2 (continued)

Example 3

An auditor's report containing a qualified opinion due to the auditor's inability to obtain sufficient appropriate audit evidence (only the Opinion paragraph and Basis for Opinion will be illustrated). For the purpose of this illustration, the auditor was not able to obtain audit evidence pertaining to the completeness and occurrence of revenue from a contract with an African company.

INDEPENDENT AUDITOR'S REPORT

To the members of ABC Company

(incorporated in Hong Kong with limited liability)

Report on the Audit of the Consolidated Financial Statements

Qualified Opinion

We have audited the consolidated financial statements of ABC Company and its subsidiaries ('the Group') set out on pages . . . to . . ., which comprise the consolidated statement of financial position as at 31 December 20X1, the consolidated statement of profit or loss and other comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, except for the possible effects of the matter described in the Basis for Qualified Opinion section of our report, the consolidated financial statements give a true and fair view of the financial position of the Group as at 31 December 20X1, and of its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with Hong Kong Financial Reporting Standards (HKFRSs) issued by the Hong Kong Institute of Certified Public Accountants (HKICPA) and have been properly prepared in compliance with the Companies Ordinance (Cap.622).

Basis for Qualified Opinion

The Group has a major contract with an African company to supply and install mining infrastructure in Zambia over a period of two years. Revenue associated with the first year of the contract is recognised at xxx in the consolidated statement of profit or loss and other comprehensive income as at 31 December 20X1. This same amount is also reflected in trade receivables. We were unable to obtain sufficient appropriate audit evidence about the value of revenue recognised or the recoverability of the trade receivable for the year ending 31 December 20X1 because the underlying contract could not be found and management could not provide evidence that payments would be received. Consequently, we were unable to determine whether any adjustments to revenue or trade receivables were necessary.

We conducted our audit in accordance with Hong Kong Standards on Auditing (HKSAs) issued by the HKICPA. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the HKICPA's Code of Ethics for Professional Accountants ('the Code'), and we have fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

Apply and Analyse 2

Apply

Wuzhou Travel Company ('Wuzhou') is a material subsidiary of CWaves Ferry Holding Company Limited and the external auditor Quality has expressed concerns in relation to Wuzhou's revenue recognition policy. In the current year, Wuzhou has to apply the new HKFRS 15 *Revenue from Contracts with Clients* accounting standard. Quality has concluded that the new accounting standard has not been appropriately applied by a material amount and will therefore need to issue a modified auditor's opinion.

Determine the form of modification to be issued.

Analysis

Quality would need to reference HKSA 705 (Revised) to determine the form of modification. From the information given, Quality has determined the amount as material and as it is quantifiable and contained to specific account balances, a qualified auditor's opinion would be appropriate. There is no evidence that the issue is pervasive and Quality has been able to obtain sufficient appropriate audit evidence to draw their conclusion. In this case an opinion similar to the one in Example 1 (see Illustrative Example 2) would be issued.

Ethics in Practice

For an auditor to conclude that a qualified auditor's opinion should be issued can sometimes entail significant discussion with management and/or those charged with governance.

This discussion can at times result in pressure being placed on the auditor not to issue a qualified auditor's opinion (this can be applied to all forms of modified auditor's opinions). This can be regarded as an 'intimidation threat' under the COE.

Auditors must stand their ground in order to meet the requirements of the HKSAs, the HKFRSs and the *Companies Ordinance* (Cap.622). It is recognised that this can sometimes be difficult when a client threatens to engage another firm for a second opinion or threatens to change auditors after the current audit is complete.

To also meet the ethical principles of integrity, objectivity, professional competence and due care, confidentiality, and professional behaviour [as defined in Section 110 – subsection 111 to 115 of the COE (Chapter A revised in 2021)], the auditor must not be tempted to issue an unmodified auditor's opinion in circumstances where a reasonable third party would conclude that a qualified opinion should be issued.

► Knowledge Check Questions**Question 8**

Describe the two types of circumstances that would result in a qualified auditor's opinion. Explain the major difference between them.

Question 9

The auditor of Qiquiang Consulting Limited included in the auditor's report that there was a difference of opinion between the auditor and management for which the auditor believed an adjustment to the financial statements should be made. The auditor's view is that the amount involved is material but not pervasive. Identify which of the following would be the most likely opinion to be issued by the auditor:

- A** Unmodified opinion
- B** Qualified opinion
- C** Adverse opinion
- D** Disclaimer of opinion

9.5.2 Adverse Opinion

HKSA
705.8

An auditor should express an adverse opinion when the auditor, having obtained sufficient appropriate audit evidence, concludes that misstatements, individually or in aggregate, are both material and pervasive to the financial statements.

This type of opinion is the signal to stakeholders that the financial statements of the company may not be reliable to make economic decisions. This may also alert stakeholders to the fact that management and those charged with governance may not be operating the company appropriately or ethically.

As you will note from the discussion above, the main difference between a qualified auditor's opinion and an adverse auditor's opinion is that an adverse auditor's opinion is pervasive to the financial statements as a whole.

Illustrative Example 3

This example has been based on HKSA 705 (Revised) Illustration 2. It is one of the most common reasons for an adverse auditor's opinion (only the Opinion paragraph and Basis for Opinion will be illustrated). For the purpose of this illustration, the auditor determined that the consolidated financial statements were materially misstated due to the non-consolidation of a subsidiary.

INDEPENDENT AUDITOR'S REPORT

To the members of ABC Company

(incorporated in Hong Kong with limited liability)

Report on the Audit of the Consolidated Financial Statements

Illustrative Example 3 (continued)

Adverse Opinion

We have audited the consolidated financial statements of ABC Company and its subsidiaries ('the Group') set out on pages . . . to . . . , which comprise the consolidated statement of financial position as at 31 December 20X1, the consolidated statement of profit or loss and other comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, because of the significance of the matter discussed in the Basis for Adverse Opinion section of our report, the consolidated financial statements do not give a true and fair view of the consolidated financial position of the Group as at 31 December 20X1, and of its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with Hong Kong Financial Reporting Standards (HKFRSs) issued by the Hong Kong Institute of Certified Public Accountants (HKICPA). In all other respects, in our opinion the consolidated financial statements have been properly prepared in compliance with the Companies Ordinance (Cap.622).

Basis for Adverse Opinion

As explained in Note X, the Group has not consolidated the subsidiary XYZ Company that the Group acquired during 20X1 because it has not yet been able to determine the fair values of certain of the subsidiary's material assets and liabilities at the acquisition date. This investment is therefore accounted for on a cost basis. Under HKFRSs, the Group should have consolidated this subsidiary and accounted for the acquisition based on provisional amounts. Had XYZ Company been consolidated, many elements in the consolidated financial statements would have been materially affected. The effects on the consolidated financial statements of the failure to consolidate have not been determined.

We conducted our audit in accordance with Hong Kong Standards on Auditing (HKSAs) issued by the HKICPA. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the HKICPA's Code of Ethics for Professional Accountants ('the Code'), and we have fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our adverse opinion.

Apply and Analyse 3

Apply

CWaves Hotels is a material subsidiary of CWaves Ferry Holding Company Limited. From the case study background, they have suffered losses for the last three years and the level of external debt has increased substantially over the last two years. Let's assume that CWaves Hotels has to pay back a material portion of the debt two months after the date of the auditor's report, but has no way of funding it. Determine the impact this may have on the current year's auditor's opinion.

Apply and Analyse 3 (continued)**Analysis**

The financial statements have been prepared by the directors on a going concern basis as the directors believe they will somehow be able to raise the funds to pay back the expiring debt. Quality has concluded that is not likely as there was no audit evidence in relation to negotiations for refinancing or new funding to repay the debt.

Because of the nature of the situation, Quality has concluded that it does not believe that CWaves Hotels is a going concern and as such the values of assets and liabilities at year-end may be materially misstated. Given this situation is pervasive to the financial statements as a whole, Quality should issue an adverse auditor's opinion on CWaves Hotels. (Note that the adverse auditor's opinion would be replicated in the consolidated financial statements of CWaves Ferry Holding Company Limited.)

► Knowledge Check Questions**Question 10**

Wing-Long Bus Company has finance leases for its fleet of buses but refuses to capitalise them or record the corresponding liability. Identify which of the following reporting options the auditor should adopt as the amounts are material and pervasive to the financial statements as a whole:

- A** Qualified opinion
- B** Unmodified opinion with an Other Matter paragraph.
- C** Disclaimer of opinion
- D** Adverse opinion

Question 11

Identify where an auditor should disclose the substantive reasons for expressing an adverse opinion:

- A** Immediately following where the addressee has been identified.
- B** Following the Opinion paragraph.
- C** Within the notes to the financial statements.
- D** Immediately following the auditor's responsibilities for the audit of the financial statements.

9.5.3 Disclaimer of Opinion

HKSA
705.9–10

The auditor will issue a disclaimer of opinion in circumstances where the auditor is unable to obtain sufficient appropriate audit evidence on which to base an opinion. The auditor would also conclude that the possible effects are likely to be material and pervasive to the financial statements. Note that essentially this is not an *opinion*. Instead, it means that the auditor chooses not to render one.

The auditor may issue a disclaimer of opinion when:

- The auditor's scope was limited. The auditor was limited in this way, for instance, when the auditor cannot access particular financial data.
- The auditor has other doubts about the management reports. For example:
 - The financial statements may seem to violate accounting principles such as the *matching concept* or the *conservatism principle*.
 - The auditor may question the classification of certain revenue and expense items.
 - Some assets should not have been capitalised.
 - The auditor may question the way the entity applies rules such as the lower of cost or net realisable value for inventory.

Auditors issue an auditor's opinion only when they are confident the opinion is supported by sufficient appropriate audit evidence. Otherwise, a Disclaimer of Opinion should be expressed.

Illustrative Example 4

An example of a Disclaimer of Opinion is provided below (only the Opinion paragraph and Basis for Opinion will be illustrated). For the purpose of this illustration, the auditor has not been able to conclude on revenue and associated balances.

INDEPENDENT AUDITOR'S REPORT

To the members of ABC Company

(incorporated in Hong Kong with limited liability)

Report on the Audit of the Consolidated Financial Statements

Disclaimer of Opinion

We were engaged to audit the consolidated financial statements of ABC Company and its subsidiaries ('the Group') set out on pages . . . to . . ., which comprise the consolidated statement of financial position as at 31 December 20X1, the consolidated statement of profit or loss and other comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

We do not express an opinion on the consolidated financial statements of the Group. Because of the significance of the matter described in the Basis for Disclaimer of Opinion section of our report, we have not been able to obtain sufficient appropriate audit evidence to provide a basis for an auditor's opinion on these consolidated financial statements. In all other respects, in our opinion the consolidated financial statements have been properly prepared in compliance with the Companies Ordinance (Cap.622).

Illustrative Example 4 (continued)***Basis for Disclaimer of Opinion***

Cash receipts are a significant source of revenue for the Group. The Group has determined that it is impracticable to establish controls over the collection of cash receipts prior to their entry into the financial records of the Group. Accordingly, the evidence available to us regarding revenue was not sufficient, and our audit procedures with respect to cash receipts had to be restricted to the amounts recorded in the financial statements. We were therefore unable to determine whether any adjustments might have been necessary in respect of amounts disclosed in the consolidated statement of profit and loss and other comprehensive income, the consolidated statement of financial position, consolidated statement of changes in equity and consolidated statement of cash flows.

► Knowledge Check Questions**Question 12**

Describe how a Disclaimer of Opinion is different from other modified auditor's opinions.

Question 13

Identify in which of the following circumstances a Disclaimer of Opinion would not be appropriate:

- A** The auditor was unable to attend the year-end inventory count or apply alternative audit procedures.
- B** The auditor is unable to determine the amounts associated with illegal acts committed by management.
- C** The financial statements fail to contain adequate disclosures in relation to related-party transactions.
- D** Management refuses to permit their lawyer from answering the auditor's legal confirmation process.

Note: For all modified auditor's reports, the auditor is required to report on other matters under Sections 407(2) and 407(3) of the *Companies Ordinance* (Cap.622) which requires the auditor to opine on other matters:

1. In preparing an auditor's report, the auditor must carry out an investigation that will enable the auditor to form an opinion as to:
 - (a) whether adequate accounting records have been kept by the company; and
 - (b) whether the financial statements are in agreement with the accounting records.

2. A company's auditor must state the auditor's opinion in the auditor's report if the auditor is of the opinion that:
 - (a) adequate accounting records have not been kept by the company; or
 - (b) the financial statements are not in agreement with the accounting records in any material respect.

For the requirements under the *Companies Ordinance* (Cap.622), reference may be made to PN 600.1 (Revised).

9.6 ADDITIONAL COMMUNICATIONS IN THE AUDITOR'S REPORT

9.6.1 Key Audit Matters (KAMs)

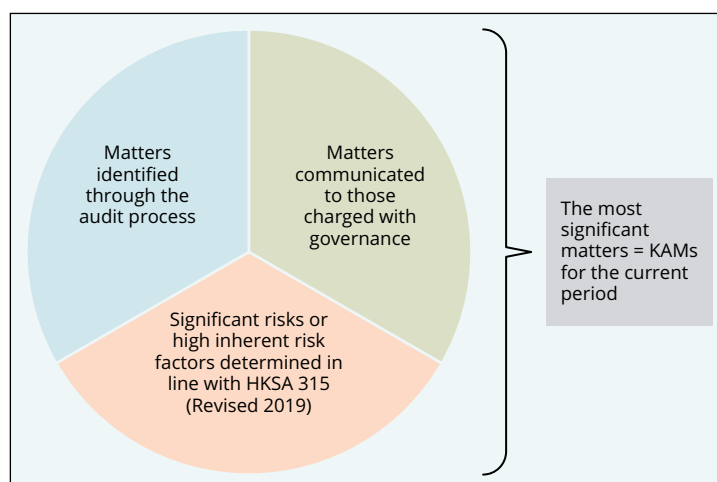
The introduction of KAMs was the most significant change in the new suite of auditor's reporting standards. HKSA 701 *Communicating Key Audit Matters in the Independent Auditor's Report* was effective as of 15 December 2016. The objective for the inclusion of KAMs in the auditor's report is to provide users of the financial statements with an insight into what, in the auditor's view, were the most important focus areas in the current audit.

HKSA 701 defines KAMs as those matters which, in the auditor's professional judgement, were of most significance in the audit of the financial statements of the current period. In considering what matters were of most significance, the auditor must also consider accounting estimates which are subject to a high degree of estimation uncertainty as these are likely to give rise to KAMs.

9.6.1.1 Determining KAMs

HKSA
701.9-10

Determining what should be disclosed in the current period's KAMs is a matter of auditor's judgement but would normally take the matters in Exhibit 9.5 into consideration.



► **EXHIBIT 9.5** Key audit matters

In most instances KAMs relate to areas of significant management judgements, or significant events or transactions during the current period. Auditors must then determine which were the most significant to them during the current audit and communicate these areas or events as KAMs in the auditor's report.

9.6.1.2 Communicating KAMs

HKSA
701.11

KAMs are described in a separate section of the auditor's report, under the heading 'Key Audit Matters', using appropriate sub-headings for each KAM.

The introductory language must state that:

- KAMs are those matters which, in the auditor's professional judgement, were of most significance in the audit of the financial statements of the current period.
- The matter(s) identified were addressed in the context of the audit of the financial statements as a whole, and in forming the auditor's opinion thereon, and the auditor does not provide a separate opinion on the matter(s).

The description of each KAM must include the following:

- The factors supporting why the matter was considered to be one of the most significant in the audit and therefore a KAM.
- A reference to any disclosures in the financial statements by way of referencing to specific notes where users can read management's disclosures.
- How the matter was addressed by the auditor, for example, the approach, an overview of the audit procedures undertaken and any relevant observations should be described.

Illustrative Example 5

This illustration only includes the KAMs component of an auditor's report.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, we do not provide a separate opinion on these matters.

Key audit matter – assessment of carrying value of goodwill

Area of focus

In prior years the company/(group) expanded its activities through acquisition of businesses. As a result, the company's/(group's) net assets include a significant amount of goodwill. Certain of the new and established businesses are (1) early in their life and/or trading cycles, (2) trading cycle inconsistent and (3) value questionable, and as such there is a risk that they may not trade in line with initial expectations and forecasts, resulting in the carrying amount of goodwill exceeding the recoverable amount and therefore requiring impairment.

The recoverable amount of each cash generating unit (CGU) has been calculated based on value-in-use. These recoverable amounts use discounted cash flow forecasts in which the directors make judgements over certain key inputs, for example but not limited to revenue growth, discount rates applied, long-term growth rates and inflation rates. Overall, due to the high level of judgement involved, and the significant carrying amounts involved, we have determined that this is a key judgemental area that our audit concentrated on.

How our audit addressed it

Our audit procedures included:

- A detailed evaluation of the company's/(group's) budgeting procedures (upon which the forecasts are based) and testing the principles and integrity of the discounted future cash flow models.
- Testing the accuracy of the calculation derived from each forecast model and assessing key inputs into the calculations such as revenue growth, discount rates and working capital assumptions, by reference to the Board's approved forecasts, data external to the company/(group) and our own views.
- Engaging our own valuation specialists when considering the appropriateness of the discount rates and the long-term growth rates.
- Reviewing the historical accuracy by comparing actual results with the original forecasts.

We also considered the adequacy of the company's/(group's) disclosures in relation to the impairment testing.

Illustrative Example 5 (continued)**Key audit matter – business combination****Area of focus**

The company/(group) acquired ABC Pty Ltd for HK\$xxx, which was considered a significant purchase for the company/(group).

Accounting for this transaction is complex and required significant judgements and estimates by management:

- to determine the date of acquisition;
- to determine the fair value of assets and liabilities acquired;
- to determine the tax bases for deferred tax assets and liabilities;
- to determine the fair value of deferred consideration;
- to determine the non-controlling interest; and
- to allocate the purchase consideration to goodwill and separately identifiable intangible assets.

How our audit addressed it

Our audit procedures included:

- Reading the sale and purchase agreement to understand the key terms and conditions of the acquisition.
- Assessing the intangible assets identified by management for their separability/contractual basis to allow recognition and assessing whether the measurement basis and assumptions underlying the estimate of fair values were appropriate.
- Testing the group's determination of fair values with reference to audited financial statements/due diligence reports/work performed by our corporate finance division/work performed by a valuer.
- Testing the appropriateness of the deferred consideration.

We also assessed the adequacy of the group's disclosures in respect of the acquisition.

What if there are no KAMs? If the auditor determines, based on the facts and circumstances of the entity during the audit, that there are no KAMs (this will be rare), then a statement that there are no KAMs to communicate should be included under the heading 'Key Audit Matters'.

What happens when a modified auditor's opinion is issued? Any matter that gives rise to a modified auditor's opinion or a Material Uncertainty Related to Going Concern paragraph is disclosed in the auditor's report and these are by their very nature KAMs. However, in these circumstances, these matters should not be described separately as KAMs but rather reference should be made to the Opinion paragraph above in the opening paragraph of the KAMs section.

Illustrative Example 6

In this example, the auditor issued a qualified auditor's opinion in relation to the carrying value of an investment in a subsidiary and reported a material uncertainty related to going concern.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial report of the current period. This matter was addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on this matter. In addition to the matter described in the Basis for Qualified Opinion and in the Material Uncertainty Related to Going Concern sections, we have determined the matter described below to be the key audit matter to be communicated in our report.

Key audit matter – assessment of carrying value of goodwill	
Area of focus	How our audit addressed it

Note: Refer also to notes 1(m), 2(b) and 10 (illustrative note references).

Ethics in Practice

For an auditor to conclude that a KAM should be disclosed can sometimes entail significant discussion with management and/or those charged with governance.

This discussion can at times result in pressure being placed on the auditor not to include a KAM. Auditors must stand their ground in order to meet the requirements of the HKSA's. It is recognised that this can sometimes be difficult when a client threatens to change auditor after the current audit is complete.

To also meet the ethical principles of integrity, objectivity, professional competence and due care, confidentiality, and professional behaviour [as defined in Section 110 – subsection 111 to 115 of the COE (Chapter A revised in 2021)], the auditor must not be tempted to exclude KAMs that would otherwise be included.

Key Learning Point

KAMS are only required to be included in the auditor's reports for listed entities with voluntary application to other entities.

► Knowledge Check Questions

Question 14

List the factors that must be described for each key audit matter.

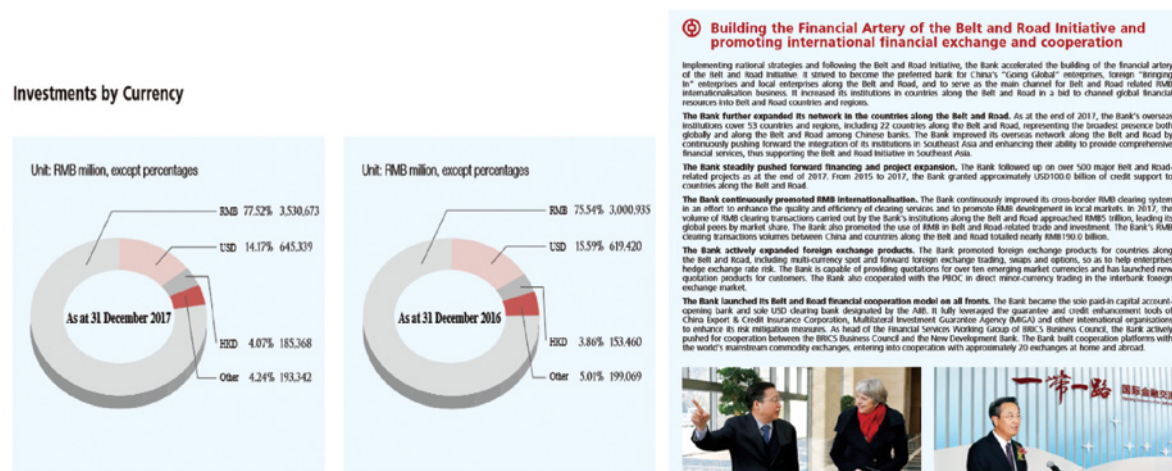
Question 15

When a qualified auditor's report is issued for a listed company, describe what effect this has on the introductory paragraph to the 'Key Audit Matters' section.

9.6.2 Other Information

HKSA 720 (Revised) *The Auditor's Responsibilities Relating to Other Information* became effective for audits of financial statements for periods ending on or after 15 December 2016. The revised standard sees an increase in the expectations of auditors to look at other information. Other information is the financial or non-financial information (other than the financial statements) in the annual report. The standard setters needed to address the increasing significance of this other information.

Annual reports now include more narrative and qualitative information. Examples are shown in Exhibit 9.6.



► **EXHIBIT 9.6** Examples of information found in annual reports (Source: HKEX 2017 Annual Reports, Bank of China, PetroChina Company Limited and Lenovo Hong Kong Limited.)

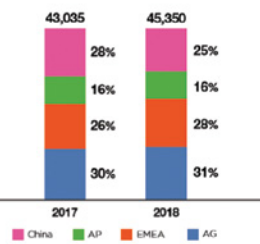


Production segment for 2017 was RM8555,430 million, representing an increase of 22.5% from RM6942,484 million for 2016, which was primarily due to the combined effects of the rise in the price of and the decrease in the sales volume of crude oil, and the increase in the sales volume of natural gas and shale gas. The average realized crude oil price of the Group in 2017 was US\$50.64 per barrel, representing an increase of 35.3% from US\$37.09 per barrel in 2016.

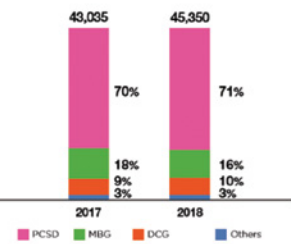
Operating Expenses Operating expenses of the Exploration and Production segment increased by 19.7% from RM6430,306 million for 2016 to RM7809,956 million for 2017, which was primarily due to the combined effects of realized proceeds derived from the disposal of certain equity interests in TransAsia Pipeline and the increase in depreciation, depletion and amortization.

The Group enhanced its control over costs and expenses continuously. The unit oil and gas lifting cost of the Group for 2017 was US\$11.53 per barrel, representing a decrease of 1.2% from US\$11.67 per barrel for 2016.

Revenue Analysis by Geography
for the year ended March 31 (US\$ million)



Revenue Analysis by Business Group
for the year ended March 31 (US\$ million)



Management's Discussion & Analysis

MOBILE BUSINESS GROUP (MBG)

The Group's Mobile business faced challenges in some emerging markets, but continued to gain share in its core market in Latin America, where it grew 40 percent year-on-year in shipment, while improved profitability during the fiscal year. Shipments in North America grew 67 percent year-on-year driven by initial success in mainstream models with carrier expansion during the fiscal year, though more work is needed to sharpen the competitiveness in the high-end segment.

In emerging markets, slower brand transition in EMEA emerging areas and the severe competition in Asia Pacific emerging markets impacted the overall shipments performance for the year under review. Thus, the Group's worldwide smartphone shipments for the fiscal year declined by 7 percent year-on-year. In China, the Group has already significantly scaled back its operations there as

LENOVO CAPITAL AND INCUBATOR GROUP (LCIG) AND OTHERS

Lenovo Capital and Incubator Group's mission is to invest and build the Group's next-generation IT capabilities in AI, IoT, Big Data and VR/AR across various sectors such as manufacturing, healthcare and transportation. During the fiscal year, the Group's portfolio companies continued to support the core business to bring intelligence, contents and services to the devices. For example, the Group partnered with one of the portfolio companies in AR tracking technology in its AR headset. Another is the Group's investment in facial recognition and deep learning processor to help differentiate its devices. Moreover, Lenovo continued to enhance and differentiate its next-generation devices by partnering with leading best-in-class vendors, such as Google and Disney. As of the year-end under review, the Group has invested in 85 companies to help the Group build the next-generation smart

Financial Highlights

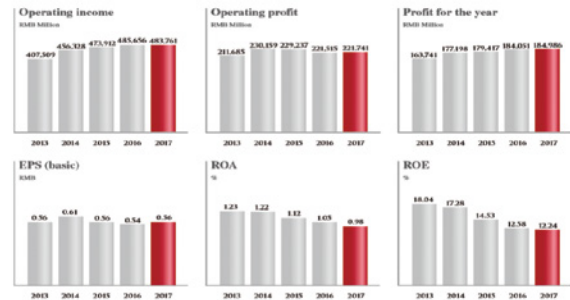


EXHIBIT 9.6 (Continued)

9.6.2.1 Scope of the Standard

HKSA 720 (Revised) is written in the context of an audit of financial statements by an independent auditor. The auditor's opinion on the financial statements does not cover the other information and this auditing standard does not require the auditor to obtain audit evidence beyond that required to form an opinion on the financial statements.

The standard does, however, require the auditor to obtain in a timely manner the other information and read and consider it for material inconsistencies with the financial statements, or with the auditor's knowledge obtained during the course of the audit process. It is important to note that the auditor does not provide any assurance over other information.

The auditor is expected to consider selected amounts or other items in the other information where they replicate such amounts or items disclosed in the financial statements for consistency.

The auditor must document the procedures they performed and maintain the final version of the other information on which the auditor has performed the work in the audit file.

9.6.2.2 Response if There is a Material Misstatement of the Other Information

If the auditor concludes, after discussing with management, that there is a material misstatement of other information, then the other information should be requested to be changed. If management is unwilling to make the necessary changes as required by the auditor, then the auditor must consider the possible impact that it might have on the auditor's opinion.

9.6.2.3 Communication in the Auditor's Report About Other Information

Note: Earlier in the chapter there were a number of specific disclosures required in other information pertaining to the *Companies Ordinance* (Cap.622) that must be considered for disclosure.

Under the heading 'Other Information', the following must be disclosed:

- A statement that management is responsible for the other information.
- Identification of the other information obtained prior to the date of the auditor's report (for listed entities the auditor is also required to identify any other information expected to be obtained after the date of the auditor's report).
- A statement that the auditor's opinion does not cover the other information and accordingly, the auditor does not express an auditor's opinion or any other form of assurance thereon.
- A description of the auditor's responsibilities relating to reading, considering and reporting on other information.
- When other information has been obtained prior to the date of the auditor's report, either a statement that the auditor has nothing to report or a statement that describes the uncorrected material misstatement of other information.

► Knowledge Check Questions

Question 16

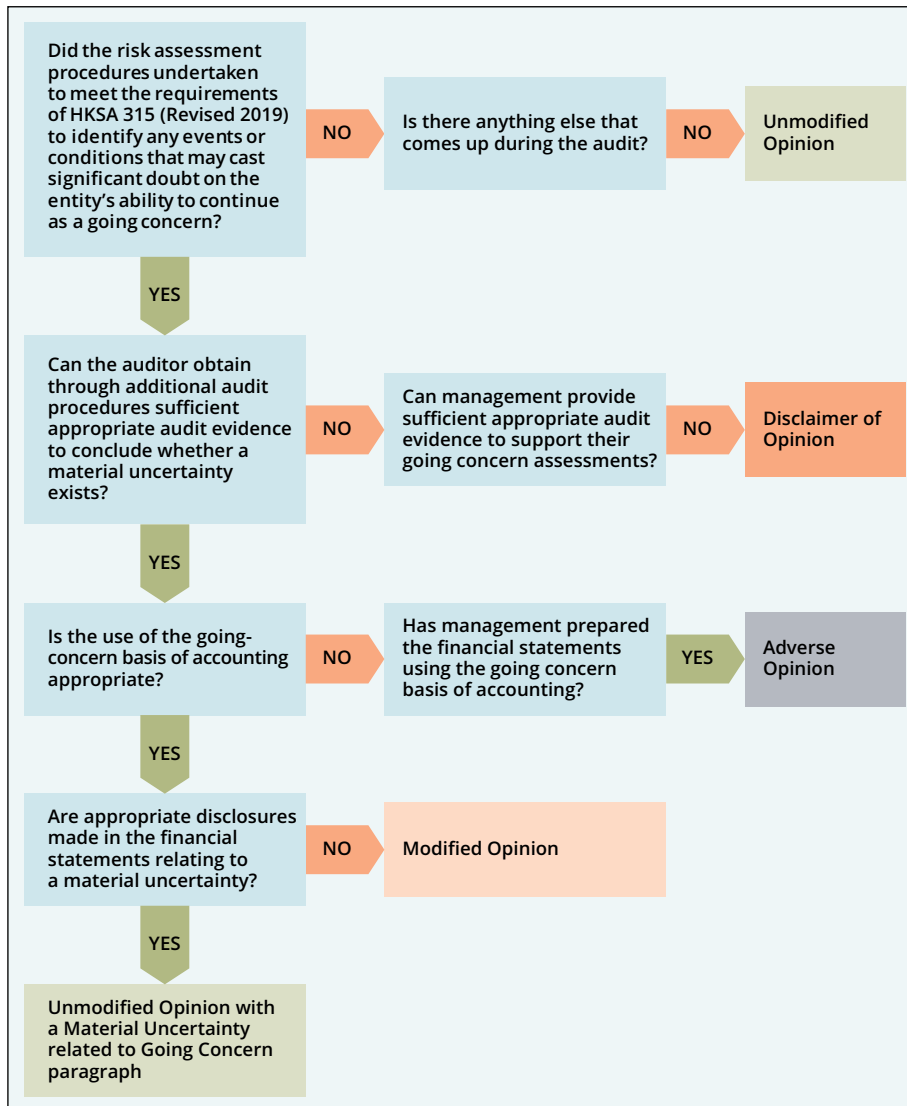
Identify which of the following is not normally disclosed in the Other Information section of the auditor's report:

- A** A statement that the auditor's opinion covers the other information.
- B** Identification of the other information obtained prior to the date of the auditor's report.
- C** A description of the auditor's responsibilities relating to reading, considering and reporting on other information.
- D** Any other information expected to be obtained after the date of the auditor's report.

9.6.3 Material Uncertainty Related to Going Concern

As described in Chapter 8 of this module, HKSA 570 (Revised) *Going Concern* states that the auditor's responsibilities are to obtain sufficient appropriate audit evidence regarding, and conclude on, the appropriateness of management's use of the going concern basis of accounting in the preparation of the financial statements, and to conclude, based on audit evidence obtained, whether a material uncertainty exists about the entity's ability to continue as a going concern.

In relation to the issue of going concern, there are varied auditor's opinion outcomes that can be achieved. The best way to understand these outcomes is posed below by way of questions an auditor should ask themselves (Exhibit 9.7).



► **EXHIBIT 9.7** Questions auditors should ask themselves regarding the issue of going concern

Apply and Analyse 4

Apply

Let's look at CWaves Hotels again, but a little differently this time.

CWaves Hotels is a material subsidiary of CWaves Ferry Holding Company Limited. From the case study background, it has suffered losses for the last three years and the level of external debt has increased substantially over the last two years. Determine the impact this may have on the current year's auditor's opinion.

Analysis

The financial statements have been prepared by the directors on a going concern basis as the directors believe they will be able to pay their debts as and when they fall due,

Apply and Analyse 4 (continued)

through expansion and repricing their accommodation rates. This has been adequately disclosed in the financial statements. Quality has concluded that the going concern basis of accounting is appropriate.

On this basis, Quality should issue an unmodified auditor's opinion with a Material Uncertainty Related to Going Concern paragraph.

► Knowledge Check Questions**Question 17**

Identify which of the following would most likely result in a qualified auditor's opinion pertaining to going concern:

- A** The going concern basis of accounting is not appropriate and management has prepared the financial statements on a going concern basis.
- B** The auditor has not observed any circumstances that would lead to doubt as to the entity's ability to continue as a going concern.
- C** The auditor cannot determine whether a material uncertainty relating to going concern exists, and management cannot provide sufficient appropriate audit evidence to support their going concern assessment.
- D** The use of the going concern basis of accounting is appropriate but a significant uncertainty exists. However, there are insufficient disclosures in relation to the material uncertainty in the financial statements.

9.6.4 Emphasis of Matter Paragraph

An Emphasis of Matter paragraph, as the name suggests, is a paragraph that is included in the auditor's report to direct users of the financial statements to a matter that has been disclosed appropriately in the financial statements. The reason for an auditor to draw users' attention is that in the auditor's judgement the matter is of such importance that users should be aware of it in order to completely understand the financial statements.

HKSA 706 (Revised) *Emphasis of Matter Paragraphs and Other Matter Paragraphs in the Independent Auditor's Report* defines an Emphasis of Matter paragraph as:

A paragraph included in the auditor's report that refers to a matter appropriately presented or disclosed in the financial statements that, in the auditor's judgement, is of such significance that it is fundamental to users' understanding of the financial statements.

What does this mean to the auditor?

- An Emphasis of Matter paragraph is basically a reference to a matter or a disclosure in the financial statements.
- By including an additional paragraph, the auditor has highlighted the matter or disclosure so that it can be applied in the users' decisions about the financial statements and the company as a whole.

- The auditor has decided that to not include the additional paragraph may lead users of the financial statements to draw incorrect conclusions about the financial statements and the company as a whole.

The most common reasons for an Emphasis of Matter paragraph being included the auditor's report are:

- A significant uncertainty surrounding accounting estimates.
- Where a special-purpose framework has been used to prepare the financial statements.
- Early application of accounting standards that have a pervasive effect on the financial statements.
- Where the prior period's financial statements have a material error that has been restated in the current year but did not require a modified opinion to be issued.

An Emphasis of Matter paragraph does not affect the auditor's opinion – it merely flags up to the user of the financial statements an issue that has been disclosed in the financial statements and cross-refers to the relevant note in the financial statements. When the auditor uses an Emphasis of Matter paragraph, they must confirm that their audit opinion is not modified in respect of the matter being emphasised as can be seen in Illustration Example 7 below:

Illustrative Example 7

For the purpose of this illustration, reference is made to the opening case study. Hai Cruising Company has determined that they want to early adopt HKFRS 16 *Leases*, given the number of operating leases they have to finance their cruise ships. The financial statements clearly disclose the changes and Quality, the external auditor, has concluded that an unmodified auditor's opinion will be issued with the following additional paragraph:

Emphasis of Matter

We draw attention to Notes X, X and X (in this case there is likely to be a number of note disclosures including the accounting policies note) of the financial statements which describe the effects of the early adoption of HKFRS 16 Leases. Our opinion is not modified in respect of this matter.

► Knowledge Check Questions

Question 18

Identify which of the following factors might not lead to an Emphasis of Matter paragraph being included in the auditor's report:

- A** A material uncertainty in relation to the application of the going concern assumption.
- B** Early adoption of a HKFRS that have a pervasive effect on the financial statements.
- C** A significant uncertainty around the basis for valuing goodwill.
- D** A special-purpose framework is the basis for the preparation of the financial statements.

9.6.5 Other Matter Paragraph

HKSA 706 (Revised) defines an Other Matter paragraph as:

A paragraph included in the auditor's report that refers to a matter OTHER than those presented or disclosed in the financial statements that, in the auditor's judgement, is relevant to the users' understanding of the audit, the auditor's responsibilities or the auditor's report.

What does this mean to the auditor?

The paragraph highlights a matter that has not already been presented in the financial statements.

If an Other Matter paragraph is added in an auditor's report, it will be added after the Opinion paragraph and, if relevant, after an Emphasis of Matter paragraph and the 'Key Audit Matters' section. The auditor needs to be wary of the wording when a KAM covers similar topics. This can usually be achieved by giving more detail in the heading of the Other Matter paragraph.

The most common reasons for an Other Matter paragraph to be included in the auditor's report are:

- A case of non-compliance with laws and regulations identified through the audit process. These matters, if not resolved, can now be reported under the revised non-compliance with laws and regulations requirements under the revised Code of Ethics for Professional Accountants.
- When the comparative information was audited by another auditor, also highlighting the opinion given.
- When a new or amended auditor's report has been issued after the discovery of material subsequent events, and also if in these cases management hasn't amended the financial statements, a statement to that effect should be included.

► Knowledge Check Questions

Question 19

Describe the key difference between an Other Matter paragraph and an Emphasis of Matter paragraph.

A large, light gray downward-pointing chevron shape. The word "SUMMARY" is written in orange, bold, uppercase letters across the middle of the chevron.

SUMMARY

This chapter has set out the various auditor reporting requirements, which are detailed and sometimes complex, depending on the situations faced during the audit process.

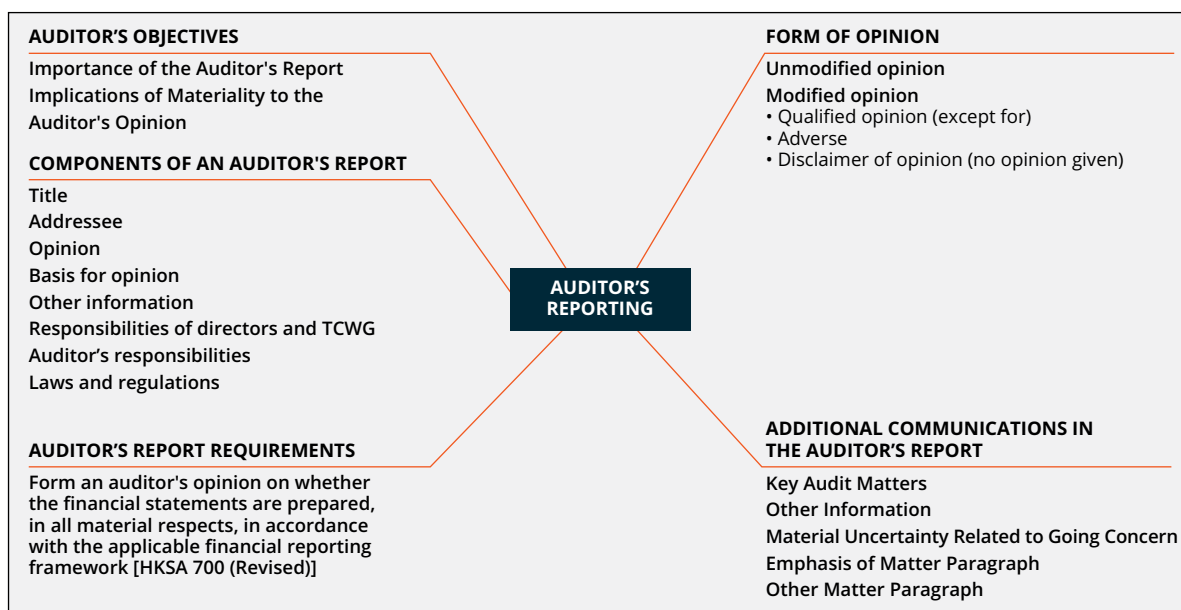
The format and key elements of the auditor's reports don't change given differing opinions, but the understanding of the different elements for companies' auditor's report, and where other paragraphs are added, is essential.

The auditor must carefully consider the circumstances that may lead to a modified auditor's opinion.

Decisions pertaining to an auditor's opinion in relation to the going concern assumption are important and should be mapped to the particular circumstances of the company.

Key audit matters are the newest component added to the auditor's report of a listed company and serve to inform users of the financial statements of the matters that were most important to the auditor during the audit process.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect because it is not the role of the auditor to detect any or all fraudulent activities. The auditor's responsibilities are to plan the audit to detect material misstatements caused by fraud or error.

Answer B is incorrect because the auditor does certainly have a responsibility to understand those internal controls that may be relevant to the audit, but it is not the primary responsibility of the auditor to identify control weaknesses; the primary responsibility for that comes with those charged with governance and/or management.

Answer C is incorrect because this situation in most cases would cause a conflict that may result in an independence issue for the auditor. The auditor can review a company's conclusion on a HKFRS issue but not form the accounting conclusion.

Answer D is correct because the basic premise of the independent auditor's report is that it helps to reduce the concerns users of the financial statements have that there may be company bias which could unintentionally or intentionally present financial information more optimistically than could be argued.

Question 2

Answer A is incorrect because audit risk is the risk of issuing the wrong opinion on the financial statements. It would not be the reason for the lack of effect of insignificant errors and/or omissions on the auditor's opinion.

Answer B is incorrect because management's assertions are management's representations, explicit and implicit, that are incorporated into the financial statements. They are not the reason that insignificant errors and/or omissions do not affect the auditor's opinion.

Answer C is correct because the level of materiality has a direct impact on the auditor's conclusions on the opinion to be issued on the financial statements.

Answer D is incorrect because reasonable assurance is the level of assurance provided by the auditor in the auditor's report. It is not the reason that insignificant errors and/or omissions do not affect the auditor's opinion.

Question 3

Answer A is correct because constant reflection throughout the audit process is needed about where necessary adjustments must be made to the level of materiality the auditor is auditing to in an audit. This includes a final reflection prior to signing the auditor's opinion.

Answer B is incorrect because it only partly describes the auditor's responsibility for assessing materiality.

Answer C is incorrect because it only partly describes the auditor's responsibility for assessing materiality.

Answer D is incorrect because it only partly describes the auditor's responsibility for assessing materiality.

Question 4

Answer A is correct because this is not a statement that the auditor makes and the objective is to obtain reasonable assurance to express a positive opinion.

Answer B is incorrect because this statement is explicit.

Answer C is incorrect because this statement is explicit.

Answer D is incorrect because this statement is explicit.

Question 5

Answer A is incorrect because although review and documentation of internal controls related to material transactions and balances are likely to be performed during the audit, it is not a specific responsibility of the auditor that would appear in the auditor's report.

Answer B is incorrect because although the auditor is required to evaluate management's assessment of going concern, this is not a specific responsibility that would appear in the auditor's report.

Answer C is incorrect because the auditor does not guarantee the financial statements and thus would not include this statement in the auditor's report.

Answer D is correct because this statement is required by HKSA 700 (Revised).

Question 6

Answer A is incorrect because this leads to an unmodified auditor's opinion.

Answer B is incorrect because this leads to a disclaimer of opinion.

Answer C is correct because if the financial statements give a true and fair view in line with HKFRSs except for a non-pervasive material matter, this leads the auditor to express a qualified auditor's opinion.

Answer D is incorrect because this leads to an adverse opinion.

Question 7

Answer A is incorrect because the issue is not pervasive to the financial statements as a whole.

Answer B is incorrect because inability to obtain sufficient appropriate audit evidence on an issue that is both material and pervasive is a disclaimer of opinion.

Answer C is incorrect because a qualified auditor's opinion is not simply issued because the relevant issue has been around for some time. Materiality to the relevant financial statements is a key determinant.

Answer D is correct because it is considered a material issue that can be quantified and has a limited effect on revenue.

Question 8

The two types of qualified auditor's opinion are as follows:

1. When the auditor has determined that the financial statements are materially misstated, but it is not pervasive.
2. The auditor was unable to obtain sufficient appropriate audit evidence regarding a particular item of the financial statements, which could be materially misstated but is not pervasive.

The key difference between the two types of qualified auditor's opinion is the ability to specifically quantify a misstatement as opposed to not being able to quantify the amount of a suspected misstatement.

Question 9

Answer A is incorrect because the issue would require a modification to the auditor's opinion. Answer B is correct because the material misstatement is suspected to be material but not pervasive.

Answer C is incorrect because the financial statements are true and fair except for an item the auditor has identified which is not pervasive.

Answer D is incorrect because an opinion can be issued and the suspected material amount is not pervasive.

Question 10

Answer A is incorrect because the issue is material and pervasive.

Answer B is incorrect because an unmodified auditor's report is inappropriate.

Answer C is incorrect because the auditor knows what the issue is and has been able to obtain sufficient appropriate audit evidence to draw the conclusion that the issue is material and pervasive.

Answer D is correct because such departure from HKFRS with a material and pervasive effect on the financial statements leads to an adverse opinion.

Question 11

Answer A is incorrect because the auditor needs to state what the opinion is before the basis for opinion can be expressed.

Answer B is correct because the auditor needs to state what the opinion is before the basis for opinion can be expressed.

Answer C is incorrect because the basis for the auditor's opinion must sit within the body of the auditor's report.

Answer D is incorrect because the auditor's Opinion and Basis for Opinion paragraphs are maintained together.

Question 12

The biggest difference between a disclaimer of opinion and other modified auditor's opinions is that the auditor cannot conclude on the possible effects of a suspected material misstatement and/or disclosure that is pervasive.

Question 13

Answer A is incorrect because its effects are likely to be material and pervasive.

Answer B is incorrect because its effects are likely to be material and pervasive.

Answer C is correct because a lack of adequate disclosure in the financial statements is a HKFRS departure, not a scope limitation. Thus, a Disclaimer of Opinion would not be the appropriate auditor's opinion.

Answer D is incorrect because its effects are likely to be material and pervasive.

Question 14

Each KAM must have the following described:

- (a) The factors supporting why the matter was considered to be one of the most significant.
- (b) References to note disclosures.
- (c) How the matter was addressed by the auditor.

Question 15

Reference to the qualified auditor's opinion must be made and the basis for qualification, as this matter would otherwise have been a KAM. The reason for the qualification should not be repeated as a separate KAM.

Question 16

Answer A is correct because the auditor's opinion does not cover other information.

Answer B is incorrect because this must be disclosed.

Answer C is incorrect because this must be disclosed.

Answer D is incorrect because this must be disclosed for listed entities.

Question 17

Answer A is incorrect because the likely auditor's opinion would be adverse.

Answer B is incorrect because the likely auditor's opinion would be unmodified.

Answer C is incorrect because the likely auditor's opinion would be a Disclaimer of Opinion.

Answer D is correct because the auditor is satisfied that the going concern basis of accounting is appropriate but that the notes to the financial statements are insufficient to describe to users how the material uncertainty will be managed.

Question 18

Answer A is correct because this is an example of a matter that would justify the auditor to issue material uncertainty relating to going concern.

Answer B is incorrect because in this example the Emphasis of Matter paragraph would be included since the effects of the new accounting standard are pervasive.

Answer C is incorrect because this is an example of a matter that would justify the auditor issuing an Emphasis of Matter paragraph.

Answer D is incorrect because this is an example of a matter that would justify the auditor issuing an Emphasis of Matter paragraph.

Question 19

The major differences between the two paragraphs are:

- (a) An Emphasis of Matter paragraph draws users' attention to matters already disclosed in the financial statements.
- (b) An Other Matter paragraph draws users' attention to matters that the auditor believes the users should be aware of in relation to the financial statements but are not disclosed in the financial statements.

 EXAM PRACTICE**QUESTION 1**

Identify which of the following is not explicitly included in an auditor's report for a non-listed company that is required to lodge financial statements under s.379(2) of the *Companies Ordinance (Cap.622)*:

- A.** The audit was conducted in accordance with the Hong Kong Standards on Auditing.
- B.** Key audit matters.
- C.** The financial statements are the responsibility of management.
- D.** The ethical basis on which the opinion has been formed.

QUESTION 2

In the revised auditor reporting for periods ending on or after 31 December 2016, state which of the following statements was given new prominence in the responsibilities of directors and those charged with governance:

- A.** The directors must state the ability of the company to continue as a going concern.
- B.** The directors are wholly responsible for the preparation of the financial statements.
- C.** The directors are satisfied that the financial statements have been prepared to give a true and fair view in accordance with the HKFRSs.
- D.** The directors are responsible for the oversight of the financial reporting process.

QUESTION 3

Alpha Limited prepares financial statements that present the financial position, the profit or loss, and other comprehensive income and statement of changes in equity but will not include the statement of cash flows. Alpha Limited wants to appoint an auditor to perform

the audit of its financial statements for the current year. The scope of the auditor would not be limited. Identify the most appropriate response from the auditor.

- A.** Add an Emphasis of Matter paragraph to the standard auditor's report that justifies the reason for the omission.
- B.** Refuse to accept the engagement as proposed, as a result of Alpha Limited imposing a limitation of scope in relation to the cash flow statement.
- C.** Explain to Alpha Limited that the omission requires a qualification in the auditor's opinion.
- D.** Prepare the statement of cash flows and express an unmodified auditor's opinion.

QUESTION 4

Kwai Limited is a non-listed hospitality company that owns a number of restaurants and bars in Lan Kwai Fong. With the popularity of the area with expatriates and with the continued popularity brought about by the Rugby Sevens, the company has been very successful for a number of years. Because of its success, Kwai Limited has in the current year started an online business to enable existing and new customers in Hong Kong and China to purchase the wines that are on the menus in their restaurants and bars. These wines are sourced from all over the world and Kwai Limited has been increasing its wine inventory over a number of years and storing it at their various restaurants and bars.

During the current year's audit, it was found that the level of wine inventory was material. There are material levels of wine that were noted to have been on hand for a number of years and remain slow-moving, even with the new online business. It was further noted that a number of the wines had not been stored appropriately and might not be suitable to be sold. The auditor is proposing that inventory balances be written down by a material HKD amount.

Required

- (a) List eight basic elements of an unmodified auditor's opinion of a Hong Kong non-listed company.
- (b) Determine the type of auditor's opinion that the auditor would issue if the directors of Kwai Limited did not write down the value of inventory in its financial statements in accordance with the auditor's conclusions. Justify your answer.
- (c) Describe what is meant by material but not pervasive.

QUESTION 5

The auditor's inability to obtain sufficient appropriate audit evidence may arise from three different areas. List each of the areas and illustrate with examples.

QUESTION 6

Bravo Company Limited was incorporated in Hong Kong and is listed on the HKEX and has several subsidiaries in Hong Kong and China. Over the last three years, Bravo has expanded its operations into Singapore with the purchase of two very large-sized companies. The business combinations have been accounted for correctly in line with HKFRSs and have resulted in the recording of considerable goodwill balances. The auditor of Bravo intends to issue an unmodified auditor's opinion. The auditor has also determined that this matter should be described as a key audit matter. Describe the key audit matters and outline the key elements of the 'Key Audit Matters' section for this case.

QUESTION 7

You are an audit manager of DEF & Co, the external auditor of Good Health Limited ('GHL'), for the year ended 31 December 2019. GHL is the biggest sports wear and accessories wholesaler and retailer in Hong Kong.

You noticed that there was a mega sale conducted by GHL right after the year end date from 1 January 2020 to 5 January 2020 at its own warehouse. Products with a total cost of HK\$1.5 million were sold for HK\$1 million. The management did not make any adjustment on the inventory value with the reason that the goods were sold after the financial year end date.

Required:

- (a) The management's reason for not adjusting the inventory value is as follows: 'The mega sale is conducted after the year end date. In addition, the amount of HK\$0.5 million is clearly immaterial as it is much less than 1% of the total assets. It is unnecessary to write down the value of the inventories.' The total assets of the company are HK\$150 million and the profit before tax is HK\$1 million.

State your opinion on the management's statement that the amount of HK\$0.5 million is immaterial.

- (b) Your audit senior is helping you on drafting the auditor's report: he asked you what are the essential elements that would be included in the basis for the opinion section if the engagement team disagrees with the management's statement and consider that the inventory value is overstated by HK\$0.5 million. State your answer.

HKICPA December 2020 (amended)

QUESTION 8

You are the audit manager of PQY & Co, the external auditor of Luxury Jewellery Limited ('LJL') for the year ended 31 December 2020. LJL is a manufacturer and wholesaler of precious jewellery.

The accounts receivable is a significant account balance in the company's statement of financial position. The management does not allow the audit team to request external confirmation of several accounts receivable because there are lawsuit cases between LJL and its customers. You considered that the possible effects on the financial statements of undetected misstatements are not immaterial.

Required:

List the contents to be included in the auditor's responsibilities section in the auditor's report.

HKICPA June 2021 (amended)

 ANSWERS TO EXAM PRACTICE**QUESTION 1**

Answer B is correct, because KAMs are only included in the auditor's report of a listed company.

QUESTION 2

Answer A is correct, because the directors must explicitly state in the directors' report that the auditor's report now refers to the ability of the company to continue as a going concern.

QUESTION 3

Answer C is correct, because the omission requires a qualification to the auditor's opinion as it is a breach of HKFRSs, more specifically that the financial statements must meet the recognition and measurement standards of HKFRS, which includes the requirement of the inclusion of a cash flow statement in the financial statements. Not including the cash flow statement would not be considered pervasive and hence a qualification as opposed to an adverse opinion.

QUESTION 4

- (a) Title of the report; Addressee; Auditor's Opinion, Basis for Opinion; Other Information; Responsibilities of Directors and Those Charged with Governance; Auditor's Responsibilities for the Audit of the Financial Statements; Report on Other Legal and Regulatory Requirements; The auditor's name; Whether the auditor is a Certified Public Accountants (Practising) or Certified Public Accountants; The auditor's address; The date of the auditor's report.
- (b) In this case it could be argued that management has not accounted for inventory correctly under HKAS 2 *Inventories*, and arguably their own accounting policies. The auditor should express a qualified auditor's opinion. This is on the basis that the auditor, having obtained sufficient appropriate audit evidence in relation to inventory, has determined that there is an overstatement in the value of inventory, and that the overstatement is material, but not pervasive.
- (c) The effect of an identified misstatement is material when it meets the level of materiality set by the auditor and the information surrounding such a misstatement could affect the economic decisions of the users of the financial statements. The effect can be caused by an individual misstatement or by different misstatements taken together in aggregate.

The misstatement is deemed material but not pervasive when the misstatement is confined to a balance or a number of balances that do not represent a significant portion of the financial statements.

QUESTION 5

- (a) Examples of circumstances beyond the control of the entity are:
 - The entity's accounting records have been destroyed.
 - The entity's accounting records have been seized by a government authority.
- (b) Examples of circumstances relating to the nature or timing of the auditor's work are:
 - The auditor cannot obtain sufficient audit evidence from performing substantive procedures alone.
 - The auditor could not attend the annual inventory count.
 - The entity has not been able to obtain information from an equity accounted investment.
- (c) Examples of limitation on the scope of the audit imposed by management include:
 - Management prevents the auditor from attending the annual inventory count.
 - Management prevents the auditor from conducting third-party confirmations.
 - Management refuses to provide details supporting material balances.

QUESTION 6**Key Audit Matters**

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial report of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, we do not provide a separate opinion on this matter.

Heading: Key Audit Matter – Assessment of Carrying Value of Goodwill

Area of focus:

- Reference notes where the issue is addressed in the financial statements.
- Why the assessment of the carrying value of goodwill is a key audit matter. This will reference in the instance of goodwill the level of management judgement in relation to cash flows, growth factors, discount rates and an assessment of cash generating units (CGUs).

How the audit addressed the matter:

- Review of budgeting.
- Review of the subsidiaries' results in line with what was expected.
- Testing of the accuracy of the calculations and the underlying assumptions.
- Adequacy of disclosures.

QUESTION 7

- (a) To determine whether the amount is material or not, we need to consider whether its omission or misstatement could influence the economic decisions of users taken on the basis of the financial statements.

The subsequent selling activities, the mega sale, confirmed that the net realisable value of the batch of inventory is HK\$0.5 million lower than the cost of HK\$1.5 million as at 31 December 2019. For the misstatement of inventory, which should be measured at a lower cost or net realisable value, we have to consider its effect on the misstatement of the statement of financial position as well as the profit or loss account. The effect on the profit or loss account is material. The income before tax of HK\$500,000 is misstated as HK\$1,000,000. The gross profit margin is misstated as well. Such misstatements could influence the economic decisions of users.

- (b) As the misstatements are material, but not pervasive, a qualified opinion is to be given.

Amend the heading 'Basis for Opinion' to 'Basis for Qualified Opinion' and within this section, include a description of the matter giving rise to the modification. For this material misstatement of inventory, the auditor shall include in the Basis for Opinion section a description and quantification of the financial effects of the misstatement.

QUESTION 8

The contents to be included in the auditor's responsibilities section in the auditor's report:

State that the objectives of the auditor are to:

Obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error and

Issue an auditor's report that includes the auditor's opinion.

State that reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with HKSA's will always detect a material misstatement when it exists and

State that misstatements can arise from fraud or error and either:

Describe that they are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements or

Provide a definition or description of materiality in accordance with the applicable financial reporting framework.

The auditor's responsibilities for the audit of the financial statements section of the auditor's report shall further:

State that, as part of an audit in accordance with HKSA's, the auditor exercises professional judgment and maintains professional scepticism throughout the audit and

Describe an audit by stating that the auditor's responsibilities are:

To identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, to design and perform audit procedures responsive to those risks and to obtain audit evidence that is sufficient and appropriate to provide a basis for the auditor's opinion.

To obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control.

To evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

To conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern.

When the financial statements are prepared in accordance with a fair presentation framework, there is a need to evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.



Part D

Group Audits



Chapter 10 Group Audits

10

Group Audits

CHAPTER TOPIC LIST

10.1 Audit of a Group

- 10.1.1 Auditor's Objectives
- 10.1.2 Significant Components

10.2 Component Auditors

- 10.2.1 Characteristics of Component Auditors
- 10.2.2 Responsibilities of Component Auditors
- 10.2.3 Overview of How Component Auditors Work Within the Group Audit

10.3 Group Engagement Team

- 10.3.1 Group Engagement Partner's and Staff Member's Responsibilities
- 10.3.2 Component Team Member's Responsibilities
- 10.3.3 Evaluating the Work of the Component Auditor



LEARNING OUTCOMES

PRINCIPAL LO4: APPLY AUDIT PROCEDURES TO AN AUDIT
LO4.01: Analyse the importance of audit planning and its documentation
4.01.08 Explain the concept of group audits (including the involvement of component auditors)
4.01.09 Describe the characteristics and functions of component auditors and illustrate how the group auditor can work with them

OPENING CASE

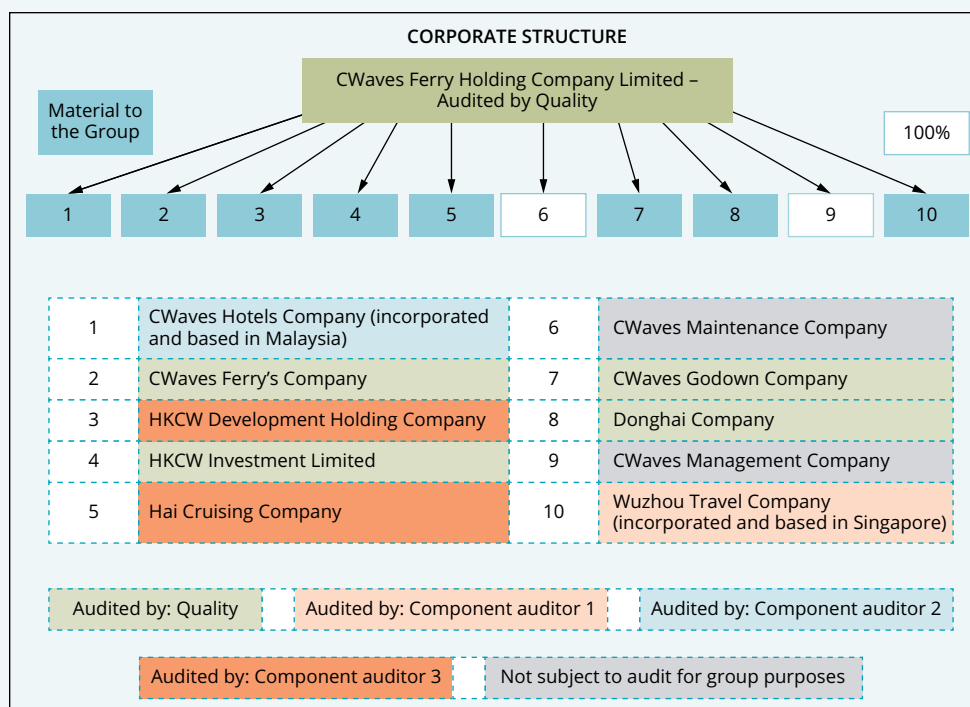
CWAVES FERRY HOLDING COMPANY LIMITED

This case study is the basis for illustration in the rest of this chapter.

CWaves Ferry Holding Company Limited (CWaves) is a publicly listed company on the Hong Kong Stock Exchange (HKEX); it operates ferry services in Hong Kong Harbour, Sok Kwu Wan, Shenzhen and Macau. CWaves has a 31 December year-end and has 10 wholly owned subsidiaries which it must consolidate for the purpose of reporting under s.379(2) of the *Companies Ordinance* (Cap.622) and HKFRS 10 *Consolidated Financial Statements*. The CWaves group has significant investments in buildings, godowns, port infrastructure, travel agencies and hotels.

Charles Cheung is a newly appointed independent non-executive director of CWaves and he wants to understand how the group external auditor (Quality Audit Firm ('Quality')) manages the component auditors, and how the component auditors were chosen given that Quality is not part of a global accounting firm.

The group structure is as follows:





OVERVIEW

The audit of consolidated financial statements can be more complex when component auditors (i.e. other audit firms, or even affiliates or parts of the same firm) are involved. The work of those component auditors can influence the group engagement team's (or the group auditor's) processes and the overall audit conclusion at the consolidated financial statements level.

This chapter will explore the concept of group audits, the role of the group auditor and the role of the **component auditor** in drawing conclusions on the consolidated financial statements. The roles of each of these are critical in ensuring that the consolidated auditor's report is reflective of the conclusions reached at each **component** and the group level.

This chapter is simply an extension, for a group, of all the fundamental aspects to the audit process that have been introduced in Chapters 1 to 9.



10.1 AUDIT OF A GROUP

The reference standard for group audits is HKSA 600 (Revised) *Special Considerations – Audits of Group Financial Statements (Including the Work of Component Auditors) and Conforming and Consequential Amendments to Other Hong Kong Standards Arising from HKSA 600 (Revised)*. This standard will be referred to during this chapter.

10.1.1 Auditor's Objectives

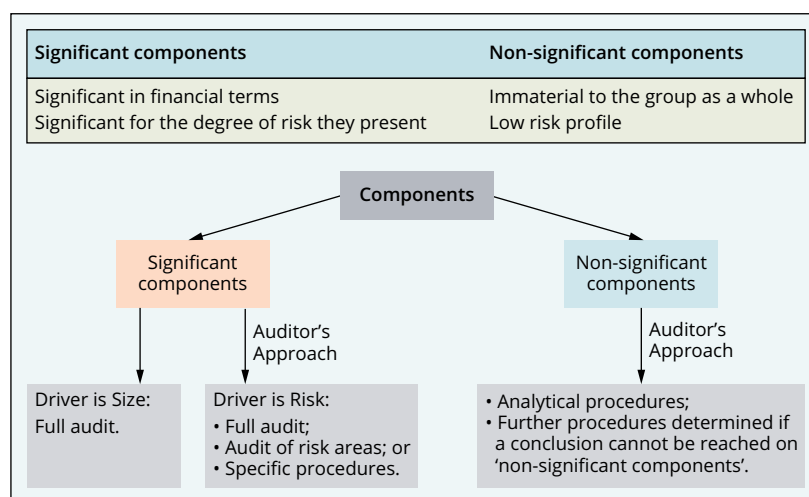
The objectives of the auditor in relation to the audit of a group are:

1. To determine whether they can act as the auditor of the group financial statements; and
2. If acting as the auditor of the group financial statements:
 - (a) To communicate clearly with component auditors about the scope and timing of their work on financial information related to the components and their findings; and
 - (b) To obtain sufficient appropriate audit evidence regarding the financial information of the components and the consolidation process to express an opinion on whether the group financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework (i.e. HKFRSs).

10.1.2 Significant Components

The responsibility for the determination of the significant components of a group is that of the **group auditor**. For the purposes of HKSA 600 (Revised), components such as subsidiaries, joint ventures and associates fall into one of two categories – significant and non-significant components.

HKSA
600.26–27



► **EXHIBIT 10.1** Significant and non-significant components

10.1.2.1 Indicators of 'Significance'

There is not a singular approach to determine which components should be audited because they are financially significant. The group auditor needs to be satisfied that sufficient amounts of work will be performed. Determination of 'sufficient' will vary from engagement to engagement, depending on circumstances and determined by professional judgement. What is critical is that the audit documentation reflects the judgement and explains how it was reached.

A component identified by the group auditor that is (1) of individual financial significance to the group or (2) due to its specific nature or circumstances is likely to include significant risks of material misstatement of the group financial statements. As the individual financial significance of a component increases, the risks of material misstatement of the group financial statements ordinarily increase. Indicators of financial significance (i.e. size) might include the overall size of the component's statement of financial position or profit, or the relative size of a component's contribution to a particular item (e.g. revenue) in the group financial statements. HKSA 600 (Revised) indicates that 15% of a chosen benchmark (such as the group assets or profit) might be chosen by the group auditor as indicative of financial significance, but professional judgement is still required and higher or lower percentages may be appropriate, depending on the composition and/or the nature and circumstances of the group. If the group auditor does apply 15% as the benchmark, documentation as to its appropriateness is strongly recommended.

The group auditor may also identify a component as likely to include significant risks of material misstatements of the group financial statements due to its specific nature or circumstances, even though the component is not otherwise of individual financial significance to the group. Indicators of non-financial significance (i.e. risk) might include the presence in a component of particular risks of material misstatement, such as those relating to estimates associated with impairments, inventory impairments and taxation provisions. Risks relating to complex areas such as financial instruments and other highly subjective areas such as contingencies and subsequent events may also determine non-financial significance.

HKSA
600.9(m)

HKSA
600(A5)

HKSA
600(A6)

10.1.2.2 Type of Audit Work to Be Performed on Components

Determining the coverage of components is resolved in part by the nature of the group, the quality of its controls, and the quality and sources of information and evidence available, such as the effectiveness of group-level analytical procedures. More coverage will be required where controls are poor and/or the evidence available at a group level is weak.

The group auditor is required under HKSA 600 (Revised) to perform, or have component auditors perform, **full audits** of all financially significant components.

For a component that is significant because it is likely to include significant risks of material misstatement of the group financial statements due to its specific nature or circumstances, the group engagement team, or a component auditor on its behalf, shall perform one or more of the following:

1. An audit of the financial information of the component using component materiality (i.e. at a materiality level lower than the group level).
2. An audit of one or more account balances, classes of transactions or disclosures relating to the likely significant risks of material misstatement of the group financial statements.
3. Specified audit procedures relating to the likely significant risks of material misstatement of the group financial statements.

Illustrative Example 1

Carbonite Holdings Limited, a group that manufactures bicycles and bicycle parts, has three manufacturing plants that are located in Guangzhou, Croatia and Brazil. The group auditor has chosen a benchmark of 20% as indicative of financial significance. The Brazilian manufacturing plant produces 30% of the group's total annual production and also carries 35% of its inventory balance and 30% of its property, plant and equipment.

Under HKSA 600 (Revised), the Brazilian plant is considered to be a significant component because of its size; it contributes more than the 20% benchmark of Carbonite's total production. It is also considered a significant component due to risk because the Brazilian plant carries a significant portion of the group's inventory and plant, property and equipment.

Based on size alone, HKSA 600 (Revised) requires that a full audit be conducted by the group auditor on the Brazilian plant and all related financially significant components. Due to the potential risk of material misstatement posed by the inventory and property, plant and equipment carried by the Brazilian plant, the auditor's approach to the group engagement team, or a component auditor working on its behalf, shall be to perform an audit of the financial information of the component at the plant level of materiality. They will also undertake specified audit procedures related to identified significant risks of material misstatement of the group financial statements, especially those driven by complex procedures and controls related to the procurement and manufacturing process.

10.1.2.3 Procedures for Non-significant Components

The group auditor is required to perform analytical procedures (see Chapter 4) at group level covering non-significant components to corroborate conclusions that there are no significant risks in those components. The degree of disaggregation of data used for these procedures may vary and is impacted by the nature and level of management information available and the auditor's risk assessment.

HKSA
600.28–29

When no additional risks are identified as a result of analytical procedures, the group auditor should document the belief that there is nothing to indicate a need for the performance of additional procedures on these components. However, if the results of the analytical procedures indicate that there may be a risk of a material misstatement in one or more components, the group auditor needs to document the nature, timing and extent of the procedures that will be performed to address the identified risks.

Apply and Analyse 1

Apply

Explain the procedures that Quality needs to perform before determining that both CWaves Maintenance Company and CWaves Management Company are immaterial to the CWaves consolidated financial statements.

Analysis

During the current year's audit planning process, Quality needs to determine whether CWaves Maintenance Company and CWaves Management Company continue to be immaterial to the group for consolidation purposes. Quality obtains the management accounts from group management for the two components and undertakes analytical procedures to confirm whether or not there are significant risks in the components, and also reviews Board minutes. Quality also discusses with group management the activities and proposed activities of the components. On the basis of the work that has been completed by Quality, they have concluded that it is unlikely that the financial activities and results of CWaves Maintenance Company and CWaves Management Company would create a risk of a material misstatement to the consolidated financial statements and therefore will not be subject to further audit procedures in the current period. Quality has documented their assessments and conclusions in the audit file.

► Knowledge Check Questions

Question 1

Identify which of the following indicators is the most definitive in determining whether or not a component is significant.

- A** Group management want a component audited.
- B** The auditor has audited the component for the last two years.
- C** Revenue of the component is 18% of the total revenue of the group.
- D** The component may be sold in the next financial period.

10.2 COMPONENT AUDITORS

10.2.1 Characteristics of Component Auditors

HKSA
600.19–20

HKSA 600 (Revised) requires the group auditor, if it intends to use the work of a component auditor or component auditors, to obtain an understanding of:

- Whether the component auditors will comply with the ethical and independence standards set out in the HKICPA Code of Ethics for Professional Accountants. The group auditor should ensure, where the component auditor is not based in Hong Kong, that Hong Kong ethical requirements, including being independent, are nevertheless understood. The component auditor should be made aware of the expectations of the group auditor of the HKICPA ethical requirements for group purposes.
- The professional competence of the component auditor.
- Whether the group auditor will be able to be involved in the work of the component auditors as necessary to obtain sufficient appropriate audit evidence.
- Whether component auditors operate in a regulatory environment that actively oversees auditor quality, and which practically may be difficult to assess if in other jurisdictions.

In assessing the professional competence of a component auditor, the group auditor needs to be confident that the component auditor can properly fulfil the group audit responsibilities. If the group auditor fails to make a formal documented assessment of this, it will be difficult to demonstrate that they have sufficient involvement in, or control over, the group audit. The quantum of documentation required will depend on the complexity of finding the required information to conduct the assessment. The group auditor should be satisfied that component auditors:

- Understand the auditing and quality management standards under which they should operate for group audit purposes, and will comply with those standards. If the component auditor is in a jurisdiction outside Hong Kong, but follows international auditing and quality management standards, the assessment will be aided. If international auditing and quality management standards are not followed, the group auditor will need to determine whether the proposed component auditor can be used.
- Have the requisite skills and specialist skills where required, such as industry-specific knowledge, valuation or taxation specialists to assist the component audit team for complex audit issues where there is a risk of a material misstatement.
- Have an understanding of HKFRSs that is sufficient to fulfil group reporting responsibilities. Again, this will be easier to determine where the component auditors' jurisdiction follows International Financial Reporting Standards (IFRSs).

Apply and Analyse 2

Apply

Quality had issues in the prior period with the auditors of CWaves Hotels Company, which is based in Malaysia. The previous component auditors did not meet the deadlines that Quality established and it was very difficult to obtain the required information as instructed in the group audit questionnaire.

List out the considerations for Quality when looking for a new component auditor.

Analysis

Quality, when finding a new component auditor, will need to conduct a detailed assessment to ensure that Quality obtains a higher degree of assurance that their deadlines will be met, and that the required information will be provided. Quality should look at member firms of the Malaysian Institute of Accountants (the Malaysian equivalent of HKICPA) to start, then complete their formal assessment of the independence, competence, willingness to communicate and meet group deadlines with the requisite information provided to Quality. As the hotel business requires industry knowledge to audit it appropriately, Quality would need to ensure that the proposed component auditor has the necessary skills to undertake the audit.

10.2.2 Responsibilities of Component Auditors

Component auditors report to the group auditor on their work in the form agreed in the group audit instructions, whether it is an audit report on financial information or certain account balances, or a report on specified procedures.

The component auditor should consider the following when issuing an auditor's report:

- Whether the introductory paragraph clearly identifies the financial information that is being reported on.
- Referencing the level of materiality used as instructed by the group auditor.
- Modifications to the auditor's opinion. This is particularly important and it is the responsibility of the component auditor to raise the issue of a potential modification as soon as possible with the group auditor. A determination will need to be made by the group auditor whether the modification will also be reflected at the consolidated financial statement level.

The component auditor should consider the following when issuing a report on specified procedures:

- The report provides sufficient clarity on the work performed, which should make clear what was not performed.
- Generally, not provide assurance on conclusions reached, but restate what was requested by the group auditor and what was completed.

The group auditor generally requests that the component auditor either prepare a summary memorandum of work performed or complete a group audit questionnaire. Either reporting format usually contains similar information from the component auditor. The

component auditor needs to provide this information to the group auditor so the group auditor has sufficient information to enable them to draw the appropriate conclusions to support the audit opinion on the group financial statements.

HKSA
600.41

Matters that are usually included in the component auditor's memorandum or questionnaire are as follows:

- Confirmation that the component auditor has complied with the ethical requirements of the HKICPA Code of Ethics for Professional Accountants.
- Confirmation that the component auditor has complied with the group auditor's requirements.
- The scope of work performed, including explanations for significant changes to the audit strategy and any variations from group instructions. (Note: This should be communicated by the component auditor to the group auditor prior to variation. The documentation at this stage of the component audit is confirming what should already have been agreed.)
- Instances of fraud or non-compliance with laws and regulations, and indicators of management bias. (Again, any fraud identified should be communicated immediately to the group auditor.)
- Significant matters arising from the work performed by the component auditor, including details of significant risks that may affect the consolidated financial statements, including those communicated by the group auditor at the planning stage, and a summary of responses to those risks.
- In the instance that the parent entity is listed, key audit matters (KAMs) should either be included in the main body of the audit report or in the memorandum or questionnaire. (For further information on KAMs, refer back to Chapter 9 of this module.)
- Details of corrected and uncorrected misstatements, including explanations from component management why misstatements have remained uncorrected.
- Significant deficiencies in internal controls that were identified. (Again, this should be reported to the group auditor at the point of discovery.)
- Details of any related party transactions.
- Subsequent events procedures performed and whether there were any material matters identified and details of the potential effects of such matters.
- Specific inclusions identified by the component auditor for inclusion in the group letter of representation.
- Matters that should be communicated to those charged with governance at the group level.
- Other information such as contingencies and commitments.
- The component auditor's overall findings, conclusions or opinion.

In some instances, the group auditor may require that further information be supplied by the component auditor as follows:

- An analytical review of the component's financial statements, with explanations for the trends and movements year on year and reference to actual results in the current financial period as compared to budget.

- A summary of key estimates and judgements and how management approached their assessment.
- Financial reporting issues and how they were addressed.

Ultimately what needs to be reported by the component auditor will be determined by the group auditor. If the component auditor does not believe they can carry out what has been requested of them, then they need to advise the group auditor. The group auditor may need to consider replacing a component auditor if they cannot meet their responsibilities.

10.2.3 Overview of How Component Auditors Work Within the Group Audit

How component auditors work within the group audit is dependent on the audit firms involved in the various aspects of the group audit. There are several combinations that could exist.

The group auditor audits the whole group – where the group and all component auditors are part of the same firm or network of firms. In these circumstances the group auditor should have a good understanding of the component auditors, and they will in most cases be following the same audit methodology.

Communications should be easier for firms with common audit approaches, quality control procedures and audit software, and for partners and staff who undertake common training programmes. Notwithstanding this, HKSA 600 (Revised) still requires the group auditor to document their understanding of component auditors, and for component auditors to acknowledge their compliance with group auditor requests. HKSA 600 (Revised) also requires that the group auditor determines the extent of involvement at the component level. This is made easier in the situation where the group auditor audits the whole group.

There will be distinctions between approaches depending on whether there is a single-office group audit, multiple-office group audit (same firm) or multiple-firm (same network) group audit.

The group auditor does not audit the whole group – where the whole group includes multi-network group audits and where group or component auditors are not members of any network. While the basic considerations are the same as those where group and component auditors all belong to the same network, the level of knowledge about the audit methodology of firms outside the group auditor's firm is likely to be limited.

The group auditor cannot simply rely on the component auditor's opinion on the financial statements of the component. If the component auditor has concluded that the financial statements of the component are free from material misstatement, then the group auditor must not just rely on this opinion and assume that the financial statements are materially correct. An appropriate level of understanding is required between the component auditor and the group auditor on the work undertaken by the component auditor.

Communication between the component auditor and the group auditor is critical to ensure that definitive conclusions can be drawn at the end of the group audit process. Successful group audit scenarios are ones where all of the auditors involved in the group audit consider themselves part of the one audit engagement, akin to a single audit of a company where all members of the audit engagement team are clear on their responsibilities and communicate freely with others on the audit engagement.

Illustrative Example 2

Returning to the example of CWaves, recall that the group's external auditor, Quality, is not part of a global accounting firm. Quality audits four components that are material to the CWaves group. Four other material components are audited by component auditors with no relationship to Quality. To summarise:

- Component Auditor 1: Wuzhou Travel Company (incorporated and based in Singapore)
- Component Auditor 2: CWaves Hotel Company (incorporated and based in Malaysia)
- Component Auditor 3: HKCW Development Holding Company and Hai Cruising Company
- Quality Auditors: CWaves Ferry Company, HKCW Investment Limited, CWaves Godown Company, and Donghai Company

Assume that Quality, as the group auditor, will use the work of the component auditors. Under HKSA 600 (Revised), Quality is required to obtain an understanding that all component auditors (whether they work for Quality or another firm) will comply with the HKICPA Code of Ethics, even for Auditors 1 and 2, which are based in Singapore and Malaysia, respectively. Quality must formally document its assessment for each component auditor and have sufficient involvement that they can demonstrate an understanding of the work of all auditors used by the group. Auditors 1, 2 and 3 should also document how they have complied with Quality's audit requests. The same approach should be used by Quality's group auditor to assess the work of Quality's own component auditors, provided they are different from Quality's group auditor.

In order to provide such assurance, Quality must communicate directly with all component auditors and clarify the responsibilities of each. Once all component auditors determine that the component-level financial statements are free from material misstatement, Quality should lead a group audit involving all component auditors, following the same approach as if members of the audit engagement team were all working for the same company. Ultimately, Quality has the sole responsibility of making an opinion on the group financial statements, including for component statements Quality has not audited.

► Knowledge Check Questions

Question 2

Identify which of the following is not a key characteristic of a component auditor.

- A Competence
- B Integrity
- C Communication
- D Practical

Question 3

Explain at least five items that a component auditor would normally be expected to report to the group auditor.

Question 4

Explain to what extent a group auditor would have to assess the component auditor when the component auditor is part of the group audit firm's network.

10.3 GROUP ENGAGEMENT TEAM

10.3.1 Group Engagement Partner's and Staff Member's Responsibilities

The overall responsibility for a group audit rests with the group engagement partner. As stipulated in HKSA 220 (Revised) *Quality Management for an Audit of Financial Statements*, the group engagement partner is responsible for the direction, supervision, performance and review of the work, the adequacy of the audit documentation and whether, and how, the group engagement partner has become satisfied that sufficient appropriate audit evidence has been obtained to allow the group engagement partner to take responsibility for the consolidated financial statements and the auditor's report thereon.

The responsibilities of the group engagement partner and those of the group audit team are the same as for all audits conducted under HKSAs, this does not change in the audit of a group.

In general, the following are the key responsibilities of the group engagement partner and group engagement team:

- Carry out the client acceptance or continuance procedures.
- Issue a group engagement letter.
- Establish the overall audit strategy and audit plan.
- Obtain an understanding of the group components and their environment:
 1. Obtain an understanding of the group, its components and their environment.
 2. Obtain an understanding of the consolidation process.

3. Review instructions issued by management to components.
 4. Verify that all components have been included in group financial statements.
 5. Evaluate completeness and accuracy of consolidation adjustments.
 6. If the component's accounting policies are different from the group's policies, verify that appropriate consolidation adjustments have been made for the purposes of group financial statements.
 7. If the component's accounting period is different from the group's accounting period, verify that appropriate adjustments have been made for the purposes of group financial statements.
- Obtain an understanding of the component auditor's:
 1. Compliance with ethical requirements, particularly independence.
 2. Professional competence.
 3. Regulatory environment (if in another jurisdiction).
 4. In the case where the group engagement partner has concern over (1) to (3) above, the group engagement team should perform the audit of the components.
 - Determine materiality levels:
 1. Materiality to be applied at the component level. This cannot be higher than group materiality.
 2. Materiality to be applied at the group level.
 - Use a consolidation process.
 - Respond to assessed risks:
 1. For components that are financially significant, arrange a full-scope audit (financially significant components are, *prima facie*, those components which comprise more than 15% of sales, net income, assets, liabilities or cash flows of the group).
 2. For components that are significant not because of financial benchmarks but because of excessive risks, either arrange full-scope audit or audit of specific accounts or carry out specified procedures.
 3. For insignificant components, carry out analytical procedures.
 4. Involve the group engagement team in the work performed by the component auditor, in the following areas:
 - (a) Discussing business activities that are significant to the group.
 - (b) Identifying aspects of the financial statements of the component which may be misstated due to frauds and errors.
 - (c) Reviewing component auditor's documentation of identified significant risks of material misstatements.

- (d) Evaluating, when significant risks of material misstatements of the group financial statements have been identified in a component, what further audit procedures are required and whether direct involvement of the group engagement team is necessary.
- Arrange subsequent events reviews; ensure that subsequent events reviews of components have been completed up to the date of the auditor's report on the group's financial statements.
- Consider any significant findings of the component auditor.
- Communication with the component auditor:
 1. Work to be performed.
 2. Form and content of component auditor's communication with group engagement team.
 3. Confirmation that the component auditor will cooperate with the group engagement team.
 4. Ethical requirements, particularly independence requirements, regarding both the group and the component.
 5. The level of component materiality.
 6. Identified significant risks of material misstatement of the group financial statements, whether due to fraud or error.
 7. Related parties.
 8. Non-compliance with laws and regulations.
 9. Material weaknesses in internal controls that could affect the component auditor.
 10. Relevant accounting, auditing and reporting requirements.
 11. Communications with those charged with governance at the group level and where necessary at the component level.

10.3.2 Component Team Member's Responsibilities

A critical responsibility of the component auditors is to follow the instructions set out by the group auditor.

The component auditors should ensure that there is an open line of communication with the group auditor such that any issues identified at the component level which may have a material impact on the group financial statements can be addressed on a timely basis.

The component audit team should view themselves as an extension of the group audit team.

The component audit team should conduct the audit to meet all of the regulatory and legal requirements as outlined in the group audit instructions and adhere to the deadlines during the audit process and up to completion.

The component audit team may also have responsibilities for local jurisdiction financial reporting for which they have sole responsibility.

Apply and Analyse 3

Apply

The component auditors of Wuzhou Travel Company have advised Quality that they are required to lodge financial statements in Singapore and will be applying a materiality level at the component level which is lower than group materiality.

Outline the responsibilities of the component auditors.

Analysis

It is very common for component auditors to conduct an audit for jurisdictional purposes at the same time as the audit for group reporting purposes. The component auditors of Wuzhou Travel Company, however, must still comply with the instructions and reporting requirements of the CWaves Group. It is likely that group materiality will be greater than component materiality, so the fact that the component auditor is auditing to a lower materiality level should not create an issue for Quality. The component auditor is responsible for reporting to Quality against the group materiality level.

10.3.3 Evaluating the Work of the Component Auditor

It has already been noted earlier in this chapter that if the group auditor wishes to use the work performed by component auditors, then the group auditor must be satisfied that component auditors are sufficiently competent and independent. They must also have the consent of the component auditor to:

- Be involved with their audit as necessary for group audit purposes; and
- Have access to all the information they consider necessary from the component auditors and management.

If appropriate access to component auditors cannot be obtained, the group auditor will need to perform the work necessary for group audit purposes themselves.

Where access to component auditor working papers is consented to and is likely to be required, the group audit instructions should include a request for confirmation from the component auditor that they will:

- Provide the group auditor with unrestricted access to their working papers; or
- Provide the group auditor with copies of their working papers; or
- Be unable to provide the group auditor with unrestricted access to their working papers or copies thereof because of legal or regulatory reasons, which should be detailed (this can be the case where component auditors are auditing within the United States, for example).

In addition to arranging access to the component auditor's work papers, for significant components the group auditor needs to consider whether they need to visit the component auditor.

Illustrative Example 3

Recall the case of CWaves and Quality, the group's main auditor. CWaves has two overseas subsidiaries, which are audited by Auditors 1 and 2 (unrelated to Quality), one local subsidiary audited by Auditor 3 (also unrelated to Quality) and four local subsidiaries audited by Quality. Quality wants to review the work of Auditors 1, 2 and 3 because Quality is responsible for reporting correct, accurate and fair information in its audit opinion on the group-level statements, which draw on other auditors' work. HKSA 600 (Revised) clarifies how the group engagement partner performs its review on the work done by Auditors 1, 2 and 3. These component-level opinions and statements must be examined by Quality to ensure that all material information has been properly audited and is compatible with the group-level audit.

Quality's group engagement team reviews the component auditors' work and general approach by requesting detailed information about the subsidiaries' accounting policies, limitations on the auditors' scope of work, subsidiaries' internal controls and qualifications made at the component level. Then, Quality reviews the work and documentation of Auditors 1, 2 and 3 to ensure completeness, an appropriate level of analysis, agreement with legal and accounting standards, and the audit opinion is based on appropriate and sufficient evidence. Additional documentation Quality reviews relate to the test of controls, compliance with approved auditing standards and agreement between accounting records and their requirements. Some of this information is in documentation including board meeting minutes, accounting records, an organisational chart and files related to the subsidiary's nature of business.

Quality is satisfied with the work of Auditors 1, 2 and 3, so it does not need to arrange for additional audit work at the component level.

10.3.3.1 Visits to Component Auditors

If the group auditor decides it is appropriate to visit the component auditor, this is usually on the basis of:

- As noted above, where component auditor working papers cannot be moved out of a jurisdiction.
- Because of the size or specific risks associated with the component.
- Because the group auditor believes it appropriate to discuss matters face to face (this may be the case when there is some doubt about the diligence of a component auditor).
- Where there is a change of either group or component auditors.
- Where the component has recently been purchased or there is an expected disposal.
- On the basis of work and conclusions reached by internal auditors.
- On the basis of prior-period issues at the component.
- On the basis of the audit adjustments that have been noted by the component auditor.
- Where there have been changes to local management or the size and scope of the component.

When visiting component auditors, it is suggested as better practice for:

- An experienced member of the group audit team to conduct the visit. In practice this is often the partner and/or the engagement manager.
- The group auditor to be clear about the purpose of the visit, including the files to be reviewed, particular areas of focus, the component audit staff that need to be interviewed, the component management that are to be met and what documents may be required to be copied for the group audit file.
- The visit to take place prior to the component auditor close-out meeting with component management, so that any issues raised by the group auditor can be factored into the close-out meeting.

10.3.3.2 Reviewing Component Auditor Working Papers

The most common form of audit procedure carried out by the group auditor over the work of the component auditor is a review of working papers prepared by the component auditor. The basis for selection and the amount of review to be conducted will vary considerably and will depend on the size of the component, the risks that the component poses to the group and the experiences the group auditor has had with component auditors in the past or with component management.

Set out below are some of the working papers that the group auditor may review in ensuring that the group auditor has sufficient appropriate audit evidence to support the auditor's opinion on the group financial statements. The group auditor will ensure that the audit evidence obtained confirms their understanding of the activities of the component and what the component auditor has concluded.

Component audit planning memorandum. The group auditor will need to see the component auditor's audit planning memorandum as per the group audit instructions, and confirm that it covers:

- The fact that internal control has been evaluated to identify and assess any risk of material misstatement at the component level.
- The risk assessment at the assertion level for all material accounts.
- The component auditor's documentation of their understanding of:
 - The component, its control environment, including IT controls and its accounting and information systems.
 - The way in which transactions are processed by the component.
 - The component's closing process and the controls applicable to accounting entries, including journal entries.

Significant risks. The group auditor will review working papers identifying significant risks, confirm that there are appropriate planned audit responses and that the audit evidence is sufficient and appropriate, and assess the implications of those risks for the group financial statements. For identified fraud risks, confirm that appropriate planned procedures have been documented and completed.

Detailed work programmes. The group auditor will review the detailed work programmes and confirm that they have been prepared for all material accounts and disclosures. The group

auditor will also confirm that the nature, timing and extent of tests of control and substantive procedures are appropriate to the component's characteristics and the risks identified, as well as confirming that the work programmes have been appropriately reviewed and approved by the component auditor.

Specialists. The group auditor will confirm that specialists or experts (such as legal, tax, corporate advisory, actuarial or IT specialists) who have been involved in the audit of the component, as deemed necessary, have had their competence and capabilities assessed by the component auditor.

Materiality thresholds. The group auditor will confirm that audit work has been performed on the basis of the materiality thresholds allocated by, or approved by, the group auditor in advance.

Supervision and review. The group auditor will determine that audit work has been carried out as planned and appropriately supervised and reviewed.

Tests of control. The group auditor will confirm that component auditors have tested controls as follows:

- The controls identified during audit planning and on which the component auditor wishes to place reliance.
- The group-wide controls identified for testing by the group auditor and included in the group audit instructions.

Where component auditors have identified significant control deficiencies, the group auditor will confirm that there is evidence that:

- The implications for the changes to the level of substantive procedures have been assessed.
- Deficiencies have been discussed with component management.
- Deficiencies have been communicated to the group auditor and where appropriate to group management.

Substantive procedures. The group auditor will confirm that conclusions in respect to substantive procedures are appropriate and have been properly documented.

Significant accounting judgements and estimates. The group auditor will confirm that procedures have been performed to ensure that significant accounting judgements and estimates, and transactions outside the normal course of business, do not constitute evidence of a risk of management bias on the part of component management.

Related parties. The group auditor will confirm that adequate audit procedures have been performed in respect of the identification of related parties and transactions. The group auditor will also check that appropriate audit procedures have been undertaken for any related-party transactions undertaken at arm's length.

Material contracts. The group auditor will confirm that component auditors obtained appropriate information in respect of material contracts taking effect during the period.

Non-compliance with laws and regulations. The group auditor will confirm that component auditors have addressed the risk of non-compliance with applicable laws and regulations.

Minutes of meetings. The group auditor will confirm that the component auditor has reviewed the minutes of meetings of component management and component governance bodies, and the minutes of any other important meetings, and has assessed the impact of decisions taken.

Litigation. The group auditor will confirm that the component auditor has performed adequate audit procedures to identify litigation likely to be material at group level.

Contingent assets and liabilities. The group auditor will confirm that procedures have been performed to ensure proper disclosure of material component contingent assets and liabilities.

Going concern. The group auditor will confirm that appropriate procedures have been performed to assess the validity of the going concern basis for the component.

Consolidation package. The group auditor will confirm that component auditors have checked that the consolidation package has been prepared in accordance with the group's accounting policies and that the numbers agree with those audited and documented in the audit working papers.

Roll-forward procedures. When audit work has been performed before year-end, the group auditor will confirm that component auditors have performed appropriate roll-forward procedures.

Management representation letter. When a component audit has been completed, the group auditor will confirm that the component auditor has obtained an appropriate signed management representation letter from component management.

Significant points outstanding. The group auditor will confirm that all significant points outstanding, which are relevant to the component auditor's report to the group auditor, have been cleared by the time of the issue of the report.

Communications with component management. The group auditor will confirm that all significant matters described in the working papers have been communicated to component management and that this was communicated before the financial statements were approved by the component.

Adequacy of audit work performed. Assess whether, for the elements of the file reviewed, the audit work performed is adequate and complies with the group audit instructions and the applicable auditing and accounting standards.

Final analytical procedures. The group auditor will confirm that the component auditor has performed final analytical procedures on any information provided in completed consolidation packages, corroborating conclusions, and obtained satisfactory explanations for material or unusual variances.

Auditor's opinion. The group auditor will confirm that any report issued and auditor's opinion expressed, is consistent with the audit conclusions reached and documented, including those on the schedule of adjusted and unadjusted misstatements.

Communications with component management. The group auditor will check that the component auditor's communications with component management do not contain any significant information not already brought to the group auditor's attention. The group auditor's evaluation of the work of the component auditors must be documented. As part of

the assessment as to the level of documentation, the group auditor needs to consider the extent to which they should include certain of the component auditor's working papers in the group audit file. This decision will be made on the basis of what is needed in the group auditor's file to provide sufficient appropriate audit evidence to support the auditor's opinion on the consolidated financial statements.

► Knowledge Check Questions

Question 5

Identify which of the following statements is true.

- A** The group auditor should conclude on the appropriateness of the component auditor's work.
- B** The group auditor should issue an engagement letter to component management.
- C** The component auditor should advise the group auditor of the materiality of the component.
- D** The group auditor should communicate to the component auditor(s) all outcomes of discussions with group management.

Question 6

Explain at least five items that a component auditor would normally be expected to communicate to the group auditor.

Question 7

Identify which of the following a group auditor should consider in determining whether to visit a component auditor.

- A** The availability of the component auditor.
- B** The capability of the component auditor.
- C** The availability of component management.
- D** The capability of component management.

Question 8

List six working papers that the group auditor should review of the component auditor and explain the reason for each.

A large, light gray downward-pointing chevron shape. The word "SUMMARY" is written in orange, bold, uppercase letters across the middle of the chevron.

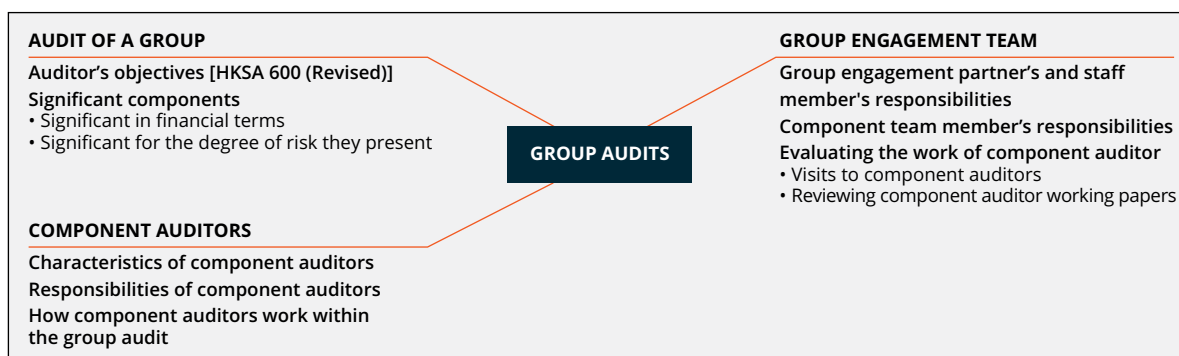
SUMMARY

There are many more considerations that need to be made by auditors. In their role as the group auditor, the key considerations are:

- Evaluation of the competence of the component auditor.
- Evaluation of the significance of components within the group.
- Evaluation of the work performed by the component auditor.

At all times, ultimate responsibility for the audit of the consolidated financial statements rests with the group auditor, who must be satisfied that sufficient appropriate audit evidence exists to support the auditor's opinion on the group financial statements.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect because requests of management are not factored into the independent assessment made by the group auditor unless they relate directly to the risk profile of the component.

Answer B is incorrect because what has occurred in prior periods does not necessarily impact on the current period and would be a guide only until the current period's results and risks have been assessed.

Answer C is correct because HKSA 600 (Revised) clearly stipulates that a 15% or greater benchmark is a strong indicator of a significant component. In practice, this is generally used by audit firms.

Answer D is incorrect because while the potential sale of a component may be a non-financial indicator, the fact that the sale is only 'potential' doesn't lead to a definitive indicator of significance.

Question 2

Answer A is incorrect because it is a key characteristic.

Answer B is incorrect because it is a key characteristic, as it forms part of the ethical requirements.

Answer C is incorrect because it is a key characteristic, as communication between the group auditor and the component auditor is critical to the smooth conduct of the group audit.

Answer D is correct because practicality is not a characteristic that impacts on the assessment of a component auditor.

Question 3

Any five of the following would be correct:

- Reconfirmation that the component auditors have complied with the ethical requirements of the HKICPA Code of Ethics for Professional Accountants.
- Confirmation that the component auditor has complied with the group auditor's requirements.

- The scope of work performed, including explanations for significant changes to the audit strategy and any variations from group instructions. (Note: This should be communicated by the component auditor to the group auditor prior to variation. The documentation at this stage of the component audit is confirming what should already have been agreed.)
- Instances of fraud or non-compliance with laws and regulations, and indicators of management bias. (Again, any fraud identified should be communicated immediately to the group auditor.)
- Significant matters arising from the work performed by the component auditor, including details of significant risks that may affect the consolidated financial statements, including those communicated by the group auditor at the planning stage, and a summary of responses to those risks.
- In the instance that the parent entity is listed, key audit matters (KAMs) should either be included in the main body of the audit report or in the memorandum or questionnaire. (For further information on KAMs, refer back to Chapter 9 of this module.)
- Details of corrected and uncorrected misstatements, including explanations from component management why misstatements have remained uncorrected.
- Significant deficiencies in internal controls that were identified. (Again, this should be reported to the group auditor at the point of discovery.)
- Details of any related-party transactions.
- Subsequent events procedures performed and whether there were any material matters identified and details of the potential effects of such matters.
- Specific inclusions identified by the component auditor for inclusion in the group letter of representation.
- Matters that should be communicated to those charged with governance at the group level.
- Other information, such as contingencies and commitments.
- The component auditor's overall findings, conclusions or opinion.

Question 4

HKSA 600 (Revised) still requires the group auditor to document their understanding of component auditors, and for component auditors to acknowledge their compliance with group auditor requests even though they may both be part of the same network firm.

Question 5

Answer A is correct because it is the responsibility of the group auditor to conclude on the appropriateness of the component auditor's work.

Answer B is incorrect because the group auditor is responsible for issuing an engagement letter to group management or those charged with governance. The component auditor will issue an engagement letter to component management.

Answer C is incorrect because the group auditor is responsible for setting the materiality levels for group reporting purposes.

Answer D is incorrect because the group auditor would not report all outcomes of discussions with group management.

Question 6

Any five of the following would be correct.

- Work to be performed.
- Form and content of component auditor's communication with group engagement team.
- Confirmation that the component auditor will cooperate with group engagement team.
- Ethical requirements, particularly independence requirements regarding both the group and the component.
- The level of component materiality.
- Identified significant risks of material misstatement of the group financial statements, whether due to fraud or error.
- Related parties.
- Non-compliance with laws and regulations.
- Material weaknesses in internal controls that could affect the component auditor.
- Relevant accounting, auditing and reporting requirements.
- Communications with those charged with governance at the group level and where necessary at the component level.

Question 7

Answer A is incorrect because the decision of visitation is not dependent on availability.

Answer B is correct because the component auditor's capability is a key factor in determining the need of the group auditor to visit the component auditor. This can be heightened where it is a first audit of the component auditor.

Answer C is incorrect because the availability of component management should not be factored into the decision relating to the component auditor.

Answer D is incorrect because it is not the group auditor's responsibility to determine the capability of component management.

Question 8

Any six of the following would be correct:

Component audit planning memorandum. Attach the component auditor's audit planning memorandum as per the group audit instructions, and confirm that it covers:

- The fact that internal control has been evaluated to identify and assess any risk of material misstatement at the component level.
- The risk assessment to the assertion level for all material accounts.
- The component auditor's documentation of their understanding of:
 - The component, its control environment, including IT controls and its accounting and information systems.
 - The way in which transactions are processed by the component.
 - The component's closing process and the controls applicable to accounting entries, including journal entries.

Significant risks. For identified significant risks, confirm that there are appropriate planned audit responses and that the audit evidence is sufficient and appropriate, and assess the implications of those risks for the group financial statements. For identified fraud risks, confirm that appropriate planned procedures have been documented and completed.

Detailed work programmes. Review the detailed work programmes and confirm that they have been prepared for all material accounts and disclosures. Confirm that the nature, timing and extent of tests of control and substantive procedures are appropriate to the component's characteristics and the risks identified. Confirm that the work programmes have been appropriately reviewed and approved by the component auditor.

Specialists. Confirm that specialists or experts (such as legal, tax, corporate advisory, actuarial or IT specialists), who have been involved in the audit of the component as deemed necessary, have had their competence and capabilities assessed by the component auditor.

Confirm that audit work has been performed on the basis of the materiality thresholds allocated or approved by the group auditor in advance.

Determine that audit work has been carried out as planned and appropriately supervised and reviewed.

Tests of control. Confirm that component auditors have tested controls as follows:

- The controls identified during audit planning and on which the component auditor wishes to place reliance.
- The group-wide controls identified for testing by the group auditor and included in the group audit instructions.

Substantive procedures. Confirm that conclusions in respect of substantive procedures are appropriate and have been properly documented.

Communications with component management. Ensure that all appropriate communications have been made.

EXAM PRACTICE

QUESTION 1

Identify which of the following audit approaches would be the most appropriate for the group auditor on a component that is insignificant?

- A. Audit of risk areas at the component level.
- B. Conduct specific procedures covering the most important auditing standards.
- C. Conduct analytical procedures based on information presented by the parent entity management.
- D. Review minutes of meetings to determine whether there are any significant risks.

QUESTION 2

Siu Tong is the group audit partner for Sticky Lollies Hong Kong Group. The audit process for the group is well advanced, with component clearance reports due within the next week. Siu Tong has just received an email from a significant component auditor, KCUB & Co in Australia, explaining that they have discovered they have a conflict of interest for which no safeguards could be put in place to minimise the threat to an acceptable level.

Identify which of the following strategies would be the most appropriate alternative for Siu Tong to adopt to ensure that the Australian significant component audit is completed by the required date:

- A.** Review the working papers prepared by KCUB & Co and determine whether sufficient appropriate audit evidence has been obtained for the component.
- B.** Acknowledge receipt of the email and instruct KCUB & Co to detail the reasons for conflict of interest before taking any further action.
- C.** Find an alternative component auditor to finish the work started by KCUB & Co.
- D.** Send group audit team members to conduct the audit of the Australian significant component.

QUESTION 3

Gong Hei Fat Choy Company has a number of components in Hong Kong, China, Malaysia, the United Kingdom and the United Arab Emirates. The chair of the Audit Committee is seeking a new audit firm to take on the audit of the parent entity and components. He wants to understand how the audit would be approached by different audit firms.

Describe to the chair of the Audit Committee how the audit of a group may differ when the group auditor audits the entire group as opposed to when the group auditor does not audit the entire group.

QUESTION 4

Vincent Yau, the group audit partner for Durian Fruits Hong Kong Group, has sent out group audit questionnaires to each of the components required to undertake audit procedures for the group. The instructions vary depending on whether the component auditor is undertaking a full audit or has been requested to look at certain balances and/or risks.

- (a) List the six key items that Vincent Yau would have requested to be detailed in the full audit questionnaire.
- (b) Describe the difference you would expect between a full audit questionnaire to be reported and a report focusing on certain balances and/or risks.

 ANSWERS TO EXAM PRACTICE**QUESTION 1**

Answer C is the most appropriate answer. Alternatives A and B suggest that there are in fact significant components either due to size or risk. While alternative D is an activity the group auditor is likely to undertake if such minutes exist, HKSA 600 (Revised) clearly stipulates the requirement to undertake analytical procedures.

QUESTION 2

Answer D is the most appropriate response. The timeline does not allow for a new component auditor to be found. Any work conducted by KCUB & Co has been compromised by the independence issue so cannot be relied upon by Siu Tong.

QUESTION 3

When the group auditor audits the entire group. In these circumstances, the group auditor should have a good understanding of the component auditors, and they will in most cases be following the same audit methodology.

Communications should be easier for firms with common audit approaches, quality control procedures and audit software, and partners and staff who undertake common training programmes. Notwithstanding this, HKSA 600 (Revised) still requires the group auditor to document their understanding of component auditors, and for component auditors to acknowledge their compliance with group auditor requests. HKSA 600 (Revised) also requires that the group auditor determine the extent of involvement at the component level. This is made easier in the situation where the group auditor audits the whole group.

There will be distinctions between approaches depending on whether there is a single-office group audit, multiple-office group audit (same firm) or multiple-firm (same network) group audit.

When the group auditor does not audit the entire group. This includes multi-network group audits and where group or component auditors are not members of any network. While the basic considerations are the same as those where group and component auditors all belong to the same network, the level of knowledge about the audit methodology of firms outside the group auditor's firm is likely to be limited.

The group auditor cannot simply rely on the component auditor's opinion on the financial statements of the component. If the component auditor has concluded that the financial statements of the component are free from material misstatement, then the group auditor should not just rely on this opinion and assume that the financial statements are materially correct. An appropriate level of understanding is required between the component auditor and the group auditor on the work undertaken by the component auditor.

QUESTION 4

(a) The six key terms could include:

- Reconfirmation that the component auditor has complied with the ethical requirements of the HKICPA Code of Ethics for Professional Accountants.
- Confirmation that the component auditor has complied with the group auditor's requirements.
- The scope of work performed, including explanations for significant changes to the audit strategy and any variations from group instructions. (Note: This should be communicated by the component auditor to the group auditor prior to variation. The documentation at this stage of the component audit is confirming what should have already been agreed.)

- Instances of fraud or non-compliance with laws and regulations, and indicators of management bias. (Again, any fraud identified should be communicated immediately to the group auditor.)
 - Significant matters arising from the work performed by the component auditor, including details of significant risks that may affect the consolidated financial statements, including those communicated by the group auditor at the planning stage, and a summary of responses to those risks.
 - In the instance that the parent entity is listed, key audit matters (KAMs) should either be included in the main body of the audit report or in the memorandum or questionnaire. (For further information on KAMs, refer back to Chapter 9 of this module.)
 - Details of corrected and uncorrected misstatements, including explanations from component management why misstatements have remained uncorrected.
 - Significant deficiencies in internal controls that were identified. (Again, this should be reported to the group auditor at the point of discovery).
 - Details of any related-party transactions.
 - Subsequent events procedures performed and whether there were any material matters identified and details of the potential effects of such matters.
 - Specific inclusions identified by the component auditor for inclusion in the group letter of representation.
 - Matters that should be communicated to those charged with governance at the group level.
 - Other information such as contingencies and commitments.
 - The component auditor's opinion.
- (b) Differences in content. There are significantly fewer reporting requirements of the component auditor when the focus is on certain balances and/or risks. The reporting is usually limited to the following:
- Reconfirmation that the component auditor has complied with the ethical requirements of the HKICPA Code of Ethics for Professional Accountants.
 - Confirmation that the component auditor has complied with the group auditor's limited scope requirements.
 - Specific procedures carried out for the aspects of the component as requested by the group auditor.
 - Any issues noted that may be of a material nature to the group auditor based on the scope given to the component auditor.
 - The component auditor in these circumstances is performing a limited scope audit and, therefore, will not be issuing an opinion on the component's financial statements as a whole.



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GLOSSARY OF TERMS

acceptable level a level at which a professional accountant, using the reasonable and informed third-party test, would likely conclude that a professional accountant complies with the fundamental ethical principles.

access controls procedures designed to restrict access to on-line terminal devices, programs and data. Access controls consist of 'user authentication' and 'user authorisation'. 'User authentication' typically attempts to identify a user through unique logon identifications, passwords, access cards or biometric data. 'User authorisation' consists of access rules to determine the computer resources each user may access. Specifically, such procedures are designed to prevent or detect:

- Unauthorised access to on-line terminal devices, programs and data;
- Entry of unauthorised transactions;
- Unauthorised changes to data files;
- The use of computer programs by unauthorised personnel; and
- The use of computer programs that have not been authorised.

accountability relationship a relationship where one party in an entity is responsible for its actions in relation to a matter and reports to another party, internal or external to the entity, as to its performance in relation to that matter.

accounting records the records of initial accounting entries and supporting records, such as checks and records of electronic fund transfers, invoices, contracts, the general and subsidiary ledgers, journal entries and other adjustments to the financial statements that are not reflected in journal entries; and records such as work sheets and spreadsheets supporting cost allocations, computations, reconciliations and disclosures.

accounts preparation a responsibility of management involving an accounting system to identify, record and classify all the transactions and events relating to an entity that occur during a reporting period. To maintain accountability for assets, liabilities, revenues and expenditures and to convert that data into information in the form of financial statements.

Agreed-upon procedures engagement An engagement in which an auditor is engaged to carry out those procedures of an audit nature to which the auditor and the entity and any appropriate third parties have agreed and to report on factual findings. The recipients of the report form their own conclusions from the report by the auditor. The report is restricted to those parties that have agreed to the procedures to be performed since others, unaware of the reasons for the procedures may misinterpret the results.

analytical procedures evaluations of financial information through analysis of plausible relationships among both financial and non-financial data. Analytical procedures also encompass such investigation as is necessary of identified fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount.

anomaly a misstatement or deviation that is demonstrably not representative of misstatements or deviations in a population.

appropriateness (of audit evidence) the measure of the quality of audit evidence; that is, its relevance and its reliability in providing support for the conclusions on which the auditor's opinion is based.

assertions representations by management, explicit or otherwise, that are embodied in the financial statements, and used by the auditor to consider the different types of potential misstatements that may occur. In the context of HKSAE 3410, assertions are defined as representations by the entity, explicit or otherwise, that are embodied in the GHG statement, as used by the practitioner to consider the different types of potential misstatements that may occur.

assurance an independent professional opinion, the objective of which is to reduce information risk (risk from incorrect information) to users of financial and other information to improve the reliability and credibility of information so that users can make more informed decisions.

assurance engagement An engagement in which a practitioner aims to obtain sufficient appropriate evidence in order to express a conclusion designed to enhance the degree of

confidence of the intended users other than the responsible party about the subject matter information (that is, the outcome of the measurement or evaluation of an underlying subject matter against criteria). Each assurance engagement is classified on two dimensions:

- (i) Either a reasonable assurance engagement or a limited assurance engagement:
 - a. Reasonable assurance engagement – An assurance engagement in which the practitioner reduces engagement risk to an acceptably low level in the circumstances of the engagement as the basis for the practitioner’s conclusion. The practitioner’s conclusion is expressed in a form that conveys the practitioner’s opinion on the outcome of the measurement or evaluation of the underlying subject matter against criteria.
 - b. Limited assurance engagement – An assurance engagement in which the practitioner reduces engagement risk to a level that is acceptable in the circumstances of the engagement but where that risk is greater than for a reasonable assurance engagement as the basis for expressing a conclusion in a form that conveys whether, based on the procedures performed and evidence obtained, a matter(s) has come to the practitioner’s attention to cause the practitioner to believe the subject matter information is materially misstated. The nature, timing and extent of procedures performed in a limited assurance engagement is limited compared with that necessary in a reasonable assurance engagement but is planned to obtain a level of assurance that is, in the practitioner’s professional judgement, meaningful. To be meaningful, the level of assurance obtained by the practitioner is likely to enhance the intended users’ confidence about the subject matter information to a degree that is clearly more than inconsequential.
- (ii) Either an attestation engagement or a direct engagement:
 - a. Attestation engagement – An assurance engagement in which a party other than the practitioner measures or evaluates the underlying subject matter against the criteria. A party other than

the practitioner also often presents the resulting subject matter information in a report or statement. In some cases, however, the subject matter information may be presented by the practitioner in the assurance report. In an attestation engagement, the practitioner’s conclusion addresses whether the subject matter information is free from material misstatement. The practitioner’s conclusion may be phrased in terms of:

- i. The underlying subject matter and the applicable criteria;
 - ii. The subject matter information and the applicable criteria; or
 - iii. A statement made by the appropriate party(ies).
- b. Direct engagement – An assurance engagement in which the practitioner measures or evaluates the underlying subject matter against the applicable criteria and the practitioner presents the resulting subject matter information as part of, or accompanying, the assurance report. In a direct engagement, the practitioner’s conclusion addresses the reported outcome of the measurement or evaluation of the underlying subject matter against the criteria.

Audit Committee a standing committee of the Board of Directors, composed of a majority of independent directors, that oversees the financial reporting and external and internal audit functions within an entity.

audit evidence information used by the auditor in arriving at the conclusions on which the auditor’s opinion is based. Audit evidence includes both information contained in the accounting records underlying the financial statements and other information. (See also Sufficiency of audit evidence and Appropriateness of audit evidence.)

audit objective an engagement where the auditor provides reasonable assurance by issuing a positive expression of opinion that enhances the credibility of assertions about a subject matter or directly on the subject matter.

auditor’s legal liability auditor’s legal liability to their clients and third parties arises when auditors fail to exercise professional care and skill in conducting an audit of financial statements. Auditors can be held liable to their clients and third parties under either common law or statutory law.

audit procedures the means by which an auditor gathers sufficient and appropriate audit evidence to support the amounts and disclosures in the financial statements.

audit risk the risk that the auditor expresses an inappropriate audit opinion when the financial statements are materially misstated. Audit risk is a function of the risks of material misstatement and detection risk.

audit sampling (sampling) the application of audit procedures to less than 100% of items within a population of audit relevance such that all sampling units have a chance of selection in order to provide the auditor with a reasonable basis on which to draw conclusions about the entire population.

business risk a risk resulting from significant conditions, events, circumstances, actions or inactions that could adversely affect an entity's ability to achieve its objectives and execute its strategies, or from the setting of inappropriate objectives and strategies.

clients persons or organisations using the services of the audit firm.

code of ethics professional standards that set out fundamental principles of ethics for professional accountants, reflecting the profession's recognition of its public responsibility. The principles establish the standards of behaviour expected of a professional accountant in business, in public practice and for independence in audit and other assurance engagements.

common law common law is developed through judicial and court processes and can change from one jurisdiction to another and from one year to another year. This kind of liability results from negligence, fraud and breach of contract.

Companies Ordinance (Cap.622) (CO), the Companies Ordinance (CO) passed by the Hong Kong Legislative Council establishes provisions for auditor liability under the statutory law to protect investors. The CO is intended to improve corporate governance including the audit quality and facilitate business through a more modernise law.

compliance audit an engagement where an audit is undertaken to determine whether an entity has complied with specified policies, procedures, laws and regulations. These engagements can be undertaken by internal or external auditors.

component an entity or business activity for which a group or component of management prepares financial information that should be included in the group financial statements.

component auditor an auditor who, at the request of the group engagement team, performs work on financial information related to a component for the group audit.

computer-assisted auditing techniques (CAATs) Applications of auditing procedures using the computer as an audit tool (also known as CAATs).

conceptual framework for ethics the approach that professional accountants are to apply to identify, evaluate and address threats to compliance with the fundamental ethical principles. It involves the professional accountant identifying any threats to the fundamental principles, evaluating their significance and either applying safeguards to reduce it to an acceptable level based on a reasonable and informed third-party test or, if no safeguards are available, eliminating the circumstances or declining or discontinuing an engagement.

control activities those policies and procedures that help ensure that management directives are carried out. Control activities are a component of internal control.

control environment includes the governance and management functions and the attitudes, awareness and actions of those charged with governance and management concerning the entity's internal control and its importance in the entity. The control environment is a component of internal control.

Control objective The aim or purpose of a particular aspect of controls. Control objectives relate to risks that controls seek to mitigate.

control risk See Risk of material misstatement.

co-regulation a model where the regulation of companies and CPAs is a combination of professional and statutory requirements.

corporate governance see governance.

criteria The benchmarks used to measure or evaluate the underlying subject matter. The 'applicable criteria' are the criteria used for the particular engagement.

detection risk the risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a misstatement that exists and that could be material, either individually or when aggregated with other misstatements.

direct assistance The use of internal auditors to perform audit procedures under the direction, supervision and review of the external auditor.

direct engagement a party other than the auditor retains responsibility for the subject matter but does not make a written assertion on the subject matter. The auditor measures and evaluates the subject matter and provides that information and opinion in the auditor's report.

entity's risk assessment process a component of internal control that is the entity's process for identifying business risks relevant to financial reporting objectives and deciding about actions to address those risks, and the results thereof.

error an unintentional misstatement in the financial statements, including the omission of an amount or a disclosure.

external auditors external auditors are independent professional contractors appointed by the entity to audit its financial statements. They perform an audit in accordance with the Hong Kong Standards on Auditing.

external confirmation audit evidence obtained as a direct written response to the auditor from a third party (the confirming party), in paper form, or by electronic or other medium.

financial statement audit an audit undertaken to provide reasonable assurance that financial statements prepared by management are in accordance with the applicable financial reporting framework, to enhance the degree of confidence of intended users in the financial statements.

financial statement statutory auditor an external auditor appointed by a company's shareholders under the *Companies Ordinance* to undertake an audit of the company's financial statements and report to shareholders.

fraud an intentional act by one or more individuals among management, those charged with governance, employees or third parties, involving the use of deception to obtain an unjust or illegal advantage.

fraud risk factors events or conditions that indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud.

full audit an audit of all the financial information of the component using group materiality.

generalised audit software multi-purpose audit software which can be used for such general processes as record selection, matching, recalculation and reporting.

governance describes the role of person(s) in organisations with responsibility for the direction of the entity and obligations relating to the accountability of the entity.

group engagement partner The partner or other person in the firm who is responsible for the group audit engagement and its performance, and for the auditor's report on the group financial statements that is issued on behalf of the firm. Where joint auditors conduct the group audit, the joint engagement partners and their engagement teams collectively constitute the group engagement partner and the group engagement team.

hash total the total of any numeric data field on a document or computer file. This total is then checked against a control total of the same field to facilitate accuracy of processing.

historical financial information information expressed in financial terms in relation to a particular entity, derived primarily from the entity's accounting system, about economic events occurring in past time periods or about economic conditions at points in time in the past.

Hong Kong Standard on Auditing (HKSA) provides auditing guidelines for external auditors in conducting professional services for their clients.

Independence Comprises:

- Independence of mind – the state of mind that permits the expression of an opinion without being affected by influences that compromise professional judgment, thereby allowing an individual to act with integrity, and exercise objectivity and professional skepticism.
- Independence in appearance – the avoidance of facts and circumstances that are so significant that a reasonable and informed third party would be likely to conclude that a firm's, or an audit or assurance team member's, integrity, objectivity or professional skepticism has been compromised.

information risk the risk of making incorrect decisions because of incorrect or unreliable information.

inherent risk a function of the risk of material misstatement. It is the risk that a misstatement which could be material, either individually or in aggregate with other misstatements, is present in the financial statements *before* consideration of the entity's internal controls.

input controls techniques and procedures used to verify, validate, and edit data to ensure that only correct data is entered into the computer.

intended users The individual(s) or organization(s), or group(s) thereof that the practitioner expects will use the assurance report. In some cases, there may be intended users, other than those to whom the assurance report is addressed.

internal audit function a function of an entity that performs assurance and consulting activities designed to evaluate and improve the effectiveness of the entity's governance, risk management and internal control processes.

internal control the process designed, implemented and maintained by those charged with governance, management and other personnel to provide reasonable assurance about the achievement of an entity's objectives with regard to reliability of financial reporting, effectiveness and efficiency of operations, and compliance with applicable laws and regulations. The term 'controls' refers to any aspects of one or more of the components of internal control.

limited assurance engagement See assurance engagement.

log to record details of information or events in an organised record-keeping system, usually sequenced in the order they occurred.

logical access controls the policies, procedures, organisational structure, and electronic access controls designed to restrict access to computer software and data files.

management the person(s) with executive responsibility for the conduct of the entity's operations. For some entities in some jurisdictions, management includes some or all of those charged with governance, for example, executive members of a governance board, or an owner-manager.

materiality something is material if its omission or misstatement, individually or in aggregate, would influence the decision-making process of the users taken on the basis of the financial statements.

misstatement A difference between the reported amount, classification, presentation, or disclosure of a financial statement item and the amount, classification, presentation, or disclosure that is required for the item to be in accordance with the applicable financial reporting framework. Misstatements can arise from fraud or error.

Where the auditor expresses an opinion on whether the financial statements are presented fairly, in all material respects, or give a true and fair view, misstatements also include those adjustments of amounts, classifications, presentation, or disclosures that, in the auditor's

judgment, are necessary for the financial statements to be presented fairly, in all material respects, or to give a true and fair view.

In the context of HKSAE 3000 (Revised), a misstatement is defined as the difference between the subject matter information and the appropriate measurement or evaluation of the underlying subject matter in accordance with the criteria. Misstatements can be intentional or unintentional, qualitative or quantitative, and include omissions.

In the context of HKSRs 4410 (Revised), a misstatement is defined as a difference between the amount, classification, presentation, or disclosure of a reported item in the financial information, and the amount, classification, presentation, or disclosure that is required for the item to be in accordance with the applicable financial reporting framework. Misstatements can arise from error or fraud.

Where the financial information is prepared in accordance with a fair presentation framework, misstatements can also include those adjustments of amounts, classifications, presentation, or disclosures that, in the practitioner's judgment, are necessary for the financial information to be presented fairly, in all material respects, or to give a true and fair view.

negative confirmation request a request that the confirming party respond directly to the auditor only if the confirming party disagrees with the information provided in the request.

Nomination committee a standing committee of the board of directors that acts as part of corporate governance and evaluates the board of directors by examining the skills and traits needed in board candidates and assists in the election of directors.

non-response a failure of the confirming party to respond, or fully respond, to a positive confirmation request, or a confirmation request returned undelivered.

other board committees are governance, compliance, IT, risk, security and disclosure committees

overall audit strategy sets the scope, timing and direction of the audit, and guides the development of the more detailed audit plan.

performance audit an audit of an entity's activities and operations to assess economy, efficiency or effectiveness.

Performance materiality The amount or amounts set by the auditor at less than

materiality for the financial statements as a whole to reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatements exceeds materiality for the financial statements as a whole. If applicable, performance materiality also refers to the amounts set by the auditor at less than the materiality level or levels for particular classes of transactions, account balances or disclosures. In the context of HKSAE 3410, performance materiality is defined as the amount or amounts set by the practitioner at less than materiality for the GHG statement to reduce to an appropriately low level the probability that the aggregate of the uncorrected and undetected misstatements exceeds materiality for the GHG statement. If applicable, performance materiality also refers to the amount or amounts set by the practitioner at less than the materiality level or levels for particular types of emissions or disclosures.

pervasive a term used, in the context of misstatements, to describe the effects on the financial statements of misstatements or the possible effects on the financial statements of misstatements, if any, that are undetected due to an inability to obtain sufficient appropriate audit evidence. Pervasive effects on the financial statements are those that, in the auditor's judgment:

- (a) Are not confined to specific elements, accounts or items of the financial statements;
- (b) If so confined, represent or could represent a substantial proportion of the financial statements; or
- (c) In relation to disclosures, are fundamental to users' understanding of the financial statements.

population the entire set of data from which a sample is selected and about which the auditor wishes to draw conclusions.

positive confirmation request a request that the confirming party respond directly to the auditor indicating whether the confirming party agrees or disagrees with the information in the request, or providing the requested information.

practice unit the term to describe the person or entities that can be appointed as financial statement auditors under the *Companies*

Ordinance. They can be individual CPAs, a partnership of CPAs or CPAs structured as a corporate practice.

preconditions for an audit the use by management of an acceptable financial reporting framework in the preparation of the financial statements and the agreement of management and, where applicable, those charged with governance with the premise¹ on which an audit is conducted.

professional skepticism an attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of evidence.

professional standards Hong Kong Standards on Auditing (HKSAs) and relevant ethical requirements.

range checks range checks ensure that data falls within a predetermined range.

reasonable assurance engagement See 'assurance engagement'.

remuneration committee a standing committee of the board of directors responsible for evaluating directors and senior executive and design compensation schemes for directors and executives.

responsible party the party(ies) responsible for the underlying subject matter.

review engagement The objective of a review engagement is to enable an auditor to state whether, on the basis of procedures which do not provide all the evidence that would be required in an audit, anything has come to the auditor's attention that causes the auditor to believe that the financial statements are not prepared, in all material respects, in accordance with an applicable reporting framework.

risk of material misstatement The risk that the financial statements are materially misstated prior to audit. This consists of two components, described as follows at the assertion level:

- (a) Inherent risk – The susceptibility of an assertion about a class of transaction, account balance or disclosure to a misstatement that could be material, either individually or when aggregated with other misstatements, before consideration of any related controls.

¹HKSA 200, paragraph 13

- (b) **Control risk** – The risk that a misstatement that could occur in an assertion about a class of transaction, account balance or disclosure and that could be material, either individually or when aggregated with other misstatements, will not be prevented, or detected and corrected, on a timely basis by the entity's internal control.

safeguards actions, individually or in combination, that the professional accountant undertakes to effectively reduce threats to compliance with the fundamental ethical principles to an acceptable level.

sampling risk The risk that the auditor's conclusion based on a sample may be different from the conclusion if the entire population were subjected to the same audit procedure. Sampling risk can lead to two types of erroneous conclusions:

- (a) In the case of a test of controls, that controls are more effective than they actually are, or in the case of a test of details, that a material misstatement does not exist when in fact it does. The auditor is primarily concerned with this type of erroneous conclusion because it affects audit effectiveness and is more likely to lead to an inappropriate audit opinion.
- (b) In the case of a test of controls, that controls are less effective than they actually are, or in the case of a test of details, that a material misstatement exists when in fact it does not. This type of erroneous conclusion affects audit efficiency as it would usually lead to additional work to establish that initial conclusions were incorrect.

sampling unit the individual items constituting a population.

self-regulation activities undertaken by the HKICPA as a professional organisation to regulate those who can become CPAs, and to impose requirements that govern the behaviour of CPAs and impose sanctions for non-compliance with those requirements.

significant risk an identified and assessed risk of material misstatement that, in the auditor's judgment, requires special audit consideration.

software programmes and systems which enable and facilitate use of the computer. Software controls the operation of the hardware.

statutory audit an audit undertaken in compliance with the requirements of the *Companies Ordinance*.

statutory laws statutory laws are established by policymakers and regulators and arise from auditors' obligations resulting from certain legal statutes or societal laws.

stratification the process of dividing a population into sub-populations, each of which is a group of sampling units which have similar characteristics (often monetary value).

subject matter information The outcome of the measurement or evaluation of the underlying subject matter against the criteria, that is, the information that results from applying the criteria to the underlying subject matter.

substantive procedure an audit procedure designed to detect material misstatements at the assertion level. Substantive procedures comprise:

- (i) tests of details (of classes of transactions, account balances and disclosures); and
- (ii) substantive analytical procedures.

sufficiency (of audit evidence) the measure of the quantity of audit evidence. The quantity of the audit evidence needed is affected by the auditor's assessment of the risks of material misstatement and also by the quality of such evidence.

sufficient appropriate audit evidence audit evidence that in quality and quantity is adequate to support the auditor's conclusions and opinion.

test data data that is used to test the operation of a client's IT system. Test data may be used from the client's live files or from copy files provided to the auditor.

test of controls an audit procedure designed to evaluate the operating effectiveness of controls in preventing, or detecting and correcting, material misstatements at the assertion level.

tests of detail audit procedures which are used to verify individual transactions and balances.

third parties persons or organisations not directly involved in an arrangement (such as the arrangement between the company being audited and the auditors), but instead those that would rely on the audited financial statements to make rational business decisions.

tolerable misstatement a monetary amount set by the auditor in respect of which the auditor seeks to obtain an appropriate level of assurance that the monetary amount set by the auditor is not exceeded by the actual misstatement in the population.

tolerable rate of deviation a rate of deviation from prescribed internal control procedures set by the auditor in respect of which the auditor

seeks to obtain an appropriate level of assurance that the rate of deviation set by the auditor is not exceeded by the actual rate of deviation in the population.

unmodified opinion The opinion expressed by the auditor when the auditor concludes that the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework².

using the work of an internal auditor using work performed by internal audit during the course of their work within the entity to reduce the extent or nature of audit procedures undertaken by the

external auditors. The work is to be assessed by the external auditors.

verification checks that data is entered correctly.

viruses malicious programmes designed to spread and replicate from computer to computer through telecommunications links or through sharing of computer diskettes and files.

written representation A written statement by management provided to the auditor to confirm certain matters or to support other audit evidence. Written representations in this context do not include financial statements, the assertions therein, or supporting books and records.

²HKSA 700 (Revised), paragraphs 25-26 deal with the phrases used to express this opinion in the case of a fair presentation framework and a compliance framework respectively.



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